

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[881 NE2d 1187, 852 NYS2d 1]

HELEN ORNSTEIN, Appellant, v NEW YORK CITY HEALTH AND
HOSPITALS CORPORATION et al., Respondents.

Argued January 8, 2008; decided February 7, 2008

SUMMARY

APPEAL, from a judgment of the Supreme Court, New York County (Sheila Abdus-Salaam, J.), entered April 10, 2007. The judgment, entered upon a jury verdict in favor of plaintiff, awarded plaintiff damages against defendants in the principal sum of \$348,000. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2006. The Appellate Division, with two Justices dissenting, had (1) reversed, on the law, an order of that Supreme Court (op 2004 NY Slip Op 30094[U]), which had denied defendants' motion to dismiss any claim for damages allegedly sustained by plaintiff more than six months after the incident sued upon; (2) granted the motion; and (3) remanded the matter to Supreme Court for further proceedings.

Ornstein v New York City Health & Hosps. Corp., 27 AD3d 180, reversed.

HEADNOTE

**Negligence — Negligent Infliction of Emotional Distress —
Exposure to AIDS Virus from Needle Stick — No Six-Month
Recovery Bar**

Plaintiff, a hospital nurse who was exposed to the human immunodeficiency virus (HIV) when she was stuck by a blood-filled hypodermic needle that had

been left in the bed of a patient with acquired immune deficiency syndrome, should not have been foreclosed from presenting evidence at the trial of her negligent infliction of emotional distress claim that she suffered damages beyond the six-month period immediately following the needle-stick incident. Having produced prima facie proof that she suffered from post-traumatic stress disorder and other emotional distress for more than six months after exposure, she should have been allowed to seek recovery for those injuries at trial. Although the risk of someone exposed to HIV dramatically decreases, if not virtually ceases, once the person tests negative at the six-month juncture, that person should not be barred from recovering emotional distress damages beyond the six-month mark as a matter of law. A rule restricting recovery of emotional distress damages for all plaintiffs as a matter of law based only on scientific and medical statistics makes little sense where, as here, the statistics were not known to the plaintiff during the relevant time frame. In addition, a limitation of all categories of damages based on the statistical probability of testing positive for HIV within a particular time frame does not account for the fact that a plaintiff exposed to HIV may suffer injuries that are distinct from the fear of contracting the virus as did the plaintiff here, who continued to suffer from post-traumatic stress disorder and lost income even after her concern that she had contracted the virus was alleviated.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fright, Shock, and Mental Disturbance §§ 2, 7, 11, 39.
NY JUR 2d, Fright, Shock, and Mental Disturbance §§ 11, 15, 17, 21–23.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:284.

ANNOTATION REFERENCE

Recovery for emotional distress based on fear of contracting HIV or AIDS. 59 ALR5th 535.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: emotional /2 distress /s hiv aids & six /2 month

POINTS OF COUNSEL

Kramer & Dunleavy, LLP, New York City (*Lenore Kramer* and *Denise M. Dunleavy* of counsel), for appellant. The Appellate Division should not have limited to six months the amount of damages that plaintiff may be awarded. (*Brown v New York City Health & Hosps. Corp.*, 225 AD2d 36; *Johnson v State of New York*, 37 NY2d 378; *Ferrara v Galluchio*, 5 NY2d 16; *Marchica v Long Is. R.R. Co.*, 31 F3d 1197; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339.)

Michael A. Cardozo, Corporation Counsel, New York City (Julie Steiner and Barry P. Schwartz of counsel), for respondents. The Appellate Division majority properly dismissed all of plaintiff's claims for emotional distress damages following the first six months of exposure to the AIDS virus. In accordance with all the intermediate appellate court decisions on this issue, the unchallenged scientific and statistical evidence establishes that, for an individual who has not tested positive for HIV, that individual's fear of contracting AIDS, as well as all other emotional injuries stemming from that initial fear, becomes unreasonable as a matter of law after the first six months following exposure. (*Brown v New York City Health & Hosps. Corp.*, 225 AD2d 36; *O'Neill v O'Neill*, 264 AD2d 766, 94 NY2d 858; *Bishop v Mount Sinai Med. Ctr.*, 247 AD2d 329; *Taormino v State of New York*, 286 AD2d 490; *Milks v McIver*, 264 NY 267; *Sims v Comprehensive Community Dev. Corp.*, 40 AD3d 256; *Marchica v Long Is. R.R. Co.*, 31 F3d 1197; *Damanti v Jamaica Community Adolescent Program*, 12 AD3d 341; *Kelly v Our Lady of Mercy Med. Ctr.*, 279 AD2d 290, 96 NY2d 719; *McLarney v Community Health Plan*, 250 AD2d 310, 93 NY2d 848.)

OPINION OF THE COURT

GRAFFEO, J.

While working as a nurse at a hospital, plaintiff was exposed to the human immunodeficiency virus (HIV) when she was stuck by a blood-filled hypodermic needle that had been left in the bed of a patient with acquired immune deficiency syndrome (AIDS). HIV-antibody tests ultimately established that she had not contracted the virus. The primary issue in this case is the extent of damages plaintiff may recover on her negligent infliction of emotional distress claim. Defendants argue that plaintiff was properly restricted to presenting the jury with proof that she experienced mental anguish for a period of six months following the needle-stick incident. We disagree and conclude that, because plaintiff produced prima facie proof that she suffered from post-traumatic stress disorder and other emotional distress for more than six months after exposure, she should have been allowed to seek recovery for those injuries at trial.

The facts surrounding plaintiff Helen Ornstein's exposure to HIV are not in dispute. On September 1, 2000, while working as a nurse on a per diem basis at Bellevue Hospital in Manhattan, plaintiff and a nurse's aide began bathing a critically-ill patient suffering from AIDS. As she was turning the patient, plaintiff was stuck in the thumb by a hypodermic needle that had been

left in the patient's bed by an intern. Because the needle contained blood, plaintiff was immediately treated with antiviral medications for potential HIV exposure. She remained on these medications for two months, suffering side effects that continued for several months thereafter including nausea and neuropathy in her hands and feet.

Plaintiff also promptly commenced a regimen of periodic HIV testing, a practice that involves examination of the blood to determine whether HIV antibodies are present. Such antibodies are not evident on the date of exposure but can develop over time. The presence of HIV antibodies signals that a person has contracted the HIV virus, which may lead to the development of AIDS or other HIV-related illness. Plaintiff here was tested every three months for a period of two years following her exposure but consistently tested negative for infection with HIV.

In May 2001, plaintiff commenced this action against the intern and the New York City Health and Hospitals Corporation, as operator of the hospital, alleging negligent infliction of emotional distress. After defendants answered the complaint and the parties conducted discovery, defendants moved to dismiss that part of plaintiff's claim that sought damages for emotional distress plaintiff suffered more than six months after the needle-stick incident. Relying on the Appellate Division decision in *Brown v New York City Health & Hosps. Corp.* (225 AD2d 36 [2d Dept 1996]), defendants contended that plaintiff could not recover emotional distress damages beyond the six-month mark because a person exposed to HIV who has tested negative at that juncture is unlikely to become infected and it is therefore unreasonable as a matter of law for that person either to continue to fear infection or claim emotional distress due to the exposure incident.

In opposition to defendants' motion, plaintiff submitted evidence that she had continued to experience mental anguish relating to the incident long after the initial six-month period had passed and, in fact, expected to suffer permanently from post-traumatic stress disorder. At her deposition, plaintiff testified that she had not been advised by a physician that her fear of contracting HIV should have been allayed after six months. She stated that her anxiety over whether she had been infected with the virus continued until she tested negative in June 2002, about a year and a half after the incident. Even after her fear about testing positive dissipated, plaintiff asserted that she continued to suffer emotional distress in the form of post-

traumatic stress disorder, a condition that caused her to experience sleep disturbances and “flash backs” relating to the incident. She developed such a significant fear of future needle-stick incidents that she changed the nature of her work from patient care to office work and, later, to teaching, ultimately accepting a position that did not require any patient contact. Plaintiff explained that she had undergone psychiatric therapy and taken antidepressant medications to alleviate her emotional injuries but, despite these efforts, her symptoms persisted. In addition to her deposition testimony, plaintiff provided the report of a psychiatrist who opined that, as a result of the needle-stick incident, plaintiff suffered from chronic post-traumatic stress disorder warranting additional treatment for the foreseeable future.

In reply, defendants did not dispute that plaintiff could produce prima facie evidence of persistent emotional distress beyond six months of her exposure to HIV. Rather, they urged that any plaintiff who tested negative for HIV infection six months after exposure should be precluded, as a matter of law, from recovering damages for subsequent emotional distress because, at the conclusion of the six-month “window of anxiety” period, continuing emotional distress becomes unreasonable and, hence, uncompensable.

Supreme Court denied defendants’ motion, finding that plaintiff’s submissions, which were supported by objective medical evidence, established a bona fide claim of continuing emotional distress sufficient for submission to a jury. On defendants’ interlocutory appeal, a three-justice majority of the Appellate Division reversed and granted defendants’ motion to restrict damages, while the two dissenters would have affirmed Supreme Court’s holding.

The case then proceeded to trial, with plaintiff being foreclosed from presenting evidence that she suffered damages beyond the six-month period immediately following the needle-stick incident. The jury found defendants liable and awarded plaintiff a judgment of \$333,000 for past pain and suffering and \$15,000 for past lost wages. Plaintiff now appeals to this Court as of right from the judgment of Supreme Court, bringing up for review the prior, nonfinal Appellate Division order restricting damages. Because we agree with plaintiff that damages were improperly limited, we reverse both the judgment and Appellate Division order, and remit this matter to Supreme Court for a new trial on damages.

It is well-settled that a person “to whom a duty of care is owed . . . may recover for harm sustained solely as a result of an initial, negligently-caused psychological trauma, but with ensuing psychic harm with residual physical manifestations” (*Johnson v State of New York*, 37 NY2d 378, 381 [1975] [citations omitted]). A breach of the duty of care “resulting directly in emotional harm is compensable even though no physical injury occurred” (*Kennedy v McKesson Co.*, 58 NY2d 500, 504 [1983]) when the mental injury is “a direct, rather than a consequential, result of the breach” (*id.* at 506) and when the claim possesses “some guarantee of genuineness” (*Ferrara v Galluchio*, 5 NY2d 16, 21 [1958]). Applying these principles to negligent infliction of emotional distress claims arising from exposure to HIV, New York courts have required plaintiffs who have not tested HIV positive to come forward with proof that, due to the negligence of another party, they were exposed to HIV through “a scientifically accepted method of transmission of the virus . . . and that the source of the allegedly transmitted blood or fluid was in fact HIV positive” (*Bishop v Mount Sinai Med. Ctr.*, 247 AD2d 329, 331 [1st Dept 1998] [internal quotation marks omitted]; see *O’Neill v O’Neill*, 264 AD2d 766 [2d Dept 1999], *lv dismissed* 94 NY2d 858 [1999]; *McLarney v Community Health Plan*, 250 AD2d 310 [3d Dept 1998], *lv dismissed* 93 NY2d 848 [1999]).¹

There is no question in this case that defendants owed plaintiff a duty of care and that she came forward with proof that fulfilled the “actual exposure” requirement, thereby satisfying the indicia of genuineness requirement. Thus, the parties agree that plaintiff’s negligent infliction of emotional distress claim warranted a jury trial. The disagreement centers on the extent of damages that plaintiff was entitled to request at trial.

In concluding that plaintiff’s damages should be restricted to those suffered during the six months following the HIV exposure incident, the Appellate Division largely relied on *Brown v New York City Health & Hosps. Corp.* (225 AD2d 36 [1996]). Like this case, the plaintiff in *Brown* was a nurse who was stuck by a needle used in treating an HIV-infected patient. She then com-

1. This is consistent with the approach taken by the majority of other jurisdictions that have considered the issue (see e.g. *John & Jane Roes, 1-100 v FHP, Inc.*, 91 Haw 470, 985 P2d 661 [1999]; *Majca v Beekil*, 183 Ill 2d 407, 701 NE2d 1084 [1998]; *Carroll v Sisters of St. Francis Health Servs., Inc.*, 868 SW2d 585, 590 [Tenn 1993]).

menced a negligent infliction of emotional distress lawsuit seeking damages for the period from 1990 (when the needle-stick incident occurred) until the year 2005 on the theory that, if she was free of the disease after 15 years, her risk of infection would be extinguished. After an initial HIV test taken on the day of the incident, which would not have shown a positive result even if she had contracted the virus that day, plaintiff refused to take additional tests to definitely establish her HIV status. The *Brown* defendants moved to compel plaintiff to undergo HIV testing, arguing that her refusal to do so hampered their defense since it opened the door to jury speculation that she had contracted the virus. Alternatively, they sought partial summary judgment dismissing all claims of mental distress beyond six months on the rationale that statistical evidence demonstrated that an HIV test administered six months after the date of exposure would have conclusively established plaintiff's HIV status and likely allayed any fear that the HIV exposure incident caused her to contract the disease. Plaintiff responded with proof from her psychologist that requiring her to take an HIV test would be emotionally harmful.

The motion court refused to order plaintiff to take an HIV test and denied the defendants' application to restrict damages but, on appeal, the Appellate Division granted the latter relief. The *Brown* court first noted that "the statistical probability of contracting HIV from a single needle stick, assuming the needle was contaminated, is approximately 0.3 to 0.5%" (225 AD2d at 47), meaning that only 3 to 5 of every 1,000 people stuck with an HIV-contaminated needle will be infected with HIV. It recognized that HIV tests are not conclusive in the first three months following exposure because of the time necessary for antibodies that signal the presence of HIV to develop in the bloodstream, thereby triggering a positive test result. The court observed, however, that HIV tests are 99% accurate and that 95% of HIV-positive individuals will test positive within six months after exposure. It therefore concluded "that an individual exposed to the virus can be reasonably assured that he or she is free of infection if tests conducted after six months are negative" (*id.*). In essence, this evidence supported defendants' argument that it would be unfair to allow plaintiff to seek damages for 15 years of emotional distress when plaintiff refused to take reasonable steps available to her to determine her HIV status—steps that would have likely mitigated that distress given the low risk of contracting HIV from a needle-stick

incident. Based on the statistics, the court determined that “plaintiff’s fear of contracting AIDS would be unreasonable as a matter of law after six months, assuming a negative HIV-antibody test result” (*id.* at 49) and that it would be inequitable to allow her to avoid this result by refusing to be tested.

The restriction of damages in *Brown* can be viewed as a compromise fashioned to address the dilemma created by plaintiff’s decision not to be tested. On the one hand, given the possibility that a test could have yielded positive results, thereby causing plaintiff additional emotional distress and leading to other consequences, the court understandably did not wish to compel plaintiff to undergo testing. On the other, plaintiff’s unwillingness to be tested left defendants in the untenable position of having to defend an exposure claim while plaintiff’s HIV status was unknown, creating a strong likelihood that the jury would speculate that plaintiff had, in fact, contracted the virus, leading to an excessive damages award. The court struck the balance it deemed appropriate.²

In the wake of *Brown*, some New York courts, including the Appellate Division in this case, have applied its holding to cases in which plaintiffs have undergone HIV testing, issuing orders precluding recovery of injuries suffered more than six months after HIV exposure (*see e.g. Sims v Comprehensive Community Dev. Corp.*, 40 AD3d 256 [1st Dept 2007]; *Taormino v State of New York*, 286 AD2d 490 [2d Dept 2001]). Where a plaintiff pursuing a negligent infliction of emotional distress claim arising from HIV exposure has been tested at regular intervals with negative results, the *Brown* restriction of damages approach is inapposite for several reasons.

First, as the facts here demonstrate, a rule that restricts recovery of emotional distress damages for all plaintiffs as a matter of law based only on scientific and medical statistics—no matter how reliable those statistics may be—makes little sense if the probabilities identified by researchers were not known to the plaintiff during the relevant time frame. Plaintiff claimed that none of her physicians advised her that her risk of testing positive in the future would dramatically decrease, if not virtu-

2. Because the *Brown* decision is not before this Court for review, we express no view on the propriety of the Appellate Division compromise. We note that restriction of damages may not be the only approach available to address the dilemma presented by a plaintiff’s unwillingness to undergo HIV-antibody testing; depending on the facts of the case, a stipulation or jury charge might be employed to prevent prejudice to the defense.

ally cease, once she tested negative at the six-month juncture and that she was unaware of this from her own medical training. Nor is there any allegation in this case that plaintiff avoided acquainting herself with the pertinent facts. Rather, she obtained medical care on a timely and consistent basis yet she testified that her fear of contracting HIV from the needle-stick incident continued until she tested negative in June 2002, about a year and a half after exposure. Thus, in contrast to *Brown* where the plaintiff alleged that her fear of infection would not be alleviated until 15 years had elapsed, this is not a case where a plaintiff is seeking AIDS phobia damages for a protracted period of time. In assessing credibility, the jury is, of course, free to reject plaintiff's testimony but, for purposes of defendants' motion to restrict damages, her assertions were sufficient to raise a triable issue of fact concerning the duration of her fear of infection.

Second, limitation of all categories of damages based on the statistical probability of testing positive for HIV within a particular time frame does not account for the fact that a plaintiff exposed to HIV may suffer injuries that are distinct from the fear of contracting the virus. In this case, in response to defendants' motion to dismiss, plaintiff offered medical proof that she continued to suffer from post-traumatic stress disorder, a recognized psychiatric condition requiring treatment with medication and therapy, even after her concern that she had contracted the virus was alleviated. Plaintiff testified that she lost income because she was never able to return to per diem hospital work after the incident due to her fear of similar future exposure incidents. In addition, while her HIV status was uncertain, she was unable to engage in direct patient care but had to confine her duties to office work. She stated that, after it was determined that she had not contracted the virus, she continued to suffer from post-traumatic stress disorder and that this condition was a contributing factor in her decision to permanently change the nature of her employment from direct patient care to teaching. If it credited this evidence, a rational jury could find that plaintiff's psychiatric condition and resulting loss of income were directly related to the exposure incident, warranting monetary recovery.

Defendants contend that damages should be curtailed in negligent infliction of emotional distress cases stemming from HIV exposure due to the "still-prevalent ignorance and subjective, irrational fears surrounding" AIDS, arguing that public

policy considerations support “taking emotions out of the equation of AIDS cases at a fixed point in time so as to ensure fairness and consistency” (respondents’ brief at 30). Assuming defendants’ assertions relating to the current state of public awareness about AIDS to be true, we are nonetheless unpersuaded that emotions can appropriately be removed from the damages equation in a negligent infliction of emotional distress claim. Nor have defendants shown that a bright-line restriction of damages rule such as the six-month demarcation—an approach that appears to be unprecedented in our common-law tort jurisprudence—is necessary to avoid unreasonably high verdicts in this genre of tort cases; no such pattern of inappropriate judgments has been identified. If an occasional excessive, idiosyncratic award does issue, it can be corrected by the Appellate Division through exercise of its power to set aside judgments that deviate materially from what would be reasonable compensation (*see* CPLR 5501 [c]).

We stress that, just as in any personal injury case, trial judges can assess the viability of damages claims in HIV exposure cases before submission to the jury by evaluating whether such claims are supported by legally sufficient evidence. Defendants here do not dispute that, in opposition to their motion papers, plaintiff presented *prima facie* evidence of continuing post-traumatic stress disorder. But where supporting medical evidence is lacking, a trial court might well preclude a plaintiff from pursuing recovery for that component of psychic distress.

It also bears noting that defendants remain free to challenge AIDS phobia and other emotional distress evidence by presenting medical and scientific proof concerning the probability of a plaintiff contracting HIV after having tested negative at various points in time to ensure that the jury understands the risk a plaintiff actually faced and the future risk of a plaintiff testing positive. Likewise, defendants may question a plaintiff and any treating physicians to ascertain what information was available to the plaintiff concerning testing time frames and probabilities. A rational jury might conclude, based on evidence of this nature, that a particular plaintiff’s fear of contracting HIV ceased to be reasonable at a certain point in time and, after that point, any residual anxiety was not sufficiently causally related to the underlying exposure incident to warrant recovery. Similarly, since a plaintiff “is not permitted to recover for damages that could have been avoided by using means which a reasonably prudent person would have used to . . . alleviate the pain” (PJI

2:325), a defendant who believes that a plaintiff has unreasonably failed to take steps to relieve emotional distress arising from an exposure incident can raise a failure to mitigate damages defense.

In this case, however, it is undisputed that plaintiff came forward with evidence that her emotional distress and other direct damages did not cease six months after the exposure incident. Because this proof was sufficient to withstand defendants' motion to restrict damages, the Appellate Division erred in directing that plaintiff's damages be limited to that time period at trial.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be reversed, with costs, defendants' motion to dismiss any claim for damages allegedly sustained by plaintiff more than six months after the incident sued upon should be denied, and the case should be remitted to Supreme Court for a new trial on damages.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Judgment appealed from and order of the Appellate Division brought up for review reversed, etc.

[882 NE2d 879, 853 NYS2d 267]

FINANCIAL INDUSTRY REGULATORY AUTHORITY, INC., Formerly
Known as NATIONAL ASSOCIATION OF SECURITIES DEALERS,
INC., Respondent, v JOHN J. FIERO et al., Appellants.

Argued January 2, 2008; decided February 7, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 26, 2006. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Carol R. Edmead, J.; op 2006 NY Slip Op 30302[U]), which had granted plaintiff's motion for summary judgment and awarded it the principal sum of \$1,010,809.25.

National Assn. of Sec. Dealers, Inc. v Fiero, 33 AD3d 547, reversed.

HEADNOTE**Courts — Jurisdiction — Subject Matter Jurisdiction**

The complaint should have been dismissed for lack of subject matter jurisdiction in an action brought by the National Association of Securities Dealers, Inc. to enforce a penalty imposed on defendants, a securities representative and the broker-dealer firm he owned, as a result of disciplinary proceedings provided for by the Securities Exchange Act of 1934 for violations of the Act and its implementing rules. State courts did not have the power to hear and decide the controversy since section 27 of the Securities Exchange Act provided that "[t]he district courts of the United States . . . shall have *exclusive jurisdiction* of violations of [the Securities Exchange Act] or the rules and regulations thereunder, and of all suits in equity and actions at law brought to enforce any liability or duty created by [the Securities Exchange Act] or the rules and regulations thereunder" (15 USC § 78aa [emphasis added]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations § 2062.

CARMODY-WAIT 2d, Courts and Their Jurisdiction § 2:99.

NY JUR 2d, Courts and Judges § 720.

15 USCA § 78aa.

ANNOTATION REFERENCE

See ALR Index under Jurisdiction; Securities Regulation.

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POINTS OF COUNSEL

Gusrae, Kaplan, Bruno & Nusbaum PLLC, New York City (Brian D. Graifman and Elliot Wales of counsel), for appellants. I. Subject matter jurisdiction over this matter is doubtful. (*Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517; *American Distilling Co. v Brown*, 295 NY 36; *Merrill Lynch, Pierce, Fenner & Smith, Inc. v Dabit*, 547 US 71; *United States Sec. & Exch. Commn. v Vittor*, 323 F3d 930; *Grable & Sons Metal Products, Inc. v Darue Engineering & Mfg.*, 545 US 308.) II. The action is untimely as based on an arbitration award. (*Kabia v Koch*, 186 Misc 2d 363; *Kingsbridge Ctr. of Israel v Turk*, 98 AD2d 664; *Matter of Penn Cent. Corp. [Consolidated Rail Corp.]*, 56 NY2d 120; *Drivers v Riss & Co.*, 372 US 517; *The Mauretania*, 80 F2d 225; *Merritt v Thompson*, 27 NY 225; *International Longshoremen's Assn., AFL-CIO v Hellenic Lines, Ltd.*, 549 F Supp 435; *Matter of King v Nikko Sec. Co. Intl.*, 179 AD2d 490; *Sloan v New York Stock Exch., Inc.*, 489 F2d 1; *Matter of Hellman [Wolbrom]*, 31 AD2d 477.) III. The National Association of Securities Dealers cannot judicially enforce collection of a disciplinary fine. (*United States Sec. & Exch. Commn. v Vittor*, 323 F3d 930; *National Assn. of Sec. Dealers, Inc. v Securities & Exch. Commn.*, 431 F3d 803; *FTC v Bunte Brothers, Inc.*, 312 US 349; *Merchants Ladies Garment Assn., Inc. v Coat House of Wm. M. Schwartz, Inc.*, 152 Misc 130; *Varley v Tarrytown Assoc., Inc.*, 477 F2d 208; *American Men's & Boys' Clothing Mfrs.' Assn., Inc. v Proser*, 190 App Div 164; *Sloan v New York Stock Exch., Inc.*, 489 F2d 1.)

Terri L. Reicher, Associate General Counsel, Financial Industry Regulatory Authority, Inc., Washington, D.C. and New York City, for respondent. I. The court below properly held that the statute of limitations in CPLR 7510 does not apply to this case because the National Association of Securities Dealers disciplinary proceedings are not "arbitration." (*Datek Sec. Corp. v National Assn. of Sec. Dealers, Inc.*, 875 F Supp 230; *Maschler v National Assn. of Sec. Dealers, Inc.*, 827 F Supp 131; *McLaughlin, Piven, Vogel, Inc. v National Assn. of Sec. Dealers, Inc.*, 733 F Supp 694; *Schubtex, Inc. v Allen Snyder, Inc.*, 49 NY2d 1; *Matter of Marlene Indus. Corp. [Carnac Textiles]*, 45 NY2d 327; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of Lehman v Ostrovsky*, 264 NY 130; *Matter of Riverdale Fabrics Corp.*

[*Tillinghast-Stiles Co.*], 306 NY 288; *Matter of Doughboy Ind. [Pantasote Co.]*, 17 AD2d 216; *Matter of Waldron [Goddess]*, 61 NY2d 181.) II. The National Association of Securities Dealers may maintain collection actions for debts that Fieros contractually agreed to pay. (*Markowski v Securities & Exch. Commn.*, 34 F3d 99; *Sigma Phi Socy. [Alpha of N.Y.] v Rensselaer Fraternity Mgrs. Assn.*, 114 AD2d 711; *Colodney v New York Coffee & Sugar Exch.*, 4 AD2d 137, 4 NY2d 698; *Merchants Ladies Garment Assn., Inc. v Coat House of Wm. M. Schwartz, Inc.*, 152 Misc 130; *United States Sec. & Exch. Commn. v Vittor*, 323 F3d 930; *Securities & Exch. Commn. v Mohn*, 465 F3d 647.) III. New York State courts have subject matter jurisdiction over the National Association of Securities Dealers collection actions. (*Hunt v Hunt*, 72 NY 217; *Kagen v Kagen*, 21 NY2d 532; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of Fry v Village of Tarrytown*, 89 NY2d 714.)

OPINION OF THE COURT

READ, J.

In the early 1990s, John J. Fiero registered with the National Association of Securities Dealers, Inc. (NASD) (now called the Financial Industry Regulatory Authority, Inc. or FINRA), a self-regulatory organization (SRO), as a securities representative. Relatedly, Fiero Brothers—a broker-dealer firm owned by Fiero, the company’s president and sole employee—became a member of NASD.* SROs are quasi-governmental entities with a duty under the Securities Exchange Act of 1934, as amended, “to promulgate and enforce rules governing the conduct of [their] members” (*Barbara v New York Stock Exch., Inc.*, 99 F3d 49, 51 [2d Cir 1996]; see 15 USC § 78c [a] [26]; § 78f [b]; § 78s [g]). The SEC must approve or reject any rule, practice, policy or interpretation proposed by an SRO (see 15 USC § 78s [b]; *Barbara*, 99 F3d at 51 [describing role of SROs in enforcing federal securities laws]).

When Fiero applied for securities industry registration with NASD, he signed Form U-4 in which he “agree[d] to be subject

* On July 26, 2007, the Securities and Exchange Commission (the Commission or SEC) gave the final regulatory approval needed for consolidation of NASD and NYSE Regulation, Inc., a wholly-owned subsidiary of New York Stock Exchange LLC, to form FINRA. Essentially, the member firm regulation and enforcement functions and employees from NYSE Regulation transferred to NASD, which then adopted FINRA as its new corporate name. As a result of the consolidation, FINRA is the sole SRO providing member firm regulation for securities firms that do business with the public in the United States (see 72 Fed Reg 42169, 42170 [Aug. 1, 2007]).

to and comply with all requirements, rulings, orders, directives and decisions of, and penalties, prohibitions and limitations imposed by [NASD], subject to right of appeal or review as provided by law.” Similarly, Fiero Brothers subjected itself to NASD’s rules and discipline when it filed Form BD to apply for broker-dealer registration.

On February 6, 1998, NASD’s Department of Enforcement filed a disciplinary complaint alleging that Fiero and Fiero Brothers (collectively the Fieros) had carried out a so-called “bear raid” to drive down the price of securities underwritten by another NASD member, causing that firm and its clearing firm to collapse while generating significant profits for the Fieros. In October 1999, an NASD hearing panel held a disciplinary hearing on the complaint; on December 6, 2000, the panel issued a decision finding that the Fieros had violated section 10 (b) of the Securities Exchange Act (15 USC § 78j [b]), SEC rule 10b-5 and NASD rules 2120 and 2110. The panel ordered Fiero Brothers expelled from NASD membership; barred Fiero from associating with any member firm in any capacity; fined the Fieros, jointly and severally, \$1 million; and imposed hearing costs totaling \$10,809.25. The Fieros appealed to NASD’s National Adjudicatory Council, which affirmed the panel’s findings and upheld its sanctions in a decision dated October 28, 2002.

The Fieros did not exercise their statutory rights to appeal the NASD’s final disciplinary disposition to the SEC and, if aggrieved by the Commission’s final order, the United States Court of Appeals (*see* 15 USC § 78s [d]; § 78y [a]). The SEC may bring an action in federal district court to enforce its order affirming sanctions imposed by NASD for violation of the Securities Exchange Act and its implementing rules (*see* 15 USC § 78u [e] [1]; *see also United States Sec. & Exch. Commn. v Vittor*, 323 F3d 930 [11th Cir 2003]).

On December 22, 2003, NASD commenced an action in Supreme Court, alleging that the Fieros had refused to pay the fine and costs, “although due and duly demanded,” and seeking judgment against them in the amount of \$1,010,809.25, plus interest, costs and disbursements. The Fieros subsequently moved to dismiss the complaint, principally claiming that NASD lacked authority to recover the fine because it “was not affirmed by the SEC, confirmed by a court, or otherwise converted into a judgment”; for its part, NASD moved to dismiss numerous counterclaims asserted by the Fieros.

On September 12, 2005, Supreme Court granted NASD's motion and denied the Fieros' motion, concluding that "NASD's claim [was] firmly based on ordinary principles of contract law" since the Fieros "expressly agreed to comply with all NASD rules, including the imposition of fines and sanctions" (*National Assn. of Sec. Dealers, Inc. v Fiero*, 2005 NY Slip Op 30161[U], *2) when they executed NASD registration forms. The court further observed that "New York state courts have long recognized the right of a private membership organization to impose fines on its members, when authorized to do so by statute, charter or by-laws" (*id.* at *4), and that "NASD is not 'just a private club,' but a self-regulatory organization, federally-mandated under . . . the Exchange Act to discipline its members and enforce the federal securities laws as well as its own SEC-approved rules" (*id.* at *5). Supreme Court concluded that "[t]he NASD rules relied on by [NASD] appear[ed] to authorize imposition and collection of [the] fines" at issue (*id.* at *7).

The Fieros soon thereafter moved for summary judgment dismissing the complaint as time-barred under CPLR 215 (5) and 7510, which prescribe one-year limitations periods for an action upon an arbitration award and a proceeding to confirm an arbitration award respectively. On December 14, 2005, Supreme Court denied this motion, rejecting the notion that the disciplinary proceeding was an arbitration.

Next, NASD moved for summary judgment, and on May 11, 2006, Supreme Court granted the motion, awarding NASD over \$1.3 million in fines and costs plus interest from December 2, 2002. Supreme Court observed that "NASD [had] met its burden of establishing a *prima facie* basis for entitlement to summary judgment" by submitting documentary evidence demonstrating undisputed facts in what "really amount[ed] to a collection action to recover fines and costs levied by NASD against [the Fieros] in a . . . disciplinary proceeding" (*National Assn. of Sec. Dealers, Inc. v Fiero*, 2006 NY Slip Op 30302[U], *6). The court also concluded that the Fieros' affirmative defense of selective enforcement was not "legally or factually sufficient to justify denial of summary judgment" (*id.* at *6).

The Fieros appealed Supreme Court's order and judgment granting NASD summary judgment. On October 26, 2006, the First Department unanimously affirmed in an opinion endorsing Supreme Court's reasoning. We subsequently granted the Fieros' motion for leave to appeal, and now reverse on the ground that state courts do not have subject matter jurisdiction

over this lawsuit. Although the issue of subject matter jurisdiction was not raised in the lower courts, “a court’s lack of subject matter jurisdiction is not waivable, but may be [raised] at any stage of the action, and the court may, *ex mero motu* [on its own motion], at any time, when its attention is called to the facts, refuse to proceed further and dismiss the action” (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714, 718 [1997] [internal quotation marks and citation omitted]).

Section 27 of the Securities Exchange Act provides that “[t]he district courts of the United States . . . shall have *exclusive jurisdiction* of violations of [the Securities Exchange Act] or the rules and regulations thereunder, and of all suits in equity and actions at law brought to enforce any liability or duty created by [the Securities Exchange Act] or the rules and regulations thereunder” (15 USC § 78aa [emphasis added]). In this case, NASD is not seeking to adjudicate a state law claim. Instead, NASD brought this action to enforce a penalty imposed on the Fieros as a result of disciplinary proceedings provided for by the Securities Exchange Act for violations of the Securities Exchange Act and its implementing rules. Section 27 vests federal district courts with exclusive jurisdiction to entertain such a suit. Thus, state courts do not possess the power to hear and decide this controversy (*see American Distilling Co. v Brown*, 295 NY 36 [1945]). Because of our disposition of this appeal, we do not reach and express no opinion on any of the other issues raised by the parties and decided by the courts below.

Accordingly, the Appellate Division’s order should be reversed, with costs, and the complaint dismissed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[882 NE2d 875, 853 NYS2d 263]

RIVERSIDE SYNDICATE, INC., Respondent, v VICTORIA MUNROE et al., Appellants.

Argued January 9, 2008; decided February 7, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 5, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Judith J. Gische, J.; op 2006 NY Slip Op 30321[U]), which had denied plaintiff's motion for summary judgment and granted defendants' cross motion for summary judgment dismissing the complaint; (2) granted plaintiff's motion to the extent of declaring that the stipulation of settlement executed by the parties as of March 26, 1996 in the summary proceeding entitled *Riverside Syndicate, Inc. v Victoria Munroe et al.* (Civ Ct, NY County, L&T Index No. 93325/95), and "so ordered" by the court in that proceeding on May 3, 1996 (the consent judgment), was null, void, and of no force or effect, on the ground that it violated Rent Stabilization Code (9 NYCRR) § 2520.13 and was contrary to public policy, and (3) denied defendants' cross motion for summary judgment. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Riverside Syndicate, Inc. v Munroe, 39 AD3d 256, affirmed.

HEADNOTES**Landlord and Tenant — Rent Regulation — Agreement to Pay Illegal Rent for Rent-Stabilized Apartment Used as Nonprimary Residence Void**

1. The parties' agreement to allow defendant tenants to use their rent-stabilized apartment as a nonprimary residence in exchange for paying plaintiff landlord an illegal rent was void and could not be enforced by either party. The agreement was, on its face, one to "waive the benefit" of rent stabilization, and was void under Rent Stabilization Code (RSC) (9 NYCRR) § 2520.13. The "negotiated settlement" exception to RSC § 2520.13 did not apply, as the parties' agreement was not an agreement to withdraw a "complaint pending before the DHCR." Nor was the agreement, which achieved something the law did not permit, within either the letter or the spirit of the exception. Enforcement of the agreement would violate the policy of the rent stabilization laws that apartments should either be rented at no more than the legal maximum or deregulated, thereby increasing the availability of housing on the open market.

Limitation of Actions — Six-Year Statute of Limitations — Action to Declare Agreement to Pay Illegal Rent for Rent-Stabilized Apartment Used as Nonprimary Residence Void

2. Plaintiff landlord's action seeking a declaratory judgment regarding the validity of the parties' agreement, entered into more than six years earlier, to allow defendant tenants to use their rent-stabilized apartment as a nonprimary residence in exchange for the payment of an illegal rent was not barred by the six year statute of limitations provided by CPLR 213 (2) for "an action upon a contractual obligation or liability." A statute of limitations does not make an agreement that was void at its inception, as was the parties' agreement here, valid by the mere passage of time. Moreover, plaintiff's action was not one "upon a contractual obligation or liability," but rather one to declare that no valid contractual obligations ever existed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 38, 910, 914; AM JUR 2d, Limitation of Actions § 134.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:139, 13:140; CARMODY-WAIT 2d, Summary Proceedings to Recover Possession of Real Property §§ 90:62, 90:168.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 29:15.

McKINNEY's, CPLR 213 (2).

9 NYCRR 2520.13.

NY JUR 2d, Landlord and Tenant §§ 429, 469, 479, 480, 500; NY JUR 2d, Limitations and Laches §§ 148, 157, 158.

NEW YORK REAL PROPERTY SERVICE §§ 72:27, 72:80, 72:160.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Limitation of Actions; Rent.

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POINTS OF COUNSEL

Emery Celli Brinckerhoff & Abady LLP, New York City (*Eric Hecker* and *Richard D. Emery* of counsel), and *Vernon & Ginsburg, LLP* (*Darryl M. Vernon* of counsel), for appellants. I. The enforcement of judicially-approved stipulations of settlement furthers the critical public policy of facilitating the efficient and fair resolution of contested litigation. (*Mitchell v New York*

Hosp., 61 NY2d 208; *Salesian Socy. v Village of Ellenville*, 41 NY2d 521; *Hallock v State of New York*, 64 NY2d 224; *Matter of Siegel*, 29 AD3d 914; *City of New York v 130/40 Essex St. Dev. Corp.*, 302 AD2d 292; *Merwest Realty Corp. v Prager*, 264 AD2d 313; *Mill Rock Plaza Assoc. v Lively*, 224 AD2d 301; *Thornton v Baron*, 5 NY3d 175; *Draper v Georgia Props.*, 94 NY2d 809; *Matter of Matinzi v Joy*, 60 NY2d 835.) II. Enforcing the court-ordered settlement would not offend any countervailing public policy. (*Matter of Rockaway One Co., LLC v Wiggins*, 35 AD3d 36; *Misthopoulos v Estate of Ruhl*, 183 AD2d 651; *Rent Stabilization Assn. of N.Y. v Higgins*, 164 AD2d 283; *Kent v Bedford Apts. Co.*, 237 AD2d 140; *Drucker v Mauro*, 30 AD3d 37; *390 W. End Assoc. v Harel*, 298 AD2d 11; *Matter of Matinzi v Joy*, 60 NY2d 835; *Merwest Realty Corp. v Prager*, 264 AD2d 313; *Elghanayan v George*, 180 Misc 2d 310; *Noto v Bedford Apts. Co.*, 21 AD3d 762.) III. The landlord's claim for declaratory relief is time-barred. (*Matter of Karedes v Colella*, 100 NY2d 45; *Solnick v Whalen*, 49 NY2d 224; *Matter of Folks v New York City Hous. Auth.*, 27 AD3d 270; *390 W. End Assoc. v Harel*, 298 AD2d 11; *Rima 106 v Alvarez*, 257 AD2d 201.) IV. The landlord's claim for declaratory relief is barred by the equities. (*390 W. End Assoc. v Baron*, 274 AD2d 330; *Park Towers S. Co. v Universal Attractions*, 274 AD2d 312; *Draper v Georgia Props.*, 230 AD2d 455, 94 NY2d 809; *Georgia Props., Inc. v Dalsimer*, 39 AD3d 332; *Lloyd Capital Corp. v Pat Henchar, Inc.*, 80 NY2d 124.)

Rosenberg & Estis, P.C., New York City (Jeffrey Turkel and Gary M. Rosenberg of counsel), for respondent. I. The consent judgment is void as against public policy and unenforceable. (*City of New York v 17 Vista Assoc.*, 84 NY2d 299; *Szerdahelyi v Harris*, 67 NY2d 42; *Mitchell v New York Hosp.*, 61 NY2d 208; *Sternaman v Metropolitan Life Ins. Co.*, 170 NY 13; *Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392; *Attridge v Pembroke*, 235 App Div 101; *Abright v Shapiro*, 214 AD2d 496; *McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465; *Hettich v Hettich*, 301 NY 447; *Tooker v Inter-County Tit. Guar. & Mtge. Co.*, 295 NY 386.) II. Principles of equity and estoppel cannot compel a court to enforce an agreement that is otherwise void as against public policy. (*Szerdahelyi v Harris*, 67 NY2d 42; *Spiegel v 1065 Park Ave. Corp.*, 305 AD2d 204; *Millington v Rapoport*, 98 AD2d 765; *Sturm v Truby*, 245 App Div 357; *Levin v Levin*, 253 App Div 758; *Flegenheimer v Brogan*, 259 App Div 347, 284 NY 268; *Coverly v Terminal Warehouse Co.*, 85 App Div 488, 178 NY 602; *First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d

630; 390 W. End Assoc. v Baron, 274 AD2d 330; Park Towers S. Co. v Universal Attractions, 274 AD2d 312.) III. The statute of limitations cannot compel a court to enforce an agreement that is void as against public policy. (*Pacchiana v Pacchiana*, 94 AD2d 721; *Larrison v Scarola Reavis & Parent LLP*, 11 Misc 3d 572; *Attridge v Pembroke*, 235 App Div 101; *Spiegel v 1065 Park Ave. Corp.*, 305 AD2d 204; *Oot v Home Ins. Co. of Ind.*, 244 AD2d 62.)

OPINION OF THE COURT

SMITH, J.

We hold that an agreement by tenants to pay an illegal rent for a rent-stabilized apartment, in exchange for an agreement by the landlord to let the tenants use the apartment as a second home, is void and cannot be enforced by either party.

Facts and Procedural History

The tenants, Victoria Munroe and Eric Saltzman, rented three apartments (apparently combined into one) on Riverside Drive in Manhattan. All three apartments were subject to the rent stabilization laws. Originally, the tenants subleased one of the three from another tenant, and the landlord sued to evict them, claiming that the sublease was illegal. This eviction proceeding was settled by the agreement now at issue, a so-ordered stipulation between the landlord and the tenants entered into in 1996.

The parties agreed that the tenants “shall be recognized as the lawful, rent stabilized legal tenants of the subject premises at a monthly rental rate of \$2,000.00.” This was far in excess of the maximum rent allowed by the rent stabilization laws: The landlord’s brief in this Court says that the maximum legal rent would have been \$1,325, and the tenants’ brief suggests a lower figure. The agreement said that the tenants “waive all right to challenge the legality of the rent” and that “[r]egardless of [their] primary residence” the tenants “may remain as the rent stabilized tenants.” The agreement also said that, if the apartments were deregulated, the landlord would offer a renewal lease to the tenants every two years, at a rent increase of no more than 8%. In 2000, the apartments were deregulated, without objection from the tenants.

Apparently, the parties continued to comply with the 1996 agreement until 2003. In that year, the landlord began eviction proceedings based on the claim that the tenants were not using the apartments as their primary residence. There was a brief

truce, and the proceedings were dismissed without prejudice, but in 2004 the landlord began the present action. It seeks a declaratory judgment that the 1996 agreement violates public policy and is void.

Supreme Court granted summary judgment to the tenants, but the Appellate Division reversed and granted summary judgment to the landlord, declaring the agreement “null, void, and of no force or effect” (39 AD3d 256, 256 [1st Dept 2007]). The Appellate Division granted the tenants leave to appeal, and we now affirm the Appellate Division’s order.

Discussion

Rent Stabilization Code (RSC) (9 NYCRR) § 2520.13 says:

“An agreement by the tenant to waive the benefit of any provision of the RSL [Rent Stabilization Law] or this Code is void; provided, however, that based upon a negotiated settlement between the parties and with the approval of the DHCR [Division of Housing and Community Renewal], or a court of competent jurisdiction, or where a tenant is represented by counsel, a tenant may withdraw, with prejudice, any complaint pending before the DHCR.”

[1] The application of this regulation to this case seems uncomplicated. The agreement is, on its face, one to “waive the benefit” of rent stabilization, and is therefore void. It is not an agreement to withdraw a “complaint pending before the DHCR,” and therefore the exception in the regulation does not apply.

In exchange for an illegal rent, the landlord agreed, among other things, not to enforce its right under RSC § 2524.4 (c) to “recover possession” of a “housing accommodation . . . not occupied by the tenant . . . as his or her primary residence.” As the Appellate Division has repeatedly held, an agreement of this kind is not enforceable by the tenant (*Park Towers S. Co. v Universal Attractions*, 274 AD2d 312 [1st Dept 2000]; *Rima 106 v Alvarez*, 257 AD2d 201 [1st Dept 1999]). Such an agreement allows a tenant who already has one home, and who is able to pay more than the legal rent for a second one, to use the law as a means of getting that second home in perpetuity at a bargain price. As Justice Wallach said in *Rima*, to countenance such an arrangement “would violate the fundamental policies and purposes of the statutory rent regulation scheme” (257 AD2d at 204).

Seeking to defend the agreement, the tenants make essentially three arguments: that, on the facts of this case, enforcement of the agreement would violate no public policy; that the “negotiated settlement” exception to RSC § 2520.13 should apply here; and that the landlord’s claim is barred by the statute of limitations. All three arguments lack merit.

The basis for the tenants’ public policy argument is their assertion that, if the 1996 eviction proceeding had not been settled by the agreement in suit, only two outcomes were possible: either the tenants would have remained in the apartments at the legal rent, or they would have been evicted and the apartments would have been deregulated. Neither result, the tenants say, would serve the policy of the rent stabilization laws any better than the compromise result the parties reached. The assertion on which this argument rests is dubious, but even assuming the assertion is true, the conclusion is wrong. It is the policy of the rent stabilization laws that apartments should either be rented at no more than the legal maximum or deregulated. Deregulation, when the conditions for it are met, serves public policy by increasing the availability of housing on the open market. Agreements like the one at issue here distort the market without benefitting the people the rent stabilization laws were designed to protect.

The tenants also argue that settlements, especially court-approved settlements, should be encouraged, and therefore the exception in RSC § 2520.13 should be read broadly. Though the exception applies only to the withdrawal of a “complaint pending before the DHCR,” the tenants say that the absence of any such complaint in this case is a meaningless formality; the tenants could easily have filed such a complaint, and withdrawn it as part of the settlement. Thus, the tenants argue in substance, this case is within the spirit though not the letter of the exception.

We disagree. We find the agreement to be within neither the letter nor the spirit of the law, because it was not a bona fide settlement of the parties’ dispute. The argument for upholding the agreement would be stronger if, in 1996, the parties had had a dispute about the amount of the legal maximum rent, and had compromised at a figure above the tenants’ and below the landlord’s. But the “compromise” in this case put the rent roughly 50% higher than the highest rent the landlord could have demanded. The obvious purpose of the settlement was not to resolve a dispute about what the law permitted, but to achieve something the law undisputedly did not and does not permit.

[2] Finally, the tenants argue that, since the agreement was made in 1996, this action, brought in 2004, is barred by the six year statute of limitations provided by CPLR 213 (2) for “an action upon a contractual obligation or liability.” This argument misconceives the nature of a statute of limitations; it does not make an agreement that was void at its inception valid by the mere passage of time (*Pacchiana v Pacchiana*, 94 AD2d 721 [2d Dept 1983]). This action is not one “upon a contractual obligation or liability,” but one to declare that no valid contractual obligations ever existed.

We thus conclude that the Appellate Division correctly granted the landlord’s request for a declaratory judgment that the agreement in suit is void. One part of the Appellate Division’s opinion, however, may cause confusion; that court said that it would “leave the parties as we find them, and . . . not place any conditions on our invalidation of the consent judgment,” observing that “the landlord and the tenants are in *pari delicto*” and that the tenants “have already reaped substantial benefits” from the agreement (39 AD3d at 257). We agree that no “conditions” on the judgment declaring the agreement void are necessary, but that does not mean that only the landlord may benefit from the judgment. The agreement is void as to both parties, and neither party is entitled to rely on it. The tenants may well have a strong claim, subject to any statute of limitations defense that may exist, to recover the excess rent they paid; they may also have a strong claim to rescind the deregulation of the apartments, if that deregulation was the result of the illegal agreement. We do not prejudge these claims except to say that, having successfully argued that the agreement was void at inception, the landlord may not invoke the agreement in its own defense.

Accordingly, the order of the Appellate Division should be affirmed with costs. The certified question is unnecessary, and need not be answered.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, etc.

[882 NE2d 389, 852 NYS2d 820]

INNOPHOS, INC., Formerly Known as PHOSPHATES ACQUISITION,
INC., Respondent, v RHODIA, S.A., et al., Appellants.

Argued January 2, 2008; decided February 12, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 22, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Ira Gammerman, J.H.O.), which had granted plaintiff's motion for partial summary judgment declaring that certain claims asserted against plaintiff constituted taxes as defined in the parties' agreement and that any guarantee required to contest these claims was defendants' responsibility. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by the decision and order of this Court, properly made?"

Innophos, Inc. v Rhodia, S.A., 38 AD3d 368, affirmed.

HEADNOTE

Indemnity — Contractual Indemnification

Defendants, who sold their phosphate producing businesses to plaintiff, were obligated by the parties' purchase and sale agreement to indemnify plaintiff for assessments later made by the Mexican government for preclosing water usage fees arising out of defendants' use of national waters pursuant to a concession granted by the Government of Mexico. The agreement, which required defendants to indemnify plaintiff for all "Taxes" assessed for periods prior to the closing date, defined "Tax or Taxes" in all-encompassing language which included "similar governmental charges." The water usage fees were "similar" to a severance tax, which is a tax imposed on the value of natural resources extracted from the earth and based on the volume of a natural resource exploited pursuant to a governmental concession. Thus, the agreement's definition of "Taxes" was sufficiently broad to encompass the water charges.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indemnity §§ 7, 13, 15.

NY JUR 2d, Contribution, Indemnity, and Subrogation
§§ 67, 70–72, 79, 103.

WILLISTON ON CONTRACTS (4th ed) § 30:15.

ANNOTATION REFERENCE

See ALR Index under Indemnity; Sale and Transfer of Property.

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Query: indemnif! /s taxes & purchase /5 agreement

POINTS OF COUNSEL

Shearman & Sterling LLP, New York City (*Richard F. Schwed* of counsel), for appellants. I. The Comision Nacional del Agua claims do not fall within the definition of “taxes.” (*Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Corhill Corp. v S.D. Plants, Inc.*, 9 NY2d 595; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Matter of Riefberg*, 58 NY2d 134; *Popkin v Security Mut. Ins. Co. of N.Y.*, 48 AD2d 46; *SR Intl. Bus. Ins. Co. Ltd. v World Trade Ctr. Props., LLC*, 445 F Supp 2d 320; *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Kef-feler*, 537 US 371; 242-44 E. 77th St., LLC *v Greater N.Y. Mut. Ins. Co.*, 31 AD3d 100; *People v Illardo*, 48 NY2d 408.) II. The purchase and sale agreement as a whole demonstrates that the water bills are not “taxes.” (*Rooney v Slomowitz*, 11 AD3d 864; *150 Broadway N.Y. Assoc., L.P. v Bodner*, 14 AD3d 1; *Pearce, Urstadt, Mayer & Greer Realty Corp. v Atrium Dev. Assoc.*, 77 NY2d 490.) III. At a minimum, the agreement is ambiguous and discovery is necessary. (*Federal Ins. Co. v Americas Ins. Co.*, 258 AD2d 39.)

Kirkland & Ellis LLP, Washington, D.C. (*Christopher Landau*, *Jeffrey S. Powell*, *Andrew B. Kay* and *Angela M. Butcher* of counsel), and *Kirkland & Ellis LLP*, New York City (*Peter A. Bellacosa* of counsel), for respondent. I. The lower courts correctly concluded that the Comision Nacional del Agua claims are “taxes” under the purchase and sale agreement. (*God’s Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371; *Greater N.Y. Mut. Ins. Co. v Mutual Mar. Off.*, 3 AD3d 44; *Harris S.A. De C.V. v Grupo Sistemas Integrales De Telecomunicacion S.A. De C.V.*, 279 AD2d 263; *Wyoming v Oklahoma*, 502 US 437; *Commonwealth Edison Co. v Montana*, 453 US 609; *World Wide Mins., Ltd. v Republic of Kazakhstan*, 296 F3d 1154; *International Assn. of Machinists & Aerospace Workers, [IAM] v Organization of Petroleum Exporting Countries [OPEC]*, 649 F2d 1354; *Rush-Presbyterian-St. Luke’s Med. Ctr. v Hellenic Republic*, 877 F2d 574; *MOL, Inc. v Peoples Republic of Bangladesh*, 736 F2d 1326; *State Univ. of N.Y. v Patterson*, 42 AD2d 328.) II. The lower courts correctly concluded that discovery is unwarranted. (*Ruttenberg v Davidge Data Sys. Corp.*, 215 AD2d

191; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Evans v Famous Music Corp.*, 1 NY3d 452; *Janos v Peck*, 21 AD2d 529; *A.H.A. Gen. Constr. v New York City Hous. Auth.*, 92 NY2d 20; *Wald v Marine Midland Bus. Loans*, 270 AD2d 73; *Masciotta v Morse Diesel Intl.*, 303 AD2d 309; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.)

OPINION OF THE COURT

CIPARICK, J.

Defendants are a group of related companies that were in the business of producing and selling phosphate products from various locations in Canada, Mexico and the U.S. In early 2004, an agency of the Government of Mexico, the Comision Nacional del Agua (National Water Commission [CNA]), began an audit of the water usage of defendants' operation in Mexico—Rhodia Fosfatados de Mexico, S.A. de C.V. In March 2004, the CNA sent a letter to Rhodia Fosfatados's legal representative in Mexico that advised the company of the audit and requested information and documentation regarding the company's "use [of] national surface or underground waters" pursuant to a concession the Government of Mexico granted to the company. This letter also alleged that Rhodia Fosfatados had not properly fulfilled its fee obligations for the use or utilization of national waters.

In June 2004, plaintiff Innophos, Inc., formerly Phosphates Acquisition, Inc., and defendants entered into a comprehensive, 76-page purchase and sale agreement in which plaintiff acquired Rhodia Fosfatados and defendants' other operations for a purchase price of over \$530 million. At this time, plaintiff was apparently unaware of the ongoing CNA audit or the possibility that it might be charged for past-due fees owed to the CNA, as defendants had not disclosed the audit during negotiations.

The agreement provides, in article VII, that defendants are obligated to "indemnify and hold [plaintiff] harmless against . . . Taxes of the Mexican Subsidiaries with respect to any taxable period (or portion thereof) that ends on or before the Closing Date" for all amounts. The agreement defines "Tax or Taxes" as:

"all . . . United States federal, state or local or non-United States taxes, assessments, charges, duties, levies or other similar governmental charges of any

nature, including all income, gross receipts, employment, franchise, profits, capital gains, capital stock, transfer, sales, use, occupation, property, excise, severance, windfall profits, stamp, stamp duty reserve, license, payroll, withholding, ad valorem, value added, alternative minimum, environmental, customs, social security (or similar), unemployment, sick pay, disability, registration and other taxes, assessments, charges, duties, fees, levies or other similar governmental charges of any kind whatsoever, whether disputed or not, together with all estimated taxes, deficiency assessments, additions to tax, penalties and interest.”

The agreement further provides, in article IX, that plaintiff “shall be indemnified and held harmless . . . for any and all [Losses], actually suffered or incurred by [plaintiff] arising out of or resulting from” the breach of any representation or warranty made in the agreement. The indemnification for “Losses” is subject to a deductible and a cap of \$15.9 million and \$79.5 million respectively.

On August 13, 2004, the deal formally closed. Two months later, as a result of the audit, the CNA issued several resolutions that ordered plaintiff—as successor-in-interest to Rhodia Fosfatados—to pay outstanding preclosing water usage fees in excess of \$130 million* for the years 1998 through 2002. Plaintiff demanded that defendants indemnify it for the outstanding fees pursuant to articles VII and IX of the agreement. Defendants declined to indemnify plaintiff pursuant to article VII, but agreed to assume the defense and control of the CNA claims as “Losses,” pursuant to article IX of the agreement, liability for which, if any, would be subject to the deductible and cap.

Plaintiff thereafter commenced this breach of contract action and subsequently moved for partial summary judgment, seeking a declaration that the CNA fees are “Taxes,” as defined in the agreement. Supreme Court granted plaintiff’s motion and held that the CNA fees “constitute taxes, as such term is defined in the purchase agreement . . . [, which] doesn’t confine itself to what we would think of as taxes in the classic sense.”

* The outstanding water usage fees are actually now said to be in the range of \$20 million to \$30 million.

The Appellate Division, with one Justice dissenting in part, affirmed and opined that “the parties were involved in a sophisticated, multimillion dollar business transaction . . . [in which t]hey chose to define the term ‘Tax or Taxes’ with broad, sweeping language . . . [that] cover[s] the government assessment at issue” (38 AD3d 368, 369 [2007]). The Appellate Division concluded that “[i]t is virtually impossible for us to imagine how two sophisticated parties could have made the language any more sweeping than it is” (*id.* at 370). The Appellate Division granted leave to appeal to this Court and certified the following question: “Was the order of the Supreme Court, as affirmed by the decision and order of this Court, properly made?” We answer that question in the affirmative and, therefore, affirm the Appellate Division’s order.

The issue here is whether the CNA charges are “Taxes,” for which defendants must fully indemnify plaintiff, or “Losses,” which are subject to the cap and deductible, as those terms are understood in the agreement. We have stated previously that “[t]he fundamental, neutral precept of contract interpretation is that agreements are construed in accord with the parties’ intent[, and that t]he best evidence of what parties to a written agreement intend is what they say in their writing” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002] [citations and internal quotation marks omitted]). “Extrinsic evidence of the parties’ intent may be considered only if the agreement is ambiguous, which is an issue of law for the courts to decide” (*id.* [citation omitted]).

Defendants characterize the CNA fees as simply a “water bill” for the purchase of a commodity from the Government of Mexico that is acting in a proprietary capacity, and not in a governmental capacity. As such, defendants contend that the fees do not fall under the agreement’s definition of “Taxes” because a “water bill” is not similar to any of the governmental charges enumerated in the agreement. Defendants further contend that the lower courts’ interpretation of the agreement renders language in the agreement, which requires indemnification subject to a deductible and cap for certain consequences of government action, superfluous because under the courts’ interpretation any governmental charge would be considered a “Tax.” At best, defendants assert that the agreement is ambiguous and discovery is necessary.

On the other hand, plaintiff asserts that the governmental charges set forth in the agreement’s definition of “Taxes”

are all charges that involve a governmental exercise of sovereign, rather than of proprietary authority. Plaintiff submits that the CNA fees were assessed by the Government of Mexico in its sovereign capacity, and, as such, they are “similar” to the examples listed in the definition, particularly to a severance tax. We agree with plaintiff that the CNA fees are “similar,” though not identical, to a severance tax. Black’s Law Dictionary defines a “severance tax” as “[a] tax imposed on the value of . . . natural resources extracted from the earth” (Black’s Law Dictionary 1499 [8th ed 2004]). A severance tax is based on the volume of a natural resource exploited pursuant to a governmental concession (*see Wyoming v Oklahoma*, 502 US 437, 442 [1992]).

Both plaintiff’s and defendants’ experts agree that Mexico’s Constitution vests ownership over natural resources, including the water at issue here, in the Mexican State. As defendants’ expert affidavit acknowledged, “[w]ater is an asset of the public domain of the Nation . . . [and i]f a private person desires to use or exploit such . . . resources, it must secure a concession . . . [, the fees for which are] calculated in accordance with the volume of water used.” Thus, under the Constitution of Mexico, water is a state-owned natural resource that is regulated by the government in its capacity as a sovereign, and the exploitation of such is only through the granting of a concession. Further, the CNA determined the usage fees by calculating the volume of water extracted from a river and a lagoon connected to the Gulf of Mexico. Hence, the CNA water usage fees are “Taxes,” as that term is defined in the agreement, because they are a “similar governmental charge”—like a severance tax.

In conclusion, no ambiguity exists in this comprehensive agreement, and, as such, it is unnecessary for us to resort to extrinsic evidence to determine the agreement’s meaning. The CNA water fees are “similar governmental charges,” as defined in the agreement, assessed by the Government of Mexico in its capacity as sovereign for the exploitation of a natural resource, here water from its rivers and lagoons, pursuant to a concession. Therefore, applying settled principles of contract interpretation, we conclude that the agreement’s definition of “Taxes” is sufficiently broad to encompass the CNA water charges. Plaintiff should be indemnified pursuant to article VII of the parties’ agreement, and partial summary judgment was properly awarded.

Defendants' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

[882 NE2d 381, 852 NYS2d 812]

THE INSURANCE COMPANY OF THE STATE OF PENNSYLVANIA, Respondent, v HSBC BANK USA, Appellant.

Argued January 10, 2008; decided February 12, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 15, 2007. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Charles E. Ramos, J.), to the extent that it had granted plaintiff's motion for summary judgment as to liability and denied defendant's motion for summary judgment dismissing the complaint. The Appellate Division otherwise modified the order of Supreme Court by granting that aspect of defendant's motion which sought summary judgment dismissing the fifth cause of action and dismissing that cause of action. The following question was certified by the Appellate Division: "Was the decision and order of this Court, which modified the order of the Supreme Court, properly made?"

Insurance Co. of State of Pa. v HSBC Bank USA, 37 AD3d 251, reversed.

HEADNOTE

Judgments — Res Judicata — Effect of Bankruptcy Court Order Allowing Creditor to Seize Debtor's Bank Account — Claim against Creditor for Misappropriating Tax Trust Funds Kept in Account

In an action by plaintiff, as subrogee of the State of New York, to recover state tax revenue that had been held in the bank account of a bankrupt licensed cigarette wholesaler and seized by defendant bank, a creditor of the wholesaler, the Bankruptcy Court order allowing defendant to seize the account was entitled to res judicata effect. Plaintiff and its subrogor had notice of the bankruptcy action but failed to inform the Bankruptcy Court that the wholesaler was in possession of tax trust funds, which caused the court to treat the monies as part of the wholesaler's collateral available to satisfy creditors. Although defendant's alleged misappropriation occurred after the Bankruptcy Court issued its decision allowing defendant to seize the account, the issue of who was entitled to the money in the account was central to the bankruptcy proceeding, and the Bankruptcy Court was the proper forum for adjudicating that question. Plaintiff and its subrogor had a full and fair opportunity to litigate the matter in Bankruptcy Court, but chose not to do so.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Bankruptcy § 3161; AM JUR 2d, Judgments §§ 473, 475, 582.

CARMODY-WAIT 2d, Judgments §§ 63:464, 63:465, 63:512,
63:513, 63:581.
NY JUR 2d, Judgments §§ 328–335, 428, 430, 434.
SIEGEL, NY PRAC §§ 442, 447.

ANNOTATION REFERENCE

See ALR Index under Bankruptcy and Insolvency; Res
Judicata; Taxes.

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Query: res /2 judicata /s bankruptcy /2 court /p tax

POINTS OF COUNSEL

Phillips Lytle LLP, New York City (*David J. McNamara* and *Patricia A. Mancabelli* of counsel), for appellant. I. The First Department erred in finding that the Insurance Company of the State of Pennsylvania's claims are not barred by res judicata even though they constitute an impermissible collateral attack on the Bankruptcy Court's jurisdiction and prior orders. (*O'Brien v City of Syracuse*, 54 NY2d 353; *Matter of Hunter*, 4 NY3d 260; *Winkler v Weiss*, 294 AD2d 428; *Katchen v Landy*, 382 US 323; *Weiss v Hagopian*, 251 AD2d 400; *Firedoor Corp. of Am. v Merlin Indus.*, 86 AD2d 577; *EDP Med. Computer Sys., Inc. v United States*, 480 F3d 621; *Matter of Baudoin*, 981 F2d 736; *Langenkamp v Culp*, 498 US 42; *Granfinanciera, S. A. v Nordberg*, 492 US 33.) II. The First Department erred because questions of fact preclude summary judgment in the Insurance Company of the State of Pennsylvania's favor. (*Securities & Exch. Commn. v American Bd. of Trade, Inc.*, 654 F Supp 361; *Independent Coal & Coke Co. v United States*, 274 US 640; *Martin v Briggs*, 235 AD2d 192; *Dwyer v Mazzola*, 171 AD2d 726; *Air Traffic Conference v Downtown Travel Ctr.*, 87 Misc 2d 151.)

D'Amato & Lynch, LLP, New York City (*Ronald H. Alenstein* and *Edward M. Roth* of counsel), for respondent. I. The decision below is not a collateral attack on any order of the Bankruptcy Court. (*Matter of Hunter*, 4 NY3d 260; *Dezer Entertainment Concepts, Inc. v City of New York*, 8 AD3d 37; *Lincoln First Commercial Corp. v New York State Tax Commn.*, 136 Misc 2d 478; *In re Brown*, 734 F2d 119; *Old Stone Bank v Tycon I Bldg. Ltd. Partnership*, 946 F2d 271; *Eastern Mins. & Chems. Co. v Mahan*, 225 F3d 330; *EDP Med. Computer Sys.*,

Inc. v United States., 480 F3d 621; *Matter of Hamptons Hosp. & Med. Ctr. v Moore*, 52 NY2d 88; *Matter of Leisten v McCall*, 285 AD2d 897; *Matter of Haber Oil Co., Inc.*, 12 F3d 426.) II. No issues of fact preclude a finding of summary judgment for the Insurance Company of the State of Pennsylvania on the issue of liability. (*People v Gruttola*, 43 NY2d 116; *A.C. Transp. v Board of Educ. of City of N.Y.*, 253 AD2d 330; *815 Park Ave. Owners v Fireman's Ins. Co. of Washington, D.C.*, 225 AD2d 350; *Air Traffic Conference v Downtown Travel Ctr.*, 87 Misc 2d 151.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case to decide whether a Bankruptcy Court order allowing a creditor to seize a debtor's bank account is entitled to res judicata effect in a subsequent state proceeding alleging that a portion of the funds in the account were state tax proceeds that should not have been part of the bankruptcy estate. Because plaintiff and its subrogor had notice of the bankruptcy action and failed to alert the court that the funds at issue were tax receipts held in trust, we conclude that plaintiff cannot now challenge defendant's court-approved seizure of the funds.

I

Herkimer Wholesale Company, Inc. was a distributor of cigarettes and other goods. In order to sell cigarettes, Herkimer had to affix each package with a cigarette tax stamp obtained from the State of New York (*see* Tax Law § 471 [2]). As a licensed tax stamp agent, Herkimer purchased stamps directly from the State, either by cash payment or on credit, and later collected the taxes when it sold the cigarettes (*see* Tax Law § 472 [1]). Herkimer usually bought tax stamps on credit and was required to remit the taxes to the State within 30 days after purchasing the stamps. State law provides that any tax proceeds obtained by a licensed agent from the sale of cigarettes are to be held in trust for the State and such monies are not the property of the agent (*see* 20 NYCRR 532.2 [a], [b]). Herkimer also had to post a bond as security for unpaid stamps (*see* Tax Law § 472 [1]). To satisfy this requirement, Herkimer obtained a \$2.2 million bond issued by plaintiff the Insurance Company of the State of Pennsylvania (ICSP).

In 1996, Herkimer restructured a business loan with defendant HSBC Bank USA (HSBC¹) and gave the bank a first priority security interest in all of its property. HSBC declared Herkimer in default of the loan in November 1997 and the bank commenced an action in state Supreme Court to collect on the loan and security agreement.

A short time later, several of Herkimer's unsecured creditors initiated a chapter 7 involuntary bankruptcy proceeding in federal Bankruptcy Court. This automatically stayed HSBC's attempt to foreclose on Herkimer's assets in state court. HSBC therefore intervened in the bankruptcy proceeding and obtained an order that prohibited Herkimer from transferring any of its property except in the ordinary course of business. The Bankruptcy Court also ordered that Herkimer's cash assets be deposited with HSBC in a "cash collateral account."

In an effort to save its business, Herkimer persuaded the Bankruptcy Court to convert the chapter 7 liquidation action into a chapter 11 reorganization proceeding. In November 1997, Herkimer filed a list of its 20 largest unsecured creditors with the court, identifying the State of New York as its largest unsecured creditor (Herkimer owed the State approximately \$2 million in cigarette stamp taxes). This characterization was erroneous, however, because the taxes collected by Herkimer were being held in trust for the State (*see* 20 NYCRR 532.2 [b]) and should not have been part of Herkimer's bankruptcy estate (*see* 11 USC § 541 [d]; *Begier v IRS*, 496 US 53, 59 [1990] ["Because the debtor does not own an equitable interest in property he holds in trust for another, that interest is not 'property of the estate' " in a bankruptcy proceeding]).

ICSP soon became aware of the tax deficiency and informed the State that Herkimer's bond was cancelled. The bond issuer also asked the State not to provide Herkimer with additional tax stamps on credit. Thereafter, Herkimer received tax stamps only if it paid the State cash.

An agreement was eventually reached between Herkimer, HSBC and some of the unsecured creditors that allowed Herkimer to continue operating its business as a "debtor-in-possession." The Bankruptcy Court approved the arrangement, directing that the cash collateral account be held jointly by

1. The original loans and restructured agreement were actually issued by Marine Midland Bank, a predecessor of HSBC, but for purposes of this opinion, we make no distinction between these financial institutions.

Herkimer and HSBC, subject to HSBC's "continuing first priority security interest" in the funds. The court also allowed monies in the collateral account to be transferred to a debtor-in-possession account to meet Herkimer's ordinary business expenses.

Herkimer then requested that the State Department of Taxation and Finance advise HSBC whether the bank could obtain a security interest in Herkimer's cigarette inventory or unused tax stamps. The Department informed HSBC that it would be unable to "acquire a secured interest in cigarette tax stamps whether affixed to cigarettes or not" because only licensed tax stamp agents, like Herkimer, may serve as the State's "fiduciaries and [they] must account to the State for any unused or unpaid for stamps." The Department cited *Lincoln First Commercial Corp. v New York State Tax Commn.* (136 Misc 2d 478 [Sup Ct, NY County 1987]), which held that a private entity could not obtain a security interest in an "account which includes the proceeds of the sale of tax stamps" because such funds belong to the government, not the agent that holds them (*id.* at 480-481).

This precipitated the filing of a proof of claim in Bankruptcy Court by the State of New York in December 1997 for approximately \$2.2 million, representing unpaid cigarette taxes, penalties and interest. Although the State requested priority status for its claim, it incorrectly described the money Herkimer owed as a "debt" rather than as sovereign tax revenue being held in trust by the State's agent.

The State also sought to recover \$2.2 million from ICSP—the maximum exposure on the bond. ICSP filed its own contingent proof of claim in the bankruptcy proceeding in February 1998. This claim similarly indicated that the money owed was premised on unpaid taxes but designated the claim as unsecured and nonpriority. Because the State and ICSP never informed Bankruptcy Court that the tax proceeds were being held in trust by Herkimer and should have been excluded from the bankruptcy estate, the court continued to treat the monies as the property of Herkimer subject to creditors' claims.

Despite its attempts to emerge from bankruptcy, Herkimer became unable to comply with the debtor-in-possession arrangement and had to surrender all of its collateral. The Bankruptcy Court issued an order dissolving the stay and, since HSBC's secured claim had priority over the other unsecured creditor

claims and the value of Herkimer's property was less than the total indebtedness owed to the bank, the court permitted HSBC to foreclose on all of Herkimer's collateral. HSBC did so, transferring more than \$4 million from Herkimer's collateral account to itself, including the funds derived from cigarette taxes collected by Herkimer on the State's behalf. Neither the State nor ICSP objected to this liquidation and, ultimately, the case was reconverted into a chapter 7 proceeding. HSBC also foreclosed on Herkimer's inventory of cigarettes and sold them with the State's permission, retaining the proceeds.²

In the meantime, ICSP continued to refuse to honor the State's demand on Herkimer's bond. This resulted in the State commencing an action against ICSP in state Supreme Court in December 2000 to enforce the guaranty. ICSP asserted as a defense that its rights as a subrogee had been impaired by the State's failure to advise the Bankruptcy Court that the tax stamp revenue in Herkimer's possession was sovereign property distinct from the assets available to creditors. ICSP also initiated a third-party action against HSBC for allegedly misappropriating the tax proceeds with knowledge that these funds were being held in trust and were excludable from Herkimer's estate. Supreme Court granted summary judgment to the State on the bond claim and to HSBC on the third-party complaint. The Appellate Division affirmed, explaining that the third-party action was premature because ICSP had not paid on the bond and, thus, had not yet acquired subrogee status (*see State of New York v Insurance Co. of State of Pa.*, 305 AD2d 916 [3d Dept 2003], *lv denied* 1 NY3d 502 [2003]).

In light of this judicial determination, ICSP paid on the bond, satisfying the taxes, penalties and interest owed to the State, and then initiated this lawsuit against HSBC in February 2004. Among other defenses, HSBC asserted that *res judicata* barred the relief sought in this action because neither the State nor ICSP had informed the Bankruptcy Court that Herkimer was in possession of tax trust funds, which caused the court to treat the monies as part of Herkimer's collateral available to satisfy creditors. Both parties moved for summary judgment and Supreme Court granted ICSP's motion as to liability. The Appellate Division, with one Justice dissenting in part, modified by dismissing one cause of action but otherwise affirmed, rejecting

2. Even after Herkimer's property was sold, HSBC was left with an uncollectible deficiency of more than \$3 million.

HSBC's res judicata defense. The court later granted leave to appeal to this Court and certified the following question: "Was the decision and order of this Court, which modified the order of the Supreme Court, properly made?" We answer the question in the negative, reverse the order of the Appellate Division and grant HSBC's motion for summary judgment dismissing the complaint in its entirety.

II

The doctrine of res judicata, or claim preclusion, is designed to "relieve parties of the cost and vexation of multiple lawsuits, conserve judicial resources, and, by preventing inconsistent decisions, encourage reliance on adjudication" (*Allen v McCurry*, 449 US 90, 94 [1980]).³ In federal court, subsequent litigation is prohibited if a prior court ruling " 'was (1) a final judgment on the merits, (2) by a court of competent jurisdiction, (3) in a case involving the same parties or their privies, and (4) involving the same cause of action' " (*EDP Med. Computer Sys., Inc. v United States*, 480 F3d 621, 624 [2d Cir 2007], quoting *In re Teltronics Servs., Inc.*, 762 F2d 185, 190 [2d Cir 1985]). Res judicata "applies with full force to matters decided by the bankruptcy courts . . . in a Chapter 7 liquidation where it is desirable that matters be resolved as expeditiously and economically as possible" (*EDP Med. Computer Sys., Inc. v United States*, 480 F3d at 624-625).

The dispute in this case primarily concerns the fourth element—whether ICSP has raised the same causes of action that were at issue in the bankruptcy proceeding. ICSP argues that it has not because HSBC's alleged misappropriation occurred after the Bankruptcy Court issued its decision dissolving the stay and allowing HSBC to foreclose the collateral bank account. Thus, ICSP contends, the propriety of HSBC's conduct could

3. We cite federal cases for the general contours of the doctrine because there are authorities suggesting that a court should apply the rules of res judicata followed in the jurisdiction that rendered the earlier court decision (see e.g. *Marrese v American Academy of Orthopaedic Surgeons*, 470 US 373, 380-381 [1985]; *Langerman v Langerman*, 303 NY 465, 474 [1952]; Siegel, NY Prac § 471, at 798-799 [4th ed]; Restatement [Second] of Conflict of Laws § 95, Comment e). Our State's "transactional" approach to res judicata is arguably broader than the principles adopted by the federal courts (see e.g. *Matter of Josey v Goord*, 9 NY3d 386, 389 [2007]; *Matter of Hunter*, 4 NY3d 260, 269 [2005]). Because we conclude that the federal law of res judicata precludes ICSP's claims, it is unnecessary for us to determine the extent to which New York principles may be relevant to the claim preclusion analysis in a case such as this.

not have been decided by the Bankruptcy Court. This assertion is unavailing.

Federal res judicata law applies to not only issues actually litigated, but also to “issues that . . . could have been raised” in the prior action (*Federated Department Stores, Inc. v Moitie*, 452 US 394, 398 [1981]) and “any other admissible matter which might have been offered” for the purpose of “sustain[ing] or defeat[ing] the claim or demand” at issue in the earlier proceeding (*Commissioner v Sunnen*, 333 US 591, 597 [1948] [internal quotation marks omitted]). In our view, the same issue that was central to the bankruptcy proceeding is also of paramount importance in this appeal: what claimant was entitled to the money that was in Herkimer’s collateral account? The Bankruptcy Court was undoubtedly the proper forum for adjudicating that question (*see generally Matter of Quality Holstein Leasing*, 752 F2d 1009, 1013-1014 [5th Cir 1985]). Indeed, deciding who is entitled to the property of an insolvent debtor is a central function of a bankruptcy court. Significantly, no new facts beyond those that were available in Bankruptcy Court are needed to determine the answer in this case (*cf. In re Teltronics Servs., Inc.*, 762 F2d at 193).

It is readily apparent (as ICSP admits) that neither the State nor ICSP—both of which formally intervened in the bankruptcy action—submitted proper claims to the Bankruptcy Court indicating that Herkimer’s bank account included tax proceeds that were the sovereign property of the State of New York and, hence, were not available to satisfy creditors’ claims against Herkimer’s assets. Doing so certainly would not have been burdensome since the State simply had to declare that its money was being held in trust by Herkimer, or ICSP could have checked a box on its claim form indicating that the funds should be prioritized as tax proceeds owed to the state government. No excuse has been offered for this oversight and ICSP, as the State’s subrogee that stood by while the other parties involved in the bankruptcy treated the funds as Herkimer’s property, must bear the brunt of the neglect (*cf. EDP Med. Computer Sys., Inc. v United States*, 480 F3d at 627). And because the Bankruptcy Court was not asked to segregate the tax funds in the account, the court was within its power to treat the monies as assets of Herkimer’s estate for distribution on HSBC’s secured claim (*see generally Matter of Haber Oil Co., Inc.*, 12 F3d 426, 437 [5th Cir 1994]; *In re Black & Geddes, Inc.*, 58 BR

547, 552-554 [SD NY 1983]).⁴ Consequently, the causes of action alleged in ICSP's complaint are barred by res judicata because almost a decade ago the State and ICSP had a full and fair opportunity to litigate the matter in Bankruptcy Court but chose not to do so.⁵

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, defendant's motion to dismiss the complaint in its entirety granted and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, with costs, defendant's motion for summary judgment dismissing the complaint in its entirety granted and certified question answered in the negative.

4. For this reason, we reject ICSP's argument that the Bankruptcy Court's order allowing HSBC to foreclose on the bank account had no effect on the status of the tax proceeds because the order applied only to "collateral." Although it is true that tax proceeds cannot be collateral because they are not the property of the debtor, that fact is irrelevant here because all legal conclusions—whether erroneous or correct—are treated identically for purposes of res judicata (see e.g. *Federated Department Stores, Inc. v Moitie*, 452 US at 398) and the Bankruptcy Court's treatment of the funds in Herkimer's account as the company's property went unchallenged.

5. In light of our determination, HSBC's additional argument in favor of reversal is academic.

[882 NE2d 386, 852 NYS2d 817]

In the Matter of SHELTON JOHNSON, Respondent, v NEW YORK
CITY DEPARTMENT OF ENVIRONMENTAL PROTECTION et al.,
Appellants.

Argued January 3, 2008; decided February 12, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 9, 2006. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, New York County (Leland DeGrasse, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition to the extent of annulling and vacating respondents' determination that petitioner had forfeited his employment with the New York City Department of Environmental Protection (DEP); (2) ordered respondent DEP to pay petitioner \$24,941.60, subject to all lawful payroll deductions, representing back pay earnings due to lost overtime and weekend differentials from the date petitioner ceased employment at DEP pursuant to respondents' determination to the date petitioner was restored to employment at DEP, plus prejudgment interest; (3) ordered that respondents credit petitioner with the sick leave and annual leave that petitioner would have accrued during such period; (4) awarded petitioner costs in the proceeding, but not costs upon the appeal; and (5) denied the petition insofar as it sought reinstatement to petitioner's former position at a specific location.

The appeal brings up for review a prior nonfinal order of that Appellate Division, entered May 18, 2004 (7 AD3d 383). The Appellate Division had (1) reversed, on the law, a judgment of the same Supreme Court (op 2003 NY Slip Op 30140[U]) which had dismissed the petition; (2) granted the petition to the extent of annulling and vacating respondents' determination; and (3) remanded the matter for further proceedings.

Matter of Johnson v New York City Dept. of Env'tl. Protection, 34 AD3d 241, affirmed.

HEADNOTE

Civil Service — Termination of Employment — Automatic Forfeiture of Employment for Committing Fraud upon New York City

Petitioner's plea of guilty to criminal possession of a forged instrument in the third degree (Penal Law § 170.20) after he was found in possession of a

forged New York City Department of Environmental Protection (DEP) placard and shield, standing alone and without a factual inquiry, was insufficient to support respondents' summary dismissal of petitioner under NY City Charter § 1116 (a) from his position as a DEP construction laborer. A city employee who commits a "fraud upon the city" automatically forfeits his or her employment under section 1116 (a). It is not necessary that, on its face, the Penal Law section under which the employee is convicted provide that the City of New York must be the victim of the fraud. Where the City is, in fact, the victim of the fraud, the automatic termination sanction of section 1116 (a) should follow from conviction. Here, however, there was no record evidence that petitioner, in pleading guilty to a violation of section 170.20, admitted to possessing a forged DEP placard or shield so as to fall within the "fraud upon the city" requirement. A factual inquiry into petitioner's conviction need only have consisted of ascertaining the facts upon which the plea was based or other substantial evidence to support the contention that petitioner's conviction was for conduct falling within the proscribed activities of section 1116 (a).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 63–65, 68.

NY JUR 2d, Civil Servants and Other Public Officers and
Employees §§ 501, 506, 507.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Forgery.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Stephen J. McGrath, Leonard Koerner, Spencer Fisher, Eric Eichenholtz and Ellen Ravitch of counsel), for appellants. The record in this proceeding establishes that petitioner, upon his conviction for criminal possession of a forged instrument in the third degree, forfeited his employment with the City of New York pursuant to New York City Charter § 1116 (a). (*Matter of Duffy v Ward*, 81 NY2d 127; *Matter of Maldarelli v Doherty*, 7 AD3d 384, 4 NY3d 703; *Matter of Bowman v Kerik*, 271 AD2d 225; *Matter of Segars v City of Buffalo*, 237 AD2d 910; *People v Kane*, 161 NY 380; *Matter of Ferdinand v Moses*, 262 App Div 1001, 287 NY 854; *Matter of DePaolo v Bronstein*, 45 AD2d 691, 35 NY2d 642; *Matter of Briggins v McGuire*, 67 NY2d 965, 479 US 930; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498; *Matter of Finegan v Cohen*, 275 NY 432.)

Schwartz, Lichten & Bright, PC., New York City (*Stuart Lichten* of counsel), for respondent. I. A permanent appointee cannot be summarily discharged upon conviction of a misdemeanor which does not necessarily constitute a fraud upon the City of New York. (*Matter of Duffy v Ward*, 81 NY2d 127; *Matter of Foley v Bratton*, 92 NY2d 781; *People v Seeber*, 4 NY3d 780; *People v Cepeda*, 29 AD3d 491, 7 NY3d 810; *Matter of Ferdinand v Moses*, 262 App Div 1001.) II. The plain language of New York City Charter § 1116 (a) prescribes the penalty of forfeiture only for conviction under the statute. (*People v Miller*, 248 AD2d 404; *People v Kane*, 161 NY 380; *People v Engel*, 200 Misc 60; *Matter of Maldarelli v Doherty*, 7 AD3d 384, 4 NY3d 703.) III. Appellants have waived their right to discharge Shelton Johnson for this conviction.

OPINION OF THE COURT

FIGOTT, J.

In 1993, respondent New York City Department of Environmental Protection (DEP) hired petitioner as a construction laborer, a competitive class position in the New York City civil service. In January 2003, petitioner was arrested for allegedly stealing DVDs from a video store. Upon his arrest, police searched petitioner's car and discovered a forged DEP placard and shield. Petitioner was charged with, among other things, two counts of criminal possession of a forged instrument in the second degree. Two weeks later, petitioner pleaded guilty to one count of criminal possession of a forged instrument in the third degree (Penal Law § 170.20), a class A misdemeanor, in satisfaction of all charges. He was sentenced to a conditional discharge and the imposition of a \$500 fine.

Upon learning of petitioner's guilty plea, DEP obtained a copy of the criminal complaint and certificate of disposition, the latter which merely set forth the charge to which petitioner pleaded guilty but contained no factual basis for the plea; DEP also met with petitioner to discuss the criminal charges and his plea. After the meeting, DEP notified petitioner that, because he had pleaded guilty to the crime of criminal possession of a forged instrument in the third degree, he automatically forfeited his employment pursuant to NY City Charter § 1116 (a). That section provides that:

“Any . . . officer or employee of the city who shall wilfully violate or evade any provision of law relating to such officer's office or employment, or com-

mit any fraud upon the city, or convert any of the public property to such officer's own use, or knowingly permit any other person so to convert it . . . shall be deemed guilty of a misdemeanor and in addition to the penalties imposed by law and on conviction shall forfeit such office or employment, and be excluded forever after from receiving or holding any office or employment under the city government" (NY City Charter § 1116 [a]).

Petitioner thereafter commenced this CPLR article 78 proceeding against the DEP and respondent Christopher O. Ward, Commissioner of the DEP, seeking, among other things, a declaration that his termination without a formal charge or a hearing was arbitrary and capricious. Petitioner sought reinstatement, back pay and other benefits owed to him as a result of his wrongful termination. Respondents answered, asserting that pursuant to NY City Charter § 1116 (a) petitioner automatically forfeited his position upon his plea of guilty and therefore neither a formal charge nor a hearing was necessary. Supreme Court dismissed the petition, holding that petitioner's plea to violating Penal Law § 170.20 was tantamount to an admission that he committed a "fraud upon the city" within the meaning of section 1116 (a) and, therefore, respondents were not required to afford petitioner a pretermination hearing.

The Appellate Division reversed and remanded, holding that petitioner's conviction, "standing alone, without factual inquiry, does not show that petitioner perpetrated a 'fraud upon the city,' violated any law relating to his employment, or converted any city property to his own use within the meaning of section 1116" (7 AD3d 383, 384 [1st Dept 2004]). On remand, Supreme Court annulled the forfeiture determination and ordered petitioner's reinstatement with back pay. The Appellate Division affirmed that judgment (34 AD3d 241, 242 [1st Dept 2006]). Respondents' appeal to this Court brings up for review both the previous nonfinal Appellate Division order vacating respondents' decision to terminate petitioner without a hearing and the Appellate Division's affirmance of Supreme Court's order of reinstatement with back pay.

In reversing the dismissal of the petition, the Appellate Division relied on *Matter of Duffy v Ward* (81 NY2d 127, 134 [1993]), in which we held that the provision in Public Officers Law § 30 (1) (e) requiring dismissal of a public officer upon conviction of "a crime involving a violation of his [or her] oath of office"

could be applied only where “the violation is apparent from the Penal Law’s definition of the crime.” We conclude, however, that to apply the *Duffy* approach to section 1116 (a) would render the application of the charter provision so narrow that it would largely defeat its purpose. The Penal Law sections under which frauds on the City are most likely to be prosecuted—including the one at issue in this case and other sections prohibiting forgery, larceny and related crimes—do not on their face provide that the City of New York must be the victim of the fraud. Where the City is, in fact, the victim, the automatic termination sanction of section 1116 (a) should follow from conviction.

We nevertheless affirm the Appellate Division’s order because the record on which DEP relied, as presented by DEP to Supreme Court, is insufficient to establish the applicability of section 1116 (a). Petitioner was convicted of criminal possession of a forged instrument in the third degree. A person is deemed guilty of that offense “when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses a forged instrument” (Penal Law § 170.20). While it is undisputed that petitioner pleaded guilty to that crime, there is no record evidence that petitioner in so pleading admitted to possessing a forged DEP placard or shield so as to fall within the “fraud upon the city” requirement of section 1116 (a). Absent such evidence, petitioner’s conviction for that offense, standing alone and without a factual inquiry, is insufficient to support respondents’ summary dismissal of petitioner under that charter provision. We note, however, that such inquiry, under circumstances such as these, need only consist of ascertaining the facts upon which the plea was based, from the plea allocution, for example, or other substantial evidence to support the contention that petitioner’s conviction was for conduct falling within the proscribed activities of section 1116 (a).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

[883 NE2d 344, 853 NYS2d 520]

In the Matter of THOMAS J. SPOTA, District Attorney of Suffolk County, on Behalf of the UNKECHAUG INDIAN NATION, Appellant, v TINA JACKSON, Respondent.

Argued January 2, 2008; decided February 7, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 27, 2007. The Appellate Division affirmed an order of the Suffolk County Court (C. Randall Hinrichs, J.; op 2005 NY Slip Op 30198[U]), entered in a proceeding pursuant to Indian Law § 8, which, after a trial, had determined that respondent was not an intruder upon a certain portion of the lands of the Unkechaug Nation and denied the petition.

Matter of Spota v Jackson, 37 AD3d 841, reversed.

HEADNOTE

Native Americans — Intrusions on Tribal Lands — County Court Lacks Discretion to Determine Intruder Status

In a proceeding pursuant to Indian Law § 8 to determine whether to remove respondent, the non-Indian former wife of a blood-right member of the Unkechaug Indian Nation who continued to reside on the reservation with their children after her former husband moved out and transferred his interest in the reservation allotment to his brother, County Court did not have the discretion to determine, independent of the Indian nation, that respondent was not an “intruder” upon tribal land. Although Indian Law § 8 provides that the county judge “shall determine whether such person is an intruder,” it also defines intruders as “non-members” who “settle or reside” within the boundaries of recognized Indian land. As there was no dispute that respondent was not a member of the Unkechaug Nation and that she resided on a reservation allotment, she was an “intruder” within the meaning of section 8.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indians; Native Americans §§ 75, 115.
MCKINNEY'S, Indian Law § 8.
NY JUR 2d, Indians § 25.

ANNOTATION REFERENCE

See ALR Index under Indians.

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POINTS OF COUNSEL

Thomas J. Spota, District Attorney, Riverhead (Karla Lato of counsel), for appellant. The hearing court exceeded its discretion in determining respondent was not an intruder under Indian Law § 8. (*Merrion v Jicarilla Apache Tribe*, 455 US 130; *Santa Clara Pueblo v Martinez*, 436 US 49; *Matter of Grogan v Cook*, 48 AD2d 713; *Matter of Patterson v Seneca Nation*, 245 NY 433; *Matter of Woodin [Seeley]*, 141 Misc 207, *affd sub nom. Matter of Woodin*, 238 App Div 766; *Matter of Holcombe v Dimmler*, 55 AD2d 808; *Ortiz-Barraza v United States*, 512 F2d 1176; *Matter of Fischer [Checkman]*, 283 App Div 518; *Matter of Catterson v Pell*, 249 AD2d 387; *Matter of Hennessy v Dimmler*, 90 Misc 2d 523.)

Nassau/Suffolk Law Services Committee, Inc., Riverhead (Meridith Nadler, Jeffrey Seigel and Hannah Abrams of counsel), for respondent. I. The lower court correctly held that respondent was not an intruder under section 8 of the Indian Law. (*Matter of District Attorney of Suffolk County v Nelson*, 68 Misc 2d 614; *Matter of Catterson v Pell*, 249 AD2d 387; *Matter of Grogan v Cook*, 48 AD2d 713; *Matter of Hennessy v Dimmler*, 90 Misc 2d 523; *Matter of Stakel [Blueye]*, 281 App Div 183, 306 NY 679; *Matter of Fischer v Tebo*, 9 AD2d 470; *Matter of Fischer [Checkman]*, 283 App Div 518; *People v Dibble*, 16 NY 203; *Merrion v Jicarilla Apache Tribe*, 455 US 130; *Santa Clara Pueblo v Martinez*, 436 US 49.) II. New York State public policy preventing violence against persons applies to a woman who received court protection against her abusive husband. (*Matter of Stakel [Blueye]*, 306 NY 679.)

OPINION OF THE COURT

Chief Judge KAYE.

The question before us is whether Indian Law § 8 granted the County Court the discretion to determine, independent of the Indian nation, that respondent, Tina Jackson, was not an “intruder” upon tribal land. We conclude that the court did not have that discretion.

In the 1980s, George Jackson (the husband), a blood-right member of the Unkechaug Indian Nation, received an allotment of land located at 165 Poospatuck Lane on the Poospatuck

Indian reservation.¹ In 1985 he moved to the allotment with his wife, respondent Tina Jackson (the wife), a non-Indian non-tribal member, and their three sons, George Jr., Timothy and Mohammad. Under the Poospatuck tribal bylaws, she was permitted to reside on the allotment by derivative right as the spouse of a member who exercised his right to reside on an allotment on the reservation. The couple lived on the reservation between 1985 and 1988 and then moved off of the reservation for approximately 14 years.

In August 2002, the family returned to 165 Poospatuck Lane. With the assistance of the Unkechaug Tribal Council and the tribe, and at her expense, the wife substituted a trailer for her family to live in on the allotment. During the winter of 2003, she reported an instance of spousal abuse to the tribe. That same year, while the wife continued to reside on the allotment with her husband and their three sons, she took him to court to obtain child support, and had his wages garnished. In January 2004, she obtained an order of protection against him from Family Court. He moved out in early February 2004.

On February 25, 2004, after he had left the family residence, the husband effected a transfer of his interest in the allotment to his brother Glenn, who then requested a meeting with the Tribal Council to discuss “getting Tina Jackson off of my land [a]s soon as possible.” On April 12, 2005, Glenn officially asked the Council to remove the wife from the property. In early May, two Trustees of the Council by letter demanded that she vacate

1. The Unkechaug Nation, also known as the Poospatuck Indian Nation, is recognized by the State of New York (*see* Indian Law, art 10, §§ 150-153 [“The Poospatuck (Unkechaug) Indian Nation”]). For the Unkechaug, the right of occupancy on an allotment remains collectively with the tribe but must be granted to individual blood-right members unless they have been convicted of a crime, violated Poospatuck law, or deemed undesirable by a majority of tribal members (*see* Poospatuck Indian Nation Tribal Rules, Customs and Regulations).

The reasons why the tribe is not also federally recognized are discussed in the Report of Special Committee to Investigate the Indian Problem of the State of New York, Appointed by the Assembly of 1888, Transmitted to the Legislature February 1, 1889 (Whipple Report) (at 54-55; New York Indians, Hearings before a Subcommittee of the Committee on Interior and Insular Affairs on S. 1683, S. 1686, S. 1687, 80th Cong, 2d Sess, at 217 [1948]; Report with Respect to the House Resolution Authorizing the Committee on Interior and Insular Affairs to Conduct an Investigation of the Bureau of Indian Affairs, HR Rep 2503, 82d Cong, 2d Sess, at 531, 593 [1952]; *see also* Gerald Gunther, *Governmental Power and New York Indian Lands—A Reassessment of a Persistent Problem of Federal-State Relations*, 8 Buff L Rev 1, 22 n 130 [1958-1959]).

the property by June 2, 2005, or be subject to prosecution as an intruder. After she failed to leave voluntarily, six out of seven Council members authorized the District Attorney to initiate removal proceedings against her, and the present proceeding ensued.

County Court, after a hearing, concluded that although deference must be given by courts to Indian tribes, “the cases . . . make clear that courts must make a legal determination, independent of the Indian nation, as to whether or not a person is an intruder” (2005 NY Slip Op 30198[U], *2). Quoting *Matter of Hennessy v Dimmler* (90 Misc 2d 523, 526 [Onondaga County Ct 1977]), the court found that “persons who had resided on the reservation for many years were not intruders since they did not force their way onto the reservation ‘without leave or welcome’ ” (*id.*). The wife, it determined, was such a person. Moreover, as finding her an intruder “would be ordering a separation of the mother and her three sons,” then 18, 19 and 24 (*id.* at *3), and under New York law the right of support extended until a child reached the age of 21, the court concluded that her right to reside upon the allotment would continue as long as one of her blood-right member children under 21 years of age resided on the allotment. (The Jacksons’ youngest child will turn 21 in September 2008.) The Appellate Division unanimously affirmed. We now reverse.

Analysis

Titled “Intrusions on tribal lands,” Indian Law § 8 provides:

“Except as otherwise provided by law, no person shall settle or reside . . . upon any lands owned or occupied by any nation, tribe or band of Indians, except the members of such nation, tribe or band. . . . Any lease, contract or agreement in violation of this section shall be void. The county judge . . . upon complaint made to him, of a violation of this section, shall . . . take proof of the facts alleged in the complaint, and shall determine whether such person is an intruder upon the lands of such reservation.”

This appeal asks us to decide the scope of the directive that the county judge “shall determine whether such person is an intruder.” To resolve this open issue, we have examined the relevant statutes and case law, and have considered their implications with regard to the tribes’ inherent rights as quasi-

sovereign nations. We are persuaded that Indian Law § 8 was not intended to afford a court the broad discretion that was exercised here.

While not defining “intruder” in *People ex rel. Cutler v Dibble* (16 NY 203 [1857])—our sole case interpreting Indian Law § 8²—we determined that the section (then L 1821, ch 204) was an enforcement mechanism, and thus provided no margin for judicial discretion. The 1821 statute—titled “An Act respecting Intrusions on Indian Lands”—did not actually use the term “intruder,” but prohibited residence or settlement by “any person or persons, other than Indians” (L 1821, ch 204, § 1). We concluded that as part of the state’s “duties and obligations” to protect the tribes within its borders, the proceeding was intended to allow “summary removal of persons who have entered upon [Indian] lands” (16 NY at 212). “The moment the intrusion is made out, and the nature of the territory intruded upon appears, there is nothing to be tried, and nothing for the courts to determine, in respect to the right of occupancy and possession” (*id.* at 214). The United States Supreme Court affirmed (*New York ex rel. Cutler v Dibble*, 21 How [62 US] 366, 370 [1858] [the law was a “police regulation” intended to protect the bands “from imposition and intrusion”]).

In 1892, the various Indian laws respecting “intrusions” were consolidated. The directive to the county judge was incorporated (from an 1863 law [L 1863, ch 90] prohibiting nonmembers of the Tonowanda Band of Seneca Indians from residing or settling on the Tonowanda reservation), and an exception added for “as otherwise provided by law” (*see* L 1892, ch 679, adding Indian Law § 8). Although reenacted as Indian Law § 8 in 1909, amended in 1955 and again in 1957 to add, in relevant part, “in violation of this section” after “[a]ny lease, contract or agreement” the statute’s current form is otherwise unchanged from 1892 (*see* L 1892, ch 679; L 1909, ch 31; L 1955, ch 400; L 1957, ch 886).

In the 1950s, the Third and Fourth Departments of the Appellate Division divided as to the scope of discretion Indian Law § 8 allowed the county judge (*see Matter of Stakel [Blueye]*, 281

2. *People ex rel. Blacksmith v Tracy* (1 Denio 617 [1845]) determined that the decision of a county judge cannot be reviewed by mandamus, and in *People ex rel. Waldron v Soper* (7 NY 428 [1852]), we held that the court was without jurisdiction where defendants were summoned and did not appear before the county judge. Neither, however, actually interpreted the section.

App Div 183 [4th Dept 1953]; *Matter of Fischer [Checkman]*, 283 App Div 518 [3d Dept 1954]).

In *Stakel (Blueye)*, Carrie Blueye was the daughter of a Tonawanda tribal member who had married a Seneca woman. Although lineage was determined through the mother's bloodlines, Carrie Blueye had married a Tonawanda member and lived on the reservation for nearly 60 years. The tribe instituted removal proceedings after her husband died. Even assuming that the custom was to trace nationality through the maternal side, the court concluded that Carrie Blueye was not an "intruder." Finding no definition of intruder in the statute or the evidence, the court relied on the dictionary: "An intruder is said to be 'one who in any way thrusts himself in where he is not wanted'. (Webster's New International Dictionary [2d ed.].) The appellant did not force her way upon the Tonawanda Reservation without leave or welcome" (*Stakel [Blueye]*, 281 App Div at 184). In affirming, this Court chose not to adopt the Appellate Division's reasoning, relying instead on Indian Law § 9 and on evidence that written permission to reside on the reservation had been granted Carrie Blueye's mother (*see Matter of Stakel [Blueye]*, 306 NY 679, 680 [1954]).³

In *Fischer (Checkman)*, a majority of the tribal chiefs of the St. Regis Tribe of Mohawk Indians applied to the District Attorney for removal of a non-Indian married to a tribal member. Distinguishing *Stakel (Blueye)*, the court determined that "[t]he only area of open judicial inquiry lies in the right to determine whether or not there is membership in the Indian unit. There is no room left for residual judicial discretion" (*Fischer [Checkman]*, 283 App Div at 520). As the Third Department noted,

"Who is an 'intruder' in the sense of the special statutory use of that word in this section is not left to rest on mere general meaning. It is given a contextual definition. The section heading describes the section as 'Intrusions on tribal lands' but what is intended to be meant by 'intrusion' becomes immediately apparent from the opening words of prohibition. 'No person', it reads, shall 'settle or reside' on any lands owned or occupied 'by any nation, tribe

3. This definition of "intruder"—considering circumstances surrounding a person's relations with the tribe, in addition to membership or the tribe's own characterization of status—was, however, thereafter adopted as the applicable test by at least one court—Onondaga County Court in *Matter of Hennessy v Dimmler* (90 Misc 2d 523 [1977]).

or band' of Indians except 'the members of such nation, tribe or band'.

"This language makes the legislative intent explicit. It is the person not a member of the respective Indian unit who undertakes to reside on the lands who becomes an 'intruder.' It is such a person the District Attorney is required to proceed against to remove on the application of the proper Indian authorities; and it is such a person the County Judge is required to order removed. These are the 'intrusions' for which the statutory proceedings are framed" (*id.* at 519-520).

We agree with the court's reasoning in *Fischer (Checkman)*. In the first instance, a statutory term should be defined by the context of the statute rather than by the dictionary (*see Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479 [2001]). Indian Law § 8 makes clear that an "intruder" is a person not a member of the subject tribe who undertakes to reside on tribal lands.

From 1788, when the term "intruder" first appeared in treaties with the Onondagas and Oneidas, each section that used the term specified in its opening sentence the persons it covered (*see* Treaty with the Onondagas [intruder is "any person" except the Onondagas who had "come to reside or settle" on Onondaga lands⁴]; L 1821, ch 204 ["any person or persons, other than Indians" who "settle or reside upon lands belonging to or occupied by any nation or tribe of Indians"]; L 1863, ch 90, § 25 ["any Indians, other than members of the Tonawanda band"]; L 1892, ch 679, § 8 ["person(s)" who "shall settle or reside upon any lands owned . . . by any nation, tribe or band of Indians" except for its own members]).

Although the language directing that the county judge "determine whether such person is an intruder upon the lands of such reservation" was added in 1892, we conclude that it was not intended to alter the scope of the court's discretion, which was still limited to the opening definition. This conclusion is supported by the clause, present in each version, that "[a]ny lease, contract or agreement . . . shall be void," as such language would be meaningless if the tribe could, by its actions,

4. Treaty with the Onondagas, Sept. 12, 1788, in Whipple Report at 190, 191; *see also* Treaty with the Oneidas, Sept. 22, 1788, in Whipple Report at 237, 239).

“agree” to accept an outsider and change such person’s status as an “intruder.” It is further supported by the clause added in 1957, “in violation of this section,” necessarily referring back to the opening sentence of “this section.” The alternative *Stakel* (*Blueeye*) test ignores the statute’s own definition.

The definition would, moreover, be inconsistent with the sovereignty retained by the tribes.

Indian tribes are “unique aggregations” possessing whatever “attributes of sovereignty over both their members and their territory” have not been implicitly divested by their dependent status, including the right to “self-government and territorial management” (see *United States v Mazurie*, 419 US 544, 557 [1975]; *Merrion v Jicarilla Apache Tribe*, 455 US 130, 137 [1982]; see e.g. *Worcester v Georgia*, 6 Pet [31 US] 515, 580 [1832]). Essential to this retained right to “self-government and territorial management” is tribes’ power to make their own law on internal matters (see *Santa Clara Pueblo v Martinez*, 436 US 49, 55 [1978]), the right to determine membership (*Roff v Burney*, 168 US 218, 222 [1897]) and conversely, the “right to exclude” nonmembers from Indian lands (see *Merrion*, 455 US 130, 144, 185 [1982]). The right to exclude necessarily includes the “lesser power to place conditions on entry, on continued presence, or on reservation conduct” (*Merrion*, 455 US at 144).

Since at least 1843, New York has acknowledged the customs and laws of many tribal governments, including the Poospatuck, in its statutes (see Indian Law §§ 20-153; *People ex rel. La Forte v Rubin*, 98 NYS 787, 788-789 [Sup Ct, Onondaga County 1905]). In *Matter of Patterson v Seneca Nation* (245 NY 433 [1927]), we held that the question of tribal membership “must be determined by the self-governing Seneca Nation, through its council, according to Seneca laws, usages and customs” (*id.* at 446).

“[U]nless the last vestige of separate national life has been withdrawn from the Indian tribes by encroaching State legislation; then, surely, it must follow that the Seneca Nation of Indians has retained for itself that prerequisite to their self-preservation and integrity as a nation, the right to determine by whom its membership shall be constituted” (*id.* at 438).

New York courts have also generally recognized that tribal law, usages and customs not only control tribal membership but

also impact their ability to determine a nonmember's status as an "intruder" (see *Matter of Woodin [Seeley]*, 141 Misc 207 [Chautauqua County Ct 1931] [family of deceased son of member of Seneca tribe who married a non-Indian had no right of inheritance pursuant to Seneca law and were subject to removal as intruders]; *Matter of District Attorney of Suffolk County v Nelson*, 68 Misc 2d 614, 618-619 [Suffolk County Ct 1972] [adopted daughter of member of Poospatuck Nation did not become a member pursuant to tribal bylaw, therefore she and her husband were intruders upon the reservation]; *Tuscarora Nation of Indians v Swanson*, 108 Misc 2d 429, 432 [Sup Ct, Niagara County 1981] [tribal member and non-Indian husband "(we)re intruders upon plaintiff's lands as they have not shown any right to remain there, either under the tribal laws of the Tuscarora or the Onondaga Nations"])). The tribes' right to make internal substantive law, and to determine their own membership according to such law, is diminished if county courts have the discretion independently to decide who is an "intruder" on Indian lands.

In sum, Indian Law § 8 defines intruders as "non-members" who "settle or reside" within the boundaries of recognized Indian land. As there is no dispute that Tina Jackson is not a member of the Poospatuck Nation and resides on a reservation allotment, she is an "intruder" within the meaning of section 8.⁵ However unwise the application for her removal may appear to this Court, the tribe did not abrogate its own bylaws, usages and customs in determining that, following the transfer, she has no right to reside on the allotment, and County Court was therefore without discretion to dismiss the petition.

Accordingly, the order of the Appellate Division should be reversed, without costs, the petition granted, respondent declared to be an intruder on the lands of the Unkechaug Indian Nation, and the matter remitted to County Court for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

5. We note that the wife's status as an "intruder" has no bearing on her ownership of the trailer, allegedly purchased with her own funds.

[882 NE2d 882, 853 NYS2d 270]

KENNETH D. SMALLEY et al., Respondents, v THE DREYFUS CORPORATION et al., Appellants.

Argued January 10, 2008; decided February 12, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 8, 2007. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, New York County (Richard B. Lowe III, J.; op 2007 NY Slip Op 31038[U]), which had granted defendants' motion to dismiss the complaint. The modification consisted of reinstating plaintiffs' cause of action for fraudulent inducement. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

Smalley v Dreyfus Corp., 40 AD3d 99, reversed.

HEADNOTE

Fraud — Fraud in Inducement — Termination of At-Will Employment Following Merger

Plaintiffs, former at-will employees of defendants whose employment was terminated following a merger, failed to state a cause of action for fraudulent inducement to enter into and remain in the employment of defendants. Absent a constitutionally impermissible purpose, a statutory proscription or an express limitation in the individual contract of employment, an employer has the right to terminate an employment at will at any time. While plaintiffs alleged that they reasonably relied on no-merger promises in accepting and continuing employment with defendants and in eschewing other job opportunities, they alleged no injury separate and distinct from termination of their at-will employment. Absent injury independent of termination, plaintiffs could not recover damages for an alleged breach of contract in the guise of a tort.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 10, 37, 38; AM
JUR 2d, Fraud and Deceit §§ 439, 477.
NY JUR 2d, Fraud and Deceit §§ 39, 40, 44, 45, 168.
PROSSER AND KEETON, TORTS (5th ed) § 105.

ANNOTATION REFERENCE

See ALR Index under Consolidation and Merger; Fraud
and Deceit; Labor and Employment.

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POINTS OF COUNSEL

Reed Smith LLP, New York City (*Gil Feder, Paul P. Rooney* and *Lance Gotthoffer* of counsel), for appellants. I. The Appellate Division order should be reversed because a promise related to continued employment or a promise regarding a future act cannot be relied upon by an at-will employee. (*Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Tannehill v Paul Stuart, Inc.*, 226 AD2d 117; *Skillgames, LLC v Brody*, 1 AD3d 247; *Garwood v Sheen & Shine*, 175 AD2d 569; *Arias v Women in Need*, 274 AD2d 353; *O'Connor v Harbrew Imports, Ltd.*, 4 Misc 3d 1016[A], 2004 NY Slip Op 50909[U]; *Demov, Morris, Levin & Shein v Glantz*, 53 NY2d 553; *Bower v Atlis Sys.*, 182 AD2d 951; *Attas v Park E. Animal Hosp.*, 235 AD2d 246; *Stewart v Jackson & Nash*, 976 F2d 86.) II. Plaintiffs cannot masquerade their deficient breach of contract claims as fraud claims. (*Dalton v Union Bank of Switzerland*, 134 AD2d 174; *Tannehill v Paul Stuart, Inc.*, 226 AD2d 117; *Stewart v Jackson & Nash*, 976 F2d 86; *Sforza v Health Ins. Plan of Greater N.Y.*, 210 AD2d 214; *McKernin v Fanny Farmer Candy Shops*, 176 AD2d 233; *Nagle v Shearson Lehman Bros.*, 190 AD2d 568; *Arias v Women in Need*, 274 AD2d 353; *R.H. Damon & Co., Inc. v Softkey Software Prods., Inc.*, 811 F Supp 986; *Tesoro Petroleum Corp. v Holborn Oil Co.*, 108 AD2d 607; *Murphy v American Home Prods. Corp.*, 58 NY2d 293.)

The Law Offices of Neal Brickman, P.C., New York City (*Neal Brickman* and *Melinda M. Dus* of counsel), for respondents. I. Defendants intentionally misrepresented an existing fact unrelated to continued employment. (*Stewart v Jackson & Nash*, 976 F2d 86; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Tannehill v Paul Stuart, Inc.*, 226 AD2d 117; *Skillgames, LLC v Brody*, 1 AD3d 247; *O'Connor v Harbrew Imports, Ltd.*, 4 Misc 3d 1016[A], 2004 NY Slip Op 50909[U]; *Attas v Park E. Animal Hosp.*, 235 AD2d 246; *Garwood v Sheen & Shine*, 175 AD2d 569.) II. Plaintiffs set forth a well-pleaded cause of action for fraudulent inducement. (*First Nationwide Bank v 965 Amsterdam*, 212 AD2d 469; *Chase Manhattan Bank, N.A. v Perla*, 65 AD2d 207; *Backer v Lewit*, 180 AD2d 134; *Stewart v Jackson & Nash*, 976 F2d 86; *Navaretta v Group Health*, 191 AD2d 953; *Sabo v Delman*, 3 NY2d 155; *Garnier v J.C. Penney Co., Inc.*,

863 F Supp 139; *Moore v PaineWebber, Inc.*, 189 F3d 165.) III. Plaintiffs allege injury and damages that are separate and apart from damages resulting from their termination. (*Stewart v Jackson & Nash*, 976 F2d 86; *Garnier v J.C. Penney Co., Inc.*, 863 F Supp 139; *Sabo v Delman*, 3 NY2d 155; *Dalton v Union Bank of Switzerland*, 134 AD2d 174; *Sforza v Health Ins. Plan of Greater N.Y.*, 210 AD2d 214; *Nagle v Shearson Lehman Bros.*, 190 AD2d 568; *Backer v Lewit*, 180 AD2d 134; *Cole v Kobs & Draft Adv., Inc.*, 921 F Supp 220.) IV. On a motion to dismiss, the facts alleged by plaintiffs should be accepted as true and plaintiffs should be afforded all reasonable inferences therefrom. (*Rovello v Orofino Realty Co.*, 40 NY2d 633; *Melito v Interboro-Mutual Indem. Ins. Co.*, 73 AD2d 819; *Foley v D'Agostino*, 21 AD2d 60.)

OPINION OF THE COURT

Chief Judge KAYE.

Five at-will employees sued their former employer, the Dreyfus Corporation, for fraudulent inducement to enter into and remain in the employment of Dreyfus. We conclude that these plaintiffs have not stated a cause of action.

As alleged in the amended complaint, in January 2001, plaintiff Gerald Thunelius, then the director of Dreyfus' Taxable Fixed Income Group (TFIG), heard a rumor that Mellon Financial Corporation, Dreyfus' parent corporation, had made an offer to acquire the fund management company of Standish, Ayer & Wood. When asked, Dreyfus' chief executive officer (CEO) told Thunelius that no merger had occurred or was being considered. Relying on those assurances, plaintiff Martin Fetherston in December 2000 accepted employment in the TFIG. Mellon acquired Standish in March 2001. Between 2001 and 2004, Thunelius repeatedly asked Dreyfus' officers whether there were plans to merge the TFIG with Standish, and they denied any planned merger. During these years, plaintiffs Kenneth Smalley, Darlene Haut and Michael Allen allege that they accepted jobs with the TFIG in reliance on the denials by Dreyfus' officers.¹

The amended complaint continues that in April 2004, Dreyfus' CEO told the TFIG that any merger of the group into

1. Plaintiffs concede that they were at-will employees. The employment contract each plaintiff signed with Mellon stated: "I understand that such employment will be for an indefinite period and may be terminated at any time, with or without notice." None of their contracts referenced any alleged merger plans.

Standish was “off the table,” and that the group would remain intact for at least another year. By early fall 2004, merger rumors resurfaced, which at the time Dreyfus’ officers refused to confirm or deny. In late 2004, the two groups merged, and in February 2005—four years after the alleged merger discussions began—Dreyfus fired every member of the TFIG.

The five sued Dreyfus² in Supreme Court, asserting several causes of action, only one of which—fraudulent inducement—remains relevant. The court dismissed the entire complaint noting that at-will employees cannot reasonably rely upon their employers’ promises of continued employment, and that these employees failed to allege injuries apart from their termination. The Appellate Division, four-one, modified Supreme Court’s order by reinstating the fraudulent inducement claim, concluding that Dreyfus misrepresented a present material fact and that the plaintiffs alleged injuries distinct from termination; the fifth Justice would have dismissed the entire complaint. We now reverse.

New York law is clear that absent “a constitutionally impermissible purpose, a statutory proscription, or an express limitation in the individual contract of employment, an employer’s right at any time to terminate an employment at will remains unimpaired” (*Murphy v American Home Prods. Corp.*, 58 NY2d 293, 305 [1983]). Thus, either the employer or the employee generally may terminate the at-will employment for any reason, or for no reason. In the decades since *Murphy*, we have repeatedly refused to recognize exceptions to, or pathways around, these principles (see *Horn v New York Times*, 100 NY2d 85 [2003]; *Ingle v Glamore Motor Sales*, 73 NY2d 183 [1989]; *Sabetay v Sterling Drug*, 69 NY2d 329 [1987]; see also *Weiner v McGraw-Hill, Inc.*, 57 NY2d 458 [1982]).

Relying on a decision of the United States Court of Appeals for the Second Circuit—*Stewart v Jackson & Nash* (976 F2d 86 [2d Cir 1992])—plaintiffs urge that theirs is not a breach of contract case, but rather a legally cognizable tort claim, for fraudulent inducement.

In *Stewart*, defendant law firm recruited an environmental law attorney (plaintiff Victoria Stewart), telling her that it had secured a large environmental law client, that she would work

2. “Dreyfus” refers to all of the defendants, including Dreyfus’ chief executive officer, chief investment officer, Mellon Financial Corporation (Dreyfus’ parent corporation) and Mellon’s chairman.

on that client's matters and that the firm was establishing an environmental law department, which she would head. When Stewart arrived at the firm, however, she learned that the firm was still trying to secure the client, and she performed only general litigation work. The firm later terminated her employment, and she brought suit for damages. Reversing the United States District Court, the Second Circuit denied the law firm's motion to dismiss Stewart's fraudulent inducement claim both because the firm's promises concerning the environmental law client and department were misstatements of present fact, and because the alleged injuries—thwarting her professional objective to specialize in environmental law, and damaging her career potential—occurred well before plaintiff's termination and were unrelated to it.

Without adopting or rejecting the Second Circuit's rationale, we note that *Stewart* is fundamentally different from the case now before us. The core of plaintiffs' claim is that they reasonably relied on no-merger promises in accepting and continuing employment with Dreyfus, and in eschewing other job opportunities. Thus, unlike *Stewart*, plaintiffs alleged no injury separate and distinct from termination of their at-will employment.³ In that the length of employment is not a material term of at-will employment, a party cannot be injured merely by the termination of the contract—neither party can be said to have reasonably relied upon the other's promise not to terminate the contract. Absent injury independent of termination, plaintiffs cannot recover damages for what is at bottom an alleged breach of contract in the guise of a tort.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, defendants' motion to dismiss the complaint in its entirety granted and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

3. We need not and do not reach the additional question whether the alleged representations regarding the no-merger "plans" were existing fact or future intent.

[882 NE2d 886, 853 NYS2d 274]

In the Matter of SUSAN SPENCER, Respondent, v JAMES SPENCER, Appellant.

Argued January 8, 2008; decided February 14, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 14, 2006. The Appellate Division affirmed (1) an order of the Family Court, Albany County (Margaret T. Walsh, J.), which had denied respondent's objections to the order of a Support Magistrate directing respondent to pay child support and 75% of certain other expenses for the parties' eldest son, and to post an undertaking; (2) an order of that court which had denied respondent's objection to the order of a Support Magistrate awarding attorneys' fees to petitioner and had granted petitioner's objection that the attorneys' fees award represented only partial fees; and (3) an order of that court which had directed respondent to pay the sum of \$9,597 as attorneys' fees incurred by petitioner.

Matter of Spencer v Spencer, 35 AD3d 980, reversed.

HEADNOTE

Parent and Child — Support — No Jurisdiction to Modify Expired Connecticut Support Order

New York lacked subject matter jurisdiction over the petition seeking a de novo determination of child support for the parties' eldest child, as well as contribution for his college expenses and medical insurance, that was brought by petitioner against her former husband after the child turned 18 and the parties' Connecticut child support order expired as to him. The Full Faith and Credit for Child Support Orders Act, which requires each state to give full faith and credit to another state's validly issued child support order (28 USC § 1738B), and the Uniform Interstate Family Support Act (Family Ct Act § 580-101 *et seq.* [as adopted in NY]) together establish a national single-order system, vesting continuing, exclusive jurisdiction with the issuing state. Here Connecticut retained continuing, exclusive jurisdiction of its child support order, as respondent continued to reside there, and New York did not have subject matter jurisdiction to modify the Connecticut order. The petition sought a modification of Connecticut's order, not a de novo determination of child support after the "expiration" of Connecticut's order.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 1079, 1097, 1186, 1187.

CARMODY-WAIT 2d, Support Proceedings §§ 119:311, 119:313, 119:349.

5 LAW AND THE FAMILY NEW YORK (2d ed) §§ 3:109–3:117, 3:157.

McKINNEY's, Family Ct Act § 580–101 *et seq.*

NY JUR 2d, Domestic Relations §§ 1147–1149, 1178, 1182.

28 USCA § 1738B.

ANNOTATION REFERENCE

Construction and application of Uniform Interstate Family Support Act. 90 ALR5th 1.

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Database: NY-ORCS

Query: child /2 support /s expir! /p subject /3 jurisdiction & modif!

POINTS OF COUNSEL

McNamee, Lochner, Titus & Williams, P.C., Albany (Bruce J. Wagner of counsel), for appellant. I. The New York courts lack subject matter jurisdiction pursuant to the Full Faith and Credit for Child Support Orders Act. (*Matter of Reis v Zimmer*, 263 AD2d 136, 270 AD2d 968; *Matter of Batesole-Harmer v Batesole*, 28 AD3d 551.) II. The New York courts lack subject matter jurisdiction pursuant to the Uniform Interstate Family Support Act. (*Matter of Chisholm-Brownlee v Chisholm*, 177 Misc 2d 185; *Matter of Auclair v Bolderson*, 6 AD3d 892, 3 NY3d 610; *Matter of Reis v Zimmer*, 263 AD2d 136; *Matter of Daknis v Burns*, 278 AD2d 641.) III. By extending the duration of a child support order, the Appellate Division has rendered a modification prohibited by the Full Faith and Credit for Child Support Orders Act and Uniform Interstate Family Support Act. (*Matter of Ferraro v Nash*, 293 AD2d 538; *Matter of Hauger v Hauger*, 256 AD2d 1076; *Matter of Schottenstein v Schottenstein*, 9 Misc 3d 1106[A], 2005 NY Slip Op 51422[U]; *Matter of Goodison v Goodison*, 184 Misc 2d 573; *Cahen v Boyland*, 1 NY2d 8; *Matter of Northeast Mines v State of N.Y. Dept. of Env'tl. Conservation*, 113 AD2d 62; *Matter of Daknis v Burns*, 278 AD2d 641; *Matter of Auclair v Bolderson*, 6 AD3d 892; *Matter of Handler v Selbert*, 221 AD2d 788; *Kromer v Kromer*, 177 AD2d 472.)

Maynard, O'Connor, Smith & Catalinotto, Albany (Michael T. Snyder of counsel), for respondent. Subject matter jurisdiction to entertain the de novo petition for support exists and the or-

der of the Appellate Division should be affirmed. (*Matter of Hauger v Hauger*, 256 AD2d 1076; *Matter of Ferraro v Nash*, 293 AD2d 538; *Matter of Goodison v Goodison*, 184 Misc 2d 573; *Jensen v General Elec. Co.*, 82 NY2d 77; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Matter of Auclair v Bolderson*, 6 AD3d 892, 3 NY3d 610; *Matter of Daknis v Burns*, 278 AD2d 641; *Matter of Reis v Zimmer*, 263 AD2d 136; *Matter of Batesole-Harmer v Batesole*, 28 AD3d 551; *Kromer v Kromer*, 177 AD2d 472.)

Law Offices of Aaron Weitz, New York City (*Elliot Scheinberg* of counsel), for New York Chapter of American Academy of Matrimonial Lawyers and another, amici curiae. I. The jurisdictional issue herein is governed by the Supremacy Clause and congressional enactment. (*Matter of Ferraro v Nash*, 293 AD2d 538; *Matter of Hauger v Hauger*, 256 AD2d 1076; *Matter of Goodison v Goodison*, 184 Misc 2d 573.) II. New York lacked subject matter jurisdiction under 28 USC § 1738B, the Full Faith and Credit for Child Support Orders Act, to modify the Connecticut child support award. (*Matter of Reis v Zimmer*, 263 AD2d 136, 270 AD2d 968; *Matter of Auclair v Bolderson*, 6 AD3d 892; *Matter of City of New York*, 293 NY 1; *Matter of Commonwealth Elec. Inspection Servs. v Town of Clarence*, 6 AD3d 1185; *Shea v Export S.S. Corp.*, 253 NY 17; *Patrone v Howlett, Inc.*, 237 NY 394; *Marine Midland Bank v Bowker*, 89 AD2d 194; *Harris v Hirsh*, 196 AD2d 425.) III. Under the Uniform Interstate Family Support Act New York lacked subject matter jurisdiction; continuing exclusive jurisdiction rests in Connecticut. (*Matter of Reis v Zimmer*, 263 AD2d 136, 270 AD2d 968; *Matter of Daknis v Burns*, 278 AD2d 641; *Matter of Chisholm-Brownlee v Chisholm*, 177 Misc 2d 185; *Matter of Auclair v Bolderson*, 6 AD3d 892.) IV. The “expire order” notion is a mutant hybrid of inconceivable jurisdictional interloping whereby the encroaching state dissects an existing order and assumes jurisdiction over only a portion of the order while relegating jurisdiction of its balance to the original issuing state. (*Matter of Ferraro v Nash*, 293 AD2d 538; *Matter of Hauger v Hauger*, 256 AD2d 1076; *Matter of Goodison v Goodison*, 184 Misc 2d 573; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.) V. An affirmance of the Appellate Division will revive the mischief of pre-Full Faith and Credit for Child Support Orders Act and Uniform Interstate Family Support Act forum hunting, where the jurisdictional frontiers were unpredictable. VI. The Appellate Division decision violates the canon of statutory construction that legislative intent be effectuated, first and foremost, via

the application of clear and unambiguous statutory language; the Full Faith and Credit for Child Support Orders Act identifies four ways how a modification can come to be: “modification,” “establish,” “otherwise,” or “subsequent to.” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475.) VII. Support orders have three components: amount, duration, and the tacitly subsumed order directing the payor to halt payments beyond the duration of the support order. VIII. Statutory construction requires an exploration of the social and historical climates that permeated the period antedating a law’s enactment and its evolution with a special focus on the ills to be cured. (*Matter of Reis v Zimmer*, 263 AD2d 136, 270 AD2d 968; *Matter of Isabel M. v Thomas M.*, 164 Misc 2d 420; *People v Garson*, 6 NY3d 604; *Matter of Batesole-Harmer v Batesole*, 28 AD3d 551; *Matter of Schottenstein v Schottenstein*, 9 Misc 3d 1106[A], 2005 NY Slip Op 51422[U]; *Matter of Auclair v Bolderson*, 6 AD3d 892; *Matter of Daknis v Burns*, 278 AD2d 641; *Matter of Parenzan v Parenzan*, 285 AD2d 59.) IX. Under the canons of statutory construction the Uniform Interstate Family Support Act, the Full Faith and Credit for Child Support Orders Act, the Uniform Child Custody Jurisdiction and Enforcement Act and the Parental Kidnaping Prevention Act are cognate statutes in pari materia which require parallel treatment because they protect the same class of people—children. X. States nationwide have categorically rejected “the expired order” concept as a violation of federal and state law and forum shopping. (*Matter of Schottenstein v Schottenstein*, 9 Misc 3d 1106[A], 2005 NY Slip Op 51422[U]; *Mountain View Coach Lines v Storms*, 102 AD2d 663.)

OPINION OF THE COURT

Chief Judge KAYE.

When a Connecticut child support order has expired because the child has reached 18 (the age of majority under Connecticut law), is a subsequent New York child support order for support of the same child to age 21 (the age of majority under New York law) a new order or a modification of the Connecticut order? We conclude that the New York order is a modification of the Connecticut order and that New York lacks subject matter jurisdiction over the petition for child support in this case.

Background

Susan and James Spencer, married in Connecticut, are the parents of three children—a son born in 1986, a second son

born in 1988, and a daughter born in 1992. The mother worked as a nurse throughout most of their marriage, and the father as a physician in private practice. The Spencers separated in 1994, and the mother and children moved from Connecticut to New York, where they have since resided. The father maintains his residence in Connecticut.

The couple divorced by judgment of Connecticut Superior Court on December 21, 1994. The court ordered the father to pay child support of \$250 weekly per minor child, and to continue providing the children with medical insurance at his sole expense. The order also required the father to pay alimony of \$600 per week until June 30, 1996 and then \$500 per week until its automatic termination on December 31, 2004. In 2004, the eldest son turned 18 and the father's support obligations terminated under Connecticut law (Conn Gen Stat Ann § 46b-215 [a] [1]). In December 2004, the father's alimony obligations terminated as well. Five months later the father sold his private practice and began working three days a week as a consultant.

On June 30, 2005 the mother filed a petition in Family Court, Albany County seeking a *de novo* determination of child support for the eldest son as well as contribution for his college expenses and medical insurance.¹ The father moved to dismiss the petition for lack of subject matter jurisdiction.

The Support Magistrate denied that motion and, after a hearing, ordered him to pay child support for the eldest son in the amount of \$350 weekly (retroactive to June 30, 2005), 75% of any increase in his health insurance, 75% of all uninsured medical expenses, 75% of his college expenses, and to post an undertaking of \$12,600. Three weeks later the Support Magistrate directed the father to pay the mother's counsel fees in the amount of \$5,080. The father filed objections to both orders; the mother objected to the amount of the attorney's fees as only a partial award.

On March 1, 2006, Family Court denied the father's objections and held that the Support Magistrate properly retained subject matter jurisdiction over the child support petition because the second order was not a modification of Connecticut's original decree. Separately, the court denied the father's objections to the award of counsel fees and granted the mother's objection by increasing the amount of counsel fees

1. In August 2005, he began attending college. At that time, his tuition, housing and meal plan cost approximately \$10,706 per semester.

owed by the father to \$9,597. The Appellate Division affirmed, reasoning that because the Connecticut child support order expired as to the eldest son, there was no existing order to modify and therefore no jurisdictional obstacle to entertaining the mother's petition for a new child support order. We now reverse.

Analysis

In the late 1980s Congress created the Commission on Interstate Child Support to address the problem of multiple, often conflicting child support orders issued by different jurisdictions (S Rep 103-361, 103rd Cong, 2d Sess, at 4, reprinted in 1994 US Code Cong & Admin News, at 3259, 3260). The Commission reported that a significant factor contributing to the creation of multiple orders was that child support orders were not entitled to full faith and credit. To remedy this impediment to efficient nationwide enforcement of child support orders, in 1994 Congress enacted the Full Faith and Credit for Child Support Orders Act (FFCCSOA), which requires each state to give full faith and credit to another state's validly issued child support order (28 USC § 1738B, as added by Pub L 103-383, 108 US Stat 4063). Specifically, a state "shall enforce according to its terms a child support order . . . of another State; and . . . shall not seek or make a modification of such an order" except in limited circumstances (28 USC § 1738B [a]).

Congress' efforts to create nationally uniform standards for the administration of child support orders continued with the enactment of the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (Pub L 104-193 § 321, 110 US Stat 2105, 2221 [104th Cong, 2d Sess, Aug. 22, 1996], adding 42 USC § 666 [f]). Among other things, this act mandated that each state enact the Uniform Interstate Family Support Act (UIFSA) by January 1, 1998 in order to receive federal funding for social welfare programs (*see* 42 USC § 654 [20]; §§ 655, 666 [f]). The legislative history indicates that the requirement to adopt UIFSA supported the congressional goal to "achieve uniformity in interstate cases, and also to recognize other States' uncontested child support orders" (HR Rep 104-651, 104th Cong, 2d Sess, at 1324, reprinted in 1996 US Code Cong & Admin News, at 2183, 2383). New York adopted the 1996 version of UIFSA on December 31, 1997 (Family Ct Act § 580-101 *et seq.*).

Although UIFSA governs a broader array of child support issues than the FFCCSOA, the statutes have complementary

policy goals and should be read in tandem (*see Matter of Auclair v Bolderson*, 6 AD3d 892 [3d Dept 2004]; *see also* Sobie, Practice Commentaries, McKinney’s Cons Laws of NY, Book 29A, Family Ct Act art 5-B, at 204). This is not a case where the two statutes conflict. Rather, the relevant provisions are consistent. Indeed, where UIFSA is silent, the FFCCSOA may help fill any gaps.

The statutes together establish a national single-order system, vesting continuing, exclusive jurisdiction with the issuing state. Under the FFCCSOA and UIFSA, the state issuing a child support order retains continuing, exclusive jurisdiction over its child support orders so long as an individual contestant continues to reside in the issuing state (*see* 28 USC § 1738B [d]; Family Ct Act § 580-205). Accordingly, a state may modify the issuing state’s order of child support only when the issuing state has lost continuing, exclusive jurisdiction² (*see* 28 USC § 1738B [e]; Family Ct Act § 580-611 [a]; *see also* *Matter of Reis v Zimmer*, 263 AD2d 136 [4th Dept 1999]; *Matter of Daknis v Burns*, 278 AD2d 641 [3d Dept 2000]; *Matter of Batesole-Harmer v Batesole*, 28 AD3d 551 [2d Dept 2006]).

Here, it is uncontested that the father always has lived in Connecticut, the state that issued the child support order. Under both statutes, because the father continues to reside in the issuing state, Connecticut retains continuing, exclusive jurisdiction of its child support order and New York does not have subject matter jurisdiction to modify the Connecticut order. The only issue, then, is whether a petition filed after the termination of the initial child support obligation because the child reached the issuing state’s age of majority seeks a “modification” of the issuing state’s order. If so, under the provisions of both statutes, New York lacks subject matter jurisdiction.

The Appellate Division determined that an “expired order”—by its very nature—cannot be modified because it no longer is in effect (35 AD3d 980, 982-983 [2006]; *see also* *Matter of Ferraro v Nash*, 293 AD2d 538 [2d Dept 2002]; *Matter of Hauger v Hauger*, 256 AD2d 1076 [4th Dept 1998]). The court therefore granted what it saw as a de novo child support petition after the father’s child support obligation terminated under Connecticut’s lower age of majority.

For the following three reasons, we reject the expired order concept.

2. A state may also modify a child support order upon consent of all the parties, despite the parties’ state of residence (*see* 28 USC § 1738B [e] [2] [B]; Family Ct Act § 580-611 [a] [2]). No such consent exists in this case.

First, a subsequent child support order is a “modification” as defined by the federal statute. The FFCCSOA defines “modification” of a child support order and, under the Supremacy Clause of the United States Constitution, we are bound to follow that definition.

A modification is “a change in a child support order that affects the amount, scope, or duration of the order and modifies, replaces, supersedes, or otherwise is made subsequent to the child support order” (28 USC § 1738B [b]). Here, the New York order changed the amount of the initial order (increasing it by \$100 per week), the scope of the initial order (adding a provision for college expenses), and the duration of the initial order (extending the father’s obligation for three years). Undoubtedly, the New York order was “made subsequent” to the Connecticut order. Therefore, under the plain language of the federal statute, a second order for child support is a “modification” of Connecticut’s order.

Second, the drafters of UIFSA clearly intended the same result. Under New York’s version of UIFSA, “[a] tribunal of this state may not modify any aspect of a child support order that may not be modified under the law of the issuing state” (Family Ct Act § 580-611 [c]). In Connecticut, a court may issue an order of support for a child who is under the age of 18 (Conn Gen Stat Ann § 46b-215 [a] [1]).³ Therefore, even if New York had subject matter jurisdiction to modify the Connecticut order, Connecticut law would control the duration of the father’s support obligation.

This interpretation of UIFSA is supported by the 2001 amendments to the uniform act. Although New York has not adopted the 2001 amendments, and they are not binding on this Court, they do provide insight into the intended meaning of New York’s existing statute. The 2001 amendments specifically reject the expired order concept because it subverts a significant policy underlying the Act. However, according to the drafters’ comments,

“From its original promulgation UIFSA determined that the duration of child-support obligation should be fixed by the controlling order . . . If the language

3. If a child is unmarried and enrolled in a full-time high school, a court may order child support until “such child completes the twelfth grade or attains the age of nineteen, whichever occurs first” (Conn Gen Stat Ann § 46b-215 [a] [1]).

was insufficiently specific before . . . 2001, the amendments should make this decision absolutely clear. The original time frame for support is not modifiable unless the law of the issuing State provides for modification of its duration. Some courts have sought to subvert this policy by holding that completion of the obligation to support a child through age 18 established by the now-completed controlling order does not preclude the imposition of a new obligation thereafter to support the child through age 21” (Uniform Interstate Family Support Act [2001] § 611, Comment [emphasis added]).

Notably, courts from other states have enforced the one-order policy of UIFSA by declining to issue a second child support order where the issuing state’s order had expired (*see Marshak v Weser*, 390 NJ Super 387, 915 A2d 613 [2007] [New Jersey could not extend the duration or scope of a Pennsylvania child support order, even after the obligor’s support obligation terminated]; *Sheetz v Sheetz*, 840 A2d 1000, 2003 PA Super 512 [2003] [Maryland law controls the duration of its child support orders and petitioner could not institute a new proceeding in Pennsylvania after expiration of the Maryland order]; *Lunceford v Lunceford*, 204 SW3d 699 [Mo Ct App 2006] [Missouri court was prohibited from extending a Kansas child support order beyond the age of emancipation in Kansas]). In each case the court relied on the policy underlying UIFSA even though—as here—the state legislature had not adopted the 2001 amendments (*see Marshak*, 390 NJ Super at 392, 915 A2d at 616; *Sheetz*, 840 A2d at 1004; *Lunceford*, 204 SW3d at 707-708).

Third, we reject the expired order concept in order to promote the principle of comity embedded in the FFCCSOA and UIFSA. A secure one-order child support system is critical to the proper administration of child support orders—New York’s as well as those of other states—and to ensuring that children receive the support to which they are entitled.

Therefore, the New York order is a modification of the Connecticut order. Because the father still resides in Connecticut, that state has continuing, exclusive jurisdiction of the child support order—despite termination of the father’s obligations for his eldest son under that order—and New York does not have subject matter jurisdiction to modify that order.

We are well aware of New York’s strong policy interest in assuring that both parents fulfill their support obligations

throughout their children's first 21 years of life (*see* Family Ct Act § 413 [1] [a]). Where a parent has the means to do so, we certainly hope those parental obligations will be met for the sake of the child's well-being. We are without jurisdiction, however, to compel this father to honor his parental responsibilities to his eldest son.

Finally, the father's request to recoup payments he made to the mother as a result of the child support order issued by Family Court cannot be determined on this record and should, on remittal, be addressed by Family Court (including all offsets due the mother).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Family Court for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[883 NE2d 990, 854 NYS2d 83]

ARNEL SAMIENTO et al., Appellants, v WORLD YACHT INC. et al.,
Respondents.

Argued January 10, 2008; decided February 14, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 15, 2007. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Marylin G. Diamond, J.; op 2006 NY Slip Op 30283[U]), which had granted defendants' motion pursuant to CPLR 3211 (a) (7) to dismiss the first three causes of action of the complaint to the extent of dismissing the second cause of action and the portion of the first cause of action which addressed banquet service charges. The modification consisted of dismissing the third cause of action and the remainder of the first cause of action. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by the decision and order of this Court, properly made?"

Samiento v World Yacht Inc., 38 AD3d 328, modified.

HEADNOTES

Employment Relationships — Wages — Employer's Improper Retention of Service Charges or Gratuities

1. Plaintiffs, restaurant servers who alleged that their employers failed to properly remit the money collected as service charges, gratuities included within the ticket price or automatic gratuities added at the time of purchase of a ticket for three types of dining cruises provided by defendants, sufficiently pleaded a cause of action for violation of Labor Law § 196-d, which forbids an employer from retaining any part of a gratuity or "any charge purported to be a gratuity" for an employee. The statute applies not only to a voluntary gratuity or tip presented by a customer but also to a service charge that, as here, is held out to the customer as a substitute for a tip. Both the plain meaning of Labor Law § 196-d and its legislative history established that the service charges at issue were contemplated within Labor Law § 196-d. The standard under which a mandatory charge or fee is purported to be a gratuity should be weighed against the expectation of the reasonable customer. Defendants' contention that banquet service charges were not contemplated within "any charge purported to be a gratuity" was incorrect. Moreover, plaintiffs were entitled to show defendants' tax treatment of the charges since charges that were treated as gratuities for tax purposes could also be represented to patrons as being gratuities as well.

Consumer Protection — Deceptive Acts and Practices — Employer's Improper Retention of Service Charges or Gratuities

2. In an action by restaurant servers who alleged that their employers failed to properly remit the money collected as service charges, gratuities included

within the ticket price or automatic gratuities added at the time of purchase of a ticket for three types of dining cruises provided by defendants, plaintiffs' cause of action alleging that defendants engaged in deceptive consumer practices under General Business Law § 349 was properly dismissed. In order to assert a prima facie cause of action under General Business Law § 349, a plaintiff must be able to establish that a defendant intended to deceive its customers to the customers' detriment and was successful in doing so. Plaintiffs here could not show how defendants' customers suffered a detriment by agreeing to pay the service charges, the automatic gratuities or the added gratuities.

Equity — Unjust Enrichment — Employer's Improper Retention of Service Charges or Gratuities

3. In an action by restaurant servers who alleged that their employers failed to properly remit the money collected as service charges, gratuities included within the ticket price or automatic gratuities added at the time of purchase of a ticket for three types of dining cruises provided by defendants, plaintiffs' cause of action for unjust enrichment was properly dismissed as plaintiffs had an adequate remedy at law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer and Borrower Protection §§ 255, 258, 260; AM JUR 2d, Employment Relationship § 60.
McKINNEY's, General Business Law § 349; Labor Law § 196-d.
NY JUR 2d, Consumer and Borrower Protection §§ 5-7; NY JUR 2d, Contracts § 512; NY JUR 2d, Employment Relations § 126.

ANNOTATION REFERENCE

See ALR Index under Consumer Protection; Tips and Gratuities; Unjust Enrichment.

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Database: NY-ORCS

Query: employer /s retain! keep! /s gratuity tip

POINTS OF COUNSEL

Law Office of Steven M. Sack, New York City (*Scott A. Lucas* of counsel), for appellants. I. The Appellate Division erred by not accepting the complaint's allegations as true on a pre-answer motion to dismiss. (*Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner*, 96 NY2d 300; *Bynog v Cipriani Group*, 298 AD2d 164, 1 NY3d 193.) II. The Appellate Division also erred as a matter of law in concluding that Labor Law § 196-d only applies to "voluntary" gratuities.

(*Matter of Kamhi v Planning Bd. of Town of Yorktown*, 59 NY2d 385; *Weinberg v D-M Rest. Corp.*, 53 NY2d 499; *United States v 306 Cases Containing Sanford Tomato Catsup with Preservative*, 55 F Supp 725, *affd sub nom. Libby, McNeill & Libby v United States*, 148 F2d 71; *Kelly v United States*, 789 F2d 94; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Sosa v Alvarez-Machain*, 542 US 692; *Zion v Kurtz*, 50 NY2d 92; *New Amsterdam Cas. Co. v Stecker*, 3 NY2d 1; *Department of Housing & Urban Development v Rucker*, 535 US 125; *Naghavi v New York Life Ins. Co.*, 260 AD2d 252.) III. Plaintiffs' General Business Law § 349 claim is cognizable as a matter of law. (*Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *Karlin v IVF Am.*, 93 NY2d 282; *Stutman v Chemical Bank*, 95 NY2d 24; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Small v Lorillard Tobacco Co.*, 94 NY2d 43.) IV. Plaintiffs' unjust enrichment claim is properly pleaded. (*Carriafielio-Diehl & Assoc., Inc. v D&M Elec. Contr., Inc.*, 12 AD3d 478; *Joseph Sternberg, Inc. v Walber 36th St. Assoc.*, 187 AD2d 225; *Smith v Kirkpatrick*, 305 NY 66; *O'Brien v City of Syracuse*, 54 NY2d 353; *Hochman v LaRea*, 14 AD3d 653.)

Kauff McClain & McGuire LLP, New York City (*Dennis A. Lalli* and *J. Patrick Butler* of counsel), for respondents. I. The Appellate Division correctly dismissed the Labor Law § 196-d claim under CPLR 3211 (a) (7) because it ruled as a matter of pure statutory construction, without resolving any factual disputes and accepting all of plaintiffs' allegations as true. (*Rosner v Paley*, 65 NY2d 736.) II. The Appellate Division correctly held that the "service charges" imposed on World Yacht Inc.'s banquet patrons are not "gratuities" within the plain meaning and scope of Labor Law § 196-d. (*Weinberg v D-M Rest. Corp.*, 53 NY2d 499; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Orens v Novello*, 99 NY2d 180; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Scoglio v County of Suffolk*, 85 NY2d 709; *Bynog v Cipriani Group*, 298 AD2d 164, 1 NY3d 193; *Matter of Fine-way Supermarkets v State Liq. Auth.*, 48 NY2d 464; *State of New York v GTE Valeron Corp.*, 155 AD2d 166; *Seenaraine v Securitas Sec. Servs. USA, Inc.*, 37 AD3d 700; *Restaurants & Patisseries Longchamps v Pedrick*, 52 F Supp 174.) III. The Appellate Division correctly dismissed the first cause of action as it pertains to tour and travel agency patron tickets. IV. The second cause of action was properly dismissed because the complaint completely fails to allege a violation of General Business Law

§ 349. (*Stutman v Chemical Bank*, 95 NY2d 24; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *U.W. Marx, Inc. v Bonded Concrete, Inc.*, 7 AD3d 856; *Teller v Bill Hayes, Ltd.*, 213 AD2d 141; *Genesco Entertainment, Div. of Lymutt Indus., Inc. v Koch*, 593 F Supp 743; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Bildstein v MasterCard Intl. Inc.*, 329 F Supp 2d 410.) V. The Appellate Division correctly dismissed the third cause of action for unjust enrichment. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Beth Israel Med. Ctr. v Horizon Blue Cross & Blue Shield of N.J., Inc.*, 448 F3d 573; *Whitman Realty Group, Inc. v Galano*, 41 AD3d 590; *Sperry v Crompton Corp.*, 8 NY3d 204; *Fisher v Museum of Cartoon Art*, 303 AD2d 548.) VI. World Yacht Inc.'s tax treatment of service charges is legally irrelevant to the question of whether those charges are gratuities within the meaning of Labor Law § 196-d. (*Matter of La Cascade, Inc. v State Tax Commn.*, 91 AD2d 784; *Naghavi v New York Life Ins. Co.*, 260 AD2d 252; *In re Sampson*, 997 F2d 717.)

Andrew M. Cuomo, Attorney General, New York City (Barbara D. Underwood, Michelle Aronowitz, Jennifer S. Brand, Sasha Samberg-Champion, Seth Kupferberg and Donya Fernandez of counsel), and Maria Colavito for Attorney General of the State of New York and another, amici curiae. I. The charges described in the complaint are charges “purported to be a gratuity” within the meaning of Labor Law § 196-d. (*Matter of Rizzo v New York State Div. of Hous. & Community Renewal*, 6 NY3d 104; *United States v McGuire*, 64 F2d 485; *United States v 306 Cases Containing Sandford Tomato Catsup with Preservative*, 55 F Supp 725, *affd sub nom. Libby, McNeill & Libby v United States*, 148 F2d 71; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Sarbro: VII v State of N.Y. Indus. Bd. of Appeals*, 215 AD2d 956; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *Bynog v Cipriani Group*, 298 AD2d 164; *United States v Indianapolis Athletic Club, Inc.*, 818 F Supp 1250; *Matter of La Cascade, Inc. v State Tax Commn.*, 91 AD2d 784.) II. Plaintiffs allege sufficient deception and injury to support a claim for consumer fraud under General Business Law § 349. (*Stutman v Chemical Bank*, 95 NY2d 24; *Karlin v IVF Am.*, 93 NY2d 282; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Small v Lorillard Tobacco Co.*, 94 NY2d 43;

Securitron Magnalock Corp. v Schnabolk, 65 F3d 256; *New York v Feldman*, 210 F Supp 2d 294; *Melino v Equinox Fitness Club*, 6 AD3d 171; *Baron v Pfizer, Inc.*, 42 AD3d 627; *Donahue v Ferolito, Vultaggio & Sons*, 13 AD3d 77; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 344 F3d 211.)

McNamee, Lochner, Titus & Williams, P.C., Albany (David J. Wukitsch of counsel), for New York State Restaurant Association, amicus curiae. I. Federal law and decisions of the New York Industrial Board of Appeals hold that service charges are not gratuities. II. The position urged by the Attorney General would introduce uncertainty into the law and should be rejected.

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (Marc Falcone of counsel), and David A. Colodny for Urban Justice Center and others, amici curiae. I. The reasonable customer generally understands a “service charge” to substitute for and displace the customary tip. (*Hai Ming Lu v Jing Fong Rest., Inc.*, 503 F Supp 2d 706.) II. Labor Law § 196-d applies to mandatory fees and charges. III. Restaurant and banquet operations can easily minimize doubt about a reasonable customer’s understanding of a service charge. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144.) IV. Contrary to the New York State Restaurant Association’s argument, the text and legislative history show that Labor Law § 196-d applies to banquet charges purported to be gratuities.

OPINION OF THE COURT

CIPARICK, J.

In *Bynog v Cipriani Group* (1 NY3d 193 [2003]), we left open the question as to whether Labor Law § 196-d, which forbids an employer from retaining any part of a gratuity or “any charge purported to be a gratuity” for an employee applies only to a voluntary gratuity or tip presented by a customer or whether it may also apply to a service charge that is held out to the customer as a substitute for a tip. We conclude that a charge that is not a voluntary payment may be a “charge purported to be a gratuity” within the meaning of the statute.

As alleged in the complaint, plaintiffs are former and present restaurant servers who claim their employers violated Labor Law § 196-d by failing to properly remit the money collected as either service charges, gratuities included within the ticket price or automatic gratuities added at the time of purchase of a ticket for three types of dining cruises provided by defendants: banquet cruises, general public dining and special events

cruises. All of the dining cruises take place in New York harbor on boats either owned and/or operated by defendants. Banquet cruises are private events which involve either individual or corporate patrons that have contracted with defendants to charter an entire vessel for celebratory, ceremonial, charitable or corporate purposes. General public dining cruises are attended by members of the general public who purchase individual tickets either from defendants directly or from designated travel and tour operators; as to these cruises, plaintiffs' complaint is limited to charges paid by customers in the latter category. Special event dining cruises are held on major holidays, such as July 4th and New Year's Eve, and are similar to the general public dining cruises in that tickets are available to the general public; however, tickets for special event cruises are sold at a significantly higher price. Meals and drinks are served at all three types of cruises. Plaintiffs characterize the meals and drinks provided on these cruises as luxury dining in which customers would expect to pay a gratuity of between 15% to 20%. Defendants pay their employee waitstaff an hourly wage which varies according to the type of cruise. Tips are allowed although are seldom collected, allegedly because patrons believe the tip is included in the price of the cruise.

Plaintiffs' complaint asserts seven causes of action. The first cause of action alleges World Yacht¹ violated Labor Law § 196-d by withholding gratuities from its waitstaff with respect to all three types of cruises. In relation to defendants' banquet cruises, plaintiffs assert that defendants told inquiring customers that the 20% service charge is remitted to defendants' waitstaff as the gratuity, but then failed to distribute any amount of the service charge to their waitstaff. Plaintiffs further argue that defendants should be precluded from treating the 20% banquet service charge as anything other than a gratuity because defendants presented banquet patrons with bills which segregated and excluded the banquet service charge from other banquet charges thereby treating the banquet service charge like a gratuity for sales tax purposes, and presumably for income tax purposes as well. As to the general public dining cruises (to the extent customers come through travel and tour operators) and special event cruises, plaintiffs assert that World Yacht manipulated the custom of tipping by representing to the

1. "World Yacht" refers to all of the defendants collectively, including New York Cruise Lines Inc., World Yacht Inc., World Yacht LLC and World Yacht Limited Partnership.

customer that the gratuity was included in the ticket price but then only remitting to its employees a gratuity of between 4% to 7%.

Plaintiffs' second cause of action alleges that World Yacht violated General Business Law § 349 by (1) misrepresenting to its banquet customers that the 20% service charge would be remitted to the waiters, (2) misrepresenting to its general public dining cruise patrons that the ticket price included the gratuity and (3) misrepresenting to its special event patrons that upon purchasing a ticket for a special event cruise, an automatic gratuity is added to the price of the ticket at the time of purchase. Plaintiffs' third cause of action alleges defendants were unjustly enriched by wrongfully retaining gratuities meant for their waitstaff. Plaintiffs' remaining causes of action alleging violations of federal and state wage and labor laws are not relevant to this appeal. Defendants moved for an order pursuant to CPLR 3211 (a) (7) to dismiss plaintiffs' first three causes of action for failure to state a claim. Supreme Court granted, in part, defendants' motion by dismissing plaintiffs' General Business Law § 349 action in its entirety, and relying on the Appellate Division's decision in *Bynog v Cipriani Group* (298 AD2d 164 [1st Dept 2002], *affd as mod* 1 NY3d 193 [2003]), dismissed that portion of plaintiffs' Labor Law § 196-d cause of action which alleged defendants failed to remit the 20% service charge collected at banquet cruises. The Appellate Division unanimously modified, on the law, dismissing plaintiffs' unjust enrichment claim and the remainder of the first cause of action holding that special event and public dining patrons "paid a mandatory service charge that was not in the nature of a voluntary gratuity, and thus the failure to remit any of this charge to the waitstaff did not constitute a violation of section 196-d, notwithstanding defendants' treatment of the charge for sales or income tax purposes, and the fact that certain patrons believed the charge to be in the nature of a gratuity" (38 AD3d 328, 328-329 [2007]) and otherwise affirmed. The Appellate Division certified the following question: "Was the order of the Supreme Court, as modified by the decision and order of this Court, properly made?" We answer the certified question in the negative and hold that plaintiffs sufficiently pleaded a cause of action for violation of Labor Law § 196-d.

In relation to gratuities, Labor Law § 196-d requires that:

"No employer or his agent or an officer or agent of

any corporation, or any other person shall demand or accept, directly or indirectly, any part of the gratuities, received by an employee, or retain any part of a gratuity or of any charge purported to be a gratuity for an employee.”

Labor Law § 196-d further states in its last sentence that:

“Nothing in this subdivision shall be construed as affecting . . . practices in connection with banquets and other special functions where a fixed percentage of the patron’s bill is added for gratuities which are distributed to employees, nor to the sharing of tips by a waiter with a busboy or similar employee.”

In *Bynog v Cipriani Group* (1 NY3d 193, 196 [2003]) we held “that because plaintiffs were independent contractors and not employees of the defendants, they [we]re not entitled to recover [service charge] payments.” However, we “reserve[d] judgment as to whether those waiters would be entitled to a share of [the] service charge under Labor Law § 196-d if [the waitstaff] were employees” (*id.* at 199 n 4). On this appeal plaintiffs, supported by the New York State Attorney General and the New York State Department of Labor (NYSDOL), assert defendants violated Labor Law § 196-d by informing their banquet patrons that the 20% service charge was waitstaff’s tip. Plaintiffs further assert that World Yacht violated Labor Law § 196-d by telling its travel and tour patrons as well as its special events patrons that a gratuity was included within the ticket price for the cruise.

Defendants assert that in order to constitute a gratuity, within the purposes of Labor Law § 196-d, a payment must be voluntary and not mandatory and that the payments here were mandatory. In *Weinberg v D-M Rest. Corp.* (53 NY2d 499, 507 [1981]), we quoted with approval the Arizona Supreme Court’s determination in *Beaman v Westward Ho Hotel Co.* (89 Ariz 1, 4-5, 357 P2d 327, 329 [1960]) that “[a] tip is in law, if not always in fact, a voluntary payment.” We also cited, with approval, *Peoria Hotel Co. v Illinois Dept. of Revenue* (87 Ill App 3d 176, 178-179, 408 NE2d 1182, 1184 [1980]) which held that a fixed percent gratuity charge added to banquet customers’ bills was really a mandatory charge.

[1] We have stated that “[w]hen presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature”

(*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [internal quotation marks and citation omitted]). “The language of a statute is generally construed according to its natural and most obvious sense . . . in accordance with its ordinary and accepted meaning, unless the Legislature by definition or from the rest of the context of the statute provides a special meaning” (McKinney’s Cons Laws of NY, Book 1, Statutes § 94, at 191-194 [1971 ed]). Labor Law § 196-d clearly forbids an employer demanding or accepting, “any part of the gratuities, received by an employee, or retain[ing] any part of a gratuity or of any charge purported to be a gratuity for an employee.” Plaintiffs’ complaint alleges that World Yacht told inquiring patrons that the service charge is the gratuity, or that it is paid to the waitstaff as additional compensation in place of a gratuity, thus discouraging patrons from leaving an additional tip. Defendants characterize the enactment of Labor Law § 196-d as having no manifestation of legislative intent for the term “gratuity” to encompass charges such as the mandatory banquet service charges at issue. We disagree. The language of the statute states that it is a violation of Labor Law § 196-d to “retain any part of a gratuity or . . . any charge purported to be a gratuity for an employee.” We have repeatedly stated that “where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578, 581 [2006] [brackets omitted], quoting *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). Given the language, “any charge ^[2] purported ^[3] to be a gratuity” and the remedial nature of Labor Law § 196-d, such language should be liberally construed in favor of the employees. Both the plain meaning of Labor Law § 196-d and its legislative history establish that the service charges at issue in this

2. Black’s Law Dictionary 248 (8th ed 2004) (hereinafter Black’s) defines “charge,” in pertinent part, as “[t]o demand a fee [or] to bill.” Merriam Webster’s Collegiate Dictionary 192 (10th ed 1993) (hereinafter Webster’s) defines “charge,” in pertinent part, as “expense [or] cost [and] the price demanded for something.”

3. “Purport” or “purported” have been variously defined as: “[r]eputed [or] rumored”; “[t]he idea or meaning that is conveyed or expressed”; and “[t]o profess or claim, esp. falsely; to seem to be” (see Black’s at 1271; see also Webster’s at 949 [defining “purported” as: “reputed (or) alleged” and “purport” as: “meaning conveyed, professed, or implied” and “to have the often specious appearance of being, intending, or claiming (something implied or inferred)”).

appeal are contemplated within Labor Law § 196-d.⁴ Even if the charge is mandatory, and not subject to negotiation, when a complaint asserts, as plaintiffs' complaint asserts here, that a service charge has been represented to the consumer as compensation to defendants' waitstaff in lieu of the gratuity, such allegation is covered within the statutory language of Labor Law § 196-d. It is well settled that a court, when deciding whether to grant a motion to dismiss pursuant to CPLR 3211, must take the allegations asserted within a plaintiff's complaint as true and accord plaintiff the benefit of every possible inference, determining only whether the facts as alleged fit within any cognizable legal theory (*see Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner*, 96 NY2d 300, 303 [2001]).

We agree with the Attorney General of the State of New York and the NYSDOL, charged with enforcing Labor Law § 196-d, that the standard under which a mandatory charge or fee is purported to be a gratuity should be weighed against the expectation of the reasonable customer as this standard is consistent with the purpose of Labor Law § 196-d. The Labor Department's interpretation of a statute it is charged with enforcing is entitled to deference. The construction given statutes and regulations by the agency responsible for their administration, "if not irrational or unreasonable," should be upheld (*see Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597, 604 [2005], quoting *Matter of Howard v Wyman*, 28 NY2d 434, 438 [1971]).

The NYSDOL's opinion letters support our holding that a banquet charge, like any charge can "purport[] to be a gratuity" and that the reasonable patron standard should govern when determining whether a banquet patron would understand a service charge was being collected in lieu of a gratuity. The NYSDOL in an opinion letter dated March 26, 1999, stated that

"[i]f the employer's agents lead the patron who purchases a banquet or other special function to believe that the contract price includes a fixed percentage as a gratuity, then that percentage of the contract price must be paid in its entirety to the

4. The drafters of Labor Law § 196-d sought to end the "unfair and deceptive practice" of an employer retaining money paid by a patron "under the impression that he is giving it to the employee, not to the employer" (*see* Mem of Indus Commr, June 6, 1968, Bill Jacket, L 1968, ch 1007, at 4).

waiters, busboys and ‘similar employees’ who work at that function, even if the contract makes no reference to such a gratuity.”

World Yacht asserts that the last sentence of Labor Law § 196-d exempts the banquet industry from the proscription of Labor Law § 196-d and allows an employer to retain service charges. We disagree. The legislative history of the last sentence makes what has been referred to as the banquet exception quite clear. The New York State Hotel & Motel Association, Inc. requested the inclusion of this language upon the drafting of Labor Law § 196-d in order to ensure the industry could continue its common practice of applying a fixed percentage, or lump sum payment, to a banquet patron’s bill as a gratuity which then was distributed to all personnel engaged in the function, waitstaff, bartenders, busboys and all other similar employees. It was feared that without this language the practice of pooling for later distribution of tips to all involved employees would be prohibited because upon receiving payment, a person could believe they were entitled to retain the entire amount and not share with the rest of the personnel who worked the banquet (*see* Letter from NY State Hotel & Motel Assn, May 21, 1968, Bill Jacket, L 1968, ch 1007, at 12). Therefore World Yacht’s contention that banquet service charges are not contemplated within “any charge purported to be a gratuity” is incorrect.

As further indication that defendants held out the mandatory service charges as gratuities, plaintiffs point to World Yacht’s tax treatment of these monies. Supreme Court declined to examine defendants’ treatment of the service charge at issue for tax purposes, while the Appellate Division found no violation of section 196-d, “notwithstanding defendants’ treatment of the charge for sales or income tax purposes” (38 AD3d 328, 329 [2007]). We cannot accept this proposition. Plaintiffs should be entitled to show defendants’ tax treatment of the charges since charges that are treated as gratuities for tax purposes could also be represented to patrons as being gratuities as well.

We likewise disagree with the Appellate Division that no Labor Law § 196-d violation existed with respect to special event cruises and public dining cruises booked through travel and tour operators. That court held that “[a]ll of these patrons paid a mandatory service charge that was not in the nature of a voluntary gratuity, and thus the failure to remit any of this charge to the waitstaff did not constitute a violation of section 196-d”

(38 AD3d 328, 328-329 [2007]). We hold that the statutory language of Labor Law § 196-d can include mandatory charges when it is shown that employers represented or allowed their customers to believe that the charges were in fact gratuities for their employees. An employer cannot be allowed to retain these monies. Thus plaintiffs' first cause of action should be reinstated in its entirety and plaintiffs should be allowed to go forward on this cause of action as it relates to all three types of cruises.

[2] Turning to plaintiffs' second cause of action alleging that World Yacht engaged in deceptive consumer practices under General Business Law § 349, we conclude that it was properly dismissed. In order to assert a prima facie cause of action under General Business Law § 349, a plaintiff must be able to establish that a defendant intended to deceive its customers to the customers' detriment and was successful in doing so. "[P]roof that a material deceptive act or practice caused actual, although not necessarily pecuniary, harm is required to impose compensatory damages" (*Small v Lorillard Tobacco Co.*, 94 NY2d 43, 56 [1999] [internal quotation marks, emphasis and citation omitted]). Since plaintiffs here cannot show how World Yacht's customers suffered a detriment by agreeing to pay the service charges, the automatic gratuities, or the added gratuities, plaintiffs failed to establish a prima facie claim under General Business Law § 349 and therefore plaintiffs' second cause of action was properly dismissed.

[3] As to plaintiffs' third cause of action for unjust enrichment, this action does not lie as plaintiffs have an adequate remedy at law and therefore this claim was likewise properly dismissed. We have reviewed all other arguments and find them without merit.

Accordingly, the Appellate Division's order should be modified, without costs, by reinstating plaintiffs' first cause of action and, as so modified, affirmed. The certified question should be answered in the negative.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur; Chief Judge KAYE taking no part.

Order modified, etc.

[883 NE2d 996, 854 NYS2d 89]

In the Matter of THE AMERICAN COMMITTEE FOR THE WEIZMANN
INSTITUTE OF SCIENCE, Appellant, v JENNIFER DUNN,
Individually and as Executor of DORIS WEINGARTEN,
Deceased, et al., Respondents.

Argued January 8, 2008; decided February 14, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 4, 2007. The Appellate Division affirmed an order of the Surrogate's Court, New York County (Eve Preminger, S.), which had granted respondents' motion to dismiss the petition.

Matter of American Comm. for Weizmann Inst. of Science v Dunn, 36 AD3d 419, affirmed.

HEADNOTES

Contracts — Agreement to Make Testamentary Disposition — Agreement Fails to Satisfy Statute of Frauds

1. Correspondence offered by petitioner charitable organization in support of its claim that decedent had a contract with petitioner to bequeath the sale proceeds of her cooperative apartment to petitioner was insufficient to satisfy the statute of frauds applicable to testamentary bequests (EPTL 13-2.1), as decedent did not, in any of the letters, unequivocally renounce her right to dispose of the co-op in a subsequently executed will. Evidence of an agreement to make a testamentary bequest must be indisputable. A memorandum sufficient to satisfy EPTL 13-2.1 may be set forth in separate writings that clearly refer to the subject matter of the contract, so long as one writing is signed by the party to be charged or a duly authorized agent. Here, however, the three letters offered by petitioner did not clearly evidence a promise by decedent to bequeath the co-op's proceeds to petitioner and to renounce her right to execute a will making no provision for petitioner.

Wills — Probate — Vacatur of Probate Decree — Burden of Proof

2. In a proceeding brought by petitioner charitable organization, which was not a party to the initial probate proceeding involving decedent's will, to vacate the probate decree based upon "newly discovered evidence" allegedly demonstrating that the will was procured through the exercise of undue influence, petitioner was required to demonstrate facts constituting a substantial basis for challenging the proffered will and a reasonable probability of success on the merits of its undue influence claim. Such a standard strikes the proper balance between the Surrogate's statutory duty to "inquire particularly into all the facts" and to be "satisfied with the genuineness of the will and the validity of its execution" before admitting a will to probate (SCPA 1408 [1]) and the policy favoring the finality of validly issued decrees. Permitting vacatur of a probate decree based upon mere allegations of undue influence would be un-

duly disruptive and could encourage specious claims in the hope of securing unjustified settlements that would upset the legitimate expectations of a decedent's intended beneficiaries.

Wills — Probate — Vacatur of Probate Decree — Claim of Undue Influence

3. In a proceeding brought by petitioner charitable organization, which was not a party to the initial probate proceeding involving decedent's will, to vacate the probate decree based upon "newly discovered evidence" allegedly demonstrating that the will was procured through the exercise of undue influence, petitioner failed to demonstrate facts constituting a substantial basis for challenging the proffered will and a reasonable probability of success on the merits of its undue influence claim. The evidence offered by petitioner was insufficient to demonstrate decedent's alleged longstanding intent to benefit petitioner in her will. Moreover, the people who allegedly exercised undue influence over decedent, and who benefitted from the challenged will, were close relatives of the decedent, including her brother who opened his home to decedent while she received hospice care for terminal cancer during her final days.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Statute of Frauds §§ 30, 404, 409; AM JUR 2d, Wills §§ 312, 314, 328, 329, 371, 374, 407–412, 452–455, 920, 923, 926.
CARMODY-WAIT 2d, Probate Proceedings §§ 152:12, 152:257, 152:258, 152:260–152:262, 152:265, 152:325.
MCKINNEY's, EPTL 13–2.1; SCPA 1408 (1).
NY JUR 2d, Decedents' Estates §§ 265, 267, 268, 273, 275, 508–513, 529–531, 538, 552, 1299, 1301, 1827.

ANNOTATION REFERENCE

See ALR Index under Decedents' Estates; Frauds, Statute of; Newly Discovered Evidence; Probate Courts and Proceedings.

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POINTS OF COUNSEL

Orans, Elsen & Lupert LLP, New York City (*Robert L. Plotz, Leslie A. Lupert* and *Nicholas G. Arons* of counsel), for appellant. I. The charity made a sufficient showing to obtain SCPA 1404 discovery on its undue influence claim. (*Matter of Abrial*, 286 App Div 916; *Matter of Callahan*, 273 App Div 884; *Matter*

of *Greene*, 240 AD2d 745; *Matter of Walther*, 6 NY2d 49; *Matter of Arnold*, 78 AD2d 753; *Matter of Kaufmann*, 20 AD2d 464; *Matter of Saterlee*, 281 App Div 251; *Matter of Paneck*, 237 AD2d 82; *Matter of Itta*, 225 AD2d 548; *Matter of Loverme*, 27 AD3d 747.) II. The American Committee for the Weizmann Institute of Science is entitled to SCPA 1404 discovery even under the reasonable probability of success standard. (*Matter of Bacon*, 169 Misc 2d 858; *Matter of Walther*, 6 NY2d 49; *Matter of Paneck*, 237 AD2d 82; *Matter of Itta*, 225 AD2d 548; *Matter of Bobst*, 165 Misc 2d 776; *Matter of Loverme*, 27 AD3d 747; *Matter of Musso*, 227 AD2d 404; *Rollwagen v Rollwagen*, 63 NY 504; *Morrison-Knudsen Constr. Co. v Director, Office of Workers' Compensation Programs*, 461 US 624; *Matter of Cregan*, 275 NY 337.) III. The petition sufficiently alleged a contract to make a gift to the American Committee for Weizmann Institute of Science. (*Hamlin v Stevens*, 177 NY 39; *Matter of Lubins*, 250 AD2d 850; *Matter of Camac*, 2 Misc 3d 894; *Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285; *Matter of Urdang*, 304 AD2d 586; *Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48; *Bruce Realty Co. of Fla. v Berger*, 327 F Supp 507; *Matter of Drogin*, 144 Misc 2d 747; *Matter of Field*, 11 Misc 2d 427; *Morris Cohon & Co. v Russell*, 23 NY2d 569.)

Hofheimer, Gartlir & Gross, LLP, New York City (David L. Birch of counsel), for respondents. I. The American Committee for Weizmann Institute of Science was not entitled to citation advising it of the application to probate the decedent's will and therefore had no statutory right to take depositions pursuant to SCPA 1404 (4). (*Matter of Brinkmann*, 21 NY2d 804; *Matter of Minasian*, 149 AD2d 511; *Matter of Abrial*, 286 App Div 916; *Matter of Eisenlohr*, 153 Misc 130; *Matter of Bray*, 146 Misc 415; *Wasmuth v Allen*, 14 NY2d 391, 379 US 11; *Schulman v People*, 10 NY2d 249; *Uberman v Lasner*, 55 Misc 2d 1027.) II. The American Committee for Weizmann Institute of Science was required to demonstrate a substantial basis for contesting the decedent's will and a reasonable probability of its success before the probate decree can be set aside. (*Matter of Musso*, 227 AD2d 404; *Matter of Baldwin*, 3 AD2d 635; *Matter of Frutiger*, 29 NY2d 143; *Matter of Leslie*, 175 App Div 108; *Matter of Westberg*, 254 App Div 320, 279 NY 316, 283 NY 589; *Matter of Calahan*, 273 App Div 884; *Matter of Sandow*, 25 Misc 2d 356, 13 AD2d 451, 912; *Matter of Wang*, 5 AD3d 785; *Matter of Greene*, 240 AD2d 745; *Matter of Abrial*, 286 App Div 916.) III. The courts below correctly determined that appellant had not met its burden to allege or demonstrate a substantial basis for and a

reasonable probability of success to contest decedent's will on the basis of undue influence. (*Matter of Kindberg*, 207 NY 220; *Matter of Spinello*, 291 AD2d 406; *Matter of Clapper*, 279 AD2d 730; *Matter of Posner*, 160 AD2d 943, 76 NY2d 710, 77 NY2d 940; *Matter of Walther*, 6 NY2d 49; *Children's Aid Socy. of City of N.Y. v Loveridge*, 70 NY 387; *Smith v Keller*, 205 NY 39; *Matter of Schillinger*, 258 NY 186; *Matter of Coniglio*, 242 AD2d 901; *Matter of Evanchuk*, 145 AD2d 559.) IV. Appellant did not properly allege a contract to make a bequest nor did appellant demonstrate a substantial basis for contesting the will on this basis and a reasonable probability of its success. (*Blackmon v Estate of Battcock*, 78 NY2d 735, 79 NY2d 915; *Morris Cohon & Co. v Russell*, 23 NY2d 569; *Rubin v Irving Trust Co.*, 305 NY 288; *Oursler v Armstrong*, 10 NY2d 385; *Woodmere Academy v Steinberg*, 41 NY2d 746; *Lefkowitz v Lebensfeld*, 51 NY2d 442; *Rubenstein v Mueller*, 19 NY2d 228; *Edson v Parsons*, 155 NY 555; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475; *Matter of Weisman*, 251 AD2d 112, 92 NY2d 920.)

Andrew M. Cuomo, Attorney General, New York City (Richard Dearing, Barbara D. Underwood, Michelle Aronowitz and Carl Distefano of counsel), in his statutory capacity under EPTL article 8. I. A petition to reopen probate should not be dismissed without any opportunity for preliminary discovery unless the petition, liberally construed, fails to set forth any indicia of a possible ground for objection to probate. (*Matter of Orlowski*, 281 AD2d 422; *Matter of Wharton*, 114 Misc 2d 1017; *Matter of Musso*, 227 AD2d 404; *Matter of Carney*, 31 Misc 2d 676; *Matter of Frutiger*, 29 NY2d 143; *Matter of Baldwin*, 3 AD2d 635; *Bazak Intl. Corp. v Mast Indus.*, 73 NY2d 113; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Udoff v Zipf*, 44 NY2d 117; *Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187.) II. The American Committee for Weizmann Institute of Science's petition sets forth strong indicia of undue influence that easily satisfy the standard on a motion to dismiss. (*Rollwagen v Rollwagen*, 63 NY 504; *Children's Aid Socy. of City of N.Y. v Loveridge*, 70 NY 387; *Matter of Henderson*, 80 NY2d 388; *Matter of Walther*, 6 NY2d 49; *Matter of Itta*, 225 AD2d 548; *Matter of Bacon*, 169 Misc 2d 858; *Matter of Jackson*, 134 Misc 750; *Matter of Ferrara*, 7 NY3d 244.) III. The lower courts' approach would virtually guarantee that charities will be unable to obtain relief in cases where relatives exercise undue influence to override a decedent's charitable intentions. (*Matter of Ferrara*, 7 NY3d 244; *Woodmere Academy v Steinberg*, 41 NY2d 746; *Saint Joseph's Hosp. v Bennett*, 281 NY 115.) IV. The First Depart-

ment erroneously dismissed the American Committee for Weizmann Institute of Science's contract claim for failure to satisfy the statute of frauds. (*Marks v Cowdin*, 226 NY 138; *Henry L. Fox Co. v Kaufman Org.*, 74 NY2d 136; *Rubin v Irving Trust Co.*, 305 NY 288.)

OPINION OF THE COURT

CIPARICK, J.

This appeal requires us to determine the standard applicable to a petition to vacate a probate decree brought by a nonparty to an initial probate proceeding and based upon “newly-discovered evidence,” which allegedly demonstrates that a probated will was procured through the exercise of undue influence upon a testator. We are also asked to consider whether correspondence between decedent, Doris Dunn Weingarten, and petitioner, a charitable organization engaged in fundraising for scientific research, constitutes a contract to bequeath the sale proceeds of decedent's cooperative apartment to petitioner that is sufficient to satisfy the statute of frauds applicable to testamentary bequests (EPTL 13-2.1).

We conclude, as to the second issue, that the correspondence presented here fails to satisfy the EPTL requirements because it does not indisputably demonstrate decedent's intent to renounce her right to freely execute a subsequent will during her lifetime. As to the primary issue here, we hold that a party seeking to vacate a probate decree based upon the alleged exercise of undue influence must establish a substantial basis for its challenge to the probated will and a reasonable probability of success on the merits of its claim. Because petitioner failed to substantiate its undue influence claim with competent evidence of decedent's longstanding, specific testamentary intent to benefit the charity in her will, we conclude, as a matter of law, that the Surrogate's Court did not abuse its discretion in refusing to vacate its probate decree.

I.

Decedent died on January 16, 2004. Five days before her death, she executed a will that named her brother, Irving Dunn, executor and left her duplex cooperative apartment to her niece Jennifer Dunn, Irving's daughter.¹ The co-op, which is located on Manhattan's Riverside Drive, was valued at approximately

1. Prior to this appeal, Irving Dunn died. Petitioner has substituted Renee Dunn, the executor of his estate, as a respondent in his stead.

\$1 million at the time. The January 11 will also left decedent's personal effects to Irving Dunn and her residuary estate to two of her nephews and two of her nieces, in equal shares.

On January 26, Irving Dunn filed a petition with Surrogate's Court, seeking probate of the January 11 will. On February 9, the Surrogate granted that petition on the basis of a January 12 affidavit submitted by Edward S. Schlesinger, an attorney who supervised and witnessed decedent's execution of the will, and another witness, Sarah J. Schlesinger.² In that affidavit both witnesses swore that the decedent "was under no duress or restraint[] and was in all respects competent to make a Will" when she executed the January 11 will.

Petitioner, a New York not-for-profit corporation engaged in the solicitation of philanthropic donations on behalf of the Weizmann Institute of Science, a center for scientific research and graduate study located in Israel, did not receive—nor was it entitled to—notice of either the January 26 probate petition or the February 9 decree. On October 5—nearly eight months later—petitioner filed a verified petition, signed by its executive vice-president, Martin Kraar, seeking vacatur of the February 9 decree pursuant to CPLR 5015, return of the co-op (or its proceeds) pursuant to SCPA 2105 and the opportunity to obtain discovery regarding decedent's execution of the January 11 will pursuant to SCPA 1404 (4). Petitioner alleged it was entitled to that relief because it had "newly-discovered evidence" that the January 11 will was executed due to Irving and/or Jennifer Dunn's exercise of undue influence over decedent and because it had a contract with decedent under which she was obligated to leave it the co-op's sale proceeds.

In its verified petition, petitioner alleged that decedent had "long intended to make a sizeable donation to Weizmann." In support of this claim, petitioner alleged that, in 1981, decedent and her husband, Aaron Weingarten, "executed reciprocal wills leaving their respective residuary estates to Weizmann should one predecease the other." Decedent's husband died in 1992. The verified petition claims that, after his death, decedent "decided to change the residuary bequest to [petitioner] to a

2. Although not alleged in its petition, before this Court petitioner asserted that Irving Dunn procured Mr. Schlesinger to draft the will. In addition, the Attorney General argued that Ms. Schlesinger is both Mr. Dunn's "next-door neighbor" and Mr. Schlesinger's daughter.

bequest of the proceeds of the sale of her duplex apartment.”³ Neither the 1981 will nor any subsequent will were annexed to the petition. But petitioner did annex two 1994 letters that, it contended, constituted a “binding contract” to leave it the co-op’s sale proceeds.

In the first letter, dated September 12, 1994, Richard Brill, whom petitioner claims was then acting as decedent’s attorney, wrote:

“I am drawing a will for my client, Doris Weingarten, of New York City. In the will she is making a very substantial bequest to the Weizmann Institute, contingent upon [it] agreeing to four conditions . . . (a) to establish a fund, to be called, in perpetuity, The Doris and Aaron Weingarten Fund (b) to place in the fund the entire sum paid to the Institute by the executor of the will, to constitute the principal of the fund (c) to invest the principal in interest-bearing investments, and (d) to expend annually the entire interest earned for scientific research.”

Four days later, petitioner’s then executive vice-president, Bernard Samers, responded, “acknowledg[ing] that [petitioner] will agree to the four conditions set forth in your letter.”

Petitioner alleged that decedent repeatedly “reconfirmed” the purported 1994 contract “up to several months before her death.” It claimed that on September 19, 1994, Judy Feig, its then director of planned giving, wrote to decedent to express petitioner’s gratitude for decedent’s generosity and to invite her to a “Gala Celebration,” tickets to which ordinarily cost \$1,000 each, at petitioner’s expense. In addition, petitioner asserted that in September 1996, decedent called Ms. Feig’s successor, Steven Meyers, to confirm that the “very substantial bequest” mentioned in Mr. Brill’s 1994 letter referred to her co-op’s sale proceeds. During that call, petitioner also alleges that decedent requested two free tickets to the 1996 Gala Celebration. In response to that request, petitioner claims that one of its employees, Tina Begleiter, met with decedent on October 2, 1996 at the co-op. After decedent purportedly reconfirmed her agreement to bequeath the co-op’s sale proceeds to petitioner, Ms. Begleiter

3. Decedent and her husband had no children.

allegedly gave decedent the free Gala tickets that she previously requested.⁴

According to petitioner, Ms. Begleiter regularly met with decedent until her passing. During their conversations, petitioner alleges that decedent repeatedly reaffirmed that petitioner would receive the co-op sale proceeds upon her death. Indeed, petitioner claims that in February 2000, decedent called Ms. Begleiter to inform her that a realtor had appraised the co-op at \$1.4 million. Based on decedent's representations, petitioner asserted that for many years it included the co-op's proceeds in its list of "known expectancies," which are used for purposes of financial and strategic planning. In addition, petitioner claims that, in consideration of decedent's anticipated bequest, it designated decedent a member of its Honor Society, which entitled her to a special pin and to attend a special event as well as special mailings and invitations to Weizmann Institute events.

At various times, over the course of their more-than 20-year relationship, petitioner alleges that decedent discussed with certain of its officials the possibility of "amending" the purported 1994 contract to transfer title to her co-op to petitioner while retaining a life estate for herself. Petitioner further claimed that a February 4, 1998 letter from decedent reconfirmed the 1994 contract to bequeath the co-op and discussed the life-estate option.

Turning to its allegations of undue influence, petitioner asserted that its longstanding reliance upon the 1994 contract was dashed in January 2004, when following a December 2003 diagnosis of terminal gall bladder cancer, decedent moved to Irving Dunn's apartment to receive hospice care during what would be her final illness. Petitioner claimed that when she executed the January 11 will, decedent "was in a severely weakened condition" and that Irving and/or Jennifer Dunn exerted undue influence over her. To support this allegation, petitioner alleged that "[t]he January 11, 2004 Will is an unexplained departure from [decedent's] previously expressed testamentary plan and repeatedly stated intention, over a period of more than 20 years, that she would make a substantial provision for Petitioner in her Will." Alternatively, petitioner claimed that it was entitled to the proceeds of the sale of the co-op based upon the "bind-

4. Petitioner also claims that decedent attended the 1997 through 2002 Galas at no cost and that on one occasion she brought Irving Dunn as a guest.

ing” 1994 contract. On November 22, 2004, respondents moved to dismiss the verified petition pursuant to CPLR 3211 (a) (7).

In opposition to respondents’ motion to dismiss, petitioner submitted an affidavit of its counsel, which attached an unexecuted copy of decedent’s 1981 will and a purported copy of decedent’s handwritten February 4, 1998 letter to Ms. Begleiter. The affidavit explained that although petitioner was never given an original copy of the 1981 will, decedent “told [petitioner] that she had executed this Will.” In the February 4, 1998 letter, decedent stated, as relevant here:

“I have spoken to my lawyer about changing my will to make the Weitzmann [*sic*] Institute take over my apartment now—but he said not to change it at the present time.

“So for now, Weitzmann [*sic*] will get the proceeds from the sale of the duplex upon my death.”

Other than these two additional documents, petitioner presented no documentary evidence or affidavits to substantiate the allegedly repeated conversations between decedent and its employees regarding the co-op or decedent’s alleged longstanding involvement with it.

Surrogate’s Court dismissed the verified petition. It held that deciding respondents’ motion required the application of two “intersect[ing standards of] review.” Because respondents moved to dismiss, the court reasoned that all facts pleaded in the verified petition must be accepted as true. But because petitioner sought to vacate a probate decree, it was required to present a “satisfactory showing of a substantial basis for contesting the will and [a] reasonable probability of success” on the merits of its claims. Applying these standards, the court concluded that the contract and undue influence claims failed. The contract claim was insufficient, the court said, because the 1994 letters and the 1998 letter did not constitute a “clear . . . commitment to enter into a firm obligation [to] . . . [forgo] the right to testation.” As for the undue influence claim, although “motive is readily alleged . . . as is opportunity,” the court held that petitioner had “not raised a *prima facie* case of undue influence,” because it failed to “raise an inference” that such influence was actually exercised. The court further reasoned that the fact that decedent’s will “provided for her closest relatives, including those who took care of her during her final illness” supported the conclusion that vacatur on undue influence grounds was not warranted.

The Appellate Division affirmed. Noting that it was “[g]ranting petitioner every presumption applicable to a pre-answer motion to dismiss,” the court held that the undue influence claim was properly dismissed because “[t]he record reflects no more than decedent’s choice of benefitting her niece . . . after decedent’s brother . . . had provided hospice care in his own home” (36 AD3d 419, 419 [2007]). Relying on *Matter of Walther* (6 NY2d 49 [1959]), the court reasoned that “[a] testator acting upon ‘ties of attachment arising from consanguinity, or the memory of kind acts and friendly offices,’ is not indicative of undue influence” (*id.* at 420, quoting *Walther* at 53, quoting *Children’s Aid Socy. of City of N.Y. v Loveridge*, 70 NY 387, 394 [1877]). Thus, the Court held that there was “no nonspeculative reason” to permit petitioner discovery regarding the execution of the January 11 will (*id.* at 420). In affirming dismissal of the contract claim, the court reasoned that decedent’s 1998 letter did “not unequivocally refer to the alleged [1994] contract” and that that letter also indicated that decedent’s intention regarding the bequest of the co-op was “not yet fully formed” (*id.*). We granted petitioner’s motion for leave to appeal and now affirm.

II.

[1] Petitioner, joined by the Attorney General as statutory intervenor, argues that, when construed together, the 1994 letters between Mr. Brill and Mr. Samers and decedent’s 1998 letter to Ms. Begleiter form an integrated contract that clearly evidences decedent’s intent to bequeath her co-op to petitioner. Thus, they assert that this alleged contract satisfies the statute of frauds codified in EPTL 13-2.1. Respondents counter that none of the proffered correspondence is sufficient to satisfy the statute because in none of it does decedent unequivocally renounce her right to dispose of the co-op in a subsequently executed will. We agree with respondents.

EPTL 13-2.1 (a) (2) provides that “a contract to make a testamentary provision of any kind” is enforceable only if “it or some note or memorandum thereof is in writing and subscribed by the party to be charged therewith, or by his [or her] lawful agent.” This provision reflects the well-settled precept that “[t]he . . . freedom of testation is a jealously guarded right, and any promise to restrict that right must be analyzed closely for fraud” (Turano, Practice Commentaries, McKinney’s Cons Laws of NY, Book 17B, EPTL 13-2.1, at 449 [2001 ed]).

The parties do not dispute that a memorandum sufficient to satisfy EPTL 13-2.1 may be set forth in separate writings that clearly refer to the subject matter of the contract, so long as one writing is signed by the party to be charged or a duly authorized agent (*see Marks v Cowdin*, 226 NY 138, 145 [1919, Cardozo, J.]; *see also Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48, 55 [1953]). But respondents dispute the contention that the three writings here unmistakably evince decedent's intent to leave her co-op to petitioner and that, if those writings are unclear as to her intent, parol evidence should be taken to resolve any ambiguity.

This case does not involve the application of the statute of frauds to an ordinary commercial contract (*see Rubin v Irving Trust Co.*, 305 NY 288, 298 [1953]). For more than a century, we have repeatedly emphasized that because a will is ambulatory in nature and because a testator has the right to freely revoke a will until death, an agreement not to revoke a prior will "demands the most indisputable evidence of . . . agreement" (*Edson v Parsons*, 155 NY 555, 568 [1898]; *Hamlin v Stevens*, 177 NY 39, 48 [1903] [contracts to make testamentary bequests should only be enforced "when they have been established by evidence so strong and clear as to leave no doubt"]; *Oursler v Armstrong*, 10 NY2d 385, 389 [1961] [because "the renunciation of the right to alter or revoke a will (is not) a casual matter . . . the Statute of Frauds . . . as well as the decisional law requires clear evidence" of such a promise]; *Rubenstein v Mueller*, 19 NY2d 228, 232 [1967] [intention must be manifested "clearly and unambiguously"]; *Blackmon v Estate of Battcock*, 78 NY2d 735, 740 [1991] ["the law strictly scrutinizes the renunciation of the right to revoke a will and requires a threshold showing of clear and unambiguous evidence to give effect to this surrender of rights"]⁵).⁵ The reason for this high evidentiary bar is simple: "[s]uch contracts are easily fabricated and hard to disprove, because the sole contracting party on one side is always dead when the question arises" (*Hamlin*, 177 NY at 47-48).

5. Whether the correspondence here is characterized as forming a purported contract to make a testamentary bequest or one not to revoke a prior will is immaterial. We have held that such contracts are equivalent (*see Rubin*, 305 NY at 297 ["(T)here can be no difference between a contract 'to bequeath property or make a testamentary provision' and a contract to refrain from altering an existing will, for wills are ineffective until the death of the testator" (citation omitted)]).

The courts below correctly concluded that petitioner failed to present indisputable evidence of a contract here. Even if sent on decedent's behalf, as petitioner alleges it was, Mr. Brill's 1994 letter does not unequivocally renounce decedent's right to execute a will making no provision for petitioner. The letter inquires whether petitioner would assent to the conditions but makes no promise that any will would be executed in consideration of such assent. Even assuming that Mr. Brill's letter could be construed as an offer, it does not promise to bequeath the co-op upon acceptance. Instead, it vaguely refers to a "very substantial bequest" as consideration for the establishment of the memorial fund. This is insufficient to satisfy the statute of frauds (*see Morris Cohon & Co. v Russell*, 23 NY2d 569, 576 [1969] [memorandum sufficient to satisfy statute of frauds must establish "the subject matter of the transaction"]; *cf. Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475, 482 [1989] ["If an agreement is not reasonably certain in its material terms, there can be no legally enforceable contract"]).

Petitioner and the Attorney General rely on decedent's 1998 letter to cure the ambiguity, but it too is unclear and ambiguous. Petitioner and the Attorney General argue that the sentence of the 1998 letter beginning "[s]o for now" should be construed as a confirmation that petitioner would receive the co-op or the proceeds of its sale upon decedent's death, but that decedent had decided not to transfer title to the charity during her lifetime. But that construction is hardly indisputable. Indeed, respondent plausibly argues—and the Surrogate found—that the phrase could equally be interpreted as indicating decedent's retention of the full complement of her testamentary rights, i.e., that petitioner was designated as a legatee "for now," but that its status could change at her discretion. And, because the 1994 and 1998 letters do not clearly evidence decedent's promise to bequeath the co-op's proceeds to petitioner, the Surrogate could not have considered parol evidence to clarify decedent's intent (*see Marks*, 226 NY at 143 [courts may not "import() into (a) contract a new element of promise" through the introduction of parol evidence]; *Stulsaft v Mercer Tube & Mfg. Co.*, 288 NY 255, 260 [1942] ["A custom cannot create a contract where there has been no agreement by the parties and none is implied by law"]; *cf. Crabtree*, 305 NY at 57 [parol evidence permissible because there "can be (no) doubt that the memorandum contains all of the essential terms of the contract"]). Accordingly, under our well-settled precedents,

requiring that evidence of an agreement to make a testamentary bequest must be indisputable, EPTL 13-2.1's statute of frauds bars petitioner's contract claim.⁶

III.

[2] Turning to the standard that should govern the Surrogate's consideration of a petition to vacate a probate decree upon allegations that a will was procured through the exercise of undue influence, petitioner and the Attorney General contend that the standard should be analogous to that applicable to a court's consideration of a motion to dismiss for failure to state a claim. Emphasizing that it is seeking only the opportunity to take discovery pursuant to SCPA 1404 (4), petitioner argues that a probate decree should be vacated—and such discovery permitted—if a party's verified petition contains allegations that, if taken as true, would cause a reasonable person to be uncertain that the probated will was validly made.⁷ In contrast, respondents contend that a probate decree should be vacated only if petitioner can demonstrate facts constituting a substantial basis for challenging the proffered will and a reasonable probability of success on the merits of its undue influence claim.⁸ We adopt respondents' proposed standard. And we conclude that the Surrogate did not abuse her discretion in refusing to vacate the decree in order to allow petitioner discovery pursuant to SCPA 1404 (4).

Under SCPA 1404 (4), “[a]ny party” to a probate proceeding may:

“before or after filing objections to the probate of the will . . . examine any or all of the attesting wit-

6. Because petitioner failed to establish, through clear and unambiguous evidence, that decedent was contractually obligated to bequeath her co-op to it, it was not entitled to the co-op's proceeds under SCPA 2105. That statute permits a party to petition the Surrogate for return of property that is “alleged to be in the possession of or under the control of a fiduciary” (SCPA 2105 [1]). But it requires a showing of “facts” necessary to sustain the claim (*see id.*; *see also* 5-64 Warren's Heaton, Surrogate's Court Practice § 64.05 [2] [2007] [hereinafter Warren's Heaton] [SCPA 2105 petition “should set forth not only the claim to the property but the basis for that claim”]). Petitioner failed to make the required factual showing here.

7. The Attorney General's proposed rule is similar. He would allow SCPA 1404 (4) discovery if a pleading, when liberally construed, identifies circumstances indicating the possible exercise of undue influence.

8. Despite this contention on appeal, respondents moved to dismiss below under CPLR 3211 (a) (7) for “fail[ure] to state a cause of action.”

nesses, the person who prepared the will, and if the will contains a provision designed to prevent a disposition or distribution from taking effect in case the will, or any part thereof, is contested, the nominated executors in the will and the proponents.”

In connection with these examinations, a party is entitled to “all rights granted under article 31 of the civil practice law and rules with respect to document discovery” (*id.*).

Petitioner concedes, as it must, that it was not a necessary party to the probate proceeding. This is because it did not file any prior will in which the decedent allegedly named it as a beneficiary with Surrogate’s Court (*see* SCPA 1403 [1] [d] [listing as necessary party “(a)ny person designated as beneficiary . . . in any other will of the same testator filed in the surrogate’s court of the county in which the propounded will is filed whose rights or interests are adversely affected by the instrument offered for probate’’]).⁹ Accordingly, petitioner was not entitled to the discovery it now seeks as of right and was required to petition the Surrogate for vacatur of the previously-issued probate decree.¹⁰

The SCPA does not set forth the standard applicable to the present vacatur petition. Thus, CPLR 5015 governs (CPLR 101 [the CPLR “shall govern the procedure in civil judicial proceedings in all courts of the state and before all judges, except where the procedure is regulated by inconsistent statute’’]; *see also* SCPA 209 [10] [Surrogate’s Court “shall have all of the powers that the supreme court would have in like actions and proceedings’’]). As relevant here, that statute requires a party seeking to vacate a final judgment upon the ground of newly discovered evidence to establish that such evidence “would probably have

9. Petitioner asserts that filing decedent’s prior will would have been “unseemly,” and that charities generally do not file wills containing philanthropic bequests because that practice would usurp a testator’s prerogative to file a will before death. We note, however, that SCPA 2507, which governs the filing of wills, permits “any person” to file “any will” in the Surrogate’s Court located in the county where the testator is domiciled, without providing notice of such filing to the testator (SCPA 2507 [1]).

10. The dissent correctly acknowledges that SCPA 1404 (4) does not support petitioner’s right to the discovery that it now seeks (*see* dissenting op at 99). But it asserts that such discovery should be permitted in this and other cases in which the denial of discovery seems “unfair” (*see id.* at 98). The propriety of such an expansion of section 1404 (4), however, is a matter best left to the legislature.

produced a different result” in the original proceeding (CPLR 5015 [a] [2]).

Echoing this statutory standard, courts considering attempts to vacate probate decrees have held that the reopening of a decree is permissible only when a petitioner “show[s] facts sufficient to afford a substantial basis for the contest and reasonable probability of success” on the merits of its challenge (*Matter of Westberg*, 254 App Div 320, 321 [1st Dept 1938]; *accord Matter of Musso*, 227 AD2d 404, 406 [2d Dept 1996] [“A petitioner seeking to vacate a probate decree must establish ‘with some degree of probability that his (or her) claim is well founded, and that, if afforded an opportunity, he (or she) will be able to substantiate it’ ”]).

Because we conclude that this standard strikes the proper balance between the Surrogate’s statutory duty to “inquire particularly into all the facts” and to be “satisfied with the genuineness of the will and the validity of its execution” before admitting a will to probate (SCPA 1408 [1]) and the policy favoring the finality of validly issued decrees, we adopt it here.

We hold that to establish its entitlement to vacatur under this standard, a party must demonstrate a substantial basis for its contest and a reasonable probability of success through competent evidence that would have probably altered the outcome of the original probate proceeding (*see* Siegel, NY Prac § 428 [4th ed] [courts have generally required showing of “competent evidence” before vacating judgments under CPLR 5015 (a) (2)]).¹¹ Permitting vacatur of a probate decree based upon mere allegations of undue influence would be unduly disruptive and could encourage specious claims in the hope of securing unjustified settlements that would upset the legitimate expectations of a decedent’s intended beneficiaries. Moreover, SCPA 1404 (4) discovery is potentially burdensome. The Surrogate has broad discretion to order discovery of, among other things:

“correspondence, memoranda or notes between the executors of the decedent’s Will and the attesting

11. In adopting this standard, we recognize the difficulties faced by charities in asserting undue influence claims. But we emphasize that a charity must take care to carefully and consistently document its interactions with prospective donors throughout their lifetimes so that it is in a position to proffer evidence demonstrating a reasonable probability of success on the merits of an undue influence challenge.

witnesses; all billings, expenses and receipts by one of the witnesses or his law firm regarding the decedent; lists of prospective heirs or other memoranda in any way reflecting the decedent's estate plan; copies of the decedent's Federal and New York income and gift tax returns; checking account ledgers, canceled checks, and other bank books; safe deposit box inventories; records of advancements made by the decedent; and copies of all correspondence relating to stock transfers" (see 112 Warren's Heaton § 112.08 [1] [a] [iii], citing *Matter of Delisle*, 149 AD2d 793 [3d Dept 1989]).

And, under SCPA 1404 (5), the testator's estate is solely responsible for the cost of one or more depositions that may constitute no more than a prolonged fishing expedition into the circumstances surrounding the execution of an already validly probated will. Thus, in a close case such as this, a strong showing was required before embarking on discovery.

Petitioner argues that it met its burden by its verified petition showing a dramatic departure from a longstanding testamentary plan by a testator who, at the time the challenged will was executed, was in a weakened condition and in the care of persons benefitting from that will. But to support its allegations of decedent's longstanding intent to benefit it in her will, petitioner only proffered documentary evidence consisting of: the unexecuted 1981 will, the 1994 correspondence between Messrs. Brill and Samers, and a 1998 letter purportedly drafted by decedent. The 1994 letter was an inquiry, however, and the 1998 letter did not constitute an unequivocal promise to bequeath the co-op. The verified petition also alleged that during conversations with two of its employees in 1994 and 1996 and unspecified "regular" meetings with Ms. Begleiter—from October 2, 1996 until the time of her death more than seven years later—decedent reconfirmed that she intended to bequeath the co-op's sale proceeds to petitioner. Further, petitioner alleged that at "various times" decedent discussed with a "number of [its] officials" the possibility of transferring her co-op to it inter vivos. But petitioner produced no evidence establishing that any of these alleged meetings or conversations actually occurred.¹² And although petitioner claimed that decedent "change[d] the residuary bequest" in the proffered

12. Contrary to respondents' assertion, the Dead Man's Statute, CPLR 4519, would pose no bar to presentation of affidavits setting forth the circum-

(n. cont'd)

unexecuted 1981 will to bequeath her co-op to it, no will evidencing this alteration was offered.

The Surrogate was only confronted with a verified petition annexing evidence of decedent's alleged intent in 1981, 1994 and 1998—no evidence of her intent in the years prior to her death. The facts petitioner offered simply do not show a long-standing and detailed testamentary plan to benefit petitioner.

[3] Petitioner has failed to establish a substantial basis for vacating the Surrogate's decree or a reasonable probability of success on the merits of its undue influence claim. Given that wills are "ambulatory in nature" (*Blackmon*, 78 NY2d at 739), we cannot say that, on these facts, the Surrogate abused her discretion in denying vacatur of a probate decree. Indeed, that exercise of discretion is further supported by the fact that the challenged will left decedent's co-op to her niece, a close relative whose father—decedent's brother and executor—opened his home to decedent while she received hospice care for terminal cancer during her final days (*cf. Walther*, 6 NY2d at 55 ["The evidence does not irresistibly exclude the inference that family ties, natural demands of love and affection prompted the decedent to dispose of her property in this manner"]).

IV.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). I agree that the evidence here does not prove undue influence was exercised. It is quite possible that decedent's brother did not do anything wrong. But there is some reason to suspect he did, and if he did petitioner will have, effectively, been cheated out of a legacy without any opportunity to prove the wrongdoing. I think this is unfair. Thus, while this record does not justify vacating the probate decree, petitioner should be given a chance, through discovery, to obtain evidence that would justify it.

Incomplete as the present record is, three troubling facts emerge: First, decedent's estate plan, beginning more than 20

stances surrounding the alleged conversations between petitioner's employees and decedent or to the introduction of testimony consistent with such affidavits at trial (*see* Weinstein-Korn-Miller, NY Civ Prac ¶ 4519.15 [2d ed] ["(C)orporations are almost immune from the Dead Man's Statute" because corporate employees are not "disqualified from testifying for (their) employer"]).

years before her death, included a large bequest to petitioner. Secondly, decedent changed her will in her last illness, five days before her death, to leave nothing to petitioner and the bulk of the estate to her brother's daughter. Thirdly, at the time of the change decedent was being cared for in her brother's home.

Of course, these facts could have a perfectly innocent explanation, but that leads me to a fourth troubling aspect of the case: Decedent's brother (now deceased) and his daughter, the executor and successor executor under the will, have chosen to volunteer no information whatever. It is true, of course, that they had no obligation to speak, but in my experience litigants are rarely so reticent when the facts they know would help their case. I do not suggest that their silence justifies an adverse inference, in the sense that it would in itself support vacating the probate decree. But I think the Surrogate abused her discretion in not requiring them to tell their story before deciding whether to vacate the decree or not.

If petitioner had been entitled to notice of the probate proceedings, it could have had discovery as a matter of right before deciding whether to challenge the will (SCPA 1404 [4]). Since it was not entitled to and did not get notice, it could not seek any relief until after the decree was entered. The Attorney General, appearing here as intervenor as part of his duty to protect charitable beneficiaries, argues that in circumstances like these, where there are some signs of undue influence, a disinherited charity should have the same discovery rights that section 1404 (4) would have given prior to probate. I agree. Judging from the cases cited by the parties, either discovery or an evidentiary hearing has been the normal practice in similar situations (see *Estate of Greene*, NYLJ, May 22, 1996, at 29, col 6 [Sur Ct], *affd* 240 AD2d 745 [2d Dept 1997]; *Estate of Sokol*, NYLJ, Jan. 9, 1995, at 31, col 3 [Sur Ct]; *Matter of Abrial*, 286 App Div 916 [3d Dept 1955]; *Matter of Callahan*, 273 App Div 884 [1st Dept 1948]). I see no valid reason for denying discovery here.

Chief Judge KAYE and Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion.

Order affirmed, with costs.

[884 NE2d 1005, 855 NYS2d 6]

SOTERIOS (STEVE) TZOLIS et al., Individually and in the Right and on Behalf of Pennington Property Co. and Another, et al., Respondents, v HERBERT WOLFF et al., Defendants, and PARKWAY LLC et al., Appellants.

Argued January 3, 2008; decided February 14, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 8, 2007. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Herman Cahn, J.; op 12 Misc 3d 1151[A], 2006 NY Slip Op 50851[U]), as had granted a motion by defendants 316 Pennington LLC, Jay Podolsky and Stuart Podolsky for dismissal of the first amended complaint to the extent of dismissing the first and second causes of action and the notice of pendency; granted the motion by defendant Herbert Wolff to dismiss the first amended complaint to the extent of dismissing the first, second and fifth causes of action; and dismissed the action as against defendants Irving Godolsky, Sam Godolsky, Rita Cwern, Pennington Leasing Corp. and Parkway LLC. The modification consisted of reinstating the first cause of action against defendants Herbert Wolff, 316 Pennington LLC, Jay Podolsky, Stuart Podolsky, Solomon Freedman and Toby Birnbaum; reinstating the second cause of action against defendants Herbert Wolff, 316 Pennington LLC, Jay Podolsky, Stuart Podolsky, Solomon Freedman, Toby Birnbaum, Parkway LLC and Pennington Leasing Corp.; and reinstating the notice of pendency. The Appellate Division affirmed the order as modified. The Appellate Division also reversed, on the law, an order of that Supreme Court which had granted the motion of defendants Parkway LLC and Pennington Leasing Corp. to dismiss the second cause of action, denied the motion and reinstated the cause of action. The following question was certified by the Appellate Division: “Was the order of this Court, which modified the order of the Supreme Court, New York County, entered on or about March 23, 2006, and reversed the order of Supreme Court, entered on or about July 6, 2006, properly made?”

Tzolis v Wolff, 39 AD3d 138, affirmed.

HEADNOTE**Limited Liability Companies — Shareholders' Derivative Action**

Members of a limited liability company (LLC) may bring derivative suits on the LLC's behalf, even though there are no provisions governing such suits in the Limited Liability Company Law. The derivative suit is an important part of the general corporate law of this state, and there is no evidence that the Legislature decided to abolish this remedy when it passed the Limited Liability Company Law. To hold that there is no remedy when corporate fiduciaries use corporate assets to enrich themselves would be unacceptable. Although derivative suits are not the only possible remedy, they are the one that has been recognized for most of two centuries. Substituting direct remedies of LLC members for the old-fashioned derivative suit—a substitution not suggested by anything in the language of the Limited Liability Company Law—would raise unanswered questions. Inasmuch as courts have repeatedly recognized derivative suits in the absence of express statutory authorization, the mere absence of authorizing language in the Limited Liability Company Law does not bar the courts from entertaining derivative suits by LLC members.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations §§ 1944, 1945, 2021.

CARMODY-WAIT 2d, Actions and Proceedings by and
Against Corporations, Their Officers, Directors, and
Shareholders § 121:178.

NY JUR 2d, Business Relationships § 2144.

ANNOTATION REFERENCE

Construction and application of limited liability company
acts. 79 ALR5th 689.

FIND SIMILAR CASES ON WESTLAW®

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Query: limited /2 liability /2 company /s derivative

POINTS OF COUNSEL

Loeb & Loeb LLP, New York City (*David M. Satnick*, *David B. Eizenman* and *John A. Piskora* of counsel), for appellants. I. The legislative history of the Limited Liability Company Law makes clear the Legislature's intent that members do not have the right to assert derivative claims. (*Riley v County of Broome*, 95 NY2d 455; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Hoffman v Unterberg*, 9 AD3d 386; *Lio v Mingyi Zhong*, 10 Misc 3d 1068[A], 2006 NY Slip Op 50016[U]; *Schindler v Niche Media Holdings*, 1 Misc 3d 713; *Bischoff v Boar's Head Provisions Co., Inc.*, 436 F Supp 2d 626; *Caprer v Nuss-*

baum, 36 AD3d 176; *People v Finnegan*, 85 NY2d 53; *Nachman Corp. v Pension Benefit Guaranty Corporation*, 446 US 359; *People v Korkala*, 99 AD2d 161.) II. The Appellate Division’s decision constitutes judicial legislation. III. The express language of the Limited Liability Company Law precludes derivative actions by LLC members. (*Klebanow v New York Produce Exch.*, 344 F2d 294; *Riviera Congress Assoc. v Yassky*, 18 NY2d 540; *Stark v Goldberg*, 297 AD2d 203; *State of New York v Patricia II.*, 6 NY3d 160; *Matter of M.B.*, 6 NY3d 437; *People v Santi*, 3 NY3d 234; *City of New York v Stringfellow’s of N.Y.*, 96 NY2d 51; *Nathanson v Nathanson*, 20 AD3d 403; *Lio v Mingyi Zhong*, 10 Misc 3d 1068[A], 2006 NY Slip Op 50016[U]; *Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art*, 93 NY2d 729.)

Feldman Weinstein & Smith LLP, New York City (Eric S. Weinstein and Yong Hak Kim of counsel), for respondents. I. This case arising in equity, the Supreme Court’s jurisdiction is granted by the New York State Constitution; the Legislature cannot abridge that power. (*Brinckerhoff v Bostwick*, 88 NY 52; *Ross v Bernhard*, 396 US 531; *Ettlinger v Persian Rug & Carpet Co.*, 142 NY 189; *Klebanow v New York Produce Exch.*, 344 F2d 294; *Riviera Congress Assoc. v Yassky*, 18 NY2d 540; *Strain v Seven Hills Assoc.*, 75 AD2d 360; *Salm v Feldstein*, 20 AD3d 469; *Lio v Mingyi Zhong*, 10 Misc 3d 1068[A], 2006 NY Slip Op 50016[U]; *Waters & Co. v Gerard*, 189 NY 302; *Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260.) II. Soterios Tzolis has a direct claim. (*Bonham v Coe*, 249 App Div 428, 276 NY 540; *Breed v Barton*, 54 NY2d 82; *Eisenberg v Central Zone Prop. Corp.*, 306 NY 58; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557; *Matter of Willcox v Stern*, 18 NY2d 195; *James v Lewis*, 135 AD2d 785.)

OPINION OF THE COURT

SMITH, J.

We hold that members of a limited liability company (LLC) may bring derivative suits on the LLC’s behalf, even though there are no provisions governing such suits in the Limited Liability Company Law.

Facts and Procedural History

Pennington Property Co. LLC was the owner of a Manhattan apartment building. Plaintiffs, who own 25% of the membership interests in the LLC, bring this action “individually and in the

right and on behalf of” the company. Plaintiffs claim that those in control of the LLC, and others acting in concert with them, arranged first to lease and then to sell the LLC’s principal asset for sums below market value; that the lease was unlawfully assigned; and that company fiduciaries benefitted personally from the sale. Plaintiffs assert several causes of action, of which only the first two are in issue here: The first cause of action seeks to declare the sale void, and the second seeks termination of the lease.

Supreme Court dismissed these causes of action. It held that they could not be brought by plaintiffs individually, because they were “to redress wrongs suffered by the corporation” (12 Misc 3d 1151[A], 2006 NY Slip Op 50851[U], *4). It also held, following *Hoffman v Unterberg* (9 AD3d 386 [2d Dept 2004]), that “New York law does not permit members to bring derivative actions on behalf of a limited liability company” (*id.* at *5). The Appellate Division, concluding that derivative suits on behalf of LLCs are permitted, reversed (39 AD3d 138 [1st Dept 2007]), and granted two defendants permission to appeal on a certified question. We now affirm the Appellate Division’s order.

Discussion

The issue is whether derivative suits on behalf of LLCs are allowed. The basis for appellants’ argument that they are not is the Legislature’s decision, when the Limited Liability Company Law was enacted in 1994, to omit all reference to such suits. We hold that this omission does not imply such suits are prohibited. We base our holding on the long-recognized importance of the derivative suit in corporate law, and on the absence of evidence that the Legislature decided to abolish this remedy when it passed the Limited Liability Company Law in 1994.

I

The derivative suit has been part of the general corporate law of this state at least since 1832. It was not created by statute, but by case law. Chancellor Walworth recognized the remedy in *Robinson v Smith* (3 Paige Ch 222 [1832]), because he thought it essential for shareholders to have recourse when those in control of a corporation betrayed their duty. Chancellor Walworth applied to a joint stock corporation—then a fairly new kind of entity—a familiar principle of the law of trusts: that a beneficiary (or “cestui que trust”) could bring suit on behalf of a trust when a faithless trustee refused to do so. Ruling that

shareholders could sue on behalf of a corporation under similar circumstances, the Chancellor explained:

“The directors are the trustees or managing partners, and the stockholders are the cestui que trusts, and have a joint interest in all the property and effects of the corporation. . . . And no injury the stockholders may sustain by a fraudulent breach of trust, can, upon the general principles of equity, be suffered to pass without a remedy. In the language of Lord Hardwicke, in a similar case [*Charitable Corp. v Sutton*, 2 Atk 400, 406 (Ch 1742)], ‘I will never determine that a court of equity cannot lay hold of every such breach of trust. I will never determine that frauds of this kind are out of the reach of courts of law or equity; for an intolerable grievance would follow from such a determination.’ ” (3 Paige Ch at 232.)

Eventually, the rule that derivative suits could be brought on behalf of ordinary business corporations was codified by statute (see Business Corporation Law § 626 [a]). But until relatively recently, no similar statutory provision was made for another kind of entity, the limited partnership; again, the absence of a statute did not prevent courts from recognizing the remedy. In *Klebanow v New York Produce Exch.* (344 F2d 294 [2d Cir 1965, Friendly, J.]), the Second Circuit Court of Appeals held that limited partners could sue on a partnership’s behalf. For the Second Circuit, the absence of a statutory provision was not decisive because the court found no “clear mandate *against* limited partners’ capacity to bring an action like this” (*id.* at 298 [emphasis added]). We agreed with the holding of *Klebanow* in *Riviera Congress Assoc. v Yassky* (18 NY2d 540, 547 [1966, Fuld, J.]), relying, as had Chancellor Walworth long before, on an analogy with the law of trusts:

“There can be no question that a managing or general partner of a limited partnership is bound in a fiduciary relationship with the limited partners . . . and the latter are, therefore, *cestuis que trustent*. . . . It is fundamental to the law of trusts that *cestuis* have the right, ‘upon the general principles of equity’ (*Robinson v. Smith*, 3 Paige Ch. 222, 232) and ‘independently of [statutory] provisions’ (*Brinckerhoff v. Bostwick*, 88 N. Y. 52, 59), to sue for the benefit of the trust on a cause of action which

belongs to the trust if ‘the trustees refuse to perform their duty in that respect’. (*Western R. R. Co. v. Nolan*, 48 N. Y. 513, 518)”

After *Klebanow* and *Riviera* were decided, the Partnership Law was amended to provide for derivative actions by limited partners (see Partnership Law § 115-a [1]).

We now consider whether to recognize derivative actions on behalf of a third kind of entity, the LLC, as to which no statutory provision for such an action exists. In addressing the question, we continue to heed the realization that influenced Chancellor Walworth in 1832, and Lord Hardwicke 90 years earlier: When fiduciaries are faithless to their trust, the victims must not be left wholly without a remedy. As Lord Hardwicke put it, to “determine that frauds of this kind are out of the reach of courts of law or equity” would lead to “an intolerable grievance” (*Charitable Corp. v Sutton*, 2 Atk at 406).

To hold that there is no remedy when corporate fiduciaries use corporate assets to enrich themselves was unacceptable in 1742 and in 1832, and it is still unacceptable today. Derivative suits are not the only possible remedy, but they are the one that has been recognized for most of two centuries, and to abolish them in the LLC context would be a radical step.

Some of the problems such an abolition would create may be seen in the development of New York law since the Limited Liability Company Law, omitting all reference to derivative suits, was passed in 1994. Several courts have held that there is no derivative remedy for LLC members (see *Hoffman v Unterberg*, 9 AD3d 386 [2d Dept 2004]; *Lio v Mingyi Zhong*, 10 Misc 3d 1068[A], 2006 NY Slip Op 50016[U] [Sup Ct, NY County 2006]; *Schindler v Niche Media Holdings*, 1 Misc 3d 713, 716 [Sup Ct, NY County 2003]). But since the Legislature obviously did not intend to give corporate fiduciaries a license to steal, a substitute remedy must be devised. Perhaps responding to this need, some courts have held that members of an LLC have their own, direct claims against fiduciaries for conduct that injured the LLC—blurring, if not erasing, the traditional line between direct and derivative claims (see *Matter of Marciano [Champion Motor Group, Inc.]*, 2007 NY Slip Op 34071[U], *4 [Sup Ct, Nassau County 2007]; *Out of the Box Promotions LLC v Koschitzki*, 15 Misc 3d 1134[A], 2007 NY Slip Op 50973[U], *7 [Sup Ct, Kings County 2007]; *Lio*, 2006 NY Slip Op 50016[U], at *4). Similarly, Supreme Court’s decision in this case upheld several of plaintiffs’ claims that are not in issue here, characterizing

the claims as direct, though they might well be derivative under traditional analysis (*see generally*, Kleinberger, *Direct Versus Derivative and The Law of Limited Liability Companies*, 58 Baylor L Rev 63 [2006]).

Substituting direct remedies of LLC members for the old-fashioned derivative suit—a substitution not suggested by anything in the language of the Limited Liability Company Law—raises unanswered questions. Suppose, for example, a corporate fiduciary steals a hundred dollars from the treasury of an LLC. Unquestionably he or she is liable to the LLC for a hundred dollars, a liability which could be enforced in a suit by the LLC itself. Is the same fiduciary also liable to each injured LLC member in a direct suit for the member’s share of the same money? What, if anything, is to be done to prevent double liability? No doubt, if the Legislature had indeed abolished the derivative suit as far as LLCs are concerned, we could and would answer these questions and others like them. But we will not readily conclude that the Legislature intended to set us on this uncharted path.

II

As shown above, courts have repeatedly recognized derivative suits in the absence of express statutory authorization (*Robinson v Smith*, 3 Paige Ch 222 [1832]; *Klebanow v New York Produce Exch.*, 344 F2d 294 [2d Cir 1965]; *Riviera Congress Assoc. v Yassky*, 18 NY2d 540 [1966]). In light of this, it could hardly be argued that the mere absence of authorizing language in the Limited Liability Company Law bars the courts from entertaining derivative suits by LLC members. It is argued, however, by appellants and by our dissenting colleagues, that here we face not just legislative silence, but a considered legislative decision not to permit the remedy. The dissent finds, in the legislative history of the Limited Liability Company Law, a “legislative bargain” to the effect that derivative suits on behalf of LLCs should not exist (dissenting op at 113). We find no such thing. For us, the most salient feature of the legislative history is that no one, in or out of the Legislature, ever expressed a wish to *eliminate*, rather than limit or reform, derivative suits.

The Legislature clearly did decide not to enact a statute governing derivative suits on behalf of LLCs. An Assembly-passed version of the bill that became the Limited Liability Company Law included an article IX, entitled “Derivative Actions.” In the Senate-passed version, and the version finally

adopted, the article was deleted, leaving a conspicuous gap; in the law as enacted, the article following article VIII is article X. Nothing in the legislative history discusses the omission. Our only source of information on the reason for it is a sentence written by the author of the Practice Commentaries on the Limited Liability Company Law: “Because some legislators had raised questions about the derivative rights provisions, to avoid jeopardizing passage of the balance of the entire law, Article IX was dropped” (Rich, Practice Commentaries, McKinney’s Cons Laws of NY, Book 32/32A, Limited Liability Company Law, at 181 [2007]). Nothing tells us what the “questions” were, or why they would have jeopardized the bill’s passage.

The dissent attempts to fill this gap by reviewing some other events preceding the passage of the legislation. The dissent points out that New York politicians in 1993 and 1994 wanted to improve “New York’s overall business climate” (dissenting op at 110), and that among the proposed means of doing so were “bills . . . to *modify the treatment of* derivative lawsuits and authorize limited liability companies” (*id.*, quoting Blackman, Corporate Update, *Move Over Delaware! Making New York Incorporation-Friendly*, NYLJ, Dec. 16, 1993, at 5, col 2 [emphasis added]). But the dissent cites no evidence, and we know of none, that anyone ever suggested doing away with derivative suits entirely—a radical step, as we have already pointed out, and one that might be expected to harm the “business climate” more than help it.

In fact, the reforms of derivative suits that were under discussion in 1993-1994 came nowhere near to abolition. They were, in substance, proposals to codify and expand on our decision in *Auerbach v Bennett* (47 NY2d 619 [1979]), holding that a decision by disinterested directors to terminate a derivative suit would be honored by the courts (*see* Blackman, NYLJ, Dec. 16, 1993, at 5, col 2). All three of the bills introduced to reform derivative suits began with an endorsement of such suits in principle:

“The legislature finds and declares it to be the public policy of the state of New York to maintain the shareholder derivative suit proceeding as a remedy for shareholders on behalf of New York corporations because such suits, when meritorious, serve as an important deterrent against breaches of fiduciary duties by directors of such corporations.” (*See* NY

Senate Bill S6222 [introduced Dec. 15, 1993]; NY
Senate Bill S6222-A [amended Dec. 17, 1993]; NY
Assembly Bill A8938 [Dec. 17, 1993]).

The connection, if any, between the proposed reforms of derivative suits and the fate of proposed article IX of the Limited Liability Company Law is obscure. It seems to be true that the Senate favored a bill from which article IX was absent, and that the Assembly acquiesced in the Senate's preference. But this does not prove that any legislator, much less the Legislature as a whole, thought that the absence of article IX would render derivative suits nonexistent—an extreme result that no legislator is known to have favored. We simply do not know what consequences the legislators expected to follow from the omission. It is possible that some legislators did expect—though no one expressed the expectation—that there would be no derivative suits. It is possible that some legislators expected the courts to follow the established case law, and to recognize derivative suits in the absence of a “clear mandate against” doing so (*Klebanow*, 344 F2d at 298); one witness at a legislative public hearing did express that expectation (statement of Howard N. Lefkowitz, chair of Committee on Corporation Law, Association of Bar of City of NY, Transcript of Assembly Public Hearing on Limited Liability Company Legislation, June 11, 1992, at 133). It is possible that the Senate expected one thing, and the Assembly the other. It is even possible that neither expected anything, except that the problem would cease to be the Legislature's and become the courts'. The legislative history is, in short, far too ambiguous to permit us to infer that the Legislature intended wholly to eliminate, in the LLC context, a basic, centuries-old protection for shareholders, leaving the courts to devise some new substitute remedy.

The dissent says that, in upholding the right of LLC members to sue derivatively, we leave that right “unfettered by the prudential safeguards against abuse that the Legislature has adopted . . . in other contexts” (dissenting op at 121). But the right to sue derivatively has never been “unfettered,” and the limitations on it are not all of legislative origin. The case in which derivative suits originated, *Robinson v Smith*, held that such a suit could be brought only on “a sufficient excuse”—i.e., a showing that those in control of the corporation “refused to prosecute” because they were themselves the wrongdoers, or were in “collusion with” them (3 Paige Ch at 232, 233). Later cases reaffirmed the rule that a derivative action could not be

brought “unless it is necessary because of the neglect and refusal of the corporate body to act” (*see e.g. Continental Sec. Co. v Belmont*, 206 NY 7, 15 [1912]). The statutes governing ordinary business corporations and limited partnerships now reflect the existence of that rule, requiring the complaint in a derivative suit to allege “the efforts of the plaintiff to secure the initiation of such action . . . or the reasons for not making such effort” (Business Corporation Law § 626 [c]; Partnership Law § 115-a [3]). Other statutory provisions impose other limitations (*see* Business Corporation Law § 626 [b]; Partnership Law § 115-a [2] [contemporaneous ownership of plaintiff’s interest]; Business Corporation Law § 627; Partnership Law § 115-b [posting security for expenses]). What limitations on the right of LLC members to sue derivatively may exist is a question not before us today. We do not, however, hold or suggest that there are none.

Finding no clear legislative mandate to the contrary, we follow *Robinson*, *Klebanow* and *Riviera* in concluding that derivative suits should be recognized even though no statute provides for them. We therefore hold that members of LLCs may sue derivatively (*accord Bischoff v Boar’s Head Provisions Co. Inc.*, 436 F Supp 2d 626 [SD NY 2006]; *Weber v King*, 110 F Supp 2d 124 [ED NY 2000]; *contra Pennacchio ex rel. Old World Brewing Co., Inc. v Powers*, 2007 WL 446355, 2007 US Dist LEXIS 8051 [ED NY 2007]).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed with costs and the certified question answered in the affirmative.

READ, J. (dissenting). The result in this case is unique in the annals of the Court of Appeals. Never before has a majority of the Court read into a statute provisions or policy choices that the enacting Legislature unquestionably considered and rejected. I respectfully dissent.

Background and Legislative History

The limited liability company (LLC) first appeared in Wyoming in 1977, followed by Florida, which adopted an LLC act similar to Wyoming’s in 1982. “As in Wyoming, the Florida statute was enacted to lure capital into the state,” but “[a]s a result of the lingering uncertainty as to both tax treatment and the protection of the entity’s members from personal liability,” other states did not immediately follow suit (Keatinge et al.,

The Limited Liability Company: A Study of the Emerging Entity, 47 Bus Law 375, 383-384 [1992]). After the Internal Revenue Service's public ruling in 1988 that it would treat a Wyoming LLC as a partnership for tax purposes, however, many states and drafting commissions began to consider, or experiment with, LLC laws (*id.* at 384).

While all of this was happening, New York's Business Corporation Law was increasingly viewed as unfriendly to fledgling businesses. Indeed, in late 1993 a corporate lawyer in a major New York City law firm suggested that "[t]here are many cases where a lawyer who uses New York as the state of incorporation without discussing it in advance with his client is probably guilty of malpractice because of the many disadvantageous aspects of the New York law" (Peter Blackman, Corporate Update, *Move over Delaware! Making New York Incorporation-Friendly*, NYLJ, Dec. 16, 1993, at 5, col 2 [statement of Richard R. Howe]).

By the early 1990s, New York legislators and Governor Cuomo had advanced improving New York's overall business climate to the forefront of the political agenda in Albany (*see id.* ["In an effort to make New York a more attractive state in which to incorporate, several legislators have moved to even the imbalance between (New York and Delaware)"]). Although this pro-business agenda manifested itself in various ways—for example, it was in 1994 that Governor Cuomo and Chief Judge Kaye first sought to establish the Commercial Division of the Supreme Court (*see* Gary Spencer, *Cuomo Seeks State Commercial Court, Other Bills Aimed at Improvement of Business Climate*, NYLJ, Jan. 6, 1994, at 1, col 3)—two of the highest-profile pro-business initiatives were "bills pending in Albany to modify the treatment of derivative lawsuits and to authorize limited liability companies" (Blackman, NYLJ, Dec. 16, 1993, at 5, col 2). They were often cited together in reports of the legislative and gubernatorial agenda in 1993 and 1994 (*see id.*; *see also* Spencer, NYLJ, Jan. 6, 1994, at 1, col 3 ["pro-business proposals include bills that would: (d)iscourage shareholder derivative lawsuits . . . and (a)llow the formation of limited liability companies"]); Dao, New York Times, June 30, 1994, at B7 ["(Governor Cuomo) has lobbied for legislation to limit a type of lawsuit, known as derivatives, brought by shareholders against corporate boards for wrongdoing. . . . He has advocated creating a hybrid business entity—a limited liability company—that would possess the liability protections of corporations but have the lower tax rates of partnerships"]).

By mid-1992, “18 states . . . permit[ted] the formation of LLCs[,] . . . two states [recognized] LLCs formed in other states[,] LLC statutes [we]re pending or [we]re being considered in approximately 28 other states, and the National Conference of Commissioners on Uniform State Laws [wa]s drafting a uniform LLC statute” (Brian L. Schorr, *Limited Liability Companies: Features and Uses*, 62 CPA J [Issue 12] 26 [Dec. 1992], reprinted in 805 PLI/Corp 191, 193). On March 19, 1992, a Joint Drafting Committee of the Association of the Bar of the City of New York and the New York State Bar Association submitted a proposed limited liability company act for the New York Legislature’s consideration; by early May 1992, LLC bills had been introduced in both houses of the New York State Legislature (New York Limited Liability Company Law Update, 805 PLI/Corp at 211-212).

A limited liability company bill was introduced in the New York State Assembly as A11016 on March 31, 1992, less than two weeks after receipt of the Joint Drafting Committee’s draft. A11016 was, for purposes of this case, substantially identical to the finally enacted Limited Liability Company Law with two related exceptions: article IX of the bill authorized members to bring derivative actions;¹ and section 610, which set out the general rule that a member may not initiate an action by or against the company, included a derivative suit under article IX

1. Article IX, as proposed in A11016 and the LLC bills introduced in the Assembly in 1993 (discussed *infra* at 113), authorized a member of an LLC to bring a derivative action; required at least one plaintiff to be a member at the time the action was commenced and at the time of the challenged transaction; required the complaint to set forth with particularity the plaintiff’s or plaintiffs’ efforts to secure the initiation of the action by the LLC’s managers or those members who would otherwise have the authority to cause the LLC to sue in its own right; required court approval for the discontinuance, compromise or settlement of an action, and vested the court with discretion to require prior notice thereof by publication or otherwise to potentially affected members, and to assess the costs of this notice on one or more of the parties to the action; vested the court with discretion to award reasonable expenses, including reasonable attorneys’ fees, to a successful plaintiff or plaintiffs; gave the LLC the right to security for expenses, including attorneys’ fees, incurred in connection with the action unless the plaintiff’s or plaintiffs’ contributions or allocations amounted to 5% or more of the contributions or allocations of all members, or had a fair market value in excess of \$50,000; and vested the court with discretion to determine the amount of any security even where the 5% or \$50,000 test had been met, based upon the LLC’s showing of need. These provisions were substantially the same as sections 115-a and 115-b of the Partnership Law, which were, in turn, patterned after sections 626 and 627 of the Business Corporation Law respectively.

as an exception to this rule.² A11016 was referred to committee after its introduction; the Assembly took no further action on this bill in 1992.

On May 12, 1992, a limited liability company bill was introduced in the New York State Senate as S8180. This bill was substantially identical to the Assembly bill except for the notable absence of any language authorizing derivative actions. S8180 was amended and reprinted three times between May 12 and June 25 of 1992, at which point S8180-C—which still did not contain any provisions relating to derivative actions—was referred to committee and left for a subsequent session.

On June 11, 1992, public hearings were held on the Assembly bill. Testifying at these hearings on behalf of the Bar Association of the City of New York and the Joint Drafting Committee were Brian Schorr³ and Howard Lefkowitz. At the Assembly hearings, Mr. Schorr observed that “[t]he Assembly bill does contain provisions concerning the right of a member to bring a derivative action. These provisions are adapted from the [Partnership Law] . . . [T]he Senate bill contains no comparable provisions” (testimony of Brian L. Schorr, Transcript of Assembly Public Hearing on Limited Liability Company Legislation, June 11, 1992, at 27). At those same hearings, Mr. Lefkowitz, who was the chair of City Bar’s Committee on Corporation Law, spoke extensively in favor of derivative actions on behalf of LLCs. Before the Senate, however, the only reference to derivative rights in any testimony was the following statement by Mr. Schorr:

2. Section 610, as proposed in A11016 and LLC bills introduced in the Assembly in 1993 (discussed *infra* at 113), read as follows:

“A member of a limited liability company is not a proper party to proceedings by or against a limited liability company, except where the object is to enforce a member’s right against or liability to the limited liability company *and except in cases provided for in section nine hundred one of this chapter*” (emphasis added).

This provision mimics section 115 of the Partnership Law. Notably, the Legislature amended section 115 in 1968 to add the language excepting “cases provided for in section [115-a]” when it added the latter provision, which authorizes and regulates derivative suits commenced by limited partners (*see* L 1968, ch 496, § 2).

3. Mr. Schorr, then a partner at a major New York City law firm, was co-chair of the Joint Drafting Committee. Another participant in the drafting of the proposed Limited Liability Company Law was Bruce A. Rich, author of the oft-cited McKinney’s Practice Commentaries (*see* McKinney’s Cons Laws of NY, Book 32/32A, Limited Liability Company Law, Preface, at III [2007 ed]; *see infra* at 114).

“The Senate bills are based in large part on the proposed limited liability company law prepared by the Joint Drafting Committee, with changes that have been agreed to with other proponents of a limited liability company law. Subject to two exceptions, [City Bar] enthusiastically supports the Senate bills . . . The two exceptions are the inclusion of a publication requirement and the lack of derivative action provisions” (testimony of Brian L. Schorr, Senate Public Hearing on Limited Liability Company Legislation, Dec. 4, 1992, at 2).

As the subsequent legislative history of the Limited Liability Company Law confirms, the omission of provisions authorizing derivative actions was a material—if not *the* material—term in the legislative bargain struck by the Senate and the Assembly.

As noted earlier, LLC bills were introduced, in substantially complete form, in both chambers of the Legislature in the spring of 1992. The Assembly bill (A11016) authorized derivative actions; the Senate bill (S8180) did not. After both chambers failed to pass an LLC bill in 1992, efforts to negotiate a mutually agreeable statute resumed in 1993. On January 6, 1993, an LLC bill, S27, was introduced in the Senate; neither S27 nor any of its three reprints in 1993 contained any provision authorizing derivative actions. On March 30, 1993, an LLC bill containing article IX and the accompanying language in section 610 was again introduced in the Assembly as A7127. This bill was referred to committee, and no further action was ever taken on it. On June 25, 1993, the Assembly Rules Committee introduced A8676, another LLC bill containing these same provisions authorizing derivative actions. On July 7, 1993, the Assembly passed the “B” print of this bill—which still allowed for derivative actions—and delivered it to the Senate. The Senate, which had never introduced any LLC bill sanctioning derivative actions, did not act on A8676-B, thus delaying the passage of any LLC law until at least 1994.

On March 8, 1994, S27 was reintroduced. On April 5, 1994, the Assembly Rules Committee introduced A11317, a companion to S7511, which was introduced in the Senate the same day. Unlike all prior Assembly bills, A11317 did *not* authorize derivative actions; as was the case with every prior Senate bill, S7511 likewise did not authorize derivative actions. On June 30, 1994, S7511 passed the Senate and was delivered to the Assembly. That same day, the Assembly substituted S7511 for A11317, and

on July 1, 1994, the Assembly passed S7511 and returned it to the Senate. The adopted bill was delivered to the Governor on July 15, 1994, and was signed into law on July 26, 1994, as chapter 576 of the Laws of 1994.

The deletion from the adopted LLC legislation of provisions authorizing derivative actions manifests a legislative bargain: the Senate refused to pass an LLC statute if it allowed for derivative suits. Nearly finalized LLC bills appeared in the Legislature as early as spring of 1992, and the Assembly actually passed a bill in mid-1993. Yet the Senate was unbending: at a time when serious consideration was being given to legislation cutting back on the derivative actions authorized by existing laws, the Senate refused to endorse any legislation allowing members of this new form of business entity, the LLC, to sue derivatively. It is this compromise—excision of provisions authorizing derivative actions from the Assembly bill in exchange for the Senate’s agreement to the balance of the law—to which Mr. Rich, a participant in the drafting of the proposed Limited Liability Company Law, no doubt refers when he states that “[t]he absence of an Article IX from the LLCL was a conscious omission, not a typographical error, as the decision to omit derivative rights occurred late in the legislative session” (Practice Commentaries, McKinney’s Cons Laws of NY, Book 32/32A, Limited Liability Company Law, at 181 [2007 ed]). The rejection of language authorizing derivative actions “strongly militates against a judgment that [the Legislature] intended a result that it expressly declined to enact” (*Gulf Oil Corp. v Copp Paving Co.*, 419 US 186, 200 [1974] [conference committee deleting House language]; see also *Pacific Gas & Elec. Co. v State Energy Resources Conservation & Development Comm’n*, 461 US 190, 220 [1983] [House bill deleting Senate language]; Posner, *Statutory Interpretation—in the Classroom and in the Courtroom*, 50 U Chi L Rev 800, 820 [1983] [“(W)here the lines of (legislative) compromise are discernible, the judge’s duty is to follow them, to implement not the purposes of one group of legislators, but the compromise itself”]).⁴

The majority contends, however, that the Legislature’s deletion of language authorizing derivative actions does not neces-

4. In 1999, the Limited Liability Company Law was amended to update various provisions. The original Senate bill included article IX (member’s derivative actions), but was revised in committee to remove these provisions (compare 1997 NY Senate Bill S7331 with 1997 NY Senate Bill S7331-A, which is, as relevant here, identical to 1999 NY Senate-Assembly Bill S1640A, A2844A, enacted as chapter 420 of the Laws of 1999).

sarily bespeak compromise, and is, in any event, essentially unimportant because the language was superfluous. This is so because derivative rights are so well-entrenched in existing law that the Legislature might have reasonably expected the courts to do what the majority has now done: extend the right to commence a derivative action to an LLC member based on analogy to either a cestui que trust or a shareholder, both of whom historically enjoyed standing to sue derivatively, as a matter of equity in the former case and common law in the latter. To support this proposition, the majority relies on the Second Circuit's decision in *Klebanow v New York Produce Exch.* (344 F2d 294 [2d Cir 1965, Friendly, J.]) (see majority op at 104-105, 106), and an oblique reference to *Klebanow* and *Riviera Congress Assoc. v Yassky* (18 NY2d 540 [1966]) (without referring to either case by name) made by Mr. Lefkowitz in his testimony at Assembly (not Senate) hearings in 1992 (see majority op at 108).

In *Klebanow*, the United States Court of Appeals for the Second Circuit held that, even in the absence of statutory authorization, a limited partner in a dissolved firm had capacity to sue on behalf of the partnership (i.e., derivatively) for injury arising out of conduct proscribed by the antitrust laws where the partnership and the liquidating partner had disabled themselves or had a conflict of interest, rendering futile any demand for the partnership to sue. The court reasoned that this was so because a limited partner was more like a shareholder (especially a preferred holder), or perhaps a cestui que trust, than a creditor.⁵

But this case is not *Klebanow*. First, as Judge Friendly acknowledged, there was no suggestion “that the framers of the Uniform Limited Partnership Act or the legislature of 1922 had focused on the problem . . . at issue” (344 F2d at 298); i.e., whether to authorize limited partners to bring derivative suits. In this case, we know that the Legislature did indeed “focus[] on the problem . . . at issue”—whether to authorize members of LLCs to bring derivative suits—and decided not to do it. Second, section 118 of the Partnership Law, captioned “Rules for cases not covered,” specifies that “[i]n any case not provided for in this article the rules of law and equity, *including the law*

5. The District Court Judge had dismissed the complaint principally on the ground that a limited partner was a creditor rather than an owner, and that the antitrust laws do not allow a creditor to bring a treble damages suit against third parties who have allegedly injured the firm (see 232 F Supp 965 [SD NY 1964]).

merchant, shall govern” (emphasis added). This provision lends support for the view implicitly taken by the courts in *Klebanow* and *Riviera* that the Legislature intended judges to interpret the Partnership Law with the freedom with which they would construe and apply principles of the common law or equity to fill in perceived legislative blanks, and—without doubt—at common law a shareholder could maintain a derivative suit, which is a remedial invention of equity.⁶ There is no provision comparable to section 118 in the Limited Liability Company Law. Although one federal judge has expressed the view that “[h]ad the legislature intended to preclude derivative claims by LLC

6. Even so, *Klebanow* was a controversial decision. A majority of a distinguished panel of the First Department flatly rejected its holding in *Millard v Newmark & Co.* (24 AD2d 333 [1st Dept 1966]). *Millard* was authored by Justice Harold Stevens, who was subsequently an Associate Judge on this Court as well as Presiding Justice of the First Department. He was joined in the three-judge majority by Justice Charles Breitel, subsequently the Chief Judge of this Court. In *Millard*, the Court held that because limited partnerships “are solely creatures of statute,” limited partners “have only such rights, duties, obligations, etc., as the statute may provide” (*id.* at 335), and therefore no derivative action should be implied where the Legislature failed to create one. Further, the Court observed that the Second Circuit in *Klebanow* “seem[ed] to have gone on the basis of policy considerations and to have overlooked the fact that the New York Legislature has not so extended the law as to limited partnerships” (*id.* at 339-340). In his writing for the two-judge partial dissent, Justice Benjamin Rabin generally subscribed to the Second Circuit’s reasoning in *Klebanow*, stating at the outset that he “dissent[ed] because [he] believe[d] that unless such right be given there will be a failure of an adequate remedy for the wrongs alleged to have been done” (*id.* at 340). In light of the unsettled nature of the law in the wake of *Klebanow* and *Millard*, the Law Revision Commission undertook a study “examin[ing] the power of a limited or special partner to commence a derivative action in the right of the limited partnership, . . . [a] problem [that presumptively] arises because the general partners are unable, or wrongfully have refused, to maintain the action on behalf of the firm” (Act, Recommendation and Study relating to Derivative Actions by Limited Partners, 1967 NY Legis Doc No. 65[B], at 13). The study, which recommended legislation to authorize derivative actions by limited partners, was completed (but not issued) before we handed down our decision in *Riviera*, which held that limited partners are analogous to cestuis que trustent, and are “authorized to sue as limited partners on behalf of the partnership entity to enforce a partnership claim when those in control of the business wrongfully decline to do so” (18 NY2d at 547). Although *Riviera* resolved the conflict prompting its study and recommendations, the Commission nonetheless took the position that legislation remained “appropriate . . . to clarify and regulate the right and obligations resulting from the [*Riviera*] decision . . . rather than to allow rules to be formulated on a case-by-case basis” (1967 NY Legis Doc No. 65[B], at 9). The Legislature adopted the Commission’s proposed bill in 1968 (*see* L 1968, ch 496, amending Partnership Law § 115 and adding Partnership Law §§ 115-a, 115-b, 115-c).

members, it easily could have written an explicit prohibition into the law” (*Bischoff v Boar’s Head Provisions Co., Inc.*, 436 F Supp 2d 626, 632 [SD NY 2006]), the Legislature does not customarily write zipper clauses into its statutes, or explicitly prohibit the courts from implying rights or liabilities that it did not choose to include. Rather, the modern Legislature reasonably expects the judiciary to respect its policy choices (*see e.g. Sherman v Robinson*, 80 NY2d 483, 489 [1992] [where the legal duty owed to a third party by a store selling alcoholic beverages is limited by General Obligations Law § 11-101 and does not include a duty to investigate possible indirect sales, “(g)iven the Legislature’s choice not to provide liability for (indirect sales), we decline to expand the common law to impose such liability”]).

Next, Mr. Lefkowitz, who testified in favor of the right of LLC members to bring derivative suits, observed that “[s]tate and federal courts in New York have permitted derivative actions by a limited partner on behalf of limited partnerships without express statutory authority” and opined that

“if and to the extent that members of a limited liability company are analogous to a minority shareholder or a limited partner . . . such member would, as a matter of common law precedent, have the right to bring a derivative action on behalf of a limited liability company whether or not the statute contains such an express right” (testimony of Howard Lefkowitz, Assembly Transcript, June 11, 1992, at 132, 133 [emphasis added]).

This testimony has been cited to support the proposition that the absence of an explicit provision in the Limited Liability Company Law authorizing derivative actions does not matter because the Legislature was aware that, under settled law, these provisions were unnecessary (*see Bischoff*, 436 F Supp 2d at 632-633; majority op at 108).

Courts have on occasion taken the position that “disappearance” of a provision from a statute “during the legislative travel” may not be significant “when settled law indicates that the omitted provision would have been surplusage” (*Diamond Crystal Salt Co. v P.J. Ritter Co.*, 419 F2d 147, 148 [1st Cir 1969] [in light of “the overwhelming weight of judicial authority favor(ing) retrospective construction,” the Massachusetts long-arm statute applied retroactively notwithstanding that, in the year the law was enacted, four bills were filed, two of which expressly provided for retroactivity, and the Legislature enacted

a bill omitting this language]). But here, there is no settled law in New York, or elsewhere for that matter, respecting LLCs and derivative suits (*see* Walker, *New York Limited Liability Companies and Partnerships: A Guide to Law and Practice* § 3:22, at 67 [1 West's NY Prac Series 2002] [while “(t)here is well-established case law for the treatment of C corporations, S corporations, limited partnerships and general partnerships” on many questions, “(n)o such extensive body of law yet exists for LLCs, although all of the states and the District of Columbia have enacted LLC statutes”]).

This vacuum no doubt exists because LLCs are a fairly recent statutory innovation, unknown to the common law; a new business form combining corporate-type limited liability with partnership tax advantages and organizational characteristics. On the matter of derivative suits in particular, there are divergent views throughout the country. The Uniform Limited Liability Company Act developed by the National Conference of Commissioners on Uniform State Laws provides for derivative suits modeled on the provisions of the Revised Uniform Limited Partnership Act. Many states have adopted laws along similar lines. By contrast, other states, preferring the American Bar Association's (ABA) Prototype Limited Liability Company Act, require disinterested members or managers to authorize litigation. The co-author of the major treatise on limited liability companies—who (unlike the majority) questions the utility of derivative suits in the LLC context—advocates the ABA's approach as “a reasonable compromise” (*see* Ribstein, *The Emergence of the Limited Liability Company*, 51 Bus Law 1, 23 [1995-1996] [“If the (derivative suit) remedy is justified . . . , it is only because requiring plaintiffs to seek authorization from the thousands of shareholders of publicly held firms could prevent some legitimate suits,” but “(t)he same point does not apply . . . to closely held firms. Moreover, LLC members generally have other means of self-protection at their disposal that corporate shareholders may lack, including a default right to sell their interests back to the firm and substantial veto and removal powers”]).

In short, there is no settled law in New York or elsewhere on the subject of derivative rights for LLC members. Certainly, a third-party advocate's prediction that the courts might ignore the Legislature's policy choice (which, after years of contrary Supreme Court and Appellate Division holdings, is today made prescient) does not express or create settled law. Essentially, the

majority simply disagrees with the Legislature, calling a decision not to authorize derivative suits in the context of LLCs a “radical step . . . that might be expected to harm the ‘business climate’ more than help it” (majority op at 107). But whether or not to vest LLC members with the right to sue derivatively is the Legislature’s choice to make, not ours. Moreover, although the majority argues that *failing* to recognize a derivative right under the statute is an “extreme result” (*id.* at 108), creating an “uncharted path” upon which “we will not readily conclude that the Legislature intended to set us” (*id.* at 106), the “uncharted path” is the one taken by the majority: judicially legislating a cause of action that was rejected by the Legislature, and, for more than a decade after the Limited Liability Company Law’s enactment, was not recognized by any New York court.

Our Precedents

The majority does not cite a single case where we have read into a statute a provision or policy choice that we know the enacting Legislature rejected. Indeed, we have never done such a thing before. We have, in fact, consistently deferred to the Legislature in cases where the facts are far less compelling than they are here. For example, in *Majewski v Broadalbin-Perth Cent. School Dist.* (91 NY2d 577, 581 [1998]), we were asked “whether certain amendments to the Workers’ Compensation Law should be construed as retroactively applicable to pending actions.” We noted “[i]mportantly,” that the statute’s initial draft included language providing for retroactive application, which “[did] not appear in the enacted version. A court may examine changes made in proposed legislation to determine intent” (*id.* at 587). Further, we quoted *People v Korkala* (99 AD2d 161, 166 [1st Dept 1984]) to the effect that “rejection of a specific statutory provision is a significant consideration when divining legislative intent” (*Majewski*, 91 NY2d at 587). Noting that the deletion of the provision was consistent with settled law presumptively favoring prospective application, we held that the statute “should be applied prospectively to actions filed postenactment” (*id.* at 581).

In *Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art* (93 NY2d 729, 732 [1999]), we were called upon to decide “whether Arts and Cultural Affairs Law § 12.03, which protects the artwork of nonresident lenders from any kind of seizure while on exhibit in New York State, encompasses a subpoena duces tecum requiring production of two

paintings . . . on loan to the Museum of Modern Art in New York” from a museum in Vienna (internal quotation marks omitted). The statute’s predecessor’s Bill Jacket included a letter from a City Bar committee questioning whether the legislation, as drafted, might prevent a rightful owner from recovering stolen art, and proposing a distinction to prevent this from happening. The Bill Jacket also, however, included a memorandum from the Attorney General, cautioning against creating any such “loopholes” in the statute, which “would force potential good-faith lenders to seek legal advice before lending artwork to museums, thus defeating the bill’s purpose” (*id.* at 737). The Legislature did not adopt the change recommended by City Bar; as a result, the statute did not include any language embodying City’s Bar’s proposed exemption. Citing *Majewski*, we stated that

“[i]t is well settled that legislative intent may be inferred from *the omission of proposed substantive changes in the final legislative enactment*. Thus, this history, coupled with the language of the statute, demonstrate a clear mandate from the Legislature. The statute’s ‘no loopholes’ approach compels our holding that Arts and Cultural Affairs Law § 12.03 is not limited to civil process” (*id.* at 738 [citation omitted and emphasis added]).

In a related vein, just this past year in *People v Bratton* (8 NY3d 637 [2007]) we rejected a plea to read into article 12-B of the Executive Law an exception to the warrant requirement for violations taking place in a parole officer’s presence. Acknowledging that this “would make sense” and that CPL 410.50 (4) authorizes a *probation* officer to take a probationer into custody without a warrant in such circumstances, we observed that “[t]he Legislature . . . did not include language comparable to CPL 410.50 (4) in the provisions of the Executive Law governing violation of parole. Nor can there be any doubt that this was a considered legislative choice” (*Bratton*, 8 NY3d at 641-642). For the latter proposition, we relied on legislative history showing that when the Legislature enacted article 12-B, it omitted the language found in predecessor statutes authorizing warrantless arrests for violations in a parole officer’s presence. In short, we declined the invitation to read into a statute a provision that we knew the enacting Legislature chose not to include. We did not look to common law or to provisions in related statutes for license to second-guess the Legislature’s policy choice.

Conclusion

The enacting (not a subsequent) Legislature considered and explicitly rejected language authorizing the very result that plaintiffs have successfully sought from the judiciary in this case. Fourteen years after the fact the majority has unwound the legislative bargain. The proponents of derivative rights for LLC members—who were unable to muster a majority in the Senate—have now obtained from the courts what they were unable to achieve democratically. Thanks to judicial fiat, LLC members now enjoy the right to bring a derivative suit. And because created by the courts, this right is unfettered by the prudential safeguards against abuse that the Legislature has adopted when opting to authorize this remedy in other contexts (*see* Business Corporation Law §§ 626, 627; Partnership Law §§ 115-a, 115-b).

Presumably, those businesses electing to organize as LLCs relied on what the Limited Liability Company Law says, and counted on the New York judiciary to interpret the statute as written. Instead, the majority has effectively rewritten the law to add a right that the Legislature deliberately chose to omit. For a Court that prides itself on resisting any temptation to usurp legislative prerogative, the outcome of this appeal is curious. I respectfully dissent.

Chief Judge KAYE and Judges CIPARICK and PIGOTT concur with Judge SMITH; Judge READ dissents in a separate opinion in which Judges GRAFFEO and JONES concur.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[884 NE2d 1037, 855 NYS2d 38]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE
LEON, Appellant.

Argued January 3, 2008; decided February 19, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 25, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Marcy L. Kahn, J.), which had convicted defendant, upon a jury verdict, of sexual abuse in the first degree (three counts) and endangering the welfare of a child, and sentenced defendant, as a persistent violent felony offender, to an aggregate term of 15 years to life.

People v Leon, 36 AD3d 538, affirmed.

HEADNOTES

Crimes — Right of Confrontation — Predicate Sentencing Hearing—Application of *Crawford v Washington*

1. Defendant did not have a right, at his predicate sentencing hearing, to confront the author of a report certifying that he had compared two fingerprint cards bearing defendant's name and the identical New York State identification number for two prior convictions, and that, in his opinion, the two "fingerprint impressions [were] those of the same individual." Sentencing proceedings are not trial prosecutions, and *Crawford v Washington* (541 US 36 [2004]) addresses, by its own terms, the right of confrontation with respect to testimonial hearsay at trial.

Crimes — Right of Confrontation — Predicate Sentencing Hearing — Trial Right of Confrontation Not Applicable to Hearing

2. Defendant did not have a right, at his predicate sentencing hearing, to confront the author of a report certifying that he had compared two fingerprint cards bearing defendant's name and the identical New York State identification number for two prior convictions, and that, in his opinion, the two "fingerprint impressions [were] those of the same individual." CPL 400.15 (7) (a), which sets forth the burden of proof at a persistent violent felony hearing and requires that evidence be subject to "the rules applicable to a trial of the issue of guilt," does not incorporate into a sentencing hearing the trial right of confrontation.

Crimes — Sentence — Persistent Violent Felony Offender — Fingerprint Evidence

3. The hearing court, having adjudicated defendant a persistent violent felony offender upon a finding that he had twice previously been convicted of first-degree manslaughter as evidenced by a report comparing two fingerprint cards bearing defendant's name and the identical New York State identification number for two prior convictions, did not make a finding of fact beyond

the sole permissible fact of prior convictions in violation of *Apprendi v New Jersey* (530 US 466 [2000]) even though defendant claimed that he was not the same person identified in the second manslaughter conviction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 794, 797, 1168–1171, 1178;
AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 29, 38, 43.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:3398, 172:3404, 172:4030, 172:4034.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 26.6.
McKINNEY's, CPL 400.15 (7) (a).
NY JUR 2d, Criminal Law §§ 2063, 2070, 2953, 2961.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Fingerprints; Habitual Criminals and Subsequent Offenders.

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Database: NY-ORCS

Query: right /2 confront /s fingerprint

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Jonathan M. Kirshbaum and Robert S. Dean of counsel), for appellant. I. The rule of admissibility established in *Crawford v Washington* (541 US 36 [2004]), applies at a persistent violent felony offender hearing and bars the People's use of a testimonial fingerprint affidavit since (1) CPL 400.15 (7) (a) states that identity can only be established at the hearing by "evidence admissible under the rules applicable to a trial" and *Crawford* addresses the admissibility of evidence at trial, and (2) relevant Supreme Court precedent has extended the right to confront to recidivist hearings. (*Specht v Patterson*, 386 US 605; *Oyler v Boles*, 368 US 448; *Chandler v Fretag*, 348 US 3; *People v Pacer*, 6 NY3d 504; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *People v Williams*, 30 AD3d 980, 7 NY3d 852; *Mungo v Duncan*, 393 F3d 327, 544 US 1002; *People v Rosello*, 97 Misc 2d 963; *United States v Moore*, 208 F3d 411; *Almendarez-Torres v United States*, 523 US 224.) II. The court's adjudication and sentence pursuant to New York's persistent violent felony offender statutes was unconstitutional under *Apprendi v New*

Jersey (530 US 466 [2000])), because, in making a factual finding that appellant was the one who committed the prior crimes, the court made factual findings beyond the jury's verdict that were outside the fact of a prior conviction. (*Almendarez-Torres v United States*, 523 US 224; *Blakely v Washington*, 542 US 296; *Shepard v United States*, 544 US 13; *Taylor v United States*, 495 US 575; *People v Rivera*, 5 NY3d 61, 546 US 984.)

Robert M. Morgenthau, District Attorney, New York City (Mark Dwyer of counsel), for respondent. I. Defendant was not entitled to cross-examine a fingerprint examiner at the sentencing hearing. (*Crawford v Washington*, 541 US 36; *Williams v Oklahoma*, 358 US 576; *People v Williams*, 298 NY 803, 337 US 241; *United States v Martinez*, 413 F3d 239, 546 US 1117; *People v Walker*, 81 NY2d 661; *People ex rel. Knoblauch v Warden*, 216 NY 154; *People v Graham*, 55 NY2d 144; *People v Williams*, 30 AD3d 980; *Chandler v Fretag*, 348 US 3; *Specht v Patterson*, 386 US 605.) II. The Sixth Amendment did not entitle defendant to a jury trial on whether he is the “Jose Leon” convicted of violent felonies in the past. (*Apprendi v New Jersey*, 530 US 466; *People v Boyer*, 6 NY3d 427; *People v Rivera*, 5 NY3d 61, 546 US 984; *People v Rosen*, 96 NY2d 329, 534 US 899; *United States v Johnson*, 440 F3d 832; *United States v Barrerro*, 425 F3d 154; *United States v Morris*, 293 F3d 1010, 537 US 987; *United States v Kempis-Bonola*, 287 F3d 699, 537 US 914; *United States v Santiago*, 268 F3d 151; *Shepard v United States*, 544 US 13.)

OPINION OF THE COURT

JONES, J.

Defendant Jose Leon's conviction arises out of the sexual abuse of a 13 year old. Supreme Court subsequently conducted a hearing and adjudicated defendant a persistent violent felony offender¹ upon a finding that defendant had previously been convicted of two violent felonies—both first-degree manslaughter—in 1976, and in 1983. On this appeal, defendant presses two arguments concerning his sentence.

First, defendant contends that *Crawford v Washington* (541 US 36 [2004]) applies at a predicate sentencing hearing, both as a matter of his Sixth Amendment right to be confronted with the witnesses against him, and by operation of CPL 400.15 (7)

1. See Penal Law §§ 70.08, 70.04; see also CPL 400.15 (7) (a); 400.16 (2).

(a).² In particular, defendant argues that the hearing court violated his right to confront the author of a report certifying that he had compared two fingerprint cards of a “Jose Leon” with two prior convictions (for 1976 and 1983), bearing the identical New York State identification number, and that, in his opinion, the two “fingerprint impressions are those of the same individual.”³ Defendant admitted that he was the same “Jose Leon” identified in the 1976, but not the 1983, conviction. Second, defendant argues that, in light of his challenge to being the same person identified in the 1983 conviction, the hearing court necessarily made a finding of fact—the fact of his identity—beyond the sole permissible fact of prior convictions in violation of *Apprendi v New Jersey* (530 US 466 [2000]).

The Appellate Division rejected both arguments, concluding that defendant was properly adjudicated a persistent violent felony offender “on the basis of admissible evidence (*see* CPL 60.60 [2]; 400.15 [7] [a]; 400.16 [2])” (36 AD3d 538 [2007]) and that his constitutional arguments were meritless. We now affirm.

[1] Sentencing proceedings are not trial prosecutions.⁴ Thus, we read *Crawford*, as do the Circuit Courts of Appeals to have considered the question, as addressing “[b]y its own terms” testimonial hearsay *at trial* (*United States v Luciano*, 414 F3d 174, 179 [1st Cir 2005] [collecting cases]; *see also United States v Martinez*, 413 F3d 239, 243 n 5 [2d Cir 2005], *cert denied* 546 US 1117 [2006] [collecting cases]).

[2] Similarly, we reject defendant’s contention that CPL 400.15 (7) (a) incorporates into his sentencing hearing the trial

2. CPL 400.15 (7) (a) provides that at a persistent violent felony hearing, “[t]he burden of proof is upon the people and a finding that the defendant has been subjected to a predicate violent felony conviction must be based upon proof beyond a reasonable doubt by evidence admissible under the rules applicable to a trial of the issue of guilt.”

3. CPL 60.60 (2) provides:

“A report of a public servant charged with the custody of official fingerprint records which contains a certification that the fingerprints of a designated person who has previously been convicted of an offense are identical with those of a defendant in a criminal action, constitutes presumptive evidence of the fact that such defendant has previously been convicted of such offense.”

4. *See Barber v Page*, 390 US 719, 725 (1968) (“The right [of] confrontation is basically a trial right”); *see also People v Perry*, 36 NY2d 114, 119 (1975) (“neither the Supreme Court nor this court has ever held, nor do we now believe, that the full panoply of constitutional rights should be applied to the sentencing process”).

right of confrontation. Before *Crawford*, there was little doubt that affidavits based on fingerprint comparisons were admissible at predicate sentencing hearings (see CPL 60.60 [2]; CPLR 4520).⁵ Section 400.15 (7) (a)'s requirement that evidence be subject to "the rules applicable to a trial of the issue of guilt" dates to 1967 in section 470-a of the former Code of Criminal Procedure.⁶ To agree with defendant's broad construction of section 400.15 (7) (a) is to presume too much of the Legislature's intent, given the timing of the enactment of section 60.60 (2). Testimonial hearsay under section 60.60 (2) continued to be admitted after the passage of section 400.15, both at trial and at predicate felony hearings (although *Crawford* now places new restrictions at trial). Because, in our view, *Crawford* does not apply at sentencing proceedings, we decline to construe section 400.15 along with other hearsay statutes, which have always operated in tandem, in a way that yields unworkable results (see *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186, 195 [1988]).

[3] Finally, we have considered defendant's *Apprendi* challenge and find it also to be without merit (see *People v Rivera*, 5 NY3d 61 [2005]; see also *United States v Johnson*, 440 F3d 832, 848 [6th Cir 2006] ["Common sense dictates that these facts are 'so basic as to be implicit in the fact of a prior conviction'"]; *United States v Thompson*, 421 F3d 278, 284 n 4 [4th Cir 2005] [same]; *United States v Santiago*, 268 F3d 151, 156 [2d Cir 2001] [a sentencing judge's ability to determine whether a defendant has a prior conviction extends to "the 'who, what, when, and where' of a prior conviction"]).

5. CPL 60.60 was enacted in 1970. Subdivision (2), authorizing the admission of fingerprint comparison reports, has its origins in section 482-b of the former Code of Criminal Procedure, enacted in 1927 (see L 1927, ch 356; see also Denzer, Practice Commentary, McKinney's Cons Laws of NY, Book 11A, CPL 60.60, at 345 [1971 ed]). CPLR 4520, in its current form, dates to 1962 (see L 1962, ch 308). With a minor, irrelevant difference, this rule has origins in former Civil Practice Act § 367. Section 4520 provides:

"Where a public officer is required or authorized, by special provision of law, to make a certificate or an affidavit to a fact ascertained, or an act performed, by him in the course of his official duty, and to file or deposit it in a public office of the state, the certificate or affidavit so filed or deposited is prima facie evidence of the facts stated."

6. See Preiser, Practice Commentary, McKinney's Cons Laws of NY, Book 11A, CPL 400.20, at 132-133 (1971 ed) (section 400.20 "restates, in substance, the provisions of former Code section 470-a enacted in 1967 . . . The procedure established was, for the most part, completely new").

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed.

[884 NE2d 1000, 855 NYS2d 1]

In the Matter of CITY OF UTICA, Respondent, v TOWN OF FRANKFORT et al., Respondents, and COUNTY OF HERKIMER, Appellant. TRUSTEES OF MASONIC HALL AND ASYLUM FUND, Doing Business as MASONIC CARE COMMUNITY, Intervenor-Respondent.

Argued January 10, 2008; decided February 14, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 17, 2006. The Appellate Division confirmed an advisory report of three referees appointed by the Appellate Division recommending that the petition of the City of Utica, Oneida County, for the annexation of the 225 acres of the property of the intervenor, Masonic Care Community, currently situated in the Town of Frankfort, County of Herkimer, be approved, and granted judgment in favor of petitioner adjudging that the proposed annexation was in the overall public interest.

Matter of City of Utica v Town of Frankfort, 34 AD3d 1323, modified.

HEADNOTES

Municipal Corporations — Annexation of Territory — Standard for Approval of Annexation — Overall Public Interest

1. In a special proceeding commenced pursuant to General Municipal Law article 17 in which petitioner City sought annexation of certain property from respondents Town and County, the Appellate Division rationally determined that annexation was in the overall public interest. The court compared the respective abilities of petitioner City and respondent Town to provide essential police and firefighter services and resolved that petitioner's services were superior. The court also concluded that the intervenor, the only occupant of the property in question, would be able to streamline the elder and health-related services it provided since its facilities would be located in one county. Further, the court accorded great weight to the Referees' conclusion that the impact of annexation on respondents Town and County would be minimal.

Municipal Corporations — Annexation of Territory — Special Election Required Following Approval of Annexation by Appellate Division

2. In a special proceeding commenced pursuant to General Municipal Law article 17 (Municipal Annexation Law) in which petitioner City sought annexation of certain property from respondents Town and County, the Appellate Division erred, following confirmation of the Referees' report recommending approval of the annexation, in dispensing with the special election required

under General Municipal Law § 713. Although a majority of the allegedly eligible voters had signed a statement of support for the annexation, the plain language of the relevant constitutional and statutory provisions (*see* NY Const, art IX, § 1 [d]; art II, § 7; General Municipal Law § 713 [1]; Election Law § 8-300 [2]) makes clear that all persons who reside on property sought to be annexed (i.e., those determined to be eligible voters) have the right to cast a secret vote or ballot in such election. Because of the importance and fundamental nature of this right, the special election required in a Municipal Annexation Law proceeding cannot be dispensed with no matter how few eligible voters there are or how superfluous such election might be.

Municipal Corporations — Annexation of Territory — Special Election Required Following Approval of Annexation by Appellate Division

3. The Court of Appeals declined to recognize Appellate Division decisions which, in special proceedings pursuant to General Municipal Law article 17 (Municipal Annexation Law) seeking annexation of property, dispensed with the special election required under General Municipal Law § 713 in certain circumstances, because those decisions did not set forth adequate exceptions to the general rule requiring secret voting at a special election (*Matter of Village of Elmsford v Town of Greenburgh*, 164 AD2d 914, 917 [2d Dept 1990]; *Matter of City of Saratoga Springs v Town of Greenfield*, 34 AD2d 364, 368 [3d Dept 1970], *lv denied* 28 NY2d 482 [1971]; *Matter of Common Council of City of Norwich v Town Bd. of Town of Norwich*, 40 AD2d 615 [3d Dept 1972]; *Matter of City of Rensselaer v Town Bd. of Town of N. Greenbush*, 169 AD2d 936, 937 [3d Dept 1991]; *Town Bd. of Town of Brighton v City Council of City of Rochester*, 59 AD2d 1041, 1042 [4th Dept 1977]; *Matter of City of Auburn v Town of Aurelius*, 122 AD2d 585, 586 [4th Dept 1986], *lv denied* 68 NY2d 610 [1986]; *City of Jamestown v Town of Ellicott*, 185 AD2d 627, 628 [4th Dept 1992]). The conclusion that a special election was unnecessary directly contravened the State Constitution, Municipal Annexation Law and Election Law, and, therefore, went beyond the Appellate Division's discretion in annexation proceedings.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 39, 49, 54–56.

McKINNEY'S, Election Law § 8–300 (1); General Municipal Law § 713; NY Const, art II, § 7; art IX, § 1 (d).

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 41–46, 48, 49, 51–53.

ANNOTATION REFERENCE

See ALR Index under Annexation of Property or Territory; Elections and Voting; Municipal Corporations.

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POINTS OF COUNSEL

Robert J. Malone, County Attorney, Herkimer (Lorraine H. Lewandrowski of counsel), for appellant. I. Where a county boundary will be changed, it was patent error of law for the court below to approve annexation based solely upon findings that the nonmunicipal intervenor Trustees of Masonic Hall and Asylum Fund would benefit by annexation. (*Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369; *Mayor of Vil. of Mount Kisco v Supervisor of Town of Bedford*, 45 NY2d 335; *Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie*, 3 NY3d 508; *Matter of WEOK Broadcasting Corp. v Planning Bd. of Town of Lloyd*, 79 NY2d 373; *Matter of City of Ogdensburg v Town of Oswegatchie*, 76 AD2d 1012.) II. It was an error of law for the court below to dispense with special election requirements set forth in the New York State Constitution and General Municipal Law § 713 that require a majority vote of all persons residing in the territory proposed to be annexed to approve of annexation. (*Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369; *City of Jamestown v Town of Ellicott*, 185 AD2d 627; *Matter of Village of Elmsford v Town of Greenburgh*, 164 AD2d 914; *Matter of City of Rensselaer v Town Bd. of Town of N. Greenbush*, 169 AD2d 936; *Matter of Common Council of City of Norwich v Town Bd. of Town of Norwich*, 40 AD2d 615.)

Getnick Livingston Atkinson Gigliotti & Priore, LLP, Utica (Michael E. Getnick of counsel), for City of Utica, respondent and intervenor-respondent. I. Herkimer County has failed to meet its burden in seeking to have a reversal of the Appellate Division decision providing for annexation. (*Matter of Common Council of City of Gloversville v Town Bd. of Town of Johnstown*, 32 NY2d 1; *Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 32 AD2d 152, 27 NY2d 369; *Mayor of Vil. of Mount Kisco v Supervisor of Town of Bedford*, 45 NY2d 335.) II. The change of a county boundary line is appropriate under the General Municipal Law. (*Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369; *Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie*, 3 NY3d 508.) III. The Appellate Division determination in favor of annexation properly consid-

ered the Referees' report and gave weight to the Referees' recommendations. (*Matter of Town of Niagara v City of Niagara Falls*, 19 AD3d 1076, 5 NY3d 713; *Matter of Incorporated Vil. of Ilion v Town Bd. of Frankfort*, 261 AD2d 952; *William P. Pahl Equip. Corp. v Kassis*, 182 AD2d 22, 80 NY2d 1005, 81 NY2d 782; *Matter of Quinby v Public Serv. Commn. of State of N.Y. for Second Dist.*, 227 NY 601; *Matter of Town of Plattsburgh v Town of Saranac*, 274 AD2d 852; *Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 32 AD2d 152, 27 NY2d 369.) IV. Under the unique circumstances of this case, the evidence overwhelmingly demonstrates the requisite unity of purpose constituting a community. (*Matter of City of Amsterdam v Town Bd. of Town of Amsterdam*, 100 AD2d 661, 62 NY2d 604; *Matter of Town of Niagara v City of Niagara Falls*, 19 AD3d 1076; *Matter of Mayor of Vil. of Akron v Town Bd. of Town of Newstead*, 238 AD2d 902; *Matter of Board of Trustees of Vil. of Spring Val. v Town of Clarkstown*, 292 AD2d 450; *Matter of Common Council of City of Middletown v Town Bd. of Town of Wallkill*, 29 AD2d 561.) V. Unifying the Masonic Care Community campus through annexation will provide numerous benefits. VI. There will be no discernable tax loss or other detriment to the Town of Frankfort and County of Herkimer. (*Matter of Trustees of Masonic Hall & Asylum Fund v Town of Frankfort*, 289 AD2d 947; *Matter of City of Auburn*, 79 AD2d 1104, 53 NY2d 937; *Matter of Incorporated Vil. of Ilion v Town Bd. of Frankfort*, 261 AD2d 952.) VII. Annexation should be granted as there are numerous benefits and no demonstration of detriment. (*Matter of Town of Niagara v City of Niagara Falls*, 19 AD3d 1076.) VIII. The Appellate Division properly determined that the special election may be dispensed with under the circumstances of the case and because a majority of the individuals qualified to vote approved the annexation. (*City of Jamestown v Town of Ellicott*, 185 AD2d 627; *Matter of City of Rensselaer v Town Bd. of Town of N. Greenbush*, 169 AD2d 936; *Matter of Village of Elmsford v Town of Greenburgh*, 164 AD2d 914; *Matter of City of Saratoga Springs v Town of Greenfield*, 34 AD2d 364; *Matter of City of Auburn v Town of Aurelius*, 122 AD2d 585, 68 NY2d 610; *Matter of Common Council of City of Norwich v Town Bd. of Town of Norwich*, 40 AD2d 615.)

OPINION OF THE COURT

JONES, J.

In this special proceeding commenced pursuant to article 17

of the General Municipal Law (“Municipal Annexation Law”), petitioner City of Utica sought annexation of approximately 225 acres of property owned by intervenor-respondent (Masonic Care Community or MCC), which supported the proposed annexation, from respondents Town of Frankfort and Herkimer County, which opposed annexation.

Pursuant to General Municipal Law § 712, the Appellate Division appointed three Referees to hear evidence and report on whether the proposed annexation was in the overall public interest. In April 2006, the Referees issued an advisory report recommending approval of the annexation. The Appellate Division confirmed the report and entered judgment granting the petition. After entry of the judgment, an MCC representative reviewed respondent Herkimer County’s election records, determined that there were 65 allegedly eligible voters—all senior citizens residing on the subject property—and, through an informal poll, obtained the signatures of 53 of the 65 on a statement of support for the annexation.

Respondents Town of Frankfort and Herkimer County moved for reargument or leave to appeal to this Court. Petitioner cross-moved for, among other things, an order dispensing with the special election required under General Municipal Law § 713 based on the statement of support. The Appellate Division denied respondents’ motion to reargue, granted that portion of petitioner’s cross motion seeking an order dispensing with the required special election, and denied the rest of petitioner’s cross motion. We granted respondent Herkimer County leave to appeal and it now argues that the Appellate Division erred by improperly determining that petitioner met its burden of establishing that annexation was in the overall public interest and dispensing with the special election required for an article 17 annexation.

The municipality seeking an article 17 annexation has the burden of proving that annexation is in the overall public interest (*see* General Municipal Law § 712; *see also* NY Const, art IX, § 1 [d]). A reviewing court must “ ‘weigh[] the benefit or detriment to the annexing municipality, the territory proposed to be annexed, and the remaining governmental unit from which the territory would be taken’ ” (*Matter of Town of Plattsburgh v Town of Saranac*, 274 AD2d 852, 852-853 [3d Dept 2000], quoting *Matter of City of Saratoga Springs v Town of Greenfield*, 34 AD2d 364, 366 [3d Dept 1970]). “Benefit and detriment are customarily defined in terms of municipal services such as police

and fire protection, health regulations, sewer and water service, public utilities and public education” (*Matter of Town of Lansing v Village of Lansing*, 80 AD2d 942, 942 [3d Dept 1981]). “Another factor entering into the balance is whether the annexing municipality and the territory proposed to be annexed have ‘the requisite unity of purpose and facilities to constitute a community’ ” (*Matter of Incorporated Vil. of Ilion v Town Bd. of Frankfort*, 261 AD2d 952, 952 [4th Dept 1999], quoting *Matter of Common Council of City of Gloversville v Town Bd. of Town of Johnstown*, 32 NY2d 1, 6 [1973]).

In Municipal Annexation Law proceedings, the Appellate Division functions as a quasi-legislative body (*see Mayor of Vil. of Mount Kisco v Supervisor of Town of Bedford*, 45 NY2d 335, 341 [1978]). Thus, “ ‘so long as the Appellate Division acted pursuant to law its judgment may not be overturned. Any issues resolved by it remain invulnerable if there was any rational basis for its findings and conclusions’ ” (*id.*, quoting *Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369, 373-374 [1971]).

[1] Here, the Appellate Division applied the foregoing standard correctly and had a rational basis for its determination that annexation would be in the overall public interest. Among other things, the court compared the respective abilities of petitioner City of Utica and respondent Town of Frankfort to provide essential police and firefighter services and resolved that petitioner’s services were superior. The court also concluded that MCC, the only occupant of the property in question, would be able to streamline the elder and health-related services it provides since its facilities would be located in one county. Further, the court accorded great weight to the Referees’ conclusion that the impact of annexation on respondents Town of Frankfort and Herkimer County would be minimal.

[2] However, we agree with respondent Herkimer County that the Appellate Division erred as a matter of law when it dispensed with the required special election. Article IX, § 1 (d) of the New York State Constitution provides: “No local government or any part of the territory thereof shall be annexed to another until the people, if any, of the territory proposed to be annexed shall have consented thereto by majority vote on a referendum.” General Municipal Law § 713 (1) implements this constitutional provision and requires that:

“Not later than ninety days after the entry of a final

judgment of a court . . . approving a proposed annexation, the governing board of each city, town and village in which such territory is situated shall call a special election . . . to determine whether the proposed annexation should be approved All persons residing in such territory proposed to be annexed and qualified to vote for officers of the city, town or village, as the case may be, in which such territory is situated shall be entitled to vote. . . . Except as otherwise provided herein, such election shall be conducted in the manner provided by law for the conduct of special elections in the city, town or village, as the case may be, in which such territory is situated.”

In addition, “[a]ll elections by the citizens . . . shall be by ballot, or by such other method as may be prescribed by law, provided that secrecy in voting shall be preserved” (NY Const, art II, § 7; *see also* Election Law § 8-300 [2] [voting “shall be secret and obscured from all other persons”]). Such secrecy ensures that votes are cast in an environment free of coercion or undue influence.

Thus, upon entry of the Appellate Division’s final judgment approving a proposed annexation, the governing board of the municipality in which the proposed annexation territory is situated shall promptly (within 90 days of entry of judgment) call a special election (General Municipal Law § 713). Relatedly, the plain language of the foregoing constitutional and statutory provisions makes clear that all persons who reside on property sought to be annexed (i.e., those determined to be eligible voters) have the right to cast a secret vote or ballot in such election. Recognizing the importance and fundamental nature of this right, we hold that the special election required in a Municipal Annexation Law proceeding cannot be dispensed with no matter how few eligible voters there are or how superfluous such election might be.

[3] We note that three Appellate Division Departments have, under certain circumstances, permitted annexation without a referendum.¹ Although it may be reasonable to conclude that a special election is unnecessary if those affected by a proposed

1. *See e.g. Common Council of City of Middletown, Orange County v Town Bd. of Town of Wallkill, Orange County*, 40 AD2d 543, 544 (2d Dept 1972) (subject property vacant and uninhabited); *Matter of Village of Elmsford v Town of Greenburgh*, 164 AD2d 914, 917 (2d Dept 1990) (all affected residents

(n. cont’d)

annexation signify approval to it through filing formal consent forms or entering stipulations, or through offering testimony in support of annexation at the hearing before the Referees, such a conclusion directly contravenes the State Constitution, Municipal Annexation Law and Election Law, and, therefore, goes beyond the Appellate Division's discretion in annexation proceedings.² Based on the foregoing, we decline to recognize the Appellate Division decisions dispensing with the required special election because we do not see these decisions as setting forth adequate exceptions to the general rule requiring secret voting at a special election.

Accordingly, the order of the Appellate Division should be modified, without costs, and the matter remitted to that court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and SMITH concur; Judge PIGOTT taking no part.

Order modified, etc.

filed formal consents in support of proposed annexation); *Matter of City of Saratoga Springs v Town of Greenfield*, 34 AD2d 364, 368 (3d Dept 1970) (parties stipulated on the record that any election would be in favor of annexation because all eligible voters were employees of one of the petitioners), *lv denied* 28 NY2d 482 (1971); *Matter of Common Council of City of Norwich v Town Bd. of Town of Norwich*, 40 AD2d 615 (3d Dept 1972) (all eligible voters testified at the annexation hearing that they favored annexation and would vote for same if an election were held); *Matter of City of Rensselaer v Town Bd. of Town of N. Greenbush*, 169 AD2d 936, 937 (3d Dept 1991) (all affected property owners "stipulated their assent to the annexation"); *City of Batavia v Town of Batavia*, 45 AD2d 203, 206 (4th Dept 1974) (territory proposed to be annexed was uninhabited), *lv denied* 35 NY2d 644 (1974); *Town Bd. of Town of Brighton v City Council of City of Rochester*, 59 AD2d 1041, 1042 (4th Dept 1977) (the only qualified voters were intervenors favoring annexation); *Matter of City of Auburn v Town of Aurelius*, 122 AD2d 585, 586 (4th Dept 1986) (all residents of subject property filed consents in support of proposed annexation), *lv denied* 68 NY2d 610 (1986); *City of Jamestown v Town of Ellcott*, 185 AD2d 627, 628 (4th Dept 1992) (majority of eligible voters "stipulated their assent to the annexation").

2. In a case where the property to be annexed is uninhabited (see e.g. *Common Council of City of Middletown*, 40 AD2d at 544 and *Town of Batavia*, 45 AD2d at 206), the strictures of article IX, § 1 (d) of the New York State Constitution and General Municipal Law § 713 are obviously not applicable (i.e., no special election required) because there are no persons residing on the property sought to be annexed.

[884 NE2d 1019, 855 NYS2d 20]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL RAWLINS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DWAIN MEEKINS, Appellant.

Argued January 3, 2008; decided February 19, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 6, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol Berkman, J.; op 2 Misc 3d 1002[A], 2004 NY Slip Op 50074[U]), which had convicted defendant, upon a jury verdict, of burglary in the third degree (six counts), and sentenced him, as a persistent felony offender, to concurrent terms of 15 years to life.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 28, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Albert Tomei, J.), as amended, which had convicted defendant, upon a jury verdict, of sodomy in the first degree, sexual abuse in the first degree, and robbery in the third degree.

People v Rawlins, 37 AD3d 183, affirmed.

People v Meekins, 34 AD3d 843, affirmed.

HEADNOTES

Crimes — Right of Confrontation — DNA and Latent Fingerprint Comparison Reports Prepared by Nontestifying Experts

1. The determination of whether DNA and latent fingerprint comparison reports prepared by nontestifying experts are “testimonial” statements within the meaning of *Crawford v Washington* (541 US 36 [2004]) must be made on a case-by-case basis. The statement must be evaluated to determine whether it is properly viewed as a surrogate for accusatory in-court testimony, and the evaluation requires consideration of multiple factors, not all of equal import in every case. Two of the most important factors to be considered are whether the statement was prepared in a manner resembling ex parte examination, and whether the statement accuses defendant of criminal wrongdoing.

Crimes — Right of Confrontation — Latent Fingerprint Comparison Reports Prepared by Nontestifying Police Officer Not Admissible

2. Two latent fingerprint comparison reports prepared by a police detective who did not testify at defendant’s burglary trial were “testimonial” state-

ments within the meaning of *Crawford v Washington* (541 US 36 [2004]) and should not have been admitted into evidence. Latent fingerprint reports, which compare unknown latent prints from the crime with fingerprints from a known individual, fit the classic definition of a weaker substitute for live testimony at trial. The reports were inherently accusatory and were offered to prove an essential element of the crimes charged. The trial court's error in admitting them into evidence, however, was harmless beyond a reasonable doubt. The reports were cumulative, as an expert who did testify reached the same conclusion after comparing the same latent prints. Moreover, defendant was able to cross-examine the expert as to his fingerprint methodology and assessment of matching point values.

Crimes — Sentence — Persistent Felony Offender

3. In the prosecution of defendant for burglary, the Court of Appeals rejected as meritless defendant's challenge to the constitutionality of New York's persistent felony offender sentencing scheme (*see* Penal Law § 70.10; CPL 400.20 [1]).

Crimes — Right of Confrontation — DNA Test Results Prepared by Nontestifying Laboratory Technicians Were Admissible

4. A report containing results of DNA testing conducted on samples taken from complainant's rape kit and prepared by technicians at an independent private laboratory who did not testify at defendant's trial was not "testimonial" within the meaning of *Crawford v Washington* (541 US 36 [2004]) and was properly admitted into evidence. The report contained raw data in the form of nonidentifying graphical information, was a product of multiple analysts, and was not the kind of ex parte testimony the Confrontation Clause was designed to protect against. The laboratory did not compare the results to any known DNA profiles, and the graphical DNA test results, standing alone, shed no light on defendant's guilt in the absence of an expert's opinion that the results genetically matched a known sample. Although the laboratory was performing work for law enforcement, and the laboratory technicians knew or had every reason to know that their findings could generate results that could later be used at trial, the government's involvement was inconsequential, as neither the prosecution nor law enforcement could have influenced the outcome.

Crimes — Right of Confrontation — Documents in Medical Examiner's File

5. Documents prepared by nontestifying employees of the Office of the Chief Medical Examiner upon reviewing and interpreting the raw data results of DNA testing conducted on samples taken from complainant's rape kit results were properly admitted into evidence at defendant's trial. Although the authors of the documents did, after receiving notification from the Division of Criminal Justice Services (DCJS) of a possible match between the semen donor and a DNA profile preexisting in a database, know that defendant was a suspect, their reports did not directly link defendant to the crime. It was left to the testifying witness to draw the inference from the evidence that defendant's DNA profile matched those obtained from the rape kit. The DCJS notification itself, however, was not admissible as a business record, and was less clearly nontestimonial hearsay than the other documents at issue, but any error in admitting it for its truth was harmless beyond a reasonable doubt.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1168 1170, 1178; AM JUR 2d, Evidence §§ 934, 996, 1002; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 11, 12.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:3099, 172:3115, 172:3119, 172:3404, 172:4008, 172:4009.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.
MCKINNEY's, CPL 400.20 (1); Penal Law § 70.10.
NY JUR 2d, Criminal Law §§ 1852, 1967, 1971, 1978.5, 2007, 2063, 2070, 2931, 2935, 2946, 2952.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Expert and Opinion Evidence; Fingerprints; Habitual Criminals and Subsequent Offenders.

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POINTS OF COUNSEL

Legal Aid Society Criminal Appeals Bureau, New York City (Amy Donner and Steven Banks of counsel), for appellant in the first above-entitled action. I. The introduction of fingerprint record reports containing the findings of a latent fingerprint examiner who did not testify violated appellant's right to confront the witnesses against him and to his due process right to fair trial because (a) two of the reports were prepared by a nontestifying expert and constituted testimonial hearsay and (b) four of the fingerprint reports failed to qualify as business records because the prosecution failed to establish that they were prepared contemporaneously with the analyses. (*Davis v Washington*, 547 US 813; *Crawford v Washington*, 541 US 36; *People v Goldstein*, 6 NY3d 119; *Pointer v Texas*, 380 US 400; *Ohio v Roberts*, 448 US 56; *People v Pacer*, 6 NY3d 504; *United States v Bahena-Cardenas*, 411 F3d 1067; *People v Hernandez*, 7 Misc 3d 568; *People v Rogers*, 8 AD3d 888; *People v Williams*, 30 AD3d 980.) II. Appellant's conviction of the burglary of Jerome Florist violates due process because evidence linking appellant to the burglary is legally insufficient where it is based only on the recovery of his fingerprint on a piece of broken glass from a

windowpane in the store's door which the People's fingerprint expert admitted could have been on the outside of the store and could have been placed on the glass a year before the burglary. (*People v Wong*, 81 NY2d 600; *People v Foster*, 64 NY2d 1144; *Jackson v Virginia*, 443 US 307; *People v Bleakley*, 69 NY2d 490; *People v Gates*, 24 NY2d 666; *People v Bullard*, 59 AD2d 786; *People v DiBlasi*, 130 AD2d 679; *People v McDowell*, 255 AD2d 976; *People v Pena*, 99 AD2d 846; *People v Jacob*, 55 AD2d 961.) III. Appellant's maximum sentence of life imprisonment as a persistent felony offender violates his right to a jury trial and due process, because in order to impose that sentence, the court, rather than a jury, was required to determine facts in addition to and well beyond his prior convictions, and to do so by mere preponderance of the evidence. (*People v Rivera*, 5 NY3d 61; *Apprendi v New Jersey*, 530 US 466; *United States v Booker*, 543 US 220; *Ring v Arizona*, 536 US 584; *Blakely v Washington*, 542 US 296.)

Robert M. Morgenthau, District Attorney, New York City (*David M. Cohn* and *Mark Dwyer* of counsel), for respondent in the first above-entitled action. I. The trial evidence compellingly proved defendant's guilt. (*People v Schulz*, 4 NY3d 521; *People v Norman*, 85 NY2d 609; *Jackson v Virginia*, 443 US 307; *People v Santi*, 3 NY3d 234; *People v Williams*, 84 NY2d 925; *People v Yancey*, 24 NY2d 864; *People v Gates*, 24 NY2d 666; *People v Teixeira*, 32 AD3d 756; *People v Vasquez*, 131 AD2d 523; *People v Riddick*, 130 AD2d 780.) II. The fingerprint reports prepared by Detectives Beatty and Laschke were properly admitted into evidence. (*People v Guidice*, 83 NY2d 630; *People v Kennedy*, 68 NY2d 569; *People v Cratsley*, 86 NY2d 81; *People v Grogan*, 28 AD3d 579; *People v Farrell*, 58 NY2d 637; *People v Taam*, 260 AD2d 261; *People v Fisher*, 201 AD2d 193; *Crawford v Washington*, 541 US 36; *Ohio v Roberts*, 448 US 56; *People v Pacer*, 6 NY3d 504.) III. Defendant's challenge to the constitutionality of the persistent felony offender sentencing scheme is meritless. (*Apprendi v New Jersey*, 530 US 466; *Almendarez-Torres v United States*, 523 US 224; *People v Rosen*, 96 NY2d 329; *United States v Booker*, 543 US 220; *Blakely v Washington*, 542 US 296; *Ring v Arizona*, 536 US 584; *People v Rivera*, 5 NY3d 61; *People v Daniels*, 5 NY3d 738.)

David P. Greenberg, New York City, and *Lynn W.L. Fahey* for appellant in the second above-entitled action. I. The court deprived appellant of his federal and state constitutional rights to due process and confrontation by allowing testimony and as-

sociated documentary proof about DNA data attributable to nontestifying witnesses. (*Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *People v Goldstein*, 6 NY3d 119; *People v Foster*, 27 NY2d 47; *Ohio v Roberts*, 448 US 56; *Diaz v United States*, 223 US 442; *United States v Wade*, 388 US 218; *California v Trombetta*, 467 US 479; *People v Pacer*, 6 NY3d 504; *People v Rogers*, 8 AD3d 888.) II. The prosecution failed to lay an adequate foundation for introduction of the rape kit DNA data as a business record. (*People v Kennedy*, 68 NY2d 569; *People v Cratsley*, 86 NY2d 81; *Standard Textile Co. v National Equip. Rental*, 80 AD2d 911.) III. Appellant was denied due process and a fair trial by the prosecutor's opening, trial evidence and corresponding summation commentary conveying that appellant's name and DNA profile were part of a database maintained by New York's criminal justice system and by the admission of hearsay testimony that the Medical Examiner's office learned of the alleged match between the rape kit and appellant's database profile from a letter sent to it by the Division of Criminal Justice Services. (*People v Resek*, 3 NY3d 385; *People v Mullin*, 41 NY2d 475; *People v Cook*, 42 NY2d 204; *People v Stanard*, 32 NY2d 143; *People v Nieves*, 67 NY2d 125; *People v Foster*, 27 NY2d 47.)

Charles J. Hynes, District Attorney, Brooklyn (Anthea H. Bruffee and Leonard Joblove of counsel), for respondent in the second above-entitled action. I. Defendant failed to preserve for appellate review his claim that the People did not lay an adequate foundation for the admission of the Gene Screen file as a business record. Therefore, this Court is without jurisdiction to review this claim. In any event, the People laid an adequate foundation for the admission into evidence of both the Gene Screen and Office of the Chief Medical Examiner files as business records and any error in the admission of the Gene Screen file was harmless. (*People v Wright*, 34 AD3d 1274; *People v Marine*, 30 AD3d 268; *People v Bones*, 17 AD3d 689; *People v Miguel*, 53 NY2d 920; *People v Middleton*, 54 NY2d 42; *People v Kennedy*, 68 NY2d 569; *People v Cratsley*, 86 NY2d 81; *People ex rel. McGee v Walters*, 62 NY2d 317; *People v Grogan*, 28 AD3d 579; *People v Baylor*, 25 AD3d 562.) II. Defendant's right of confrontation and his right to due process were not violated by the admission into evidence of DNA test results because these lab files and reports were not testimonial and were properly admitted into evidence as business records. (*Pointer v Texas*, 380 US 400; *Crawford v Washington*, 541 US 36; *Mungo v Duncan*, 393 F3d 327, 544 US 1002; *People v Bradley*, 22 AD3d 33, 8

NY3d 124; *People v Coleman*, 16 AD3d 254; *People v Newland*, 6 AD3d 330; *People v Grogan*, 28 AD3d 579; *United States v Feliz*, 467 F3d 227; *People v Brown*, 9 Misc 3d 420, 31 AD3d 657; *People v Durio*, 7 Misc 3d 729.) III. Defendant's right to due process was not violated by the admission of evidence that defendant's DNA profile was in a computer database. Moreover, neither the evidence of the database and of the Division of Criminal Justice Services notification letter nor the prosecutor's comments about that evidence prejudiced defendant. (*People v Berg*, 59 NY2d 294; *People v Michael*, 48 NY2d 1; *People v Rice*, 75 NY2d 929; *People v Ortiz*, 54 NY2d 288; *People v Young*, 48 NY2d 995; *People v Medina*, 53 NY2d 951; *People v Tosca*, 98 NY2d 660; *People v Montanez*, 41 NY2d 53; *People v Claborn*, 35 AD3d 244; *People v Till*, 87 NY2d 835.)

OPINION OF THE COURT

JONES, J.

These two appeals call upon us to resolve an issue of first impression for this Court: whether DNA and latent fingerprint comparison reports prepared by nontestifying experts are "testimonial" statements within the meaning of *Crawford v Washington* (541 US 36 [2004]).

I.

People v Rawlins

Defendant Michael Rawlins was convicted, after a jury trial, of six counts of third-degree burglary relating to six commercial establishments in Manhattan. Defendant was sentenced, as a persistent felony offender, to concurrent terms of 15 years to life.

Defendant's arrest stems from a May 5, 2003 burglary of Fresh Cut Flowers, located in midtown Manhattan, at approximately 11:30 P.M. The arresting officer testified that he observed that the store's glass door was shattered, and that the cash register had been "tipped over on the floor," with coins and an ink roll from the cash register strewn about. Defendant had ink stains on his hands apparently from the ink roll. Further, a brick wrapped in a plastic bag was found on the ground near the shattered glass. A fingerprint officer lifted five latent prints from the register and placed them on a fingerprint card. Detective Arthur Connolly, a fingerprint examiner, subsequently

matched one of the latent prints with defendant's inked fingerprint card.¹

Due to the similarities between the Fresh Cut burglary and four prior burglaries in Manhattan that took place between March and May of 2003, the task of examining latent prints recovered in those burglaries was reassigned to Detective Connolly approximately two weeks before he was to testify at defendant's trial. The facts of those other burglaries, in chronological order leading up to the Fresh Cut burglary, are as follows.

At approximately 1:15 A.M. on March 23, 2003, police officers responded to a break-in at West Side Stationers, an uptown Manhattan establishment. Like Fresh Cut, a portion of the glass door had been shattered, and either a brick or a rock was found on the floor, along with a plastic bag. Additionally, an opened cash register was on the floor, along with coins and other items; some cash was also missing. A latent fingerprint officer lifted 12 prints from the cash register and drawer. Detective Connolly determined a match between one of the latent prints and defendant's print.

Next, on April 15, 2003, at approximately 1:00 A.M., police officers responded to a break-in at Jerome Florist, an upper-East Side establishment. Again, similar to Fresh Cut and West Side, the lower half of a window to the right of the door was broken. Some coins were missing from the register. A latent fingerprint officer lifted four prints: three from pieces of glass on the floor and one from the door next to the broken window pane. Connolly ultimately determined that a latent print from a piece of glass matched defendant's right thumb print.

At approximately 8:45 A.M. on the same day, officers responded to a break-in at Andreas Hair Stylists, another upper-East Side establishment. The lower part of the glass door had been broken and some cash and styling tools were taken. A latent fingerprint officer lifted one print from the bottom of the coin drawer of the cash register. Detective Connolly subsequently determined a match with defendant's print.

1. According to Connolly, a "latent" fingerprint is, essentially, "a chance [fingerprint] impression" transferred onto a smooth surface through the aid of one's sweat or other substance that can transfer the ridged contours of a fingerprint. By contrast, a "patent" fingerprint is one deliberately taken and transferred on a white card with the aid of black ink. Whereas a patent fingerprint image is a complete print, a latent print's completeness, and therefore usefulness, may vary depending on the strength of the unintended impression.

The last burglary before Fresh Cut Flowers, which actually involved two separate but connected establishments—Sophia’s Bistro and the Soha bar—took place at approximately 8:20 A.M. on April 29, 2003. Immediately before any breaking-and-entering had occurred, a nearby street cleaner observed defendant sitting in front of Sophia’s with a sweater and a brick. Minutes later, he heard glass shatter and then noticed that defendant was inside Sophia’s. The witness then alerted his supervisor, who notified the police. Shortly after entering Sophia’s, defendant left Soha.² Both the street cleaner and his supervisor saw defendant exit Soha, while the latter gave an unfruitful chase. The responding officers observed the bottom part of a window adjacent to the door shattered, along with a sweater and a brick that went through the window. A latent fingerprint officer lifted 15 prints from glass on the floor in Sophia’s, as well as one from a cash register drawer in Soha. Ultimately, Connolly concluded that the register print found in Soha and one lifted from shattered glass in Sophia’s matched defendant’s print.

Before reassignment to Connolly, Detective Artis Beatty (who did not testify) had prepared two latent fingerprint comparison reports (Jerome Florist and Andreas Hair Stylists). Additionally, Detective Eric Laschke, who testified as a defense witness, prepared two similar reports for the West Side, Sophia’s and Soha burglaries. All four reports by Beatty and Laschke were admitted as business records. Connolly testified that in each case, he independently compared the latent prints with defendant’s fingerprint card and determined a match with “one hundred percent certainty,” and thus agreed with Beatty’s and Laschke’s prior conclusions. Because Laschke testified at trial, however, defendant limited his *Crawford* challenge to the admission of Beatty’s reports, and also challenged the admission of all four reports on the ground that the People failed to establish the contemporaneity requirement of the business records exception.

Following the jury verdict, Supreme Court denied defendant’s motion to set aside, for insufficiency, the conviction as to Je-

2. Sophia’s owner also owns the adjacent Soha bar, and the two establishments, although with separate front entrances, are connected by an internal door for staff to serve both facilities without having to go outside. Because they were separately run establishments with separate entrances and addresses, defendant was charged with two burglary counts. The latent prints for both were, however, evaluated in a single report.

rome Florist.³ The People subsequently moved for a persistent felony offender sentencing adjudication pursuant to Penal Law § 70.10 and CPL 400.20. Over defendant's *Apprendi v New Jersey* (530 US 466 [2000]) objection—that the sentence enhancement statutes require judicial fact-finding beyond the fact of prior convictions—Supreme Court adjudicated defendant a persistent felony offender.

The Appellate Division affirmed (*see People v Rawlins*, 37 AD3d 183 [2007]). The court rejected defendant's *Crawford* challenge, holding that although Beatty did not testify, his "reports qualified as nontestimonial business records . . . [because they] were not prepared for the specific purpose of litigation" (*id.* at 184). Even if testimonial, the court deemed their admission harmless and "merely duplicative" because Detective Connolly, who *was* subject to cross-examination, "made his own comparisons of the same fingerprints tested by [Beatty] and reached the same conclusions" (*id.*). The court also deemed the foundation for a business record established and rejected as meritless defendant's challenge relating to the sufficiency of the Jerome Florist count; finally, the court rejected defendant's *Apprendi* challenge, relying on *People v Rivera* (5 NY3d 61 [2005]). *People v Meekins*

Defendant Dwain Meekins was convicted, after a jury trial, of first-degree sodomy, first-degree sexual abuse and third-degree robbery, and sentenced accordingly.

At trial, the People introduced a report prepared by an independent private laboratory containing results of DNA testing conducted on samples taken from complainant's rape kit.⁴ The report was introduced through the testimony of two experts in DNA analysis and forensic biology: Judith Floyd, employed by Gene Screen, the private laboratory, and Kyra Keblish, employed by the Office of the Chief Medical Examiner, neither of whom personally performed the actual testing.

Floyd testified that she supervised the technicians who performed the testing in this case and performed a final review of their results; that her duties involved ensuring that technicians followed established protocols; that, after vigorous and

3. Defendant's challenge concerned the lack of evidence establishing (1) when his latent print was placed on the glass and (2) on which side of the glass—store side or street side—the print was found.

4. The New York City Police Department (NYPD) contracted with, and sent to, independent private laboratories samples collected from crime scenes for DNA testing.

periodic inspections, those protocols have been deemed to conform to industry standards and that the lab is accredited by the Laboratory Accreditation Board of the American Society of Crime Laboratory Directors, the New York State Department of Health and the Texas Department of Public Safety. Floyd explained that the lab issued a statement in its report indicating that “a DNA profile originated from a male [that] was obtained from the sperm fraction of the oral swab” in the rape kit and that the lab “didn’t do any comparisons of the results,” but instead sent the report to the Medical Examiner’s office for that task.⁵

Keblish testified that the Medical Examiner’s office was, like Gene Screen, accredited by the Laboratory Accreditation Board of the American Society of Crime Laboratory Directors, as well as by New York State. Keblish testified that once the laboratory generated the “raw data” and sent its report to the Medical Examiner’s office, her laboratory reviewed the file, “edit[ed] . . . the data”—or, interpreted the graphical data by “wean[ing] out what peaks might not be DNA, because there are times that peaks will show up in the data that are not actually . . . DNA alleles or DNA peaks,” distinguished complainant’s DNA profile from the semen donor’s DNA profile and then “up-loaded [the male DNA profile] into [a] database” of existing profiles for a possible match. Keblish added that her office was subsequently notified by letter from the Division of Criminal Justice Services that the “semen donor to the oral swab was the same DNA profile as Dwain Meekins.” Subsequently, her office checked the case file it already had and made sure that the two DNA profiles were the same, and then contacted the District Attorney and the Police Department. Keblish, herself a qualified expert, gave her opinion that the DNA profiles from the rape kit were the same as defendant’s. She also testified that this DNA match is found in “one in greater than a trillion” sample of donors.

5. Floyd explained in detail the process of testing a sample for DNA thus: A forensic examiner first “remove[s] DNA from the sample in question[, such as a blood stain or semen], then you subject it to [an] amplification procedure” called “polymerase chain reaction,” or PCR, in which “certain strands of DNA” are “amplifi[ed]” to “allow[] us to have sufficient amounts of DNA . . . to evaluate and obtain a genetic profile.” Floyd indicated that PCR is “widely used across the country in every laboratory.” “[A]t the end of [the PCR] process . . . you then end up with possibly millions or billions of copies of DNA[, after which] . . . we would subject [the DNA] to . . . capillary electrophoresis, and then the forensically tagged pieces of DNA that [are] the result of that amplification are evaluated by the software and you come up with a specific genetic profile” for later comparison and evaluation.

Finally, Keblish testified that the DNA report and related files were “prepared in the regular course of business of the medical examiner’s office and its contracted agencies”; that it was “the regular course of business for the medical examiner’s office, as well as its contracted agencies, to make and keep such records”; that they were prepared “at or near the time the testing and the analysis [was] done”; and that “the persons [from both the lab and the Medical Examiner’s office] preparing the information in the reports” were “under a business duty to do so truthfully and accurately.” Keblish also testified that she was custodian of the combined records generated by the two entities. Over defendant’s objection, Supreme Court admitted a consolidated file containing both labs’ reports as business records of the Medical Examiner’s office. The court also rejected defendant’s hearsay objection to Keblish’s testimony that she learned of a potential match from another agency.

The Appellate Division affirmed defendant’s conviction (*see People v Meekins*, 34 AD3d 843 [2006]). The court determined that Keblish’s testimony was sufficient to lay a foundation to admit the private laboratory’s report as a business record; and that admission of the DNA report did not violate defendant’s confrontation right “because business records are ‘by their nature . . . not testimonial’ ” (*id.* at 845, quoting *Crawford*, 541 US at 56).

II.

A.

The Sixth Amendment of the United States Constitution provides: “In all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the *witnesses* against him” (emphasis added). Our State Constitution is to the same effect (*see* NY Const, art I, § 6). In *Crawford*, the Supreme Court explained that “the principal evil at which the Confrontation Clause was directed was the civil-law mode of criminal procedure,” particularly “its use of *ex parte* examinations as evidence *against the accused*” (541 US at 50 [emphasis added]). Thus, it applies to those who “bear testimony” (*id.* at 51). “Testimony” in turn “is typically ‘[a] solemn declaration or affirmation made for the purpose of establishing or proving some fact’ ” (*id.*). The Court emphasized that the Confrontation Clause was concerned “with a specific type” of testimonial statement, which the Court explained by offering “[v]arious formulations”:

“[1] ‘*ex parte* in-court testimony or its functional equivalent—that is, material such as affidavits, custodial examinations, prior testimony that the defendant was unable to cross-examine, or similar pre-trial statements that declarants would reasonably expect to be used prosecutorially,’ . . . [2] ‘*extrajudicial statements . . . contained in formalized testimonial materials*, such as affidavits, depositions, prior testimony, or confessions,’ . . . [and 3] ‘*statements that were made under circumstances which would lead an objective witness reasonably to believe that the statement would be available for use at a later trial*’ ” (*id.* at 51-52 [emphasis added and citations omitted]).⁶

The “common nucleus” (*id.* at 52) of these formulations is generally described as *ex parte accusatory* statements.

“Despite the lack of a precise definition,” the Court offered “additional clues” for determining the testimoniality of a statement (2 Wharton’s Criminal Evidence § 6:10 [15th ed]). “An accuser who makes a formal statement to government officers bears testimony in a sense that a person who makes a casual remark to an acquaintance does not” (*Crawford*, 541 US at 51). “Involvement of government officers in the production of testimony with an eye toward trial presents unique potential for prosecutorial abuse” (*id.* at 56 n 7; *see also Lilly v Virginia*, 527 US 116, 137 [1999] [“when the government is involved in the statements’ production, and when the statements describe past events,” they “implicate the core concerns of the old *ex parte* affidavit practice”]; 2 McCormick on Evidence § 252, at 158 [6th ed 2006] [“These inquisitorial practices and their modern analogs are the focus of *Crawford*”]).

In *Davis v Washington* (547 US 813 [2006]), the Court elaborated on *Crawford*, but ushered in no new law. Its contribution, useful for evaluating the confrontation question, was in its application and its resounding emphasis that context matters for Confrontation Clause purposes. As *Davis* showed, determining the question whether evidence was improperly admitted requires a fact-intensive inquiry under the circumstances of each case.

6. The Court, however, deemed it unnecessary to endorse any of them because the statements in question “qualifie[d] under any definition” (541 US at 52).

In *Davis*, the Court held that in the context of police interrogations,

“Statements are nontestimonial when made in the course of police interrogation under circumstances objectively indicating that the primary purpose of the interrogation is to enable police assistance to meet an ongoing emergency. They are testimonial when the circumstances objectively indicate that there is no such ongoing emergency, and that the primary purpose of the interrogation is to establish or prove past events potentially relevant to later criminal prosecution” (547 US at 822).

Davis reiterated that the Confrontation Clause is concerned with the “weaker” but functional “substitute for” live testimony (i.e., *ex parte accusatory* statements) (*id.* at 828).

Davis’s “primary purpose” test thus reflects the important distinction between a statement (generated through police interrogation or otherwise) that “accuses” a perpetrator of a crime—i.e., to “do precisely *what a witness does* on direct examination” (*id.* at 830)—versus one that serves some other nontestimonial purpose (i.e., to meet an ongoing emergency): the former is accusatory since its “purpose . . . [is] to nail down the truth about past criminal events” (*id.*), while the latter is not. Emphasizing the critical purpose that produced the varying statements in *Davis*, *Hammon v Indiana* (*Davis*’s companion case) and *Crawford*, Justice Scalia aptly observed that “[n]o ‘witness’ goes into court to proclaim an emergency and seek help” (*id.* at 828). The lodestar, then, that emerges from *Davis* is the *purpose* that the statement was intended to serve. In the context of police interrogations, that purpose is gleaned, in part, from whether the goal in obtaining responses was to meet an ongoing emergency, or to gather evidence for purely investigatory reasons (see *People v Nieves-Andino*, 9 NY3d 12, 15 [2007] [officer’s “primary purpose” in questioning victim was to “prevent() further harm,” not to gather facts of crime]; *People v Bradley*, 8 NY3d 124, 128 [2006]; *People v Pacer*, 6 NY3d 504, 510 [2006]; *People v Goldstein*, 6 NY3d 119, 123-124, 129 [2005], *cert denied* 547 US 1159 [2006]).

Relatedly, it bears noting that *Davis*’s concern for government involvement is not absolute. The Court’s test, on its face and in its application, properly reflects the view that not all government involvement inevitably leads to the forbidden

testimonial fruit.⁷ As Justice Scalia noted, we should look objectively to law enforcement’s conduct in the course of an interrogation, as well as declarant’s statements, to inform us whether a response is testimonial (547 US at 822-823 n 1), as “not all hearsay implicates the Sixth Amendment’s core concerns” (*Crawford*, 541 US at 51 [government involvement as posing “unique *potential*” for prosecutorial abuse (*id.* at 56 n 7 [emphasis added])]).

B.

The People in both appeals before us ask us to adopt an absolute rule, discussed in *Crawford*, that all business records “by their nature [are] not testimonial” (*Crawford*, 541 US at 56).⁸ Under our rules of evidence, however—unlike the federal rules (see Fed Rules Evid rule 803 [6], [8])—“law enforcement agencies constitute businesses for purposes of the rule” (*People v Guidice*, 83 NY2d 630, 635 [1994] [citation and internal quotation marks omitted]).⁹ Accordingly, a bright line rule could run afoul of either our Federal or State Constitutions, and most es-

7. “A 911 call . . . and at least the initial interrogation conducted in connection with a 911 call, is ordinarily not designed primarily to ‘establis[h] or prov[e]’ some past fact, but to describe current circumstances requiring police assistance” (*Davis*, 547 US at 827).

8. Some courts have reached that conclusion. (See e.g. *People v Grogan*, 28 AD3d 579, 581 [2d Dept 2006], *lv denied* 7 NY3d 789 [2006] [DNA reports were business records, which are “by their nature . . . not testimonial”]; *People v Brown*, 9 Misc 3d 420 [Sup Ct, Queens County 2005]; *People v Durio*, 7 Misc 3d 729, 734 [2005] [“(u)nder *Crawford* business records are specifically exempted from challenge because they are outside the ‘core testimonial statements that the Confrontation Clause plainly meant to exclude’ ” (citation omitted)]; *United States v Feliz*, 467 F3d 227, 233-234 [2d Cir 2006], *cert denied sub nom. Erbo v United States*, 549 US —, 127 S Ct 1323 [2007] [business records “cannot be testimonial because (they are) fundamentally inconsistent with what the Supreme Court has suggested comprise the defining characteristics of testimonial evidence”]; *State v Forte*, 360 NC 427, 629 SE2d 137 [2006], *cert denied* 549 US —, 127 S Ct 557 [2006]; *State v Norman*, 203 Or App 1, 125 P3d 15 [2005].)

9. CPLR 4518 (a), New York’s business records exception to the hearsay prohibition, provides:

“Any writing or record, whether in the form of an entry in a book or otherwise, made as a memorandum or record of any act, transaction, occurrence or event, shall be admissible in evidence in proof of that act, transaction, occurrence or event, if the judge finds that it was made in the regular course of any business and that it was the regular course of such business to make it, at the time of the act, transaction, occurrence or event, or within a reasonable time thereafter.”

pecially in certain types of police business records.¹⁰ It is true that the “essence” of the exception is that “‘records systematically made for the conduct of a business . . . are inherently highly trustworthy because they are routine reflections of day-to-day operations and because the entrant’s obligation is to have them truthful and accurate for purposes of the conduct of the enterprise’ ” (83 NY2d at 635, quoting *People v Kennedy*, 68 NY2d 569, 579 [1986]).

[1] However, we hasten to warn against the convenient danger of relying on a hearsay exception—particularly business records, and the breadth of that exception in New York—as a proxy for the statement’s reliability when the real inquiry concerns whether a statement is “testimonial” as that term is now understood after *Crawford* and *Davis*. Indeed, the Supreme Court explicitly rejected as unfaithful to the original meaning of the Confrontation Clause its prior test in *Ohio v Roberts* (448 US 56 [1980]), which admitted out-of-court statements “so long as [they had] adequate indicia of reliability—*i.e.*, [fell] within a ‘firmly rooted hearsay exception’ ” (*Crawford*, 541 US at 42, quoting *Roberts*, 448 US at 66). In no uncertain terms, the Court noted that the constitutional concerns do “not evaporate when testimony happens to fall within some broad, modern hearsay exception” (*id.* at 56 n 7).¹¹ Thus, in each case, we must view the statement through a multifaceted prism that properly

10. See *Thomas v United States*, 914 A2d 1, 13 (DC Ct App 2006), *cert denied* 552 US —, 128 S Ct 241 (2007) (viewing categorical exemption of business records as a “fundamental[] misread[ing]” of *Crawford*); *People v Mitchell*, 131 Cal App 4th 1210, 1222, 32 Cal Rptr 3d 613, 621 (2005) (by *Crawford*’s reference to hearsay exceptions, “Court could not have meant all documentary evidence which could broadly qualify in some context as a business record should automatically be considered non-testimonial”).

11. Historically,

“the [business records] exception in 1791 was a very narrow one. In *Crawford*, the Supreme Court found no evidence that the historical business records exception (or any other historical exception apart from that for dying declarations) ever had been ‘invoked to admit *testimonial* statements against the accused in a *criminal case*,’ nor any indication that the Framers thought it could be so used” (*Thomas*, 914 A2d at 13 [citation omitted]).

Our concurring colleague (see concurring op at 161) would have it otherwise, *Crawford*’s plain discussion of history to the contrary. While we agree that *generally*, business records are not testimonial, that is so not because they are business records, without more, but rather because their authors are not in the business of producing a statement that bears a “striking resemblance” (*Crawford*, 541 US at 52) to “*what a witness does on direct examination*” (*Davis*, 547 US at 830). Certainly this much cannot be said of *all* modern-day business records, especially all police business records.

reflects the “core” evil the Confrontation Clause was designed to prevent: “the civil-law mode of criminal procedure” and its insidious “use of *ex parte* examinations as evidence against the accused” (*Crawford*, 541 US at 50). In short, our task in each case must be to evaluate whether a statement is properly viewed as a surrogate for accusatory in-court testimony.

In a similar vein, we reject the attempt to reduce the inquiry to other expedient bright line tests. Thus, we decline to adopt the approach by other courts to hinge our determination on the expectation that a statement will be available at trial (*see e.g. State v Renshaw*, 390 NJ Super 456, 915 A2d 1081 [App Div 2007] [blood sample certification]; *State v Caulfield*, 722 NW2d 304 [Minn 2006] [report identifying substance as cocaine]). Critically, although *Crawford* identified as one of several formulations whether “an objective witness reasonably [believed] that the statement would be available for use at a later trial” (541 US at 52), the Court endorsed none of them. “Following *Davis*, ‘it cannot be that a statement is testimonial in every case where a declarant reasonably expects that it might be used prosecutorially’ ” (*State v O’Maley*, 156 NH 125, 135, 932 A2d 1, 10 [2007], quoting *United States v Ellis*, 460 F3d 920, 926 [7th Cir 2006]; *see also People v Geier*, 41 Cal 4th 555, 607, 161 P3d 104, 140 [2007] [“*Davis* confirms that the critical inquiry is not whether it might be reasonably anticipated that a statement will be used at trial,” though one factor to consider, “but the circumstances under which the statement was made”]).

The flaw in that singular test, urged by defendants in the appeals before us, is that it, like the so-called business records exception to the Sixth Amendment, is too broad.¹² *Davis* reminds us that the inquiry is an objective one under the circumstances, an approach that necessarily must account for various indicia of testimoniality beyond the declarant’s reasonable expectations (*see Davis*, 547 US at 826-829). In *Davis*, for example, Michelle McCottry told the police: “He’s here jumpin’ on me again”; “He’s usin’ his fists”; later in complainant’s colloquy with the 911 operator, she identified defendant by his full name (*id.* at 817). Clearly, she could well have expected her statements to be used against defendant later at trial. However, viewing the cir-

12. *See* 2 McCormick on Evidence § 252, at 162 (test “is the most general and abstract” of *Crawford*’s three formulations, “provides the opportunity for the broadest application and is the most indeterminate”).

cumstances objectively, her responses to questioning—though prejudicial—were not accusatory (in a Sixth Amendment sense) as they served the primary purpose of aiding the police in an ongoing emergency, not to implicate defendant. In other words, her statements were not the “courtroom analogues” (*id.* at 828) that the Clause was designed to protect against. In short, McCottry neither “testified” nor bore “witness” against defendant.

The foregoing observations are important reminders, especially when it requires courts to apply *Crawford*’s seemingly innocuous “formulations” to new, complex situations. As the Court in *Crawford* noted, the Clause “applies to ‘witnesses’ against the accused” and reflects an “acute concern [for a] specific type of out-of-court statement” (541 US at 51 [emphasis added]).

C.

In the context of scientific tests, such as DNA analysis, many state and federal courts have considered the question presented, and little consensus has emerged (*see e.g. People v Freycinet*, 41 AD3d 731, 731 [2d Dept 2007], *lv granted* 9 NY3d 922 [2007] [dissecting “non-opinion portion” of autopsy report, holding it was “nontestimonial in nature” and admissible as business record]; *People v Rogers*, 8 AD3d 888, 891 [3d Dept 2004] [results of blood testing were testimonial where “test was initiated by the prosecution and generated by a desire to discover evidence against defendant”]; *United States v Feliz*, 467 F3d 227, 233-234 [2d Cir 2006], *cert denied sub nom. Erbo v United States*, 549 US —, 127 S Ct 1323 [2007] [autopsy report nontestimonial “because a business record is fundamentally inconsistent with what the Supreme Court has suggested (in *Crawford* and *Davis*) comprise the defining characteristics of testimonial evidence”]; *United States v Ellis*, 460 F3d 920, 927 [7th Cir 2006] [medical records revealing methamphetamine in defendant’s system nontestimonial business records as the medical professionals involved in testing, “like the declarant reporting an emergency in *Davis*—were not acting as . . . witness(es) and were not testifying” (internal quotation marks and emphasis omitted)]; *Sobota v State*, 933 So 2d 1277 [Fla Dist Ct App 2006] [blood sample report tested at state laboratory testimonial]; *Neal v State*, 281 Ga App 261, 635 SE2d 864 [2006] [breathalyzer machine inspection certificates nontestimonial]; *State v Caulfield*, 722 NW2d 304, 309 [Minn 2006] [lab report identifying

substance as cocaine testimonial because “lab analyst . . . attested to her findings,” report was functional “equivalent of testimony” in identifying substance and report was prepared at behest of police for prosecution to prove element of charged crimes]; *Thomas v United States*, 914 A2d 1, 9 [DC App 2006] [Drug Enforcement Administration chemist’s report testimonial]).

Nevertheless, we find some of the insights and reasoning by other courts instructive. In *State v Crager* (116 Ohio St 3d 369, 879 NE2d 745 [2007]), the Supreme Court of Ohio concluded that a report of DNA testing conducted by a government agency at the request of the state was nontestimonial. The court reasoned that “[a]lthough [the state laboratory’s] statutory mission . . . is to ‘aid’ law enforcement in solving crimes, [it] is not itself an ‘arm’ of law enforcement in the sense that the word implies a specific purpose to obtain incriminating results” (116 Ohio St 3d at 379, 879 NE2d at 753); instead, the laboratory “maintains its independence to objectively test and analyze the samples it receives” (116 Ohio St 3d at 379, 879 NE2d at 754). Additionally, although the laboratory technicians could have reasonably expected that the DNA reports would be used in a later prosecution, the concern that declarants’ “statement” (the various lab technicians’ notes made throughout the testing steps and result) could be prejudicial is allayed (in a *Davis* sense) because such notes “represented the contemporaneous recordation” of the test results “as [they were] actually performing those tasks” pursuant to industry-accredited protocols (116 Ohio St 3d at 382, 879 NE2d at 756).

The Supreme Court of Ohio is not alone in its reasoning, and *Crawford* and *Davis*, as we noted earlier, strongly suggest that *Crager* makes viable distinctions. A salient characteristic of objective, highly scientific testing like DNA analysis is that the results are not inherently biased toward inculcating the defendant; they can also exculpate. The inescapable corollary is that police or prosecutorial involvement is unlikely to have any impact on the test’s results. Thus, in *Davis* terms, police or prosecutorial involvement in a case like *Crager* becomes a non-issue, and the focus shifts to declarant (see *Davis*, 547 US at 826-827). The force of *Davis* is that context matters; we look not only to the interrogator’s primary purpose in questioning, but also, in declarant’s view, to the purpose the statement was intended to serve, and to the motivation for the statement (see *id.* at 828 [McCottry was “not acting as a witness” and thus

“was not *testifying*” when speaking to police; instead, her statements aided them in an ongoing emergency]). The critical points from *Crager*, then, are that a lab technician ordinarily has no subjective interest in the test’s outcome, and could hardly affect the result in any event; the analyst was simply recording, contemporaneously, the administration of scientific protocol to reveal what is hidden from the naked eye.

In *Commonwealth v Verde* (444 Mass 279, 827 NE2d 701 [2005]), the Supreme Judicial Court of Massachusetts similarly held that certificates of chemical analysis identifying as cocaine a substance seized from defendant were nontestimonial. Although the court observed that the record fell “within the public records exception to the confrontation clause,” the court properly focused on the “nature” of the report, and whether it bore any semblance of substituted live testimony (444 Mass at 284, 827 NE2d at 705). The “[c]ertificates of chemical analysis,” in the court’s view, were “neither discretionary nor based on opinion”; they did not concern the exercise of fallible human judgment over questions of cause and effect; instead, “they merely [recorded, contemporaneously, the procedures taken and] state[d] the results of a well-recognized scientific test determining the composition and quantity of the substance” (444 Mass at 283, 827 NE2d at 705; *see also Brown*, 9 Misc 3d at 424 [“The notes and records of the laboratory technicians who tested the DNA samples . . . were not made for investigative or prosecutorial purposes but rather were made for the routine purpose of ensuring the accuracy of the testing done in the laboratory and as a foundation for formulating the DNA profile”]; *cf. State v March*, 216 SW3d 663 [Mo 2007] [drug chemical analysis report prepared solely for prosecution testimonial]). The certificate had “very little kinship to the type of hearsay the confrontation clause intended to exclude” (*Verde*, 444 Mass at 284, 827 NE2d at 706). In short, as in *Crager*, the contemporaneous recordation of scientific protocol must be undertaken independent of any possible use at trial, for the independent purpose of ensuring that the test was properly administered (*see Davis*, 547 US at 826-827).

The necessary import of *Crager*’s and *Verde*’s reasoning is that cross-examination of the technicians who performed the actual testing would have borne no more information than what an authentication challenge may have revealed (i.e., what they recorded). As the *Verde* court noted, “defendant was free to rebut the information in the certificate” and in fact did so, and

“the jury [was] free to credit [defendant’s expert’s] testimony and to discredit the certificate of analysis as [it] saw fit” (444 Mass at 284, 285, 827 NE2d at 706).¹³

In a detailed opinion, the Supreme Court of California in *Geier* (41 Cal 4th 555, 161 P3d 104 [2007]) also confronted this precise issue in the context of DNA testing. In *Geier*, the prosecution relied on an expert in forensic biology and biochemistry employed by a private lab that conducted DNA testing on a rape kit. The expert supervised the actual technicians who conducted the testing. She testified at trial that, based upon the DNA test results, defendant’s DNA profile matched a profile extracted from a victim. Defendant’s principal *Crawford* objection was that the expert did not conduct the testing herself. The court determined, based on its interpretation of *Crawford* and *Davis*, that in the context of DNA analysis, “a statement is testimonial if (1) it is made to a law enforcement officer or by or to a law enforcement agent and (2) describes a past fact related to criminal activity for (3) possible use at a later trial. Conversely, a statement that does not meet all three criteria is not testimonial” (*Geier*, 41 Cal 4th at 605, 161 P3d at 138-139). As to each criterion, the court reasoned: (1) only government involvement focused on “ ‘the production of testimonial evidence’ ” implicates the Confrontation Clause (41 Cal 4th at 605, 161 P3d at 139, quoting *Crawford*, 541 US at 53); (2) although the private laboratory was acting on behalf of a police agency, and although the technician could reasonably expect her report to be available for future prosecution, her

“observations . . . constitute a contemporaneous recordation of observable events rather than the documentation of past events. That is, she recorded her observations regarding the receipt of the DNA samples, her preparation of the samples for analysis, and the results of that analysis as she was actually performing those tasks. ‘Therefore, when [she] made these observations, [she]—like the declarant

13. By this observation the court does not appear to suggest, nor do we, that the ability to challenge the state’s expert by such means precludes a finding of testimoniality; it merely observes that were the actual analysts who participated in the testing to testify, they would likely do no more than read from their own recordings of steps they took and how they took them, and what adjustments, if any, were made. This suggests that the highly verifiable nature of certain scientific testing, like DNA, obviates the need to call the actual, often numerous analysts who took part in testing.

reporting an emergency in *Davis*—[was] “not acting as [a] witness[];” and [was] “not testifying” ’ ” (41 Cal 4th at 605-606, 161 P3d at 139, quoting *Ellis*, 460 F3d at 926-927).

The court noted that the analyst who generated the report did so for the purpose of adhering to “standardized scientific protocol,” “not . . . to incriminate [the] defendant” (41 Cal 4th at 607, 161 P3d at 140). In short, the neutral testing procedures and the resulting raw data were not “accusatory” (again, in a Sixth Amendment sense) and the analyst did not “bear witness” against defendant (*id.*). Therefore, according to the court, “it cannot be that a statement is testimonial in every case where a declarant reasonably expects that [his/her] statement might be used prosecutorially,” for Michelle McCottry in *Davis*, though she reasonably expected her statements to lead to an arrest and prosecution, was certainly not “testifying” as *Davis* explained that term (41 Cal 4th at 605, 606, 161 P3d at 139). We agree with *Geier*’s rationale.

While it is noteworthy that *Crager*, *Verde* and *Geier* all emphasized the objectivity of the scientific procedures at issue, it is also relevant that, at least in *Verde* and *Geier* (and, as far as we can tell from the opinion, in *Crager*), the declarants’ out-of-court statements were not directly accusatory, in the sense that they explicitly linked the defendants to the crimes. The contrast is particularly noticeable in *Geier*: while the laboratory analysis was performed by technicians who did not testify, the comparison to defendant’s DNA was made by a testifying witness. The distinction, like the others we have discussed, is not an infallible touchstone; undoubtedly, statements can often be testimonial where their tendency to inculcate the defendant is only indirect. In close cases, however, the directness with which a particular statement points to the defendant as the offender is a factor to be considered.

As the preceding discussion shows, facts and context are essential. The question of testimoniality requires consideration of multiple factors, not all of equal import in every case. And while it is impossible to provide an exhaustive list of factors that may enter into the mix, two play an especially important role in this determination: first, whether the statement was prepared in a manner resembling *ex parte* examination and second, whether the statement accuses defendant of criminal wrongdoing. The purpose of making or generating the statement, and the declarant’s motive for doing so, inform these two interrelated touchstones.

III.

People v Rawlins

[2] Defendant argues that the fingerprint reports at issue were clearly testimonial because Beatty, a police detective, prepared his reports solely for prosecutorial purposes and, most importantly, because they were accusatory and offered to establish defendant’s identity. We agree that Beatty’s reports were testimonial, but nonetheless conclude that their admission was harmless beyond a reasonable doubt.

Beatty’s fingerprint reports, inherently accusatory and offered to prove an essential element of the crimes charged, could be nothing but testimonial. Latent fingerprint reports—which compare unknown latent prints from the crime with fingerprints from a known individual—fit the classic definition of “a weaker substitute for live testimony” at trial (*Davis*, 547 US at 828). In effect, Beatty was “testifying” through his reports that, in his opinion, defendant is the same person who committed the burglaries; had Beatty witnessed defendant committing the burglaries, he would have testified in like fashion. Critically, the purpose of gathering evidence of a past crime, i.e., latent prints, and comparing them with known prints—an admittedly inexact science—was to ultimately apprehend a perpetrator, and Beatty had no other expectation in making his comparisons, nor in rendering an arguably controvertible opinion (*see Pacer*, 6 NY3d at 512; *Goldstein*, 6 NY3d at 129).¹⁴

Nevertheless, admission of Beatty’s reports was harmless error beyond a reasonable doubt (*see Goldstein*, 6 NY3d at 129). As the Appellate Division concluded, Beatty’s reports for Jerome Florist and Andreas Hair Stylists were cumulative, as the expert who did testify (Connolly) reached that same conclusion after comparing the latent prints from those two establishments. Further, we reject defendant’s related contention that admission of Beatty’s reports unduly prejudiced him in light of

14. Respectfully, we disagree with our concurring colleague that Beatty’s reports were nontestimonial because they are business records and, thus, were not made “to nail down the truth about past criminal events” (concurring op at 161). Manifestly they were; it was the business of Detective Beatty to establish (if possible) who committed the crime. His reports are no less testimonial because the task of comparing latent fingerprints with a candidate’s is in the “nature” of what police officers do in the ordinary course of business. It is true that Beatty’s conclusions could well have exculpated Rawlins from the NYPD’s short list of suspects; the point, however, is that direct law enforcement involvement “presents unique *potential*” for abuse (*Crawford*, 541 US at 57 n 6 [emphasis added]).

Connolly's testimony. Defendant cross-examined Connolly as to his fingerprint methodology and assessment of matching point values; it is true, as defendant argues, that different experts may disagree "as to whether there is a sufficient number and quality of points of identity" necessary to render an opinion on a comparison. Here, however, where the jury heard defendant's questioning of Connolly and Laschke, we are satisfied beyond a reasonable doubt that Beatty's improperly admitted reports did not influence the outcome.

[3] Finally, we reject as meritless defendant's challenge to the constitutionality of New York's persistent felony offender sentencing scheme (*see* Penal Law § 70.10; CPL 400.20 [1]; *see also* *People v Rivera*, 5 NY3d 61 [2005], *cert denied* 546 US 984 [2005]; *People v Rosen*, 96 NY2d 329 [2001], *cert denied* 534 US 899 [2001]). Defendant's remaining contentions are unavailing.

People v Meekins

Pointing to certain indicia bearing on the question of testimoniality, defendant argues that the data Gene Screen generated and the other materials in the Medical Examiner's file are testimonial because the technicians who conducted the testing knew that they were working on a rape kit and, thus, had every reason to expect that their results would potentially be used to prosecute the individual ultimately identified. He also notes that the NYPD outsourced the task of testing crime scene samples for DNA to Gene Screen. Defendant argues that "the only conceivable purpose of collecting and memorializing the [testing] data was to establish the identity of a suspect." He contends that "[t]he DNA data . . . constituted a set of statements attributable to the lab technicians expressing the results of the scientific process they had performed," and that "[n]either [Floyd nor Keblish] had any direct role" in the procedures employed.

[4] The People, on the other hand, argue that the data and report prepared by Gene Screen is not the "functional equivalent" of the type of statements historically condemned by the Confrontation Clause. Instead, they argue, Gene Screen's report is a business record, which is "by [its] nature" (*Crawford*, 541 US at 56) nontestimonial. We agree that, under the circumstances of this case, the DNA data generated by Gene Screen is not testimonial.

As the record plainly indicates, and as Floyd (the Gene Screen supervisor) testified, the report in question contained raw data

in the form of “a DNA profile [that] originated from a male . . . obtained from the sperm fraction of the oral swab” from the rape kit. Specifically, the raw data was in the form of nonidentifying graphical information. Defendant challenges this data and statement as a substitute for live testimony, but concedes, critically, that Gene Screen “did not determine whether the data it collected matched [defendant] or any other suspect.” Indeed, as Floyd explained, Gene Screen “didn’t do any comparisons of the results” to any known DNA profiles. The graphical DNA test results, standing alone, shed no light on the guilt of the accused in the absence of an expert’s opinion that the results genetically match a known sample. That, however, was the Medical Examiner’s role, which defendant does not challenge. Indeed, even after the Medical Examiner’s office received notice from the Division of Criminal Justice Services of a possible match between the semen donor and a DNA profile preexisting in a database, Keblish’s office “checked the case file that [it] had already and made sure that the two DNA profiles were the same,” and only then did it notify the District Attorney and the Police Department.

Gene Screen’s report, a product of multiple analysts, is not the kind of ex parte testimony the Confrontation Clause was designed to protect against. Like the certificates of chemical analysis at issue in *Verde*, the testing and procedures employed in this case were “neither discretionary nor based on opinion” (444 Mass at 283, 827 NE2d at 705); nor did they concern the exercise of fallible human judgment over questions of cause and effect. This is not to say that errors could not have been made in the testing *procedure* itself. But those errors, if any, are not the product of “testimony” as we understand that term. Because the Gene Screen technicians only contemporaneously recorded the procedures employed and “state[d] the results of a well-recognized scientific test” (*id.*)—for the purpose, we note, of permitting subsequent reviewers to verify their work—a supervising witness under oath familiar with the laboratory’s requirements pursuant to rigid accreditation could illuminate on cross-examination whether protocol was followed.

Further, it is of no moment that the Gene Screen technicians knew or had every reason to know (because they were working on a rape kit) that their findings could generate results that could later be used at trial, nor that Gene Screen was performing work for law enforcement. Neither the prosecution nor law enforcement could have influenced the outcome; the govern-

ment's involvement is inconsequential. Finally, the documents prepared by the Gene Screen technicians were not directly accusatory; none of them compared the DNA profile they generated to defendant's.

[5] Most of what we have said of documents originating from Gene Screen is also true of the other documents in the Medical Examiner's file that were admitted into evidence. Many of them reflect the work of technicians in the Medical Examiner's office. Although the authors of these documents did, after receiving the notification from the Division of Criminal Justice Services, know that defendant was a suspect, their reports do not directly link defendant to the crime. It was left to the testifying witness, Keblish, to draw the inference from the evidence that defendant's DNA profile matched those obtained from the rape kit.

The notification itself, in which the Division of Criminal Justice Services informed the Medical Examiner's office of the match, was also part of the Medical Examiner's file. This document presents a different issue. Even apart from any *Crawford* problem, the document was not admissible as a business record to prove the truth of the matter it stated: there was no proof that the preparer of that document did so in the ordinary course of business. Also, because the document comes close to a direct accusation that defendant committed the crime, it is less clearly nontestimonial hearsay than the other documents at issue. But we need not consider this issue further, because any error in admitting the document for its truth was harmless beyond a reasonable doubt. The People relied on Keblish's testimony to prove the match, and evidence that the same match had earlier been identified by the Division was cumulative and, in context, insignificant.

Defendant's remaining contentions are without merit.

IV.

Accordingly, in each case the order of the Appellate Division should be affirmed.

READ, J. (concurring). I would hold that the forensic reports at issue in these appeals are not testimonial statements within the meaning of *Crawford v Washington* (541 US 36 [2004]). In *Rawlins*, the putative declarant matched up a faceless sample of physical evidence from the crime scene—a latent print—with defendant's fingerprint card; in *Meekins*, the putative declarants analyzed samples taken from the complainant's rape kit to

create a DNA profile. Neither report resembles the evils the Confrontation Clause addresses: they are not former testimony or the product of police interrogation; they do not fall within the civil-law mode of *ex parte* examination. Both “involve[], in principal part, a careful and contemporaneous reporting of a series of steps taken and facts found,” which are “in the nature of a business record” (*United States v De La Cruz*, 514 F3d 121, 133 [1st Cir 2008] [“(B)usiness records are expressly excluded from the reach of *Crawford*”]; see also *United States v Feliz*, 467 F3d 227, 233-234 [2d Cir 2006] [statements properly admitted under the Federal Rules of Evidence as business records “cannot be testimonial because a business record is fundamentally inconsistent with what the Supreme Court has suggested comprise the defining characteristics of testimonial evidence”]; *People v Pacer*, 6 NY3d 504, 510 [2006] [remarking that “(t)he *Crawford* court concluded that business records would not have been considered testimonial at the time the Confrontation Clause was adopted,” but rejecting prosecution’s argument that the particular affidavit at issue was akin to a business or public record]).

Further, the distinctions advanced by the majority do not explain why the fingerprint comparison in *Rawlins* was testimonial, but the DNA profile in *Meekins* was not. As an initial matter, neither forensic report was made “to nail down the truth about past criminal events” (majority op at 148, quoting *Davis v Washington*, 547 US 813, 830 [2006]). The police detective who conducted the fingerprint comparison juxtaposed fingerprint patterns (i.e., loops, arches or whorls) and ridge characteristics from the latent print report with candidate fingerprints identified by computer search of a statewide database, documenting his conclusions when he found a match so that they might be verified or rejected by another examiner and a supervisor. The technicians documenting the steps taken to create the DNA profile were likewise doing so to allow subsequent reviewers to verify their work. Neither forensic report says anything about a past crime; both describe present events—the results of standardized testing procedures. The fact that these documents can be used to build a case against defendants for past crimes does not turn them into descriptions of past events.

The majority also suggests that the fingerprint comparison was testimonial but the DNA profile was not because the “salient characteristic of objective, highly scientific testing like

DNA analysis is that the results are not inherently biased toward inculcating the defendant; they can also exculpate. The inescapable corollary is that police or prosecutorial involvement is unlikely to have any impact on the test's results" (majority op at 153). But fingerprint comparisons (although arguably not as "highly scientific" as DNA analysis) may also exculpate. Moreover, does the majority mean to suggest that if the police had contracted out the fingerprint comparison to a private laboratory (thus eliminating police and prosecutorial involvement), the resulting forensic report would have been nontestimonial?

Finally, the majority finds the fingerprint comparison in *Rawlins* "could be nothing but testimonial" because it was "inherently accusatory and offered to prove an essential element of the crimes charged" (majority op at 157). But the same could be said of McCottry's statements in *Davis*, which the Supreme Court concluded were nontestimonial. Her statements not only provided evidence of defendant's identity, but of other elements of the crime charged. The determinative factor was not the accusatory nature of what she said or whether it helped to establish defendant's guilt (after all, if it had not, the People would not have offered it), but whether the statements resembled *ex parte* examinations.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH and FIGOTT concur with Judge JONES; Judge READ concurs in result in a separate opinion.

In each case: Order affirmed.

[884 NE2d 1040, 855 NYS2d 41]

In the Matter of the Accounting by FLEET BANK, as Trustee of the Trust for the Benefit of BARBARA W. PIEL, Now Deceased, under Indenture with FLORENCE S. WOODWARD, Dated December 28, 1926, Appellant. ELIZABETH McNABB, Intervenor-Respondent; LILA PIEL-OLLMANN et al., Appellants. (And Another Proceeding.)

Argued February 6, 2008; decided March 13, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from two orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 16, 2007. The orders (1) reversed, insofar as appealed from, decrees of the Surrogate's Court, Monroe County (Edmund A. Calvaruso, S.), which had settled the final account of two trusts established in 1926 and in 1963, and excluded respondent Elizabeth McNabb from sharing in the proceeds of the trusts; and (2) remitted the matters to Surrogate's Court for further proceedings.

Matter of Piel, 38 AD3d 1235, reversed.

Matter of Piel, 38 AD3d 1238, reversed.

HEADNOTE

Descent and Distribution — Rights of Inheritance — Effect of Adoption

A child adopted out of the family by strangers was not entitled to share in a class gift to her biological mother's issue established by her biological grandmother's 1926 and 1963 irrevocable trusts. The Domestic Relations Law in effect at the time the trusts were executed did not create rights for an adopted-out child to share in a class gift by implication. Nothing in the pre-1964 legislative history or case law, moreover, indicated that an adopted-out child would share in a class gift to a biological parent's issue, descendants or children. Further, important policy considerations supported the exclusion of adopted-out children from class gifts to the biological parent's issue: full assimilation of the adopted child into the adoptive family, confidentiality of adoption records, finality in court decrees and stability in property titles.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Adoption §§ 175, 178, 184; AM JUR 2d, Trusts §§ 56, 244.

CARMODY-WAIT 2d, Payment of Shares § 169:168.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 7:73–7:80.

NY JUR 2d, Decedents' Estates §§ 10, 21; NY JUR 2d, Domestic Relations §§ 699–701, 704; NY JUR 2d, Trusts §§ 19, 30, 342, 344.

ANNOTATION REFERENCE

Adopted child as within class named in testamentary gift.
36 ALR5th 395.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: adopted /2 child /s class /2 gift /p testamentary /2
trust

POINTS OF COUNSEL

Harris Beach PLLC, Pittsford (A. Vincent Buzard, Edward D. Bloom and Gregory J. McDonald of counsel), *Wakelin, Hallock & O'Donovan, LLP*, Portland, Maine (David S. Wakelin of counsel), and *Eugene P. LaBue*, Rochester, for appellants. I. The Appellate Division erroneously overruled this Court's decision in *Matter of Best* (66 NY2d 151 [1985]) by rejecting the single, universal rule of construction that this Court established regarding the rights of adopted-out children to share in class gifts under wills and trusts of biological ancestors. (*Matter of Cook*, 187 NY 253.) II. Section 117 of the Domestic Relations Law, which the Appellate Division relied upon, was determined by this Court in *Matter of Best* (66 NY2d 151 [1985]) to be irrelevant. (*Matter of Cook*, 187 NY 253; *Matter of Murphy*, 6 NY3d 36; *Matter of Adler*, 202 Misc 1100; *Matter of Landers*, 100 Misc 635; *Matter of Gourlay*, 173 Misc 930; *Matter of Monroe*, 132 Misc 279; *Matter of Gardiner*, 69 NY2d 66.) III. The Appellate Division's treatment of *Matter of Best* (66 NY2d 151 [1985]) as to instruments in effect prior to March 1, 1964 has broad negative policy implications for adoptions and the administration of trusts in New York.

Boylan Law Office, LLP, LeRoy (Paul S. Boylan and Laurence C. Boylan of counsel), for intervenor-respondent. I. The Appellate Division distinguished, but did not overrule, *Matter of Best* (66 NY2d 151 [1985]), correctly concluding that respondent is entitled to share in the trusts created by her grandmother. (*Matter of Landers*, 100 Misc 635; *Matter of Monroe*, 132 Misc 279; *Matter of Gourlay*, 173 Misc 930; *Matter of Adler*, 202 Misc 1100; *Matter of Cook*, 187 NY 253; *Matter of Robert Paul P.*, 63 NY2d 233; *Matter of Underhill*, 176 Misc 737; *Matter of Mulligan v*

Murphy, 14 NY2d 223; *Moore v Littel*, 41 NY 66.) II. The marital status of Elizabeth McNabb’s mother does not adversely affect her right to participate in the two trusts created by her grandmother in 1926 and 1963. (*Levy v Louisiana*, 391 US 68; *Trimble v Gordon*, 430 US 762; *Shelley v Kraemer*, 334 US 1; *Matter of Hoffman*, 53 AD2d 55; *Matter of Gans*, 134 Misc 2d 426; *Reed v Campbell*, 476 US 852.)

OPINION OF THE COURT

Chief Judge KAYE.

In *Matter of Best* (66 NY2d 151 [1985]), this Court relied on strong policy considerations to conclude that a child adopted out of the family by strangers does not presumptively share in a class gift to the biological parent’s issue established in the biological grandmother’s 1973 testamentary trust. This appeal presents the same scenario, but with class gifts created by 1926 and 1963 irrevocable trusts. Despite the time difference, we conclude that the policy considerations that were determinative in *Best* equally determine the case before us, and that the adopted-out child does not share in the trust proceeds.

Background

Florence Woodward created two irrevocable trusts, one in 1926 and a second in 1963, for the lifetime benefit of her daughter, Barbara W. Piel, and upon her death the trusts directed the trustee (successor-in-interest Fleet Bank) to distribute the principal to Barbara’s descendants. Specifically, the 1926 trust net income was to be paid “to her descendants, if any, in equal shares, per stirpes.” The 1963 trust principal was to be divided equally for “each then living child of hers.” Barbara Piel died in July 2003, and in October 2004 Fleet Bank instituted two proceedings for judicial settlement of the final account for each trust. This appeal concerns the distribution of approximately \$9.7 million in trust principal.

Barbara Piel gave birth to three daughters. Her first daughter, intervenor-respondent Elizabeth McNabb, was born out of wedlock on August 15, 1955 in Portland, Oregon. Within days, Barbara signed a consent to adoption, relinquishing her parental rights and agreeing to Elizabeth’s adoption by strangers. An Oregon court finalized the adoption in November 1955 and Elizabeth lived her life in Oregon as a member of the Jones family. There is no indication that Florence Woodward knew of Elizabeth’s birth or adoption. Barbara’s other two daughters,

Stobie Piel, born in 1959, and Lila Piel-Ollman, born in 1961, are the children of her marriage to Michael Piel.

Fleet Bank cited Stobie and Lila in the October 2004 proceedings, but failed to include Elizabeth or her children as interested persons. In November 2004 Elizabeth moved for permission to intervene and file objections to the accounts, later joined by her two children. Elizabeth objected to each account because it failed to provide her with a one-third distribution of the principal and income of each trust. The parties cross-moved for summary judgment.

Surrogate's Court denied Elizabeth's motions for summary judgment and granted petitioner's motions seeking dismissal of Elizabeth's objections. The Surrogate relied on this Court's holding in *Matter of Best* that class gifts to the issue of a beneficiary do not presumptively include adopted-out children. The Appellate Division reversed, finding inapplicable the reasoning and policy considerations in *Best* because the Woodward trusts were executed prior to 1963 and 1966 amendments in the Domestic Relations Law that had been effective in *Best*. We now reverse and reinstate the Surrogate's decrees.

Analysis

We begin with the fundamental premise that a court must first look within the four corners of a trust instrument to determine the grantor's intent (*see generally Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256 [1990]; *Matter of Cord*, 58 NY2d 539 [1983]). Only if the terms are ambiguous may a court consider extrinsic evidence. Where, as here, there is no evidence of the grantor's intent to include or exclude a person from the class gift, a court may craft general, yet rebuttable, rules of construction based on statutory interpretation and public policy.

We did just that in *Best*, concluding that a nonmarital child adopted at birth by strangers was not entitled to share in a class gift devised by his biological grandmother to her daughter's issue. The testamentary trust in *Best*, executed in 1973, directed the trustee, upon the biological mother's death, to distribute the trust principal equally among her issue. The mother had two sons—David, born out of wedlock in 1952 and immediately adopted by strangers, and Anthony, born in 1963. The question in *Best*, as here, was whether the adopted-out child was an intended beneficiary of the class gift.

There being no evidence of the grantor's intent, the Court considered the effect of David's status as his biological mother's

nonmarital, adopted-out child. Although there was a rebuttable presumption that nonmarital children could share in class gifts to their parent's issue, David's status as a nonmarital child became irrelevant to the class disposition because of his status as an adopted-out child.* In holding that adopted-out children should be excluded from general class gifts to the biological parent's issue, the Court held that Domestic Relations Law § 117 did not require inclusion of adopted-out children, and that three "[p]owerful policy considerations" militate against inclusion in the class (*Best*, 66 NY2d at 155). We reach those same conclusions here.

Before addressing the policy considerations relied upon in *Best*, we outline the significant change in the Domestic Relations Law that distinguishes the present facts, but not the result.

From 1896 through 1963, an adopted child's right "of inheritance and succession" from the biological family "remain[ed] unaffected" by the order of adoption (Domestic Relations Law § 64, as codified by L 1896, ch 272). Clearly, between 1896 and 1963, New York law permitted an adopted-out child to inherit in intestacy from biological parents (*see Matter of Landers*, 100 Misc 635 [Sur Ct, Oneida County 1917]; *Matter of Foster*, 108 Misc 604 [Sur Ct, Wayne County 1919]; *Matter of Gourlay*, 173 Misc 930 [Sur Ct, Kings County 1940]; *see also* Mem of Commn on Law of Estates, 1963 McKinney's Session Laws of NY, at 1962). Unclear, however, is whether an adopted-out child was presumptively included in a class gift to a biological parent's issue, descendants or children.

In 1963 the Legislature amended Domestic Relations Law § 117 by terminating—for the first time since 1896—an adopted child's rights to inheritance and succession from the biological family (L 1963, ch 406). Effective March 1, 1964, the amendments included a savings clause for wills and irrevocable instruments executed prior to that date.

In 1985, when *Best* was decided, Domestic Relations Law § 117 (1) provided that the "rights of an adoptive child to inheritance and succession from and through his natural parents shall terminate upon the making of the order of adoption"

* Similarly, in the present case Elizabeth's status as a nonmarital child has no impact on this Court's decision; her status as a child adopted out of the biological family controls the result we reach. Accordingly, there is no denial of equal protection, as she claims.

(As amended by L 1970, ch 570, § 10.) Subdivision (2) clarified that the termination of rights applied “only to the intestate descent and distribution of real and personal property and *shall not affect the right of any child to distribution of property under the will . . . or under any inter vivos instrument . . .* executed by such natural parent or his or her kindred” (as amended by L 1966, ch 14 [emphasis added]). Significantly, the Court determined that this statutory provision “does not mandate that [an adopted-out] child receive a gift by implication,” but only protects an adopted-out child’s right to inherit when specifically identified in the instrument (*Best*, 66 NY2d at 156). Thus, section 117 (2) merely preserved rights of inheritance expressly intended by the grantor; it did not create additional rights.

As in *Best*, the Domestic Relations Law in effect at the time Florence Woodward executed the trusts does not create rights for an adopted-out child to share in a class gift by implication. *Best* determined that question, concluding that similar statutory language did not create such a right. Nothing in the pre-1964 legislative history or case law, moreover, indicates that an adopted-out child would share in a class gift to a biological parent’s issue, descendants or children.

Having determined that the statutory law effective prior to March 1, 1964 does not require a different result, we turn to the strong policy considerations supporting adherence to *Best*.

In excluding adopted-out children from class gifts to the biological parent’s issue, the Court highlighted the legislative objective of fully assimilating the adopted child into the adoptive family and, relatedly, the importance of keeping adoption records confidential. From the very inception of the adoption law the Legislature has sought to promote assimilation of the adopted child by providing the new family with the “legal relation of parent and child” (Domestic Relations Law § 64, as codified by L 1896, ch 272; *see also Matter of Cook*, 187 NY 253, 260-261 [1907]). Additionally, by 1924 the Legislature had explicitly recognized the importance of confidentiality in adoption records, and in 1938 it mandated the sealing of those records (*see Matter of Linda F. M.*, 52 NY2d 236, 238 n 1 [1981]). These policy considerations predate the execution of both Woodward trusts.

The facts of this case also compellingly demonstrate the importance of the third policy concern identified in *Best*. As the Court noted, the finality of judicial decrees would be compro-

mised if adopted-out children were included in such class gifts “because there would always lurk the possibility, no matter how remote, that a secret out-of-wedlock child had been adopted out of the family by a biological parent or ancestor of a class of beneficiaries” (66 NY2d at 156). That lurking possibility materialized here. In this case the adopted-out child intervened and relieved the trustee of the duty to identify and cite her. In other cases, neither the family nor the child may be aware of a birth or adoption, thereby placing on a trustee seeking closure the onerous burden of searching out unknown potential beneficiaries.

This case raises additional policy concerns: here we address classes of beneficiaries created in irrevocable instruments prior to 1964. The chances of unearthing adoption decrees potentially dating back to the late 1800s, or of identifying witnesses to recall the details of an adoption, dwindle as time passes. Permitting adopted-out children to participate in a class created by a pre-1964 instrument would pose greater practical problems to the procedural administration of a gift, and—without any legal basis for doing so—would create two classes of beneficiaries, those receiving a gift in an instrument executed before 1964 and those after. The policy interests of finality in court decrees and stability in property titles weigh heavily in favor of consistency with *Best*.

Therefore, we conclude that the *Best* rule of construction also applies to irrevocable trusts executed prior to March 1, 1964. Where, as here, the grantor’s intent is indiscernible and the statutory intent at best ambiguous, we conclude that the policy considerations disfavoring inclusion of adopted-out children in such a class determine this case.

Accordingly, the order of the Appellate Division should be reversed, with costs payable out of the trusts to all parties appearing separately and filing separate briefs, and the decrees of Surrogate’s Court reinstated.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[884 NE2d 1044, 855 NYS2d 45]

VIGILANT INSURANCE COMPANY et al., Appellants, v THE BEAR
STEARNS COMPANIES, INC., Respondent.

Argued February 6, 2008; decided March 13, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 14, 2006. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Karla Moskowitz, J.; op 10 Misc 3d 1072[A], 2006 NY Slip Op 50047[U]), which had granted plaintiffs' motion for summary judgment to the extent of declaring that defendant could not recover the \$25 million disgorgement payment through its insurance policies with plaintiffs, and otherwise denied the motion. The modification consisted of granting summary judgment to defendant on the investment banking exclusion and the independent research/investor education issue, and denying summary judgment to plaintiffs regarding disgorgement. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by this Court, properly made?"

Vigilant Ins. Co. v Bear Stearns Cos., Inc., 34 AD3d 300, reversed.

HEADNOTE

Insurance — Disclaimer of Coverage — Failure to Obtain Insurers' Consent before Settling

Defendant insured, having executed a consent agreement in settlement of the underlying federal lawsuit against it providing for the payment of \$80 million and certain other relief three days before it notified plaintiff liability carriers and asked for their consent to the settlement, breached a provision in its liability policies with plaintiffs obligating it to obtain plaintiffs' consent before settling claims in excess of \$5 million. The policy provision provided that defendant would not "settle any Claim, incur any Defense Costs or otherwise assume any contractual obligation or admit any liability with respect to any Claim in excess of" \$5 million without plaintiffs' consent. Upon signing the consent agreement defendant acquiesced to the relief sought in the federal action and agreed that a final judgment could be presented to the federal court for signature and entry without further notice to defendant. Although the federal court did not approve the settlement until it entered a final judgment almost six months after plaintiffs had been notified of the settlement, defendant was not free to walk away from the consent judgment before entry of a final judgment, and it had settled the claim within the meaning of the insurance policy at the time it signed the consent agreement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1385, 1390, 1640, 1646.
COUCH ON INSURANCE (3d ed) § 199:48.
NY JUR 2d, Insurance §§ 1909, 2060–2063.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement; Insurance and Insurance Companies.

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POINTS OF COUNSEL

DLA Piper US LLP, New York City (*Joseph G. Finnerty III*, *Arthur F. Fergenson* and *Howard S. Schrader* of counsel), and *Bondas, Skarzynski, Walsh & Black, LLC* (*James A. Skarzynski*, *Evan Shapiro* and *Eleftherios Stefas* of counsel) for appellants. I. The First Department violated the Supremacy Clause of the United States Constitution by nullifying a federal court final judgment. (*Frew v Hawkins*, 540 US 431; *Hunt v Mobil Oil Corp.*, 557 F Supp 368; *Washington v Washington State Commercial Passenger Fishing Vessel Assn.*, 443 US 658; *Delaware Val. Citizens' Council for Clean Air v Commonwealth of Pa.*, 755 F2d 38; *Central Nat. Bank v Stevens*, 169 US 432; *Riggs v Johnson County*, 6 Wall [73 US] 166; *Stoll v Gottlieb*, 305 US 165; *Deposit Bank v Frankfort*, 191 US 499; *Matter of New York State Commr. of Correction v Gulotta*, 194 AD2d 540; *Jamaica Hosp. v Blum*, 68 AD2d 1.) II. The First Department misapplied basic principles of contract interpretation to the insurance policies' "investment banking" exclusion. (*Mount Vernon Fire Ins. Co. v Creative Hous.*, 88 NY2d 347; *Silva v Utica First Ins. Co.*, 303 AD2d 487; *Matter of Manhattan Pizza Hut v New York State Human Rights Appeal Bd.*, 51 NY2d 506; *People v Shapiro*, 50 NY2d 747; *Bailey v AGR Realty Co.*, 260 AD2d 322; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Newin Corp. v Hartford Acc. & Indem. Co.*, 62 NY2d 916; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Matter of Ideal Mut. Ins. Co. [Superintendent of Ins. of State of N.Y.—Harbour Assur. Co. of Bermuda]*, 231 AD2d 59; *Tierra Props. v Lloyd's Ins. Co.*, 206 AD2d 288.) III. The court below erred in not holding that Bear

Stearns' failure to obtain the insurers' consent prior to its settlement with the regulators voided coverage under the policies. (*Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *Royal Zenith Corp. v New York Mar. Mgrs.*, 192 AD2d 390; *AIU Ins. Co. v Valley Forge Ins. Co.*, 303 AD2d 325; *Travelers Indem. Co. v Eitapence*, 924 F2d 48; *Valentino v State of New York*, 48 AD2d 15; *Silverman v Member Brokerage Servs.*, 298 AD2d 381; *Winston v Mediafare Entertainment Corp.*, 777 F2d 78; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584.) IV. The trial court and the First Department erred in not ruling that Bear Stearns' future payments for "independent research" and "investor education" programs are not "loss" covered by the policies. (*Loblaw, Inc. v Employers' Liab. Assur. Corp.*, 57 NY2d 872; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Roundabout Theatre Co. v Continental Cas. Co.*, 302 AD2d 1; *Continental Ins. Cos. v Northeastern Pharm. & Chem. Co., Inc.*, 842 F2d 977; *Mazzola v County of Suffolk*, 143 AD2d 734; *2619 Realty v Fidelity & Guar. Ins. Co.*, 303 AD2d 299; *Avondale Indus., Inc. v Travelers Indem. Co.*, 887 F2d 1200; *Elliott Bros., Inc. v United States Fid. & Guar. Co.*, 275 F3d 384; *Maryland Cas. Co. v Armco, Inc.*, 822 F2d 1348.)

Proskauer Rose LLP, New York City (*John H. Gross, Seth B. Schafner, Francis D. Landrey, Matthew J. Morris and Sarah Reisman* of counsel), for respondent. I. The insurers' Supremacy Clause argument was not preserved and is without merit. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175; *Lichtman v Grossbard*, 73 NY2d 792; *Matter of Barbara C.*, 64 NY2d 866; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Capitol Records, Inc. v Naxos of Am., Inc.*, 4 NY3d 540; *Department of Treasury v Fabe*, 508 US 491; *SEC v National Securities, Inc.*, 393 US 453; *Munich Am. Reins. Co. v Crawford*, 141 F3d 585; *Washington v Washington State Commercial Passenger Fishing Vessel Assn.*, 443 US 658.) II. There are triable issues of fact as to whether the payment labeled as disgorgement is a loss as that term is defined in the policy. (*Zuckerman v City of New York*, 49 NY2d 557; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Lipsky v Commonwealth United Corp.*, 551 F2d 887; *Cambridge Fund, Inc. v Abella*, 501 F Supp 598; *Singleton Mgt. v Compere*, 243 AD2d 213; *Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261; *Matter of Becker v DeBuono*, 239 AD2d 664; *Allstate Ins. Co. v Zuk*, 78 NY2d 41; *Public Serv. Mut. Ins. Co. v*

Goldfarb, 53 NY2d 392; *Messersmith v American Fid. Co.*, 232 NY 161.) III. The Appellate Division correctly granted summary judgment to Bear Stearns on the investment banking issue. (*Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *RJC Realty Holding Corp. v Republic Franklin Ins. Co.*, 2 NY3d 158; 242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co., 31 AD3d 100; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Newin Corp. v Hartford Acc. & Indem. Co.*, 62 NY2d 916; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Ender v National Fire Ins. Co. of Hartford*, 169 AD2d 420; *Mount Vernon Fire Ins. Co. v Creative Hous.*, 88 NY2d 347.) IV. The Appellate Division correctly granted summary judgment to Bear Stearns on whether the policy covers payments for investor education and independent research. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *Mazzuocolo v Cinelli*, 245 AD2d 245; *S.E.C. v Lorin*, 869 F Supp 1117; *ZKZ Assoc. v CNA Ins. Co.*, 89 NY2d 990; *Woodson v American Tr. Ins. Co.*, 281 AD2d 282; *Yoi-Lee Realty Corp. v 177th St. Realty Assoc.*, 208 AD2d 185; *Maryland Cas. Co. v Armco, Inc.*, 822 F2d 1348; *Ellett Bros., Inc. v United States Fid. & Guar. Co.*, 275 F3d 384; *Gerrish Corp. v Universal Underwriters Ins. Co.*, 947 F2d 1023.) V. There are triable issues of fact concerning the settlement issue. (*Isadore Rosen & Sons v Security Mut. Ins. Co. of N.Y.*, 31 NY2d 342; *Prudential Lines v Firemen's Ins. Co. of Newark, N.J.*, 91 AD2d 1; *Texaco A/S [Denmark] v Commercial Ins. Co. of Newark, N.J.*, 160 F3d 124; *Luria Bros. & Co., Inc. v Alliance Assur. Co., Ltd.*, 780 F2d 1082; *Silverman v Member Brokerage Servs.*, 298 AD2d 381; *Hover v National Grange Ins. Co.*, 20 AD2d 178; *Winston v Mediafare Entertainment Corp.*, 777 F2d 78; *Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Schlegel Mfg. Co. v Cooper's Glue Factory*, 231 NY 459; *Souveran Fabrics Corp. v Virginia Fibre Corp.*, 37 AD2d 925.)

Jacob H. Stillman, Washington, D.C., and Mark Pennington for Securities and Exchange Commission, amicus curiae. I. The U.S. Securities and Exchange Commission's complaint alleged that Bear Stearns failed to guard against conflicts of interest that threatened the independence of its securities analysts and sought disgorgement of the ill-gotten gains arising from this misconduct. II. Bear Stearns agreed to pay disgorgement, and the District Court entered a judgment ordering it to do so. III. Despite the plain language of the complaint of the consent to

judgment and of the final judgment, Bear Stearns urged in the Appellate Division that it did not pay disgorgement, and that the US Securities and Exchange Commission used a “legal fiction” to obtain compensatory damages.

OPINION OF THE COURT

GRAFFEO, J.

In this insurance dispute, we conclude that the insured breached a policy provision obligating it to obtain the consent of its liability carriers before settling claims in excess of \$5 million. We therefore reverse the order of the Appellate Division denying the insurers’ motion for summary judgment.

Defendant Bear Stearns Companies, Inc., a financial services firm, was issued a primary professional liability insurance policy by plaintiff Vigilant Insurance Company that provided coverage for losses resulting from claims made against the insured for its wrongful acts. The Vigilant policy afforded \$10 million in coverage after Bear Stearns exhausted its \$10 million self-insured retention. Plaintiffs Federal Insurance Company and Gulf Insurance Company further provided Bear Stearns an additional \$40 million in coverage under follow-form excess liability policies.* Pursuant to the terms of these insurance contracts, Bear Stearns agreed not to settle any claim in excess of \$5 million without first obtaining the consent of its insurers. In addition, the policies excluded coverage for claims arising from investment banking work undertaken by Bear Stearns.

In early 2002, the U.S. Securities and Exchange Commission (SEC), National Association of Securities Dealers (NASD) and New York Stock Exchange (NYSE), along with state attorneys general, initiated a joint investigation into the practices of research analysts working at financial services firms and the potential conflicts that could arise from the relationship between research functions and investment banking objectives. The investigation focused on allegations that research analysts employed at 10 major financial institutions, including Bear Stearns, were improperly influenced by investment banking concerns. Toward the end of 2002, the regulators met separately

* The Travelers Indemnity Company is the successor-in-interest by merger to Gulf Insurance Company. Bear Stearns was also covered by additional excess policies not relevant to this appeal.

with each of the investigated firms to discuss a global settlement.

On December 20, 2002, Bear Stearns signed a settlement-in-principle document, acknowledging that each regulator would commence an action or administrative proceeding against it and that Bear Stearns would subsequently “consent to the action and the relief sought without admitting or denying the allegations.” Bear Stearns further agreed to pay \$50 million in retrospective relief, plus \$25 million to fund independent research and \$5 million for investor education. The document indicated that the terms of the settlement were subject to approval by the SEC and other regulators. Also taking place on December 20, 2002, the regulators issued a press release announcing they had achieved an industry-wide settlement with the 10 financial institutions that would result in payments of more than \$1.4 billion in penalties, restitution and education funds.

A few months later, Bear Stearns executed a consent agreement in which it acceded to the entry of a final judgment in the SEC’s federal lawsuit against Bear Stearns in the United States District Court for the Southern District of New York. Under the terms of the “Consent of Defendant Bear, Stearns & Co. Inc.,” dated April 21, 2003, Bear Stearns consented to be permanently enjoined from violating a number of NASD and NYSE rules and agreed to pay a total amount of \$80 million allocated as follows: \$25 million as a penalty, \$25 million in disgorgement, \$25 million for independent research and \$5 million for investor education. Of the \$50 million in retrospective relief, \$25 million was designated to resolve the SEC action and related proceedings instituted by the NASD and NYSE, while the remaining \$25 million covered the settlement of proceedings with various state regulators. Bear Stearns explicitly agreed not to seek insurance coverage for the \$25 million penalty. The agreement also allowed the SEC to present a final judgment to the federal court “for signature and entry without further notice” to Bear Stearns.

Three days after executing the settlement agreement, Bear Stearns sent letters to its insurers requesting their consent to the settlement. The insurers disclaimed coverage and commenced this declaratory judgment action seeking a declaration that the \$45 million sought by Bear Stearns (after depletion of the \$10 million self-insured retention) was not covered by the policies.

In October 2003 the federal District Court found the Bear Stearns settlement to be “fair, adequate, and in the public interest,” and entered a final judgment ordering Bear Stearns to pay the agreed-upon sum of \$80 million. Shortly thereafter, the insurers moved for summary judgment in this declaratory judgment action. In support of their motion, the insurers argued that they were not liable for all or part of the \$45 million sought by Bear Stearns for four reasons. First, they asserted that Bear Stearns could not recover any of the settlement because it had breached the policy provision obligating it to obtain the insurers’ consent before settling the case. Second, they claimed that the investment banking exclusion precluded recovery of the settlement proceeds. Third, the insurers contended that the \$25 million disgorgement payment was uncollectible either as a matter of public policy or under contract interpretive principles. Finally, they posited that neither the \$25 million payment for independent research nor the \$5 million payment for investor education was covered because those liabilities were not “losses” within the meaning of the policies.

Supreme Court found that triable issues of fact existed as to whether Bear Stearns breached the policy clause prohibiting it from settling without the insurers’ consent and whether the investment banking exclusion applied. Siding with the insurers on the disgorgement issue, the court held that the \$25 million disgorgement payment did not constitute damages under the terms of the policies and that Bear Stearns was not entitled to look behind the settlement to ascertain whether the entire \$25 million truly represented ill-gotten gains. The court also rejected the insurers’ position that the \$25 million payment for independent research and \$5 million payment for investor education were not losses under the policies. Bear Stearns and the insurers appealed.

The Appellate Division modified, by granting Bear Stearns summary judgment on the investment banking exclusion and independent research/investor education issues and denying the insurers summary judgment on the disgorgement issue, and otherwise affirmed. The court concurred with Supreme Court in finding an issue of fact as to whether Bear Stearns breached the provision obligating it to obtain the consent of the insurers, but determined that the investment banking exclusion was not applicable. Despite the agreement by Bear Stearns to pay \$25 million as disgorgement, the court found “an issue of fact as to

whether the portion of the settlement attributed to disgorgement actually represented ill-gotten gains or improperly acquired funds” (34 AD3d 300, 302 [2006]). Finally, the court rejected the insurers’ contention that the combined \$30 million payment for independent research and investor education were not covered losses.

The Appellate Division granted the insurers leave to appeal and certified the following question to this Court: “Was the order of the Supreme Court, as modified by this Court, properly made?” We conclude that it was not.

The insurers raise a number of objections to the Appellate Division order, but we find it necessary to address only one of them. The insurers contend that the Bear Stearns settlement is not recoverable because Bear Stearns breached the policy provision obligating it to obtain their consent prior to settling the regulator lawsuits. Specifically, the insurers claim that Bear Stearns resolved and finalized the settlement of the case when it executed the settlement-in-principle in December 2002 or, at the latest, when it signed the consent agreement in April 2003 without advising the insurers. Bear Stearns counters that the courts below properly found a triable issue of fact as to whether its execution of these two documents constituted a breach of the policy provision.

The primary insurance policy, whose terms and conditions are incorporated into the follow-form excess policies, provides in relevant part:

“The Insured agrees not to settle any Claim, incur any Defense Costs or otherwise assume any contractual obligation or admit any liability with respect to any Claim in excess of a settlement authority threshold of \$5,000,000 without the Insurer’s consent, which shall not be unreasonably withheld . . . The insurer shall not be liable for any settlement, Defense Costs, assumed obligation or admission to which it has not consented.”

As with the construction of contracts generally, “unambiguous provisions of an insurance contract must be given their plain and ordinary meaning, and the interpretation of such provisions is a question of law for the court” (*White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007] [citation omitted]).

We conclude that Bear Stearns breached this provision when it executed the April 2003 consent agreement before notifying

the insurers or obtaining their approval. As contemplated by the earlier settlement-in-principle, Bear Stearns signed the April 2003 agreement acquiescing to the relief sought in the SEC federal action. Under this agreement, Bear Stearns agreed to pay \$80 million, covering four payment categories, in order to resolve the various federal and state regulatory actions and proceedings pending against it. Bear Stearns further accepted injunctive relief that prevented it from violating certain NASD and NYSE rules. And it acknowledged that the SEC could present a final judgment to the federal court for signature and entry without further notice. In short, Bear Stearns did everything within its ability to settle the matter and no further action was required on its part.

We are unpersuaded by the contention that a triable issue of fact exists because the federal court did not approve the settlement until it entered a final judgment in October 2003. Parties are free to enter into a valid settlement agreement that is made subject to court approval. Notably absent from the agreement, however, was any provision similarly subjecting it to the insurers' approval. Having signed the consent agreement, Bear Stearns was not free to walk away from it before entry of a final judgment (*see TLC Beatrice Intl. Holdings, Inc. v CIGNA Ins. Co.*, 2000 WL 282967, *7, 2000 US Dist LEXIS 2917, *20-21 [SD NY 2000] ["Although the Court, whose approval was sought by the parties, could accept or reject the Settlement, subject to that approval the parties themselves were bound by the Settlement's terms" (citation omitted)], *affd sub nom. Lewis v Cigna Ins. Co.*, 234 F3d 1262 [2d Cir 2000] [table; text at 2000 WL 1654530, 2000 US App LEXIS 27848 (2000)]). In executing the April 2003 agreement, Bear Stearns settled a claim within the meaning of the insurance policy provision.

As a sophisticated business entity, Bear Stearns expressly agreed that the insurers would "not be liable" for any settlement in excess of \$5 million entered into without their consent. Aware of this contingency in the policies, Bear Stearns nevertheless elected to finalize all outstanding settlement issues and executed a consent agreement before informing its carriers of the terms of the settlement. Bear Stearns therefore may not recover the settlement proceeds from the insurers.

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiffs' motion for summary judg-

ment granted, judgment granted declaring in accordance with this opinion and the certified question answered in the negative.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge KAYE taking no part.

Order reversed, etc.

[884 NE2d 1048, 855 NYS2d 49]

WATRAL & SONS, INC., Appellant, v OC RIVERHEAD 58, LLC, Respondent, et al., Defendants.

Argued February 7, 2008; decided March 18, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 14, 2006. The Appellate Division, with two Justices dissenting, modified, on the facts, insofar as appealed from, so much of a judgment of the Supreme Court, Suffolk County (Ralph F. Costello, J.), as, upon an agreed statement of facts, was in favor of plaintiff in the principal sum of \$82,401. The modification consisted of reducing plaintiff's damages from \$82,401 to \$12,762.

Watral & Sons, Inc. v OC Riverhead 58, LLC, 34 AD3d 560, reversed.

HEADNOTE

Indemnity — Contractual Indemnification

Plaintiff was not required to indemnify defendant landowner for damages allegedly sustained by a neighboring landowner as a result of two incidents that occurred during plaintiff's performance of excavation work on defendant's property. There was insufficient proof to support contractual indemnification for plaintiff's negligence regarding the first incident, which occurred when plaintiff's backhoe struck and damaged an underground power cable supplying electricity to the neighboring landowner's property, where the cable was not where it was supposed to be, but had been relocated by others. As to the second incident, which occurred when the ground adjacent to plaintiff's excavation gave way, dragging the same electrical cable toward the excavation site, there was no contact between the excavation equipment and the cable, and the only damage to the cable was at the site of the previous repair. Although another provision of the parties' contract required plaintiff to remedy all damage or loss to any property at the site or adjacent thereto, the only "property" damaged was the cable, and there was no evidence as to whether the neighboring landowner actually suffered any damage to its own property, as opposed to noncovered purely economic injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Building and Construction Contracts § 149; AM
JUR 2d, Indemnity §§ 7, 13–15.

NY JUR 2d, Contribution, Indemnity, and Subrogation §§
70–72, 79–81, 103, 109.

ANNOTATION REFERENCE

See ALR Index under Building and Constructions Contracts and Work; Excavations; Indemnity.

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POINTS OF COUNSEL

Eric Schneider, Kingston, for appellant. I. The Appellate Division applied the incorrect standard of strict liability in holding plaintiff-appellant responsible for the cutting of the cable and the cave-in and consequent loss of power of a third party at the excavation site. (*Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.*, 94 NY2d 398; *Matter of Columbus Park Corp. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 80 NY2d 19.) II. The Appellate Division incorrectly failed to read the contract-based indemnity provision in pari materia with the negligence-based indemnity provision. (*Gillmore v Duke/Fluor Daniel*, 221 AD2d 938; *Kader v City of N.Y., Hous. Preserv. & Dev.*, 16 AD3d 461; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Tonking v Port Auth. of N.Y. & N.J.*, 3 NY3d 486.) III. The Appellate Division erroneously imposed upon plaintiff-appellant an obligation to indemnify a third-party claim. (*New York Tel. Co. v Harrison & Burrowes Bridge Contrs.*, 3 AD3d 606; *N. A. Orlando Contr. Corp. v Consolidated Edison Co.*, 131 AD2d 827; *Lizza Indus. v Long Is. Light. Co.*, 44 AD2d 681; *Buckeye Pipeline Co. v Congel-Hazard, Inc.*, 41 AD2d 590; *532 Madison Ave. Gourmet Foods v Finlandia Ctr.*, 96 NY2d 280.) IV. The Appellate Division erroneously found that plaintiff-appellant violated provisions of the Industrial Code. (*Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *Martin v Herzog*, 228 NY 164; *Duncan v Kelly*, 249 AD2d 802.) V. The Appellate Division incorrectly held plaintiff-appellant responsible for damage to an electrical cable and subsequently a cave-in at the work site, when, in fact, the record adduced at the trial court is absent of such proof.

Siller Wilk LLP, New York City (*M. William Scherer* of counsel), for respondent. I. Article 10 of the contract is not dependent upon proof of Watral & Sons, Inc.'s negligence. (*Vermont*

Teddy Bear Co. v 538 Madison Realty Co., 1 NY3d 470; *Bailey v Fish & Neave*, 8 NY3d 523; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.*, 94 NY2d 398; *Brown v Two Exch. Plaza Partners*, 146 AD2d 129, 76 NY2d 172; *Warnett v A.J. Pegno Constr. Corp.*, 1 AD3d 207.) II. The Appellate Division's majority correctly concluded that Watral & Sons, Inc. had been negligent. (*Dermatossian v New York City Tr. Auth.*, 67 NY2d 219.) III. Any reasonable businessperson would expect the excavator to be fully responsible for what happened here. (*BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708; *Album Realty Corp. v American Home Assur. Co.*, 80 NY2d 1008.) IV. Watral & Sons, Inc. is bound by the stipulation as to the amount of damages paid to the adjacent property owner.

OPINION OF THE COURT

READ, J.

This appeal calls upon us to interpret provisions in a construction contract (AIA Document A201/CM [1980]¹) to determine if Watral & Sons must indemnify landowner OC Riverhead 58 for damages allegedly sustained by a neighboring landowner, Adchem Corporation, during Watral's performance of excavation work on OC's property. For the reasons that follow, we conclude that OC was not entitled to contractual indemnification, and therefore reverse.

I.

On December 6, 1999, OC entered into a contract with Watral for the excavation, drainage, and sanitary work necessary to build an Applebee's restaurant on property that OC owned in Riverhead, New York, across from the Tanger Outlet Center. The contract price, as ultimately adjusted with additions and credits, was \$167,401.

On August 3, 2000, a Watral employee was excavating on OC's property for the sewer line when his backhoe struck and damaged an underground power cable supplying electricity to Adchem's adjacent property. Before beginning this work, a project superintendent employed by Syndrome Construction, Inc., the construction manager and the owner's representative on the site, had notified "New York One Call" to ask for the electric

1. The American Institute of Architects' most recent version of this form contract would appear to be AIA Document A201/CMa (1992).

line servicing Adchem to be marked. Although this was done, an unidentified electrician at some point relocated the cable.

The excavator was working 10 to 15 feet from the flags put in place to mark the cable when he struck it. Further, after the accident it was discovered that “excess cable, in the form of a loop had been buried, at the time of the original cable installation.” Watral agreed to pay for the materials necessary to repair the cable, and the electrician agreed to supply his labor. At the same time, the excess loop was removed.

On August 17, 2000, the project superintendent was supervising a Watral employee, who was excavating in the same area in order to adjust the sewer’s height. The ground gave way, dragging the cable toward the excavation site. The cable did not come into contact with the excavator’s backhoe, but was damaged at the place where it had previously been repaired, apparently again disrupting electric service to Adchem’s property. Watral once more seems to have paid for the materials necessary to fix the damage to the cable.

During the spring and summer of 2000, OC paid Watral \$85,000 of the contract price, but withheld the \$82,401 balance due, ostensibly because OC was involved in a dispute with Adchem over damages allegedly caused by the accidents on August 3 and August 17, 2000. OC subsequently resolved this dispute by paying Adchem \$69,639.

On January 30, 2001, Watral filed a notice of mechanic’s lien against the property, and on May 11, 2001, Watral commenced an action in Supreme Court to foreclose upon the lien. In its answer dated July 31, 2001, OC counterclaimed that “[i]n response to threats by Adchem to commence litigation and in order to resolve the dispute that [Watral] failed and refused to resolve, [OC] was forced to make a payment to Adchem . . . resulting in damage to [OC] in an amount at least equal to the amount [Watral] demands herein.”

After the parties submitted the matter upon a stipulated statement of facts, Supreme Court found in Watral’s favor, based on its interpretation of subparagraphs 4.18.1 and 10.2.5 of the contract. Construing these two provisions together, the trial court concluded that Watral was required to indemnify OC only for its own negligent acts, and that the stipulated facts did not establish that the damage to the cable was Watral’s fault. Accordingly, Supreme Court entered judgment for the balance due Watral under the contract, with interest to be computed from November 30, 2000.

The Appellate Division, with two Justices dissenting, subsequently modified Supreme Court's order, ruling that Watral was obligated to indemnify OC under subparagraph 10.2.5, which "was intended to impose a broader duty of indemnification upon [Watral] than subparagraph 4.18.1," which concededly required negligence (34 AD3d 560, 564 [2d Dept 2006]). Moreover, the majority disagreed with Supreme Court's findings of fact: "Although the Supreme Court found no evidence that [Watral] was at fault for either of the incidents in which the cable was damaged, the stipulated facts point to a contrary conclusion" (*id.* at 566). Accordingly, the majority concluded that OC was also entitled to indemnification under subparagraph 4.18.1 and common-law indemnification principles. Watral appeals to us as of right, pursuant to CPLR 5601 (a), and we now reverse.

II.

Article 4 of the AIA form contract at issue on this appeal is entitled "CONTRACTOR," and paragraph 4.18 is entitled "INDEMNIFICATION." Subparagraph 4.18.1 states that

"[t]o the fullest extent permitted by law, the Contractor shall indemnify and hold harmless the Owner, the Architect, the Construction Manager, and their agents and employees from and against all claims, damages, losses and expenses, including, but not limited to, attorneys' fees arising out of or resulting from the performance of the Work, provided that any such claim, damage, loss or expense (1) is attributable to bodily injury, sickness, disease or death, or to injury to or destruction of tangible property (other than the Work itself) including the loss of use resulting therefrom, and (2) is caused in whole or in part by any negligent act or omission of the Contractor . . . regardless of whether or not it is caused in part by a party indemnified hereunder. Such obligation shall not be construed to negate, abridge or otherwise reduce any other right or obligation of indemnity which would otherwise exist as to any party or person described in this Paragraph 4.18."²

Article 10 of the form contract is entitled "PROTECTION OF PERSONS AND PROPERTY," and paragraph 10.2 is entitled

2. In AIA Document A201/CMA (1992), a substantially identical indemnification provision is found at subparagraph 3.18.1.

“SAFETY OF PERSONS AND PROPERTY.” As relevant to this appeal, clause 10.2.1.3 provides that

“[t]he Contractor shall take all reasonable precautions for the safety of, and shall provide all reasonable protection to prevent damage, injury or loss to: . . .

“property at the site or adjacent thereto, including trees, shrubs, lawns, walks, pavements, roadways, structures and utilities not designated for removal, relocation or replacement in the course of construction.”³

Finally, subparagraph 10.2.5 specifies that

“[t]he Contractor shall promptly remedy all damage or loss . . . to any property referred to in Clause[] . . . 10.2.1.3 caused in whole or in part by the Contractor . . . and for which the Contractor is responsible under Clause[] . . . 10.2.1.3, except damage or loss attributable to the acts or omissions of the Owner, the Architect, the Construction Manager or anyone directly or indirectly employed by any of them, or by anyone for whose acts any of them may be liable, and not attributable to the fault or negligence of the Contractor. The foregoing obligations of the Contractor are in addition to the Contractor’s obligations under Paragraph 4.18.”⁴

First, we agree with Supreme Court and the dissenters that there is insufficient proof on the bare-bones record in this case to support indemnification under subparagraph 4.18.1. As for the first accident, the dissenters pointed out that “the parties stipulated that the electrical cable servicing the Adchem property was not where it was supposed to be, but ‘*had been relocated by others*’ ” before Watral began work (34 AD3d at 571-572 [Fisher, J., dissenting] [emphasis added]). As a result, there was no proof of Watral’s negligence, and “because the record [did] not disclose the identity of the electrician responsible for the relocation,” it was not possible to figure out “whether that person was someone for whose acts Watral [might] be liable, so as to trigger indemnity” under subparagraph 4.18.1 (*id.* at 572). With respect to the second incident,

3. The language in clause 10.2.1.3 in AIA Document A201/CMA (1992) is substantially identical.

4. The language in subparagraph 10.2.5 in AIA Document A201/CMA (1992) is substantially identical.

“the agreed-upon facts reveal only that the same electrical cable was damaged when the ground adjacent to Watral’s excavation gave way, dragging the cable towards the excavation site. An employee of the construction manager was present and supervising Watral’s work at the time. There was no contact between the excavation equipment and the cable, and the only damage to the cable was at the site of the previous repair” (*id.*).

As for subparagraph 10.2.5, its reach is limited in this case to “damage or loss . . . to any property referred to in Clause[] . . . 10.2.1.3”; namely, “property at the site or adjacent thereto, including trees, shrubs, lawns, walks, pavements, roadways, structures and utilities not designated for removal, relocation or replacement in the course of construction.” As the dissenters noted, the only “property” damaged on August 3 and August 17, 2000 would appear to have been the cable, and “[t]here is no evidence . . . as to whether Adchem actually suffered any damage to its own property as a result of the damage to the cable, or, instead, sustained purely economic injury” which subparagraph 10.2.5 does not cover (*id.* at 574). In light of our disposition of this appeal, we need not reach and express no opinion as to whether subparagraph 10.2.5 imposes a negligence or fault-type liability standard.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and Supreme Court’s judgment should be reinstated.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[886 NE2d 127, 856 NYS2d 505]

BI-ECONOMY MARKET, INC., Appellant, v HARLEYSVILLE INSURANCE COMPANY OF NEW YORK et al., Respondents.

Argued January 9, 2008; decided February 19, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 2, 2007. The Appellate Division affirmed, insofar as appealed from, so much of an order of the Supreme Court, Monroe County (David D. Egan, J.), as had granted defendants' motion for leave to amend their answer to raise the defense of contractual exclusion for consequential damages and for partial summary judgment dismissing plaintiff's second cause of action of the first amended complaint and denied plaintiff's cross motion for partial summary judgment on the first cause of action. The following question was certified by the Appellate Division: "Was the order of this Court, entered February 2, 2007, properly made?"

Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y., 37 AD3d 1184, reversed.

HEADNOTE

Damages — Consequential Damages — Business Interruption Insurance — Liability of Commercial Insurer

It was error to dismiss plaintiff's claim for consequential damages resulting from defendant insurer's failure to fulfill its obligations under a commercial property contract of insurance that included business interruption insurance. In light of the nature and purpose of the insurance contract at issue, as well as plaintiff's allegations that defendant breached its duty to act in good faith by improperly delaying payment for plaintiff's building and contents damage and failed to timely pay the full amount of plaintiff's lost business income claim, plaintiff's claim for consequential damages, including the demise of its business, was reasonably foreseeable and contemplated by the parties. Limiting plaintiff's damages to the amount of the policy, i.e., money which should have been paid by the insurer in the first place, plus interest, would not have placed plaintiff in the position it would have been in had the contract been performed. The contractual exclusions for certain consequential "losses" did not demonstrate that the parties contemplated, and rejected, the recoverability of consequential "damages" in the event of a contract breach.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1533, 1734.

COUCH ON INSURANCE (3d ed) §§ 1:61, 167:9, 167:11,
205:64-205:66.

NY JUR 2d, Insurance §§ 539, 1989, 2139.

ANNOTATION REFERENCE

Business interruption insurance. 37 ALR5th 41.

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tial /2 damage

POINTS OF COUNSEL

Lipsitz & Ponterio, LLC, Buffalo (*Kathleen A. Burr* and *John Ned Lipsitz* of counsel), for appellant. I. A consequential “loss” exclusion in an insurance policy does not preclude recovery of consequential “damages” caused by an insurance company’s breach. (*Korona v State Wide Ins. Co.*, 122 AD2d 120; *O’Dell v New York Prop. Ins. Underwriting Assn.*, 145 AD2d 791; *Davis v Mutual of Omaha Ins. Co.*, 167 AD2d 714; *Manolis v International Life Ins. Co. of Buffalo*, 83 AD2d 784; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *United States Trust Co. of N.Y. v O’Brien*, 143 NY 284; *Kenford Co. v County of Erie*, 73 NY2d 312; *Ashland Mgt. v Janien*, 82 NY2d 395; *Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; *Panasia Estates, Inc. v Hudson Ins. Co.*, 39 AD3d 343.) II. New York law recognizes Bi-Economy Market, Inc.’s claim for consequential damages for the death of its business as a remedy for the Harleysville defendants’ breach. (*Kenford Co. v County of Erie*, 73 NY2d 312; *Sabbeth Indus. v Pennsylvania Lumbermens Mut. Ins. Co.*, 238 AD2d 767; *Hold Bros., Inc. v Hartford Cas. Ins. Co.*, 357 F Supp 2d 651; *J.R. Adirondack Enters. v Hartford Cas. Ins. Co.*, 292 AD2d 771; *Royal Coll. Shop, Inc. v Northern Ins. Co. of N.Y.*, 895 F2d 670; *Kosierowski v Madison Life Ins. Co.*, 31 AD2d 930, 25 NY2d 737; *Great Canal Realty Corp. v Seneca Ins. Co., Inc.*, 13 AD3d 227, 5 NY3d 742; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *American List Corp. v U.S. News & World Report*, 75 NY2d 38.)

Chelus, Herdzik, Speyer & Monte, P.C., Buffalo (*Michael F. Chelus* and *Christopher R. Poole* of counsel), for respondents. I. In a breach of contract action, a nonbreaching party may only recover damages that were within the contemplation of the par-

ties at the time of contracting. (*Kenford Co. v County of Erie*, 73 NY2d 312; *Kenford Co. v County of Erie*, 67 NY2d 257; *Globe Refining Co. v Landa Cotton Oil Co.*, 190 US 540; *Martin v Metropolitan Prop. & Cas. Ins. Co.*, 238 AD2d 389; *Crawford Furniture Mfg. Corp. v Pennsylvania Lumbersmens Mut. Ins. Co.*, 244 AD2d 881; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *LTS Contrs. v Hartford Ins. Co.*, 99 AD2d 644; *Brody Truck Rental v Country Wide Ins. Co.*, 277 AD2d 125; *J.R. Adirondack Enters. v Hartford Cas. Ins. Co.*, 292 AD2d 771.) II. Appellant improperly relies upon case law outside of the Fourth Department that is unchallenged, speculative or inapplicable. (*Acquista v New York Life Ins. Co.*, 285 AD2d 73; *Panasia Estates, Inc. v Hudson Ins. Co.*, 39 AD3d 343; *Sabbeth Indus. v Pennsylvania Lumbersmens Mut. Ins. Co.*, 238 AD2d 767; *USAlliance Fed. Credit Union v CUMIS Ins. Socy., Inc.*, 346 F Supp 2d 468; *Crawford Furniture Mfg. Corp. v Pennsylvania Lumbersmens Mut. Ins. Co.*, 244 AD2d 881; *J.R. Adirondack Enters. v Hartford Cas. Ins. Co.*, 292 AD2d 771; *Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; *Hold Bros., Inc. v Hartford Cas. Ins. Co.*, 357 F Supp 2d 651.) III. Bi-Economy Market, Inc. improperly seeks expansion of unrelated issues pertaining to rights and remedies of insured. IV. The New York Public Adjusters Association represents the interests of insureds and attempts to influence the Court of Appeals as such. (*Acquista v New York Life Ins. Co.*, 285 AD2d 73; *Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260.)

Wilkofsky, Friedman, Karel & Cummins, New York City (Mark L. Friedman of counsel), for New York Public Adjusters Association, amicus curiae. I. The damages suffered by Bi-Economy Market, Inc. constitute general damages which are the natural and probable consequences of the Harleysville defendants' breach of contract. (*Archer Daniels Midland Co. v Hartford Fire Ins. Co.*, 243 F3d 369; *American List Corp. v U.S. News & World Report*, 75 NY2d 38; *Kenford Co. v County of Erie*, 73 NY2d 312; *Massi's Greenhouses v Farm Family Mut. Ins. Co.*, 233 AD2d 844.) II. Consequential damages have always been a permitted remedy in a breach of contract cause of action. (*Acquista v New York Life Ins. Co.*, 285 AD2d 73; *Sabbeth Indus. v Pennsylvania Lumbersmens Mut. Ins. Co.*, 238 AD2d 767; *Mortimer v Otto*, 206 NY 89; *Globe Refining Co. v Landa Cotton Oil Co.*, 190 US 540; *Kenford Co. v County of Erie*, 67 NY2d 257; *Fleming v Allstate Ins. Co.*, 106 AD2d 426; *Korona v State Wide Ins. Co.*, 122 AD2d 120; *Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260; *New*

York Univ. v Continental Ins. Co., 87 NY2d 308; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603.) III. “Consequential loss” is not synonymous with “consequential damages.”

Anderson Kill & Olick, P.C., New York City (*Eugene R. Anderson* and *Richard P. Lewis* of counsel), and *Amy Bach*, Mill Valley, California, for United Policyholders, amicus curiae. I. Whether the insurance companies acted in bad faith is irrelevant to Bi-Economy Market, Inc.’s recovery of consequential damages. (*Sabbeth Indus. v Pennsylvania Lumbermens Mut. Ins. Co.*, 238 AD2d 767; *Kenford Co. v County of Erie*, 73 NY2d 312; *Hold Bros., Inc. v Hartford Cas. Ins. Co.*, 357 F Supp 2d 651; *Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; *Carney v Memorial Hosp. & Nursing Home of Greene County*, 101 AD2d 990; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308.) II. Exclusion of consequential loss under an insurance policy does not bar recovery of consequential damages. (*Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; *Panasia Estates, Inc. v Hudson Ins. Co.*, 39 AD3d 343; *Hold Bros., Inc. v Hartford Cas. Ins. Co.*, 357 F Supp 2d 651; *Royal Coll. Shop, Inc. v Northern Ins. Co. of N.Y.*, 895 F2d 670.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick*, *Michael A. Troisi* and *Michael P. Versichelli* of counsel), for New York Insurance Association and others, amici curiae. Public policy militates against exposing carriers to liability beyond the bargained-for policy limits. (*Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; *DiBlasi v Aetna Life & Cas. Ins. Co.*, 147 AD2d 93; *Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d 445; *St. Paul Fire & Mar. Ins. Co. v United States Fid. & Guar. Co.*, 43 NY2d 977; *Asahi Glass Co., Ltd. v Pentech Pharms., Inc.*, 289 F Supp 2d 986.)

OPINION OF THE COURT

PIGOTT, J.

In this action brought by an insured against an insurer for breach of a commercial property insurance contract, the principal issue presented is whether the insured can assert a claim for consequential damages. Under the circumstances of this case, we hold that it can.*

I.

Bi-Economy Market, a family-owned wholesale and retail meat market located in Rochester, New York, suffered a major

* This being an appeal from the grant of partial summary judgment to the insurer, we view the facts in the light most favorable to the insured.

fire in October 2002, resulting in the complete loss of food inventory and heavy structural damage to the building and business-related equipment. At the time of the fire, Bi-Economy was insured by defendant Harleysville Insurance Company under a “Deluxe Business Owners” policy that provided replacement cost coverage on the building as well as business property or “contents” loss coverage.

The policy also provided coverage for lost business income, what is commonly referred to as “business interruption insurance,” for up to one year from the date of the fire. Specifically, the contract stated that Harleysville would “pay for the actual loss of Business Income . . . sustain[ed] due to . . . the necessary suspension of [Bi-Economy’s] ‘operations’ during the ‘period of restoration.’ ” Business income is defined as the “(1) Net Income (Net Profit *or Loss* before income taxes) that would have been earned or incurred; and (2) Continuing normal operating expenses incurred, including payroll.” “Period of restoration” is defined as the period of time that “[b]egins with the date of direct physical loss or damage” and “[e]nds on the date when the property . . . should be repaired, rebuilt or replaced with reasonable speed and similar quality.”

Following the fire, Bi-Economy submitted a claim to Harleysville pursuant to the terms of the contract. Harleysville disputed Bi-Economy’s claim for actual damages, and advanced only the sum of \$163,161.92. More than a year later, following submission of their dispute to alternative dispute resolution, Bi-Economy was awarded the additional sum of \$244,019.88. During all this time, Harleysville offered to pay only seven months of Bi-Economy’s claim for lost business income, despite the fact that the policy provided for a full 12 months. Bi-Economy never resumed business operations.

In October 2004, Bi-Economy commenced this action against Harleysville, asserting causes of action for bad faith claims handling, tortious interference with business relations and breach of contract, seeking consequential damages for “the complete demise of its business operation in an amount to be proved at trial.” Bi-Economy alleged that Harleysville improperly delayed payment for its building and contents damage and failed to timely pay the full amount of its lost business income claim. Bi-Economy further alleged that, as a result of Harleysville’s breach of contract, its business collapsed, and that liability for such consequential damages was reasonably foreseeable and contemplated by the parties at the time of contracting.

Harleysville answered, and subsequently moved for leave to amend its answer to raise the defense that the contract excluded consequential damages and for partial summary judgment dismissing Bi-Economy's breach of contract cause of action. In support of its motion, Harleysville cited several contractual provisions excluding coverage for "consequential loss."

Supreme Court granted the motion and the Appellate Division affirmed, holding that "the insurance policy expressly exclude[d] coverage for consequential losses, and thus it cannot be said that [consequential] damages were contemplated by the parties when the contract was formed" (37 AD3d 1184, 1185 [2007] [internal quotation marks and citations omitted]). The Appellate Division granted Bi-Economy leave to appeal and certified the following question: "Was the order of this Court, entered February 2, 2007, properly made?" We conclude that it was not.

II.

Bi-Economy contends that the courts below erred in dismissing its breach of contract claim seeking consequential damages for the collapse of its business resulting from Harleysville's failure to fulfill its obligations under the contract of insurance. We agree and therefore reverse the order of the Appellate Division and reinstate that cause of action.

It is well settled that in breach of contract actions "the non-breaching party may recover general damages which are the natural and probable consequence of the breach" (*Kenford Co. v County of Erie*, 73 NY2d 312, 319 [1989]). Special, or consequential damages, which "do not so directly flow from the breach," are also recoverable in limited circumstances (*American List Corp. v U.S. News & World Report*, 75 NY2d 38, 43 [1989]). In *Kenford*, we stated that

"[i]n order to impose on the defaulting party a further liability than for damages [which] naturally and directly [flow from the breach], i.e., in the ordinary course of things, arising from a breach of contract, such unusual or extraordinary damages must have been brought within the contemplation of the parties as the probable result of a breach at the time of or prior to contracting" (73 NY2d at 319 [internal quotation marks and citations omitted]).

We later explained that "[t]he party breaching the contract is li-

able for those risks foreseen or which should have been foreseen at the time the contract was made” (*Ashland Mgt. v Janien*, 82 NY2d 395, 403 [1993]). It is not necessary for the breaching party to have foreseen the breach itself or the particular way the loss occurred, rather, “[i]t is only necessary that loss from a breach is foreseeable and probable” (*id.*, citing Restatement [Second] of Contracts § 351; 3 Farnsworth, Contracts § 12.14 [2d ed 1990]).

To determine whether consequential damages were reasonably contemplated by the parties, courts must look to “the nature, purpose and particular circumstances of the contract known by the parties . . . as well as ‘what liability the defendant fairly may be supposed to have assumed consciously, or to have warranted the plaintiff reasonably to suppose that it assumed, when the contract was made’ ” (*Kenford*, 73 NY2d at 319, quoting *Globe Refining Co. v Landa Cotton Oil Co.*, 190 US 540, 544 [1903]). Of course, proof of consequential damages cannot be speculative or conjectural (*see Ashland Mgt.*, 82 NY2d at 403 [damages for the loss of future profits must be proven with reasonable certainty and “be capable of measurement based upon known reliable factors without undue speculation”]; *see also Kenford Co. v County of Erie*, 67 NY2d 257, 261 [1986]).

The dissent seeks to distinguish this case from the *Kenford* line of reasoning by grouping it with that separate class of contract actions involving pure “agreements to pay”—contracts for money only—where the only recoverable damage for breach is interest. This distinction is without basis. With agreements to pay money—for example, an agreement to pay sales commissions or a contract to pay a lender \$12 tomorrow for \$10 given today, the sole purpose of the contract is to pay for something given in exchange. In such cases, what the payee plans to do with the money is external and irrelevant to the contract itself. In the present case, however, the purpose of the agreement—what the insured planned to do with its payment—was at the very core of the contract itself.

The dissent also blurs the significant distinction between consequential and punitive damages. The two types of damages serve different purposes and are evidenced by different facts. Consequential damages, designed to compensate a party for reasonably foreseeable damages, “must be proximately caused by the breach” and must be proven by the party seeking them (24 Lord, Williston on Contracts § 64:12, at 125 [4th ed]). Punitive damages, by contrast, “are not measured by the pecuniary loss

or injury of the plaintiff as a compensation” but are “assessed by way of punishment to the wrongdoer and example to others” (11 Perillo, Corbin on Contracts § 59.2, at 550 [rev ed]). Unlike consequential damages, which are quantifiable, “[t]here is no rigid formula by which the amount of punitive damages is fixed, although they should bear some reasonable relation to the harm done and the flagrancy of the conduct causing it” (*I. H. P. Corp. v 210 Cent. Park S. Corp.*, 16 AD2d 461, 467 [1st Dept 1962], *affd* 12 NY2d 329 [1963]).

As in all contracts, implicit in contracts of insurance is a covenant of good faith and fair dealing, such that “a reasonable insured would understand that the insurer promises to investigate in good faith and pay covered claims” (*New York Univ. v Continental Ins. Co.*, 87 NY2d 308, 318 [1995]). An insured may also bargain for the peace of mind, or comfort, of knowing that it will be protected in the event of a catastrophe (*see e.g. Beck v Farmers Ins. Exch.*, 701 P2d 795, 802 [Utah 1985] [“(I)t is axiomatic that insurance frequently is purchased not only to provide funds in case of loss, but to provide peace of mind for the insured or his beneficiaries”]; *Best Place, Inc. v Penn Am. Ins. Co.*, 82 Haw 120, 128, 920 P2d 334, 342 [1996], quoting *Noble v National Am. Life Ins. Co.*, 128 Ariz 188, 189, 624 P2d 866, 867 [1981] [“An insurance policy is not obtained for commercial advantage; it is obtained as protection against calamity”]; *Andrew Jackson Life Ins. Co. v Williams*, 566 So 2d 1172, 1179 n 9 [Miss 1990] [“(A)n insured bargains for more than mere eventual monetary proceeds of a policy; insureds bargain for such intangibles as risk aversion, peace of mind, and certain and prompt payment of the policy proceeds upon submission of a valid claim”]; *Ainsworth v Combined Ins. Co. of Am.*, 104 Nev 587, 592, 763 P2d 673, 676 [1988] [“A consumer buys insurance for security, protection, and peace of mind”]).

III.

The purpose served by business interruption coverage cannot be clearer—to ensure that Bi-Economy had the financial support necessary to sustain its business operation in the event disaster occurred (*see Howard Stores Corp. v Foremost Ins. Co.*, 82 AD2d 398, 400 [1st Dept 1981] [“The purpose of business interruption insurance is to indemnify the insured against losses arising from inability to continue normal business operation and functions due to the damage sustained as a result of the hazard insured against”], *affd* 56 NY2d 991 [1982]; 3-36 Bend-

er's New York Insurance Law § 36.06). Certainly, many business policyholders, such as Bi-Economy, lack the resources to continue business operations without insurance proceeds. Accordingly, limiting an insured's damages to the amount of the policy, i.e., money which should have been paid by the insurer in the first place, plus interest, does not place the insured in the position it would have been in had the contract been performed (see generally *Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256, 261 [1998] ["Damages are intended to return the parties to the point at which the breach arose and to place the nonbreaching party in as good a position as it would have been had the contract been performed"]; *Goodstein Constr. Corp. v City of New York*, 80 NY2d 366, 373 [1992], citing Restatement [Second] of Contracts § 347, Comment *a*; § 344 ["Contract damages are ordinarily intended to give the injured party the benefit of the bargain by awarding a sum of money that will, to the extent possible, put that party in as good a position as it would have been in had the contract been performed"])).

Thus, the very purpose of business interruption coverage would have made Harleysville aware that if it breached its obligations under the contract to investigate in good faith and pay covered claims it would have to respond in damages to Bi-Economy for the loss of its business as a result of the breach (see *Sabbeth Indus. v Pennsylvania Lumbermens Mut. Ins. Co.*, 238 AD2d 767, 769 [3d Dept 1997]).

Furthermore, contrary to the dissent's view, the purpose of the contract was not just to receive money, but to receive it promptly so that in the aftermath of a calamitous event, as Bi-Economy experienced here, the business could avoid collapse and get back on its feet as soon as possible. Thus, this insurance contract included an additional performance-based component: the insurer agreed to evaluate a claim, and to do so honestly, adequately, and—most importantly—promptly. The insurer certainly knew that failure to perform would (a) undercut the very purpose of the agreement and (b) cause additional damages that the policy was purchased to protect against in the first place. Here, the claim is that Harleysville failed to promptly adjust and pay the loss, resulting in the collapse of the business. When an insured in such a situation suffers additional damages as a result of an insurer's excessive delay or improper denial, the insurance company should stand liable for these damages. This is not to punish the insurer, but to give the insured its bargained-for benefit.

Nor do we read the contractual exclusions for certain consequential “losses” as demonstrating that the parties contemplated, and rejected, the recoverability of consequential “damages” in the event of a contract breach. The consequential “losses” clearly refer to delay caused by third-party actors or by the “[s]uspension, lapse or cancellation of any license, lease or contract.” Consequential “damages,” on the other hand, are in addition to the losses caused by a calamitous event (i.e., fire or rain), and include those additional damages caused by a carrier’s injurious conduct—in this case, the insurer’s failure to timely investigate, adjust and pay the claim.

Therefore, in light of the nature and purpose of the insurance contract at issue, as well as Bi-Economy’s allegations that Harleysville breached its duty to act in good faith, we hold that Bi-Economy’s claim for consequential damages including the demise of its business, was reasonably foreseeable and contemplated by the parties, and thus cannot be dismissed on summary judgment.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, defendants’ motion for leave to amend their answer to raise the defense of contractual exclusion for consequential damages and partial summary judgment dismissing the plaintiff’s second cause of action denied, and the certified question answered in the negative.

SMITH, J. (dissenting in this case and in *Panasia Estates, Inc. v Hudson Ins. Co.* [10 NY3d 200 (2008)]). In *Rocanova v Equitable Life Assur. Socy. of U.S.* (83 NY2d 603 [1994]) and *New York Univ. v Continental Ins. Co.* (87 NY2d 308 [1995] [NYU]), we rejected the argument that a bad faith failure by an insurer to pay a claim could, without more, justify a punitive damages award. We held that punitive damages are not available for breach of an insurance contract unless the plaintiff shows both “egregious tortious conduct” directed at the insured claimant and “a pattern of similar conduct directed at the public generally” (*Rocanova*, 83 NY2d at 613; see *NYU*, 87 NY2d at 316). Today, the majority abandons this rule, without discussing it and without acknowledging that it has done so. The majority achieves this simply by changing labels: Punitive damages are now called “consequential” damages, and a bad faith failure to pay a claim is called a breach of the “covenant of good faith and fair dealing.”

I think that *Rocanova* and *NYU* were correctly decided, and

that the majority makes a mistake in largely nullifying their holdings.

Underlying our refusal in *Rocanova* and *NYU* to open the door to awards of punitive damages was a recognition of the serious harm such awards can do. Punitive damages will sometimes serve to deter insurer wrongdoing and thus protect insureds from injustice, but they will do so at too great a cost. Insurers will fear that juries will view even legitimate claim denials unsympathetically, and that insurers will thus be exposed to damages without any predictable limit. This fear will inevitably lead insurers to increase their premiums—and so will inflict a burden on every New Yorker who buys insurance.

This policy judgment was implicit in *Rocanova* and *NYU*. Not everyone agreed with it. The Appellate Division majority in *Acquista v New York Life Ins. Co.* (285 AD2d 73, 78 [1st Dept 2001]) hardly concealed its disagreement: “It is correct that, to date, this State has maintained the traditional view . . . [citing *Rocanova* and *NYU*]. Yet, for some time, courts and commentators around the country have increasingly acknowledged that a fundamental injustice may result” The *Acquista* court found a way to avoid what it thought an injustice: award “consequential,” not punitive damages. *Acquista* adopted the rule of some sister-state decisions, notably *Beck v Farmers Ins. Exch.* (701 P2d 795 [Utah 1985]), that an insurer that denies a claim in bad faith becomes liable for consequential damages beyond the policy limits (285 AD2d at 80-81). With less frankness than the *Acquista* court—indeed, without even citing *Rocanova* or discussing *Acquista*—the majority here reaches the same result.

The “consequential” damages authorized by the majority, though remedial in form, are obviously punitive in fact. They are not triggered, as true consequential damages are, simply by a breach of contract, but only by a breach committed in bad faith. The majority never explains why this should be true, but the explanation is self-evident: the purpose of the damages the majority authorizes can only be to punish wrongdoers and deter future wrongdoing. They have nothing to do with consequential damages, or with the covenant of good faith and fair dealing, as those terms are ordinarily understood.

The whole idea of “consequential damages” is out of place in a suit against an insurer that has failed to pay a claim—or, indeed, in any case where the obligation breached is merely one to pay money. Consequential damages are a means of measuring

the harm done when a party fails in some nonmonetary performance—say, the transportation of a broken mill shaft (*Hadley v Baxendale*, 9 Exch 341 [1854]) or the construction of a football stadium (*Kenford Co. v County of Erie*, 73 NY2d 312 [1989]). In such cases, where there is no agreement on what money will be paid in the event of a breach, a court must try to decide what damages the parties contemplated—what damages they would have agreed to had they considered the question when the contract was signed (*Kenford*, 73 NY2d at 320). But in insurance contracts or other contracts for the payment of money, the parties have already told us what damages they contemplated; in the case of insurance, it is payment equal to the losses covered by the policy, up to the policy limits. There is no occasion for a *Kenford* analysis.

Nor could such an analysis, done in the way *Kenford* requires, support the results the majority reaches in these two cases. Under *Kenford*, the premise of consequential damages awards is that they effectuate the parties' presumed intentions at the time of contracting: "*the commonsense rule to apply is to consider what the parties would have concluded had they considered the subject*" (*Kenford*, 73 NY2d at 320). Can anyone seriously believe that the parties in these cases would, if they had "considered the subject," have contracted for the results reached here? Imagine the dialogue. Applicant for insurance: "Suppose you refuse, in bad faith, to pay a claim. Will you agree to be liable for the consequences, including lost business, without regard to the policy limits?" Insurance company: "Oh, sure. Sorry, we forgot to put that in the policy."

The majority also departs from the established understanding of the "covenant of good faith and fair dealing"—thus obscuring the fact that the predicate for "consequential" damages here is exactly the same conduct, bad faith failure to pay claims, that we refused to make a predicate for punitive damages in *Rocanova* and *NYU*. Ordinarily, the covenant of good faith and fair dealing is breached where a party has complied with the literal terms of the contract, but has done so in a way that undermines the purpose of the contract and deprives the other party of the benefit of the bargain (e.g. *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144 [2002]). Here, plaintiffs allege that defendants breached, in bad faith, the express terms of the policies, by refusing to pay for the losses the policies covered. There is no need for resort to the implied covenant of good faith, and this is the first time, as far as I

know, that we have relied on that implied covenant to condemn the bad faith breach of an express promise.

These two conceptual errors—the misuse of the terms “consequential damages” and “covenant of good faith”—are not the only ones in the majority opinions. The *Bi-Economy* opinion seems fundamentally to misunderstand the purpose of business interruption insurance—which is to compensate the insured for a business interruption that has already occurred, not to prevent one from occurring (*see* majority op at 194-195). If the insured’s business is never interrupted, there can be no claim under a business interruption policy. This error seems unimportant, however, for the majority’s discussion of business interruption insurance is apparently extraneous to its holding. The *Panasia* case involves no business interruption coverage—yet the majority upholds the legal sufficiency of Panasia’s claim for consequential damages on the basis of a simple citation to *Bi-Economy* (*Panasia Estates, Inc. v Hudson Ins. Co.*, 10 NY3d 200, 203 [2008]).

The majority’s bad policy choice is more important than the flaws in its reasoning. This attempt to punish unscrupulous insurers will undoubtedly lead to the punishment of many honest ones. Under today’s opinions, juries will decide whether claims should have been paid more promptly, or in larger amounts; whether an insurer who failed to pay a claim did so to put pressure on the insured, or from legitimate motives, or from simple inefficiency; and whether, and to what extent, the insurer’s slowness and stinginess had consequences harmful to the insured. All these very difficult, often nearly unanswerable, questions will be put to jurors who will usually know little of the realities of either the insured’s or the insurer’s business. The jurors will no doubt do their best, but it is not hard to predict where their sympathies will lie.

The result of the uncertainty and error that the majority’s opinions will generate can only be an increase in insurance premiums. That is the real “consequential damage” flowing from today’s holdings.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and JONES concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order, insofar as appealed from, reversed, etc.

[886 NE2d 135, 856 NYS2d 513]

PANASIA ESTATES, INC., Respondent, v HUDSON INSURANCE COMPANY, Appellant.

Argued January 9, 2008; decided February 19, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 17, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Karen S. Smith, J.; op 2006 NY Slip Op 30352[U]), which had granted defendant's motion for summary judgment only to the extent of precluding plaintiff from asserting any claims for legal fees incurred in the prosecution of the action. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

Panasia Estates, Inc. v Hudson Ins. Co., 39 AD3d 343, affirmed.

HEADNOTE

Damages — Consequential Damages — Liability of Commercial Insurer

In an action alleging that defendant insurer breached the parties' insurance contract by failing to properly investigate plaintiff's loss and denying the loss as not covered under the policy, defendant's motion to dismiss plaintiff's claims for consequential damages was properly denied. Consequential damages resulting from a breach of the covenant of good faith and fair dealing may be asserted in an insurance contract context, so long as the damages were within the contemplation of the parties as the probable result of a breach at the time of or prior to contracting. Here, consideration of whether the specific damages sought by plaintiff were foreseeable damages as the result of defendant's breach was required. The contractual exclusion for consequential loss did not bar the recovery of consequential damages.

RESEARCH REFERENCES

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AM JUR 2d, Insurance §§ 1407, 1734.

COUCH ON INSURANCE (3d ed) §§ 205:64–205:67.

NY JUR 2d, Insurance §§ 1910, 1915.

ANNOTATION REFERENCE

Insurer's liability for consequential or punitive damages for wrongful delay or refusal to make payments due under contracts. 47 ALR3d 314.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: breach /4 insurance /s consequential /2 damage

POINTS OF COUNSEL

White Fleischer & Fino, LLP, New York City (*Janet P. Ford* and *Nancy Davis Lyness* of counsel), for appellant. I. Consequential/extracontractual damages based upon an insurer's alleged bad faith breach of its contractual obligations under a policy of insurance are not recoverable by an insured. (*Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Brody Truck Rental v Country Wide Ins. Co.*, 277 AD2d 125; *High Fashions Hair Cutters v Commercial Union Ins. Co.*, 145 AD2d 465; *Sweazey v Merchants Mut. Ins. Co.*, 169 AD2d 43; *Martin v Metropolitan Prop. & Cas. Ins. Co.*, 238 AD2d 389; *Acquista v New York Life Ins. Co.*, 285 AD2d 73; *Polidoro v Chubb Corp.*, 354 F Supp 2d 349; *USAlliance Fed. Credit Union v CUMIS Ins. Socy., Inc.*, 346 F Supp 2d 468.) II. *Acquista v New York Life Ins. Co.* (285 AD2d 73 [2001]) is critically distinguishable from the instant matter in that the Hudson Insurance Company policy contains an explicit exclusion for consequential losses. (*J.R. Adirondack Enters. v Hartford Cas. Ins. Co.*, 292 AD2d 771; *Crawford Furniture Mfg. Corp. v Pennsylvania Lumbermens Mut. Ins. Co.*, 244 AD2d 881; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46, 66 NY2d 1020; *Adorable Coat Co. v Connecticut Indem. Co.*, 157 AD2d 366; *Pergament Distribs. v Old Republic Ins. Co.*, 128 AD2d 760, 70 NY2d 607; *CBS, Inc. v Continental Cas. Co.*, 753 F Supp 525; *Harris v Provident Life & Acc. Ins. Co.*, 310 F3d 73; *Kenford Co. v County of Erie*, 73 NY2d 312; *Martin v Metropolitan Prop. & Cas. Ins. Co.*, 238 AD2d 389.) III. The First Department erroneously concluded that the terms "consequential damages" and "consequential losses" are not synonymous. (*J.R. Adirondack Enters. v Hartford Cas. Ins. Co.*, 292 AD2d 771; *Crawford Furniture Mfg. Corp. v Pennsylvania Lumbermens Mut. Ins. Co.*, 244 AD2d 881; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 37 AD3d 1184.)

Peckar & Abramson, P.C., New York City (*Michael S. Zicherman* of counsel), for respondent. I. Panasia Estates, Inc. is entitled to assert a claim for consequential damages against Hudson Insurance Company arising out of Hudson's breach of the insurance contract. (*Hold Bros., Inc. v Hartford Cas. Ins.*

Co., 357 F Supp 2d 651; *Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; 511 W. 232nd *Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d 445; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Acquista v New York Life Ins. Co.*, 285 AD2d 73; *Koloski v Metropolitan Life Ins. Co.*, 5 Misc 3d 1028[A], 2004 NY Slip Op 51596[U]; *Weisel v Provident Life & Cas. Ins. Co.*, 11 Misc 3d 1062[A], 2006 NY Slip Op 50360[U]; *Fleming v Allstate Ins. Co.*, 106 AD2d 426, 66 NY2d 838, 475 US 1096; *Korona v State Wide Ins. Co.*, 122 AD2d 120.) II. Public policy considerations favor an insured's right to claim consequential damages. (*Hold Bros., Inc. v Hartford Cas. Ins. Co.*, 357 F Supp 2d 651.) III. The insurance policy issued to Panasia Estates, Inc. does not exclude consequential damages that arise from Hudson Insurance Company's breach of contract. (*Hold Bros., Inc. v Hartford Cas. Ins. Co.*, 357 F Supp 2d 651; *Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434.)

OPINION OF THE COURT

PIGOTT, J.

Panasia Estates is the owner of commercial rental property located at 33 West 19th Street in Manhattan. Panasia had a commercial property insurance policy with Hudson Insurance Company, which included "Builders' Risk Coverage," covering damage to its property while undergoing renovation. During the policy period, the roof of its building was opened in order to perform construction work. Inclement weather caused rain to enter the building through the roof opening, resulting in extensive damage to the property.*

Shortly after the occurrence, Panasia claimed it promptly notified Hudson of the loss. According to Panasia, however, Hudson failed to investigate or adjust the claim until several weeks later. Hudson then denied the claim three months after that, stating that Panasia's loss was the result of repeated water infiltration over time and wear and tear rather than from a risk covered under the builders risk policy provision.

Panasia commenced this action against Hudson, alleging that it breached the insurance contract by failing to properly investigate the loss and denying the loss as not covered under the policy. Panasia sought both direct and consequential damages that it claimed stemmed from Hudson's breach.

* As this is an appeal from a summary judgment motion, we view the facts in the light most favorable to Panasia, the nonmoving party.

Hudson moved for partial summary judgment “dismissing all of [Panasia’s] bad faith allegations and all prayers for consequential, extra-contractual, or incidental damages or attorneys [*sic*] fees.” Hudson argued, among other things, that a contractual exclusion for “[a]ny other consequential loss” precluded Panasia’s request for consequential damages.

As pertinent here, Supreme Court denied that part of Hudson’s motion to dismiss Panasia’s claims for consequential damages. The Appellate Division affirmed, stating that “[a]n insured may recover foreseeable damages, beyond the limits of its policy, for breach of a duty to investigate, bargain for and settle claims in good faith” (39 AD3d 343 [2007], citing *Acquista v New York Life Ins. Co.*, 285 AD2d 73 [1st Dept 2001]). In addition, the court concluded that Hudson failed to show that the contractual exclusion for “‘consequential loss’ ” applied to Panasia’s claim, rejecting Hudson’s argument that “consequential loss” and “consequential damages” were synonymous (*id.*).

The Appellate Division granted Hudson leave to appeal to this Court, certifying the question: “Was the order of the Supreme Court, as affirmed by this Court, properly made?” We conclude that it was.

The courts below properly rejected Hudson’s contention that it was entitled to judgment as a matter of law because consequential damages are not recoverable in a claim for breach of an insurance contract. As we explained in *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.* (10 NY3d 187 [2008] [decided today]), consequential damages resulting from a breach of the covenant of good faith and fair dealing may be asserted in an insurance contract context, so long as the damages were “‘within the contemplation of the parties as the probable result of a breach at the time of or prior to contracting’ ” (at 192, quoting *Kenford Co. v County of Erie*, 73 NY2d 312, 319 [1989]). Here, the courts below failed to consider whether the specific damages sought by Panasia were foreseeable damages as the result of Hudson’s breach. Because the record before us is not fully developed on that issue, such claim must be considered by Supreme Court.

Lastly, as the Appellate Division correctly concluded, the contractual exclusion for consequential loss does not bar the recovery of consequential damages (*see Bi-Economy* at 196).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and certified question answered in the affirmative.

SMITH, J. (dissenting [For the dissenting opinion of Judge Smith, see *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.* (10 NY3d 187, 196 [2008]).]).

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and JONES concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order affirmed, etc.

[886 NE2d 137, 856 NYS2d 515]

In the Matter of ADULT HOME AT ERIE STATION, INC., Respondent, v ASSESSOR AND BOARD OF ASSESSMENT REVIEW OF CITY OF MIDDLETOWN et al., Appellants.

In the Matter of REGIONAL ECONOMIC COMMUNITY ACTION PROGRAM, INC., Appellant, v BONNIE BERNASKI, as Commissioner of Assessment of the City of Middletown, Respondent.

Argued February 5, 2008; decided March 13, 2008

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 16, 2007. The Appellate Division (1) reversed, on the law and the facts, so much of an amended order and judgment (one paper) of the Supreme Court, Orange County (Thomas A. Dickerson, J.; op 8 Misc 3d 1010[A], 2005 NY Slip Op 51010[U]), entered in consolidated proceedings pursuant to Real Property Tax Law article 7, as had denied those branches of the petitions which were, in effect, to declare the subject property exempt from real property taxes pursuant to RPTL 420-a for tax years 2001-2002 and 2002-2003; (2) granted those branches of the petitions which were, in effect, to declare the subject property tax exempt for tax years 2001-2002 and 2002-2003; and (3) declared that the subject property was exempt from real property taxes pursuant to RPTL 420-a for tax years 2001-2002 and 2002-2003.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 22, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Orange County (Lawrence I. Horowitz, J.), which, in a proceeding pursuant to CPLR article 78, had denied the petition.

Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown, 36 AD3d 699, affirmed.

Matter of Regional Economic Community Action Program, Inc. v Bernaski, 40 AD3d 1000, reversed.

HEADNOTES**Taxation — Exemptions — Property Used Exclusively for Charitable Purposes — Adult Home**

1. Petitioner's property, which was used to operate an "adult home" (*see* Social Services Law § 2 [25]), was used for "charitable" purposes and thus was exempt from real property tax. Although RPTL 420-a (1) (a) requires that exempt property be "used exclusively" for charitable or other exempt purposes, the word "exclusively" is not to be read literally. Ten percent of the home's residents paid market rates, but the other 90% were poor enough to make petitioner's activity "charitable." Something more than half of the residents were eligible for Supplemental Security Income and their care was paid for at a reduced rate by the Social Security Administration. The remaining residents (contract occupants) were unable to afford the full market rate and paid for their care at reduced fees determined by their assets and income. The contract occupants had very limited assets and allowances and were poor by any reasonable definition.

Taxation — Exemptions — Property Used Exclusively for Charitable Purposes — Housing for Participants in Social Work Programs

2. Petitioner, a social work organization devoted to combating homelessness, substance abuse and other social ills among low-income people, was entitled to tax exemptions pursuant to RPTL 420-a for the homes it owned and made available to participants in its program only until they had completed the program. Although petitioner received market rents for its properties, the residential use of the properties in question was reasonably incident to petitioner's charitable purposes.

Taxation — Exemptions — Property Used Exclusively for Charitable Purposes — Housing for Participants in Social Work Programs

3. That a charitable organization receives an economic benefit from real property that is exempt from taxation under RPTL 420-a does not by itself extinguish the tax exemption. The question is how the property is used, not whether it is profitable. *Matter of Nassau County Hispanic Found. (Board of Assessors)* (198 AD2d 357 [1992]), which held otherwise, was incorrectly decided.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 296–298, 309, 310, 328.

McKINNEY'S, RPTL 420-a; Social Services Law § 2 (25).

NY JUR 2d, Hospitals and Related Health Care Facilities § 137.5; NY JUR 2d, Taxation and Assessment §§ 184, 185, 188, 191.

NEW YORK REAL PROPERTY SERVICE §§ 60:15, 60:16, 60:18.

ANNOTATION REFERENCE

Nursing homes as exempt from property taxation. 34 ALR5th 529.

FIND SIMILAR CASES ON WESTLAW®

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Query: exempt! /s charitable /s property & adult /3 home
facility & poor

POINTS OF COUNSEL

Segel, Goldman, Mazzotta & Siegel, P.C., Albany (Paul J. Goldman of counsel), and Alex Smith, Corporation Counsel, Middletown, for appellants in the first above-entitled proceeding. I. The Appellate Division ignores the requirement that the exemption statutes be narrowly construed. (*People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998, 48 NY2d 885; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 138 AD2d 709, 74 NY2d 749; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886; *Matter of Marino P. Jeantet Residence for Seniors v Commissioner of Fin. of City of N.Y.*, 105 Misc 2d 1080, 86 AD2d 671; *Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588.) II. The Appellate Division applied the wrong standard for determining whether an RPTL 420-a exemption is warranted. (*Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 138 AD2d 709, 74 NY2d 749; 328 *Owners Corp. v 330 W. 86 Oaks Corp.*, 8 NY3d 372; *Matter of Schomburg Plaza, Inc. v Austin*, 8 AD3d 489; *Matter of Nassau County Hispanic Found. [Board of Assessors]*, 198 AD2d 357; *Sisters of St. Joseph v City of New York*, 49 NY2d 429.) III. The Appellate Division decision conflicts with the New York State Constitution. (*Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293, 368 US 12; *Sonmax, Inc. v City of New York*, 43 NY2d 253; *Kessel v Purcell*, 119 Misc 2d 449; *People ex rel. Doctor's Hosp., Inc. v Sexton*, 267 App Div 736; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 138 AD2d 709, 74 NY2d 749; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886; *Matter of San Simeon By The Sound v Russell*, 250 AD2d 689; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 196 AD2d 564, 83 NY2d 756.) IV. Petitioner is estopped from asserting that the contract occupants are objects of charity. (*Matter of Meditrust v Fahey*, 226 AD2d 999.) V. Petitioner failed to

exhaust its administrative remedies. (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Matter of Town of Highland v New York State Bd. of Equalization & Assessment*, 211 AD2d 893; *Aldrich v Pattison*, 107 AD2d 258; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *W.T. Grant Co. v Srogi*, 52 NY2d 496.)

Brandt, Steinberg & Lewis, LLP, New York City (*Richard A. Steinberg* and *Hubert J. Brandt* of counsel), for respondent in the first above-entitled proceeding. I. Appellants mischaracterize respondent's settled purpose and conduct, ignore the factual record and apply inapposite case law in a failed attempt to overturn the decision below. (*Carrier v Salvation Army*, 217 AD2d 420, 88 NY2d 298; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911; *Riverdale Country School v City of New York*, 13 AD2d 103, 11 NY2d 741; *Sisters of St. Joseph v City of New York*, 49 NY2d 429; *Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of St. Luke's Hosp. v Boyland*, 12 NY2d 135; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 138 AD2d 709, 74 NY2d 749; *Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998, 48 NY2d 885; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Matter of Valeria Home v Cook*, 22 NY2d 388.) II. An RPTL article 7 proceeding is a de novo trial; petitioner is not limited to its proof made before the Assessor and Board of Assessment Review of the City of Middletown. (*People ex rel. Jamaica Water Supply Co. v State Bd. of Tax Commrs.*, 196 NY 39; *People ex rel. 4 Park Ave. Corp. v Lilly*, 265 App Div 68; *Matter of Katz Buffalo Realty v Anderson*, 25 AD2d 809; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Hyacinthe v Glaser*, 104 AD2d 651.)

J. Wade Beltramo, Deputy General Counsel, New York State Conference of Mayors and Municipal Officials, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae in the first above-entitled proceeding. I. The Legislature has clearly, unambiguously, and explicitly expressed its intention that not-for-profit exemptions claims under RPTL 420-a must be narrowly interpreted and applied. (*People ex rel. Unity Cong. Socy. of City of N.Y. v Mills*, 189 Misc 774; *People ex rel. Andrews v Cameron*, 140 App Div 76, 200 NY 585; *People ex rel. Mizpah Lodge No. 518 of Ind. Order of Odd Fellows v Burke*, 228 NY 245; *People ex rel. Delta Kappa Epsilon Socy. v Lawler*, 74 App Div 553, 179 NY 535; *People ex rel. Watchtower Bible &*

Tract Socy. v Haring, 8 NY2d 350; *Matter of Faculty-Student Assn. of Harpur Coll. v Dawson*, 57 Misc 2d 112.) II. The courts' constantly expansive reading of New York's tax-exemption statutes has eroded the local government tax base to such a degree that any further expansion of the State's tax-exempt laws will threaten the financial solvency of many of New York's local governments; consequently, sound public policy demands that the terms "charitable" and "exclusively," as used in RPTL 420-a, must be interpreted and applied narrowly. III. An expansive reading of RPTL 420-a puts the State of New York at an economically competitive disadvantage to other states, and thus the statute should be narrowly construed.

Cadwalader, Wickersham & Taft LLP, New York City (*Peter G. Bergmann, Terence F. Gilheany and Brian T. McGovern* of counsel), for New York Association of Homes and Services for the Aging, amicus curiae in the first above-entitled proceeding. I. This Court should affirm the Appellate Division's order, recognizing that respondent, a not-for-profit adult home, is used exclusively (i.e., primarily) for charitable purposes pursuant to RPTL 420-a as that statute has been read and applied by this Court in *Mohonk Trust v Board of Assessors of Town of Gardiner* (47 NY2d 476 [1979]) and *Matter of Symphony Space v Tishelman* (60 NY2d 33 [1983]). (*Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886, 55 NY2d 602; *Matter of Marino P. Jeantet Residence for Seniors v Commissioner of Fin. of City of N.Y.*, 105 Misc 2d 1080, 86 AD2d 671; *Matter of Adirondack Land Trust v Town of Putnam Assessor*, 203 AD2d 861, 84 NY2d 809; *Matter of Scenic Hudson Land Trust v Sarvis*, 234 AD2d 301; *Matter of Farm Sanctuary v Patton*, 221 AD2d 67; *Matter of Canton Human Servs. Initiatives, Inc. v Town of Canton*, 4 Misc 3d 413; *Matter of Stuyvesant Sq. Thrift Shop v Tax Commn. of City of N.Y.*, 54 NY2d 735; *Sisters of St. Joseph v City of New York*, 49 NY2d 429; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143.) II. The legislative history of RPTL 420-a and 422 reinforces the conclusion that the charitable exemption contained in RPTL 420-a broadly includes adult homes. (*Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476.) III. An adult home is not a mere "apartment complex" for senior citizens but a long-term care provider addressing the special needs of the elderly. (*Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998, 48 NY2d 885; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 138 AD2d 709, 74 NY2d 749; *Matter of Regional Economic Community Action Program, Inc. v Bernaski*, 40 AD3d 1000.)

Wilson, Elser, Moskowitz, Edelman & Dicker, LLP, Albany (Michael G. Weisberg of counsel), for Healthcare Association of New York State, Inc., amicus curiae in the first above-entitled proceeding. I. The Adult Home at Erie Station, Inc. was organized and conducted for a charitable purpose. (*Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476; *Matter of American Socy. for Prevention of Cruelty to Animals v Tax Commn. of City of N.Y.*, 113 Misc 2d 427; *Sherman v Richmond Hose Co. No. 2*, 230 NY 462; *Matter of Hamilton*, 270 App Div 634, 296 NY 578; *Matter of Farm Sanctuary v Patton*, 221 AD2d 67; *Matter of Marino P. Jeantet Residence for Seniors v Commissioner of Fin. of City of N.Y.*, 105 Misc 2d 1080, 86 AD2d 671; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886, 55 NY2d 602; *Tucker v Toia*, 43 NY2d 1; *Matter of Lee v Smith*, 43 NY2d 453; *Olmstead v L. C.*, 527 US 581.) II. The Adult Home at Erie Station, Inc. was used “exclusively” for charitable purposes. (*Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *People ex rel. Doctor’s Hosp., Inc. v Sexton*, 267 App Div 736, 295 NY 553; *Matter of Nevins*, 16 Misc 2d 425; *Butterworth v Keeler*, 219 NY 446; *American-Russian Aid Assn. v City of Glen Cove*, 41 Misc 2d 622, 23 AD2d 966; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886; *Matter of Nassau County Hispanic Found. [Board of Assessors]*, 198 AD2d 357; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Matter of Aliessa v Novello*, 96 NY2d 418.)

James G. Sweeney, P.C., Goshen (James G. Sweeney, Barbara J. Harris and Max Wilde of counsel), for appellant in the second above-entitled proceeding. I. The notion of relief from real property taxation for charitable organizations is firmly embedded in the jurisprudence of the state and nation. The methodology used by the courts below works against that jurisprudence. (*Hollis v Drew Theol. Seminary*, 95 NY 166; *Amherst Coll. v Ritch*, 151 NY 282; *Matter of Huntington*, 168 NY 399; *Walz v Tax Commn. of City of N.Y.*, 24 NY2d 30, 397 US 664.) II. The correct test for deciding whether or not Regional Economic Community Action Program, Inc. is entitled to the RPTL 420-a (1) (a) exemption is the “reasonably incident” test of *Matter of St. Luke’s Hosp. v Boyland* (12 NY2d 135 [1962]). The courts below failed to apply this test. (*Matter of Miriam Osborn Mem. Home Assn. v Assessor of City of Rye*, 275 AD2d 714; *Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of Regional*

Economic Community Action Program v Ritter, 270 AD2d 492; *Matter of Pets Alive v Wanat*, 288 AD2d 386; *Matter of St. Luke's Hosp. v Boyland*, 15 AD2d 776; *People ex rel. Clarkson Mem. Coll. of Tech. v Haggett*, 274 App Div 732, 300 NY 595; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Gospel Volunteers v Village of Speculator*, 33 AD2d 407, 29 NY2d 622; *Matter of Shrine of Our Lady of Martyrs of Auriesville v Board of Assessors of Town of Glen*, 40 AD2d 75, 33 NY2d 713; *Matter of American Mgt. Assns. v Assessor of Town of Madison*, 63 AD2d 1102.) III. The courts below applied a wrong legal standard in denying the exemption. (*Matter of St. Luke's Hosp. v Boyland*, 12 NY2d 135; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Gospel Volunteers v Village of Speculator*, 33 AD2d 407, 29 NY2d 622; *Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review*, 100 AD2d 361; *American-Russian Aid Assn. v City of Glen Cove*, 41 Misc 2d 622, 23 AD2d 966; *People ex rel. Clarkson Mem. Coll. of Tech. v Haggett*, 274 App Div 732, 300 NY 595; *Butterworth v Keeler*, 219 NY 446.)

Segel, Goldman, Mazzotta & Siegel, P.C., Albany (Paul J. Goldman of counsel), and Alex Smith, Corporation Counsel, Middletown, for respondent in the second above-entitled proceeding. I. The properties are not exempt from taxation. (*Matter of Greer Woodycrest Children's Servs. v Fountain*, 138 AD2d 709, 74 NY2d 749; *Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998, 48 NY2d 885; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Miriam Osborn Mem. Home Assn. v Assessor of City of Rye*, 275 AD2d 714; *Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886; *Catlin v Trustees of Trinity Coll.*, 113 NY 133; *Buffalo City Cemetery v City of Buffalo*, 46 NY 506.) II. *Matter of Nassau County Hispanic Found. (Board of Assessors)* (198 AD2d 357 [1993]) is valid precedent. (*Matter of United Church Residences of Fredonia N.Y., Inc. v Newell*, 43 AD3d 1403.) III. The reasonably incident test under *Matter of St. Luke's Hosp. v Boyland* (12 NY2d 135 [1962]) does not support the petition. (*New York & Presbyt. Hosp. v Progressive Cas. Ins. Co.*, 5 AD3d 568; *People ex rel. Thomas S. Clarkson Mem. Coll. of Tech. v Haggett*, 300 NY 595; *Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998, 48 NY2d 885; *Matter of Greer Woodycrest Children's*

Servs. v Fountain, 138 AD2d 709, 74 NY2d 749; *Miriam Osborn Mem. Home Assn. v Assessor of City of Rye*, 14 Misc 3d 1209[A], 2006 NY Slip Op 52461[U]; *Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911, 81 AD2d 886; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Beth Israel Hosp. Hous. Co. [Catherwood]*, 35 AD2d 397; *Gospel Volunteers v Village of Speculator*, 33 AD2d 407.) IV. The precedent of this Court confirms that an exemption is not warranted. (*Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 48 NY2d 885; *Matter of Greer Woodycrest Children's Servs. v Fountain*, 74 NY2d 749; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 36 AD3d 699, 8 NY3d 814.)

OPINION OF THE COURT

SMITH, J.

Two owners of property in the City of Middletown claim that their property is used for “charitable” purposes and so is exempt from real property tax. We hold that both property owners are correct.

Facts and Procedural History

The petitioners in these cases are Elant at Erie Station, Inc., formerly known as Adult Home at Erie Station, Inc. (AHESI), and Regional Economic Community Action Program, Inc. (RECAP).

AHESI

AHESI's property is used for the operation of an “adult home,” defined by Social Services Law § 2 (25) as “an adult care facility established and operated for the purpose of providing long-term residential care, room, board, housekeeping, personal care . . . and supervision to five or more adults unrelated to the operator.” The home has a rate schedule, containing what both sides' experts found to be “market” rates, but only about 10% of its residents pay those rates. Something over half the residents are eligible for Supplemental Security Income (SSI); their care is paid for, at a reduced rate, by the Social Security Administration. The remaining 30-plus percent of the residents, referred to by AHESI as “contract occupants,” pay for their own care, but are unable to afford the full market rate; they pay reduced fees determined by their assets and income. AHESI accepts all applicants qualified by age and medical condition, and has never turned away a would-be resident because of inability to pay the market rate.

The City rejected AHESI's application for exemption from real property tax, and the Board of Assessment Review upheld the City's determination. AHESI then sought judicial review of its assessments under article 7 of the Real Property Tax Law. Supreme Court decided, after an evidentiary hearing, that the property was not exempt. The Appellate Division reversed and upheld AHESI's claim to an exemption. We granted leave to appeal, and now affirm the Appellate Division's order.

RECAP

RECAP is a social work organization, devoted to combating homelessness, substance abuse and other social ills among low-income people in the Middletown area. RECAP owns homes in which participants in its "Community Re-Entry Program" live. They live there only for the "transitional" period until they have completed the program, though the transition is often lengthy. The City claims that almost half the residents have been in the homes for three years or more, but there is nothing in the record to show that any of the residents is not a bona fide program participant. RECAP receives rent from the properties comparable to rents charged by private landlords; the rent is paid partly by government agencies, and partly by the tenants themselves.

The City denied RECAP's applications for tax exemptions, and RECAP brought a CPLR article 78 proceeding seeking to annul that decision. Supreme Court denied relief, and the Appellate Division affirmed. We granted leave to appeal, and now reverse.

Discussion

Real Property Tax Law § 420-a (1) (a) says:

"Real property owned by a corporation or association organized or conducted exclusively for religious, charitable, hospital, educational, or moral or mental improvement of men, women or children purposes, or for two or more such purposes, and used exclusively for carrying out thereupon one or more of such purposes either by the owning corporation or association or by another such corporation or association as hereinafter provided shall be exempt from taxation as provided in this section."

This exemption is inapplicable when an officer, member or employee of the property owner receives a "pecuniary profit"

from the activity involved, or when the organization is “a guise or pretense for . . . making any other pecuniary profit” (RPTL 420-a [1] [b]). The City does not claim that section 420-a (1) (b)’s exception to the exemptions applies here. Nor does the City dispute that both AHESI and RECAP are “organized or conducted exclusively for . . . charitable . . . purposes” within the meaning of RPTL 420-a (1) (a). The only question is whether their properties are “used exclusively for carrying out thereupon one or more of such purposes.” We conclude that they are.

I

[1] The City treats AHESI as a provider of housing to the elderly, and says that its property is taxable under our decisions in *Matter of Greer Woodycrest Children’s Servs. v Fountain* (74 NY2d 749 [1989]) and *Matter of Presbyterian Residence Ctr. Corp. v Wagner* (48 NY2d 885 [1979], *affg for reasons stated below* 66 AD2d 998 [4th Dept 1978]). AHESI insists that it provides its residents not with “mere housing” but also with “a program of personal care.” We regard this difference in characterizations as unimportant. Assuming that AHESI’s property is used essentially for housing, the property is still tax exempt. *Greer Woodycrest* and *Presbyterian* hold that renting homes to elderly people who are not poor is not a “charitable” activity, but AHESI’s property is used to provide housing to poor people at below market rates. This is plainly a “charitable” purpose (*see Matter of Belle Harbor Home of Sages v Tishelman*, 100 Misc 2d 911 [Sup Ct, Queens County 1979], *affd on op below* 81 AD2d 886 [2d Dept 1981]).

Although RPTL 420-a (1) (a) says that exempt property must be “used exclusively” for charitable or other exempt purposes, we have held that the word “exclusively” is not to be read literally (*Matter of Symphony Space v Tishelman*, 60 NY2d 33, 38 [1983] [“In determining whether the real property of a corporation is used exclusively for the exempt purpose, the word ‘exclusive’ has been held to connote ‘principal’ or ‘primary’ ”]). Thus, the City does not argue that AHESI should lose its tax exemption solely because 10% of its residents—those who pay market rates—seem not to be receiving charity. The main dispute between the parties is whether the other 90% of the residents are poor enough to make AHESI’s activity “charitable.” The City does not dispute that the SSI recipients are poor enough (*see Belle Harbor*, 100 Misc 2d at 913 [property used primarily for charitable purposes where 90% of residents

“have government benefits as their only source of income”)), but says that AHESI’s contract occupants—between 30% and 40% of the residents—are not.

We disagree. The record shows that, in computing rents charged to contract occupants, AHESI required them to pay all of their assets that exceeded the \$2,000 maximum for SSI recipients, and also required them to pay all of their income with the exception of a \$50 allowance for incidentals and an additional allowance for medical bills and medical premiums. People whose expenses for housing and medical care leave them with no more than \$2,000 in assets and \$50 in disposable income are poor by any reasonable definition. We see no basis, in precedent or logic, for the City’s proposed rule that only SSI recipients are poor enough to be objects of charity. We thus conclude that the Appellate Division correctly held AHESI’s property to be tax exempt.

II

[2] RECAP, unlike AHESI, receives market rents for its properties. Relying on *Greer Woodycrest* and *Presbyterian*, the City argues, and the courts below held, that this fact defeats RECAP’s claim to a tax exemption—that a property owner who receives the same rent as a commercial landlord cannot be using its property for charitable purposes. We find this analysis to be flawed.

RECAP’s charitable purpose is different from AHESI’s, and from the purposes at issue in *Greer Woodycrest* and *Presbyterian*. While AHESI may be viewed as supplying housing to the impoverished elderly, and the property owners in *Greer Woodycrest* and *Presbyterian* as supplying housing to the non-impoveryed elderly, RECAP is engaged in social work, helping homeless people, alcoholics, drug addicts and other afflicted members of society to become productive and useful citizens. This is undoubtedly a charitable activity, and the City does not claim it is not.

The City’s argument is that RECAP’s social work is not, for the most part, done on the properties in question—these properties are simply residences. RECAP answers that the residences are made available only to participants in its program, and only while they are participating; it says that providing decent and affordable housing to participants furthers the program’s goals. RECAP says that this case is controlled by *Matter of St. Luke’s Hosp. v Boyland* (12 NY2d 135 [1962]). We agree.

The issue in *St. Luke's* was whether certain apartment houses were being used “exclusively for . . . hospital . . . purposes” within the meaning of the predecessor statute to RPTL 420-a (1) (a). The apartments were rented to hospital employees and their immediate families, and we held that this was a “hospital” use within the meaning of the statute. The test, we said, is whether the apartments “are devoted to a use which ‘is reasonably incident’ to the major purpose of the hospital” (12 NY2d at 143, quoting *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350, 358 [1960]). We noted that it was customary for hospitals to provide living accommodations for at least some employees, and that there was evidence that some nurses and technicians would not have accepted, or would have left, their employment with the hospital if living quarters had not been provided.

The residential use of RECAP’s property is no less “reasonably incident” to RECAP’s purposes than the use of the apartment buildings in *St. Luke's* was to the hospital’s. It can hardly be questioned that providing an acceptable place for people to live while they participate in social work programs advances the goal of keeping them in the programs and thus of helping them overcome their troubles.

[2, 3] The courts below erred in concluding that, because RECAP receives fair market value for its properties, the properties are not distinguishable from a commercial apartment complex. The distinction is that apartments in commercial complexes are not provided solely to people struggling against alcoholism, drug addiction and the like on condition that they participate in programs designed to help them. That these people (or the government agencies that support them) pay market rents, and that RECAP may even benefit economically from its rental income, does not change the result. The issue is not whether RECAP benefits, but whether the property is “used exclusively” for RECAP’s charitable purposes. RECAP could lose its exemption under RPTL 420-a (1) (b) if the economic benefit went to its officers or employees personally, but an economic benefit to a charitable organization does not by itself extinguish a tax exemption. The question is how the property is used, not whether it is profitable. *Matter of Nassau County Hispanic Found. (Board of Assessors)* (198 AD2d 357 [2d Dept 1993]), which held otherwise, was incorrectly decided.

III

Accordingly, the order of the Appellate Division in the *AHESI* matter should be affirmed, with costs. The order of the Appellate Division in the *RECAP* matter should be reversed, with costs, the petition granted and the Commissioner of Assessment of the City of Middletown directed to grant RECAP a real property tax exemption for the tax year 2004/2005.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

In *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*: Order affirmed, with costs.

In *Matter of Regional Economic Community Action Program, Inc. v Bernaski*: Order reversed, etc.

[885 NE2d 176, 855 NYS2d 412]

JOHN RAMOS, Respondent, v HOWARD INDUSTRIES, INC., Appellant.

Argued February 6, 2008; decided March 13, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered March 16, 2007. The Appellate Division affirmed an order of the Supreme Court, Chautauqua County (Paula L. Feroletto, J.), which had denied defendant's motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, entered March 16, 2007, properly made[?]"

Ramos v Howard Indus., Inc., 38 AD3d 1163, reversed.

HEADNOTE

Products Liability — Defectively Designed Product — Summary Judgment

In a products liability action seeking damages for injuries that plaintiff power company lineman sustained when a transformer designed and manufactured by defendant allegedly exploded, defendant established its prima facie entitlement to judgment as a matter of law, and plaintiff failed to present evidence excluding all other causes for the transformer's malfunction not attributable to defendant such that a reasonable jury could find that the transformer was defective in the absence of evidence of a specific defect. Although the transformer was not available for testing and inspection, defendant presented competent evidence that its transformers were designed and manufactured under state of the art conditions, that its manufacturing process complied with applicable industry standards, and that each transformer was individually tested. Defendant, through its expert, also posited other possible causes of an explosion such as rewiring or rebuilding by other employees of the power company after it left defendant's possession. Although plaintiff was not required to identify a specific defect in his circumstantial case, his theory that the explosion resulted from a manufacturing defect in the form of an "internal electrical fault," was pure speculation. Moreover, plaintiff's expert failed to exclude the possibility that the transformer exploded because it was improperly rewired or rebuilt.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 930, 1011, 1041.

NY JUR 2d, Products Liability §§ 20-26, 201.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:120.2.

PROSSER AND KEETON, TORTS (5th ed) § 95.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d,
§ 18:03.

ANNOTATION REFERENCE

See ALR Index under Design of Products and Structures;
Products Liability; Transformers.

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POINTS OF COUNSEL

Connors & Vilardo, LLP, Buffalo (*Lawrence J. Vilardo* and *Giuseppe A. Ippolito* of counsel), and *Law Offices of Walter R. Pacer, Jr.* (*James D. Schultz, Jr.*, of counsel), for appellant. I. In a products liability case where the product is not available, defendant shows its prima facie entitlement to summary judgment by demonstrating that the product was defect free when it left defendant's control. (*Zuckerman v City of New York*, 49 NY2d 557; *Wesp v Carl Zeiss, Inc.*, 11 AD3d 965; *Maciarelo v Empire Comfort Sys.*, 16 AD3d 1009; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Halloran v Virginia Chems.*, 41 NY2d 386.) II. Because defendant met its burden of establishing prima facie entitlement to summary judgment, plaintiff's failure to exclude all causes other than a manufacturing defect entitled defendant to summary judgment. (*Zuckerman v City of New York*, 49 NY2d 557; *Wesp v Carl Zeiss, Inc.*, 11 AD3d 965; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Halloran v Virginia Chems.*, 41 NY2d 386; *Gonzalez v 98 Mag Leasing Corp.*, 95 NY2d 124; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Santoni v Bertelsmann Prop., Inc.*, 21 AD3d 712; *Curiale v Sharrotts Woods, Inc.*, 9 AD3d 473; *Terry v Erie Foundry Co.*, 235 AD2d 414; *Gern v Basta*, 26 AD3d 807, 6 NY3d 715.)

Cantor, Lukasik, Dolce & Panepinto, P.C., Buffalo (*Stephen C. Halpern* of counsel), for respondent. I. The court below correctly ruled that defendant did not meet its burden in seeking summary judgment because it tried to meet that burden by advancing alternative theories of causation and then failed to submit evidence in admissible form supporting those theories. (*Taft v Sports Page Shop*, 226 AD2d 974; *Graham v Pratt & Sons*, 271 AD2d 854; *Peris v Western Regional Off-Track Betting Corp.*, 255 AD2d 899; *Speller v Sears, Roebuck & Co.*, 100 NY2d

38; *Riglioni v Chambers Ford Tractor Sales, Inc.*, 36 AD3d 785; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Levitt v County of Suffolk*, 145 AD2d 414; *Baly v Chrysler Credit Corp.*, 94 AD2d 781; *Coley v Michelin Tire Corp.*, 99 AD2d 795; *Narciso v Ford Motor Co.*, 137 AD2d 508.) II. Contrary to defendant's argument, where the product is missing, plaintiff does not have the burden to exclude all other possible causes *at the summary judgment phase*, but rather must only raise questions of fact. (*Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Kriz v Schum*, 75 NY2d 25; *Saunders v Farm Fans, div. of ffi Corp.*, 24 AD3d 1173; *Halloran v Virginia Chems.*, 41 NY2d 386.) III. Defendant proposes new standards for a manufacturer to meet on summary judgment where the product is missing. Those new standards would alter the existing criteria established by this Court in *Speller v Sears, Roebuck & Co.* (100 NY2d 38 [2003]), conflate the proof needed to prove a design versus a manufacturing defect, and advance requirements which defendant's own affidavits do not meet. (*Jemmott v Rockwell Mfg. Co., Power Tools Div.*, 216 AD2d 444; *McCarthy v Olin Corp.*, 119 F3d 148; *Gian v Cincinnati Inc.*, 17 AD3d 1014; *Lamb v Kysor Indus. Corp.*, 305 AD2d 1083; *Maciarello v Empire Comfort Sys.*, 16 AD3d 1009; *Wesp v Carl Zeiss, Inc.*, 11 AD3d 965; *Bauer v Bashline Indus.*, 219 AD2d 841; *Hunter v Ford Motor Co.*, 37 AD2d 335.) IV. Even if this Court rules that defendant met its burden in moving for summary judgment, plaintiff met his responsive burden when his expert addressed each of defendant's theories of alternative causation and raised questions of fact about each one. (*Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Kriz v Schum*, 75 NY2d 25; *Abato v Millar El. Serv. Co.*, 261 AD2d 873; *Regelski v Weber*, 209 AD2d 965; *Luthart v Danesh*, 201 AD2d 930; *Cooper v City of Rochester*, 16 AD3d 1117; *Salva v Blum*, 277 AD2d 985; *Hart v Bruno Mach. Corp.*, 250 AD2d 58.) V. Plaintiff's expert affidavit is founded on a valid evidentiary basis, including the testimony of eyewitnesses to the explosion, an analysis of the tests performed by defendant, and industry data on the frequency and causes of transformer explosions. (*Curiale v Sharrotts Woods, Inc.*, 9 AD3d 473; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Romano v Stanley*, 90 NY2d 444; *Torres v W.J. Woodward Constr., Inc.*, 32 AD3d 847; *Rutherford v Signode Corp.*, 11 AD3d 922; *Canales v Hustler Mfg. Co.*, 12 AD3d 392; *Browne v Big V Supermarkets*, 188 AD2d 798, 81 NY2d 708; *Castro v Delta Intl. Mach. Corp.*, 309 AD2d 827; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38.) VI. Even if this Court concludes that (1) defen-

dant met its burden in moving for summary judgment and (2) plaintiff's expert affidavit has no validity, there still are questions of fact in the record about the cause of the transformer explosion that require this Court to deny summary judgment.

OPINION OF THE COURT

PIGOTT, J.

In this products liability action, defendant manufacturer was denied summary judgment dismissing plaintiff's complaint. Because we conclude that defendant met its initial burden by presenting competent evidence that its product was not defective and plaintiff failed to create an issue of fact excluding all other causes for the product's failure not attributable to defendant, we reverse the Appellate Division order and dismiss the complaint.

In June 1997, plaintiff John Ramos sustained personal injuries when a transformer designed and manufactured by defendant Howard Industries, Inc. allegedly exploded. According to plaintiff, the explosion occurred shortly after he energized the transformer in the course of his employment as a lineman for nonparty Niagara Mohawk Power Corporation. Initially, plaintiff reported to his employer and doctors that he was injured when he reached out of an aerial bucket while installing the transformer on a utility pole. More than two years later, however, plaintiff claimed that the transformer exploded, the force of which caused him to fall inside the bucket, injuring his back. By that time, the transformer could not be located for inspection or testing to determine the cause of its failure. Plaintiff explained that he failed to promptly disclose the transformer explosion because he feared disciplinary action or the loss of certain employment-related benefits.

In May 2000, plaintiff commenced this products liability action, alleging that the transformer was defectively designed and manufactured. Following discovery, defendant moved for summary judgment dismissing the complaint. In support of its motion, defendant submitted the affidavit of an expert engineer who, after visiting defendant's plant, concluded that its manufacturing processes, quality control, testing and inspection were "current and state-of-the-art." The expert noted that an internal electrical fault could cause an explosion as described by plaintiff, but concluded that such a defect "would have been readily identified at several stages of the manufacturing process." He stated that, "[g]iven the various stages of testing and

inspection, it [was] virtually impossible for a transformer with an internal fault to leave [defendant's] plant." The expert also concluded that defendant's manufacturing processes complied with all applicable industry standards and Niagara Mohawk's specifications, and that the transformer in question would have been individually tested to ensure compliance with such requirements. He posited other possible causes of the explosion, such as Niagara Mohawk employees negligently rewiring or rebuilding the transformer, or the potential creation of "an internal fault" during rewiring by dropping a metal object inside the transformer, "which could cause the transformer to overheat the insulating oil within the tank and result in the cover being forced off the transformer."

In opposition to defendant's motion, plaintiff offered the affidavit of an expert engineer, who asserted that the transformer was defectively designed and manufactured because it "experienced an internal electrical fault due to defective coil/windings and/or insulation." Plaintiff's expert further stated that the "electrical fault generated excessive heat within the transformer's tank and superheated the oil contained therein" causing "excessive internal vapor pressure to build up, and ultimately produced the explosion." The expert also asserted that two safety devices placed on the transformer by defendant failed to operate and prevent the explosion. In addition, the expert rejected the theories presented by defendant to explain the explosion other than a manufacturing defect.

Supreme Court denied defendant's motion for summary judgment. It concluded that, although defendant's expert's assertion that a defect in the transformer would have been readily identified during the manufacturing process "might be a sufficient statement to obtain Summary Judgment if other causes of the accident were excluded," here, "other possible causes of the accident have not been excluded by the Defendant in the first instance."

The Appellate Division, with one Justice dissenting, affirmed, but for different reasons than Supreme Court. The court held that defendant failed to meet its burden on summary judgment, concluding that its evidence "does not establish as a matter of law that the transformer was not defective and that a manufacturing defect therefore did not cause the explosion" (38 AD3d 1163, 1164 [4th Dept 2007]). That court thereafter granted defendant leave to appeal and certified the following question: "Was the order of this Court, entered March 16, 2007, properly

made[?]" We answer the question in the negative, reverse the order of the Appellate Division and grant defendant's motion for summary judgment dismissing the complaint.

It is well settled that a products liability cause of action may be proven by circumstantial evidence, and thus, a plaintiff need not identify a specific product defect (*see Speller v Sears, Roebuck & Co.*, 100 NY2d 38, 41 [2003]; *Halloran v Virginia Chems.*, 41 NY2d 386, 388 [1977]; *Codling v Paglia*, 32 NY2d 330, 337 [1973]). "In order to proceed in the absence of evidence identifying a specific flaw, a plaintiff must prove that the product did not perform as intended and exclude all other causes for the product's failure that are not attributable to defendants" (*Speller*, 100 NY2d at 41, citing *Halloran*, 41 NY2d at 388 [other citation omitted]). If, however, a plaintiff is unable to prove both elements, "a jury may not infer that the harm was caused by a defective product unless plaintiff offers competent evidence identifying a specific flaw" (*Speller*, 100 NY2d at 42).

In *Speller*, the plaintiffs alleged that a defective refrigerator caused a house fire. The manufacturer and retailer moved for summary judgment dismissing the complaint, offering evidence of an alternative cause of the fire, i.e., a stovetop grease fire. We stated that, "[i]n order to withstand summary judgment, plaintiffs were required to come forward with competent evidence excluding the stove as the origin of the fire" (*id.* at 42). Based on plaintiffs' three expert opinions, which concluded that the fire originated in the refrigerator and not from the stove, we held "that plaintiffs raised a triable question of fact by offering competent evidence which, if credited by the jury, was sufficient to rebut defendants' alternative cause evidence" (*id.* at 43). Put another way, we stated, "based on plaintiffs' proof, a reasonable jury could conclude that plaintiffs excluded all other causes of the fire" (*id.*).

Here, contrary to the Appellate Division's conclusion, defendant established its prima facie entitlement to judgment as a matter of law. Without the product available for testing and inspection (admittedly caused by plaintiff's lengthy delay in reporting the incident), defendant was unable to provide an expert opinion based upon an examination of the transformer. Instead, defendant presented competent evidence demonstrating that its transformers were designed and manufactured under state of the art conditions according to Niagara Mohawk's specifications and that its manufacturing process complied with applicable industry standards. The evidence further demon-

strated that each transformer was individually tested before leaving defendant's plant and that in light of such testing and inspection, its expert concluded that it was "virtually impossible for a transformer with an internal fault to leave [defendant's] plant." Defendant's expert affidavit also posited other possible causes of an explosion that may have been introduced while the transformer was rewired or rebuilt by Niagara Mohawk employees after it left defendant's possession.

Because defendant met its initial burden, in order to defeat summary judgment, plaintiff must raise "a triable question of fact by offering competent evidence which, if credited by the jury, [i]s sufficient to rebut defendant[']s alternative cause evidence" (*Speller*, 100 NY2d at 43). An expert's affidavit—offered as the only evidence to defeat summary judgment—"must contain sufficient allegations to demonstrate that the conclusions it contains are more than mere speculation and would, if offered alone at trial, support a verdict in the proponent's favor" (*Adamy v Ziriakus*, 92 NY2d 396, 402 [1998] [quoted case omitted]; see also *Diaz v New York Downtown Hosp.*, 99 NY2d 542, 544 [2002] ["Where the expert's ultimate assertions are speculative or unsupported by any evidentiary foundation, . . . the opinion should be given no probative force and is insufficient to withstand summary judgment"]).

Plaintiff failed to present evidence excluding all other causes for the transformer's malfunction not attributable to defendant such that a reasonable jury could find that the transformer was defective in the absence of evidence of a specific defect. Although a plaintiff is not required to identify a specific defect in a circumstantial case, plaintiff's theory here—that the explosion resulted from a manufacturing defect in the form of an "internal electrical fault"—is pure speculation. Furthermore, as noted by the Appellate Division dissent, plaintiff's expert failed to exclude the possibility presented by defendant's expert that the transformer exploded because it was improperly rewired or rebuilt by Niagara Mohawk employees after leaving defendant's possession. In sum, based on plaintiff's proof, a reasonable jury could not conclude that all other causes of the transformer explosion were excluded, and thus, plaintiff's manufacturing defect claim fails as a matter of law.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant's motion for summary judgment dismissing the complaint granted and the certified question answered in the negative.

JONES, J. (dissenting). The issue before the Court is whether defendant Howard Industries, Inc. is entitled to summary judgment when the object of the products liability action was unavailable for inspection or testing. Because I think that this question should be answered in the negative, I respectfully dissent.

The majority relies on defendant's evidence, proffered by expert affidavit, that states that "its transformers were designed and manufactured under state of the art conditions" according to specifications and that "its manufacturing process complied with applicable industry standards" (majority op at 223). The majority also relies on statements "that each transformer was individually tested before leaving defendant's plant" and that it would be "virtually impossible for a transformer with an internal fault to leave [defendant's] plant" (*id.* at 224). In my view, this showing is insufficient to entitle defendant to judgment as a matter of law.

The available inference from defendant's bare assertions—that this transformer could not have left its plant with a defect—is purely speculative. Defendant's own expert conceded as much: "without *the* transformer to test and examine, there is simply no evidence or proof that [defendant] sold a transformer containing a defect."

Yet, defendant's experts proceeded to speculate as to possible causes of the explosion, of course, excluding a manufacturing defect. For example, they posited numerous theories: that a negligent worker could have "inadvertently cause[d] an internal short (fault) by permitting the wires to become kinked"; that a negligent worker could have dropped "an object such as a nut, metal tool or other conductive material" into the transformer; that the transformer may have been rebuilt by Niagara Mohawk; or that a negligent worker could have allowed rainwater to enter the transformer while it was being rewired.

Although the majority correctly states the law in its discussion of *Speller v Sears, Roebuck & Co.* (100 NY2d 38 [2003]), that case is distinguishable. After the defendant in *Speller* presented its theory of the cause of the house fire (i.e., grease fire began on top of kitchen stove), plaintiff, who had access to the refrigerator, kitchen and the stove, was able to come forward with competent evidence to exclude the stove as the origin of the fire (*see id.* at 42-43). With a finite number of potential causes of the fire, it was proper, in that case, to permit possible alternative causes to satisfy movant's initial burden and, indeed,

nonmovant's burden. In other words, each party in *Speller* benefitted by the factual scenario such that, on their respective burdens, each could proffer equally plausible, narrowing theories of causation adequate on a motion for summary judgment.

Here, on the other hand, defendant speculated as to possible causes of the transformer explosion which, according to its own experts, could not be established, while plaintiff was expected to exclude these very causes. The unique facts surrounding the unavailability of the transformer are equally disadvantageous, and neither party could definitively establish entitlement to judgment as a matter of law. Accordingly, the burden shifting exercise in this case is impractical, thus rendering these facts fundamentally unlike *Speller* (*cf. Speller*, 100 NY2d at 43). In sum, by giving credence to defendant's bare, obviously self-serving assertions that permit a weak inference of no defect, the result here unjustifiably disadvantages the nonmovant.

Accordingly, I would hold, as did the Appellate Division, that defendant failed to meet its burden, thus obviating the need to consider the adequacy of plaintiff's submissions in opposition.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge JONES dissents in a separate opinion.

Order reversed, etc.

[885 NE2d 181, 855 NYS2d 417]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE MARTIN TAVERAS, Also Known as JOSE MARTIN TAVARES, Also Known as JOSE TAVERAS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY JONES, Appellant.

Argued February 7, 2008; decided March 18, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 27, 2007. The Appellate Division granted the People's motion to dismiss defendant's appeal from a judgment of the Supreme Court, New York County (Stephen G. Crane, J.), which had convicted defendant in absentia, upon a jury verdict, of murder in the second degree (two counts), attempted murder in the second degree, criminal possession of a weapon in the fourth degree and bribery in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 6, 2007. The Appellate Division granted defendant's motion for reconsideration of so much of an order of the Appellate Division entered September 7, 2006 (2006 NY Slip Op 75005[U]) as had granted the People's motion to dismiss defendant's appeal from a judgment of the Supreme Court, Bronx County (William T. Martin, J.), which had convicted defendant in absentia, upon a jury verdict, of burglary in the second degree and robbery in the third degree. The Appellate Division, upon reconsideration and de novo review in light of the arguments of assigned counsel, dismissed defendant's appeal from the judgment.

People v Taveras, 2007 NY Slip Op 65977(U), affirmed.

People v Jones, 2007 NY Slip Op 62544(U), affirmed.

HEADNOTE

Appeal — Dismissal — Fugitive Defendant Returned to Custody while Appeal Pending

The Appellate Division did not abuse its discretion in dismissing the appeals that defendants, former fugitives who were tried in absentia, attempted to

prosecute upon their return to custody several years after they were convicted. Although the fugitive disentitlement doctrine did not apply as an automatic forfeiture of defendants' right to pursue their timely appeals as each defendant was no longer a fugitive and was subject to the mandates of the court at the time the motions to dismiss the appeals were brought, the Appellate Division had broad discretion in determining whether the appeals should be permitted to proceed (*see* CPL 470.60 [1]). The People established in both prosecutions that they would suffer prejudice due to the length of defendants' absences and the difficulty of locating witnesses.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 201; AM JUR 2d, Criminal Law §§ 1130, 1131.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2828, 172:2831, 172:2832, 172:4443.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 28.1–28.3.

McKINNEY'S, CPL 470.60 (1).

NY JUR 2d, Criminal Law §§ 2245, 2247, 3236, 3241.

ANNOTATION REFERENCE

See ALR Index under Absence or Presence; Appeal and Error; Escape or Flight.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jonathan M. Kirshbaum* and *Robert S. Dean* of counsel), for appellant in the first above-entitled action. The pending appeal of a former fugitive should not be dismissed under the fugitive disentitlement doctrine when defendant is available to obey the mandate of the court and the Appellate Division can engage in a full review of the trial court proceedings; alternatively, a former fugitive's appeal should only be dismissed if the escape had a nexus to, or a significant effect on, the appellate process, which did not occur here. (*People v Sullivan*, 28 NY2d 900, 29 NY2d 552; *Degen v United States*, 517 US 820; *Ortega-Rodriguez v United States*, 507 US 234; *Smith v United States*, 94 US 97; *Hanson v Phillips*, 442 F3d 789; *Goeke v Branch*, 514 US 115; *Estelle v Dorough*, 420 US 534; *Allen v Georgia*, 166 US 138; *Eisler v United States*, 338 US 189; *Bonahan v Nebraska*, 125 US 692.)

Robert M. Morgenthau, District Attorney, New York City (Nicole Beder and Alan Gadlin of counsel), for respondent in the first above-entitled action. The Appellate Division properly exercised its discretion in dismissing the appeal, as defendant forfeited any right to appeal by absconding. (People v Gomcin, 95 NY2d 821; People v Perez, 38 NY2d 904; Matter of Skiff-Murray v Murray, 305 AD2d 751; People v Genet, 59 NY 80; Estelle v Dorrough, 420 US 534; Allen v Georgia, 166 US 138; Molinaro v New Jersey, 396 US 365; People v Gilestrella, 127 Misc 2d 356; United States v Persico, 853 F2d 134; United States v Baccollo, 725 F2d 170.)

Center for Appellate Litigation, New York City (Peter Theis and Robert S. Dean of counsel), for appellant in the second above-entitled action. The Appellate Division's summary dismissal of defendant's appeal, from the People's urging that his former fugitive conduct disentitled him to appellate review, was improper. (Smith v United States, 94 US 97; Bonahan v Nebraska, 125 US 692; Eisler v United States, 338 US 189; Molinaro v New Jersey, 396 US 365; Ortega-Rodriguez v United States, 507 US 234; People v Genet, 59 NY 80; People v Sullivan, 28 NY2d 900; People v Casiel, 33 NY2d 791; People v Perez, 38 NY2d 904; People v Parmaklidis, 38 NY2d 1005.)

Robert T. Johnson, District Attorney, Bronx (Jean Soo Park and Joseph N. Ferdenzi of counsel), for respondent in the second above-entitled action. Defendant forfeited his right to appeal when he elected to become a fugitive from justice for almost 18 years. (People v Eldridge, 31 NY2d 820; Martinez v Court of Appeal of Cal., Fourth Appellate Dist., 528 US 152; People v Genet, 59 NY 80; People v Sullivan, 28 NY2d 900, 29 NY2d 552; People v Casiel, 42 AD2d 762, 33 NY2d 791, 39 NY2d 912; People v Shaw, 133 Misc 2d 862, 72 NY2d 838, 950; People v Corley, 77 AD2d 835, 52 NY2d 783, 57 NY2d 861; People v Moses, 91 AD2d 239, 59 NY2d 667, 60 NY2d 682; People v Diaz, 70 AD2d 1061, 49 NY2d 760, 51 NY2d 766; People v Estrada, 173 AD2d 555.)

OPINION OF THE COURT

FIGOTT, J.

In these unrelated criminal proceedings, defendants Jose Martin Taveras and Anthony Jones appeal from trial judgments of conviction and resultant sentences imposed “in absentia.” Notices of appeal were timely filed in both instances, but no effort to perfect or dismiss the appeals was made during the time defendants were fugitives.

Defendant Taveras was captured eight years after his failure to appear for trial; defendant Jones was apprehended nearly 18 years after absconding during jury selection. Because the appeals were still pending at the time of each defendant's capture and return to the jurisdiction, defendants attempted to prosecute their appeals, but the Appellate Division dismissed each appeal. A Judge of this Court granted leave in each case.

People v Taveras

In October 1984, defendant Jose Martin Taveras and his co-defendant entered an apartment in New York City with the intent to steal cocaine and money. They assaulted and choked one victim into unconsciousness and stabbed and tortured another. The former victim recovered; the latter victim died. After his arrest, defendant attempted to bribe law enforcement officers in an attempt to facilitate his release.

Defendant was charged with two counts of murder in the second degree, and one count each of attempted murder in the second degree, criminal possession of a weapon in the third degree and bribery in the second degree. He remained free on bail pending his trial, which was scheduled for November 1986. When defendant failed to appear, Supreme Court issued a bench warrant for his arrest. In January 1987, defendant was arrested on the warrant and a new trial date was set for May 1988. Defendant remained at liberty.

While awaiting trial on the state charges, defendant was arrested and charged in November 1987 with federal drug charges. In February 1988, he pleaded guilty to those charges and was once again released on bond. Coincidentally, his sentencing on the federal charges was scheduled on the same date that his state trial was to commence.

Defendant failed to appear for either his state trial or his federal sentencing. Supreme Court once again issued a bench warrant for defendant's arrest and conducted a hearing pursuant to *People v Parker* (57 NY2d 136, 142 [1982]), ultimately concluding that defendant would be tried in absentia. Defendant was convicted on several counts and sentence imposed. Defense counsel filed a timely notice of appeal in June 1988. Eight years later, defendant was apprehended in Florida and charged with bail jumping in relation to his federal convictions. The federal court in Florida imposed a determinate prison term of 121 months to run concurrently with his state sentence. Upon his return to New York in December 1997, defendant began his state sentence.

Defendant was not at first aware that his prior attorney had filed a timely notice of appeal nine years before. Even after he discovered this fact in late 2000 or early 2001, several more years were consumed in state appellate and federal habeas corpus litigation, ending with a decision in 2006 in which the United States Court of Appeals for the Second Circuit held that defendant had not lost his right to the assignment of counsel on the appeal (*Taveras v Smith*, 463 F3d 141, 151-152 [2d Cir 2006]). Counsel was appointed and submitted a brief.

In November 2006, the People moved to dismiss defendant's appeal, arguing that by absconding defendant had forfeited and abandoned his appellate rights and thus the Appellate Division should refuse to consider the merits. Defendant opposed the motion, arguing that because he was currently under the jurisdiction of the courts, he was entitled to one appeal as of right, pointing out that he had already filed his appellate brief and had at least one winning issue on appeal. After considering the People's motion and defendant's response, the Appellate Division, First Department dismissed the appeal.

People v Jones

In 1987, defendant Anthony Jones was charged with burglary in the first degree, burglary in the second degree, robbery in the second degree, robbery in the third degree and assault in the second degree. Defendant was alleged to have followed the victim into her apartment, locked the door and demanded that she give him money. When she refused, he punched her in the face, grabbed her purse and took money from it.

Defendant, who remained at liberty up until his trial date, absconded during jury selection, notwithstanding the fact that Supreme Court had admonished defendant that he would be tried and sentenced in absentia in the event he did not appear for trial. Supreme Court issued a bench warrant and, after conducting a *Parker* hearing, allowed the trial to go forward without defendant. A jury found defendant guilty of, among other things, burglary in the second degree and robbery in the third degree, and he was sentenced in absentia to concurrent prison terms of 7 to 14 years on each count. Defense counsel filed a timely notice of appeal.

Seventeen years later, in October 2005, defendant was arrested on a bench warrant and returned to the jurisdiction of the court. In April 2006, he was resentenced to 3 to 6 years on the robbery count because the previously imposed 7 to 14 year

sentence was illegal. Defendant thereafter moved at the Appellate Division for poor person relief and, on May 9, 2006, filed a notice of appeal from the judgment on resentencing.

The People opposed defendant's motion for poor person relief to the extent it sought relief relating to the appeal from the August 1, 1988 judgment of conviction, and cross-moved to dismiss the appeal from that judgment, contending that the May 9, 2006 notice of appeal should be construed as being an appeal from the April 2006 judgment on resentencing only. The People further argued that it had been nearly 18 years since the August 1988 notice of appeal had been filed and that defendant had neither perfected his appeal nor requested an extension of time to do so. Moreover, according to the People, defendant was not entitled to have his appeal heard because he disregarded the laws and courts of this State by absconding. The Appellate Division granted defendant's motion for assignment of appellate counsel, but then granted the People's motion dismissing defendant's appeal of the August 1988 conviction.

Analysis

Neither of these appeals implicate the so-called fugitive disentitlement doctrine, which allows appellate courts to dismiss appeals of fugitive defendants who are at large while their appeals are pending, the rationale being that the defendant's escape "disentitles the defendant to call upon the resources of the Court for determination of his claims" (see *Molinaro v New Jersey*, 396 US 365, 366 [1970]; see also *Estelle v Dorrough*, 420 US 534, 537 [1975], *reh denied* 421 US 921 [1975]). Considerations underlying the doctrine include, among other things, that the courts should not expend resources hearing an appeal when any judgment they would issue could not be enforced (see *Smith v United States*, 94 US 97, 97 [1876]), nor should courts be required to "adjudicate the merits of a criminal case after the convicted defendant who has sought review escapes from the restraints placed upon him pursuant to the conviction" (*Molinaro*, 396 US at 366).

Here, however, in neither *Taveras* nor *Jones* did the People move to dismiss the appeals during the defendants' absences, although they clearly had the opportunity to do so. As a result, the appeals remained pending during the entire time defendants were fugitives, and were dismissed only after defendants had been returned to custody and attempted to pursue them. Because each defendant was no longer a fugitive, and was

subject to the mandates of the court at the time the motions to dismiss the appeals were brought, the fugitive disentitlement doctrine could not apply as an automatic forfeiture of his right to pursue his timely appeal.

Instead, whether such appeals should be permitted to proceed is subject to the broad discretion of the Appellate Division (*see* CPL 470.60 [1]). In exercising its discretion, the Appellate Division may consider whether defendant's flight caused "a significant interference with the operation of [the] appellate process" (*Ortega-Rodriguez v United States*, 507 US 234, 250 [1993]); whether defendant's absence so delayed the administration of justice that the People would be prejudiced in locating witnesses and presenting evidence at any retrial should the defendant be successful on appeal (*id.* at 249; *People v Parker*, 57 NY2d at 142); the length of the defendant's absence; whether defendant voluntarily surrendered; the importance and novelty of the issues raised on appeal (*see People v Smith*, 44 NY2d 613 [1978]); and the merits of the appeal.

Here, it cannot be said that the Appellate Division abused its discretion in dismissing these appeals. In *Taveras*, the People established that they would suffer prejudice due to defendant's nine-year absence, including the difficulty of locating a key witness to the crimes 22 years after the fact, rendering it almost impossible to re-try the case should defendant obtain an appellate ruling in his favor. Similarly, in *Jones*, the People established that they would suffer prejudice due to defendant's 18-year absence. In the event defendant was successful on appeal and required a new trial, the People's case would be hampered by having to locate and prepare witnesses whose memories would have likely faded, thereby affecting the People's ability to sustain their burden at trial.

We note that defendant Taveras is not foreclosed from challenging his purported illegal sentence pursuant to CPL 440.20. Similarly, defendant Jones's appeal of his claimed illegal sentence remains and he has been granted poor person status.

Accordingly, the orders of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

In each case: Order affirmed.

[885 NE2d 185, 855 NYS2d 421]

BRIAN R. McCURDY, Respondent, v STATE OF NEW YORK, Appellant. (Claim No. 101492.)

Argued and submitted February 12, 2008; decided March 20, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 27, 2007. The Appellate Division affirmed so much of a judgment of the Court of Claims (S. Michael Nadel, J.), entered after a nonjury trial, as had awarded claimant consequential damages in the principal sum of \$20,900 for a temporary easement.

McCurdy v State of New York, 37 AD3d 779, modified.

HEADNOTE

Eminent Domain — Consequential Damages — Measure of Damages for Temporary Easement Encumbering Vacant Parcel's Entire Highway Frontage

In a proceeding seeking damages resulting from the partial appropriation, in connection with a highway reconstruction project, of a slice of claimant's land abutting the highway and the taking of a temporary easement that spanned the entire front of the parcel, the Court of Claims erred by awarding claimant the rental value of the entire remainder property for the easement's duration, plus statutory interest. The proper measure of damages when a condemnor takes a temporary easement that encumbers a vacant parcel's entire highway frontage is the rental value of the land encompassed within the temporary easement for so long as the easement is in effect plus, as consequential damages, the rental value of the parcel's unencumbered interior acreage for any period of time when highway access was not possible by virtue of the easement's use. Here, the condemnor met its burden and proved that highway access to claimant's parcel was obstructed for only 7 to 10 days during the 666 days the easement was in effect, and claimant failed to show that the temporary easement thwarted the highest and best use of his property.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Eminent Domain §§ 153, 257, 316, 342, 589, 755.

CARMODY-WAIT 2d, Eminent Domain §§ 108:53, 108:54, 108:59–108:61, 108:115–108:119.

NY JUR 2d, Eminent Domain §§ 185–188, 222, 223, 280, 302–310.

ANNOTATION REFERENCE

See ALR Index under Eminent Domain.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, Albany (Michael S. Buskus, Barbara D. Underwood, Andrew D. Bing and Peter H. Schiff of counsel), for appellant. Temporary easements of road frontage that result in only brief intervals of obstruction of interior acreage should be valued on the basis of rental value of the easement for its duration, plus the rental value of the interior acreage only when actual obstruction occurs. (*Village of Highland Falls v State of New York*, 44 NY2d 505; *United States v General Motors Corp.*, 323 US 373; *Spencer v State of New York*, 206 App Div 376; *Mazzeo v State of New York*, 58 Misc 2d 186; *Pomeroy v State of New York*, 18 Misc 2d 377; *Matter of County of Nassau [Minkin]*, 148 AD2d 533; *Spinner v State of New York*, 4 AD2d 987; *Great Atl. & Pac. Tea Co. v State of New York*, 22 NY2d 75; *Garfield Homes v State of New York*, 44 Misc 2d 738; *Kauffman v State of New York*, 43 AD2d 1004, 36 NY2d 745.)

Flower, Medalie & Markowitz, Bay Shore (Donald Markowitz of counsel), for respondent. The State of New York's appeal is based on a misapplication of this Court's decision in *Village of Highland Falls v State of New York* (44 NY2d 505 [1978]). (*Matter of Kadlec v State of New York*, 264 AD2d 420; *Spinner v State of New York*, 4 AD2d 987; *Morton v State of New York*, 8 AD2d 49, 6 NY2d 993.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to decide the proper measure of damages when a condemnor takes a temporary easement that encumbers a vacant parcel's entire highway frontage. We hold that damages in this case should be awarded in line with the formula set out in *Village of Highland Falls v State of New York* (44 NY2d 505 [1978])—i.e., the rental value of the land encompassed within the temporary easement for so long as the easement is in effect plus, as consequential damages, the rental value of the parcel's unencumbered interior acreage for any period of time when highway access was not possible by virtue of

the easement's use. A condemnee is entitled to consequential damages comprising the rental value of the parcel's unencumbered interior acreage for the easement's duration only if the condemnor does not meet its burden of proving the interval of actual obstruction, or the condemnee establishes that the mere existence of the temporary easement did, in fact, impede sale or development of the property for its highest and best use. Here, the condemnor, the State of New York, met its burden, while claimant Brian R. McCurdy, the condemnee, did not show that the temporary easement thwarted the highest and best use of his property. The award must therefore be vacated, and, upon remittal, the Court of Claims should calculate consequential damages and interest in conformity with our decision in *Village of Highland Falls*.

I.

In 1980, claimant purchased a vacant, unimproved parcel of land in the Town of Islip. The parcel, comprising 10,888 square feet (0.25 acres) and shaped like a parallelogram, is 150 feet deep with 75 feet of frontage on the north side of the Montauk Highway (State Route 27A), a heavily traveled four-lane east/west thoroughfare. The property is a cleared, level, grassy plot at road grade, and is zoned for residential use; it neighbors a comparably sized and shaped parcel located on the corner of the Montauk Highway and Pease Lane, a north/south road. Claimant is a dentist whose office is located in a two-story wood frame structure on this adjoining parcel.

In April 1999, the State of New York, in connection with a highway reconstruction project, permanently appropriated a 71-square-foot slice of claimant's land abutting the Montauk Highway. This slice, which was about 2.5 feet deep at the southeastern corner of claimant's parcel, tapered to meet the property line midway along its border with the highway. For grading purposes, the State also acquired a temporary easement over a 679-square-foot strip of land that spanned the entire front of the parcel to a depth of roughly 10 feet. The temporary easement read as follows:

“TEMPORARY EASEMENT FOR GRADING

“A temporary easement to be exercised in, on and over the property above delineated for the purpose of grading for use and exercisable during the construction of the highway and terminating upon

approval of the completed work, unless sooner terminated or deemed no longer necessary for highway purposes and released by the Commissioner of Transportation. . . .

“RESERVING, however, to the owner of any right, title, or interest in and to the property mapped above and such owner’s successors or assigns, the right of using said property and such use shall not be further limited or restricted under this easement beyond that which is necessary to effectuate its purposes for, and as established by, the construction, and as so constructed, the maintenance, of the herein identified project.”

These permanent and temporary takings allowed the State to repave the highway; install concrete curbing, a sidewalk, a driveway apron and a decorative brick utility strip; and relocate a fire hydrant.

Claimant timely commenced a proceeding in the Court of Claims to seek damages resulting from the partial appropriation and the taking of the temporary easement. At trial, the parties stipulated that the damages for the permanent taking in fee amounted to \$850; the land value of the property both before and after the appropriation was \$8.75 per square foot; the vesting date for both the taking in fee and the temporary easement was April 7, 1999; the temporary easement terminated on February 1, 2001; and claimant owned the parcel on the vesting and expiration dates. They disputed only how to calculate consequential damages for the temporary easement. Claimant contended that, in light of the Appellate Division’s decision in *Matter of Kadlec v State of New York* (264 AD2d 420 [2d Dept 1999]), which involved an identically worded temporary easement encumbering a vacant parcel’s entire highway frontage, the State was required to pay the rental value for the whole parcel for the full period of time the easement was in effect, regardless of whether or for how long access to the Montauk Highway was actually obstructed; the State countered that it was obligated to award consequential damages for the parcel’s unencumbered interior acreage only for those days when access was, in fact, blocked.

Claimant’s appraiser testified that the highest and best use of the property was to develop it “as a single tenant medical office building which would be in character with the surrounding properties” because “[a]s other parcels have been rezoned,

there's been a transition in the neighborhood from residen[ces] to GST zoning which would permit offices": there was a hospital nearby and "many of the properties along Montauk Highway for a half a mile east and west [had been] improved with converted homes and one-story office and two-story office buildings, attended by medical uses." Claimant's appraiser opined that the Town would likely grant a request for the necessary rezoning; however, so long as the State's temporary easement was in place "a developer would not be interested in developing [the subject] property . . . because they [had] absolutely no way to enter into [it]" since "[t]here was no access via any other means . . . than [the] Montauk Highway." While development of the parcel as a single-tenant medical office building would concededly also require the Town to approve a variance from the zoning ordinance's minimum yard width (100 feet), claimant's appraiser offered no opinion as to the likelihood of this happening; when pressed, she acknowledged that her report cited no examples where the owner of a parcel had obtained relief from both the relevant zoning and yard-width requirements. She testified that 12% was the proper rate of return on the property's land value for purposes of calculating rental value.

The State called an employee of the New York State Department of Transportation (DOT), who testified that, upon searching DOT's records from 1983 forward, she found no highway work permit authorizing claimant to construct an entrance connecting the parcel to the Montauk Highway (*see* Highway Law § 52 [generally requiring a permit prior to construction or improvement within a state highway right-of-way]). In addition, the veteran DOT engineer in charge of the project testified that claimant's parcel had been, in fact, physically accessible from the Montauk Highway while the temporary easement was in effect except for a period of 7 to 10 days. Further, claimant could have obtained access upon request during those 7 to 10 days since DOT would have accommodated him "[b]y staging construction so that only a portion of the frontage of the property [was] encumbered at any one time." Finally, the DOT engineer testified that equipment and materials were never stored on the temporary easement because this would have created "a safety hazard," and the contractor maintained a staging area elsewhere.

Next, portions of claimant's deposition testimony were read into the record. These excerpts established that claimant did

not own the property on the corner of Pease Lane and the Montauk Highway where his dental office was located; that “[d]uring the entire time . . . [he] owned” the subject parcel, there was never a structure on it; that “in conjunction with [his] dental office[]” cars were “sometimes” parked on the parcel, but these cars “enter[ed] off Pease Lane” rather than from the Montauk Highway; that he had never “applied to any governmental agency for a permit to develop [the parcel]”; and that, prior to the taking and the acquisition of the temporary easement, he did not “make it a custom and habit to drive onto the [parcel] from [the] Montauk Highway.”

Finally, the State called an appraiser to rebut claimant’s appraiser’s testimony. He pointed out that the temporary easement expressly reserved to claimant the right to use the property except as necessary for DOT to construct and maintain the project. In addition, he noted that there was no evidence of denial of access, or of any use of the easement other than for grading. Based upon these considerations, the State’s appraiser opined that claimant’s remainder property was available for development during the temporary easement’s term. In response to questioning by the trial court, however, he conceded that “[i]f there was a denial of access during the construction period, then . . . that would negatively impact the property.”

In its subsequent decision, the Court of Claims accepted claimant’s theory of consequential damages, and so awarded him the rental value of the entire remainder property for the easement’s duration, plus statutory interest. The trial court’s decision was based entirely on *Kadlec*, which he interpreted as affording no leeway to favor the State’s “fact-based analysis (i.e. Claimant never attempted to develop the subject property or apply for a highway work permit) or the opinion of its expert that the temporary easement did not prevent Claimant from accessing the subject.” To the contrary, “where as here—and as in *Kadlec*—a subject’s only access to a public roadway is compromised by an easement running the entire length of that frontage, the Court *must* find that access is denied and development impaired, resulting in a de facto taking” (emphasis added). The Appellate Division subsequently affirmed on the rationale that “[t]he record supports . . . that the temporary easement . . . rendered the claimant’s remaining property inaccessible and, thus, unavailable for development for the period of time that the temporary easement was in existence” (*McCurdy v State of New York*, 37 AD3d 779, 781 [2d Dept 2007]). We subsequently granted the State leave to appeal.

II.

In *Village of Highland Falls*, the Court of Claims awarded the rental value of the claimant's property for the entire duration of the temporary easement (the precise measure adopted by the lower courts in this case), but the Appellate Division modified and reduced the award to the rental value of the claimant's property for the three days in which its use was actually interrupted by the State's easement (the precise measure of damages urged by the State here). The property in question was improved by a municipal water treatment facility, which occupied a portion of the tract subject to the temporary easement.

We affirmed the Appellate Division, stating that

“[t]he general rule is that property taken in eminent domain is to be valued prospectively from the time of appropriation . . .

“When a temporary easement, contemplating only incidental and contingent use, is appropriated, rather than a permanent interest, however, it may be somewhat more acceptable to permit the use of hindsight in valuing the interest taken. *If the condemnation award is made after the easement has expired, it makes practical sense to compute the property owner's actual damages rather than indulging in speculation on the measure of damages claimant could have contemplated at the time of taking*” (44 NY2d at 508 [citations omitted and emphasis added]).

In adopting a retrospective measure of damages, we observed that “[i]t has been held by this court . . . that compensation need not be paid for the State's taking of a temporary easement when there is no actual interference with the property owner's use of his property” (44 NY2d at 507, citing *Great Atl. & Pac. Tea Co. v State of New York*, 22 NY2d 75, 87 [1968]). We found “insufficient reason for abandoning [the above] precedent” where a three-year-long temporary easement connected to highway improvements gave the State “the legal right to exercise some sort of dominion throughout the period of the easement,” but, in fact, the claimant's “operation of the water treatment facility was rarely significantly interrupted” (44 NY2d at 507, 508). Similarly, in this case (and unlike the situation in *Kadlec*), the State proved the interval of actual obstruction; i.e., it is undisputed that highway access to claimant's

parcel was obstructed for only 7 to 10 days (and the State concedes 10 days for purposes of the appeal) during the 666 days the easement was in effect (from April 7, 1999 to February 1, 2001).

We added a caveat in *Village of Highland Falls*, however, commenting that

“[n]ot to be ignored . . . although not always measurable, is the damage to a property owner caused by uncertainty regarding the condemnor’s intentions. A temporary easement that leaves the property owner under constant threat that his use of the property may be curtailed or stopped is likely to affect business or other financial decisions even if use is never interrupted in fact. The threat imposed by the condemnor’s legal right to occupy may be almost as damaging as the actual occupation of the property. Damages caused by such uncertainty, difficult as they may be to measure, should generally be compensable” (44 NY2d at 509).

Claimant implicitly relies on this dictum. He contends that the temporary easement rendered his property unmarketable and undevelopable for its highest and best use as a single-tenant medical office building because it cut off highway access for an indefinite and unspecified period of time. This argument, however, ignores the easement’s wording, which reserved to claimant a concurrent right of access. More importantly, claimant failed to show that the temporary easement interfered with the parcel’s marketability or development in more than a conjectural sense. Although claimant’s appraiser opined that claimant likely could have obtained the zoning change needed to allow for commercial development, there is no evidence that he actually took any steps to do so. In addition, claimant never applied for a highway work permit to construct an entrance connecting the parcel to the Montauk Highway, which would likewise have been some evidence that he intended to market or develop the property; nor did he apply for the yard-width variance necessary for commercial development. Indeed, claimant’s appraiser’s testimony casts doubt on whether relief might be secured from both the zoning and yard-width requirements applicable to the lot, which—unlike the examples in her report—had frontage on only one rather than two highways. In short, the record is devoid of any concrete evidence that claimant actually attempted to sell or develop—or even contemplated selling

or developing—the parcel, which was apparently only used occasionally as an auxiliary parking area for his dental office, and was entered from the adjacent parcel on the corner of Pease Lane and the Montauk Highway where his dental office was located. While prospective uncertainty might have a real effect on the sale value or development potential of vacant land, there is no evidence in this record from which a factfinder might conclude that claimant was, in fact, planning to sell or develop his property.

Accordingly, the order of the Appellate Division should be modified, with costs to the State, by remitting to the Court of Claims for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[885 NE2d 191, 855 NYS2d 427]

BYBLOS BANK EUROPE, S.A., Appellant, v SEKERBANK TURK ANONYM SYRKETI, Respondent.

Argued February 13, 2008; decided March 20, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 29, 2007. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 12 Misc 3d 792), which had (1) granted defendant's cross motion to vacate an ex parte order of attachment; and (2) denied plaintiff's motion to confirm the order of attachment. The modification consisted of dismissing the complaint and denying, as academic, that part of defendant's cross motion seeking dismissal of the action pursuant to Business Corporation Law § 1314 (b) and Banking Law § 200-b. The Appellate Division affirmed the order as modified.

Byblos Bank Europe, S.A. v Sekerbank Turk Anonym Syrketi, 40 AD3d 497, affirmed.

HEADNOTE

Judgments — Foreign Judgment — Comity

Supreme Court properly exercised its discretion under CPLR 5304 (b) (5) to deny recognition of a Belgian judgment which disregarded—and conflicted with—a previously rendered Turkish judgment. Under CPLR 5304 (b) (5), New York courts may in the exercise of discretion refuse to enforce a foreign judgment that “conflicts with another final and conclusive judgment.” The statute does not specify which, if any, of the two conflicting foreign judgments is entitled to recognition. Although the last judgment rendered generally prevails pursuant to the last-in-time rule, which is applicable in resolving conflicting sister state judgments under the Full Faith and Credit Clause of the Constitution, that rule need not be mechanically applied when inconsistent foreign country judgments exist. Here, application of the last-in-time rule was not warranted inasmuch as the last-in-time court departed from normal res judicata principles by permitting a party to relitigate the merits of an earlier judgment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judgments §§ 772, 803.

CARMODY-WAIT 2d, Judgments §§ 63:613, 63:632, 63:660–63:662.

McKINNEY's, CPLR 5304 (b).

NY JUR 2d, Enforcement and Execution of Judgments
§§ 367, 380, 381, 393.

ANNOTATION REFERENCE

Judgment of court of foreign country as entitled to enforcement or extraterritorial effect in state court. 13 ALR4th 1109.

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POINTS OF COUNSEL

DLA Piper US LLP, New York City (*Andrew L. Deutsch* and *Krista Sirola* of counsel), for appellant. I. The Appellate Division's refusal to apply the last-in-time rule to the Belgian judgment was error. (*Lynn v Lynn*, 302 NY 193; *Estin v Estin*, 296 NY 308; *Donald v J. J. White Lbr. Co.*, 68 F2d 441; *Americana Fabrics, Inc. v L & L Textiles, Inc.*, 754 F2d 1524; *Ambatellos v Foundation Co.*, 203 Misc 470; *Chenu v Board of Trustees of Police Pension Fund of City of N.Y.*, 12 AD2d 422, 11 NY2d 688; *Perkins v De Witt*, 197 Misc 369, 279 App Div 903; *Matter of Hunter*, 4 NY3d 260; *Joshua A. Becker & Assoc. v State of New York*, 79 AD2d 599; *Lazier v Westcott*, 26 NY 146.) II. The last-in-time rule applies whether or not the forum of the second judgment grants comity to foreign judgments. (*Hilton v Guyot*, 159 US 113; *Johnston v Compagnie Generale Transatlantique*, 242 NY 381; *Cowans v Ticonderoga Pulp & Paper Co.*, 219 App Div 120, 246 NY 603; *Watts v Swiss Bank Corp.*, 27 NY2d 270; *Fairchild, Arabatzis & Smith, Inc. v Prometco [Produce & Metals] Co., Ltd.*, 470 F Supp 610; *Island Territory of Curacao v Solitron Devices, Inc.*, 489 F2d 1313; *Matter of John P. v Whalen*, 54 NY2d 89; *Lenchyshyn v Pelko Elec.*, 281 AD2d 42.)

Paul, Hastings, Janofsky & Walker LLP, New York City (*George L. Graff*, *Richard C. Schoenstein* and *Asa R. Danes* of counsel), for respondent. I. The attachment was properly vacated. (*Treinies v Sunshine Mining Co.*, 308 US 66; *Adam v Saenger*, 303 US 59; *Aetna Life Ins. Co. v Tremblay*, 223 US 185; *Fairchild, Arabatzis & Smith, Inc. v Prometco [Produce & Metals] Co., Ltd.*, 470 F Supp 610; *Lynn v Lynn*, 302 NY 193; *Johnston v Compagnie Generale Transatlantique*, 242 NY 381; *Alfadda v Fenn*, 966 F Supp 1317, 159 F3d 41; *Perkins v*

De Witt, 279 App Div 903; *Ambatielos v Foundation Co.*, 203 Misc 470.) II. The New York courts lack jurisdiction over this dispute. (*J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *Simonson v International Bank*, 14 NY2d 281; *Robinson v Oceanic Steam Nav. Co.*, 112 NY 315; *Cala v De Ridder Ltda, S.A.*, 17 AD2d 729; *Gano-Moore Coal Min. Co. v Deegans Coal Co.*, 214 App Div 634; *Fidan v Austral Am. Trading Corp.*, 8 Misc 2d 598; *Rzeszotarski v Co-operative Assn. Kasa Polska*, 139 Misc 400; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65; *Keene Corp. v United States*, 508 US 200; *Mollan v Torrance*, 9 Wheat [22 US] 537.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff Byblos Bank Europe, S.A. is a Belgian bank and defendant Sekerbank Turk Anonym Syrketi is a Turkish bank. According to Byblos, in 1988, it issued two \$2.5 million loans to Sekerbank. The loans were apparently obtained by a Sekerbank employee who issued a fraudulent loan guaranty to Byblos and ultimately embezzled the money. After initially paying some interest due on the first transfer, Sekerbank declined to make further payments.

Byblos commenced attachment proceedings and actions for breach of the loan agreements in Belgium, Turkey and Germany, countries where it believed Sekerbank held assets. In 1992, the Turkish court of first instance entered judgment dismissing the action on the merits, and that judgment was upheld on appeal in 1994. Thereafter, Sekerbank sought recognition of the Turkish judgment dismissing Byblos's claims in the German and Belgian proceedings. In March 1996, the German court of first instance granted Sekerbank's application for recognition of the Turkish judgment, and that judgment was affirmed on appeal the following year.

In August 1996, the Belgian court of first instance (the Tribunal de Commerce de Bruxelles) concluded that Byblos's claims were barred by res judicata and dismissed the complaint. However, on Byblos's appeal, in October 2003, the intermediate appellate court (the Cour d'Appel de Bruxelles) reversed the judgment of the Tribunal de Commerce de Bruxelles and declined to accord the Turkish judgment res judicata effect, relying on a now-repealed section of the Belgian Judicial Code which required merits review of foreign judgments before recognizing them. The Cour d'Appel concluded that the Turkish

judgment was “affected by substantial error” and, upon its own review of the facts, ruled in Byblos’s favor on the merits and entered judgment awarding Byblos \$5 million, plus interest. The Belgian high court (the Cour de Cassation de Belgique) denied Sekerbank’s petition for “cancellation” of the judgment in September 2005.

Byblos then sought to enforce the Belgian judgment in New York based on its belief that Sekerbank had assets in this state. In March 2006, Byblos moved *ex parte* for an order of attachment pursuant to CPLR 6201 (5) seeking to attach up to \$12,140,518.32 of Sekerbank’s assets, the principal and accumulated interest of the Belgian judgment as of January 2006. Supreme Court issued the attachment order and directed Byblos to move to confirm the attachment within five days after the levy. Byblos also commenced an action for summary judgment in lieu of complaint pursuant to CPLR 3213 seeking recognition and enforcement of the judgment.

Byblos timely moved for an order confirming the attachment (*see* CPLR 6211 [b]), arguing that it was probable that it would succeed on the merits of its cause of action because the Belgian judgment was entitled to recognition under CPLR article 53 pursuant to the “last-in-time” rule, i.e., among conflicting sister *state* judgments, the last judgment rendered generally prevails. Sekerbank cross-moved to vacate the attachment (*see* CPLR 6223). It asserted, among other things, that Supreme Court should exercise its discretion under CPLR 5304 (b) (5) to deny recognition of the Belgian judgment because it conflicted with the prior Turkish judgment. Sekerbank also argued that the last-in-time rule need not be applied in the context of conflicting foreign country judgments.

Supreme Court denied Byblos’s motion to confirm the attachment and granted Sekerbank’s cross motion. After concluding that it was not required to recognize the Belgian judgment pursuant to the last-in-time rule, the court, in the exercise of its discretion under CPLR 5304 (b) (5), declined to recognize the judgment because it conflicted with the earlier Turkish judgment.

The Appellate Division modified to the extent of dismissing the CPLR 3213 complaint and otherwise affirmed. The court rejected Byblos’s primary contention that application of the last-in-time rule was required, concluding that the rule “lacks

any justification where, as here, the foreign country court that rendered the last judgment [did] not give the party against whom enforcement is sought any kind of opportunity to argue the binding effect of the earlier judgment” (40 AD3d 497, 499 [1st Dept 2007]). The court further held that Sekerbank established its entitlement to nonenforcement of the Belgian judgment under CPLR 5304 (b) “by showing that the . . . judgment was issued in contravention of the principles of comity pursuant to a statute that has since been repealed and superseded by a statute directly to the contrary” (*id.*).

We granted Byblos leave to appeal and now affirm.

As we recently reiterated, “New York has traditionally been a generous forum in which to enforce judgments for money damages rendered by foreign courts” (*Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78, 82 [2006], quoting *CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215, 221 [2003]). New York courts have historically recognized foreign country judgments “under the doctrine of comity . . . [a]bsent some showing of fraud in the procurement of the foreign country judgment or that recognition of the judgment would do violence to some strong public policy of this State” (*id.* [internal quotation marks and citation omitted]). The doctrine of comity “refers to the spirit of cooperation in which a domestic tribunal approaches the resolution of cases touching the laws and interests of other sovereign states” (*Societe Nationale Industrielle Aerospatiale v United States Dist. Court for Southern Dist. of Iowa*, 482 US 522, 543 n 27 [1987]; see also *Hilton v Guyot*, 159 US 113, 163-164 [1895] [“‘Comity,’ in the legal sense, is neither a matter of absolute obligation, on the one hand, nor of mere courtesy and good will, upon the other. But it is the recognition which one nation allows within its territory to the legislative, executive or judicial acts of another nation, having due regard both to international duty and convenience, and to the rights of its own citizens, or of other persons who are under the protection of its laws”]).

Our State’s recognition of foreign judgments is governed by CPLR article 53, the Uniform Foreign Country Money-Judgments Recognition Act, which was enacted in 1970 “to codify and clarify existing case law on the subject and, more importantly, to promote the efficient enforcement of New York judgments abroad by assuring foreign jurisdictions that their judgments would receive streamlined enforcement here” (*CIBC Mellon Trust*, 100 NY2d at 221). This statute “applies to any

foreign country judgment which is final, conclusive and enforceable where rendered” (CPLR 5302). CPLR 5304 (a), however, makes clear that a foreign judgment is “not conclusive,” and thus not entitled to recognition, where the foreign country fails to provide impartial tribunals or due process or where the tribunal lacked personal jurisdiction over the defendant. CPLR 5304 (b) contains the discretionary grounds for refusing foreign court judgment recognition. As relevant here, CPLR 5304 (b) (5) states that “[a] foreign country judgment need not be recognized if . . . the judgment conflicts with another final and conclusive judgment.”

Here, the Belgian court judgment which Byblos seeks to enforce conflicts with an earlier Turkish judgment in Sekerbank’s favor, and a German judgment granting that judgment reciprocity. Under CPLR 5304 (b) (5), New York courts may in the exercise of discretion refuse to enforce a foreign judgment that “conflicts with another final and conclusive judgment.” It should be noted, however, that the statute does not specify which, if any, of the two conflicting foreign judgments is entitled to recognition. Rather, under CPLR 5304 (b) (5), the court may recognize the earlier judgment, the later judgment or neither of them. The last-in-time rule, applicable in resolving conflicting sister state judgments under the Full Faith and Credit Clause of the Constitution (*see Treinies v Sunshine Mining Co.*, 308 US 66, 76-78 [1939]; *Chenu v Board of Trustees of Police Pension Fund of City of N.Y.*, 12 AD2d 422 [1961], *affd* 11 NY2d 688 [1962], *cert denied* 370 US 910 [1962]), need not be mechanically applied when inconsistent foreign country judgments exist. Rigid application of the rule would conflict with the plain language of CPLR 5304 (b) (5) vesting New York courts with discretion to decide whether a foreign judgment that conflicts with another judgment is entitled to recognition.

Specifically, the last-in-time rule should not be applied where, as here, the last-in-time court departed from normal *res judicata* principles by permitting a party to relitigate the merits of an earlier judgment. In the present case, the Belgian court declined to accord recognition to an earlier Turkish judgment that had been previously recognized by a German court and in so doing departed from generally-accepted principles of *res judicata* and comity. Thus, Supreme Court properly exercised its discretion under CPLR 5304 (b) (5) to deny recognition of the Belgian

judgment, which disregarded—and conflicted with—a previously rendered Turkish judgment.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

[886 NE2d 144, 856 NYS2d 522]

APPLETON ACQUISITION, LLC, et al., Appellants, v NATIONAL HOUSING PARTNERSHIP et al., Respondents.

Argued February 12, 2008; decided March 18, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 21, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.), which had denied defendants' motion to dismiss pursuant to CPLR 3211; (2) granted the motion; and (3) dismissed the complaint.

Appleton Acquisition, LLC v National Hous. Partnership, 34 AD3d 339, affirmed.

HEADNOTES

Partnership — Limited Partnership — Challenge to Validity of Merger — Challenge on Grounds of Fraud or Illegality Must be Brought in Appraisal Proceeding

1. A limited partner seeking to challenge the merger of the limited partnership with another entity on the grounds that the transaction was premised on fraudulent or illegal acts by the general partner may not do so in an action for rescission or money damages (*see* Partnership Law § 121-1102 [d]). An objection on those grounds must be raised in an appraisal proceeding under the Partnership Law. Here, the first three causes of action sought rescission of the merger and ancillary money damages on the grounds of fraud, breach of fiduciary duty, and negligent misrepresentation, and were properly dismissed. Partnership Law § 121-1102 (d), which grants limited partners the right to receive the fair market value of their partnership interests when the limited partnership merges with another entity, expressly restricts dissenting limited partners from using an action for rescission or money damages to dispute the validity of a merger on grounds unrelated to the terms of the partnership agreement or the statutorily required notice. A dissenting limited partner may raise in the appraisal proceeding the issue of whether the general partner's alleged fraud, illegality, breach of fiduciary responsibility, or other deceitful acts resulted in the limited partner receiving less compensation than he or she should have received.

Partnership — Limited Partnership — Challenge to Validity of Merger — Challenge on Grounds of Fraud or Illegality Must be Brought in Appraisal Proceeding

2. A limited partner seeking to challenge the merger of the limited partnership with another entity on the grounds that the transaction was premised on fraudulent or illegal acts by the general partner may not do so in an action for rescission or money damages (*see* Partnership Law § 121-1102 [d]). An objection on those grounds must be raised in an appraisal proceeding under the Partnership Law. Although there is a statutory exception allowing dissenting

limited partners to use an action for rescission or money damages to rescind or attack the validity of a merger on the grounds that there was a violation of the procedures specified in a partnership agreement for effectuating a merger or that there was a failure to comply with the notice requirements of Partnership Law § 121-1102 (a), here the causes of action seeking money damages premised on allegations of the general partner's pre-merger breach of fiduciary and contractual duties under the partnership agreement were actually veiled attacks on the validity of the merger that the statute prohibits from being raised outside the context of an appraisal proceeding.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Partnership §§ 817, 896, 898, 902-906.

CARMODY-WAIT 2d, Actions and Proceedings by or Against,
or in Reference to, Partnerships and Associations §§
122:31-122:34.

McKINNEY's, Partnership Law § 121-1102 (a), (d).

NY JUR 2d, Business Relationships §§ 1890-1892, 1905.

ANNOTATION REFERENCE

See ALR Index under Limited Partnerships.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: limited /2 partner /5 merge* /s object! challeng!

POINTS OF COUNSEL

Herrick, Feinstein LLP, New York City (*Milton Mollen, John R. Goldman* and *Grant R. Cornehl*s of counsel), for appellants. I. Appellants have the common-law right to seek rescission of the merger. (*Theodore Trust U/A Dated Dec. 30, 1971 v Smadbeck*, 277 AD2d 67; *Breed v Barton*, 54 NY2d 82; *Matter of Willcox v Stern*, 18 NY2d 195; *Kavanaugh v Kavanaugh Knitting Co.*, 226 NY 185; *Eisenberg v Central Zone Prop. Corp.*, 306 NY 58; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557; *Orinoco Realty Co. v Bandler*, 233 NY 24; *Matter of Cole*, 235 NY 48; *Hechter v New York Life Ins. Co.*, 46 NY2d 34; *Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260.) II. The Appellate Division's dismissal of the entire complaint was error.

Alston & Bird LLP, New York City (*John F. Cambria* and *Craig H. Kuglar* of counsel), for respondents. I. The Appellate Division properly held that section 121-1102 (d) of the Partnership Law required dismissal of the complaint. (*People v Zinke*, 76 NY2d 8; *Ruzicka v Rager*, 305 NY 191; *Lanier v Bowdoin*,

282 NY 32; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Breed v Barton*, 54 NY2d 82; *City of New York v State of New York*, 86 NY2d 286; *Connecticut Nat. Bank v Germain*, 503 US 249; *Conroy v Aniskoff*, 507 US 511; *Tompkins v Hunter*, 149 NY 117.) II. Section 489 of the Judiciary Law also mandates dismissal of the complaint. (*Koro Co., Inc. v Bristol-Myers Co.*, 568 F Supp 280; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Banque de Gestion Privee-Sib v La Republica de Paraguay*, 787 F Supp 53.)

OPINION OF THE COURT

GRAFFEO, J.

When a limited partnership merges with another entity, Partnership Law § 121-1102 grants limited partners the right to receive the fair market value of their partnership interests. The primary issue in this case is whether the statute allows a challenge by a limited partner to be brought in an action for rescission or money damages on the grounds that the transaction was premised on fraudulent or illegal acts by the general partner. We hold that a limited partner who objects to a merger on these grounds must raise them in an appraisal proceeding under the Partnership Law.

I

Beautiful Village Associates Redevelopment Company is a limited partnership created in 1978 for the purpose of acquiring and managing residential real estate. The sole general partner was defendant National Housing Partnership (NHP). NHP sold 33 units of limited partnership interest in Beautiful Village to 26 individuals (plaintiffs Limited Partners). Each limited partnership unit cost approximately \$78,000.

Once the formation of Beautiful Village was complete, it purchased an apartment complex in Manhattan. Beautiful Village enrolled the building in the federal Department of Housing and Urban Development's (HUD) Section 8 low-income, affordable housing program and, as a result, received federal financing. By structuring the transaction in this manner, Beautiful Village was able to provide tax benefits to its limited partners.

The rents charged to tenants were governed by a schedule approved by HUD, which subsidized the difference between the rental rate specified in the contract and what a tenant could afford to pay. The contract between Beautiful Village and HUD

was set to expire in 2000, at which time Beautiful Village could renew the contract or opt out of the Section 8 program. In June 2000, Beautiful Village renewed its contract with the federal government and the apartment complex continued to provide Section 8 housing.

Early the next year, Beautiful Village obtained an unsecured line of credit from defendant AIMCO Properties, LP, which owned NHP and was a subsidiary of defendant Apartment Investment and Management Company (AIMCO). Unable to meet its payments, by the summer of 2002 Beautiful Village owed AIMCO Properties over \$1.5 million.

Rather than foreclosing on the apartment complex, NHP and its parent companies in August 2002 proposed that Beautiful Village be merged with a new limited partnership owned by AIMCO Properties. Each of the Limited Partners was offered \$100 or 2.5 common units of AIMCO Properties (each unit being worth about \$42) for their partnership shares.¹ A proxy statement was sent to the Limited Partners that disclosed the conflict of interest between NHP and AIMCO Properties, and informed the Limited Partners that rejection of the merger would most likely cause AIMCO Properties to foreclose on the property, resulting in significant, adverse tax consequences for the Limited Partners. The proxy included copies of relevant New York statutes relating to the partnership agreement and proposed merger, including the right to institute a judicial appraisal proceeding to determine the fair market value of the limited partnership interests. None of the Limited Partners chose to exercise that right. In September 2002, the merger was approved and the Limited Partners' interests in Beautiful Village were extinguished.

In 2005, plaintiff Appleton Acquisitions, LLC—a firm not previously involved in the Beautiful Village transactions—contacted the former Limited Partners and expressed its interest in purchasing their equitable or partnership shares, together with any legal claims they had against AIMCO Properties, the partnership and the partnership's agents. Appleton offered a nonrefundable deposit of \$2,000 and, if it ultimately chose to buy the shares, each Limited Partner would receive an additional \$18,000. All of the Limited Partners accepted Appleton's offer.

1. Although not relevant to this appeal, some classes of limited partners were not given this choice and had to accept the cash offer.

Appleton then initiated this action against NHP, AIMCO Properties and AIMCO.² The first three causes of action sought rescission of the Beautiful Village merger and ancillary money damages on the grounds of fraud, breach of fiduciary duty and negligent misrepresentation. In connection with these three causes of action, Appleton claimed that defendants' proxy statement included intentionally false or misleading statements for the purpose of inducing the Limited Partners to sell their interests. Appleton further alleged that NHP failed to properly manage the affairs of the partnership and caused the value of the limited partnership shares to be inadequate because it neglected to participate in the federal Mark-Up-To-Market program when the contract with HUD was renewed in 2000.³ These allegations were also used to support the fourth and fifth causes of action, which sought monetary damages for breach of contract and aiding a breach of fiduciary duty.

Defendants moved to dismiss the complaint, in part claiming that a limited partner's exclusive remedy for challenging the validity of a merger was through a statutory appraisal proceeding under Partnership Law § 121-1102. Supreme Court denied the motion. The Appellate Division reversed, concluding that because the Limited Partners did not challenge the merger in an appraisal proceeding, Partnership Law § 121-1102 (d) barred any action by limited partners seeking to attack the validity of

2. A prior federal action that Appleton filed against NHP was voluntarily withdrawn before commencement of the state case.

3. The Mark-Up-To-Market program was created in June 1999 as an emergency initiative promulgated by HUD. Its purpose was to preserve affordable housing in certain residential real estate markets where rent subsidies resulted in below market rental values and, thus, it was financially attractive for owners to opt-out of the Section 8 program and convert the properties to private, market-rate operations (see Report of US Dept of Hous & Urban Dev accompanying Notice H 99-15, at 2; US Dept of Hous & Urban Dev, Off of Multifamily Hous, Section 8 Renewal Policy, *Guidance for the Renewal of Project-Based Section 8 Contracts* § 3-1 [A]). For properties that met specific criteria, the Mark-Up-To-Market program provided additional subsidies that raised the total rent collected by the owner to prevailing market rates while ensuring that the properties continued to provide Section 8 affordable housing for at least five years. Congress made the program permanent in late 1999 (see Pub L 106-74, tit V, § 531, 113 US Stat 1109 [106th Cong, 1st Sess, Oct. 20, 1999], amending Multifamily Assisted Housing Reform and Affordability Act of 1997 § 524 [42 USC § 1437f Note]). With respect to the case before us, we will presume that Beautiful Village would have been eligible to participate in the Mark-Up-To-Market program when it extended its contract with HUD in 2000.

the merger, including those premised on allegations of fraud or illegality. We granted leave to appeal and now affirm.

II

When a limited partnership merges with another entity, a limited partner who objects to the merger is “entitled to receive in cash . . . the fair value of his interest in the limited partnership” (Partnership Law § 121-1102 [c]). If the value of the limited partner’s interest cannot be agreed upon, the limited partner is entitled to initiate a special appraisal proceeding under Partnership Law § 121-1105 (b).⁴ Aside from the ability to request a judicial appraisal, Partnership Law § 121-1102 (d) specifies that a limited partner

“shall not have any right at law or in equity under this article to attack the validity of the merger . . . , or to have the merger . . . set aside or rescinded, except in an action . . . [to contest] compliance with the provisions of the partnership agreement or [the notice provisions of section 121-1102 (a)].”

This language reveals a directive by the Legislature to make an appraisal proceeding the “sole remedy of a limited partner to attack the validity of a merger” (Rich, Practice Commentaries, McKinney’s Cons Laws of NY, Book 38, Partnership Law art 8-A, 2008 Pocket Part, at 61).

Faced with this declaration of legislative intent, plaintiffs ask us to engraft a common-law exception onto Partnership Law § 121-1102 (d) for situations where a merger is alleged to be permeated with fraud or illegality. Plaintiffs note that the common law allowed shareholders of corporations to initiate a civil action based on these grounds and they urge that equity dictates that we recognize a similar cause of action for rescission by a limited partner.

In the common law, it has long been established that a corporate shareholder could challenge a merger on the grounds that it was induced by fraudulent or illegal activities (*see e.g. Breed v Barton*, 54 NY2d 82, 87 [1981]; *Eisenberg v Central Zone Prop. Corp.*, 306 NY 58, 68-69 [1953]; *Kavanaugh v Kavanaugh Knitting Co.*, 226 NY 185, 196 [1919]). When the Legislature enacted the Business Corporation Law, it decreed that a shareholder who dissented from a corporate merger trans-

4. The procedures utilized in these proceedings are delineated in Business Corporation Law § 623 (h)-(k) (*see* Partnership Law § 121-1105 [b]).

action could initiate an appraisal proceeding to determine the fair market value of the shareholder's interest in the corporation (*see* Business Corporation Law § 623 [h] [2]). Significantly, the Legislature also codified the common-law exception for corporate mergers premised on fraud or illegality and expressly recognized that a dissenting shareholder may “bring or maintain an appropriate action to obtain relief on the ground that [the merger] will be or is *unlawful or fraudulent* as to him” (Business Corporation Law § 623 [k] [emphasis added]; *see Breed v Barton*, 54 NY2d at 87; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557, 567-568 [1984]).

[1] In our view, a comparison of the text of Business Corporation Law § 623 (k) and Partnership Law § 121-1102 (d) is fatal to plaintiffs' argument. Both statutes share a common feature: the availability of an appraisal proceeding to determine the value of the interest held by a dissenting shareholder or limited partner. Yet the critical distinction is that section 623 (k) explicitly incorporates a common-law fraud or illegality exception to the exclusivity of the appraisal remedy, whereas Partnership Law § 121-1102 (d) does not. The Assembly sponsor explained that the Partnership Law was amended to promote the twin objectives of granting limited partners “appraisal rights similar to those shareholders [are given] under the Business Corporation Law” while also giving “greater assurance to the general partners as to the validity” and, thus, finality of a merger or consolidation (July 17, 1990 Letter from Assembly Sponsor, Bill Jacket, L 1990, ch 950, at 8). In light of the fact that section 623 (k) of the Business Corporation Law had been enacted many years earlier, the absence of the fraud or illegality exception in section 121-1102 (d) can be viewed only as an intentional legislative omission. Consequently, in the absence of a violation of the partnership agreement or inadequate notice of the proposed merger (*see* Partnership Law § 121-1102 [d]), the statute prohibits limited partners from relying on any form of relief other than a judicial appraisal—an approach that furthers the Legislature's interest in finality of mergers.⁵ We therefore

5. This conclusion is buttressed by our recent decision in *Tzolis v Wolff* (10 NY3d 100 [2008]). In that case, we held that members of a limited liability company may bring derivative suits on the LLC's behalf because they are not prohibited from doing so by the relevant statutory provisions, which are silent on the matter. Here, in contrast, section 121-1102 (d) expressly restricts dissenting limited partners from using an action for rescission or money damages

(n. cont'd)

conclude that the first three causes of action were properly dismissed.

We nevertheless recognize that fraud or illegality perpetrated by a general partner against limited partners is a serious concern requiring redress. The Legislature has designed the Partnership Law so that the statutory appraisal proceeding is the appropriate means of challenging fraudulent or illegal conduct by a general partner. The appraisal procedures for limited partnerships are incorporated from Business Corporation Law § 623 (*see* Partnership Law § 121-1105 [b]). The purpose of an appraisal proceeding is to assist the court in determining “the fair value [of a limited partner’s interest] as of the close of business on the day prior to the [merger’s] authorization date” (Business Corporation Law § 623 [h] [4]). In calculating that figure, a court is to consider “the nature of the transaction giving rise to the [limited partner’s] right to receive payment . . . and *all other relevant factors*” (*id.* [emphasis added]).⁶ This broad language allows a dissenting limited partner to raise the issue of fraud, illegality, breach of fiduciary responsibility or other deceitful acts by the general partner that may have resulted in less compensation than the limited partner should have received (*see generally Fleming v International Pizza Supply Corp.*, 676 NE2d 1051, 1057-1058 [Ind 1997]; *Steinberg v Amplica, Inc.*, 42 Cal 3d 1198, 1209, 729 P2d 683, 690 [1986]). Ultimately, we are left with a legislative recognition that limited partners are entitled to be compensated for the fair value of their interests in a partnership—and general partners may be held accountable for their fraudulent, deceptive or illegal acts—via an appraisal proceeding, not a civil action that seeks to set aside or otherwise attack a merger.

to dispute the validity of a merger on grounds unrelated to the terms of the partnership agreement or the statutorily required notice.

6. The statute also requires a court to consider the “effects on the [partnership] and its [partners], [and] the concepts and methods then customary in the relevant securities and financial markets for determining fair value of [interests in a partnership] engaging in a similar transaction under comparable circumstances” (Business Corporation Law § 623 [h] [4]). Notably, pre-trial disclosure may be sought by the parties and authorized by the court, including “disclosure of any expert’s reports relating to the fair value of the shares whether or not intended for use at the trial . . . and notwithstanding subdivision (d) of [CPLR] 3101” (*id.*). Given the scope of subdivision (h) (4), it is conceivable that the Limited Partners could have utilized an expert appraiser to establish that the failure to participate in the Mark-Up-To-Market program negatively affected the valuation of their shares in Beautiful Village.

III

[2] Appleton and the Limited Partners alternatively maintain, and our dissenting colleagues accept, that the fourth and fifth causes of action seeking money damages should not have been dismissed under section 121-1102 (d) because they were premised on allegations of pre-merger breach of fiduciary and contractual duties stemming from the mismanagement of Beautiful Village. The statutory exception to the exclusivity of the appraisal proceeding is limited to civil actions that challenge a merger on the grounds that it was not effectuated in compliance with the terms of the partnership agreement or the notice requirements of section 121-1102 (a) (*see* Partnership Law § 121-1102 [d]). The dissent suggests that limited partners can avail themselves of this exception by simply alleging that a general partner breached its obligations under the partnership agreement by engaging in fraudulent conduct in connection with a merger. We do not think the Legislature intended such a result for two reasons.

First, general partners always have fiduciary responsibilities to limited partners (*see e.g. Lichtyger v Franchard Corp.*, 18 NY2d 528, 536-537 [1966]) and any fraud by a general partner necessarily constitutes a violation of that duty. Plaintiffs would allow limited partners to circumvent the appraisal process merely by pleading that the general partner had been involved in fraudulent activities and that such conduct violated the partnership agreement. In our view, this would effectively nullify the Legislature's intent to impose restrictions on actions "at law or in equity . . . to attack the validity of the merger . . . or to have the merger or consolidation set aside or rescinded" (Partnership Law § 121-1102 [d]).

Second, and relatedly, the dissent incorporates the common-law fraud or illegality exception from Business Corporation Law § 623 (k) into Partnership Law § 121-1102 (d) by permitting fraud or illegality to be pleaded as a breach of the partnership agreement. Yet the dissent acknowledges that the plain language of section 121-1102 (d) does not codify the common-law corporate exception and instead prohibits allegations of this type—which are the basis of the first three causes of action—from being asserted in a cause of action for rescission of a merger. Under this view, the application of section 121-1102 (d) turns on the type of relief sought, a concept without support in light of the broad statutory language that prohibits "any" legal or equitable challenges to the validity of a merger, including ac-

tions for money damages. We conclude that the exception to section 121-1102 (d) pertains only to civil actions that seek to rescind or attack the validity of a merger on the grounds that there was a violation of the procedures specified in a partnership agreement for effectuating a merger or that there was a failure to comply with the notice requirements of subdivision (a) of the statute.

Close scrutiny of the allegations in the fourth and fifth causes of action discloses that plaintiffs focus on challenging the terms of the merger, the ultimate value of the Limited Partners' interests and the amount of compensation the Limited Partners received when the merger was approved—issues the Legislature has decreed must be addressed in an appraisal proceeding. Indeed, only one allegation in the complaint is arguably unrelated to the merger itself—defendants' failure to participate in the Mark-Up-To-Market program when the HUD contract was renewed in 2000. Significantly, however, this claim is used by plaintiffs to support their theory that they suffered a financial loss because defendants misrepresented “the valuation of the Limited Partners' interests in the Partnership[]” and “fail[ed] to advise the Limited Partners that the offering price for Units of Partnership in the Merger was inadequate and unfair.” Hence, the Limited Partners allege that they were induced to accept an unfair price for their interests.

Acceptance of the Limited Partners' argument would allow them to bypass the appraisal process even though they are asserting that the compensation they received for their shares was inadequate. Although the fourth and fifth causes of action do not directly ask to rescind the merger, it is readily apparent that the claims are nevertheless veiled attacks on the validity of the merger—the propriety of the statements purportedly made by defendants and the adequacy of the compensation offered for approval of the merger—that section 121-1102 (d) prohibits from being raised outside the context of an appraisal proceeding. The fourth and fifth causes of action were therefore properly dismissed.⁷

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting in part). I agree with the majority

7. In light of our determination, defendants' alternative basis for an affirmative (which was not addressed by the Appellate Division) is academic.

that plaintiffs' first three causes of action were properly dismissed. Because, however, Partnership Law § 121-1102 (d) only prohibits a limited partner from attacking the validity or seeking to set aside or rescind a merger or consolidation, and specifically exempts "an action or contest with respect to compliance with the provisions of the partnership agreement," I believe a common-law action for damages under a theory of breach of contract and aiding and abetting such breach would lie. I, therefore, disagree and respectfully dissent as to the dismissal of plaintiffs' fourth and fifth causes of action, as they do not directly attack the merger as such.

It is well established that statutory interpretation begins with the plain language of the statute. "As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). We have always preferred a literal reading and look to the unambiguous language of the statute for guidance as to what the Legislature intended. Partnership Law § 121-1102 (d) provides that:

"[a] limited partner of a constituent limited partnership who has a right under this article to demand payment for his partnership interest shall not have any right at law or in equity under this article to attack the validity of the merger or consolidation, or to have the merger or consolidation set aside or rescinded, except in an action or contest with respect to compliance with the provisions of the partnership agreement or [the notice provisions of] subdivision (a) of this section."

Nowhere does the text of the statute expressly prohibit the availability of the common-law right of a limited partner to seek damages as a result of a breach of contract premised on a general partner's alleged violation of a partnership agreement and the aiding and abetting of such breach by others. Neither does there exist a clear and specific legislative intent to abrogate the common-law remedy of breach of contract (see *Tzolis v Wolff*, 10 NY3d 100, 102 [2008]; *Hechter v New York Life Ins. Co.*, 46 NY2d 34, 38-39 [1978]). In fact, there exists no legislative history that supports defendants' and the majority's view that the Legislature purposefully intended to make appraisal rights the exclusive remedy for aggrieved limited partners. The statute is very specific that a limited partner has no right to attack the

validity of a merger and is relegated to exercising dissenter's appraisal rights, but it does not preclude a common-law action for failure to comply with provisions of the partnership agreement—a breach of contract claim.

I respectfully disagree with the majority that, by allowing the breach of contract actions to proceed, the limited partners will be allowed to “bypass the appraisal process” (majority op at 259) and that the claims are “veiled attacks on the validity of the merger” (majority op at 259). The complaint is simply an allegation asserting that National Housing Partnership (NHP) breached its contractual duty under the partnership agreement and that as a result of the alleged breach the limited partners suffered damages. Such a theory of liability does not “attack the validity of the merger or consolidation” or seek “to have the merger or consolidation set aside or rescinded,” nor does it incorporate the common-law fraud or illegality exception from Business Corporation Law § 623 (k) as suggested by the majority (majority op at 258). The Legislature surely did not intend section 121-1102 to insulate a general partner from an action for damages resulting from a breach of contract merely because the merger or consolidation was successfully completed.

It is well settled that a court, when deciding whether to grant a motion to dismiss pursuant to CPLR 3211, must take the allegations asserted within a plaintiff's complaint as true, and accord plaintiff the benefit of every possible inference, determining only whether the facts as alleged fit within any cognizable legal theory. Here, plaintiffs assert that NHP not only breached its fiduciary duty owed to the limited partners under the partnership agreement, but also specifically breached the partnership agreement prior to the merger by its chronic mismanagement of the property. Plaintiffs also assert that NHP's failure to take advantage of readily available federal subsidies both decreased the value of the partnership itself and caused a financial loss to the partnership from the loss of additional rental income. Plaintiffs further assert that the AIMCO defendants aided and abetted these breaches by allowing its general partner to engage in transactions not reasonably competitive with those that could have been obtained from unaffiliated persons. Therefore, plaintiffs' fourth cause of action seeking recovery for damages, including loss of income, incurred as a result of NHP's alleged breach of contract and of its fiduciary duties under the

partnership agreement is cognizable as is the fifth cause of action brought against the AIMCO defendants for allegedly aiding and abetting the breach, as both causes of action fall within the exception of section 121-1102.

Recently, in *Tzolis v Wolff* (10 NY3d 100 [2008]), we held that a limited liability company (LLC) member had the right to assert a derivative cause of action on behalf of the LLC under common law, despite the fact that the legislative history could not conclusively establish why the Legislature omitted text from the LLC statute that would specifically authorize LLC members to bring a derivative suit.

We held in *Tzolis* “that members of a limited liability company (LLC) may bring derivative suits on the LLC’s behalf, even though there are no provisions governing such suits in the Limited Liability Company Law” (*Tzolis* at 102). Here, we have a statute prohibiting a limited partner, who had the right under Partnership Law § 121-1102 (d) to demand payment for its partnership interest, from seeking redress. This is so because if the limited partner fails to exercise appraisal rights, it loses its right to either attack the validity of or rescind the merger or consolidation. Nowhere does Partnership Law § 121-1102 (d) likewise prohibit a plaintiff from asserting a claim for damages under a breach of contract theory.

“To hold that there is no remedy when corporate fiduciaries use corporate assets to enrich themselves was unacceptable in 1742 and in 1832, and it is still unacceptable today” (*Tzolis* at 105).^{*} The rule proposed by the defendants and adopted by the majority allows a merger transaction, in the limited partnership context, to become in effect a general release for a contractual claim for damages by a limited partner against a general partner, regardless of whether the damages arose pre- or post-merger. It relegates the aggrieved limited partner to asserting its rights by way of an appraisal proceeding, a remedy that is not always adequate and certainly would not be adequate here.

^{*} Indeed, Chief Justice John Marshall wrote,

“[i]f, on tracing the right to contract, and the obligations created by contract, to their source, we find them to exist anterior to, and independent of society, we may reasonably conclude that those original and pre-existing principles are, like many other natural rights, brought with man into society; and, although they may be controlled, are not given by human legislation” (*Ogden v Saunders*, 12 Wheat [25 US] 213, 345 [1827]).

Therefore, I would modify the order of the Appellate Division to reinstate plaintiffs' fourth and fifth causes of action.

Judges READ, SMITH and PIGOTT concur with Judge GRAFFEO; Judge CIPARICK dissents in part and votes to reinstate the fourth and fifth causes of action in a separate opinion in which Chief Judge KAYE and Judge JONES concur.

Order affirmed, with costs.

[885 NE2d 881, 856 NYS2d 28]

In the Matter of 9TH & 10TH STREET L.L.C., Appellant, v BOARD OF STANDARDS AND APPEALS OF THE CITY OF NEW YORK, Appellant.

Argued February 13, 2008; decided March 25, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 29, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, New York County (Michael D. Stallman, J.; op 12 Misc 3d 1183[A], 2006 NY Slip Op 51392[U]), entered in a proceeding pursuant to CPLR article 78, which had denied the petition and dismissed the proceeding; (2) granted the petition to the extent of annulling respondent's determination upholding an objection of the Department of Buildings to petitioner's proposed building; and (3) remanded the matter for further administrative action.

Matter of 9th & 10th St. L.L.C. v Board of Stds. & Appeals of City of N.Y., 43 AD3d 36, reversed.

HEADNOTE

Municipal Corporations — Zoning — Building Permit

It was not arbitrary and capricious to deny petitioner's application for a building permit to construct a dormitory on the ground that petitioner had not shown that it could actually use the building as a dormitory. If the proposed structure turned out to be an ordinary apartment building, it would violate both the deed and the zoning laws, and petitioner was unable to show an "institutional nexus"—a connection with an educational institution sufficient to persuade the Department of Buildings that the building, when built, really would be a dormitory. Although the mere possibility of a future illegal use is not an adequate reason for withholding a building permit, where, as here, municipal authorities reasonably fear that the legal use proposed for a building will prove impracticable, it is not improper to insist on a showing that the applicant can actually do what it says it will do.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 344, 642, 643, 646.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:1451, 145:1488.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 48–50.

NEW YORK REAL PROPERTY SERVICE §§ 48:10, 48:34.

ANNOTATION REFERENCE

See ALR Index under Building Permit; Dormitories; Zoning.

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Query: building /2 permit /p dorm! & apartment

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Stephen J. McGrath, Virginia Waters and Cheryl Payer* of counsel), for appellant. The Appellate Division erred in reversing Supreme Court, because the Board of Standards and Appeals' determination sustaining the Department of Buildings is rational and should be upheld. (*Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *People ex rel. Fordham Manor Refm. Church v Walsh*, 244 NY 280; *Matter of SoHo Alliance v New York City Bd. of Stds. & Appeals*, 264 AD2d 59, 95 NY2d 437; *Human Dev. Servs. of Port Chester v Zoning Bd. of Appeals of Vil. of Port Chester*, 110 AD2d 135, 67 NY2d 702; *Matter of Fuhst v Foley*, 45 NY2d 441; *Matter of Newman v Zoning Bd. of Appeals of Town of Yorktown*, 121 AD2d 543, 68 NY2d 610; *Matter of Marasco v Luney*, 99 AD2d 492, 63 NY2d 605; *Matter of Paisley Dev. Corp. v Zoning Bd. of Appeals of Town of Milton*, 58 AD2d 705; *Matter of Cowan v Kern*, 41 NY2d 591; *Conley v Town of Brookhaven Zoning Bd. of Appeals*, 40 NY2d 309.)

Anderson Kill & Olick, P.C., New York City (*Steven Cooper, Jeffrey E. Glen and Gail M. Eckstein* of counsel), for respondent. I. This Court's standard of review is whether the Board of Standards and Appeals' denial of the building permit was arbitrary or capricious or contrary to law. (*Matter of City of New York v New York City Civ. Serv. Commn.*, 6 NY3d 855; *Matter of Wilson v City of White Plains*, 95 NY2d 783.) II. 9th & 10th Street L.L.C. is entitled as a matter of right to construct the dormitory that is the subject of the application. (*Matter of Filmways Communications of Syracuse v Douglas*, 106 AD2d 185, 65 NY2d 878; *Matter of Committee To Save Washington Sq. v Dormitory Auth. of State of N.Y.*, 281 AD2d 770; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *Matter of Parkway Vil. Equities Corp. v Board of Stds. & Appeals of City of N.Y.*, 279 AD2d 299; *Matter of Baskin v Zoning Bd. of Appeals of Town of Ramapo*, 40 NY2d

942; *Matter of Di Milia v Bennett*, 149 AD2d 592; *Matter of Association of Friends of Sagaponack v Zoning Bd. of Appeals of Town of Southampton*, 287 AD2d 620; *Matter of Kelly v Zoning Bd. of Appeals of Town of Harrison*, 224 AD2d 424; *Matter of Kam Hampton I Realty Corp. v Board of Zoning Appeals of Vil. of E. Hampton*, 273 AD2d 385; *People v Gulf Oil Corp.*, 92 Misc 2d 107.) III. The Department of Buildings did not apply “standard Department of Buildings practice” in requiring proof of an institutional nexus as part of the permitting process. (*Matter of Rudin Mgt. Co. v Commissioner of Dept. of Consumer Affairs of City of N.Y.*, 213 AD2d 185.) IV. The Department of Buildings and the Board of Standards and Appeals have no authority to require proof of the institutional nexus at the prepermitting stage as a condition of building the “as-of-right” dormitory. (*Appelbaum v Deutsch*, 66 NY2d 975; *Matter of Ford v Zoning Bd. of Appeals of City of Long Beach*, 7 AD3d 797.) V. Denying an “as-of-right” permit based on community and political opposition is illegal. (*Matter of Fox v City of Buffalo Zoning Bd. of Appeals*, 60 AD2d 991.)

Katie Kendall, New York City, *Vicki Been* and *Michael Gruen* for Municipal Art Society of New York, Inc., amicus curiae. I. The order of the Appellate Division, First Department, subverts the intent of the community facilities provisions of the New York City Zoning Resolution by allowing an applicant to build the additional bulk permitted for community facilities without any demonstration that the building will in fact be used as a community facility. (*Matter of Reed v Board of Stds. & Appeals of City of N.Y.*, 255 NY 126.) II. Substantiating the use before construction is critical in implementing the New York City Zoning Resolution; the order of the Appellate Division, if upheld, would cripple the ability of a municipality to interpret and enforce its zoning regulations. (*Asian Ams. for Equality v Koch*, 72 NY2d 121; *Berenson v Town of New Castle*, 38 NY2d 102; *Stringfellow’s of N.Y. v City of New York*, 91 NY2d 382; *Schad v Mount Ephraim*, 452 US 61; *Penn Central Transp. Co. v New York City*, 438 US 104; *New Orleans v Dukes*, 427 US 297; *Young v American Mini Theatres, Inc.*, 427 US 50; *Village of Belle Terre v Boraas*, 416 US 1; *Berman v Parker*, 348 US 26; *Welch v Swasey*, 214 US 91.)

The Plunkett & Jaffe Group of McKenna Long & Aldridge LLP, New York City (*William F. Plunkett Jr.*, *Charles E. Dorkey III* and *Timothy J. Plunkett* of counsel), for Defenders of the Historic Upper East Side and others, amici curiae. I. The ac-

tions of the Department of Buildings were neither arbitrary nor capricious. II. To the extent *Matter of Di Milia v Bennett* (149 AD2d 592 [1989]) and *Matter of Baskin v Zoning Bd. of Appeals of Town of Ramapo* (40 NY2d 942 [1976]) have any relevance to these facts, they should not be followed, but rather confined to their facts.

Stroock & Stroock & Lavan LLP, New York City (Ross F. Moskowitz and Claude G. Szyfer of counsel), for Real Estate Board of New York, Inc., amicus curiae. I. The Department of Buildings cannot deny “as of right” permits. (*Matter of Di Milia v Bennett*, 149 AD2d 592; *Matter of Baskin v Zoning Bd. of Appeals of Town of Ramapo*, 40 NY2d 942.) II. The City of New York has adequate legal and practical power to enforce the use restrictions of buildings. III. Substantial research into the economic viability of the dormitory project has been undertaken.

OPINION OF THE COURT

SMITH, J.

Petitioner sought a building permit to construct a dormitory. The New York City Department of Buildings denied the permit on the ground that petitioner had not shown it could actually use the building as a dormitory, and that if it did not do so the result would be either an illegal use or a vacant building. We hold that the Department’s action was not arbitrary and capricious. Where there is reason to doubt that a proposed structure can be used for a lawful purpose, municipal authorities are not required to let the property owner build the building and see what happens.

Facts and Procedural History

Petitioner acquired from New York City a lot on East 9th Street in Manhattan, occupied by a former school building. The deed under which petitioner took title restricts development of the property to “a ‘Community Facility Use’ as such use is defined in the New York City Zoning Resolution.” That Zoning Resolution lists several permitted uses; the one relevant here is “[c]ollege or school student dormitories” (Zoning Resolution § 22-13).

After several years, petitioner submitted to the New York City Department of Buildings an application to build a 19 story dormitory on the property—a dormitory that, as proposed by petitioner, would be configured much like an ordinary apartment building. A dormitory was allowed by the applicable zon-

ing, as well as by the deed. However, if the proposed structure turned out to be an ordinary apartment building, it would violate both the deed and the zoning laws. Apartment buildings were lawful in the zoning district where the property was located, but such buildings were treated less favorably than dormitories and other “community facilities”; an apartment building on petitioner’s site would have been limited to 10 stories.

The Department took the position, which petitioner does not now contest, that a “[c]ollege or school student dormitor[y]” within the meaning of the Zoning Resolution is not just a building in which the apartments are rented to students. Under the Department’s interpretation, a building qualifies as a dormitory only if it is operated by, or on behalf of, at least one college or school. Thus, the Department asked petitioner to “substantiate” the proposed dormitory use by showing an “institutional nexus”—a connection with an educational institution sufficient to persuade the Department that the building, when built, really would be a dormitory.*

Petitioner tried unsuccessfully to satisfy the Department’s request for proof of a “nexus” with a college or school. Petitioner committed itself to lease the property for at least 10 years to University House Corp. (UHC)—an entity created, apparently by petitioner’s lawyers, around the time of the application for the building permit. Petitioner promised the Department that UHC’s board of directors would consist solely of people appointed by “participating educational institutions” and that the building would be operated as a dormitory for college or school students. It did not, however, identify any educational institution that had committed itself to use the building as a dormitory for its students, or had even expressed an interest in doing so.

The Department refused to approve petitioner’s application for a building permit, and the Board of Standards and Appeals (BSA) denied petitioner’s appeal from that refusal. Petitioner brought this CPLR article 78 proceeding to annul the BSA’s determination. Supreme Court denied relief and dismissed the proceeding, but the Appellate Division reversed, with two Jus-

* During the course of its discussions with petitioner, the Department promulgated a new regulation (1 RCNY 51-01) governing applications for permits to build dormitories. The requirements this regulation imposes are similar to those the Department imposed on petitioner here, but both sides agree that the regulation does not apply to this case.

tices dissenting. The Appellate Division relied on *Matter of Di Milia v Bennett* (149 AD2d 592 [2d Dept 1989]) and *Matter of Baskin v Zoning Bd. of Appeals of Town of Ramapo* (40 NY2d 942 [1976], *revg*, on dissenting mem of Shapiro, J., 48 AD2d 667 [2d Dept 1975]), which it read as holding that a building permit could not be denied on the basis of “a possible future illegal use” (43 AD3d 36, 41 [2007] [emphasis omitted]). In the view of the Appellate Division majority, the Department’s refusal to issue a building permit to petitioner was “an impermissible administrative anticipatory punishment” (*id.* at 37). If the building was not ultimately used as a dormitory, the Appellate Division held, the City’s remedy was “either denial or revocation of the certificate of occupancy” or an action to enforce the restriction in the deed (*id.* at 42).

The BSA appealed to us as of right pursuant to CPLR 5601 (a), and we now reverse.

Discussion

Petitioner relies, as did the Appellate Division majority, on *Di Milia* and *Baskin* for the proposition that a building permit cannot be withheld because of concern that the proposed building will be used illegally. Petitioner reads *Di Milia* and *Baskin* too broadly. Both cases hold that the mere possibility of a future illegal use is not an adequate reason for withholding a building permit. But where, as here, officials reasonably fear that the legal use proposed for a building will prove impracticable, it is not improper to insist on a showing that the applicant can actually do what it says it will do.

In both *Di Milia* and *Baskin*, municipal authorities denied permits to construct one-family dwellings, because they feared that the houses might be converted to illegal two-family dwellings. Nothing in either opinion, however, suggests that one-family use was unlikely or impractical. On the contrary, Justice Shapiro’s dissent in *Baskin*, which we adopted, says that “the residence will concededly be occupied by . . . one family” (48 AD2d at 668-669). At least in *Baskin*, the municipality’s concern was that, because of the design of the home, it might, after being occupied by one family for some time, easily be occupied, illegally, by two. From the terse opinion in *Di Milia*, it appears that the concern there was similar. In each case, the court held that this possibility of “future illegal use” (*Di Milia*, 149 AD2d at 593) was not a valid reason for withholding a building permit.

Di Milia and *Baskin* would be applicable here if it were clear that petitioner’s proposed building would be used initially as a

dormitory. If that were the case, the mere possibility that it could later be converted to illegal apartment use would not justify withholding a building permit. But here, the Department of Buildings doubted that dormitory use would ever be possible, and asked for assurances—in the form of a connection with an educational institution—that it would be.

To seek such assurances seems no more than prudent. It would create needless problems if petitioner built a 19 story building, only to find that it could not use it in a legally-permitted way. The City would then face a choice between waiving the legal restrictions and requiring the building to remain vacant or be torn down. The City's officials did not act arbitrarily or capriciously in trying to avoid that dilemma.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[885 NE2d 884, 856 NYS2d 31]

MONROE YALE MANN, Respondent, v BERNARD ABEL et al., Appellants, et al., Defendants.

Argued and submitted February 5, 2008; decided March 25, 2008

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 27, 2007. The Appellate Division (1) reversed, on the facts and as an exercise of discretion, a judgment of the Supreme Court, Westchester County (Linda S. Jamieson, J.), entered upon a jury verdict in favor of plaintiff, which had awarded plaintiff compensatory damages against defendant Westmore News, Inc., in the principal sum of \$75,000, punitive damages against defendant Westmore News, Inc., in the principal sum of \$15,000, and punitive damages against defendant Bernard Abel in the principal sum of \$15,000; (2) dismissed the claim for punitive damages; and (3) granted a new trial on compensatory damages unless plaintiff stipulated to reducing the principal compensatory award from \$75,000 to \$15,000 and entry of an appropriate amended judgment, in which case the amended judgment was deemed affirmed. Plaintiff so stipulated.

Mann v Abel, 37 AD3d 778, reversed.

HEADNOTE

Libel and Slander — Actionable Words — Opinion — Newspaper Article

The alleged defamatory statements contained in defendant's newspaper article about plaintiff Town Attorney, in which he was described as a "political hatchet Mann" and "one of the biggest powers behind the throne" in the local town government, who "pulls the strings" and might be "leading the Town . . . to destruction," constituted nonactionable statements of opinion as a matter of law. Factors to be considered when distinguishing between opinion and fact include: whether the specific language in issue has a precise meaning which is readily understood; whether the statements are capable of being proved true or false; and whether either the full context of the communication in which the statement appears or the broader social context and surrounding circumstances are such as to signal readers or listeners that what is being read or heard is likely to be opinion, not fact. Here, when viewed within the context of the article as a whole, a reasonable reader would conclude that the statements at issue were opinion. Although not dispositive, the column was on the "opinion" page of the newspaper and accompanied by an editor's note that the article was an expression of opinion by the author. Moreover, the tenor of the column signaled the reader that the piece was likely to be opinion, not fact.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Libel and Slander §§ 159, 160, 202, 236.
NY JUR 2d, Defamation and Privacy §§ 15–18, 54, 88.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI
3:24.
PROSSER AND KEETON, TORTS (5th ed) §§ 112–113A.

ANNOTATION REFERENCE

See ALR Index under Libel and Slander.

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POINTS OF COUNSEL

Henry R. Kaufman, P.C., New York City (*Henry R. Kaufman, Michael K. Cantwell* and *Beth A. Willensky* of counsel), for appellants. I. The Appellate Division erred in overlooking, or in rejecting without explanation, appellants' appeal from denial of their cross motion for summary judgment. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Matter of Aho*, 39 NY2d 241; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235, 500 US 954; *Karaduman v Newsday, Inc.*, 51 NY2d 531; *Gross v New York Times Co.*, 82 NY2d 146; *Armstrong v Simon & Schuster*, 85 NY2d 373; *600 W. 115th St. Corp. v Von Gutfeld*, 80 NY2d 130; *Millus v Newsday, Inc.*, 89 NY2d 840; *Steinhilber v Alphonse*, 68 NY2d 283; *Brian v Richardson*, 87 NY2d 46.) II. The judgment should be reversed because it was impermissibly based on constitutionally-protected statements of opinion. (*Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Gross v New York Times Co.*, 82 NY2d 146; *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369; *Brian v Richardson*, 87 NY2d 46; *Millus v Newsday, Inc.*, 89 NY2d 840, 520 US 1144; *600 W. 115th St. Corp. v Von Gutfeld*, 80 NY2d 130; *Steinhilber v Alphonse*, 68 NY2d 283; *Letter Carriers v Austin*, 418 US 264; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler*, 398 US 6). III. The judgment should also be reversed because respondent failed to prove, by clear and convincing evidence, that appellants published any substantially false and defamatory statement of fact with actual malice. (*Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Bose Corp. v Consumers Union of United States, Inc.*, 466 US

485; *Lolik v Big V Supermarkets*, 86 NY2d 744; *Grieco v Galasso*, 297 AD2d 659; *Iannaccone v 21st Century Open MRI, P.C.*, 8 AD3d 233; *Cohen v Hallmark Cards*, 45 NY2d 493; *New York Times Co. v Sullivan*, 376 US 254; *Masson v New Yorker Magazine, Inc.*, 501 US 496; *Fleckenstein v Friedman*, 266 NY 19; *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369.)

Mann & Mann, LLP, Port Chester (*Monroe Yale Mann* of counsel), respondent pro se. I. Defendants failed in the lower court to move to set aside the verdict and failed to preserve their challenge. (*Smetanick v Erie Ins. Group*, 16 AD3d 957.) II. A libel action cannot be maintained unless it is premised on published assertions of fact; falsity is the sine qua non of a libel claim; defendants proved neither opinion privilege nor truth of published assertions against plaintiff. (*Kamalian v Reader's Digest Assn., Inc.*, 29 AD3d 527; *Gjonlekaj v Sot*, 308 AD2d 471; *Brian v Richardson*, 87 NY2d 46; *Gross v New York Times Co.*, 82 NY2d 146.) III. The jury reached its verdict on a fair interpretation of the evidence; whether a statement is defamatory is first a matter for the court, and the courts below have already made their decisions. Defendants issued the article with malice. (*Medco Plumbing, Inc. v Sparrow Constr. Corp.*, 22 AD3d 647; *Corcoran v People's Ambulette Serv.*, 237 AD2d 402; *Cholewinski v Wisnicki*, 21 AD3d 791; *Salazar v Fisher*, 147 AD2d 470; *Curry v Roman*, 217 AD2d 314, 88 NY2d 804; *Brooklyn Law School v Aetna Cas. & Sur. Co.*, 661 F Supp 445, 849 F2d 788; *Trump v Chicago Tribune Co.*, 616 F Supp 1434; *Held v Pokorny*, 583 F Supp 1038; *Reeves v American Broadcasting Cos., Inc.*, 580 F Supp 84, 719 F2d 602; *Grass v News Group Publs., Inc.*, 570 F Supp 178.) IV. Defendants have not alleged a single affirmative defense in their answer, a requirement under New York law, nor has any privilege been asserted in their answer, also a requirement, and in any event, these were questions for the court and not the jury. Malice existed both in fact and law. (*Follendorf v Brei*, 51 Misc 2d 363; *Cheatum v Wehle*, 5 NY2d 585; *Rinaldi v Village Voice*, 79 Misc 2d 57; *Schulman v Anderson Russell Kill & Olick*, 117 Misc 2d 162; *Mercedes-Benz of N. Am. v Finberg*, 58 AD2d 808; *Bounds v Mutual of Omaha Ins. Co.*, 37 AD2d 1008; *Schaffer Stores Co. v Grand Union Co.*, 84 AD2d 614, 56 NY2d 570, 644; *Crane v New York World Tel. Corp.*, 308 NY 470; *Matter of Burmester v De Lucia*, 263 NY 315.) V. The existence of compensatory damages is presumed. (*Gatz v Otis Ford*, 274 AD2d 449; *Liberman v Gelstein*, 80 NY2d 429.) VI. Defendants' claim that actual malice was not shown is untrue, as the record clearly demonstrates, and in any event it was a

question of fact. (*Brian v Richardson*, 87 NY2d 46; *Gross v New York Times Co.*, 82 NY2d 146.) VII. The appellate court clearly reviewed all the evidence and made its decision, stating that plaintiff was defamed and entitled to compensatory damages; this decision was reached on a fair interpretation of the evidence. (*Gross v New York Times Co.*, 82 NY2d 146; *Bounds v Mutual of Omaha*, 37 AD2d 1008.)

Levine Sullivan Koch & Schulz, LLP, New York City (David A. Schulz of counsel), for Advance Publications, Inc. and others, amici curiae. I. The courts below impermissibly permitted a jury to impose damages for the expression of political opinions. (*Bose Corp. v Consumers Union of United States, Inc.*, 466 US 485; *Garrison v Louisiana*, 379 US 64; *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369; *Steinhilber v Alphonse*, 68 NY2d 283; *Milkovich v Lorain Journal Co.*, 497 US 1; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Brian v Richardson*, 87 NY2d 46; *Millus v Newsday, Inc.*, 89 NY2d 840; *James v Gannett Co.*, 40 NY2d 415; *Balderman v American Broadcasting Cos.*, 292 AD2d 67.) II. The courts below failed to make an independent determination of the sufficiency of the evidence of actual malice. (*Bose Corp. v Consumers Union of United States, Inc.*, 466 US 485; *Pennekamp v Florida*, 328 US 331; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler*, 398 US 6; *Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Freeman v Johnston*, 84 NY2d 52; *Balderman v American Broadcasting Cos.*, 292 AD2d 67; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Harte-Hanks Communications, Inc. v Connaughton*, 491 US 657; *Contemporary Mission, Inc. v New York Times Co.*, 842 F2d 612; *Anderson v Liberty Lobby, Inc.*, 477 US 242.)

OPINION OF THE COURT

PIGOTT, J.

This action for libel arises out of an article published on August 22, 2003 in the Westmore News, an independent newspaper serving the Town of Rye. The newspaper's founder, defendant Bernard Abel, wrote the article as part of his regularly featured column called "The Town Crier." The column is located on the opinion page of the newspaper and is identified by an editor's note that it represents the opinion of the author and "not necessarily that of this newspaper."

The article at issue, entitled "Borrelli on par with Marie Antoinette" (referring to Rye Town Councilman Mike Borrelli), was written by Abel during a heated local election for control of

the Rye Town Board. Under a subheading, entitled “Who is the real Mann?” Abel wrote about plaintiff Monroe Yale Mann, the Rye Town Attorney. Abel described Mann as a “political hatchet Mann” and “one of the biggest powers behind the throne” in the Town of Rye government. Abel wrote that it appeared that “Mann pulls the strings” and questioned whether Mann was “leading the Town of Rye to destruction.” The article identified Mann as playing an “instrumental” role in a decision by the Port Chester School Board, some 35 years earlier, to discontinue its practice of allowing high school students from the Blind Brook School District to attend Port Chester High School.

Following publication, Mann commenced this action against defendants Abel and Westmore News, Inc., alleging that the statements contained in the article were false and published with actual malice. Before engaging in discovery, defendants moved to dismiss the complaint, contending that the action was filed in bad faith to chill the exercise of protected free speech and that the suit was frivolous. Supreme Court denied the motion and the Appellate Division affirmed without addressing defendants’ constitutional claim. Thereafter, Mann moved for summary judgment on the complaint. Defendants opposed the motion and cross-moved for summary judgment asserting that the article contained only expressions of opinion by Abel. Supreme Court denied both motions on the ground that there were disputed issues of fact, and did not address whether the article constituted protected opinion. The parties were directed to proceed to trial.

At the conclusion of the trial, the jury found that the statements in the article were defamatory and that defendant Westmore News had published the statements either with the knowledge that they were false or in reckless disregard of their truth or falsity. The jury awarded Mann \$75,000 in compensatory damages against Westmore News and punitive damages against both Westmore News and Abel in the amount of \$15,000 each. Defendants appealed, arguing that the statements were constitutionally protected opinion. The Appellate Division upheld the jury’s determination that Mann was defamed, and concluded that he was entitled to compensatory damages, albeit at a reduced amount. The court dismissed the punitive damages awards and ordered a new trial unless Mann stipulated to a reduction in the compensatory damages award, which he did, leaving in place only the reduced award against Westmore News. Defendants then appealed as of right on the basis of a substan-

tial constitutional question. We now reverse on the ground that the alleged defamatory statements constitute nonactionable statements of opinion as a matter of law.

Whether a particular statement constitutes an opinion or an objective fact is a question of law (see *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369, 381 [1977], *cert denied* 434 US 969 [1977]). Expressions of opinion, as opposed to assertions of fact, are deemed privileged and, no matter how offensive, cannot be the subject of an action for defamation (see *Weiner v Doubleday & Co.*, 74 NY2d 586, 593 [1989], *cert denied* 495 US 930 [1990], citing *Steinhilber v Alphonse*, 68 NY2d 283 [1986]). Distinguishing between opinion and fact has “proved a difficult task,” but this Court, in furtherance of that endeavor, has set out the following factors to be considered:

“(1) whether the specific language in issue has a precise meaning which is readily understood; (2) whether the statements are capable of being proven true or false; and (3) whether either the full context of the communication in which the statement appears or the broader social context and surrounding circumstances are such as to signal . . . readers or listeners that what is being read or heard is likely to be opinion, not fact” (*Brian v Richardson*, 87 NY2d 46, 51 [1995], quoting *Gross v New York Times Co.*, 82 NY2d 146, 153 [1993], quoting *Steinhilber*, 68 NY2d at 292 [internal quotation marks omitted]).

In *Immuno AG. v Moor-Jankowski* (77 NY2d 235 [1991]), we declined to adopt an analysis that would require courts first to search the article for particular factual statements and then to hold such statements actionable unless couched in figurative or hyperbolic language (*id.* at 254). Rather, we held that “courts must consider the content of the communication as a whole, as well as its tone and apparent purpose” and in particular “should look to the over-all context in which the assertions were made and determine on that basis ‘whether the reasonable reader would have believed that the challenged statements were conveying facts about the libel plaintiff’ ” (*Brian*, 87 NY2d at 51, quoting *Immuno*, 77 NY2d at 254).

Applying that test to the facts of this case, we hold that, when viewed within the context of the article as a whole, a reasonable reader would conclude that the statements at issue were opinion. Although not dispositive, we note that the column was

on the “opinion” page of the newspaper and accompanied by an editor’s note that the article was an expression of opinion by the author. Moreover, the tenor of the column, including allegations that Mann was a “political hatchet Mann” who appeared to “pull[] the strings,” clearly signals the reader that the piece is likely to be opinion, not fact. Likewise, the statement that Abel thought Mann’s actions were “leading the Town of Rye to destruction” could not be anything but a statement of opinion. Although one could sift through the article and argue that false factual assertions were made by the author, viewing the content of the article as a whole, as we must, we conclude that the article constituted an expression of protected opinion and therefore, summary judgment should have been awarded to defendants (see *Millus v Newsday, Inc.*, 89 NY2d 840 [1996]).

Accordingly, the order of the Appellate Division insofar as appealed should be reversed with costs, and the complaint dismissed in its entirety.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order, insofar as appealed from, reversed, etc.

[886 NE2d 764, 857 NYS2d 3]

In the Matter of VIRGINIA HENNEBERRY, Appellant, v ING CAPITAL ADVISORS, LLC, et al., Respondents.

Argued February 6, 2008; decided March 18, 2008

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 22, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Robert D. Lippmann, J.; op 2005 NY Slip Op 30267[U]), which had denied the petition to vacate an arbitration award and granted the cross petition to confirm the award.

Matter of Henneberry v ING Capital Advisors, LLC, 37 AD3d 353, affirmed.

HEADNOTES

Arbitration — Confirming or Vacating Award — Shifting of Burden of Proof after Presentation of Evidence

1. The determination of an arbitrator that petitioner was terminated from her employment in good faith for unsatisfactory performance was properly confirmed. The arbitrator's reversal of his decision to place the burden of proof on respondents after evidence had already been presented did not deny petitioner a fundamentally fair arbitration. Petitioner was on notice from the inception of the arbitration that respondents objected to the arbitrator's initial allocation of the burden of proof. The arbitrator expressly concluded that respondents acted in good faith, and stated that respondents would have prevailed no matter who bore the burden of proof.

Arbitration — Confirming or Vacating Award — Approval of Employee's Termination by Committee Unnecessary Where Committee Dissolved Prior to Employee's Termination

2. The determination of an arbitrator that petitioner was terminated from her employment in good faith for unsatisfactory performance was properly confirmed. The arbitrator's conclusion that the approval of petitioner's termination by the employer's operating committee, as expressly required under the employment agreement, was unnecessary was not irrational, nor did it exceed a specifically enumerated limitation on his power. The operating committee was dissolved before petitioner was terminated and its function was assumed by an individual who, after conducting an independent investigation, approved the termination. Petitioner's contention that, in the absence of the operating committee, she could only be fired under a different section of the agreement, was rationally rejected by the arbitrator.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 169, 197; AM
JUR 2d, Wrongful Discharge §§ 1-3, 179-182.

CARMODY-WAIT 2d, Arbitration §§ 141:237–141:239.

NY JUR 2d, Arbitration and Award §§ 136, 216, 224; NY

JUR 2d, Employment Relations §§ 78, 85, 87, 89.

SIEGEL, NY PRAC §§ 597, 601.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Discharge From Employment or Office.

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Query: terminat! /4 employment /s performance & arbitrator

POINTS OF COUNSEL

Mintz & Gold LLP, New York City (*Steven G. Mintz* and *Lisabeth Harrison* of counsel), for appellant. I. The arbitration award violated appellant's fundamental constitutional right to due process of law, since the arbitrator's repeated rulings falsely led her to believe that respondents had the burden of proof on the central disputed issue and thereby materially affected the entire presentation of appellant's case. (*Matter of Beckman v Greentree Sec.*, 87 NY2d 566; *Matter of Goldfinger v Lisker*, 68 NY2d 225; *Matter of Hirsch v Hirsch*, 4 AD3d 451; *Matter of Unigard Mut. Ins. Co. v Hartford Ins. Group*, 108 AD2d 917; *P & P Indus., Inc. v Sutter Corp.*, 179 F3d 861; *Bowles Fin. Group, Inc. v Stifel, Nicolaus & Co., Inc.*, 22 F3d 1010; *Bell Aerospace Co. Div. of Textron, Inc. v Local 516, Intl. Union, United Auto., Aerospace & Agric. Implement Workers of Am. [UAW]*, 500 F2d 921; *Ficek v Southern Pac. Co.*, 338 F2d 655, 380 US 988; *Matter of McMahan & Co. [Dunn New-Fund I]*, 230 AD2d 1, 90 NY2d 806; *Employers Ins. of Wausau v National Union Fire Ins. Co.*, 933 F2d 1481.) II. The arbitrator exceeded his authority and impermissibly rewrote the parties' agreement when he determined that respondents had the right to terminate appellant for "unsatisfactory performance" without obtaining the approval of the contractually-designated oversight committee. (*Sweeney v Herman Mgt.*, 85 AD2d 34; *Matter of National Cash Register Co. [Wilson]*, 8 NY2d 377; *Matter of Board of Educ. of N. Babylon Union Free School Dist. v North Babylon Teachers' Org.*, 104 AD2d 594.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Robert N. Holtzman* and *Kerri Ann Law* of counsel), for respondents. I.

This Court lacks jurisdiction over this appeal. (*Mount St. Mary's Hosp. of Niagara Falls v Catherwood*, 26 NY2d 493; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *New York Cent. Mut. Fire Ins. Co. v Nichols*, 192 AD2d 1131; *Guilford v City of Buffalo*, 177 AD2d 971; *Antinore v State of New York*, 49 AD2d 6; *Matter of Goldfinger v Lisker*, 68 NY2d 225; *Matter of Hirsch v Hirsch*, 4 AD3d 451; *Matter of Unigard Mut. Ins. Co. v Hartford Ins. Group*, 108 AD2d 917; *Matter of Beckman v Greentree Sec.*, 87 NY2d 566; *P & P Indus., Inc. v Sutter Corp.*, 179 F3d 861.) II. The grounds for vacating an arbitration award are extremely limited. (*Matter of Goldfinger v Lisker*, 68 NY2d 225; *Matter of McMahan & Co. [Dunn New-Fund I]*, 230 AD2d 1; *Matter of Kohnberg v Murdock*, 5 NY2d 859; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of Peckerman v D & D Assoc.*, 165 AD2d 289; *Matter of Brown & Williamson Tobacco Corp. v Chesley*, 7 AD3d 368; *Integrated Sales v Maxell Corp. of Am.*, 94 AD2d 221; *In re Griffin Indus., Inc. [Petrojam, Ltd.]*, 58 F Supp 2d 212.) III. There is no basis to vacate the arbitration award. (*People v Blue*, 178 AD2d 539; *Matter of Kingsley v Redevco Corp.*, 61 NY2d 714; *Bowles Fin. Group, Inc. v Stifel, Nicolaus & Co., Inc.*, 22 F3d 1010; *Teamsters Local 312 v Matlack, Inc.*, 118 F3d 985; *Gulf Coast Indus. Workers Union v Exxon Co., USA*, 70 F3d 847; *Iran Aircraft Indus. v Avco Corp.*, 980 F2d 141; *Harvey Aluminum [Inc.] v United Steelworkers of Am., AFL-CIO*, 263 F Supp 488; *Matter of Walker v General Motors Corp., Pontiac Motor Div.*, 159 Misc 2d 651; *Hortis v Madison Golf Club*, 92 AD2d 713; *Santosky v Kramer*, 455 US 745.)

OPINION OF THE COURT

CIPARICK, J.

In November 2001, petitioner Virginia Henneberry entered into an employment agreement with respondent ING Furman Selz Asset Management, LLC, the parent company of correspondent ING Capital Advisors, LLC. The agreement provided that petitioner was to be employed as a managing principal of ING Capital Advisors from January 1, 2001 through December 31, 2005.

Paragraph 11 of the agreement listed four circumstances that could lead to petitioner's termination, two of which are relevant here. Under paragraph 11 (b), petitioner could be terminated by a unanimous vote of the three other managing principals of ING Capital Advisors, subject to approval by the parent company's operating committee, for "unsatisfactory perfor-

mance” or “professional misconduct.” In that event, she would be paid her annual salary plus certain bonuses. Pursuant to paragraph 11 (d) of the agreement, petitioner could be terminated without cause; however, she would be entitled to a much larger severance.¹

In July 2002, the firm’s other managing principals unanimously agreed that petitioner’s employment should be terminated because of certain performance deficiencies. Final approval of the termination decision fell to Paul Gyra, as the operating committee was no longer in existence at this time.² After conducting his own investigation into petitioner’s employment performance, Mr. Gyra approved petitioner’s termination.

In August 2002, petitioner was notified that she had been terminated under paragraph 11 (b) of the agreement. In response, petitioner served respondents with a demand for arbitration pursuant to the agreement’s arbitration clause. That clause provided that disputes would be resolved by a sole arbitrator acting pursuant to procedural rules promulgated by the American Arbitration Association (AAA).

The AAA appointed an arbitrator who, at the prehearing stage, indicated that respondents bore the burden of proof—by a fair preponderance of the evidence—to establish that they terminated petitioner in good faith for unsatisfactory performance. Respondents disagreed with the arbitrator’s conclusion, and after they raised that objection, the arbitrator determined that the burden of proof issue should be held in abeyance and that respondents could later renew their objection during the arbitration. Thereafter, respondents reminded the arbitrator, both by letter and during a teleconference, that he left the issue of burden of proof open. Respondents repeatedly argued that the burden of proof should be on petitioner. They did so in their prehearing memorandum, opening statement, motion for judgment as a matter of law, closing statement and posthearing memorandum. Petitioner made no submission, however, regarding which party bore the burden of proof.

The arbitrator conducted 13 days of hearings in May, June and October of 2004. He heard testimony from 12 witnesses,

1. At the time of petitioner’s termination, the severance differential between an 11 (b) termination and 11 (d) termination was approximately \$2.1 million.

2. In February 2002, due to a corporate reorganization, the operating committee ceased to exist. In May 2002, Mr. Gyra assumed the committee’s responsibilities.

including petitioner, and received 188 exhibits into evidence, 99 of which were proffered by petitioner. After the hearing concluded, the arbitrator asked for and received briefs that addressed both the evidence and the law. He then issued a decision, stating that:

“I had ruled that [r]espondent had the burden of proof by a fair preponderance of the evidence on [petitioner’s] termination for unsatisfactory performance under paragraph 11 (b) of the Agreement. I am now reversing that ruling and now rule that the burden of proof regarding the propriety of [petitioner’s] termination for unsatisfactory performance under [p]aragraph 11 (b) is on the [petitioner] by a fair preponderance of the evidence. . . .

“I also find that had [r]espondent, rather than [petitioner], had the burden of proof, as I had first ruled, it would have satisfied its burden by a fair preponderance of the evidence.”

Having thus allocated the burden of proof, the arbitrator concluded that petitioner was properly terminated under paragraph 11 (b) of the agreement.

Petitioner then commenced this proceeding to vacate the arbitrator’s award. Supreme Court denied petitioner’s application to vacate and granted respondents’ cross petition to confirm, stating that:

“petitioner acknowledges that she had the opportunity to present additional witnesses, but she ‘opted to [forgo] these witnesses due to strategic, timing, and cost-related considerations, reasoned with the goal of presenting the strongest case, in which [respondents] held the burden’ . . . Hindsight is not an acceptable ground for [vacating the award based on] arbitrator misconduct” (2005 NY Slip Op 30267[U], *5).

The Appellate Division affirmed, finding that:

“the arbitrator [did not] deprive petitioner of a fair hearing when he reversed his ruling on burden of proof, as petitioner was on notice throughout the proceeding that respondents continuously objected to the original ruling, and the arbitrator had indicated that his decision was subject to change.

Not only was petitioner unable to specify any non-redundant evidence she would have presented, but the arbitrator specifically held that respondents would have prevailed regardless of who bore the burden of proof” (37 AD3d 353, 353-354 [2007]).

Petitioner appealed, and we now affirm.

[1] The parties here voluntarily agreed to arbitrate disputes arising under the employment agreement and, as such, our review of an arbitration award rendered pursuant to that private agreement is governed exclusively by CPLR 7511. An arbitration award may be vacated where there has been “corruption, fraud or misconduct in procuring the award,” the arbitrator “exceeded his [or her] power” or where there was a “failure to follow the procedure of this article” (CPLR 7511 [b] [1] [i], [iii], [iv]). Petitioner contends that CPLR 7511 (b) (1) (i), which authorizes review of arbitral awards for “misconduct,” and CPLR 7511 (b) (1) (iv), which authorizes vacatur for failure to follow the statute’s procedural requirements, should be read together as authorizing judicial review of arbitration awards where the procedures employed deprived a party of basic due process or fundamental fairness. Petitioner claims that she was deprived of a fair hearing because of the arbitrator’s reversal of his decision to place the burden of proof on respondents after evidence had already been presented. This decision, she says, denied her the opportunity to be heard. The record does not support her claim.

Petitioner was on notice from the inception of the arbitration that respondents objected to the arbitrator’s initial allocation of the burden of proof. After stating their objection, respondents availed themselves of every opportunity to explain to the arbitrator that the burden should be properly placed on petitioner. At no time did the arbitrator preclude respondents from proffering such arguments.

Petitioner maintains that vacatur should be permitted in fairness because she made certain strategic choices, acting in reliance upon the arbitrator’s allocation of the burden of proof. She claims that had she known that she would bear the burden of proof, she would have called additional witnesses who would have attested to her reputation among her peers and in the financial industry. The main issue, however, was whether, in terminating petitioner, respondents acted in good faith. The arbitrator expressly concluded that they did, stating “that the foregoing process was engaged in and performed in good faith,”

and he stated that respondents would have prevailed no matter who bore the burden of proof. His conclusion is reflected in three pages of careful analysis of petitioner's claims. The arbitrator's shifting of the burden of proof after he took evidence did not deny petitioner a fundamentally fair arbitration.

The situation here is unlike others in which we have determined that an arbitration award should be vacated because of arbitrator misconduct (*see e.g. Matter of Goldfinger v Lisker*, 68 NY2d 225 [1986] [arbitrator engaged in ex parte communications with a party]). Here, at worst, the arbitrator engaged in a procedural error, which he ultimately corrected. He did not infect the underlying proceeding with the taint of fraud.

[2] Petitioner also contends that the award should be vacated pursuant to CPLR 7511 (b) (1) (iii) because the arbitrator exceeded his authority by concluding that the approval of petitioner's termination by the operating committee, as expressly required under the agreement, was unnecessary. Specifically, petitioner argues that the arbitrator's decision was irrational and the effective equivalent of redrafting the parties' agreement.

"An arbitrator is charged with the interpretation and application of [an] agreement" (*Matter of New York City Tr. Auth. v Transport Workers' Union of Am., Local 100, AFL-CIO*, 6 NY3d 332, 336 [2005] [citation omitted]). In interpreting an agreement, "an excess of power occurs only where the arbitrator's award violates a strong public policy, is irrational or clearly exceeds a specifically enumerated limitation on the arbitrator's power" (*id.*). Most importantly, "courts are obligated to give deference to the decision of the arbitrator" (*id.* [citation omitted]).

Here, the arbitrator's decision was neither irrational nor did it exceed a specifically enumerated limitation on his power. The operating committee was dissolved before petitioner was terminated and its function was assumed by Mr. Gyra, who, after conducting an independent investigation, approved the termination. Petitioner's construction of the agreement, in the absence of the operating committee, would allow her to be fired only under paragraph 11 (d). The arbitrator did not act irrationally in rejecting that interpretation, which would mean that the dissolution of the operating committee caused paragraph 11 (b) to become superfluous.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT
and JONES concur.

Order affirmed, with costs.

[886 NE2d 156, 856 NYS2d 534]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GARY
WHITE, Appellant.

Argued February 13, 2008; decided March 20, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 1, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Carolyn E. Demarest, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v White, 40 AD3d 662, affirmed.

HEADNOTE

**Crimes — Confession — Custodial Interrogation — Admission of
Post-Miranda Statements Made Following Unlawful Custodial
Interrogation**

Statements made by defendant to the police following the administration of *Miranda* warnings were admissible even though defendant had been subjected to a period of custodial interrogation before the warnings were administered, as the post-*Miranda* statements were not the result of a continuing custodial interrogation that began before the warnings were administered and continued without a definite, pronounced break. In order to determine whether pre- and post-*Miranda* questioning sessions constitute a single continuous chain of events, factors to be considered include the time differential between the *Miranda* violation and the subsequent admission; whether the same police personnel were present and involved in eliciting each statement; whether there was a change in the location or nature of the interrogation; the circumstances surrounding the *Miranda* violation, such as the extent of the improper questioning; and whether, prior to the *Miranda* violation, defendant had indicated a willingness to speak to police. Here, defendant did not make an inculpatory statement until after the *Miranda* warnings had been properly administered. Although the same police personnel were involved in eliciting each pre- and post-warned statement, and there was no change in the location of the interrogation, the initial, pre-*Miranda* exchange was brief, lasting no longer than five minutes. The break in time between defendant's pre-*Miranda* statement and the subsequent admission, although only 15 to 20 minutes, was sufficiently pronounced to dissipate the taint of the *Miranda* violation. During that time defendant was allowed to smoke a cigarette and consume the soda he had requested, and once he was finished the warnings were administered, defendant acknowledged that he understood his rights, signed the *Miranda* card prior to making any substantive statement about the case, and freely indicated his willingness to speak.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 986–989; AM JUR 2d, Evidence §§ 712, 713, 749.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:556,
172:558, 172:560–172:566.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.6–6.8.
NY JUR 2d, Criminal Law §§ 559–567.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Miranda Warnings.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: post-miranda /2 statement /s custodial /2 interrogation & break

POINTS OF COUNSEL

Paul Skip Laisure, New York City, and *Lynn W.L. Fahey* for appellant. The trial court erred in refusing to suppress appellant's post-Miranda confessions, which were part of a single custodial police interrogation that began before warnings were administered and continued without a pronounced break. (*People v Chapple*, 38 NY2d 112; *Missouri v Seibert*, 542 US 600; *People v Bethea*, 67 NY2d 364; *Escobedo v Illinois*, 378 US 478; *Miranda v Arizona*, 384 US 436; *Dickerson v United States*, 530 US 428; *People v Tanner*, 30 NY2d 102; *Oregon v Elstad*, 470 US 298; *Moran v Burbine*, 475 US 412; *People v Lange*, 77 AD2d 632.)

Charles J. Hynes, District Attorney, Brooklyn (*Camille O'Hara Gillespie* and *Leonard Joblove* of counsel), for respondent. Defendant's claim that his post-Miranda admissions should have been suppressed is meritless because the police did not interrogate defendant prior to giving him Miranda warnings, and because, in any event, any pre-Miranda interrogation was brief, defendant made no incriminatory response and there was no continuous interrogation of defendant that rendered ineffective the Miranda warnings given to defendant after an interval of more than 15 minutes. (*Miranda v Arizona*, 384 US 436; *Oregon v Elstad*, 470 US 298; *People v Chapple*, 38 NY2d 112; *Arizona v Mauro*, 481 US 520; *Rhode Island v Innis*, 446 US 291; *People v Lynes*, 49 NY2d 286; *People v Rivers*, 56 NY2d 476; *People v Rodriguez*, 39 NY2d 976; *People v Webb*, 224 AD2d 464; *People v Boyd*, 21 AD3d 1428.)

OPINION OF THE COURT

CIPARICK, J.

This appeal requires us to determine whether defendant's post-*Miranda* statements made to the police after being subjected to a brief period of un-Mirandized custodial interrogation, or its functional equivalent, should have been suppressed. Under the circumstances of this case, we conclude that suppression was not required and the post-*Miranda* statements were properly received in evidence.

Facts

The evidence at trial reveals that on June 1, 2002, at approximately 8:30 P.M., defendant Gary White shot and killed Albert Hansen on Flatbush Avenue in Brooklyn. Detectives Frank Byrne and Robert Sommer were assigned to investigate the shooting. A week later, on June 9, 2002, at approximately 2:00 A.M., Police Officer Joseph Conde, responding to an unrelated domestic violence complaint made by defendant's girlfriend, arrested defendant. At the time of defendant's arrest, he was intoxicated. Defendant's girlfriend advised Conde that defendant was involved in the Flatbush Avenue shooting. She described a construction area that corresponded to the location where Hansen had been shot twice in the head. Later that morning, Conde informed Byrne that defendant's girlfriend had implicated White in the Flatbush Avenue shooting. Byrne then brought defendant's girlfriend to the precinct to confirm the allegation.

That evening, at approximately 7:30 P.M., after spending over 17 hours in a holding cell (much of it sleeping) defendant was placed in a lineup. The only witness to the shooting was a female companion who had been walking alongside the victim when the shooting occurred, and she was unable to identify defendant from the lineup. At approximately 9:30 P.M., defendant was brought to an office for questioning by the detectives. Once there, defendant inquired why he had been placed into a lineup. In response, Sommer produced a computer generated arrest photograph of the victim. Defendant responded, "What about him?" Byrne stated "he was killed, and he was either killed in cold blood, or there was a reason for it." Defendant was then asked whether he would "like to tell his side of the story," and he responded, "I'll tell you everything. Get me Newports and a Pepsi." This initial exchange took approximately five minutes without any *Miranda* warnings.

Byrne then left the office to procure the requested items while Sommer remained with defendant, engaging in small talk. Byrne returned 15 to 20 minutes later and allowed defendant to drink his soda and smoke a cigarette. At approximately 10:00 P.M., Byrne read defendant his *Miranda* rights from a card. Defendant acknowledged that he understood his rights and signed and dated the card. Defendant also indicated his willingness to speak with the detectives.

Initially, defendant's statements as to his whereabouts on the day of the shooting were exculpatory. Defendant told the detectives that, on that date, he was in Queens visiting a friend from 7:30 P.M. until the next morning. The detectives explained to defendant that they knew his alibi was fabricated and that he should tell the truth.* In response, defendant rolled up his sleeves and showed the detectives large scars on both arms. Defendant stated that Hansen caused the injuries during a mugging, allegedly committed 16 or 17 years earlier. He further indicated that on the day of the shooting, Hansen had again robbed and threatened to kill him. When he saw Hansen walking down Flatbush Avenue with another person later that day, he ran up to them, pushed the other person aside, and shot Hansen twice.

At the detective's request, defendant provided a written statement but omitted the shooting. When confronted by the detectives regarding the omission, defendant prepared a second handwritten statement in which he admitted to shooting the victim. After defendant completed his written accounts of the shooting, he was provided with a meal, consumed it and then felt ill, but did not request medical treatment. Defendant agreed to give a videotaped confession and at approximately 1:30 A.M., on June 10, 2002, an assistant district attorney again advised defendant of his *Miranda* rights, this time on videotape. At the conclusion of the *Miranda* warnings, defendant for the first time requested counsel, at which time the videotaping ceased.

At the suppression hearing, defendant asserted that the pre-*Miranda* exchange with the police constituted an interrogation. Defendant further claimed that there was no attenuation between the initial interrogation, the subsequent administration of *Miranda* rights and the "Mirandized" statements.

* The People later explained at the suppression hearing that the detectives had been informed by defendant's girlfriend that he would offer the visit to his friend's home as an alibi should he be questioned regarding the Flatbush Avenue homicide.

Supreme Court initially ruled that although there was probable cause to arrest defendant based upon the domestic dispute, the detectives' actions were accusatory and, therefore, the request for defendant to tell his "side of the story" before the administration of *Miranda* warnings tainted his subsequent statements. The court further held that the 15 to 20 minute break between the pre- and post-*Miranda* actions was insufficient to purge the taint from the post-*Miranda* statements because defendant remained at all times in the presence and custody of the same detectives who made the initial accusations. The court expressed concern that the People failed to sustain their burden to prove beyond a reasonable doubt that defendant's statements were voluntary and that he had been properly provided with food and bathroom facilities during his detention before questioning commenced.

Upon the People's motion to renew and reargue, Supreme Court vacated, in part, its initial ruling, holding that defendant's pre-*Miranda* statements should remain suppressed, but the court reversed its decision as to the post-*Miranda* statements, finding them admissible. At the close of proof, the jury convicted defendant of second degree murder, and the court sentenced him to an indeterminate prison term of 22 years to life.

On appeal, defendant asserted that the court should have suppressed, as involuntary, his post-*Miranda* statements because they were the result of a continuing custodial interrogation that began before the administration of *Miranda* warnings. Defendant further asserted that suppression of the post-*Miranda* statements was warranted under *People v Chapple* (38 NY2d 112 [1975]) as the statements were given without a pronounced break. The Appellate Division affirmed the conviction, concluding that defendant had been subjected to "a brief period of custodial interrogation or its functional equivalent" (40 AD3d 662, 663 [2007]). However, because defendant made "no inculpatory statement, or any statement relating to his conduct in connection with the crime under investigation, until after warnings had been properly given and waived," the court, relying on *People v Paulman* (5 NY3d 122 [2005]), held that there was "no need to determine whether the pre- and post-*Miranda* sessions were part of a 'single continuous chain of events' " (*id.*). A Judge of this Court granted leave to appeal, and we now affirm on different grounds.

Discussion

In *Chapple*, we held that in order for *Miranda* warnings

“to be effective . . . [they] must *precede* the subjection of a defendant to questioning. Later is too late, unless there is such a definite, pronounced break in the interrogation that the defendant may be said to have returned, in effect, to the status of one who is not under the influence of questioning” (38 NY2d at 115).

In *Paulman*, we stated that in order

“[t]o determine whether there is a ‘single continuous chain of events’ under *Chapple*, New York courts have considered a number of factors, including the time differential between the *Miranda* violation and the subsequent admission; whether the same police personnel were present and involved in eliciting each statement; whether there was a change in the location or nature of the interrogation; *the circumstances surrounding the Miranda violation, such as the extent of the improper questioning*; and whether, prior to the *Miranda* violation, defendant had indicated a willingness to speak to police. No one factor is determinative and each case must be viewed on its unique facts. The purpose of the inquiry is to assess where there was a sufficiently ‘definite, pronounced break in the interrogation’ to dissipate the taint from the *Miranda* violation. If so, the Mirandized statement is admissible at trial despite the prior, unwarned statement” (5 NY3d at 130-131 [emphasis added and citation omitted]).

Defendant here made no statement that was either inculpatory or related to the shooting until after the *Miranda* warnings had been properly administered by Byrne and after he had properly waived his *Miranda* rights. As we held in *People v Kinard* (62 NY2d 910, 912 [1984]), “the absence of any incriminating responses to . . . police questioning” can be one of several factors supporting a conclusion that post-*Miranda* confessions are not tainted. The absence of pre-Mirandized inculpatory statements alone cannot, however, preclude an inquiry as to whether the pre- and post-*Miranda* sessions were part of a continuous chain of events as suggested by the Appellate Division.

Applying the *Paulman* factors and examining the circumstances surrounding the *Miranda* violation, defendant’s post-*Miranda* statements are admissible. In contrast to *Chapple* and

People v Bethea (67 NY2d 364 [1986]), where defendants were subjected to extensive un-Mirandized custodial interrogations, here the initial exchange lasted no longer than five minutes. Although the same police personnel were involved in eliciting each pre- and post-warned statement, and there was no change in the location of the interrogation, the brevity of the initial exchange is significant under *Paulman*. Although the time differential between defendant's pre-Miranda statement and the subsequent admission consisted of 15 to 20 minutes, on the facts of this case the break was sufficiently pronounced to dissipate the taint of the *Miranda* violation.

It was not until after defendant had smoked a cigarette and consumed the soda he had requested that Byrne began to read defendant his *Miranda* warnings. Defendant acknowledged that he understood his rights and signed the *Miranda* card prior to making any substantive statement about the case, and the record shows that defendant freely indicated his willingness to speak. Certainly, the police should have administered *Miranda* warnings initially (see *Missouri v Seibert*, 542 US 600, 617 [2004] ["the question-first tactic effectively threatens to thwart *Miranda*'s purpose of reducing the risk that a coerced confession would be admitted"]). Nevertheless, we find that this record reveals that after the very brief pre-Miranda questioning "defendant may be said to have returned, in effect, to the status of one who is not under the influence of questioning" (*Chapple*, 38 NY2d at 115). Indeed, after receiving *Miranda* warnings, defendant first gave an exculpatory statement and provided an exculpatory alibi. Only upon being confronted with the untruthfulness of his alibi did he begin to make an inculpatory statement.

We cannot say, under the circumstances of this case, "that the defendant's 'will [was] overborne and his capacity for self-determination critically impaired,' " and therefore " 'the use of his confession [does not] offend[] due process' " (*People v Anderson*, 42 NY2d 35, 41 [1977], quoting *Culombe v Connecticut*, 367 US 568, 602 [1961]).

Thus we conclude, as a matter of law, that the circumstances presented here do not constitute a single continuous chain of events and that the Mirandized statements in this case were admissible and properly introduced at defendant's trial notwithstanding the prior unwarned custodial interrogation. Defendant's remaining arguments are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). I respectfully dissent. In my view, Supreme Court erred in refusing to suppress defendant's post-*Miranda* statements, which were part of a single custodial police interrogation that began before warnings were administered and continued without a pronounced break. Defendant was intoxicated at the time of his arrest and was interrogated following a 19 hour detention.

The New York Constitution grants broader protection than the Fifth Amendment of the United States Constitution in cases involving successive interrogations where a Mirandized statement is preceded by an improper, un-Mirandized admission (see *People v Bethea*, 67 NY2d 364, 368 [1986]). The view of the U.S. Supreme Court, as expressed in *Oregon v Elstad* (470 US 298 [1985]), is that, once *Miranda* warnings are given, the "taint" of a prior, unwarned statement is dissipated, rendering the subsequent statement admissible at trial. The Supreme Court concluded that:

"[A] careful and thorough administration of *Miranda* warnings serves to cure the condition that rendered the unwarned statement inadmissible. The warning conveys the relevant information and thereafter the suspect's choice whether to exercise his privilege to remain silent should ordinarily be viewed as an 'act of free will' " (*id.* at 310-311).

In contrast, this Court has stated that, "where an improper, unwarned statement gives rise to a subsequent Mirandized statement as part of a 'single continuous chain of events,' there is inadequate assurance that the *Miranda* warnings were effective in protecting a defendant's rights, and the warned statement must also be suppressed" (*People v Paulman*, 5 NY3d 122, 130 [2005]). The factors to be considered in determining whether there is a "single continuous chain of events" include

"the time differential between the *Miranda* violation and the subsequent admission; whether the same police personnel were present and involved in eliciting each statement; whether there was a change in the location or nature of the interrogation; the circumstances surrounding the *Miranda* violation, such as the extent of the improper ques-

tioning; and whether, prior to the *Miranda* violation, defendant had indicated a willingness to speak to police” (*id.* at 130-131).

While “[n]o one factor is determinative and each case must be viewed on its unique facts” (*id.* at 131), this Court has stated that the purpose of the inquiry is to assess whether “there was a sufficiently ‘definite, pronounced break in the interrogation’ to dissipate the taint from the *Miranda* violation” (*id.*, quoting *People v Chapple*, 38 NY2d 112, 115 [1975]).

As the majority notes, the Appellate Division’s determination that defendant was subjected to a brief period of custodial interrogation or its functional equivalent prior to receiving *Miranda* warnings is a mixed question of law and fact that must be affirmed unless no record basis exists for this conclusion (*see Paulson*, 5 NY3d at 129; *People v Cruz*, 90 NY2d 961, 962 [1997]). In my view, record support exists for the Appellate Division’s conclusion that defendant was interrogated because, prior to advising defendant of his *Miranda* rights the detectives asked defendant if he wanted to “tell his side of the story” after showing him a picture of the victim and telling him that he was murdered “in cold blood, or there was a reason for it.” As the Appellate Division noted, such questioning was likely to elicit an incriminating response from defendant.

Furthermore, the fact that defendant’s pre-*Miranda* statement was not incriminating does not eliminate the need to determine whether the sessions were part of a “single continuous chain of events.” Adopting such a principle would significantly alter this Court’s *Chapple-Bethea* rule by rendering it inapplicable in all cases except where the defendant confesses or implicates himself in a crime prior to receiving *Miranda* warnings. If the pre- and post-*Miranda* interrogations are part of a “single continuous chain of events,” there still exists “inadequate assurance that the *Miranda* warnings were effective in protecting a defendant’s rights” (*Paulman*, 5 NY3d at 130), even if defendant does not make an incriminating statement prior to receiving *Miranda* warnings. Concluding that only inculpatory statements trigger the “single continuous chain of events” rule would not, in my opinion, adequately deter prolonged, un-Mirandized police interrogation.

Applying the *Paulman* factors to determine whether the questioning of defendant was part of a “single continuous chain of events,” it seems clear that there was no pronounced break between the pre-*Miranda* statement by defendant (in which he

agreed to tell the detectives “everything” if they brought him cigarettes and Pepsi) and his post-*Miranda* confession. The same detectives performed the interrogation before and after administration of the *Miranda* warnings (in fact, one detective remained with defendant while the cigarettes and soft drink were being retrieved) and there was no change in the location or nature of the interrogation (see *Paulman*, 5 NY3d at 130-131). Further, unlike the case in *Paulman*, where the Court noted that the defendant had previously expressed a willingness to speak with the police prior to the *Miranda* violation, there is no indication here that defendant wished to speak with the police before the *Miranda* violation occurred. Accordingly, in my view, defendant’s post-*Miranda* statements should have been suppressed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents in a separate opinion.

Order affirmed.

[886 NE2d 769, 857 NYS2d 8]

CEDRIC FLEMING et al., Plaintiffs, v THOMAS GRAHAM et al.,
Defendants and Third-Party Plaintiffs-Respondents. PIN-
STripES GARMENT SERVICES, LLC, Third-Party Defendant-
Appellant.

Argued February 13, 2008; decided March 20, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 14, 2006. The Appellate Division affirmed, insofar as appealed from, so much of an order of the Supreme Court, Kings County (David I. Schmidt, J.; op 2005 NY Slip Op 30268[U]), as had denied third-party defendant's motion for summary judgment dismissing the third-party complaint. The following question was certified by the Appellate Division: "Was the decision and order of this court dated November 14, 2006, properly made?"

Fleming v Graham, 34 AD3d 525, reversed.

HEADNOTE

Workers' Compensation — Third-Party Action — Grave Injury

In plaintiff's action to recover damages for injuries sustained in the course of his employment, plaintiff's employer was entitled to summary judgment dismissing defendant's third-party action against it for common-law indemnification and/or contribution pursuant to Workers' Compensation Law § 11, because plaintiff's facial injuries did not constitute a "permanent and severe facial disfigurement" for purposes of qualifying as a "grave injury" under the statute. With competent medical evidence, a court may generally determine whether a facial disfigurement is permanent. An injury disfigures the face when it detrimentally alters the plaintiff's natural beauty, symmetry or appearance, or otherwise deforms. A disfigurement is severe if a reasonable person viewing the plaintiff's face in its altered state would regard the condition as abhorrently distressing, highly objectionable, shocking or extremely unsightly. The determination as to whether a plaintiff has sustained "permanent and severe facial disfigurement" is ordinarily one for the court as a matter of law. Here, although plaintiff sustained multiple facial injuries resulting in scars on his forehead and upper eyelid, photographs in the record demonstrated a steady progression from the initial injuries to scarring, to significant recovery. Plaintiff's injuries did not rise to the level of a "severe" disfigurement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 457, 458.

McKINNEY's, Workers' Compensation Law § 11.
NY JUR 2d, Workers' Compensation §§ 112–114.

ANNOTATION REFERENCE

Modern status of effect of state worker's compensation act on right of third-person tortfeasor to contribution or indemnity from employer of injured or killed worker. 100 ALR3d 350.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation /p facial /p grave /p indemnity!

POINTS OF COUNSEL

Baxter, Smith, Tassan & Shapiro, P.C., Jericho (*Robert C. Baxter* and *Sim R. Shapiro* of counsel), and *Gregory Allen* for third-party defendant-appellant. I. The Appellate Division, Second Department erred in holding that Pinstripes Garment Services, LLC failed to meet its burden to show that plaintiff did not sustain a “grave injury.” (*Castro v United Container Mach. Group*, 96 NY2d 398; *Rubeis v Aqua Club, Inc.*, 3 NY3d 408; *Dunn v Smithtown Bancorp.*, 286 AD2d 701; *Way v Grantling*, 289 AD2d 790; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Meis v ELO Org.*, 97 NY2d 714; *Matter of Board of Educ. of Syracuse City School Dist. v State Div. of Human Rights*, 38 AD2d 245; *Krollman v Food Automation Serv. Techniques, Inc.*, 13 AD3d 1209; *Rosen v Nygren Dahly Co.*, 1 AD3d 998; *Sergeant v Murphy Family Trust*, 292 AD2d 761.) II. Summary judgment should have also been granted because defendant and third-party plaintiff-respondent failed to yield the right-of-way to Pinstripes Garment Services, LLC's approaching vehicle. (*Galvin v Zacholl*, 302 AD2d 965; *Lubitz v Village of Scarsdale*, 31 AD3d 618; *Agin v Rehfeldt*, 284 AD2d 352; *Almonte v Tobias*, 36 AD3d 636; *Gabler v Marly Bldg. Supply Corp.*, 27 AD3d 519; *Stiles v County of Dutchess*, 278 AD2d 304; *Russo v Scibetti*, 298 AD2d 514; *Welch v Norman*, 282 AD2d 448; *Cenovski v Lee*, 266 AD2d 424; *Troche v New York City Tr. Auth.*, 16 AD3d 407.)

Mauro Goldberg & Lilling LLP, Great Neck (*Barbara DeCrow Goldberg* and *Anthony F. DeStefano* of counsel), and *Marshall, Conway, Wright & Bradley* for defendants and third-party plaintiffs-respondents. I. It is for the factfinder to determine,

with guidance from this Court, whether Cedric Fleming's facial disfigurement is "severe" enough to constitute a "grave injury." (*Fitzpatrick v Chase Manhattan Bank*, 285 AD2d 487; *Rubeis v Aqua Club, Inc.*, 3 NY3d 408; *Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248; *Smith v Mouawad*, 91 AD2d 700; *Matter of Leone v Bricklayers Masons & Plasterers Intl. Union No. 83*, 59 AD2d 812; *Waldron v Wild*, 96 AD2d 190; *Cushing v Seemann*, 247 AD2d 891; *Hutchinson v Beth Cab Corp.*, 204 AD2d 151; *Zulawski v Zulawski*, 170 AD2d 979; *Landsman v Bunker*, 142 AD2d 986.) II. The issue of liability is not properly before this Court. Thus, the Appellate Division correctly affirmed the denial of Pinstripes Garment Services, LLC's motion. In any event, even if this Court considered Pinstripes' arguments on liability on their merits, Pinstripes is still not entitled to summary judgment. (*Herrick v Second Cuthouse*, 64 NY2d 692; *Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Calemine v Hobler*, 263 AD2d 495; *Bogorad v Fitzpatrick*, 38 AD2d 923, 31 NY2d 984; *Young v Mauch*, 268 AD2d 583; *Thomas v Holzberg*, 300 AD2d 10; *Canceleno v Johnston*, 264 AD2d 405; *Bagnato v Romano*, 179 AD2d 713; *Shea v Judson*, 283 NY 393; *Galvin v Zacholl*, 302 AD2d 965.)

OPINION OF THE COURT

JONES, J.

The issue in this case is whether plaintiff's facial injuries constituted a "permanent and severe facial disfigurement" for purposes of qualifying as a "grave injury" under Workers' Compensation Law § 11. Under the facts of this case, we hold that they do not.

Following a collision between a van driven by a Pinstripes Garment Services, LLC employee and a school bus driven by an employee of Evergreen Bus Service, Inc., plaintiff Cedric Fleming (a Pinstripes employee and passenger in the van) sustained multiple facial injuries resulting in scars on his forehead and right upper eyelid. Fleming sued Evergreen and its bus driver for negligence. Evergreen commenced a third-party action against Pinstripes for common-law indemnity and/or contribution pursuant to Workers' Compensation Law § 11 on the theory that Fleming sustained a "permanent and severe facial disfigurement." Pinstripes subsequently moved for summary judgment dismissing the third-party complaint on the ground that Fleming's injuries were not "grave."

Supreme Court denied Pinstripes' motion, concluding that questions of fact existed. The court relied on an unsworn report

of the first-party defendant's expert who opined that some of Fleming's scars could not be improved. The court also stated that Fleming's "numerous facial scars . . . [were] plainly visible to the observer" (2005 NY Slip Op 30268[U], *8). The Appellate Division affirmed, concluding that photographs of Fleming's face "did not clearly show that [his] facial scarring was not a severe facial disfigurement" (*Fleming v Graham*, 34 AD3d 525, 527 [2d Dept 2006]). We now reverse.

Absent an express indemnification agreement, or a "grave injury" as enumerated in Workers' Compensation Law § 11,* an employer's liability for an employee's on-the-job injury is ordinarily limited to workers' compensation benefits (*see Tonking v Port Auth. of N.Y. & N.J.*, 3 NY3d 486, 490 [2004]). Where a "grave injury" results, a primary defendant may commence a third-party action against the injured plaintiff's employer for common-law indemnification and/or contribution. This case requires us to articulate a standard for assessing claims of "permanent and severe facial disfigurement."

Our analysis begins and ends with the legislative goal of the Omnibus Workers' Compensation Reform Act of 1996, which enacted the third paragraph of section 11. Before 1996, first-party defendants were free to implead an injured plaintiff's employer in a personal injury action for "unlimited contribution or indemnification" (Governor's Approval Mem, Bill Jacket, L 1996, ch 635, at 54). Allowing such unfettered third-party actions undermined the employer's reliance upon workers' compensation benefits as its exclusive liability.

The purpose of the 1996 legislation was "to reduce costs for employers while also protecting the interests of injured workers" (*Rubeis v Aqua Club, Inc.*, 3 NY3d 408, 415 [2004]). Section 11 thus serves to protect employers by barring third-party

* Section 11 states, in part:

"An employer shall not be liable for contribution or indemnity to any third person based upon liability for injuries sustained by an employee acting within the scope of his or her employment for such employer unless such third person proves through competent medical evidence that such employee has sustained a 'grave injury' which shall mean *only one or more of the following*: death, permanent and total loss of use or amputation of an arm, leg, hand or foot, loss of multiple fingers, loss of multiple toes, paraplegia or quadriplegia, total and permanent blindness, total and permanent deafness, loss of nose, loss of ear, *permanent and severe facial disfigurement*, loss of an index finger or an acquired injury to the brain caused by an external physical force resulting in permanent total disability" (emphasis added).

actions against them “except in *extremely* limited, defined circumstances” (*Castro v United Container Mach. Group*, 96 NY2d 398, 402 [2001] [emphasis added]; *see also* Minkowitz, Practice Commentaries, McKinney’s Cons Laws of NY, Book 64, Workers’ Compensation Law § 11, at 444 [“Section 11 was written with the obvious, deliberate intention of ensuring preservation of the concept of the Workers’ Compensation Law being the employer’s exclusive liability to its employees”]). The categories of grave injuries listed in section 11, providing the sole bases for a third-party action, “are deliberately both *narrowly and completely described*”; the list, both “exhaustive” and “not illustrative,” is “not intended to be extended absent further legislative action” (Governor’s Approval Mem at 55 [emphasis added]).

What constitutes “permanent and severe facial disfigurement” is unlike most of the other enumerated “grave” injuries, which are, on the whole, amenable to “objectively ascertainable” determinations as a matter of law (*Rubeis*, 3 NY3d at 417; *see also Meis v ELO Org.*, 97 NY2d 714, 716 [2002] [loss of thumb is not a “permanent and total loss of use” of a hand]; *Castro*, 96 NY2d at 401 [“‘loss of multiple fingers’ cannot sensibly be read to mean partial loss of multiple fingers”]). Generally, courts have been able to conclusively say, one way or the other, whether an injury is or is not so “severe” for section 11 purposes (*see e.g. Rosen v Nygren Dahly Co.*, 1 AD3d 998, 998 [4th Dept 2003] [minor facial scarring insufficient as a matter of law]; *Krollman v Food Automation Serv. Techniques, Inc.*, 13 AD3d 1209, 1210 [4th Dept 2004] [three-millimeter scar above eyebrow and “some mottling of her cheeks” insufficient]; *Giblin v Pine Ridge Log Homes, Inc.*, 42 AD3d 705, 707 [3d Dept 2007] [loss of eye, though a permanent condition, not a severe disfigurement where use of prosthesis leaves only negligible alteration in facial appearance]). However, these determinations have been rendered without the aid of a reliable, fairly predictable legal guidepost.

In construing the statute we follow two fundamental principles: first, we implement the intent of the Legislature. Second, we construe statutory words in light of “their plain meaning without resort to forced or unnatural interpretations” (*Castro*, 96 NY2d at 401). The statutory purpose of section 11, as explained above, is clear. Turning to the critical statutory words, we note initially that permanency and severity are both conditions precedent to a finding of “facial disfigurement.” With

competent medical evidence, a court may generally determine whether a facial disfigurement is permanent. Severity presents a different inquiry. Consistent with the legislative intent behind section 11, we conclude that “severity” implies a highly limited class of disfiguring injuries beyond minor scarring or lacerations.

“Severe” is variously defined as something “[c]ausing sharp discomfort or distress” (American Heritage Dictionary 1248 [3d ed 2000]) or something “[e]xtremely intense,” as in “severe pain” (Webster’s II New College Dictionary 1012 [1995]; see also Webster’s Third New International Dictionary, Unabridged [2008] [something “of a *great* degree or an undesirable or harmful extent” (emphasis added)]). Plainly, the specification of “severe” in the statute points to the greater end of the disfigurement spectrum (see *Blackburn v Wyson & Miles Co.*, 11 AD3d 421, 422 [2d Dept 2004] [“(g)rave injury is a statutorily-defined threshold for *catastrophic* injuries” (emphasis added)]).

As for “disfigurement,” one definition seems to capture the essence of the word well: “that which impairs or injures the beauty, symmetry or appearance of a person or thing; that which renders unsightly, misshapen or imperfect or deforms in some manner” (*Pilato v Nigel Enters., Inc.*, 48 AD3d 1133, 1135-1136 [4th Dept 2008]; see also *Giblin*, 42 AD3d at 707; *Superior Min. Co. v Industrial Commn.*, 309 Ill 339, 340-341, 141 NE 165 [1923]).

While no conceivable standard can capture in toto the highly limited class of “severe” facial disfigurements contemplated by section 11, we nonetheless conclude that an injury disfigures the face when it detrimentally alters the plaintiff’s natural beauty, symmetry or appearance, or otherwise deforms. A disfigurement is severe if a reasonable person viewing the plaintiff’s face in its altered state would regard the condition as abhorrently distressing, highly objectionable, shocking or extremely unsightly. In finding that a disfigurement is severe, plaintiff’s injury must greatly alter the appearance of the face from its appearance before the accident. The foregoing standard, ordinarily one for the court as a matter of law, removes the inquiry from plaintiff’s subjective self-assessment and most closely approximates what the Legislature contemplated.

In this case, Pinstripes demonstrated that no material issue of fact remains and it is thus entitled to summary judgment on the basis that Fleming did not sustain a permanent and severe

facial disfigurement (see *Cox v Kingsboro Med. Group*, 88 NY2d 904, 906 [1996]). The photographs in the record show numerous scars. However, they demonstrate a steady progression from the initial injuries to scarring, to significant recovery. Although first-party defendant's expert implied that Fleming's scars are permanent, his report indicated that revisions were possible. Even aside from the evidentiary value of the report and, indeed, the question of permanency, whether Fleming's disfigurement is "severe" remains for us to decide. While in some cases that question is one properly for the factfinder, we determine that, on the facts of this case, Fleming's injuries do not rise to the level of a "severe" disfigurement. Although there are cases where a reasonable person might view multiple scarring as satisfying the standard we articulate here, this is not one of them.

Accordingly, the Appellate Division order should be reversed, with costs, third-party defendant's motion for summary judgment dismissing the third-party complaint granted and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[886 NE2d 162, 856 NYS2d 540]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AZIM
HALL, Appellant.

Argued February 7, 2008; decided March 25, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 6, 2007. The Appellate Division (1) reversed, on the law, (a) an order of the Supreme Court, New York County (Bruce Allen, J.), which had granted defendant's motion to suppress the drugs recovered from his rectum, and (b) an order of that court which had dismissed the indictment; (2) denied defendant's motion to suppress; and (3) reinstated the indictment.

People v Hall, 39 AD3d 100, reversed.

HEADNOTES

Crimes — Unlawful Search and Seizure — Visual Body Cavity Inspection

1. Defendant, who had been observed engaging in a hand-to-hand sale of two small quantities of crack cocaine, was properly subjected to a warrantless visual body cavity inspection. In order to conduct a warrantless visual body cavity search, during which a police officer looks at but does not touch the arrestee's anal or genital cavities, usually by asking the arrestee to bend over, the police must have a specific, articulable factual basis supporting a reasonable suspicion to believe the arrestee secreted contraband, evidence, or a weapon inside a body cavity, and the visual inspection must be conducted reasonably. Here the police had reasonable suspicion that defendant had drugs secreted underneath his clothing and possibly in his body, and the inspection, which was conducted privately in a cell, without undue force and by officers of the same gender as defendant, was reasonable in scope and manner and did not violate the Fourth Amendment.

Crimes — Unlawful Search and Seizure — Manual Body Cavity Search

2. The police, having physically removed the object that was attached to a string protruding from defendant's rectum without first obtaining a warrant, conducted an unreasonable manual body cavity search in violation of the Fourth Amendment. Although defendant, who had been observed engaging in a hand-to-hand sale of two small quantities of crack cocaine, was properly subjected to a warrantless visual body cavity inspection, a more stringent standard applied to the physical search of his body cavity. Once the police saw the string, their reasonable suspicion was elevated to probable cause to believe that contraband was concealed in defendant's body, but probable cause alone was not enough to permit the removal of the object. Rather, the police were required to obtain a warrant authorizing the removal in the absence of exigent circumstances justifying an immediate seizure. There were no exigent circum-

stances here, as the testifying officers indicated that the purpose of the search was to secure evidence and there was no testimony that the drugs were in imminent danger of being destroyed, disseminated, or lost, or that defendant was in medical distress.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 229, 250, 277, 278.
 CARMODY-WAIT 2d, Criminal Procedure §§ 172:65–172:69,
 172:91.
 LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.2–3.5.
 NY JUR 2d, Criminal Law §§ 215, 216, 224, 474.5.

ANNOTATION REFERENCE

See ALR Index under Search and Seizure.

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Database: NY-ORCS

Query: cavity /2 search & probable /2 cause & crack

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant. I. The drugs recovered from appellant following his arrest must be suppressed because there were no exigent circumstances justifying the warrantless body cavity search incident to arrest that the police conducted at the precinct solely for the purpose of finding evidence. (*Katz v United States*, 389 US 347; *People v Diaz*, 81 NY2d 106; *United States v Robinson*, 414 US 218; *Schmerber v California*, 384 US 757; *Chimel v California*, 395 US 752; *United States v Edwards*, 415 US 800; *People v More*, 283 AD2d 715; *Blackburn v Snow*, 771 F2d 556; *Fuller v M.G. Jewelry*, 950 F2d 1437; *Bell v Wolfish*, 441 US 520.) II. The initial “strip search” was itself unconstitutional. (*People v De Bour*, 40 NY2d 210; *Illinois v Lafayette*, 462 US 640; *Weber v Dell*, 804 F2d 796, *cert denied sub nom. County of Monroe v Weber*, 483 US 1020; *Sarnicola v County of Westchester*, 229 F Supp 2d 259; *Swain v Spinney*, 117 F3d 1; *People v Barnville*, 31 AD3d 271; *People v Kelley*, 306 AD2d 699; *United States v Montoya de Hernandez*, 473 US 531; *People v P.J. Video*, 68 NY2d 296; *People v Scott*, 79 NY2d 474.)

Robert M. Morgenthau, *District Attorney*, New York City (*Eric Rosen* and *Vincent Rivellese* of counsel), for respondent. The

strip and visual body cavity search of defendant at the police station house subsequent to his lawful arrest for the felony sale of narcotics was entirely reasonable. (*Schmerber v California*, 384 US 757; *People v More*, 97 NY2d 209; *Bell v Wolfish*, 441 US 520; *United States v Robinson*, 414 US 218; *United States v Edwards*, 415 US 800; *Chimel v California*, 395 US 752; *Knowles v Iowa*, 525 US 113; *Illinois v Lafayette*, 462 US 640; *Swain v Spinney*, 117 F3d 1; *Chapman v Nichols*, 989 F2d 393.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we must consider whether it is constitutionally permissible for police to subject a person arrested for a drug sale to a visual body inspection followed by a body cavity search without first obtaining a warrant. We conclude that a visual body inspection may be conducted if the police have a factual basis supporting a reasonable suspicion that the arrestee has evidence concealed inside a body cavity and the search is conducted in a reasonable manner. If the visual inspection reveals the presence of a suspicious object, the police must obtain a warrant authorizing the object's removal unless there are exigent circumstances.¹

I

During the evening of February 10, 2005, a team of police officers conducted a narcotics interdiction operation in Manhattan. Sergeant Burnes, a 20-year police veteran with extensive drug arrest experience, was stationed on the roof of a building observing individuals on the street below through binoculars. Burnes saw a man named Meyers that he recognized from the neighborhood standing outside a bodega. Two individuals approached Meyers, spoke with him and handed him money. Meyers then walked over to defendant, conversed briefly with him and gave him the cash.

Defendant went into the bodega while Meyers stood near the front door. After being inside the store for about three minutes, defendant reappeared and handed something to Meyers. Meyers

1. Five members of this Court (Chief Judge Kaye, Judges Read, Smith, Pigott and myself) agree that the reasonable suspicion standard applies to visual body cavity inspections. Four members (Chief Judge Kaye, Judges Ciparick, Jones and myself) conclude that an object protruding from a body cavity cannot be removed without a warrant unless there are exigent circumstances. Judges Ciparick and Jones disagree with the majority on the first issue; Judges Read, Smith and Pigott disagree with the majority on the second issue.

approached the individuals who had given him the money and held out his hand to them. Sergeant Burnes observed two small, white objects in Meyers' hand that appeared to be crack cocaine. Each of the men took one piece and departed. A short time later, defendant and Meyers walked away from the bodega, heading in different directions. Burnes then contacted officer Spiegel on the street using radio communication and eventually defendant and Meyers were taken into police custody.

Defendant was transported to a police station where Spiegel searched his clothing but no drugs were found. Spiegel placed defendant in a private detention cell and asked him to remove his clothing. Burnes entered the cell and defendant was ordered to bend over or squat, at which point Spiegel and Burnes observed a string or piece of plastic hanging out of defendant's rectum. Believing that the string was attached to a package of drugs hidden inside defendant's body, Burnes ordered defendant to remove the object. When defendant refused, Spiegel proceeded to hold defendant while Burnes pulled on the string and removed a plastic bag that was found to contain crack cocaine.

Defendant was indicted for criminal possession of a controlled substance in the third and fifth degrees. Prior to trial, he moved to suppress the drugs taken from his body, claiming that the police were required to obtain a warrant before examining his body cavity. Supreme Court granted the motion and dismissed the indictment. The Appellate Division reversed, concluding that the visual inspection of defendant's body cavity was permissible because the police had reasonable suspicion to believe that defendant had narcotics hidden inside his body and that, once the string was discovered, the police were allowed to immediately retrieve the drugs without first obtaining a warrant. A Judge of this Court granted leave.

II

There are three distinct and increasingly intrusive types of bodily examinations undertaken by law enforcement after certain arrests and it is critical to differentiate between these categories of searches. A "strip search" requires the arrestee to disrobe so that a police officer can visually inspect the person's body. The second type of examination—a "visual body cavity inspection"—occurs when a police officer looks at the arrestee's anal or genital cavities, usually by asking the arrestee to bend over; however, the officer does not touch the arrestee's body cavity. In contrast, a "manual body cavity search" includes

some degree of touching or probing of a body cavity that causes a physical intrusion beyond the body's surface.²

The preeminent decision examining the constitutional dimensions of searches that involve police intrusion into a person's body is *Schmerber v California* (384 US 757 [1966]). In that case, a police officer had a physician at a hospital draw a blood sample to determine the level of alcohol that was in the blood of an individual arrested after a motor vehicle accident. Recognizing that "interests in human dignity and privacy" arise whenever the police need to enter a person's body to secure evidence, the United States Supreme Court concluded that a lawful arrest alone does not justify police intrusion into a person's body (*id.* at 769-770). Rather, there must be "a clear indication that . . . [relevant] evidence will be found" inside an arrestee's body and a search warrant authorizing the seizure of evidence must be obtained unless an emergency situation exists (*id.* at 770).³ In *Schmerber*, the Supreme Court determined that the blood evidence was legally obtained and admissible because the extraction was performed in a reasonable manner under exigent circumstances.⁴

Although *Schmerber* did not address the constitutionality of less intrusive visual inspections of an arrestee's body, post-*Schmerber* precedent demonstrates considerable judicial consensus concluding that visual body inspections are constitutionally distinct from searches that require the police to intrude beyond the surface of a person's body and that the two types of searches are therefore subject to different legal standards. In *Bell v Wolfish* (441 US 520 [1979]), the United States Supreme Court upheld the blanket policy of a pretrial detention center

2. See e.g. *Paulino v State*, 399 Md 341, 352, 924 A2d 308, 315 (2007), *cert denied* 552 US —, 128 S Ct 709 (2007); *Blackburn v Snow*, 771 F2d 556, 561 n 3 (1st Cir 1985); *McGee v State*, 105 SW3d 609, 615 (Tex Ct Crim App 2003); Kamins, New York Search and Seizure § 4.03 (5), at 4-141 (2007).

3. "Clear indication" means "the necessity for particularized suspicion that the evidence sought might be found within the body of the individual"; it is not "a third Fourth Amendment threshold between 'reasonable suspicion' and 'probable cause' " (*United States v Montoya de Hernandez*, 473 US 531, 540 [1985]). Because *Schmerber* mandates a warrant in the absence of exigent circumstances, the clear indication test requires that searches beyond the surface of a person's body be supported by at least probable cause.

4. The Court concluded that an emergency existed because the percentage of alcohol in the blood begins to diminish shortly after the person stops drinking, which meant that the time expended to secure a warrant would have caused relevant evidence to degrade or disappear (see *Schmerber*, 384 US at 770-771).

that conducted visual body cavity examinations of detainees following visitations with persons from outside the facility. In assessing the legality of this practice under the Fourth Amendment, the Supreme Court explained that various factors should be considered, including “the scope of the particular intrusion, the manner in which it is conducted, the justification for initiating it, and the place in which it is conducted” (*id.* at 559). Weighing these interests, along with the fact that the smuggling of contraband was a frequent problem posing significant security concerns for detention centers, the Court held that such visual cavity searches of pretrial detainees could be conducted on less than probable cause grounds so long as they were conducted in a reasonable manner (*id.* at 559-560).

The Supreme Court has yet to address the question of whether warrantless strip searches of persons arrested—as opposed to pretrial detainees—can be performed in a manner that satisfies constitutional requirements (*see Illinois v Lafayette*, 462 US 640, 646 n 2 [1983]). Nevertheless, it is clear that reasonableness is the “ultimate touchstone of the Fourth Amendment” (*Brigham City, Utah v Stuart*, 547 US 398, 403 [2006]; *see Wolfish*, 441 US at 558 [the “Fourth Amendment prohibits only unreasonable searches”]). Our task, then, is to determine whether it is reasonable to draw a constitutional distinction between a visual inspection of an arrestee’s body (which requires no touching of the person’s body whatsoever) and a manual body cavity search (which necessarily results in an intrusion beyond the body’s surface and possibly the removal of an object or the insertion of an instrument into an orifice).

The majority of appellate courts to consider the propriety of visual inspections have applied the reasoning of *Wolfish* and recognized that the difference in the degree of intrusiveness between visual and manual body cavity searches provides ample justification for applying a standard less stringent than *Schmerber* to visual cavity inspections of arrestees. Thus, it has been held that a visual body cavity search of an arrestee may be justified by a reasonable suspicion that the arrestee is concealing a weapon or contraband (*see Swain v Spinney*, 117 F3d 1, 5 [1st Cir 1997]), which could be supported by consideration of “the crime charged, the particular characteristics of the arrestee, and/or the circumstances of the arrest” (*Weber v Dell*, 804 F2d 796, 802 [2d Cir 1986], *cert denied sub nom. County of Monroe v Weber*, 483 US 1020 [1987]; *see e.g. Campbell v Miller*, 499 F3d 711, 718 [7th Cir 2007]; *Stewart v Lubbock County, Tex.*, 767

F2d 153, 156-157 [5th Cir 1985], *cert denied* 475 US 1066 [1986]; *Mary Beth G. v City of Chicago*, 723 F2d 1263, 1273 [7th Cir 1983]; *Sarnicola v County of Westchester*, 229 F Supp 2d 259, 269-271 [SD NY 2002]; *see also Blackburn v Snow*, 771 F2d at 562; *but see Fuller v M.G. Jewelry*, 950 F2d 1437, 1448-1449 [9th Cir 1991]).

[1] These decisions stand for the principle that the Fourth Amendment does not prohibit a visual cavity inspection if the police have at least a reasonable suspicion to believe that contraband, evidence or a weapon is hidden inside the arrestee's body. As the balancing test in *Wolfish* suggests, the "reasonable suspicion" standard must take into account the nature of the crime charged, the circumstances of the arrest and the scope of the particular intrusion. Unlike manual body cavity searches, strip searches and visual cavity inspections do not create a risk of physical pain or injury to arrestees. Because a manual cavity search is more intrusive and gives rise to heightened privacy and health concerns, when weighed against the legitimate needs of law enforcement, we believe it should be subject to a stricter legal standard.

The concurrence maintains that *Wolfish* is not particularly relevant to the assessment of whether reasonable suspicion should govern visual cavity inspections because it focused on the need to maintain institutional security (*see concurring op at* 316-317). It is true that *Wolfish* addressed security concerns that are not present in this case. But this alone does not render the rationale and analytical framework of *Wolfish* irrelevant. *Wolfish* recognized that there is a legitimate interest in preventing drugs from being distributed in a secure law enforcement facility (*see Wolfish*, 441 US at 559)—which a police station surely is—and the Supreme Court has repeatedly reiterated that there is nothing unreasonable about allowing the police to conduct a search of an arrestee incident to an arrest for the purpose of preserving evidence (*see e.g. Knowles v Iowa*, 525 US 113, 116 [1998]; *United States v Robinson*, 414 US 218, 234-235 [1973]).⁵

5. The concurrence further reasons that visual body inspections are unnecessary because precincts contain numerous detention and holding cells that can be used to segregate and monitor arrestees pending the issuance of warrants (*see concurring op at* 317). This is simply not the case throughout our state. In rural locales, there may be a limited number of State Troopers, deputy sheriffs or municipal police officers on duty covering expansive geographical regions—and some towns and villages do not maintain their own police forces. This presents a practical difficulty in keeping an arrestee suspected of

(n. cont'd)

Schmerber, however, dictates that a more stringent standard be applied to a physical search of an arrestee's body cavity. Our most recent decision addressing a search into a person's body is *People v More* (97 NY2d 209 [2002]). In that case, the police entered a residence and found the defendant sitting near drugs and drug paraphernalia. They took him into a room in the apartment, had him remove his clothing and made him bend at the waist to check whether he had drugs hidden between his buttocks. When the police saw a plastic bag protruding from the defendant's rectum, they forcibly removed it.⁶

We recognized that a search of this nature was "at least as intrusive as [the] blood test procedures" in *Schmerber* (*id.* at 213). As a result, the actions of the police were constitutionally permissible only if the People could satisfy the clear indication and exigent circumstance requirements of *Schmerber*. We determined that the record before us was "devoid of any evidence from which an officer 'might reasonably have believed that he was confronted with an emergency, in which the delay necessary to obtain a warrant' posed a threat to the officer's personal safety or of the destruction of the evidence" (*id.* at 214, quoting *Schmerber*, 384 US at 770). Because there were no exigent circumstances supporting the warrantless intrusion into the suspect's body, we held that the removal of the object from the defendant's rectum without prior judicial authorization violated the Fourth Amendment (*see More*, 97 NY2d at 214).⁷

[2] Summarizing the relevant constitutional precedent, it is clear that a strip search must be founded on a reasonable

having drugs hidden in his body segregated from other arrestees and under constant surveillance. We should not adopt a rule that conditions the constitutionality of a visual inspection on the relative availability of law enforcement resources.

6. The lurid facts described by the defendant in his brief in *More*, and quoted at length in the dissent (*see* dissenting op at 323-324), are simply not those found by the suppression court, affirmed by the Appellate Division and relied on by this Court in its decision. In that case, as this Court noted, an outer portion of the plastic bag containing cocaine was protruding from the defendant's rectum, yet the description illustrates the perils of attempting to remove even a protruding article from an arrestee's body cavity.

7. Although we declined in *More* to discuss the validity of body cavity searches conducted at a police station (*see* 97 NY2d at 214 n), it is evident that the location of a search is not the determinative factor under *Schmerber* because that decision prohibits all warrantless intrusions into an arrestee's body if there is no probable cause and exigent circumstances established, regardless of where the search occurs. Aside from those considerations, the site of a search is relevant only to the reasonableness of the manner in which the search was conducted (i.e., how, where and by whom it was done).

suspicion that the arrestee is concealing evidence underneath clothing and the search must be conducted in a reasonable manner. To advance to the next level required for a visual cavity inspection, the police must have a specific, articulable factual basis supporting a reasonable suspicion to believe the arrestee secreted evidence inside a body cavity and the visual inspection must be conducted reasonably. If an object is visually detected or other information provides probable cause that an object is hidden inside the arrestee's body, *Schmerber* dictates that a warrant be obtained before conducting a body cavity search unless an emergency situation exists. Under our decision in *More*, the removal of an object protruding from a body cavity, regardless of whether any insertion into the body cavity is necessary, is subject to the *Schmerber* rule and cannot be accomplished without a warrant unless exigent circumstances reasonably prevent the police from seeking prior judicial authorization.

It is important to emphasize that visual cavity inspections and manual body cavity searches cannot be routinely undertaken as incident to all drug arrests or permitted under a police department's blanket policy that subjects persons suspected of certain crimes to these procedures. There must be particular, individualized facts known to the police that justify subjecting an arrestee to these procedures (*see generally People v McIntosh*, 96 NY2d 521, 525 [2001]). Our precedent on this point is unequivocal: the police are required to have "specific and articulable facts which, along with any logical deductions, reasonably prompted th[e] intrusion" (*People v Cantor*, 36 NY2d 106, 113 [1975]), although they are allowed to "draw on their own experience and specialized training to make inferences from and deductions about the cumulative information available to them that might well elude an untrained person" (*United States v Arvizu*, 534 US 266, 273 [2002] [internal quotation marks omitted]). In addition, the reasonableness of the manner in which the search is conducted should be evaluated by reference to where, how and by whom the inspection occurred (e.g., usually in a private location,⁸ by a person of the same gender and without causing the arrestee to suffer further undue humiliation).

8. We acknowledge that a search other than in a private location is patently unreasonable except in the most extraordinary circumstances (perhaps where necessary to save the life of an arrestee). Thus, in the absence of highly unusual facts, we—like other courts across the nation—would condemn public visual cavity inspections as abusive, shameful and unconstitutional (*see e.g. Campbell v Miller*, 499 F3d at 719).

III

Applying the reasonable suspicion standard to the facts of this case, the record supports the conclusion of the Appellate Division that the strip search and visual cavity inspection of defendant's body were constitutionally valid because the particular facts, viewed objectively and in their totality, provided the police with reasonable suspicion that defendant had drugs secreted underneath his clothing and possibly in his body. Defendant had been observed engaging in a hand-to-hand sale of two small quantities of crack cocaine (*see Campbell v Miller*, 499 F3d at 718 [the police may consider the nature of the crime the defendant committed]). The police saw that, in order to complete the sale, defendant retreated into a building where he lingered for up to three minutes, which suggested that the narcotics defendant then produced outside the bodega were concealed in a place that was not readily accessible. The primary officer also testified that, in his experience (which involved over 1,000 drug arrests), a "good majority" of the persons arrested for narcotic offenses within a four-block radius of where defendant made his sale were found to have drugs hidden between their buttocks.

Considering all of these circumstances, in conjunction with the fact that the police found no drugs in defendant's possession after his arrest or the strip search, the police at that point had reasonable suspicion to believe that defendant had narcotics hidden inside his body. Furthermore, the primary officer participated in the visual cavity inspection, thereby establishing that the officers who conducted the inspection had sufficient information to support the reasonable suspicion that defendant had drugs concealed in his body. Finally, the inspection was reasonable in scope and manner because it was conducted privately in a cell, without undue force and by officers of the same gender as defendant. Thus, the police conduct in this case supports the Appellate Division's conclusion that the proper constitutional standard for a legal visual body inspection was satisfied.

Once the officers saw the string-like object suspiciously hanging from defendant's rectum, their reasonable suspicion was elevated to probable cause to believe that contraband was concealed in defendant's body. Yet in *More*, we stated that probable cause alone was not enough to permit the removal of an object protruding from an arrestee's rectum. Instead, we stressed that *Schmerber* requires the police to obtain a warrant authorizing the removal of the plastic bag in the absence of exigent circum-

stances justifying an immediate seizure of the item. The suppression record in this case provides no basis for a finding of exigent circumstances since the police officers who testified at the hearing indicated that the purpose of the search was to secure evidence and there was no testimony that the drugs were in imminent danger of being destroyed, disseminated or lost, or that defendant was in medical distress. Thus, when the police physically removed the object that was attached to the string without first obtaining a warrant, they conducted an unreasonable manual body cavity search in violation of the Fourth Amendment. Under these circumstances, *More* mandates that the recovered drugs be suppressed.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to suppress granted to the extent of suppressing the drugs recovered and the indictment dismissed.

CIPARICK, J. (concurring). I agree with the Court's conclusion that the manual body cavity search at issue here is unconstitutional under *People v More* (97 NY2d 209 [2002]) and *Schmerber v California* (384 US 757 [1966]). As a result, the majority correctly concludes that the cocaine that the police forcibly removed from defendant's rectum must be suppressed. I also agree that the reasonable suspicion standard should govern strip searches conducted to disarm suspects and to prevent the destruction or concealment of contraband. I cannot, however, join the majority in holding that visual body cavity searches incident to arrest constitute an exception to the warrant requirement of the Federal and State Search and Seizure Clauses. Rather I would hold that, just like a manual body cavity search, this intrusive, degrading, and humiliating species of search may only be conducted upon a neutral and detached magistrate's issuance of a warrant based upon probable cause or upon satisfaction of *Schmerber*'s clear indication test.

The rule announced in *Schmerber* is unequivocal. The search incident to arrest exception to the warrant requirement does not apply to "searches involving intrusions beyond the body's surface" (*Schmerber*, 384 US at 769). Rather, to safeguard the interests in the "human dignity and privacy" that the Search and Seizure Clauses were designed to protect, an intrusion extending beyond the body's surface may not be undertaken on the "mere chance that desired evidence might be obtained" (*id.* at 770). It must, instead, be authorized by a warrant issued by a neutral and detached magistrate because "[t]he importance of

informed, detached and deliberate determinations of the issue whether or not to invade another's body in search of evidence of guilt is indisputable and great" (*id.*). Indeed, the Court reasoned that "[s]earch warrants are ordinarily required for searches of dwellings, and absent an emergency, no less could be required where intrusions into the human body are concerned" (*id.*).

Nonetheless, *Schmerber* does not require a warrant for all bodily intrusions. An exception to its rule is permitted if three demonstrable facts are established: a "clear indication" that relevant evidence will be found in the bodily area to be searched, an "emergency" situation in which there was "no time" to secure a magistrate's warrant and any delay threatened the imminent destruction of relevant evidence and performance of the search in a "reasonable manner" (*Schmerber*, 384 US at 770, 771).¹ We adopted the *Schmerber* test in *More* to govern "body cavity searches incident to . . . arrest" (*More*, 97 NY2d at 213). Because we did not distinguish between visual and manual body cavity searches in that case, we are now required to determine whether *Schmerber* should apply to both categories of body cavity searches.

The majority holds that visual body cavity searches are exempt from *Schmerber*'s rule and are subject to the reasonable suspicion standard because it is "reasonable" to distinguish such searches from manual body cavity searches (*see* majority op at 308-309). This is so, says the majority, because a visual body cavity search "do[es] not create a risk of physical pain or injury" and is therefore somehow less intrusive than "a physical search of an arrestee's body cavity" (*see* majority op at 309, 310). But, even assuming that that assertion is correct, it is still true that eyes—as well as fingers and tools—can intrude unreasonably upon constitutionally protected privacy rights (*see* Kamins, New York Search and Seizure § 4.01 [1], at 4-3 [2007 ed] ["Whenever it is determined that an area is one in which an individual has a

1. Of course, even if a warrant is issued, the search must be conducted in a reasonable manner. The majority properly acknowledges that it would require "highly unusual facts" (*see* majority op at 311 n 8) to justify a public visual body cavity search (*see e.g. Paulino v State*, 399 Md 341, 360, 924 A2d 308, 319 [2007] [combined strip and visual body cavity search conducted in well-lit parking lot, where car passengers could observe, unconstitutional because it was "unnecessarily within the public view and thus violative of the Fourth Amendment"]; *Campbell v Miller*, 499 F3d 711, 719 [7th Cir 2007] ["Courts across the country are uniform in their condemnation of intrusive searches performed in public"]; *see also People v Mitchell*, 2 AD3d 145, 147 [1st Dept 2003] ["The strip search of the defendant, in public view . . . was not reasonable"]).

reasonable expectation of privacy, the invasion of that privacy constitutes a *search* within the meaning of the Fourth Amendment . . . A search can take a variety of forms (including) . . . a visual inspection’’)].

When a law enforcement official peers into the rectum of an arrestee to search for contraband, that visual inspection is clearly an intrusion into the body (*see Fuller v M.G. Jewelry*, 950 F2d 1437, 1449 [9th Cir 1991] [“*Schmerber* governs all searches that invade the interior of the body—whether by a needle that punctures the skin or a visual intrusion into a body cavity’’]). The fact that “no touching” (*see* majority op at 308) occurs is immaterial because the search represents a drastic affront to human dignity and privacy, the very fundamental constitutional interests that *Schmerber*’s rule was designed to protect (*see* 950 F2d at 1449 [“ ‘The interests in human dignity and privacy’ invaded when a public official peers inside a person’s body cavity are at least as great as those invaded by a needle piercing the skin. Therefore, a body cavity inspection cannot be justified by a lesser standard than that applied in *Schmerber* for a blood test’’]; *cf. United States v Oyekan*, 786 F2d 832, 839 n 13 [8th Cir 1986] [“We believe a body cavity search must be conducted consistently with the *Schmerber* factors, even though such a search does not technically require piercing the skin, because both the degree and kind of intrusion involved are of analogous proportions’’]).

Indeed, it is indisputable that visual body cavity searches are degrading, humiliating, and frightening (*see Campbell v Miller*, 499 F3d 711, 718 [7th Cir 2007], quoting *Mary Beth G. v City of Chicago*, 723 F2d 1263, 1272 [7th Cir 1983] [“strip searches involving the visual inspection of the anal (and genital) area(s) are ‘demeaning, dehumanizing, undignified, humiliating, terrifying, unpleasant, embarrassing, repulsive, (and) signify() degradation and submission’ ”]; *State v Clark*, 65 Haw 488, 497, 654 P2d 355, 362 [1982] [“It is humiliating and degrading to be forced to totally expose one’s self to a total and hostile stranger’’]; *Bell v Wolfish*, 441 US 520, 576-577 [1979, Marshall, J., dissenting] [visual body cavity searches “represent one of the most grievous offenses against personal dignity and common decency’’]; *accord More*, 97 NY2d at 213 [body cavity searches incident to arrest are “invasive” and “degrading’’]). Logically then—because we adopted the *Schmerber* test in *More*—our state’s citizens should be entitled to as much protection from warrantless visual body cavity searches as they are from a com-

mon blood drawing procedure that “involves virtually no risk, trauma, or pain” (see *Schmerber*, 384 US at 771).

I concede that the majority’s position is bolstered by the holdings of many federal circuit courts that have applied *Bell v Wolfish* (441 US 520 [1979]) to permit visual body cavity searches pursuant to a reasonable suspicion standard (see majority op at 308-309). But it is notable that the main factor motivating several of those courts to adopt the *Wolfish* test—the need to maintain institutional security—is wholly lacking support on this record (see *Swain v Spinney*, 117 F3d 1, 8 [1st Cir 1997] [“(T)he most compelling justification for warrantless strip and visual body cavity searches is institutional security”]; see also *Mary Beth G.*, 723 F2d at 1273; *Blackburn v Snow*, 771 F2d 556, 564 [1st Cir 1985]). And, as the majority acknowledges, the U.S. Supreme Court has reserved on the issue of whether the Fourth Amendment permits warrantless strip searches performed incident to arrest (see *Illinois v Lafayette*, 462 US 640, 646 n 2 [1983]).

The Ninth Circuit has concluded that visual body cavity searches of arrestees are subject to *Schmerber* (see *Fuller*, 950 F2d at 1449). The courts in at least one other state agree (see *Hughes v Commonwealth*, 31 Va App 447, 460, 524 SE2d 155, 162 [2000] [“Probable cause to believe a suspect possesses drugs, which justifies a search of an individual, does not justify a strip or body cavity search unless the evidence or circumstances specifically provides the officers with a ‘clear indication’ that the contraband is concealed in a body cavity”]; cf. *Moss v Commonwealth*, 30 Va App 219, 224-226, 516 SE2d 246, 249-250 [1999] [applying *Schmerber* test to strip search]). Thus, the judicial consensus on the propriety of visual body cavity searches is far from settled (see 3 LaFave, *Search and Seizure: A Treatise on the Fourth Amendment* § 5.3 [c], at 167 [4th ed] [“(T)here is still a need to scrutinize closely those searches incident to arrest which involve inspections of or intrusions into the body”]).²

In any event, *Wolfish* should not govern visual body cavity searches incident to arrest (see *Fuller*, 950 F2d at 1448 [absent record evidence that arrestees “ever intermingled with the gen-

2. In two cases decided after *Wolfish*, the courts of last resort in Hawaii and Louisiana held that *Schmerber* applies to body cavity searches conducted incident to arrest (see *State v Clark*, 65 Haw 488, 497, 654 P2d 355, 362 [1982]; *State v Fontenot*, 383 So 2d 365, 367 [La 1980]). Those cases, however, concerned manual body cavity searches and did not express a view on the applicability of *Schmerber* to visual body cavity searches.

eral jail population . . . the rationale underlying *Wolfish* . . .— which only allows strip searches of detainees with less than probable cause where the objective is to discover weapons or contraband—does not apply to the instant case”]; see also *Commonwealth v Gilmore*, 27 Va App 320, 330 n 5, 498 SE2d 464, 469 n 5 [1998] [“The analytical framework set forth in *Wolfish* is inapplicable . . . Because a person who is searched incident to arrest is not yet incarcerated, he or she has greater constitutional protection than a pretrial detainee. As such, this case is controlled by the principles set forth in *Schmerber*”)]. *Wolfish* did not overrule *Schmerber*. Instead it recognized that the Fourth Amendment standard of reasonableness is a flexible one that requires “balancing . . . the need for the particular search against the invasion of personal rights that the search entails. Courts must consider the scope of the particular intrusion, the manner in which it is conducted, the justification for initiating it, and the place in which it is conducted” (*Wolfish*, 441 US at 559).

I respectfully submit that—in the context of visual body cavity searches incident to arrest—the proper balance of constitutional interests has already been struck—in *Schmerber* (see *Fuller*, 950 F2d at 1448; *Hughes*, 31 Va App at 460, 524 SE2d at 162; *Gilmore*, 27 Va App at 330 n 5, 498 SE2d at 469 n 5). In *Wolfish*, there was a reason to tip the scales towards the government, namely record evidence that the federal pretrial detention facility at issue there was a “unique place fraught with serious security dangers,” where “[s]muggling of money, drugs, weapons, and other contraband is all too common an occurrence” (441 US at 559). As the majority admits, however, the record before us contains no evidence of parallel security concerns plaguing the 26th Precinct station house (see majority op at 309). Instead, the record demonstrates that: at least 12 holding cells, some of which were located 20 feet from the station house desk, were available for searching arrestees, another 14 detention cells were available for “overnight lodging,” and that defendant’s cohort was searched in a cell separate from him.³ Thus, the Appellate Division’s reliance upon *Wolfish* is misplaced.

3. Because constitutional search and seizure protections are flexible, I do not foreclose the possibility that a particular station house may experience the same security concerns at issue in *Wolfish*. If such legitimate concerns caused by, for example, cell overcrowding, were established by record evidence, then

(n. cont’d)

Moreover, the balance struck in *Wolfish* was predicated on the assumption that “convicted prisoners” and “pretrial detainees” merely retained “some” Fourth Amendment rights upon their commitment (*see* 441 US at 558). Here, in contrast, we deal with an arrestee, who at the time of the search had not yet even been arraigned and who was therefore entitled—at the very least—to enjoy greater constitutional protection than a pretrial detainee, who was remanded to supervision following arraignment, or a convicted prisoner (*Gilmore*, 27 Va App at 330 n 5, 498 SE2d at 469 n 5; *cf. Block v Rutherford*, 468 US 576, 583 [1984] [“The very fact of nonrelease pending trial . . . is a significant factor bearing on the security measures that are imperative to the proper administration of a detention facility”]; *People ex rel. Maxian v Brown*, 77 NY2d 422, 427 [1991] [noting that “the deprivation entailed by prearraignment detention is very great (and is) . . . one as to which no predicate is established in advance and, indeed, which may ultimately be found to have been unwarranted” (internal quotation marks omitted)]; *State v Bayaoo*, 66 Haw 21, 25 n 2, 656 P2d 1330, 1332 n 2 [1982] [“at least with regard to the fourth amendment, the rights of persons not yet convicted of crimes must be more closely scrutinized than the rights of prisoners”])).

Application of the reasonable suspicion standard in this case is also particularly inappropriate because we have stated that that standard applies to searches that are “uniquely discriminate” and “nonintrusive” (*see e.g. People v Dunn*, 77 NY2d 19, 26 [1990] [canine sniff search of apartment hallway subject to reasonable suspicion standard because “(i)t does not entail entry into the premises or exposure of one’s personal effects to the police”]; *see also People v Cantor*, 36 NY2d 106, 112-113 [1975] [reasonable suspicion standard applies to authority of police officers to stop and inquire of citizens in public place]). And the U.S. Supreme Court has applied the standard to the detention of suspected smugglers at national borders, where the interests of the individual are greatly outweighed by those of the government (*United States v Montoya de Hernandez*, 473 US 531, 541-542 [1985]). Even in that context, however, the Court made clear that “[t]he ‘reasonable suspicion’ standard” is intended to “effect[] a needed balance between private and public interests when law enforcement officials must make a limited intrusion

those facts could constitute an exigent circumstance under the *Schmerber* test.

on less than probable cause” (*id.* at 541). A visual body cavity search, however, cannot be characterized as a “limited intrusion.”

Nor can visual body cavity searches be justified under our precedents recognizing an officer’s right to conduct a limited search incident to arrest. Such a search is constitutionally permissible based upon two exigent circumstances: the need to protect the safety of the arresting officer and the need to prevent the destruction of evidence (*see People v Evans*, 43 NY2d 160, 165 [1977]; *Chimel v California*, 395 US 752, 763 [1969]). We have explained that such searches are permitted because they represent de minimis intrusions when compared with the loss of liberty occasioned by the arrest that preceded them (*see People v De Santis*, 46 NY2d 82, 87 [1978], *overruled on other grounds by People v Belton*, 55 NY2d 49 [1982]; *cf. People v Perel*, 34 NY2d 462, 467 [1974] [explaining, in context of inventory search, that “(g)iven the nature of the gross intrusion by detention of the person it is reasonable to conduct a less intrusive search of his person and the possessions he carried with him”]). Thus, a warrantless search is not justified when “the intrusion required for [it] is of a greater magnitude than the gross personal intrusion of the arrest and the personal search incident to it” (*see Perel*, 34 NY2d at 468). Here, the visual body cavity search was unjustified because the inspection of defendant’s highly private and intimate areas greatly exceeded the magnitude of the intrusion occasioned by his arrest and the pat-down search incident to it.

Most importantly, given “our strong preference for search warrants” (*see People v Hanlon*, 36 NY2d 549, 558 [1975]), we must identify reasons for dispensing with the warrant requirement in particular cases (*see Brigham City, Utah v Stuart*, 547 US 398, 403 [2006], quoting *Mincey v Arizona*, 437 US 385, 393-394 [1978] [“(W)arrants are generally required to search a person’s home or his person unless ‘the exigencies of the situation’ make the needs of law enforcement so compelling that the warrantless search is objectively reasonable under the Fourth Amendment”]). Critically, the ease of obtaining evidence of criminal conduct is not a relevant consideration in this inquiry (*see Mincey*, 437 US at 393 [“(T)he mere fact that law enforcement may be made more efficient can never by itself justify disregard of the Fourth Amendment. The investigation of crime would always be simplified if warrants were unnecessary” (citation omitted)]; *see also Schmerber*, 384 US at 770 [“In the

absence of a clear indication that in fact such evidence will be found . . . fundamental human interests require law officers to suffer the risk that such evidence may disappear unless there is an immediate search”]; *cf. People v Gokey*, 60 NY2d 309, 312, 313 [1983] [lack of “exigent circumstances” rendered search of bag impermissible where defendant was handcuffed and “(t)he police officers’ interest in the bag focused solely on the possibility that it contained marihuana”]). Exigencies threatening officer safety or the imminent destruction of evidence are valid justifications for dispensing with the warrant requirement (*see e.g. Evans*, 43 NY2d at 165). But once an arrest has occurred, these important factors lose much of their force (*see e.g. Gokey*, 60 NY2d at 313-314 [warrantless search impermissible where defendant was handcuffed and surrounded by officers because the “police . . . did not fear for their safety, and because they could not have reasonably believed that the search of the bag was necessary to preserve any evidence”])).

Therefore, in the context of a station house visual body cavity search, where an arrestee can be segregated, monitored and secured pending the issuance of a warrant and there is no record evidence of any exigency threatening safety and security or the imminent destruction of evidence, the police must obtain a warrant or proceed under *Schmerber*’s clear indication test (*see Clark*, 65 Haw at 497, 654 P2d at 362, citing *Fontenot*, 383 So 2d at 367 [“(T)he police could have detained and watched defendant . . . so as to prevent destruction of evidence during the short delay caused by getting a warrant. This burden on the police does not raise this situation to the level of an emergency”])). Any exception to this rule would authorize warrantless visual body cavity searches solely to secure evidence of criminality. That should not be permitted.

The probable cause standard could be met in many cases where visual body cavity searches would aid law enforcement (*see CPL 70.10 [2]*). Like the reasonable suspicion standard, its contours are equally clear: “the information [contained in the warrant application] must be sufficient to warrant a person of reasonable caution in the belief that . . . evidence of a crime w[ill] be found in a particular place” (*People v P.J. Video*, 68 NY2d 296, 300 [1986]). In evaluating the warrant application, the magistrate must consider “all aspects of the information supporting [it],” including “the experience and expertise of the officers involved” and “the nature of the crime and the exigencies, if any, involved” (*see id.* at 306 [emphasis omitted]). Under

this standard, a magistrate could certainly approve a visual body cavity search of a narcotics arrestee.

Indeed, several facts could support a proper warrant application, including officers witnessing a defendant secrete narcotics, suspicious movements consistent with storage of a foreign substance in a body cavity, defendants' admissions, and reliable information obtained from police sources (*see People v Jones*, 3 Misc 3d 481, 482 n 2, 485-486 [Sup Ct, Bronx County 2004] [police had "probable cause" where observing officer witnessed arrestee "put the drugs down the back of his pants"]; *People v Perry*, 6 Misc 3d 1028[A], 2005 NY Slip Op 50219[U], *5 n 5, *4-5 [Sup Ct, Queens County 2005] [police had "clear indication" that arrestee had secreted drugs in rectum where, after being segregated in a cell pending issuance of warrant, he behaved erratically "and was observed wiggling his body . . . (and) reaching into the back of his pants and putting his hand to his mouth"]; *cf. People v Kelley*, 306 AD2d 699, 700 [3d Dept 2003] [factors that courts consider to determine reasonableness of strip searches include "defendant's excessive nervousness, unusual conduct, information showing pertinent criminal propensities, informant's tips, loose-fitting or bulky clothing, an itinerary suggestive of wrongdoing, incriminating matter discovered during a less intrusive search, lack of employment, indications of drug addiction, information derived from others arrested or searched contemporaneously, and evasive or contradictory answers to questions"]).

In any event, had the police monitored defendant in a holding cell, additional facts may have come to light that could have permitted a visual body cavity search under the *Schmerber* test (*see Perry*, 2005 NY Slip Op 50219[U] at *2 [after police attempted to obtain warrant, exigent circumstances arose when they observed defendant put "his hand down the rear of his underwear in the area of his anus" and then begin to eat something]; *cf. People v Barnville*, 31 AD3d 271, 272-273 [1st Dept 2006] [because of "the trained, experienced officer's observation of defendant, at a notorious drug location, retrieving an item from his buttocks area and exchanging it for money from a person found in possession of drugs minutes later, the fruitless search of defendant's outer garments, and the knowledge that drug dealers often store drugs within their buttocks or rectum—there was sufficient evidence to support not only probable cause to arrest for a drug sale, but an objective, particularized, reasonable belief that defendant was secreting contraband in the area of his buttocks"]).

That there are any number of factual situations in which probable cause to conduct a visual body cavity search could be satisfied underscores the fact that “[i]n dealing with probable cause . . . we deal with probabilities” (see *Brinegar v United States*, 338 US 160, 175 [1949]). But when the assessment of those probabilities can lead to an intrusion upon human dignity and privacy as grievous and degrading as a visual body cavity search, then such assessment—absent exigent circumstances not present here—should be made by a neutral and detached magistrate (see *Hanlon*, 36 NY2d at 558 [warrant requirement “is designed to interpose the detached and independent judgment of a neutral Magistrate between the interested viewpoint of those engaged in ferreting out crime and the potential encroachments on the sanctity and privacy of the individual”]).

In conclusion, I concur in the result that the majority reaches today, but I cannot join in the full breadth of its reasoning. The fundamental constitutional interests of human dignity and bodily integrity are not only implicated when intimate bodily areas are touched. A visual intrusion into a body cavity is an “intrusion beyond the body’s surface” and thus, the *Schmerber* test must apply to such searches as well as manual body cavity searches. I would therefore grant defendant’s motion to suppress the drugs and dismiss the indictment.

SMITH, J. (dissenting in part). I agree that, for the reasons explained in Judge Graffeo’s opinion, the visual search did not violate defendant’s constitutional rights. I think the seizure of the contraband was lawful also, and therefore I would deny the motion to suppress.

The visual search, which we today hold valid, led officers Burnes and Spiegel to observe a string hanging from defendant’s rectum. The record shows that Burnes twice ordered defendant to remove the string, and warned him that if defendant did not do so, Burnes would do it himself. Defendant remained motionless. Burnes and Spiegel then held defendant’s arms and forced him into a bent position. Burnes pulled the string, and a plastic bag containing rocks of crack cocaine came out “easily.” There is no evidence that either officer put a hand or implement in defendant’s body, or even touched him below the waist.

The majority holds that, when defendant refused to cooperate, the officers had to leave the contraband where it was until they got a search warrant. In that situation, getting the warrant seems to me a pointless exercise, and I do not believe the State or Federal Constitution requires it.

The general rule, of course, is that a person arrested can be searched without a warrant. In *Schmerber v California* (384 US 757 [1966]), the Supreme Court established an exception for searches that intrude into the human body. “Search warrants,” the Court said in *Schmerber*, “are ordinarily required for searches of dwellings, and absent an emergency, no less could be required where intrusions into the human body are concerned” (384 US at 770). I find *Schmerber* inapplicable here, for the simple reason that no one intruded into defendant’s body. There is no evidence that any hand or implement was inserted, or that the officers’ actions had any significant internal effect on defendant. All Burnes did was pull on a plainly visible string, causing the contraband to emerge with no difficulty. There is no claim that this action caused defendant any pain, or put him at risk of injury. The removal of the contraband in this case seems to me a lesser violation of privacy than the lawful search that led to its discovery.

The majority relies on *People v More* (97 NY2d 209 [2002]) to hold that *Schmerber* governs this case. It is true that we applied *Schmerber* in *More*, and that we held the removal of drugs from defendant in that case unconstitutional, but the facts in *More* were different from the facts here.

Our statement of the central facts in *More* is brief: “Defendant initially cooperated by taking off most of his clothes, but at some point he protested and scuffled with the officers. During the search, which took place in a bedroom, the police removed a plastic bag, an outer portion of which they saw protruding from defendant’s rectum” (97 NY2d at 212). Defendant’s brief in our Court, however, was more detailed and less delicate:

“Officer Schoonmaker grabbed Appellant and called for help, claiming that he saw a piece of cellophane protruding from appellant’s anus. Appellant was immediately surrounded by police officers. A struggle ensued as the officers attempted to reach into the appellant’s rectum. Appellant resisted the assault for three or four minutes in spite of the fact that 5 or 6 officers were trying to wrestle him to the ground. Eventually, he was incapacitated by the police. One officer was holding each leg, one officer was lying on top of his head and one officer was holding each of his arms. The defendant was handcuffed. His face was forced into the floor and his buttocks forced up to the ceiling. At this point, as

Appellant continued to struggle, an unknown officer called for a flashlight. Another unknown officer came in and shined a flashlight into the rectum of the Appellant. Detective Sergeant Wilson put on a rubber glove and proceeded to enter the rectum of the Appellant. He groped and probed extensively. As it turned out, the baggie that Officer Schoonmaker had earlier testified was protruding from the appellant, was, instead, other officers testified, so far inside the appellant that it was barely visible to the naked eye and was very difficult to remove. So much force was used to accomplish the extraction that the baggie was covered with blood and human tissue.” (Appellant’s brief, *People v More*, at 5-6 [record references omitted].)

The People’s brief in *More* did not challenge this summary of the way the evidence was retrieved. In light of that, I find it unsurprising that our opinion in *More* simply assumes, without discussion, that the search involved an intrusion “beyond the body’s surface” (97 NY2d at 212) and that *Schmerber* therefore applied. There is another important difference between the *More* facts and ours: the officers in *More* did not have reason to suspect, before performing a visual body cavity search, that the defendant was concealing drugs inside his body. He had been arrested when police officers found him sitting near a crack pipe and a small piece of crack cocaine. Our opinion in *More* seems to reflect the belief—well justified by the record in that case—that even the visual body cavity search was unlawful. Among the authorities we relied on were *Mary Beth G. v City of Chicago* (723 F2d 1263 [7th Cir 1983]) and *Arruda v Fair* (710 F2d 886 [1st Cir 1983], *cert denied* 464 US 999 [1983]), both of which involved only visual searches (*see* 97 NY2d at 213).

We should not treat *More* as being conclusive on an issue not presented or discussed in that case: whether, when an object protruding from a body cavity is found during a lawful search, the removal of that object without intrusion into the body requires a warrant under *Schmerber*. No other New York case decides the question, and decisions from other jurisdictions are of limited help, though several give some indirect support to the People’s position here (*see United States v Himmelwright*, 551 F2d 991 [5th Cir 1977] [removal during border search not unlawful]; *State v Jones*, 76 Wash App 592, 887 P2d 461 [1995] [removal not a body cavity search under state statutes]; *State v*

Nieves, 383 Md 573, 586, 861 A2d 62, 70 [2004] [search held unlawful for lack of reasonable suspicion, but court concluded that removal of protruding bags was not “a physical body cavity search”]). In a case almost identical to ours, *State v Barnes* (215 Ariz 279, 159 P3d 589 [2007]), an intermediate appellate court in Arizona divided 2 to 1 in the defendant’s favor.

I agree with Judge Espinosa, dissenting in *Barnes*, who said: “It makes little sense . . . to require officers to obtain a warrant in cases such as this, where contraband is visible between the cheeks of the buttocks and may be retrieved easily, without harm to the individual” (215 Ariz at 285, 159 P3d at 595). I do not see why it is unreasonable for the officers to take, with minimal force, what they have already lawfully seen (*cf. Horton v California*, 496 US 128 [1990] [lawful to seize object in plain view]). The majority’s contrary holding will, I fear, add unnecessarily to the many problems faced by police officers trying to make headway against street drug dealers.

Accordingly, I would affirm the order of the Appellate Division.

Chief Judge KAYE concurs with Judge GRAFFEO; Judge CIPARICK concurs in result in a separate opinion in which Judge JONES concurs; Judge SMITH dissents and votes to affirm in another opinion in which Judges READ and PIGOTT concur.

Order reversed, etc.

[887 NE2d 1121, 858 NYS2d 63]

SOLOW MANAGEMENT CORP., Respondent, v STEVEN TANGER et al., Respondents. JEROME JANOF, Nonparty Appellant.

Argued March 18, 2008; decided April 24, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 11, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Robert D. Lippmann, J.; op 2005 NY Slip Op 30031[U]), which had granted a motion by nonparty New York City Marshal Jerome Janof for an order awarding him poundage fees in the amount of \$32,916.55, and (2) denied the motion.

Solow Mgt. Corp. v Tanger, 38 AD3d 49, affirmed.

HEADNOTES

Sheriffs and Constables — Poundage Fees — Interference with Collection Process — Posting of Appeal Bond

1. The posting of an appeal bond by defendant judgment debtors after the nonparty marshal executed a levy on their assets at the request of plaintiff judgment creditor did not constitute affirmative interference with the marshal's collection process entitling the marshal to poundage fees. Where, as here, a marshal fails to actually collect any monies pursuant to a levy, the marshal is not entitled to poundage unless the court finds to be applicable one of the two statutory exceptions contained in CPLR 8012 or a third, judicially created, exception for affirmative interference with the collection process. Here, the statutory exceptions were inapplicable. Moreover, defendants did not affirmatively interfere with the marshal's collection process merely by availing themselves of the right to appeal and posting an appeal bond pursuant to CPLR 5519, as the posting of the bond did not require vacatur of the marshal's levy. It only required that all enforcement actions be temporarily stayed until the appeal was decided, and had defendants not won their appeal, the marshal's levy would still have been intact and he would have been free to complete the collection process.

Sheriffs and Constables — Poundage Fees — Right to Collect Poundage Fees When Appeal Bond Posted

2. The posting of an appeal bond by defendant judgment debtors after the nonparty marshal executed a levy on their assets at the request of plaintiff judgment creditor did not constitute affirmative interference with the marshal's collection process entitling the marshal to poundage fees. The Appellate Division's conclusion that the marshal could have protected his right to poundage only by insisting upon an application to the court for release of the levied funds pursuant to CPLR 5204 was incorrect. A stipulation, signed by both parties and the marshal, to vacate the levy could have protected the

marshal's rights, as CPLR 8012 (b) (2), providing for poundage "[w]here an execution is vacated or set aside," would have then applied.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 325, 397, 399, 402; AM JUR 2d, Executions and Enforcement of Judgments §§ 551, 552; AM JUR 2d, Judicial Sales § 69; AM JUR 2d, Sheriffs, Police, and Constables § 43.

CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:208, 64:209, 64:214, 64:439, 64:440; CARMODY-WAIT 2d, Appeals in General §§ 70:257, 70:260; CARMODY-WAIT 2d, Attachment §§ 76:160, 76:248.

McKINNEY'S, CPLR 5204, 5519, 8012.

NY JUR 2d, Appellate Review §§ 444, 445, 447, 459; NY JUR 2d, Enforcement and Execution of Judgments §§ 83, 110; NY JUR 2d, Police, Sheriffs, and Related Officers §§ 100-105.

SIEGEL, NY PRAC §§ 520, 535.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attachment or Garnishment; Bonds and Undertakings; Marshals; Sheriffs.

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Query: poundage /2 fee /p appeal /2 bond

POINTS OF COUNSEL

Litwack & Litwack, P.C., Bayside (*Kenneth D. Litwack and Maureen A. Gest* of counsel), for nonparty appellant. I. A marshal may release a judgment debtor's property, absent a court order, when that property has been secured pending appeal, thereby fully protecting plaintiff. (*People v Finnegan*, 85 NY2d 53, 968, 516 US 919; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *New York Cas. Co. v Kuhn*, 192 Misc 286; *Thornton v Montefiore Hosp.*, 117 AD2d 552; *Cruz v Amsterdam Hous. Auth.*, 174 Misc 2d 189; *Gimenez v Great Atl. & Pac. Tea Co.*, 242 App Div 485; *Rivera v W. & R. Serv. Sta.*, 34 AD2d 115.) II. Debra and Steven Tanger interfered with the Marshal's collection efforts when they filed a bond pending appeal, obtained a stay of enforcement, and then requested that the Marshal release the property upon which he had already

levied. (*Thornton v Montefiore Hosp.*, 117 AD2d 552; *Matter of Standardbred Owners Assn. [Yonkers Raceway]*, 44 Misc 2d 37; *Gimenez v Great Atl. & Pac. Tea Co.*, 242 App Div 485; *Rapino v City of New York*, 7 Misc 3d 1012[A], 2004 NY Slip Op 51878[U], 299 AD2d 470, 100 NY2d 506; *Herbert H. Leves & Co. v Celebrity Knitwear*, 130 Misc 2d 1055; *Liquifin AG. v Brennan*, 446 F Supp 914; *Jericho Plumbers Supply Co. v Wandoloski*, 14 AD2d 775).

Rosenberg & Estis, P.C., New York City (Warren A. Estis and Norman Flitt of counsel), for Solow Management Corp., respondent. Solow Management Corp. is not obligated to pay poundage under the facts presented here; the only question on this appeal is whether Debra and Steven Tanger are liable for the Marshal's poundage.

Brown Law Group, P.C., New York City (Rodney A. Brown and Melissa Alcantara of counsel), for Steven Tanger and another, respondents. I. The Appellate Division appropriately found that the Marshal is not entitled to an award of poundage fees. (*Alvarez v Brooklyn Hosp.-Caledonian Hosp.*, 255 AD2d 278; *Famous Pizza v Metss Kosher Pizza*, 119 AD2d 721; *Personeni v Aquino*, 6 NY2d 35; *Flack v State of New York*, 95 NY 461; *Southern Indus. v Jeremias*, 66 AD2d 178; *Wartels v County Asphalt*, 69 Misc 2d 979, 41 AD2d 705; *Thornton v Montefiore Hosp.*, 117 AD2d 552; *Matter of Standardbred Owners Assn. [Yonkers Raceway]*, 44 Misc 2d 37; *Gimenez v Great Atl. & Pac. Tea Co.*, 242 App Div 485; *Rapino v City of New York*, 7 Misc 3d 1012[A], 2004 NY Slip Op 51878[U], 299 AD2d 470, 100 NY2d 506.) II. The argument that Debra and Steven Tanger negotiated a release of the Marshal's levy is unfounded. III. There is no basis to overturn the Appellate Division's order based upon the Marshal's assertions concerning CPLR 5204. (*Gimenez v Great Atl. & Pac. Tea Co.*, 242 App Div 485; *Thornton v Montefiore Hosp.*, 117 AD2d 552; *D'Amico v Christie*, 71 NY2d 76.) IV. If any party should be ordered to pay the Marshal's poundage, it should be Solow Management Corp. (*Famous Pizza v Metss Kosher Pizza*, 119 AD2d 721; *Matter of Associated Food Stores v Farmer's Bazaar of Long Is.*, 126 Misc 2d 541.)

OPINION OF THE COURT

CIPARICK, J.

[1] We are asked to decide in this appeal whether the posting of an appeal bond by a judgment debtor after a marshal has ex-

ecuted a levy on the judgment debtor's assets constitutes affirmative interference with a marshal's collection process, entitling the marshal to poundage fees. We conclude that the posting of an appeal bond by a judgment debtor is not affirmative interference. Since the marshal in this case cannot show his entitlement either under CPLR 8012 or any judicially created exception, he is not entitled to such fees.

Commenced in 1991, this action arises from rent strike litigation involving luxury apartments located in Manhattan. Ultimately the landlord, plaintiff Solow Management Corp., prevailed in this case and obtained final judgments for rent arrears against several tenants. On July 29, 2004, a separate judgment for attorneys' fees was entered in the amount of \$655,241.10, including interest, against tenant defendants Debra Tanger and Steve Tanger. Shortly after the judgment was entered and pending its appeal to the Appellate Division, plaintiff began enforcement proceedings, which included the service of a restraining order upon assets held by Merrill Lynch, Pierce, Fenner & Smith, Incorporated, on behalf of the Tangers.

Solow then requested that a New York City marshal serve an execution upon Merrill Lynch. On August 17, 2004, nonparty New York City Marshal Jerome Janof purportedly served execution upon Merrill Lynch, levying against the Tanger accounts. The next day, August 18, 2004, the Tangers filed an appeal bond¹ with Supreme Court, thereby staying all proceedings to enforce the judgment pursuant to CPLR 5519 (a) (2). No monies were ever collected by the marshal pursuant to the levy, and on June 21, 2005, the Appellate Division reversed Supreme Court's award of attorneys' fees to plaintiff. In July 2005, the restraint on the Merrill Lynch accounts was lifted and the marshal released the assets, save \$32,916.55, the amount of poundage fees claimed.² On September 13, 2005, the marshal moved, pursuant to CPLR 8012, for an order awarding him poundage and statutory fees, settling the amount of the fees, and for a determination of which party or parties should pay the poundage.

Supreme Court held that the marshal was entitled to \$32,916.55 in poundage fees and that the Tangers were liable for this amount. Supreme Court further held that the filing of

1. The appeal bond, dated August 13, 2004, was issued by Fidelity and Deposit Company of Maryland.

2. Statutory poundage fees are based on 5% of all monies collected (*see* CPLR 8012 [b] [1]).

an appeal bond after the marshal had levied upon the Tangers' assets amounted to affirmative interference with the marshal's collection efforts. The Appellate Division reversed the award, stating that, in making such award, Supreme Court had "erroneously concluded that defendants had affirmatively interfered with the collection process by obtaining a bond for their appeal of plaintiff's judgment against them" (38 AD3d 49, 50 [2007]). We granted leave to appeal and now affirm.

In determining whether a marshal is entitled to poundage and at what percentage, CPLR 8012 (b) (1) provides that

"A sheriff is entitled, for collecting money by virtue of an execution, an order of attachment, or an attachment for the payment of money in an action, or a warrant for the collection of money issued by the comptroller or by a county treasurer or by any agency of the state or a political subdivision thereof, or for collecting a fine by virtue of a commitment for civil contempt, to poundage of, in the counties within the city of New York, five per cent of the sum collected and in all other counties, five per cent upon the first two hundred fifty thousand dollars collected, and three per cent upon the residue of the sum collected."³

Since the marshal here failed to actually collect any monies pursuant to his levy, in order to be entitled to poundage, he must show facts that fall within one of the two statutory exceptions. The statutory exceptions authorizing poundage despite noncollection of assets apply when: (1) "a settlement is made after a levy by virtue of an execution" or (2) when the "execution is vacated or set aside" (CPLR 8012 [b] [2], [3]). In *Personeni v Aquino* (6 NY2d 35, 37-38 [1959]), we stated that since "[t]he right of a Sheriff to collect and receive poundage is wholly statutory [and because] . . . [t]he statutory exceptions authorizing poundage for noncollection . . . are in derogation of common law [they therefore] must be strictly construed."

A third judicially created exception applies when there has been affirmative interference with the collection process, thus

3. Pursuant to article 16 of the New York City Civil Court Act, marshals are officers of the Civil Court of New York City. Collection duties ordinarily performed by a sheriff are performed by a New York City marshal and "[t]he authority of a marshal extends throughout the city of New York and all provisions of law relating to the powers, duties and liabilities of sheriffs in like cases and in respect to the taking and restitution of property" (see NY City Civ Ct Act § 1609 [1] [a]).

preventing a marshal from actually collecting the levied assets through some affirmative action.⁴ It is this third narrow exception upon which the marshal here relies, claiming that the judgment debtor, the Tangers, interfered with his collection of monies pursuant to his levy upon the Merrill Lynch accounts by posting an appeal bond.

It is undisputed that the underlying judgment was never collected by the marshal pursuant to his levy; neither has there been a settlement in this case, nor a vacatur or setting aside of the execution. Therefore, in order for the marshal to be entitled to poundage, he must show affirmative interference that prevented him from completing the collection process. In *Flack v State of New York* (95 NY 461 [1884]), we stated that in order “[t]o bring the claim of a sheriff within the provisions of the statute, it is essential that he [or she] show either the collection of the moneys called for, or some interference by the plaintiff [judgment creditor] with his execution of the process that is equivalent thereto” (*id.* at 466). Here, it cannot be said that the Tangers, as judgment debtors, affirmatively interfered with the marshal’s collection process merely by availing themselves of the right to appeal and by the posting of an appeal bond. While there exists some Appellate Division authority establishing that a judgment debtor can also be found liable for poundage fees based upon affirmative interference, we need not reach that issue here.⁵ We merely hold that the posting of an appeal bond by a judgment debtor cannot constitute affirmative interference with a marshal’s collection process.

We agree with the Appellate Division that the filing of an appeal bond pursuant to CPLR 5519 did not require vacatur of the marshal’s levy but only requires that all enforcement actions be temporarily stayed until there has been a determination as to the merits of the appeal. Indeed, if the Tangers lost their appeal, the marshal’s levy would still be intact and he would be free to complete the collection process. To hold

4. See *Campbell v Cothran*, 56 NY 279, 285 (1874) (“The authorities establish that a sheriff who has completed the service of an execution, is entitled to poundage, although the judgment and process be afterward set aside; and also when he has been prevented from fully executing the writ by the act or interference of the plaintiff [judgment creditor]”).

5. See *Martin v Consolidated Edison Co. of N.Y.*, 177 AD2d 548 (2d Dept 1991) (judgment debtor); *Thornton v Montefiore Hosp.*, 117 AD2d 552 (1st Dept 1986) (judgment debtor); *Famous Pizza v Metss Kosher Pizza*, 119 AD2d 721, 721 (2d Dept 1986) (judgment creditor); *Southern Indus. v Jeremias*, 66 AD2d 178, 186 (2d Dept 1978) (judgment creditor).

otherwise would discourage litigants from seeking further judicial review lest they be charged with poundage fees.

[2] While we agree that the marshal is not entitled to poundage fees, we disagree with the Appellate Division's conclusion that the marshal could protect his right to poundage only by insisting upon an application to the court for release of the levied funds pursuant to CPLR 5204. CPLR 5204 states that

“Upon motion of the judgment debtor, upon notice to the judgment creditor, the sheriff and the sureties upon the undertaking, the court may order, upon such terms as justice requires, that the lien of a money judgment, or that a levy made pursuant to an execution issued upon a money judgment, be released as to all or specified real or personal property upon the ground that the judgment debtor has given an undertaking upon appeal sufficient to secure the judgment creditor.”

Certainly a stipulation, signed by both parties and the marshal, to vacate the levy could have protected the marshal's rights. Then CPLR 8012 (b) (2), providing for poundage “[w]here an execution is vacated or set aside,” would apply. But here, the marshal could not gain the benefit of the statute by unilaterally releasing the assets without notifying his principal, Solow. Indeed if Solow refused to agree to release the levied assets, then the Tangers would have been free to seek such release pursuant to CPLR 5204.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[887 NE2d 1125, 858 NYS2d 67]

CHRISTOPHER SANATASS et al., Appellants, v CONSOLIDATED INVESTING COMPANY, INC., et al., Respondents, et al., Defendants. (And a Third-Party Action.)

Argued March 13, 2008; decided April 24, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 20, 2007. The Appellate Division, with two Justices dissenting, affirmed, insofar as appealed from, so much of an order of the Supreme Court, New York County (Saralee Evans, J.; op 2005 NY Slip Op 30269[U]), as had (1) granted a motion by defendants Consolidated Investing Company, Inc. and Consolidated Investing Company for summary judgment; (2) dismissed the complaint and all cross claims and counterclaims as against those defendants; and (3) denied plaintiffs' cross motion for summary judgment.

Sanatass v Consolidated Inv. Co., Inc., 38 AD3d 332, reversed.

HEADNOTES

Labor — Safe Place to Work — Alteration of Building

1. Plaintiff, who was injured while attempting to install a 1,500-to-2,500-pound commercial air conditioning unit in defendant's building when one of the lifts used to hoist the unit failed, was engaged in work at the time of his accident that constituted the alteration of a building within the meaning of Labor Law § 240 (1). The term "altering" as used in section 240 (1) requires making a significant physical change to the configuration or composition of the building or structure. Here, plaintiff had drilled holes and affixed metal rods into the ceiling and installed air conditioning ducts as preparatory work before attempting to install the unit using two portable manual material lifts, one of which failed, causing the unit to drop and knock plaintiff to the floor. The installation of the unit was a significant enough change to come within the statutory definition of alteration as a matter of law.

Labor — Safe Place to Work — Liability of Building Owner for Injury to Worker Hired by Tenant without Owner's Knowledge

2. Defendant property owner was liable for a violation of Labor Law § 240 (1) that proximately caused injury to plaintiff as he was attempting to install a commercial air conditioning unit in defendant's building even though a tenant of the building had contracted for the work without defendant's knowledge and in violation of a lease provision requiring the tenant to obtain defendant's written permission before performing any alteration. Plaintiff was specifically employed by the tenant to perform work in defendant's building and, as between the owner and the worker, section 240 (1) places the burden on the owner should a violation of the statute proximately cause injury. So long as a violation of the statute proximately results in injury, an owner's lack

of notice or control over the work is not conclusive, and even the lack of any ability on the owner's part to ensure compliance with the statute is legally irrelevant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 245, 248, 249, 269; AM JUR 2d, Premises Liability §§ 49–53, 449.
MCKINNEY's, Labor Law § 240 (1).
NY JUR 2d, Employment Relations §§ 284–287, 295, 298, 300; NY JUR 2d, Premises Liability §§ 274, 277, 279.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:91, PJI 2:217.
PROSSER AND KEETON, TORTS (5th ed) §§ 61, 62, 69.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health; Premises Liability.

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POINTS OF COUNSEL

Giuffré & Kaplan, P.C., Hicksville (*Susan R. Nudelman* and *Steven Kaplan* of counsel), for appellants. The Appellate Division erred in granting Consolidated Investing Company's motion for summary judgment and dismissal of the Labor Law § 240 (1) cause of action and in denying appellants' cross motion for summary judgment on the Labor Law § 240 (1) cause of action. (*Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 1054; *Sherman v Piotrowski Bldrs.*, 229 AD2d 959; *D'Amico v Manufacturers Hanover Trust Co.*, 177 AD2d 441; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Crespo v Triad, Inc.*, 294 AD2d 145; *Sergio v Benjolo N.V.*, 168 AD2d 235; *Dankulich v Felchar Mfg. Corp.*, 247 AD2d 660.)

Goldberg & Carlton, PLLC, New York City (*Michael S. Leyden* of counsel), for respondents. I. The Appellate Division was correct in affirming the Supreme Court's decision to grant Consolidated Investing Company's motion for summary judg-

ment and dismiss plaintiffs' Labor Law § 240 (1) claim while otherwise denying plaintiffs' own motion for summary judgment on this same Labor Law § 240 (1) cause of action. (*Koch v E.C.H. Holding Corp.*, 248 AD2d 510, 92 NY2d 811; *Jehle v Adams Hotel Assoc.*, 264 AD2d 354; *Houchang Haghighi v Bailer*, 240 AD2d 368; *Scaglione v Riverbay Corp.*, 279 AD2d 254; *Urbano v Plaza Materials Corp.*, 262 AD2d 307; *Nagel v D & R Realty Corp.*, 288 AD2d 121; *Molloy v 750 7th Ave. Assoc.*, 256 AD2d 61; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Telaro v Telaro*, 25 NY2d 433; *Ta-Chotani v Doubleclick, Inc.*, 276 AD2d 313.) II. As an alternative, Consolidated Investing Company was entitled to summary judgment over and against the third-party defendant. (*Lopez v 36-2nd J Corp.*, 211 AD2d 667; *Richardson v Matarese*, 206 AD2d 354; *McNair v Morris Ave. Assoc.*, 203 AD2d 433.)

Stewart G. Milch, New York City, for New York State Trial Lawyers Association, amicus curiae. Both the Appellate Division and Justice Evans erred in dismissing Christopher Sanatass's Labor Law § 240 (1) claim where the undisputed evidence revealed (i) defendant owned the building where plaintiff's accident occurred; (ii) the building was not a one- or two-family dwelling; (iii) there was a factual issue as to whether the work being performed was renovation work within the meaning of the statute; and (iv) the employer-contractor was selected and hired not by operation of law nor by a municipality, but instead by the very entity to whom defendant had leased the premises. (*Klein v City of New York*, 89 NY2d 833; *Felker v Corning Inc.*, 90 NY2d 219; *Almada v Long Is. Light. Co.*, 246 AD2d 563; *Del Vecchio v State of New York*, 246 AD2d 498; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Lombardi v Stout*, 80 NY2d 290; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Bland v Manocherian*, 66 NY2d 452; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280.)

OPINION OF THE COURT

GRAFFEO, J.

On this appeal, we conclude that a property owner is liable for a violation of Labor Law § 240 (1) that proximately caused injury to a worker even though a tenant of the building contracted for the work without the owner's knowledge. We therefore reverse the order of the Appellate Division and grant plaintiffs partial summary judgment.

Defendant Consolidated Investing Company owned a commercial building located at 423 West 55th Street in Manhattan. C2 Media, LLC occupied the 11th floor of the building under a lease assignment from the original tenant, Chroma Copy International.¹ C2 Media agreed to abide by the terms of Chroma's lease, including a provision that the "[t]enant shall make no changes in or to the demised premises of any nature without Owner's prior written consent." In addition, a rider to the lease stated that "[a]ll renovations, decorations, additions, installations, improvements and or alterations of any kind or nature in the Demised Premises . . . shall require the prior written consent of Landlord." The lease also contained an indemnification clause in favor of Consolidated and obligated the tenant to obtain comprehensive liability insurance coverage naming Consolidated as an additional insured.

In January 2000, plaintiff Christopher Sanatass, a mechanic employed by JM Haley Corporation, was directed to install a commercial air conditioning unit for C2 Media, which had hired JM Haley without notifying Consolidated. Upon arriving at the work site, plaintiff installed air conditioning ducts and drilled holes into the 10-foot-high ceiling to affix rods designed to hold the 1,500-to-2,500-pound commercial unit. When plaintiff and a coworker hoisted the air conditioning unit about seven feet off the ground, one of the manual material lifts failed, causing the unit to drop and knock plaintiff to the floor. Plaintiff sustained injuries when the unit nearly crushed him.

Plaintiff and his wife, suing derivatively, commenced this action against, among others, Consolidated and Chroma, alleging violations of Labor Law § 240 (1) and § 241 (6). Consolidated cross-claimed against Chroma and brought a third-party action against Chroma and C2 Media seeking contribution and indemnification. Consolidated and plaintiff each moved for summary judgment. In support of his motion, plaintiff offered the affidavit of a licenced professional engineer, who concluded that the two portable lifts used to hoist the air conditioning unit were inadequate and failed because they had a lift capacity of only 1,000 pounds.

Supreme Court granted Consolidated's motion and dismissed the complaint as against it. The Appellate Division, with two Justices dissenting, affirmed, reasoning that under *Abbatiello v Lancaster Studio Assoc.* (3 NY3d 46 [2004]) Consolidated was

1. C2 Media was the successor-in-interest by merger to Chroma.

not liable “because the air conditioning installation was performed without its consent and in violation of the lease” (38 AD3d 332, 332 [2007]).² Plaintiff appeals as of right to this Court pursuant to CPLR 5601 (a).

At the outset, Consolidated does not dispute that plaintiff was not afforded proper safety devices or that his injuries were proximately caused by the inadequate lifts. It nevertheless contends that our Court can resolve this case on a threshold issue by concluding that plaintiff’s work did not constitute an alteration and, therefore, plaintiff was not engaged in an activity protected by Labor Law § 240 (1). We address this question first.

It is now settled that the term “altering” as used in section 240 (1) “requires making a *significant* physical change to the configuration or composition of the building or structure” (*Joblon v Solow*, 91 NY2d 457, 465 [1998]). Conversely, an alteration “does not encompass simple, routine activities such as maintenance and decorative modifications” (*Panek v County of Albany*, 99 NY2d 452, 458 [2003]).

To illustrate, in *Joblon* we determined that the plaintiff electrician’s installation of an electric wall clock, which required chiseling a hole in a concrete wall to extend electrical wiring from an adjoining room, was “significant enough” to come within the statute (91 NY2d at 465). Similarly, in *Panek*, the removal of a pair of 200-pound air handlers, requiring preparatory work consisting of the dismantling of a number of components of the cooling system and involving the use of a mechanical lift, constituted a significant change as a matter of law (99 NY2d at 458).

[1] Here, plaintiff drilled holes and affixed metal rods into the ceiling and installed air conditioning ducts as preparatory work. He then attempted to install a 1,500-to-2,500-pound air conditioning unit using two portable manual material lifts, at which point he sustained injuries as a result of an elevation-related hazard—a falling object. This work comfortably satisfies the alteration standard set by *Joblon* and *Panek* as a matter of law. We now turn to the issue that divided the Appellate Division.

2. The court also determined that the Labor Law § 241 (6) claim was properly dismissed because the Industrial Code provision relied on by plaintiff was not sufficiently specific to support a violation of the statute. Plaintiff does not raise the section 241 (6) cause of action on this appeal.

Plaintiff argues that Consolidated is an “owner” within the meaning of Labor Law § 240 (1) and that Consolidated is liable for a statutory violation despite its lack of notice or control over the work. Consolidated counters that the courts below correctly applied *Abbatiello* in holding that an out-of-possession owner who has no knowledge of the work being done on its premises cannot be held liable under section 240 (1). Relying on the lease provision obligating the tenant to obtain the owner’s permission before hiring a contractor to perform any alterations, Consolidated asserts that the tenant’s breach severed any nexus between itself and plaintiff.

Labor Law § 240 (1), commonly referred to as the “scaffold law,” provides, in relevant part:

“All contractors and owners and their agents, except owners of one and two-family dwellings who contract for but do not direct or control the work, in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

In 1969, the Legislature expanded the scope of responsible parties from persons “employing or directing another to perform labor” to “[a]ll contractors and owners and their agents” (L 1969, ch 1108, § 1). The legislative history reveals that this amendment was intended to place “ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner and general contractor” rather than on the workers themselves (Mem of Senator Calandra and Assemblyman Amann, 1969 NY Legis Ann, at 407). In broadening the protection afforded by the statute, the Legislature reemphasized that section 240 was enacted for the purpose of protecting workers (*see id.*).

We do not write on a blank slate when interpreting Labor Law § 240 (1). Indeed, a number of well-settled principles provide us with guidance. We have repeatedly stated that Labor Law § 240 (1) “imposes absolute liability on owners, contractors and their agents for any breach of the statutory duty which has proximately caused injury” (*Gordon v Eastern Ry. Supply*, 82 NY2d 555, 559 [1993]; *see also Blake v Neighborhood Hous.*

Servs. of N.Y. City, 1 NY3d 280, 289 [2003]). To be sure, we have cautioned that an owner is not “an insurer after having furnished a safe workplace” and that an accident, in and of itself, does not establish a statutory violation (*Blake*, 1 NY3d at 286, 289). But at the same time, it is clear that the statutory duty imposed by this strict liability provision is “*nondelegable* and that an owner is liable for a violation of the section even though the job was performed by an independent contractor over which it exercised no supervision or control” (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991]). Additionally, section 240 (1) “is to be construed as liberally as may be for the accomplishment of the purpose for which it was thus framed” (*Panek*, 99 NY2d at 457 [internal quotation marks and citation omitted]).

In a trio of cases, we examined the liability of out-of-possession owners under the Labor Law. First, in *Celestine v City of New York* (59 NY2d 938 [1983], *affg* for reasons stated below 86 AD2d 592 [2d Dept 1982]), a worker who sustained injuries while building a subway line commenced a Labor Law action against the Long Island Rail Road (LIRR), the property owner. LIRR moved for summary judgment dismissing the claim, submitting that it should not be deemed an “owner” for purposes of Labor Law § 241 (6) because the property was subject to an easement in favor of the City of New York and the New York City Transit Authority.³ In declining to dismiss the section 241 (6) claim, the court rejected LIRR’s argument, reasoning that the statute imposes a nondelegable duty on owners to furnish adequate protection to workers “regardless of the absence of control, supervision or direction of the work” (86 AD2d at 593).

Next, in *Gordon*, an employee of Ebenezer Railcar Services brought a Labor Law § 240 (1) action against Eastern Railway Supply, the property owner, seeking damages for personal injuries occasioned when he fell from a ladder. On a motion for summary judgment, Eastern contended that it could not be liable as an owner under section 240 (1) because it had leased the property to Ebenezer, its wholly owned subsidiary, and “neither contracted to have the work performed nor was the work performed for its benefit” (82 NY2d at 559). Relying on *Celestine*, we disagreed and concluded that Eastern was responsible

3. Labor Law § 241 (6), like section 240 (1), applies to “[a]ll contractors and owners and their agents.”

because liability “rests upon the fact of ownership and whether Eastern had contracted for the work or benefitted from it are legally irrelevant” (*id.* at 560).

Finally, in *Coleman v City of New York* (91 NY2d 821 [1997]), an employee of the New York City Transit Authority suffered elevation-related injuries while performing repair work and pursued a Labor Law § 240 (1) claim against the City of New York as the property owner. The City claimed that it should not be strictly liable because it had leased the property to the Transit Authority and “lacked any ability” to protect Authority workers based on the statutory scheme creating the Authority and governing their relationship (*id.* at 823). We rejected the City’s position, finding that *Celestine* and *Gordon* articulated a “bright line rule” that section 240 (1) applied to all owners regardless of whether the property was leased out and controlled by another entity or whether the owner had the means to protect the worker (*id.* at 822). In so ruling, we also disavowed *Robinson v City of New York* (211 AD2d 600, 600 [1st Dept 1995]), which had restricted the City’s liability as an owner under the Labor Law because it had leased property to the Transit Authority and “had no actual or potential control over the worksite and retained a right of re-entry for non-transit purposes only.” We determined that it was for the Legislature, not this Court, to carve out exceptions to the broad reach of owner liability under section 240 (1).

[2] Here, like the defendants in *Celestine*, *Gordon* and *Coleman*, Consolidated seeks to avoid liability under Labor Law § 240 (1) by contending that it is not an “owner” for the purposes underlying the statute. Relying on its lack of knowledge of plaintiff’s work, undertaken at the behest of the tenant, Consolidated asks us to import a notice requirement into the Labor Law or, conversely, create a lack-of-notice exception to owner liability. But our precedents make clear that so long as a violation of the statute proximately results in injury, the owner’s lack of notice or control over the work is not conclusive—this is precisely what is meant by absolute or strict liability in this context (*see Blake*, 1 NY3d at 289). We have made perfectly plain that even the lack of “any ability” on the owner’s part to ensure compliance with the statute is legally irrelevant (*see Coleman*, 91 NY2d at 823). Hence, Consolidated may not escape strict liability as an owner based on its lack of notice or control over the work ordered by its tenant.

Consolidated’s reliance on our recent decision in *Abbatiello* is misplaced. In that case, plaintiff, a cable repair technician, was

dispatched by his employer to an apartment building owned by Lancaster Studio Associates in response to a complaint by one of the building's tenants. In the course of accessing a junction box on the exterior of the building, plaintiff's ladder bent, causing him to fall and sustain injuries. As a result, he commenced an action against Lancaster alleging a violation of Labor Law § 240 (1). Although we observed that Lancaster was unaware of and did not consent to the plaintiff's presence on the property, these facts alone were not determinative of our affirmance of the dismissal of the complaint.

Rather, in *Abbatiello* we carefully distinguished *Celestine* and its progeny, noting that in those cases a nexus existed between the out-of-possession owner and the plaintiff, be it by lease, easement or some other property interest. In *Abbatiello*, however, the injured cable technician was on the property solely "by reason of provisions of the Public Service Law" (3 NY3d at 51). Our analysis emphasized that section 228 of the Public Service Law established mandatory access for cable repair workers and that, but for this statute, the plaintiff "would be a trespasser upon Lancaster's property" (*id.* at 52). Public Service Law § 219 also rendered Lancaster "powerless to determine which cable company is entitled to operate, repair or maintain the cable facilities on its property, since such decision lies with the municipality—the franchisor" (*id.*). We concluded that, absent an adequate nexus between the worker and the owner, the cable technician was not entitled to the extraordinary protections of the Labor Law since he was not an "employee" for purposes of section 240 (1); as such, Lancaster could not be liable for his injuries. Contrary to Consolidated's argument in the present appeal, *Abbatiello* did not announce a new notice requirement for section 240 (1) cases.

Consolidated posits that, as in *Abbatiello*, it has an insufficient nexus with plaintiff to support absolute liability. We disagree. Consolidated leased the premises to a tenant who, in turn, hired plaintiff's firm to install a commercial air conditioning unit. True, Consolidated inserted a provision in the lease agreement requiring its tenant to obtain written permission before performing any alterations to the property. But the tenant's breach of this lease clause—while it may have some bearing on Consolidated's indemnification claim—did not sever

the nexus.⁴ Plaintiff was specifically employed by the tenant to perform work in Consolidated's building and, as between the owner and the worker, section 240 (1) clearly places the burden on the owner should a violation of the statute proximately cause injury. Unlike the cable technician in *Abbatiello*, the plaintiff in this case was an "employee" for purposes of section 240 (1) and cannot conceivably be viewed as a "trespasser."

At bottom, Consolidated asks us to hold that an owner may insulate itself from liability by contracting out of the Labor Law. We decline its invitation to engraft this new exception onto the statute. To allow owners to do so by the simple expedient of a lease provision, as suggested by the dissent, would eviscerate the strict liability protection afforded by the Labor Law. As we have repeatedly stated, section 240 (1) exists solely for the benefit of workers and operates to place the ultimate responsibility for safety violations on owners and contractors, not the workers. Any modification to this strict liability statute must be made by the Legislature, not this Court.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, defendants-respondents' motion for summary judgment as to the Labor Law § 240 (1) cause of action denied and plaintiffs' motion for partial summary judgment as to liability on such cause of action granted.

SMITH, J. (dissenting). I dissent because today's decision unwisely and unnecessarily increases the already heavy burden that Labor Law § 240 (1) places on New York property owners.

The statute says that, with exceptions not relevant here, "[a]ll contractors and owners . . . shall furnish or erect, or cause to be furnished or erected" safety devices "which shall be so constructed, placed and operated as to give proper protection" to workers. The duty of contractors and owners to provide "proper protection" is nondelegable (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991]). Indeed, an owner cannot escape the duty imposed by the statute even by ridding itself of possession of the property; we have held that landlords of leased property are liable as owners under section 240 (1) (*Coleman v City of New York*, 91 NY2d 821, 823 [1997]; *Gordon v Eastern Ry. Supply*, 82 NY2d 555, 559-560 [1993]).

4. We take no position on the merits of Consolidated's third-party claims against C2 Media and Chroma.

We have never addressed, however, the situation of a landlord that did not try to delegate responsibility for worker safety to its tenant, but retained in the lease the power to provide protection for workers—only to have the tenant ignore the lease provision. Here, the lease specifically prohibits the tenant from hiring a contractor to make any alterations in the premises without the landlord’s prior written consent. A representative of the landlord testified that if a request for consent had been made “we would want to know who the contractor was and we would want the contractor hopefully to be someone that was known and approved by the owner.” Whether such an inquiry would have prevented what happened in this case—the hiring of a contractor with unsafe equipment—will never be known, because the tenant violated the lease and never gave the landlord a chance to make the inquiry.

I do not see how the statutory goal of preventing workplace accidents is advanced by holding a landlord liable in a situation like this. What could anyone expect the landlord to do to prevent the accident, other than what it did? “The point of Labor Law § 240 (1) is to compel . . . owners to comply with the law, not to penalize them when they have done so” (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280, 286 [2003]). The result the majority reaches effectively treats this landlord “as an insurer”—contrary to our view of the purpose of the statute as expressed in *Blake* (*id.*).

This result can be justified only by a literal, mechanical reading of the statute, to say that any “owner” is liable whenever a worker is not given proper protection, and is injured. We rejected such literalism in *Abbatiello v Lancaster Studio Assoc.* (3 NY3d 46 [2004]), where a cable television repairman was held to have no claim against a building owner who did not know the repairman was there, and could have done nothing about it if it had. I think we should follow the approach of *Abbatiello* here, where the tenant’s breach of the lease prevented the landlord from learning of the worker’s presence, rather than expand our already draconian rules of Labor Law § 240 (1) liability.

Chief Judge KAYE and Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order, insofar as appealed from, reversed, etc.

[887 NE2d 1113, 858 NYS2d 55]

OLEG RIVKIN, Appellant, v CENTURY 21 TERAN REALTY LLC et al., Respondents, et al., Defendants.

Argued March 19, 2008; decided April 24, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Did any or all of Defendants-Appellees breach a fiduciary duty to Plaintiff-Appellant Rivkin by failing to disclose, in any form, Defendants-Appellees’ representation of a competing buyer for the property Rivkin sought to buy?”

HEADNOTE

Brokers — Real Estate Brokers — Breach of Fiduciary Duty — Failure to Disclose Representation of Competing Buyer

There was no breach of fiduciary duty to plaintiff, a prospective buyer of lakeside property, where plaintiff was represented by one buyer’s agent employed by a real estate brokerage firm and another prospective buyer was represented by a different agent associated with the same brokerage firm who was ultimately successful in a competing bid for the property, and there was no disclosure to plaintiff of the firm’s representation of the competing buyer. A buyer’s agent acts solely on behalf of the buyer and owes the following fiduciary duties to the buyer: reasonable care, undivided loyalty, confidentiality, full disclosure, obedience and a duty to account (*see* Real Property Law § 443). The fiduciary duty is owed by an individual licensee and not the firm; a brokerage firm is permitted to represent multiple bidders for the same property. However, an individual agent may not represent multiple buyers bidding on the same property without making disclosure and obtaining consent.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Brokers §§ 110, 112, 117, 118.
MCKINNEY’S, Real Property Law § 443.
NY JUR 2d, Brokers §§ 27, 28, 31, 32, 265, 272.
NEW YORK REAL PROPERTY SERVICE §§ 15:9, 15:11.

ANNOTATION REFERENCE

See ALR Index under Brokers; Sale and Transfer of Property.

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& fiduciary

POINTS OF COUNSEL

Robert J. Tolchin, New York City, for appellant. I. Real estate brokers' fiduciary duties to their clients include the same duty of undivided loyalty any other agent owes his principal. (*Dubbs v Stribling & Assoc.*, 96 NY2d 337; *Sonnenschein v Douglas Elliman-Gibbons & Ives*, 96 NY2d 369; *Coldwell Banker Residential Real Estate v Berner*, 202 AD2d 949.) II. Defendants seek an exemption from the duty of loyalty enjoyed by no other species of agent. III. The amicus' reliance on *Sonnenschein v Douglas Elliman-Gibbons & Ives* (96 NY2d 369 [2001]) is misplaced.

Hiscock & Barclay, LLP, Albany (*William A. Hurst and Stephen H. Volkheimer* of counsel), for respondents. I. The fiduciary duty owed by Century 21 Teran Realty LLC and Joshua Luborsky to plaintiff did not include a duty to disclose Teran's simultaneous representation of two potential buyers of the same property. (*Manhattan Apts., Inc. v Simeon*, 11 AD3d 404; *Bucholtz v Sirotkin Travel*, 80 Misc 2d 333; *Matter of L. A. Grant Realty v Cuomo*, 58 AD2d 251; *Dubbs v Stribling & Assoc.*, 96 NY2d 337; *Reiser, Inc. v Roberts Real Estate*, 292 AD2d 726; *Sonnenschein v Douglas Elliman-Gibbons & Ives*, 96 NY2d 369; *Lamdin v Broadway Surface Adv. Corp.*, 272 NY 133; *Matter of Ted is Back Corp. [Roberts]*, 64 NY2d 725; *Bynog v Cipriani Group*, 1 NY3d 193; *Matter of 12 Cornelia St. [Ross]*, 56 NY2d 895.) II. Plaintiff cannot demonstrate that his damages were proximately caused by defendants' breach of their fiduciary duty. (*Gibbs v Breed, Abbott & Morgan*, 271 AD2d 180; *Milbank, Tweed, Hadley & McCloy v Boon*, 13 F3d 537; *Douglas Holly, Inc. v Rice*, 161 AD2d 560, 76 NY2d 709; *E. W. Bruno Co. v Friedberg*, 28 AD2d 91; *Fine v Doernberg & Co.*, 203 AD2d 419.)

Law Offices of Michael T. Wallender, Albany (*Michael T. Wallender* of counsel), for New York State Association of REALTORS, Inc., amicus curiae. I. In the contemporary New York real estate marketplace, absent an express agreement, buyer's brokers are not generally expected to represent a particular buyer client exclusively. (*Sonnenschein v Douglas Elliman-Gibbons & Ives*, 96 NY2d 369; *Thyroff v Nationwide Mut. Ins.*

Co., 8 NY3d 283; *Dubbs v Stribling & Assoc.*, 96 NY2d 337; *Wendt v Fischer*, 243 NY 439; *Reiser, Inc. v Roberts Real Estate*, 292 AD2d 726; *Glazer v LoPreste*, 278 AD2d 198; *Van Valkenburgh, Nooger & Neville v Hayden Publ. Co.*, 30 NY2d 34, 409 US 875.) II. Plaintiff should bear the burden of establishing an exclusive agreement which provided that the firm would represent no other buyer clients interested in similar properties. (*Sonnenschein v Douglas Elliman-Gibbons & Ives, Inc.*, 96 NY3d 369; *Lane—Real Estate Dept. Store v Lawlet Corp.*, 28 NY2d 36; *Graff v Billet*, 64 NY2d 899.) III. Plaintiff should bear the burden of establishing causation of any claimed damages. (*Alvarado v Miles*, 9 NY3d 902; *Gibbs v Breed, Abbott & Morgan*, 271 AD2d 180; *Douglas Holly, Inc. v Rice*, 161 AD2d 560, 76 NY2d 709.)

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has certified a question that calls upon us to explore the scope of the fiduciary duty owed by buyer's agents affiliated with a real estate brokerage firm when their principals bid on the same property. We begin with the facts, which are substantially undisputed.

I.

On May 24 or 25, 2004, Oleg Rivkin, a New Jersey resident who was in the market for a summer home on Ulster Heights Lake in Ulster County, contacted Century 21 Teran Realty LLC, a real estate brokerage firm located in Woodstock, New York. Teran is co-owned by Andrew Peck and Chloe Dresser, who are both licensed real estate brokers (*see* Real Property Law § 440 [1]). Teran also possesses a broker's license, which allows it to receive commissions in connection with the purchase and sale of real estate (*see id.*; Real Property Law § 440-a). At the time, 16 salespersons and four associate brokers worked under Teran's aegis (*see* Real Property Law § 440 [2], [3]; § 440-a).

Rivkin spoke with Joshua Luborsky, one of Teran's associate brokers, who told him about lakeside property at 103 Camp Road in Ellenville, which was listed for sale by another Century 21 franchise for \$100,000. Details and pictures of the property posted by the local multiple listing service were forwarded to Rivkin by e-mail. The listing indicated that "all reasonable offers" for this modest cottage on one acre, which "[sat] right on the lake," should be presented.

On May 25, 2004, Rivkin directed Luborsky to convey a verbal offer to the listing broker (the seller's agent) to purchase the Camp Road property for \$75,000, and Luborsky promptly did so. According to Rivkin, until he actually saw the property, he "couldn't commit to . . . a contract[,] but at the same time [he] was very concerned that somebody was going to beat [him] out of [the property]." He authorized the verbal offer "to keep [his] spot" so that he would not find himself "out of the loop." Luborsky and Rivkin also arranged to meet at the site on May 28, 2004, the Friday before the impending Memorial Day holiday weekend, so that Rivkin might look at the property, with the expectation that he would make a written offer if it proved to be as suitable as he believed it to be.

Upon actually viewing the Camp Road property, Rivkin formed the opinion that "[t]he building . . . was fairly worthless" and "dilapidated [and] needed to be knocked down"; and that the "value was entirely in the land [which was] fantastic." As he later put it, this property "seemed to fit [his] requirements in every respect."

Rivkin knew that the Camp Road property "had only been on the market . . . a couple of weeks," but he quizzed Luborsky about "whether there had been other offers on the property." According to Rivkin, Luborsky replied that there had been other offers and, although he was "not aware of the amounts[,] . . . they were low enough not to have resulted in any counteroffers by the sellers." Rivkin asked Luborsky if he considered \$75,000 to be "a fair offer," and Luborsky indicated that it was, and that a counteroffer was likely. Rivkin agreed with Luborsky's assessment because "[i]n [his] experience there [was] always an offer and counteroffer process." Further, he claims to have told Luborsky that he "was willing to go up to the asking price without any doubt," because "[a]s far as [he] was concerned[,] the land was worth it."

Rivkin then signed a written binder, offering to purchase the Camp Road property for \$75,000, which Luborsky forwarded to the listing broker that same day, May 28, 2004. Rivkin also wrote a check to Teran for \$1,500 as a deposit, and signed an acknowledgment that he had received, read and understood a form document entitled "Disclosure Regarding Real Estate Agency Relationships" provided to him by Luborsky. This document, mandated by and conforming to the requirements of article 12-A of the Real Property Law, states that the "buyer's agent acts solely on behalf of the buyer" and has "without

limitation, the following fiduciary duties to the buyer: reasonable care, undivided loyalty, confidentiality, full disclosure, obedience and a duty to account” (*see also* former Real Property Law § 443 [4]).

As it turns out, on May 20, 2004, a few days before Rivkin first talked to Luborsky, Susanne and Robert Martin, who were looking to buy vacation or retirement property in Ulster County, had contacted Dresser, the co-owner of Teran. She told them about the Camp Road property, and they scheduled an appointment to meet at the site for an inspection. When Dresser called the listing broker on May 28, 2004 to arrange for this viewing, the listing broker let her know that there was an offer pending (presumably, Rivkin’s), and that there might be several other showings over the holiday weekend. Upon seeing the Camp Road property, the Martins decided to offer \$100,000, the listing price. On Sunday, May 30, 2004, they signed a written binder for that amount. Dresser promptly called the listing broker to advise her of this offer, and forwarded the written binder.

Luborsky contacted the listing broker on Saturday, May 29, 2004 to make sure that she had received Rivkin’s written binder faxed the previous day. The listing broker confirmed that she had, but “would likely have trouble reaching” the sellers because they were traveling over the holiday weekend. As a result, she told Luborsky not to expect a response to Rivkin’s offer any sooner than the following Tuesday, June 1, 2004, and that the property “might be shown to others over the weekend.”

Rivkin says that he called Luborsky on Sunday, May 30 and Monday, May 31 (Memorial Day), 2004 to inquire about the status of his offer. Luborsky claims to have told him everything that he had learned in his Saturday conversation with the listing broker, and Rivkin acknowledges at least that “at some point . . . [Luborsky] told [him] that the property had been shown over the weekend.”

According to Rivkin, on June 1, 2004 Luborsky told him that he had learned from the listing broker that offers had been received for the Camp Road property over the weekend, but that he did not know the particulars. Rivkin maintains that he reminded Luborsky that he wanted the opportunity to raise his \$75,000 offer, and was prepared to do so; and that Luborsky assured him that he would try to find out from the listing broker whether the sellers were prepared to make a counteroffer, or wanted to receive “highest and best” final offers from all prospective purchasers.

At 4:57 P.M. on June 1, 2004, Rivkin sent Luborsky the following e-mail:

“What have you heard from the sellers’ agent? Anything? I don’t quite understand why it is taking so long to get a response from them. If they have changed their mind or don’t want to entertain the offer, I would like to know now, so that I could make an offer on another property.”

Sometime late in the afternoon or early evening, Luborsky picked up a voice mail message from the listing broker, who informed him that the sellers had accepted another offer, and so his client was “out of the running.” When Luborsky reported this to Rivkin, they commiserated about the loss and wondered why the sellers had not solicited a “highest and best” offer. According to Rivkin, Luborsky expressed the notion that the listing broker had “acted inappropriately” by steering the sale to one of its own clients.

At about 11:00 P.M. on June 1, 2004, Rivkin telephoned Carol Botnick, one of the sellers, to make sure that the listing broker had conveyed his \$75,000 offer. Botnick, who co-owned the Camp Road property with her brother-in-law, Seymour Kraver, confirmed that she had received Rivkin’s offer. When he asked her why there was no counteroffer, she replied that she “had a better offer” and that Rivkin’s offer “was too low,” but she would not tell him what the better offer was. When he asked “what [it] would . . . take” for him to acquire the property, she told him to deal with the listing broker, and not to call her again. Despite this rebuff, Rivkin next telephoned Kraver at about 11:15 P.M., telling him that he “really like[d] the property, . . . how much the property meant to [him], how much the lake meant to [him].” Kraver shrugged Rivkin off, telling him that the decision was “basically” Botnick’s to make.

Rivkin claims to have talked to the listing broker at some point on June 2, 2004, and to have learned from her that the sellers had received a full-price offer, which they had accepted orally. According to Rivkin, she made the following statement: “I don’t know if I should be telling you this, but . . . the full-price offer came from your own broker’s office.” Rivkin also says that he confronted Luborsky with this information on June 2, 2004, before instructing him to present an offer of \$101,000 to the sellers, contingent only upon a water well inspection. He sent Luborsky an e-mail confirming this offer at 2:13 P.M. That same day, the listing broker informed Dresser that the sellers

had verbally accepted the Martins' \$100,000 offer, and let Luborsky know that the sellers had rejected Rivkin's \$101,000 offer.

After Luborsky informed Rivkin that his \$101,000 offer had been turned down and—"for the first time"—that the offer with which he was competing was contingency-free, Rivkin responded by e-mail at 7:32 P.M., instructing Luborsky to make an offer of \$105,000, with no contingencies. Immediately thereafter, Rivkin telephoned Kraver to make the \$105,000 offer personally. Kraver told Rivkin that he would consider it, but again left him with the impression that the decision was his sister-in-law's.

On June 3, 2004, Rivkin contacted the listing broker directly to confirm the \$105,000 offer, which the sellers ultimately turned down. He professes to have learned from the listing broker that Dresser was the buyer's agent for the successful purchaser, although the listing broker would not reveal the purchaser's identity. In an e-mail sent to Luborsky at 9:39 P.M., Rivkin terminated his relationship with Teran, and asked for his deposit to be returned. He told Luborsky that he had just spoken to Kraver, "who did not give [him] any explanation" for rejecting the \$105,000 offer, and that he was "frankly quite puzzled and not a little disappointed by all of this." He expressed his suspicion, however, that Peck (who co-owned Teran with Dresser) was the buyer.

On June 3, 2004, Rivkin's attorneys wrote to Peck, describing what they characterized as the "rather disturbing sequence of events [that] has transpired . . . , demonstrating a blatant breach by [Teran] of its fiduciary duty to . . . Rivkin, as well as actions evidencing [Teran's] egregious conflict of interest and self-dealing." Rivkin's attorneys threatened litigation. On June 6, 2004, Rivkin wrote to the listing broker to ask for certain documents. He complained that his "offer was trumped by a full-price, no contingency offer from one of Teran's principals, in violation of their fiduciary duty to me."

Teran had no system in place for tracking whether its buyer's agents were representing multiple buyers bidding on the same property. According to Dresser, until Peck received the June 3rd letter from Rivkin's attorneys, she had no idea that Luborsky had made a competing offer for the Camp Road property. Peck was similarly unaware that Luborsky and Dresser were representing different buyers bidding on the Camp Road prop-

erty, although he stressed that “[i]t is common practice in New York for buyer’s-agents associated with a particular agency to assist a buyer-client in purchasing a property, while another buyer’s-agent associated with the same agency is doing the same thing.”

Later in June 2004, Rivkin brought this suit against Teran, Peck, Dresser and Luborsky (collectively, defendants) in the United States District Court for the Northern District of New York, seeking damages stemming from the loss of the Camp Road property, and, as relevant to the certified question, asserting a claim for breach of fiduciary duty. After discovery, Rivkin moved for partial summary judgment on the issue of liability, and defendants moved for summary judgment dismissing the complaint.

On November 17, 2005, the District Court Judge granted defendants’ motion and dismissed the case in an oral decision. By this time, Rivkin knew that the Martins¹ —not Peck—had purchased the Camp Road property. As the Judge analyzed Rivkin’s revised theory of the case, “the gist of the legal issue” was whether or not there was “a per se rule that under circumstances like this, two employees of the same agency cannot, absent full disclosure, represent competing buyers for a piece of property.” Observing that “there [was] not a single case in New York on these facts that has held that kind of conduct in the real estate industry violates the law,” he “decline[d] to so hold.” He also considered it to be

“probably unnecessary . . . to even reach that issue, because on the facts, as everybody concedes them, there simply is no basis whatsoever to associate the harm in the representation from Luborsky to the harm to [Rivkin] from losing the property. They were all avenues available had the sellers of the property wanted to . . . sell him the property at the price he was willing to pay.”

Rivkin appealed to the Second Circuit. Concluding that the case “turn[ed] on an unsettled question of state law for which there [was] no direct precedent,” the court stated that

“[t]he issues . . . concern the nature and extent of

1. The Martins signed a contract for the purchase of the Camp Road property on June 11, 2004, which was evidently executed by the sellers, Botnick and Kraver, on June 25, 2004; the closing occurred on August 18, 2004.

a buyer's agent's obligation to avoid or mitigate conflicts of interest among its principals. It is clear that buyer's agents owe various fiduciary duties to their clients under New York's property law. . . .

"Although in [*Dubbs v Stribling & Assoc.*, 96 NY2d 337 (2001)] the New York Court of Appeals made the general statement that it is well settled that a real estate broker is a fiduciary with a duty of loyalty and an obligation to act in the best interests of the principal, *Dubbs* addressed the duties of seller's agents rather than buyer's agents.

"Indeed, it appears that no New York case deals with a *buyer's*—rather than a seller's—agent's duties. The real estate marketplace may, for various reasons, dictate different duties for these two kinds of agents. In addition, even if we were to presume that sellers' and buyers' agents owe identical fiduciary duties, the facts of the New York cases that deal with sellers' agents' duties are materially different from those here: *Dubbs*, for example, involved allegations of an improper personal stake in the transaction, and *Sonnenschein [v Douglas Elliman-Gibbons & Ives]* (96 NY2d 369 [2001]) addressed whether a seller's broker may offer the properties of all of its principals to a potential customer. Thus, these cases neither answer the questions in this case nor can be used with confidence to reasonably predict the answer" (*Rivkin v Century 21 Teran Realty LLC*, 494 F3d 99, 106-107 [2d Cir 2007] [internal quotation marks and citations omitted]).

Further, "causation analysis will turn on the type of disclosure that New York law requires a buyer's agent to make" (*id.* at 107). Consequently, the Second Circuit certified the following question to us: "Did any or all of [defendants] breach a fiduciary duty to Rivkin by failing to disclose, in any form, [defendants'] representation of a competing buyer for the property Rivkin sought to buy?" (*Id.* at 108.)

II.

"The trend of [real estate agents] representing buyers began primarily on the west coast in the mid-1980's when states enacted the first agency disclosure laws making the practice viable" (Brown, Grohman and Valcarcel, *Real Estate Brokerage*:

Recent Changes in Relationships and a Proposed Cure, 29 Creighton L Rev 25, 42 [1995]). New York's agency disclosure statute, Real Property Law § 443, was originally enacted in 1991 (*see* L 1991, ch 726). This legislation sought "to address an issue of paramount concern to the Secretary of State"; specifically, although brokers and salespersons were required to make clear whether they represented the seller—as was traditionally the case—or the buyer in a residential sales transaction, "[t]he lack of a requirement that the information be provided in writing and in a uniform manner . . . resulted in uneven disclosure which too often . . . failed to eliminate confusion on the part of buyers or sellers as to the loyalties and duties of agents with whom they [were] dealing" (Assembly Mem in Support, Bill Jacket, L 1991, ch 726, at 16). Section 443 mandates disclosure for transactions involving one-to-four-family residential dwellings for sale or lease, but not condominium or cooperative apartments in a building with more than four units (Budget Report on Bills, *id.* at 11; Real Property Law § 443 [1] [f]).

The statute defines a "buyer's agent" as "an agent who contracts to locate residential real property for a buyer or who finds a buyer for a property and presents an offer to purchase to the seller or seller's agent and negotiates on behalf of the buyer" (Real Property Law § 443 [1] [c]). A buyer's agent must present the buyer with a disclosure form, the terms of which are statutorily prescribed, "prior to entering into an agreement to act as the buyer's agent" and generally must "obtain a signed acknowledgment from the buyer" (Real Property Law § 443 [3] [c]). As previously noted, the form declares that the buyer's agent "acts solely on behalf of the buyer" and has "without limitation, the following fiduciary duties to the buyer: reasonable care, undivided loyalty, confidentiality, full disclosure, obedience and a duty to account" (*see also* former Real Property Law § 443 [4]).²

Rivkin places great weight on the words "solely" and "undivided" and the phrase "without limitation," arguing, in

2. Section 443 has been amended twice since 2004, when the events described in this appeal took place (*see* L 2006, ch 569; L 2007, ch 549). The 2006 amendments resulted in the splitting of subdivision (4) of section 443 into paragraphs (a) (dealing with buyer-seller transactions) and (b) (dealing with landlord-tenant transactions), and made some minor changes in wording with respect to buyer's agents, apparently for the sake of clarity. Those changes included deletion of the sentence stating that "[a] buyer's agent acts solely on behalf of the buyer."

effect, that they bespeak the Legislature's determination, or at least its recognition, that a brokerage firm may not represent multiple bidders for the same property without disclosure and consent. We disagree. When the Legislature adopted section 443, the perceived mantle of "confusion" obscured consumers' awareness as to whether a real estate broker or salesperson was acting in the interest of the seller or the buyer or both (i.e., dual agency) in a particular transaction, not whether a brokerage firm might represent multiple buyers (or sellers) with competing interests. Indeed, the disclosure form specifically states that the fiduciary duty is owed by an individual licensee and not the firm; that is, section 443 talks in terms of an "agent," defined as "*a person who is licensed as a real estate broker or real estate sales associate . . . and is acting in a fiduciary capacity*" (see Real Property Law § 443 [1] [a] [emphasis added]). The Legislature did not, for example, say "any person, firm, limited liability company or corporation," as it did when defining the term "real estate broker" in subdivision (1) of section 440.

Subdivision (6) of section 443, however, preserves "the common law of agency with respect to residential real estate transactions." And in *Sonnenschein* and *Dubbs*—the two cases prominently mentioned by the Second Circuit—we explored a real estate broker's fiduciary duty under the common law with respect to sellers. Looking to other jurisdictions, we concluded in *Sonnenschein* that "[o]nce oral negotiations have commenced between a seller and a potential purchaser concerning a real estate transaction, . . . the brokerage firm that produced the potential purchaser [does not] owe the seller a duty to refrain from showing the potential purchaser additional properties" (96 NY2d at 372). We considered "this approach to be consistent with the nature and fundamental requirements of the real estate marketplace in New York," reasoning that

"a broker cannot be expected to decline a prospective purchaser's request to see another property listed for sale with that broker. Any other rule would unreasonably restrain a broker from simultaneously representing two or more principals with similar properties for fear of violating a fiduciary obligation in the event a buyer chose the property of one principal over that of another. Similarly, such a limitation would frustrate the interests of sellers, who benefit from the opportunity to market their

properties to as many potential purchasers as possible, as well as the interests of potential buyers, who often request exposure to a number of properties in order to select the one most suitable to their needs and budget” (*id.* at 376).

In *Dubbs*, the owners/sellers placed their apartment for sale on an “open listing,” which meant that the sellers would pay a commission to the broker who located the buyer. The sellers confided to their real estate agent that, rather than selling the apartment, they would have preferred to keep it, purchase the adjacent apartment and combine the two into a single unit, but that their neighbor refused to sell. The real estate agent showed the apartment to several prospective buyers. Thereafter, she made an offer on the apartment herself, and the parties entered into a written contract for its sale. Prior to closing, the real estate agent contracted to buy the adjacent apartment without advising the sellers that it had been placed on the market.

The sellers commenced an action against their real estate agent claiming that she had breached her fiduciary duty to them by failing to let them know that their neighbor’s apartment was for sale. We observed that “[w]here a broker’s interests or loyalties are divided due to a personal stake in the transaction or representation of multiple parties, the broker must disclose to the principal the nature and extent of the broker’s interest in the transaction or the material facts illuminating the broker’s divided loyalties” (*Dubbs*, 96 NY2d at 340). We determined, however, that the broker/principal relationship and accompanying fiduciary duty was severed before the agent learned that the neighbor’s apartment was on the market.

Although *Dubbs* addressed the duty of a seller’s agent, rather than a buyer’s agent, our observation in *Dubbs* that “[w]here a broker’s interests or loyalties are divided due to . . . [the] representation of multiple parties, the broker must disclose to the principal . . . the material facts illuminating the broker’s divided loyalties” bears on agency relationships generally (*Dubbs*, 96 NY2d at 340; see Restatement [Second] of Agency § 389 [“Unless otherwise agreed, an agent is subject to a duty not to deal with his principal as an adverse party in a transaction connected with his agency without the principal’s knowledge”]). Concomitantly, a buyer’s agent must inform the buyer of the duty of “undivided loyalty . . . [and] full disclosure” (Real Property Law § 443 [3] [c]; [4] [a]). Simultaneously representing multiple buyers with respect to the same property

is inconsistent with these duties, absent disclosure and consent. Further, section 443 (4) (a) of the Real Property Law creates an expectation that a buyer's agent will, in fact, not at one and the same time take the side of different buyers bidding for the same property.

That being said, in *Sonnenschein* we adopted a rule "consistent with the nature and fundamental requirements of the real estate marketplace in New York" (96 NY2d at 376). Here, practical considerations cause us to draw a distinction between the fiduciary duty owed by the buyer's *individual* agent and that owed by the agent's *firm*. An individual buyer's agent acting on behalf of multiple clients bidding on the same property cannot negotiate an optimal purchase price for all of them. The buyers' interests conflict; the agent's representation is inevitably compromised. But two buyer's agents simply affiliated with the same real estate brokerage firm and acting on behalf of different buyers bidding on the same property generally do not present comparable risks. There is no incentive for these agents to represent their clients less than zealously, consistent with their fiduciary duties under Real Property Law § 443 (4) (a) and common law: they only earn commissions for sales to their own clients. As a result, in this situation the agents have every reason to negotiate in their clients' best interest.

As the New York State Association of REALTORS, Inc. (NYSAR) points out in its amicus brief, in today's real estate marketplace buyers are routinely represented by buyer's agents, and real estate licensees are commonly affiliated with megabrokerage firms featuring multiple licensees and offices. Indeed, NYSAR avows that numerous brokerage firms in New York have more than 100 or 200—and, in three cases, more than 1,000—affiliated licensees. Would-be buyers are very well aware that they are competing with other potential buyers, including those represented by other agents affiliated with the firm that they have retained. As we noted in *Sonnenschein* when discussing seller's agents, "[u]nless a broker and principal *specifically agree otherwise*, a broker cannot be expected to decline a prospective purchaser's request to see another property listed for sale with that broker" (96 NY2d at 376 [emphasis added]). As a corollary, unless a real estate brokerage firm and principal specifically agree otherwise, the firm is not obligated to insure that its affiliated licensees forgo making offers on behalf of other buyers for property on which the principal has already bid. Disclosure and consent are not prerequisites to a competing

offer in this circumstance. An individual agent, however, may not represent multiple buyers bidding on the same property without making disclosure and obtaining consent.

Accordingly, the certified question should be answered in the negative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[889 NE2d 467, 859 NYS2d 590]

In the Matter of ELLIOTT GARNER, Appellant, v NEW YORK STATE
DEPARTMENT OF CORRECTIONAL SERVICES et al., Respon-
dents.

Argued March 12, 2008; decided April 29, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 12, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Bernard J. Malone, Jr., J.), entered in a proceeding pursuant to CPLR article 78, which had granted respondents' motion to dismiss the petition.

Matter of Garner v New York State Dept. of Correctional Servs., 39 AD3d 1019, reversed.

HEADNOTE

Prisons and Prisoners — Calculation of Sentence — Postrelease Supervision

Petitioner was entitled to a writ of prohibition barring the Department of Correctional Services (DOCS) from adding a mandatory period of postrelease supervision (PRS) onto his sentence even though that PRS term was never pronounced by the sentencing judge. Pursuant to CPL 380.20 and 380.40, only the sentencing judge is authorized to pronounce the PRS component of a defendant's sentence. By imposing that term upon petitioner, DOCS was acting in a judicial capacity and in excess of its jurisdiction. Issuance of the writ of prohibition was not barred by precedential considerations, since PRS represents a significant punishment component that restricts an individual's liberty, and a defendant has a statutory right to have that punishment imposed by the sentencing judge. Moreover, petitioner also lacked another remedy at law or equity. A challenge to the PRS term in a CPL 440.20 proceeding would necessarily fail, as the statute only permits challenges to judicially imposed sentences.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 794, 798, 925, 926.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3893,
172:3942, 172:4138, 172:4214, 172:4215, 172:4218.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.3.

MCKINNEY's, CPL 380.20, 380.40, 440.20.

NY JUR 2d, Criminal Law §§ 2586, 2605, 2616, 2628, 2706,
3082, 3083, 3088, 3182, 3262.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Prisons and Prisoners; Sentence and Punishment.

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POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*Elon Harpaz* and *Steven Banks* of counsel), for appellant. The Department of Correctional Services usurped a judicial function when it added a five-year period of postrelease supervision to the sentence pronounced in court; moreover, to the extent Penal Law § 70.45 authorized that addition, the statute itself is unconstitutional. (*Earley v Murray*, 451 F3d 71, 462 F3d 147; *Hill v United States ex rel. Wampler*, 298 US 460; *Johnson v Mabry*, 602 F2d 167; *People v Hansen*, 99 NY2d 339; *People v Perry*, 36 NY2d 114; *People v McClain*, 35 NY2d 483; *Green v United States*, 365 US 301; *People v Harris*, 79 NY2d 909; *People ex rel. Lewis v Warden, Otis Baum Correctional Ctr.*, 14 Misc 3d 468; *People ex rel. Johnson v Warden*, 15 Misc 3d 1102[A], 2007 NY Slip Op 50463[U].)

Andrew M. Cuomo, Attorney General, New York City (*Laura R. Johnson, Barbara D. Underwood* and *Roseann MacKechnie* of counsel), for respondents. I. A five-year period of postrelease supervision attaches as an automatic corollary of petitioner's determinate sentence without any action by the sentencing court. (*People v Hamlet*, 227 AD2d 203; *People v Fernandez*, 251 AD2d 142; *People v White*, 296 AD2d 867; *People v Bloom*, 269 AD2d 838; *Earley v Murray*, 451 F3d 71; *Matter of Deal v Goord*, 8 AD3d 769; *People v Bell*, 305 AD2d 694; *People v Sparber*, 34 AD3d 265; *People v Lingle*, 34 AD3d 287; *People v Catu*, 4 NY3d 242.) II. Penal Law § 70.45 (1), mandating parole supervision as a consequence of a judicially imposed sentence, does not violate either due process or separation of powers. (*Earley v Murray*, 451 F3d 71, 462 F3d 147; *Matter of Dreher v Goord*, 46 AD3d 1261; *People v Figueroa*, 45 AD3d 297; *People v Noble*, 37 AD3d 622; *People v Kin Kan*, 78 NY2d 54; *Hill v United States ex rel. Wampler*, 298 US 460; *United States v Faulks*, 201 F3d 208; *United States v Parker*, 101 F3d 527; *United States v Pagan*, 785 F2d 378; *United States v Connolly*, 618 F2d 553.) III. Petitioner's

claim may not be reviewed in a CPLR article 78 proceeding. (*Matter of Caroselli v Goord*, 269 AD2d 706; *Matter of Stitham v City of New York, Dept. of Probation*, 127 Misc 2d 906; *People v Lemos*, 34 AD3d 343, 8 NY3d 924; *People v McClain*, 35 NY2d 483; *People v Colon*, 89 AD2d 552; *People v Williams*, 44 AD3d 335; *People v Richardson*, 100 NY2d 847; *People v DeValle*, 94 NY2d 870; *Earley v Murray*, 451 F3d 71; *People v Rodriguez*, 16 Misc 3d 1136[A], 2007 NY Slip Op 51712[U].)

OPINION OF THE COURT

CIPARICK, J.

This appeal requires us to determine whether respondent, the New York State Department of Correctional Services (DOCS), may administratively add a mandatory period of postrelease supervision (PRS) onto petitioner's sentence even though that PRS term was never pronounced by the sentencing judge. Because CPL 380.20 and 380.40 collectively provide that only a judge may impose a PRS sentence, we conclude that DOCS may not do so. Therefore, we hold that petitioner is entitled to relief pursuant to CPLR article 78.

I.

On January 24, 2000, petitioner was sentenced as a second violent felony offender to a negotiated five-year determinate prison term following his guilty plea to second degree attempted burglary. Neither during the plea allocution¹ nor at sentencing did Supreme Court inform petitioner that a mandatory five-year PRS term—a direct consequence of its sentence—would be imposed. That term was also not recorded on the sentencing commitment order.

Petitioner alleges that he first learned of his PRS sentence on March 26, 2004 when DOCS presented him with a conditional release agreement. He signed the agreement “under protest” and was released in April 2004. Thereafter, petitioner commenced litigation to eliminate his PRS term.²

Because of his drug use and failure to participate in drug treatment, petitioner's PRS was revoked in early 2005. On April

1. Petitioner has not sought to vacate his plea based on that procedural error (see CPL 440.10; *People v Catu*, 4 NY3d 242 [2005]).

2. Only one of the three proceedings that petitioner initiated related to his PRS term is relevant here. The two others, a CPL 440.20 (1) motion and a habeas corpus petition—later converted into an article 78 petition—were not appealed to this Court.

5, 2005—after his return to prison and more than one year after he signed the 2004 conditional release agreement—petitioner brought an article 78 proceeding challenging DOCS’s authority to “add[]” five years of PRS to his sentence. Supreme Court denied the petition as time-barred because it was not brought within four months of DOCS’s allegedly improper action (see CPLR 217). The Appellate Division affirmed, but upon a different rationale. Relying upon its decision in *Matter of Deal v Goord* (8 AD3d 769 [2004]), the court held that article 78 relief in the nature of prohibition did not lie because DOCS’s allegedly improper conduct did not constitute the performance of any judicial function. As the court explained, “respondents are only enforcing, not imposing, a part of petitioner’s sentence which was automatically included by statute” (39 AD3d 1019 [2007]).³

We granted leave to appeal and now reverse.

II.

As an initial matter, in its briefing before the Appellate Division—and at oral argument before this Court—the Attorney General abandoned the statute of limitations defense that respondent initially interposed in its pre-answer motion to dismiss. Because of that tactical decision, we need not consider the statute of limitations argument here (cf. *Salesian Socy. v Village of Ellenville*, 41 NY2d 521, 526 [1977] [government attorneys are free to employ a “procedural path” in which they waive defense that action is time-barred]; *McKee v City of Cohoes Bd. of Educ.*, 99 AD2d 923, 925 n [3d Dept 1984] [“(D)efendant’s failure to raise the Statute of Limitations issue in its brief ‘is tantamount to an abandonment of that issue’ ”]). Thus, the sole question before us is whether petitioner is entitled to CPLR article 78 relief. We conclude that he is.

A petition seeking article 78 relief in the nature of prohibition should be granted upon a showing that a “body or officer proceeded, is proceeding or is about to proceed without or in excess of jurisdiction” (CPLR 7803 [2]). Our precedents emphasize, however, that such relief is “extraordinary” and should only be granted in limited circumstances (see *Matter of Nicholson v State Commn. on Jud. Conduct*, 50 NY2d 597, 605 [1980]). Thus, as we explained in *Matter of Town of Huntington v New York State Div. of Human Rights* (82 NY2d 783, 786 [1993]), a

3. The Appellate Division has since overruled its decision in this case (see *Matter of Dreher v Goord*, 46 AD3d 1261, 1262 [2007]).

petitioner seeking a writ of prohibition must demonstrate that: (1) a body or officer is acting in a judicial or quasi-judicial capacity, (2) that body or officer is proceeding or threatening to proceed in excess of its jurisdiction and (3) petitioner has a clear legal right to the relief requested. But, even if those facts are established, the writ may still be denied if Supreme Court, in exercising its discretion, concludes the remedy is not warranted because, for example, the harm allegedly suffered is not sufficiently grave or because other proceedings in law or equity could correct the alleged error (*see id.*; *see also* Weinstein-Korn-Miller, NY Civ Prac ¶ 7801.02 [2] [(“T)he court must examine several factors including the gravity of the harm that would result to petitioner, the availability of another adequate remedy to correct that harm, and whether prohibition would provide a more complete and effective remedy if over (*sic*) remedies are potentially available”)]).

Here, petitioner demonstrated his right to a writ of prohibition barring DOCS from administratively adding a five-year PRS term to his sentence. First, by imposing that term upon petitioner, DOCS was acting in a judicial capacity. As we explained today in *People v Sparber* (10 NY3d 457, 470 [2008]), the combined command of CPL 380.20 and 380.40 is that the sentencing judge—and only the sentencing judge—is authorized to pronounce the PRS component of a defendant’s sentence. Second, this act was in excess of DOCS’s jurisdiction; indeed, such action was solely within the province of the sentencing judge. And third, petitioner is clearly entitled to the relief that he seeks because DOCS’s imposition of the PRS term contravenes the CPL’s express mandate that sentencing is a judicial function and, as such, lies beyond DOCS’s limited jurisdiction over inmates and correctional institutions (*see Matter of Pirro v Angiolillo*, 89 NY2d 351, 358-359 [1996] [clear legal right established where Judge exceeded sentencing authority under CPL 410.20 and 430.10]). Indeed, in recognition of DOCS’s limited authority in the sentencing arena, we have previously held that “ ‘prison officials are conclusively bound by the contents of commitment papers accompanying a prisoner’ ” and therefore DOCS must generally “comply with the plain terms of the last commitment order received” (*Matter of Murray v Goord*, 1 NY3d 29, 32 [2003] [emphasis omitted]). The commitment order in this case bore no indication of a PRS term.

Finally, precedential considerations do not bar issuance of the writ in this instance. PRS represents a significant punishment

component that restricts an individual's liberty (*see People v Catu*, 4 NY3d 242, 245 [2005]). It is not automatically included in the pronouncement of a determinate sentence, and thus a defendant has a statutory right to have that punishment imposed by the sentencing judge. Therefore, the harm suffered here by petitioner is sufficiently grave—it has a “substantial” effect on him and “implicate[s] the public interest” in ensuring the regularity of sentencing (*see Pirro*, 89 NY2d at 359). Petitioner also lacks another remedy at law or equity as a challenge to the PRS component of his sentence in a CPL 440.20 proceeding would necessarily fail. The statute only permits challenges to judicially imposed sentences, not those administratively imposed by DOCS. Having resolved this issue on statutory grounds, we need not reach petitioner's constitutional arguments and decline to do so (*see People v Sparber*, 10 NY3d at 471 n 5, citing *People v Felix*, 58 NY2d 156, 161 [1983]). Neither do we pass on the applicability of *Earley v Murray* (451 F3d 71 [2d Cir 2006]).

III.

Accordingly, the order of the Appellate Division should be reversed, with costs, the petition granted and respondent State Department of Correctional Services prohibited from imposing upon petitioner a period of postrelease supervision.⁴

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

4. Our holding here is without prejudice to any ability that either the People or DOCS may have to seek the appropriate resentencing of a defendant in the proper forum (*see e.g. People v DeValle*, 94 NY2d 870, 871 [2000]).

[889 NE2d 471, 859 NYS2d 594]

In the Matter of JOHN A. M.S., Appellant, v RUSSELL E.S., Respondent.

Argued March 18, 2008; decided April 29, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 4, 2007. The Appellate Division order, insofar as appealed from, with two Justices dissenting, affirmed (1) so much of an order of the Family Court, Otsego County (Nelson W. Stiles, S.M.), as had dismissed that portion of the petition seeking an upward modification of spousal support, and (2) an order of that court (Brian D. Burns, J.) which had denied petitioner's objections to, and affirmed, the Support Magistrate's order.

Matter of John A. M.S. v Russell E.S., 44 AD3d 1081, affirmed.

HEADNOTE

Courts — Family Court — Jurisdiction — Modification of Spousal Maintenance Provision in Separation Agreement

Family Court lacked subject matter jurisdiction to entertain petitioner wife's application for an increase in the amount of spousal maintenance agreed to by the parties in their separation agreement. In general, Family Court has no subject matter jurisdiction to reform, set aside, or modify the terms of a valid separation agreement unless a spouse "is likely to become in need of public assistance or care" (Family Ct Act § 463), a statutory exception not applicable here. Although the parties' agreement purported to permit Family Court to treat any application by petitioner as "de novo," such language could not confer jurisdiction upon Family Court. Moreover, the application was not a new, or "de novo," application for maintenance, but rather an application to modify the maintenance award set forth in the separation agreement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 607-610, 1132, 1133.
CARMODY-WAIT 2d, Separation §§ 117:139, 117:141, 117:147; CARMODY-WAIT 2d, Support Proceedings §§ 119:16, 119:17.
2 LAW AND THE FAMILY NEW YORK (2d ed) §§ 2:7, 2:16, 12:60, 12:61.
MCKINNEY's, Family Ct Act § 463.
NY JUR 2d, Domestic Relations §§ 891, 1988, 1989.
SIEGEL, NY PRAC § 16.

ANNOTATION REFERENCE

See ALR Index under Alimony; Divorce and Separation.

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Query: separation /2 agreement /s maintenance /s modification /s jurisdiction

POINTS OF COUNSEL

Harlem & Harlem, Oneonta (Richard A. Harlem of counsel), for appellant. I. The Appellate Division committed error in finding that petitioner's application for maintenance constituted a request for a modification of the "present provisions concerning the payment of maintenance." (*Krochalis v Krochalis*, 53 AD2d 1010; *Kleila v Kleila*, 50 NY2d 277; *Matter of Spilman-Toll v Toll*, 209 AD2d 1015; *Matter of Meccico v Meccico*, 76 NY2d 822; *Rainbow v Swisher*, 72 NY2d 106; *Nichols v Nichols*, 306 NY 490; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *God's Battalion of Prayer Pentecostal Church, Inc. v Miele Assoc., LLP*, 6 NY3d 371; *Matter of Greenblatt v Van Deusen*, 87 AD2d 713.) II. The Appellate Division committed error in holding that Family Court lacked jurisdiction to entertain the spousal maintenance petition. (*Christian v Christian*, 42 NY2d 63; *Zelnik v Zelnik*, 169 AD2d 317; *Wall v dePasquale*, 266 AD2d 388; *Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105.)

Arroyo Copland & Associates PLLC, Albany (Cynthia Feathers of counsel), and *Lester A. Sittler*, Fly Creek, for respondent. Family Court lacked jurisdiction to modify maintenance, where the parties had executed a valid separation agreement addressing maintenance, and under the Family Court Act, the parties were bound by contract terms as to maintenance unless a narrow exception applied, and petitioner asserted no exceptions; and the Appellate Division thus correctly affirmed an order dismissing petitioner's application to modify maintenance. (*Christian v Christian*, 42 NY2d 63; *Matter of Innis v Innis*, 159 AD2d 307; *Kleila v Kleila*, 50 NY2d 277; *Krochalis v Krochalis*, 53 AD2d 1010; *Matter of Zamjohn v Zamjohn*, 158 AD2d 895; *Matter of Spilman-Toll v Toll*, 209 AD2d 1015; *People v Rayam*, 94 NY2d 557; *Brady v Ottaway Newspapers*, 63 NY2d 1031; *Matter of Mahoney v Goggins*, 12 AD3d 447; *Matter of Streit v Streit*, 237 AD2d 662.)

OPINION OF THE COURT

PIGOTT, J.

Petitioner wife and respondent husband, married in 1982, are

the parents of three children. They separated in 1999 and executed a written separation agreement in 2003. No divorce action has been commenced.

The separation agreement provides that the husband would pay the wife \$100 per week in spousal maintenance and \$250 per week in child support. The section of the agreement pertaining to maintenance states:

“while this agreement will resolve these issues for the present time, the Wife shall not be foreclosed from seeking additional maintenance in negotiation with the Husband, or failing such negotiation, then filing in a court of appropriate jurisdiction for a modification of the present provisions concerning the payment of maintenance. Any application by the Wife shall be treated as a ‘de novo’ application to the court, since it is not possible to set future maintenance at this time because it is impossible to forecast the Wife’s needs or the Husband’s income/earning capacity.”

The wife commenced this Family Court Act article 4 proceeding seeking an upward modification of maintenance and child support. After a fact-finding hearing, the Support Magistrate dismissed that portion of the wife’s application seeking additional spousal maintenance for lack of jurisdiction. The court noted that no proof was offered that the wife was likely to become a public charge (*see* Family Ct Act § 463); thus, the parties were bound by the terms of the separation agreement on the issue of spousal maintenance. Family Court affirmed, as did the Appellate Division, with two Justices dissenting in part. The wife appeals as of right based on the two-Justice dissent on a question of law, and we now affirm.

Family Court is a court of limited jurisdiction that cannot exercise powers beyond those granted to it by statute (*see Matter of Silver v Silver*, 36 NY2d 324, 326 [1975]). It generally has no subject matter jurisdiction to reform, set aside or modify the terms of a valid separation agreement (*see Kleila v Kleila*, 50 NY2d 277, 282 [1980]; *Matter of Brescia v Fitts*, 56 NY2d 132, 139 [1982]). Nor can an agreement of the parties confer on Family Court the power to modify the terms of a separation agreement (*see Kleila*, 50 NY2d at 282). A statutory exception to the rule prohibiting the modification of separation agreements, not applicable here, exists where a spouse “is likely to become in need of public assistance or care” (Family Ct Act § 463).

Here, Family Court lacks subject matter jurisdiction to entertain the wife's application for increased spousal maintenance. Although the parties' separation agreement purports to permit Family Court to treat any application by the wife as "de novo," such language cannot confer jurisdiction upon Family Court. As noted by the Appellate Division majority, the wife's petition to Family Court for increased maintenance expressly stated that it was "an application to the Court for an upward modification of spousal support," premised on the insufficiency of current maintenance due to a loss of certain Social Security benefits. Moreover, in practical terms, the wife is not presenting a new, or "de novo," application for maintenance to Family Court; rather, she is simply seeking increased maintenance from that provided under the separation agreement. Thus, because the wife is seeking a modification of a spousal maintenance award set forth in a separation agreement, Family Court is without jurisdiction to entertain the petition and grant the requested relief (*see Kleila*, 50 NY2d at 282).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

SMITH, J. (dissenting). Family Court Act § 411 says: "The family court has exclusive original jurisdiction over proceedings for support or maintenance under this article." Since this is a proceeding for maintenance under article 4 of the Family Court Act, the majority's conclusion that Family Court lacks jurisdiction is at first glance puzzling. The explanation is to be found in cases holding that Family Court has no jurisdiction to "modify" an agreement (*Kleila v Kleila*, 50 NY2d 277, 282 [1980]; *Matter of Brescia v Fitts*, 56 NY2d 132, 139 [1982]). I think the majority errs by reading too much into these cases, and paying too little attention to the statute.

The rationale of *Kleila* and *Brescia* is that, as we explained in *Brescia*, Family Court is "lacking equity jurisdiction" (56 NY2d at 139). Thus, where a husband or wife seeks the intervention of equity to alter the terms of an agreement—a remedy amounting to reformation or rescission—he or she must seek it in Supreme Court. With a statutory exception not relevant here (Family Ct Act § 463 [relating to support of a spouse who is likely to become a public charge]), such a remedy is beyond the power of Family Court to grant in predivorce litigation.

But here, the wife is not asking for equitable relief that would change the terms of the parties' agreement. She is asking for

relief expressly permitted by the agreement's terms: "[T]he Wife shall not be foreclosed from seeking additional maintenance." There is no need for Family Court to exercise the equitable powers that we have held it does not have. It need only do what the statute permits it to do—award maintenance.

It is true, as the majority says, that the parties' agreement "cannot confer jurisdiction upon Family Court" (majority op at 367). But jurisdiction over this case is conferred by the statute; the question is whether the parties *divested* Family Court of jurisdiction, as *Kleila* and *Brescia* hold that they may do, by entering an agreement that court lacks power to alter. These parties expressed a perfectly clear intention not to enter an agreement that displaced Family Court's jurisdiction.

The problem in this case comes from a mistake in drafting. In their agreement, the parties unwisely used the word "modification": "[T]he Wife shall not be foreclosed from . . . filing in a court of appropriate jurisdiction for a modification of the present provisions." But a "modification" to which the parties have consented in the text of their agreement is not the sort of modification that requires the intervention of a court of equity; since it conforms to what the parties said they intended, it is not in the relevant sense a modification at all. The parties could have expressed exactly the same intention—and probably achieved the result they wanted—by changing labels. They could have called the initial \$100 weekly payment an interim arrangement, and treated permanent maintenance not as a "modification" of the interim amount, but as a separate issue that the agreement did not decide. For example: "The amount of maintenance payable by the Husband to the Wife is not fixed by this agreement, but is reserved for the Family Court. Pending the court's resolution of that issue, the Husband shall pay the Wife \$100 per week." In substance, that is what the parties agreed.

By focusing on the word "modification" and not on the substance of the agreement, the majority reaches a completely unjust result. The agreement explains the wife's plight in detail:

"The parties acknowledge that the Wife suffers from a seizure disorder, which originated from treatment of a carcinoma in her ear from childhood. The Wife is completely disabled and on a variety of medications The Wife draws social security disability benefits which are also available to the infant children of the marriage. The parties recognize the need

of the Wife for maintenance and further recognize that that need shall continue for the remainder of her life. . . . The parties specifically acknowledge that it is only possible for them to determine the *present* need of the Wife for maintenance and the *present* ability of the Husband to pay maintenance” (emphasis added).

In the face of this language, the majority holds that the Wife is permanently bound to the \$100 a week of maintenance payments that the parties chose to meet her “present” needs. Her only remedy is to bring an action in Supreme Court for separation or divorce—if she does not want to be legally separated or divorced, she can obtain no relief. This holding is not compelled by any legal rule, and does not make sense.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion.

Order, insofar as appealed from, affirmed, with costs.

[887 NE2d 1132, 858 NYS2d 74]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRETT
CABRERA, Appellant.

Argued March 13, 2008; decided May 1, 2008

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered May 3, 2007. The Appellate Division affirmed a judgment of the Sullivan County Court (Frank J. LaBuda, J.), rendered upon a verdict convicting defendant of criminally negligent homicide (three counts), assault in the third degree, reckless driving, speeding (two counts), failure to keep right, driving left of a double yellow line and violation of junior license restrictions (two counts).

People v Cabrera, 40 AD3d 1139, modified.

HEADNOTES

Crimes — Criminally Negligent Homicide — Sufficiency of Evidence — Speeding Alone without Additional Morally Blameworthy Behavior Insufficient to Constitute Criminal Negligence

1. In the prosecution of defendant, who was speeding and lost control of his vehicle when he failed to negotiate a curve, skidded off the road and crashed into a telephone pole and a tree, killing three of his passengers and injuring a fourth, the evidence was insufficient as a matter of law to sustain defendant's convictions for criminally negligent homicide and assault in the third degree. Although defendant's behavior was both negligent and "blameworthy," there was no morally blameworthy component to excessive speed warranting a finding that defendant was criminally negligent (*see* Penal Law § 15.05 [4]; §§ 125.10, 120.00 [3]). Some additional risk-creating behavior by a defendant is required for "speeding" to be transformed into "dangerous speeding" constituting criminal negligence. The failure of the 17-year-old defendant herein to gauge his ability to handle road conditions did not constitute the kind of seriously condemnatory behavior that the Legislature envisioned when it defined "criminal negligence." The crash resulted from noncriminal failure to perceive risk; it was not the result of criminal risk creation.

Crimes — Criminally Negligent Homicide — Sufficiency of Evidence — Violation of Junior License Restrictions Insufficient to Constitute Criminal Negligence

2. In the prosecution of defendant, who was speeding and lost control of his vehicle when he failed to negotiate a curve, skidded off the road and crashed into a telephone pole and a tree, killing three of his passengers and injuring a fourth, evidence that defendant was operating his vehicle in violation of the restrictions on his junior license (*see* Vehicle and Traffic Law § 501-b [2]) by having more than two passengers under 21 years of age who were not family members and by failing to ensure that his passengers were wearing seat belts was insufficient as a matter of law to sustain defendant's convictions for

criminally negligent homicide and assault in the third degree. That defendant violated those restrictions on his junior license neither caused nor contributed to the crash.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 113, 263, 271–274, 351, 355, 374.

McKINNEY's, Penal Law § 15.05 (4); § 120.00 (3); § 125.10; Vehicle and Traffic Law § 501–b (2).

NY JUR 2d, Automobiles and Other Vehicles § 462; NY JUR 2d, Criminal Law §§ 3698, 3708, 3722, 3832, 3834, 3835.

ANNOTATION REFERENCE

What amounts to negligence within meaning of statutes penalizing negligent homicide by operation of motor vehicle. 20 ALR3d 473.

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POINTS OF COUNSEL

Orseck Law Offices PLLC, Liberty (*Gerald Orseck* of counsel), for appellant. I. The three counts of criminally negligent homicide and the count of assault in the third degree should have been dismissed at the end of the People's case. (*People v Warner-Lambert Co.*, 51 NY2d 295, 450 US 1031; *People v Stanfield*, 36 NY2d 467; *People v Angelo*, 246 NY 451; *People v Eckert*, 2 NY2d 126; *People v Perry*, 123 AD2d 492, 70 NY2d 626; *People v Paris*, 138 AD2d 534; *People v Beiter*, 77 AD2d 214; *People v Bearden*, 290 NY 478; *People v Boutin*, 75 NY2d 692; *People v Haney*, 30 NY2d 328.) II. In the event the subject convictions are not dismissed upon reversal, there should be a new trial. The court refused defendant's requests to charge and overruled defendant's exceptions to other portions thereof. (*People v Eckert*, 2 NY2d 126; *People v Bearden*, 290 NY 478; *People v Perry*, 123 AD2d 492; *Almonte v Marsha Operating Corp.*, 265 AD2d 357; *Dance v Town of Southampton*, 95 AD2d 442; *Hanley v Albano*, 20 AD2d 644; *Flynn v City of New York*, 103 AD2d 98; *Zellman v Metropolitan Transp. Auth.*, 83 AD2d 144; *People v Haney*, 30 NY2d 328.)

Stephen F. Lungen, District Attorney, Monticello (*Bonnie M.*

Mitzner of counsel), for respondent. I. The record supports the jury's verdict convicting appellant of criminally negligent homicide and assault in the third degree. (*People v Haney*, 30 NY2d 328; *People v Ricardo B.*, 73 NY2d 228; *People v Boutin*, 75 NY2d 692; *People v Brown*, 215 AD2d 573; *People v Fitzgerald*, 70 AD2d 955; *People v Bongiorno*, 263 App Div 863.) II. The jury was entitled to consider appellant's noncompliance with his duties imposed by section 501-b of the Vehicle and Traffic Law. (*Almonte v Marsha Operating Corp.*, 265 AD2d 357; *Dance v Town of Southampton*, 95 AD2d 442; *Tomaselli v Goldstein*, 104 AD2d 872; *Aranzullo v Seidell*, 96 AD2d 1048; *Cordero v City of New York*, 112 AD2d 914; *Martin v Alabama 84 Truck Rental*, 38 AD2d 577; *Dalal v City of New York*, 262 AD2d 596; *Matter of Dambakly v Patire*, 301 AD2d 600.) III. The trial court properly instructed the jury on the elements of criminally negligent homicide. (*People v Drake*, 7 NY3d 28; *People v Ladd*, 89 NY2d 893; *People v Fong*, 16 AD3d 179; *Flynn v City of New York*, 103 AD2d 98; *Zellman v Metropolitan Transp. Auth.*, 83 AD2d 144; *People v Trappier*, 87 NY2d 55.)

OPINION OF THE COURT

READ, J.

Late in the afternoon on a bright, summery June day in 2004, a group of Sullivan County youths set out for a local lake to go swimming. They piled into two vehicles to make the trip. One was operated by 19-year-old Monica Mendoza, with her younger sister as a passenger; the other, by defendant Brett Cabrera, a 17 year old with a junior "class DJ" license. Cabrera was driving his parents' 2004 Mercury Mountaineer, a midsize SUV; the Mountaineer had no mechanical defects and nearly new tires. Cabrera was transporting four teenage passengers; none were family members.

Cabrera's junior license imposed several restrictions: as relevant here, the holder of a class DJ license, which "shall *automatically* become a [normal, unrestricted noncommercial] license when the holder becomes eighteen years of age" (Vehicle and Traffic Law § 501 [2] [vi] [emphasis added]), may not operate a vehicle with more than two passengers under 21 years of age who are not members of the junior licensee's immediate family, and must ensure that all passengers have buckled their seat belts (*see* Vehicle and Traffic Law § 501-b [2]). But on this trip to the lake, none of Cabrera's four passengers—a 14 year old, a 15 year old, a 17 year old and an 18 year old—wore a seat belt. Cabrera himself did.

Because she did not know the way to the lake, Monica followed Cabrera. They were driving “at the same speed” and it was, in Monica’s estimation, “a reasonable speed,” perhaps 40 miles per hour. She also, however, stated that her mind was so “blurry” that she “really never knew how fast [they] were going.”

Cabrera and Monica eventually turned onto Sackett Lake Road, where the posted speed limit was 55 miles per hour. At a point where the roadway curved to the right, Monica “slowed down” her car because she was “not always used to driving” that type of hilly, winding road. When she reduced her speed, Cabrera “just kept on the same speed[,] so he pulled away . . . from [her] a little . . . [b]ecause [she] slowed down.” But “by the time [Monica] was getting into” a second curve (presumably the curve to the left before the accident scene), she “just saw the back of the car [Cabrera was driving] . . . and then [she] lost” sight of it “for . . . a second or two and then when [she] saw the car again[,] it was just . . . losing control . . . going to the side of the road” before crashing. Three of the passengers in the Cabrera vehicle died in this accident, and one was critically injured. Cabrera suffered noncritical injuries. He tested free of drugs and alcohol.

Santiago Mendoza, the only surviving passenger in Cabrera’s vehicle, testified at trial about “[w]hat was going on in [Cabrera’s] car” leading up to the accident. The passengers were talking amongst themselves and listening to rap music; they were not interacting with Cabrera. When asked what Cabrera was doing, Santiago answered simply: “Driving.” Asked by the prosecutor if “there [was] any conversation in the car about how fast or speed or where your sisters were,¹¹ or anything about that,” he answered “No.” Indeed, the first time Santiago noticed anything distinctive about Cabrera’s driving was when he “felt the car lose control” and “felt the back end slide . . . [and] hit the dirt on the opposite side of the road.”

According to Deputy Sheriff Amanda Cox, the first quarter of a mile or so on the stretch of Sackett Lake Road leading to the accident scene is flat or uphill; the road crests and goes down along a straightaway past a turnoff. The road then goes up slightly before bending to the left and sloping downhill. At the bottom of this descent is a dip in the road before it starts back

1. His sisters, of course, were the driver and passenger in the car following the Cabrera vehicle to the lake.

uphill and slants to the right; the accident occurred “right at the dip.”

There is a “40 mph curve” sign near the point at which Sackett Lake Road veers left into the downhill slope. Deputy Cox authored a police accident report concluding that the operator of vehicle one (the SUV driven by Cabrera) “while traveling westbound on Sackett Lake Road at a rate of speed unsatisfactory for the roadway failed to negotiate a curve. Vehicle One then crossed over the double yellow line into the eastbound lane” and “went off the eastbound shoulder striking a . . . utility pole . . . [and] a tree and coming to rest on the driver side of the vehicle.” When Cabrera’s vehicle went off the left-hand side of the road, it slid down a 25-to-30-foot embankment. Deputy Cox knew of other accidents at this location. Similarly, Detective Don Starnier had “investigated several accidents . . . most of them caused by either speed and or alcohol” on Sackett Lake Road near the crash site.

Trooper Shane Conklin, a collision reconstructionist for the New York State Police, “observed two tire marks that [began] in the westbound lane to the right of the center line and . . . progressed in a westerly direction through the westbound lane back across the double solid line into the eastbound lane and ended on the edge of the asphalt,” at which point the rear of the Cabrera vehicle fell down the embankment on the left side of the road (followed by the rest of the vehicle). The distance from the point at which the tire marks started until the point at which the vehicle left the road was approximately 230 feet. There were other tire marks in the roadway that were not from Cabrera’s vehicle.

According to Trooper Conklin, the tire marks from the Cabrera vehicle were made by “critical speed yaw.” This occurs when a vehicle begins spinning on its central axis and the tires are “side slipping” while rotating; in other words, the tire marks were caused by the vehicle as it spun out of control, not by skidding upon braking. Using the yaw marks, Trooper Conklin calculated a speed of 70-72 miles per hour upon entry into the critical speed yaw and opined that the left side of Cabrera’s vehicle had crossed the double-yellow center line by that point.

Trooper Conklin ultimately concluded that Cabrera’s “vehicle was attempting to negotiate the curve at a speed that was too great to be negotiated . . . [a]nd the speed was between 70 and 72 miles an hour,” causing the SUV to enter into critical speed

yaw. He observed that once a critical speed yaw is entered, “it is very difficult to bring the car back under control.”

Cabrera was charged with three counts of criminally negligent homicide (Penal Law § 125.10), one count of assault in the third degree (Penal Law § 120.00 [3]), reckless driving (Vehicle and Traffic Law § 1212), and various traffic infractions. At his subsequent jury trial, he sought to dismiss the homicide and assault charges on the ground that his actions, as proved by the People, were insufficient as a matter of law to establish criminal negligence. The judge was unpersuaded. Cabrera also was unable to convince the trial judge to advise the jury that excessive speed is by itself not enough to support criminal negligence, and that junior license violations are not evidence of criminal negligence. Consequently, he objected to the judge’s main and supplemental jury charges.

The jury convicted Cabrera on all counts and the trial judge sentenced him to the maximum term allowed by statute—an aggregate term of 1¹/₃ to 4 years in prison—and fined him \$800. Cabrera was then remanded to the custody of the New York State Department of Correctional Services, and served out his sentence in a maximum security prison.

The Appellate Division, three-two, affirmed the conviction, with one of the two dissenting justices granting Cabrera leave to appeal to us. Cabrera advances two arguments on appeal: that the evidence adduced at trial was insufficient as a matter of law to sustain his convictions for criminally negligent homicide and third-degree assault; and, in the alternative, that he is entitled to a new trial because the trial judge’s instructions were erroneous.

“A person is guilty of criminally negligent homicide when, with criminal negligence, he causes the death of another person” (Penal Law § 125.10). Similarly, a person is guilty of third-degree assault when “[w]ith criminal negligence, he causes physical injury to another person by means of . . . a dangerous instrument” (Penal Law § 120.00 [3]). Since an automobile is concededly “a dangerous instrument” for purposes of Penal Law § 120.00 (3), and Cabrera “cause[d] the death of” three of his passengers insofar as he may have been criminally negligent, the parties contest only whether he acted with the requisite mens rea. Under section 15.05 (4) of the Penal Law,

“[a] person acts with criminal negligence with respect to a result . . . when he fails to perceive a

substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that the failure to perceive it constitutes a gross deviation from the standard of care that a reasonable person would observe in the situation.”

We have examined section 15.05 (4) in detail on numerous occasions, most recently in *People v Conway* (6 NY3d 869 [2006]). There, we explained that

“the carelessness required for criminal negligence is appreciably more serious than that for ordinary civil negligence, and that the carelessness must be such that its *seriousness would be apparent to anyone who shares the community’s general sense of right and wrong*. Moreover, criminal negligence requires a defendant to have *engaged in some blameworthy conduct creating or contributing to a substantial and unjustifiable risk* of a proscribed result; *nonperception of a risk*, even if [the proscribed result occurs], *is not enough*” (*id.* at 872 [internal quotation marks and citations omitted; emphasis added]).

Cabrera protests that excessive speed is never enough to make out a case of criminally negligent homicide, citing *People v Bearden* (290 NY 478 [1943]) and *People v Eckert* (2 NY2d 126 [1956]), two decades-old cases decided under Penal Law § 1053-a, a predecessor statute to Penal Law § 125.10. While Cabrera reads *Bearden* and *Eckert* as, in effect, establishing a per se rule, our more recent cases take a slightly different tack.

In 1990, for example, we decided two companion cases involving criminally negligent homicide arising out of automobile accidents: *People v Boutin* (75 NY2d 692 [1990]) and *People v Paul V.S.* (75 NY2d 944 [1990]). In *Boutin*, we reversed a conviction for criminally negligent homicide where the defendant—traveling near, and possibly under, the speed limit—struck a marked police car stopped in the right-hand travel lane of Interstate 87 on a rainy, foggy night. In *Paul V.S.*, decided in a memorandum the same day as *Boutin*, we affirmed a conviction for criminally negligent homicide where the defendant was traveling 90 miles per hour in a 55 miles per hour “radar zone,” accelerated after being warned by his passenger to slow down, continued past a line of cars that had been stopped by police, and ultimately struck and killed a state trooper attempting to direct him off the highway.

When discussing our precedents in *Boutin*, we observed that the common thread was the “creation,” rather than the “non-perception,” of risk. *Boutin* implicated noncriminal “risk non-perception” because the defendant had simply “fail[ed] to see the vehicle stopped in the lane ahead of him[,] result[ing] in the fatal accident” (75 NY2d at 697). This was to be distinguished from cases where there was “criminally culpable risk-creating conduct—e.g., *dangerous* speeding, racing, failure to obey traffic signals, or any other misconduct that created or contributed to a ‘substantial and unjustifiable’ risk of death” (*id.* at 697-698 [citations omitted and emphasis added]).

[1] In short, it takes some additional affirmative act by the defendant to transform “speeding” into “dangerous speeding”; conduct by which the defendant exhibits the kind of “serious[ly] blameworth[y]” carelessness whose “seriousness would be apparent to anyone who shares the community’s general sense of right and wrong” (*Boutin*, 75 NY2d at 696 [citations omitted]). Thus, in the cases where we have considered the evidence sufficient to establish criminally negligent homicide, the defendant has engaged in some other “risk-creating” behavior in addition to driving faster than the posted speed limit (*compare People v Haney*, 30 NY2d 328 [1972] [defendant was speeding on city street and failed to stop at red light before killing pedestrian crossing street with green light in her favor]; *People v Soto*, 44 NY2d 683 [1978] [defendant, who was speeding and drag racing on city street, struck and killed driver stopped at red light]; *People v Ricardo B.*, 73 NY2d 228 [1989] [defendant was drag racing at between 70 and 90 miles per hour on a busy metropolitan street, ran a red light and struck vehicle crossing intersection with light in its favor]; *People v Loughlin*, 76 NY2d 804, 807 [1990] [intoxicated defendant was speeding on obstructed street under construction in residential neighborhood in Queens]; *People v Maher*, 79 NY2d 978, 980 [1992] [intoxicated defendant drove at speeds of 50 to 100 miles per hour in 35 miles per hour zone in Manhattan, disobeying several traffic signals]; *People v Harris*, 81 NY2d 850, 851-852 [1993] [“defendant, while legally intoxicated, drove his motor vehicle in the dark of night from a public highway into an unfamiliar farmer’s field, accelerated at times to a speed approximating 50 miles per hour, intermittently operated the vehicle without headlights, and suddenly and forcefully drove through a hedgerow of small trees and shrubs, not knowing what obstacles and dangers lurked on the other side”]; *People v Ladd*, 89 NY2d 893, 894-

895 [1996] [intoxicated defendant driving on wrong side of a foggy road at 4:30 A.M.], *with People v Perry*, 123 AD2d 492, 493 [4th Dept 1986], *affd* 70 NY2d 626 [1987] [no criminal negligence present where defendant was driving approximately 80 miles per hour in a 55 miles per hour zone “on a rural road, on a dark night,” struck a utility pole, and killed two passengers; defendant’s “conduct . . . d(id) not constitute a gross deviation from the ordinary standard of care held by those who share the community’s general sense of right and wrong” (citations omitted)]]).

The question on this appeal is therefore whether, when viewed in the light most favorable to the People, the evidence adduced at trial showed that Cabrera’s conduct constituted “not only a failure to perceive a risk of death, but also some serious blameworthiness in the conduct that caused it” (*Boutin*, 75 NY2d at 696). Measured by this standard, the evidence falls short.

There was testimony and forensic evidence that Cabrera, a young and inexperienced but sober driver, entered a tricky downhill curve, the site of other accidents, at a rate of speed well in excess of the posted warning sign. This behavior is certainly negligent, and unquestionably “blameworthy.” But our decisions have uniformly looked for some kind of morally blameworthy component to excessive speed in determining criminal negligence; for example, consciously accelerating in the presence of an obvious risk (*see Paul V.S.*, 75 NY2d 944 [1990]). No such morally blameworthy behavior could be inferred from the testimony in this case.² For a 17 year old to badly misgauge his ability to handle road conditions is not the kind of seriously condemnatory behavior that the Legislature envisioned when it defined “criminal negligence,” even though the consequences here were fatal. This crash resulted from noncriminal failure to perceive risk; it was not the result of criminal risk creation.

[2] Next, at the time of the accident, Cabrera was transporting more than two teenagers who were nonfamily members,

2. The dissent argues that “there was ample evidence for the jury to find that defendant was attempting to achieve a racing car-type stunt as he drove into the curve” (dissenting op at 382). Yet even the prosecution—which asserted every possible inference in a 72-page closing argument—never made such a claim. To the contrary, the prosecution argued: “I’m not going to stand here and tell you he intentionally did it. I’m not going to look you in the eye and tell you he intended to do it. I’m telling you he *failed to perceive* the great risk and harm he was creating” (emphasis added).

and his passengers were not wearing seat belts. As an initial matter, we reject Cabrera's contention that these license violations are "logically irrelevant" because criminal negligence may not turn on whether (holding everything else equal) the accident happened on the day it did or several months later, when Cabrera reached the age of 18 and these restrictions would no longer have been in force. While appealing, this argument ignores the fact that the law makes age-based distinctions all the time. The Legislature adopted a graduated licensing scheme to reduce the level of teen automobile crashes—the leading cause of death among teenagers—by making full driver's licensing privileges contingent upon a period of safe driving during which various restrictions apply, including those limiting the number of minor passengers who are nonfamily members³ and requiring the wearing of seat belts (*see* Bill Jacket, L 2002, ch 644). Yet even if, as the dissent argues, New York's graduated licensing scheme was meant to reduce the likelihood of "risky driving behavior to impress peers" (and there is evidence in the legislative history of the graduated licensing law to the contrary),⁴ Santiago Mendoza's trial testimony does not support the inference that Cabrera was showing off or was distracted by

3. It is not clear why the dissent focuses on the absence of "defendant's parent" (dissenting op at 384) from the SUV, as the holder of a class DJ license can operate a vehicle with a number of different configurations of underage passengers *without* the presence of a parent or legal guardian (*see* Vehicle and Traffic Law § 501-b [1] [c] ["no holder of a class DJ . . . (license) shall . . . operate a motor vehicle with more than two passengers who are under the age of twenty-one and who are not members of such holder's immediate family, provided . . . that (these restrictions) shall not apply when such holder is accompanied by a duly licensed parent"]). Without violating any class DJ license restrictions, the holder of such a license could, for example, transport two of his or her teenage siblings and two of their teenage friends, or any number of his or her underage siblings without the presence of a parent. Moreover, it is unclear why "risky driving behavior to impress peers" (dissenting op at 384) would not extend to one's siblings, or why transporting two teenage peers does not, as a matter of law, encourage "risky driving behavior" while transporting three (or four) teenage peers does. But the import given by the dissent to Cabrera's class DJ license relies on just such a theory.

4. The dissent's characterization of the graduated licensing law's legislative history is at best incomplete. For example, while the Senate memorandum in support does at one point refer to "limiting [teenagers'] exposure to hazardous driving situations," this is hardly an accurate characterization of the legislation's primary purpose (Mem in Support, 2002 McKinney's Session Laws of NY, at 2114). Indeed, the very same memorandum contains an explicit section titled "PURPOSE" located just below the bill number and the title of the bill; this "PURPOSE" section reads, in its entirety: "PURPOSE: To require young novice drivers to complete a series of experience and education requirements before they obtain full driving privileges" (*id.* at 2111).

(n. cont'd)

conversation with his passengers in the moments prior to the accident. Simply put, Cabrera's failure to ensure that his passengers wore seat belts was not conduct causing or contributing to the risk of an automobile accident; the fact that Cabrera's passengers were teenagers likewise did not cause or contribute to the crash.

In sum, even when viewed in the light most favorable to the People, the evidence adduced at Cabrera's trial was insufficient as a matter of law to sustain his convictions for criminally negligent homicide and third-degree assault. Because we reverse these convictions, we need not and do not reach Cabrera's alternative argument that he is entitled to a new trial because of flawed jury instructions.

Accordingly, the Appellate Division's order should be modified by dismissing the three counts of criminally negligent homicide and the count of assault in the third degree and vacating the sentences imposed thereon (*see* CPL 470.40, 470.20 [3]) and, as so modified, affirmed.

GRAFFEO, J. (dissenting). I respectfully dissent. Defendant, a 17-year-old driver possessing a junior operator's license (class DJ), was involved in a crash that resulted in the death of three of his passengers and serious injuries to a fourth. A jury convicted defendant of criminally negligent homicide, third-degree assault and several Vehicle and Traffic Law violations. We are asked whether the evidence presented was legally sufficient to support the verdict and whether proof that defendant failed to comply with certain conditions of his junior license was admissible at trial. I believe that both of these questions should be answered in the affirmative and would uphold the convictions.

Not surprisingly, a number of our precedents addressing the legal sufficiency of convictions predicated on criminal negligence involve automobile accidents. As recounted by the majority, we

Similarly, the letter from the Department of Transportation in the Bill Jacket—the only other piece of legislative history cited by the dissent (*see* dissenting op at 383-384)—fails to buttress the dissent's argument. In this letter, the Department described the legislation as “a graduated driver's license program where young drivers must demonstrate an ability to competently operate a vehicle before being relieved from certain motor vehicle operating restrictions” (Bill Jacket, L 2002, ch 644, at 14).

Read as a whole, the legislative history indicates that graduated licensing was intended as a carrot to foster safe driving habits—not as a stick to create strict liability in homicide prosecutions.

have repeatedly determined that excessive speed, when coupled with some other culpable conduct—such as drag racing, driving the wrong way or running a red light—constitutes legally sufficient evidence (*see e.g. People v Ricardo B.*, 73 NY2d 228 [1989]; *People v Rooney*, 57 NY2d 822 [1982]; *People v Haney*, 30 NY2d 328 [1972]). In this regard, we have indicated that sufficiently criminal, culpable risk-creating conduct may include “dangerous speeding, racing, failure to obey traffic signals, or any other misconduct that created or contributed to a ‘substantial and unjustifiable’ risk of death” (*People v Boutin*, 75 NY2d 692, 697-698 [1990]).¹

The issue in this case is whether defendant possessed the requisite mens rea of criminal negligence at the time he lost control of his vehicle. It is settled law that a “verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citation omitted]). A sufficiency inquiry obligates a court “to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*id.*).

Here, even excluding consideration of the evidence relating to defendant’s junior license violations, I believe that this case falls within the ambit of our precedents sustaining convictions for criminally negligent homicide. Viewing the evidence in a light most favorable to the People, this case involved much more than excessive speed. Defendant was familiar with Sackett Lake Road, a two-lane country byway divided by a double yellow line with a posted speed limit of 55 miles per hour. A warning sign with a recommended speed limit of 40 miles per hour preceded the left-hand curve where the accident occurred. According to the testimony of an accident reconstruction expert, as defendant approached the curve, he partially crossed the double yellow line into the oncoming lane of traffic before losing control of his vehicle. The evidence demonstrated that defendant did not apply his brakes as he approached the curve or even when he

1. The majority correctly rejects defendant’s per se position that “excessive speed is never enough to make out a case of criminally negligent homicide” (majority op at 376). I would add that there may be a point at which speed so grossly exceeds the limit that it becomes “dangerous speeding” sufficient to support a conviction.

attempted to negotiate it. Rather, he drove 70 to 72 miles per hour into the curve, at which point his SUV entered “critical speed yaw,” rotated and slid off the road, crashing into and severing a utility pole.

Giving the People all the favorable inferences from the proof presented, as we must, there was ample evidence for the jury to find that defendant was attempting to achieve a racing car-type stunt as he drove into the curve. Trooper Conklin, a collision reconstruction specialist with the State Police, testified that defendant’s excessive speed and decision to cross the double yellow line in anticipation of the curve were consistent with an attempt “to negotiate the curve inside and in other words flatten[] out the curve.” Investigator Scalia, another collision reconstruction expert employed by the State Police, assisted Trooper Conklin in reconstructing the crash. He defined “flattening out a curve” to mean “when you come on [a] turn, you are cutting, you are bringing over [the] yellow or center line a little bit [so] you can flatten that turn out with [the] car.” The proof—that defendant crossed the double line prior to entry, came into the curve at 70 to 72 miles per hour and failed to apply the brakes—supports this inference. Hence, contrary to the majority’s conclusion, the People did present legally sufficient evidence of excessive speed coupled with independently culpable, “blameworthy conduct creating or contributing to a substantial and unjustifiable risk of a proscribed result” (*People v Conway*, 6 NY3d 869, 872 [2006] [internal quotation marks and citation omitted]), beyond what the majority characterizes as a mere “failure to perceive risk” by an inexperienced driver (majority op at 378).

I find the majority mischaracterizes the People’s case when it asserts that the prosecution did not present this theory to the jury. In their opening statement, the People clearly advanced this concept, commenting that the evidence would show that defendant viewed the bend as a “NASCAR curve” and that he sought “to flatten that curve out like [a] NASCAR driver.” Echoing this contention in the closing statement, the prosecutor remarked that defendant intentionally cut the curve and tried to take it at 70 to 72 miles per hour even though he was “no NASCAR driver.” Although the prosecutor conceded that defendant did not “intentionally d[o] it” (majority op at 378 n 2), this statement can fairly be interpreted to mean that defendant did not intend to crash his vehicle.

Turning to the evidence relating to defendant’s violations of the restrictions on his junior license, defendant contends that

the jury should have been precluded from considering this proof in assessing whether he was criminally negligent.² The majority apparently rejects this argument, as do I. It is well established that, in cases where criminal negligence is at issue, the jury “must evaluate the actor’s failure of perception and determine whether, under *all* the circumstances, it was serious enough to be condemned” (*Ricardo B.*, 73 NY2d at 236 [emphasis added]). In other words, a determination of what amounts to criminal negligence depends “entirely on the circumstances of the particular conduct” (*Haney*, 30 NY2d at 335). Relatedly, we have recognized that criminally negligent homicide “serves to provide an offense applicable to conduct which is obviously socially undesirable. It proscribes conduct which is inadvertent as to risk only because the actor is insensitive to the interests and claims of other persons in society” (*Boutin*, 75 NY2d at 696 [internal quotation marks, citation, brackets and emphasis omitted]).

As the holder of a class DJ license, defendant was not authorized to operate a vehicle with more than two passengers under the age of 21 unless the other passengers were family members or he was accompanied by a parent or guardian, and he was required to ensure that all occupants of the vehicle wore seat belts (*see* Vehicle and Traffic Law § 501-b [2]).³ The Legislature enacted this provision in 2002 as part of an overall graduated licensing system, and these restrictions were designed, at least in part, for the purpose of “limiting [teenagers’] exposure to hazardous driving situations” due to their inexperience and tendency to be easily distracted while driving (Sponsor’s Mem, 2002 McKinney’s Session Laws of NY, at 2114). The Legislature recognized that the national crash rate for teens is four times higher than that for adults and that car accidents are the leading cause of death for teens due to “the propensity of young drivers to take risks, their belief that they are invincible and their susceptibility to peer pressure” (*id.*). As the Appellate Division majority found, “the restrictions target conduct that is socially undesirable and dangerous when performed by 16 and 17 year olds and has been shown to lead to preventable deaths” (40 AD3d 1139, 1143 [2007]). Thus, the class DJ license restrictions were enacted to “promote the safe operation of vehicles” by young drivers and advance overall highway safety (Letter

2. The issue here is not whether the license violations, standing alone, would be sufficient to support the convictions. Clearly, they would not be.

3. Class DJ licenses are available for drivers who are under the age of 18 (*see* Vehicle and Traffic Law § 501 [2] [vi]).

from St Transp Dept, Aug. 20, 2002, Bill Jacket, L 2002, ch 644).

It is logical to conclude that a young driver would be less likely to drive carelessly if a parent was in the vehicle and more likely to engage in risky driving behavior to impress peers when there is no parental supervision. Furthermore, the restriction on the number of young passengers is intended to lessen distractions in the vehicle. The facts here well illustrate this point. Had defendant's parent been in the SUV with the four teen passengers, it seems unlikely that he would have attempted to take the turn at 70 to 72 miles per hour. To a lesser extent, the statutory obligation placed on defendant to ensure that his passengers wore their seat belts also factors into whether his overall conduct amounted to criminal negligence.⁴ Certainly, contrary to defendant's argument, the jury was not required to ignore these license violations in assessing defendant's culpability under all the circumstances surrounding his conduct.⁵

Chief Judge KAYE and Judges PIGOTT and JONES concur with Judge READ; Judge GRAFFEO dissents in a separate opinion in which Judges CIPARICK and SMITH concur.

Order modified, etc.

4. I acknowledge that the failure to comply with seat belt requirements is, by statute, not admissible on the question of liability in civil negligence cases (see Vehicle and Traffic Law § 1229-c [8] ["Non-compliance with the provisions of this section shall not be admissible as evidence in any civil action in a court of law in regard to the issue of liability"]). That statute, however, contains no similar restriction for criminal cases. Furthermore, the statute provides that a failure to use seat belts is admissible on the issue of civil damages. This makes sense because ordinarily a driver's failure to comply with seat belt requirements does not cause an accident—but it can make injuries more severe. This distinction between liability and damages does not exist in a criminal case.

5. Defendant's alternative claim that County Court committed reversible error in failing to instruct the jury that excessive speed alone will not support a finding of criminal negligence is without merit.

[887 NE2d 1142, 858 NYS2d 84]

JERICOHO WATER DISTRICT, Respondent, v ONE CALL USERS COUNCIL, INC., et al., Appellants.

Argued March 19, 2008; decided May 1, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 12, 2006. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Nassau County (Ute Wolff Lally, J.), as had (a) denied plaintiff's motion for summary judgment declaring that plaintiff is entitled to a "municipal" exemption from membership fees to the one-call notification system under General Business Law § 761 (3), and (b) granted defendants' cross motion for summary judgment insofar as it sought summary judgment declaring that plaintiff is not a municipality within the meaning of General Business Law § 761 (3) and is not entitled to exemption from membership fees to the one-call notification system; (2) granted plaintiff's motion; (3) denied that branch of defendants' cross motion which was for summary judgment; and (4) remitted the matter to Supreme Court for entry of a judgment declaring that plaintiff is a "municipality" within the meaning of General Business Law § 761 (3) and, therefore, exempt from contributing to the costs of operating the one-call notification system.

Jericho Water Dist. v One Call Users Council, Inc., 37 AD3d 136, reversed.

HEADNOTE

Municipal Corporations — Water Districts — Protection of Underground Facilities — No Exemption from Contributing to Costs of Mandatory One-Call Notification System

Plaintiff water district, an operator of underground facilities that serves more than 4,000 customers, is not a municipality within the meaning of General Business Law § 761 (3), and consequently is not exempt from contributing to the costs of operating the one-call notification system that enables anyone planning excavation to find out the location of underground facilities. "Municipality" is an ambiguous word denoting a unit of local government, and may be used relatively narrowly to include only entities exercising general governmental functions, or more broadly so as to include specialized governmental units like plaintiff. Although there is no statutory definition of the word as used in General Business Law § 761 (3), and the statute's legislative history does not indicate whether the Legislature intended the broader or

narrower definition, the narrower definition better corresponds to common usage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 1, 11; AM JUR 2d, Waterworks and Water Companies §§ 7-9.

McKINNEY's, General Business Law § 761 (3).

NY JUR 2d, Counties, Towns, and Municipal Corporations § 3; NY JUR 2d, Water § 553.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Water Supply.

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POINTS OF COUNSEL

Wilder & Linneball, LLP, Buffalo (*Laura A. Linneball* of counsel), and *Murphy, Bartol & O'Brien, LLP*, Mineola (*Robert Garfinkle* of counsel), for appellants. I. The Second Department majority's construction of the word "municipality" as including all "governmental entities," "public entities" and water districts, renders General Business Law § 761 (3)'s additional exemptions of small water operators and authorities meaningless, in violation of well established rules of statutory construction. (*Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Rangolan v County of Nassau*, 96 NY2d 42; *Matter of Branford House v Michetti*, 81 NY2d 681; *Matter of Albano v Kirby*, 36 NY2d 526; *People v Dethloff*, 283 NY 309; *Matter of World Trade Ctr. Bombing Litig.*, 93 NY2d 1; *Long Is. Power Auth. v Shoreham-Wading Riv. Cent. School Dist.*, 88 NY2d 503; *Waters v New York City Hous. Auth.*, 69 NY2d 225; *Matter of Citiwide News v New York City Tr. Auth.*, 62 NY2d 464; *Matter of AT/Comm, Inc. v Tufo*, 86 NY2d 1.) II. The Second Department majority erred by ignoring the plain language of General Business Law article 36 that indicates that not all governmental and public entities were intended to be excepted from contributing to the costs of the one-call system. (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Majewski v Broadalbin-*

Perth Cent. School Dist., 91 NY2d 577; *Cohen v Lord, Day & Lord*, 75 NY2d 95.) III. The Second Department majority's decision conflicts with this Court's opinions and other Appellate Divisions' decisions, which hold that town improvement districts such as plaintiff are not municipalities. (*Kenwell v Lee*, 261 NY 113, 262 NY 563; *Holroyd v Town of Indian Lake*, 180 NY 318; *People ex rel. Farley v Winkler*, 203 NY 445; *People ex rel. Hon Yost v Becker*, 203 NY 201; *People ex rel. Desiderio v Conolly*, 238 NY 326; *Greater Poughkeepsie Lib. Dist. v Town of Poughkeepsie*, 81 NY2d 574; *Seaman v Fedourich*, 16 NY2d 94; *Longway v Jefferson County Bd. of Supervisors*, 83 NY2d 17; *Matter of Esler v Walters*, 56 NY2d 306; *Ball v James*, 451 US 355.) IV. The Second Department decision ignored the natural and most obvious construction of the term "municipality," i.e., a county, city, town or village, and therefore is in conflict with this Court's prior decisions. (*Sega v State of New York*, 60 NY2d 183.) V. The Supreme Court correctly looked to the definition of "municipal corporation" in the General Construction Law to interpret the term "municipality." (*Southbridge Finishing Co. v Golding*, 2 AD2d 430; *O'Keeffe v Dugan*, 185 App Div 53, 225 NY 667; *Greater Poughkeepsie Lib. Dist. v Town of Poughkeepsie*, 81 NY2d 574; *Loria v Town of Irondequoit*, 775 F Supp 599; *Matter of Conroy v Smithtown Cent. School Dist.*, 3 AD3d 492; *Pittel v Town of Hempstead*, 154 AD2d 581; *Angona v County of Nassau*, 129 AD2d 543; *Clarkstown Teachers Assn. v Board of Educ. of Clarkstown Cent. School Dist.*, 162 AD2d 937; *Sinram-Marnis Oil Co. v City of New York*, 139 AD2d 360, 74 NY2d 13.) VI. The Second Department's majority wrongly ignored this Court's and other Appellate Divisions' prior decisions that require that the courts defer to executive and administrative officers' interpretations of General Business Law § 761 (3). (*Matter of Louis Harris & Assoc. v deLeon*, 84 NY2d 698; *Matter of Village of Scarsdale v Jorling*, 91 NY2d 507; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of 47-40 41st Realty Corp. v New York State Div. of Hous. & Community Renewal*, 225 AD2d 547; *Matter of Plaza Realty Invs. & Queens Blvd. Props. Co. v New York City Conciliation & Appeals Bd.*, 111 AD2d 395; *Shoreham-Wading Riv. Cent. School Dist. v Town of Brookhaven*, 107 AD2d 219, 65 NY2d 990; *Matter of Limousine Rental Serv. v Feinberg*, 9 AD2d 986; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Rangolan v County of Nassau*, 96 NY2d 42; *Matter of Branford House v Michetti*, 81 NY2d 681.) VII. The legislative history does not support construing an operator of underground facilities that provides water to more than 4,000 customers to

be a “municipality” within the meaning of General Business Law § 761 (3). (*Bender v Jamaica Hosp.*, 40 NY2d 560; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14.) VIII. Most statutes, including statutes directly applicable to Jericho Water District, do not include town improvement districts, like Jericho Water District, in their definitions of “municipality.” IX. The Second Department majority violated the rule of statutory construction that statutory exceptions must be strictly construed and is therefore in conflict with decisions of this Court and other Appellate Divisions. (*Farnham v Kittinger*, 83 NY2d 520; *Van Amerogen v Donnini*, 78 NY2d 880; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Hinchliffe v Orange & Rockland Utils. Co.*, 216 AD2d 528, 87 NY2d 801; *Krukowski v Steffensen*, 194 AD2d 179; *Matter of Charles*, 200 Misc 452, 279 App Div 741, 791, 304 NY 776; *Matter of Radich v Council of City of Lackawanna*, 93 AD2d 559, 61 NY2d 652; *Morales v County of Nassau*, 94 NY2d 218.) X. The Second Department failed to strictly construe the exceptions to General Business Law § 761 (3), so as not to defeat the law’s major policy of equitably proportioning costs. (*Matter of Theroux v Reilly*, 1 NY3d 232; *People v Cypress Hills Cemetery*, 208 AD2d 247; *Matter of Albano v Kirby*, 36 NY2d 526; *Farnham v Kittinger*, 83 NY2d 520; *Van Amerogen v Donnini*, 78 NY2d 880; *Hinchliffe v Orange & Rockland Utils. Co.*, 216 AD2d 528, 87 NY2d 801; *Krukowski v Steffensen*, 194 AD2d 179; *Matter of Charles*, 200 Misc 452, 279 App Div 741, 791, 304 NY 776; *Matter of Radich v Council of City of Lackawanna*, 93 AD2d 559, 61 NY2d 652.) XI. The Second Department majority violated basic tenets of statutory construction. (*Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Cypress Hills Cemetery*, 208 AD2d 247; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Morales v County of Nassau*, 94 NY2d 218; *Meltzer v Koenigsberg*, 302 NY 523; *Prego v City of New York*, 147 AD2d 165; *Triborough Bridge & Tunnel Auth. v Crystal & Son*, 2 AD2d 37, 2 NY2d 961; *Kenwell v Lee*, 261 NY 113, 262 NY 563.)

Carman Callahan & Ingham, LLP, Farmingdale (*Michael F. Ingham* of counsel), for respondent. I. Standard rules of statutory construction dictate that plaintiff is entitled to a municipal exemption. (*Matter of Segal v Town of Thompson*, 182 AD2d 1043.) II. Town Law article 13 commissioner elected districts are “units of government” independent from the county, town and village. (*Greater Poughkeepsie Lib. Dist. v Town of Poughkeepsie*, 81 NY2d 574; *Gaynor v Marohn*, 268 NY 417; *Matter of*

Christie v Phoenicia Water Dist., 194 AD2d 912; *Matter of Esler v Walters*, 56 NY2d 306; *Kenwell v Lee*, 261 NY 113; *Tom Sawyer Motor Inns v Chemung County Sewer Dist. No. 1*, 33 AD2d 720; *People v Stoll*, 242 NY 453; *Matter of Bryan v Town Bd. of Brighton*, 133 Misc 315; *New York Tel. Co. v Town of N. Hempstead*, 86 Misc 2d 487, 52 AD2d 934, 41 NY2d 691; *Grishaber v Town of Callicoon*, 176 Misc 323, 263 App Div 471.)

Peter McGowan, Acting General Counsel, New York State Department of Public Service, Albany (*John C. Graham* of counsel), for New York State Department of Public Service, amicus curiae. I. The State of New York Department of Public Service's memorandum in support of the statutory provision at issue distinguished municipalities from their subdivisions and small water companies from other providers. II. The Appellate Division misread the State of New York Department of Public Service's memorandum in support. III. The Appellate Division failed to recognize the practical consequences of its decision.

OPINION OF THE COURT

SMITH, J.

All operators of underground facilities (pipes, cables, wires and the like) are required by statute to participate in a "one-call notification system," so that someone planning excavation may easily find out in advance where those facilities are. The costs of the one-call system are apportioned among the operators who belong to it, but "municipalities" are exempt from paying a share of the costs. We decide in this case that a water district is not a municipality for these purposes, and must pay its share.

Underground equipment that serves to carry gas, electricity, water and other things poses a problem for any project that involves digging. Accidental contact with pipes and wires can be costly and dangerous, and thus excavators must know where the underground facilities are before they start to dig. The purpose of a one-call system is to make that information available as efficiently as possible. A firm planning a project that involves excavation or demolition need make only one call, to the one-call center, to give notice about where it is digging. That information is relayed by the one-call system to all of its members who may have facilities in the area, and those members then mark the ground to show the excavator what parts of it to avoid.

General Business Law § 761 (1) says that every operator of underground facilities "shall participate in and be responsible

for the administration of a one-call notification system.” Section 761 (3) says, in relevant part: “The costs of operating the system shall be apportioned equitably among the members of the system, with the exception of municipalities and authorities that operate underground facilities and any operator of underground facilities that provides water service to less than four thousand customers.”

Plaintiff, an operator of underground facilities, is an “improvement district,” specifically a water district, created pursuant to Town Law § 190. Plaintiff is located in the Town of Oyster Bay, but its commissioners are independently elected, not appointed by town officials (Town Law § 211). Plaintiff brings this action against a one-call system and the administrator of that system, seeking a declaratory judgment that it is entitled to an exemption from sharing the system’s costs. It is undisputed that plaintiff serves more than 4,000 customers, and that it is not an authority. The only issue is whether General Business Law § 761 (3)’s exemption for “municipalities” applies to it.

Supreme Court held that plaintiff was not a municipality, and granted summary judgment in defendants’ favor. The Appellate Division, one Justice dissenting, reversed and granted summary judgment in plaintiff’s favor. We granted leave to appeal, and now reverse the Appellate Division’s order and reinstate Supreme Court’s judgment.

“Municipality” is an ambiguous word. It denotes a unit of local government, but it may be used relatively narrowly, to include only entities exercising general governmental functions—i.e., counties, cities, towns and villages—or more broadly, to include also specialized governmental units like plaintiff. In several New York statutes, “municipality” is a defined term, and both the narrower definition (ECL 15-0107 [3]; Executive Law § 155-a [3], [4]; General Business Law § 780 [4]; General City Law § 20-g [3] [a]; General Municipal Law § 239-h [2]; Town Law § 284 [3] [a]) and the broader one (General Municipal Law § 77-b [1] [a]; Public Authorities Law § 1115-a [13]) are used. But there is no statutory definition of the word as used in General Business Law § 761 (3), and the legislative history of that statute gives no clue to which definition the Legislature had in mind.

The narrower definition of “municipality” better corresponds to common usage. In ordinary English, a water district is not a municipality. We recognized this in *Kenwell v Lee* (261 NY 113,

116 [1933]), where we held that a town water supply district “is not a municipality within the meaning of article VII, section 7, of the Constitution.” We added that “[w]hile a water district, for the special objects of certain statutes, has been included as a matter of convenient reference within the terms ‘municipal corporation,’ or ‘municipality,’ it is essentially and only ‘a special administrative area’ ” (*id.* at 117 [citations omitted]).

Other aids to interpretation point in the same direction. General Construction Law § 66 (2) contains a relatively narrow definition of “municipal corporation,” to include only “a county, city, town, village and school district.” This definition “is applicable to every statute unless its general object, or the context of the language construed, or other provisions of law indicate that a different meaning or application was intended” (General Construction Law § 110). While it is true that the General Construction Law defines “municipal corporation” and not “municipality,” there is no apparent reason why the latter term should be read more broadly than the former.

The narrower meaning of “municipality,” which does not include plaintiff and other improvement districts, is the one favored by amicus curiae the Department of Public Service (DPS). DPS drafted the legislation in issue, and the Public Service Commission, which is part of DPS, is charged with drafting regulations to implement it (Public Service Law § 119-b [2]). While the definition of “municipality” is not one requiring specialized knowledge on which we must defer to agency expertise, we nevertheless pay respectful attention to the agency’s views. And finally, our conclusion that the narrower reading is the correct one here is reinforced by the maxim that exceptions to generally applicable statutory provisions should be strictly construed (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 213).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[888 NE2d 1029, 859 NYS2d 87]

In the Matter of DISNEY ENTERPRISES, INC., et al., Appellants, v
TAX APPEALS TRIBUNAL OF THE STATE OF NEW YORK et al.,
Respondents.

Argued February 13, 2008; decided March 25, 2008

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 1, 2007, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to Tax Law § 2016). The Appellate Division confirmed a determination of respondent Tax Appeals Tribunal which had denied petitioners' request for a refund of corporate franchise tax imposed under Tax Law article 9-A and dismissed the petition.

Matter of Disney Enters., Inc. v Tax Appeals Trib. of State of N.Y., 40 AD3d 49, affirmed.

HEADNOTES

Taxation — Franchise Tax on Business Corporations — Combined Tax for Unitary Business Group — Allocation of New York Income

1. In determining the corporate franchise tax due from petitioner's unitary business group, a worldwide entertainment conglomerate, respondent Tax Appeals Tribunal properly included the New York sales receipts of one of petitioner's subsidiaries in the numerator of the receipts factor of the business allocation percentage (BAP) applied in calculating the combined tax for the group (*see* Tax Law § 211 [4]), notwithstanding petitioner's claim that the subsidiary's New York activities did not amount to more than solicitation. The inclusion of the subsidiary's New York sales receipts in the numerator of the BAP did not constitute the imposition of a tax upon the subsidiary. If, as here, there exist synergies between companies to such a degree that individual corporate receipts cannot be reported without distortion, then the group is conceptually a unified entity with regard to calculating its taxable New York income. As such, it would be unrealistic to require combined group reporting for purposes of achieving economic reality and then parse out individual company receipts when apportioning taxable income. Moreover, inclusion of the subsidiary's sales in the combined group's numerator did not violate 15 USC § 381, which creates an exemption from state tax for a "person" whose in-state activities do not exceed solicitation. Petitioner, the unitary group, not the subsidiary alone, was a "person" for purposes of the statute.

Taxation — Franchise Tax on Business Corporations — Constitutionality of Combined Tax for Unitary Business Group

2. In a proceeding challenging the corporate franchise tax imposed on petitioner's unitary business group, petitioner's constitutional claims were without merit, as the tax imposed was not grossly disproportionate to its New York activities, and was both fairly apportioned and nondiscriminatory.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 197, 200, 202, 509–511.

McKINNEY's, Tax Law § 211 (4).

NY JUR 2d, Taxation and Assessment §§ 1325, 1331, 1337, 1338.

ANNOTATION REFERENCE

See ALR Index under Franchise Taxes; Taxes.

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POINTS OF COUNSEL

Morrison & Foerster LLP, New York City (*Paul H. Frankel*, *Craig B. Fields* and *Roberta Moseley Nero* of counsel), *Michael H. Salama*, Burbank, California, and *Brandee A. Tilman* for appellants. I. Questions of fact are not reviewable by this Court. (*Matter of Gillette Co. v State Tax Commn.*, 56 AD2d 475, 45 NY2d 846; *Matter of Industrial Liaison Comm. of Niagara Falls Area Chamber of Commerce v Williams*, 72 NY2d 137.) II. The opinion disregards the Tax Appeals Tribunal's finding that Buena Vista Home Video is a nontaxpayer. (*Wisconsin Dept. of Revenue v William Wrigley, Jr., Co.*, 505 US 214.) III. The inclusion of the New York destination sales of a nontaxpayer in the numerator of the New York receipts factor of a combined group is the taxation of the nontaxpayer's income and as such is prohibited by the Supremacy Clause of the US Constitution and Public Law 86-272. (*Shell Oil Co. v Iowa Dept. of Revenue*, 488 US 19; *Mobil Oil Corp. v Commissioner of Taxes of Vt.*, 445 US 425; *Container Corp. of America v Franchise Tax Bd.*, 463 US 159; *Hans Rees' Sons, Inc. v North Carolina ex rel. Maxwell*, 283 US 123; *Bass, Ratcliff & Gretton, Ltd. v State Tax Comm'n*, 266 US 271; *Underwood Typewriter Co. v Chamberlain*, 254 US 113; *Wisconsin Dept. of Revenue v William Wrigley, Jr., Co.*, 505 US 214; *Aloha Airlines, Inc. v Director of Taxation of Haw.*, 464 US 7.) IV. The inclusion of Buena Vista Home Video's New York destination sales in the numerator of the combined group's sales factor results in the taxation of extraterritorial values in violation of the Due Process Clause and Commerce Clause of the United States Constitution. (*Mobil Oil Corp. v Commis-*

sioner of Taxes of Vt., 445 US 425; *Complete Auto Transit, Inc. v Brady*, 430 US 274.)

Andrew M. Cuomo, Attorney General, Albany (Robert M. Goldfarb, Barbara D. Underwood and Andrew D. Bing of counsel), for Commissioner of Taxation and Finance, respondent. I. The inclusion of Buena Vista Home Video's New York sales receipts in the business allocation percentage used to allocate a portion of petitioner's combined income to New York does not violate Public Law 86-272. (*Department of Revenue of Ore. v ACF Industries, Inc.*, 510 US 332; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *Heublein, Inc. v South Carolina Tax Comm'n*, 409 US 275; *United States v Bass*, 404 US 336; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Wisconsin Dept. of Revenue v William Wrigley, Jr., Co.*, 505 US 214; *Barclays Bank PLC v Franchise Tax Bd. of Cal.*, 512 US 298; *Shell Oil Co. v Iowa Dept. of Revenue*, 488 US 19; *Container Corp. of America v Franchise Tax Bd.*, 463 US 159; *Exxon Corp. v Department of Revenue of Wis.*, 447 US 207.) II. The inclusion of Buena Vista Home Video's New York sales receipts in the business allocation percentage used to allocate petitioner's combined income to New York does not violate the Due Process or the Commerce Clause. (*Matter of Khan v New York State Dept. of Health*, 96 NY2d 879; *Container Corp. of America v Franchise Tax Bd.*, 463 US 159; *Barclays Bank PLC v Franchise Tax Bd. of Cal.*, 512 US 298; *Complete Auto Transit, Inc. v Brady*, 430 US 274; *Exxon Corp. v Department of Revenue of Wis.*, 447 US 207.)

OPINION OF THE COURT

Chief Judge KAYE.

This appeal tests the validity, under federal law, of New York's franchise tax apportionment formula.

Petitioner, Disney Enterprises, Inc., is a worldwide entertainment conglomerate with hundreds of parents, subsidiaries and affiliates. Disney conducts general operations in three inter-related business segments pertinent to the present appeal: theme parks and resorts, filmed entertainment and consumer products. Its consumer products segment licenses and distributes merchandise (apparel, toys, gifts, housewares) and publications (books, magazines, comic books). It also licenses its properties for promotional use to, for example, soft drink companies and fast food chains. Disney receives royalties from these licensing activities, both tangible (from manufactured products) and intangible (from copyrights). Through its Synergy Group, Dis-

ney coordinates the three business segments for cross-promotional purposes, parlaying the success of a movie or Broadway show (such as “The Little Mermaid”) into sales of its licensed products. These cross-promotional activities (or synergies) create flows of value among Disney’s interrelated corporate subsidiaries and affiliates.

For corporate franchise tax purposes, New York permits or requires¹ related corporations to report their income on a “combined basis” where “there are substantial intercorporate transactions among the corporations” (*see* 20 NYCRR 6-2.3 [a]), on the theory that if the members of the group filed separately the financial activities of the group as a whole would be distorted. Combined reporting treats the unitary business as a single, taxable entity, thus the net income of the combined group forms the basis for calculation of the percentage of income taxable by the state. To determine the portion of net income that can be allocated to the state, New York uses an apportionment formula that multiplies the taxpayer’s combined worldwide business income by a business allocation percentage (BAP) based upon the New York percentages of the group’s overall property, receipts and payroll (Tax Law § 210 [3] [a]). The three percentages are then added together, divided by the number of percentages overall² (Tax Law § 210 [4]) and multiplied by the tax rate. A taxpayer calculates the receipts factor—the focus of this appeal—by:

“(2) ascertaining the percentage which the receipts of the taxpayer, computed on the cash or accrual basis according to the method of accounting used in the computation of its entire net income, arising during such period from

“(A) sales of its tangible personal property where shipments are made to points within this state, . . .

“(D) all other business receipts earned within the state, bear to the total amount of the taxpayer’s receipts, similarly computed, arising during such period from all sales of its tangible personal prop-

1. The Tax Commissioner is given the sole discretion to grant an application for combined reporting, or to require a taxpayer to file a combined report when a corporate taxpayer otherwise meets the stock ownership or control criteria for combined reporting (*see* Tax Law § 211 [4] [a]).

2. The receipts factor is double-weighted under New York’s formula (*see* Tax Law § 210 [3] [a] [4]).

erty, services, rentals, royalties, . . . and all other business transactions, whether within or without the state” (Tax Law § 210 [3] [a]).

Thus, the New York percentage is calculated by computing the combined New York totals for the factor (the numerator) and dividing them by the worldwide totals (the denominator).

During relevant years, Disney filed combined reports for certain of its corporate subsidiaries, including Buena Vista Home Video (Video), the subject of the present litigation. For tax years 1990, 1991 and 1992, Video filed separately from the combined group.³ Although it had \$662,038,872 in gross receipts in 1990 and large sales shipped to points within New York State, Video reported a fixed dollar minimum tax due of \$1,500 and a New York allocation of 0%. It reported the same minimum tax due and 0% New York allocation for years 1991, when it had \$989,510,226 in gross receipts, and 1992, when it had \$1,372,034,743 in gross receipts.

For tax year 1993, Disney sought permission to add certain subsidiaries to its combined report, among them Video, stating that the company believed that distortion of the current combined group’s activities was present due to the benefits of the “Disney synergy,” permeating “virtually all of the inextricably connected entities”—including the proposed additions—and creating substantial value that could not be objectively quantified for each of the associated companies. In support of its request, Disney listed six examples of unitary activities that originated from the motion picture “Beauty and the Beast.” Animation for the feature was done at its Disney-MGM Studios theme park facilities. Buena Vista Pictures, its distribution company, handled development of theatrical and television advertising trailers and joint advertising arrangements with promotional partners such as Burger King. The Disney Channel televised “Be Our Guest: The Making of Beauty and the Beast,” while Buena Vista Television issued a special featuring Angela Lansbury singing “Beauty and the Beast.” Video released the home video “The Jungle Book,” which included a trailer segment from “Be Our Guest: The Making of Beauty and the Beast,” and later released the home video of “Beauty and the Beast.”

The Division granted Disney’s request, and in 1993-1995 Video was included in the Disney group’s combined report.

3. Disney concedes that Video should have been included in the combined group for each of tax years 1990-1992.

Video, however, continued to report a fixed dollar minimum tax of \$1,500 and a 0% New York allocation percentage, and reported none of its \$1,450,727,704 in gross receipts for 1993, its \$1,802,840,975 in gross receipts for 1994 or its \$2,456,596,414 in gross receipts for 1995 as “sales of tangible personal property shipped to points within New York State,” although, again, Video had large receipts from property shipped to points within the state (Video’s New York payroll and property factor calculations were negligible).

In omitting Video’s destination sales in New York from its combined receipts calculation, Disney relied on a federal exemption that shielded Video, it claimed, from New York franchise income taxation other than for the fixed \$1,500 minimum. Section 101 of Public Law 86-272 (73 US Stat 555) provides:

“(a) No State, or political subdivision thereof, shall have power to impose, for any taxable year ending after [September 14, 1959], a net income tax on the income derived within such State by any person from interstate commerce if the only business activities within such State by or on behalf of such person during such taxable year are either, or both, of the following:

“(1) the solicitation of orders by such person, or his representative, in such State for sales of tangible personal property, which orders are sent outside the State for approval or rejection, and, if approved, are filled by shipment or delivery from a point outside the State; and

“(2) the solicitation of orders by such person, or his representative, in such State in the name of or for the benefit of a prospective customer of such person, if orders by such customer to such person to enable such customer to fill orders resulting from such solicitation are orders described in paragraph (1) . . .

“(c) For purposes of subsection (a) of this section, a person shall not be considered to have engaged in business activities within a State during any taxable year merely by reason of sales in such State, or the

solicitation of orders for sales in such State” (codified as 15 USC § 381 [a], [c]).⁴

After audit, the New York State Department of Taxation and Finance adjusted Disney’s business allocation percentage for years 1990-1995 to reflect the companies that were included in or should have been included in the combined group. It increased the numerators in each year’s receipts factors, representing combined New York destination sales, to include Video’s destination sales for tax years 1990-1995. By letter dated October 5, 2000, the Division of Taxation advised Disney that its audit had resulted in an increase of tax liability in the amount of \$1,349,640.

Disney claimed that Video was not subject to taxation under Tax Law article 9-A because its New York activities did not amount to more than “solicitation.” Video’s sole New York activities, it maintained, were the sale of movie cassettes to third parties—large-scale retailers such as Wal-Mart, Toys R Us and Blockbuster—for purposes of resale, and to wholesalers. Although other Disney entities such as the Disney Store promoted Video’s products in, for example, “cash-wrap displays” at cashier’s counters, Video itself only permitted salespeople to solicit business from New York customers, not to take orders, collect money or accept returned items, and Video did not own or rent any property in New York. When it was included as a member of the combined group, therefore, Disney determined that Video’s New York receipts could not be counted in tabulating the combined receipts factor under New York’s franchise tax apportionment formula as Video was a nontaxpayer pursuant to Public Law 86-272.

On November 30, 2000, the Department of Taxation and Finance issued a notice of deficiency asserting total taxes due for the six years at issue, plus interest, of \$1,359,659.42. On Disney’s petition to the Division of Tax Appeals, the administrative law judge sustained the notice, finding that “[i]t simply cannot be concluded that the *only* business activit[y] within New York . . . by *or on behalf of* [Video] was the solicitation of orders for sales of tangible personal property.” To hold otherwise would be to ignore the “inextricable relationship to petitioner’s unitary business” and the “extraordinary synergies” among members of the combined Disney group involved in the retailing

4. Section 102 (codified as 15 USC § 382) prohibits later assessment of taxes if imposition was otherwise prohibited by section 101.

of consumer products. The Tax Appeals Tribunal affirmed, emphasizing that as “[t]he BAP . . . determines the tax liability of the combined group’s taxpayer members,” inclusion of the sales in the combined group’s numerator did not violate Public Law 86-272. The Appellate Division confirmed the determination of the Tax Appeals Tribunal and dismissed the petition. We now affirm.

Analysis

A. Is the Formula as Applied to the Combined Group Imposition of a Tax on Video?

[1] As a threshold issue, we must determine whether the Department of Taxation and Finance’s inclusion of Video’s income in its apportionment formula when determining the combined group’s taxable New York income is, in fact, a tax. We agree with the Appellate Division that by “including Video’s New York sales receipts in the numerator of the business allocation percentage, the Department is not imposing a tax upon Video. It is attempting to best measure the combined group’s taxable in-state activities” (*Matter of Disney Enters., Inc. v Tax Appeals Trib. of State of N.Y.*, 40 AD3d 49, 52 [2007]).

A state may require combined reporting when there is a “unitary business,” or a group of companies benefitting from “functional integration, centralization of management, and economies of scale” (*Container Corp. of America v Franchise Tax Bd.*, 463 US 159, 179 [1983], quoting *F. W. Woolworth Co. v Taxation & Revenue Dept. of N.M.*, 458 US 354, 364 [1982]). New York employs combined reporting to “avoid distortion of and more realistically portray the true income of closely related businesses” (*Matter of Standard Mfg. Co. v Tax Commn. of State of N.Y.*, 114 AD2d 138, 140 [3d Dept 1986], *affd for reasons stated* 69 NY2d 635 [1986]) regardless of where they are geographically situated. A combined group may include a corporation not individually subject to tax where it is “necessary to properly reflect the tax liability of one or more taxpayers included in the group” due to “substantial intercorporate transactions” or “some agreement, understanding, arrangement or transaction whereby the activity, business, income or capital of any taxpayer is improperly or inaccurately reflected” (see 20 NYCRR 6-2.5 [a]; Tax Law § 211 [4]).

Once this tax base is determined, an apportionment formula is used to allocate the correct geographical, or in-state percentage of income attributable to the group, by “applying the ap-

portionment factors of the entire unitary business to the taxable net income of the unitary business” (1 Hellerstein and Hellerstein, *State Taxation* ¶ 8.11 [1] [Warren, Gorham & Lamont, 3d ed 2007] [hereinafter *State Taxation*]). New York, during the tax years at issue, used a weighted three-factor apportionment formula to determine what portion of a taxpayer’s income was attributable to in-state business. After apportioning the unitary group’s income pursuant to this formula, the Division attributed the apportioned New York income (including the income of the nontaxable members) to the taxable members of the group. Thus, no New York income or New York tax was attributed to or imposed on a nontaxpayer (*see State Taxation* ¶ 9.18 [1] [a] [ii]).

It is well settled that, when apportioning a group’s in-state taxable income, a state may look beyond its borders and take into account income of companies not subject to its jurisdiction (*see Barclays Bank PLC v Franchise Tax Bd. of Cal.*, 512 US 298, 311-312 n 10 [1994] [finding nothing to suggest that in approximating taxpayers’ income, California may not “reference the income of corporations worldwide with whom those taxpayers are closely intertwined”]; *Container Corp.*, 463 US at 165). In doing so, the state is not deemed to have taxed that income but instead to have used it to determine the tax base fairly attributable to the group as a whole (*see Shell Oil Co. v Iowa Dept. of Revenue*, 488 US 19, 30 [1988] [noting that “income that is included in the preapportionment tax base is not, by virtue of that inclusion, taxed by the State”])).

Acknowledging this authority, Disney maintains that the inclusion of Video’s sales in the numerator of the apportionment formula—as opposed to the denominator or the multiplier—is the key to its invalidity, and amounts to imposition of a tax on Video. As the *Shell Oil* Court said, “the function of an apportionment formula is to determine the portion of a unitary business’ income that can be fairly attributed to [the company’s] in-state activities” (*id.* at 31). The New York Department of Taxation and Finance appears to have done precisely that.

Clearly, including Video’s income in that of the combined group in the numerator—the part of the equation that, in relation to worldwide sales, forms the basis for the unitary group’s New York taxation—increases the Disney group’s overall New York tax liability. This does not, however, make it a tax on Video. This Court has recognized the distinction between inclusion of nontaxable income in a formula used as a basis for imposition of

tax and the tax itself (*see Brady v State of New York*, 80 NY2d 596, 604 [1992] [“(w)hen the State levies taxes within its authority, ‘property not itself taxable can be used as a measure of the tax imposed’ ” without amounting to a tax on the foreign property]).

The United States Supreme Court also has recognized the distinction (*see Maxwell v Bugbee*, 250 US 525, 535 [1919] [tax was imposed only upon New Jersey property although apportionment formula considered ratio between nonresident’s in-state property and entire estate]; *Great Atlantic & Pacific Tea Co. v Grosjean*, 301 US 412, 425 [1937] [state tax classification that considered “advantages and capacities” of company’s membership in larger multi-state chain “is not in legal effect the taxation of property or privileges possessed or enjoyed by the taxpayer beyond the borders of the state”]). *Shell Oil* does not hold otherwise especially where, as here, the income is reasonably attributable to New York (*see Moorman Mfg. Co. v Bair*, 437 US 267, 269 [1978]).⁵

Indeed, the conceptual basis for combined reporting supports—virtually requires—a distinction between tax apportionment formulas and taxation. The purpose of unitary reporting is to reflect the economic reality of the group as a whole, taking into account multi-jurisdictional, often worldwide, economic activity. Unitary reporting was intended to relieve taxpayers from accounting methods that failed to account for overlap in flows of value, and substitute methods capable of accommodating reciprocities. As Justice Brennan explained:

“The unitary business/formula apportionment method is a very different approach to the problem of taxing businesses operating in more than one jurisdiction. It rejects geographical or transactional accounting, and instead calculates the local tax base by first defining the scope of the ‘unitary business’

5. The *Shell Oil* Court noted, with regard to inclusion of extraterritorial sales in the preapportioned tax base, that

“[a]ctual sales . . . are not taxed directly by any State because they are not included in the numerator of the sales ratio. From the inclusion of such sales in the apportionment formula’s tax base, it does not follow that the dollar amount derived from the formula (which is a fraction of the unitary tax base) includes income not fairly attributable to Iowa” (488 US at 31 [citation omitted]).

As Video’s income is fairly attributable to New York sales, we are satisfied that our decision comports with the principles underlying *Shell Oil*.

of which the taxed enterprise's activities in the taxing jurisdiction form one part, and then apportioning the total income of that 'unitary business' between the taxing jurisdiction and the rest of the world on the basis of a formula taking into account objective measures of the corporation's activities within and without the jurisdiction" (*Container Corp.*, 463 US at 165 [1983]).

If there exist synergies between companies to such a degree that individual corporate receipts cannot be reported without distortion, then the group is conceptually a unified entity with regard to calculating its taxable New York income. As such, it would be unrealistic to require combined group reporting for purposes of achieving economic reality and then parse out individual company receipts when apportioning taxable income. How could the Department of Taxation and Finance determine how much, if any, of Video's New York income from "Beauty and the Beast" should be ascribed to MGM Studios, the animators, to Buena Vista Pictures, marketers and distributors, or to Buena Vista Television, one of its promoters? Certainly, each group member accounts for its own receipts; combined reporting was not instituted because of corporate inability to tabulate individual sales, but because of the distortion—often to the detriment of the taxpayer, such as the situation here—that resulted from separate taxation on such sales. The Disney combined group's tax would be equally distorted were it to disregard the millions of dollars in Video's New York destination sales achieved through the group's cross-promotional activities.

Therefore, with regard to Disney's combined activities during the relevant tax period, the evaluation of which falls under the Tribunal's special expertise, we defer to its determination that "inclusion of [Video's] sales in the numerator of the receipts factor is necessary to arrive at the appropriate business allocation percentage" (see *Matter of Industrial Liaison Comm. of Niagara Falls Area Chamber of Commerce v Williams*, 72 NY2d 137, 144 [1988]) and does not amount to a tax on Video.

B. The Impact of Public Law 86-272

While concluding that the apportionment formula represented not a tax on Video but a reflection of Disney's economic reality, the Appellate Division additionally found no violation of Public Law 86-272 on the ground that the New York activities of members of the unitary group fall within the "on behalf of" language of the statute (*Matter of Disney*, 40 AD3d at 53). We

conclude, one step earlier, that the “person” referred to in Public Law 86-272 is Disney, not Video, and we do not reach the “on behalf of” language of the statute.

We begin our reading of Public Law 86-272 with the “presumption that Congress does not intend to supplant state law” (*Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006]). Where a federal law treads on a traditional state power, this presumption is especially strong, and is overcome only where the statute evidences that preemption is “the clear and manifest purpose of Congress” (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645, 655 [1995], quoting *Rice v Santa Fe Elevator Corp.*, 331 US 218, 230 [1947]). As this Court has long held that the power to tax is such a traditional state power (see *People v Adirondack Ry. Co.*, 160 NY 225 [1899]), we will not, “absent unambiguous evidence, infer a scope of pre-emption beyond that which clearly is mandated by Congress’ language” (*Cipollone v Liggett Group, Inc.*, 505 US 504, 533 [1992]).

Section 101 (a) of Public Law 86-272 provides that “[n]o State . . . shall have power to impose . . . a net income tax on the income derived within such State” if “the only business activities within such State by or on behalf of such person during such taxable year are . . . the solicitation of orders.” The statute, therefore, creates a tax exemption for a “person” whose in-state activities do not exceed solicitation. A “person” is defined to include “corporations, companies, associations, firms, partnerships, societies, and joint stock companies, as well as individuals” (1 USC § 1; S Rep 86-658, 86th Cong, 1st Sess, reprinted in 1959 US Code Cong & Admin News, at 2548). As such, it is reasonable to conclude that the unitary group, not Video alone, is a “person” for purposes of the statute (see *Airborne Nav. Corp. v Arizona Dept. of Revenue*, 1987 Ariz Tax LEXIS 34, *6 [Bd of Tax App]). This approach is consistent with the concept of unitary reporting in considering the group to be “one entity” for franchise income taxation. No authority persuades us otherwise.

Legislative history surrounding Public Law 86-272 sheds no light on the intended scope of the word “person” to describe the relevant entity, or what activities “on behalf of” a related company would take the latter outside of the exemption. It does, however, make clear that the statute should be read narrowly.

The statute was enacted in 1959—nearly half a century ago—in response to the Supreme Court’s holding in *Northwest-*

ern States Portland Cement Co. v Minnesota that “net income from the interstate operations of a foreign corporation may be subjected to state taxation provided . . . [it] is properly apportioned to local activities within the taxing State forming sufficient nexus to support the same” (358 US 450, 452 [1959]). The “rather limited” purpose of Public Law 86-272 was to set a “lower limit” on state taxation (*Heublein, Inc. v South Carolina Tax Comm’n*, 409 US 275, 279, 280 [1972]), to establish a “‘minimum standard’ for imposition of a state net-income tax based on solicitation of interstate sales” (*Wisconsin Dept. of Revenue v William Wrigley, Jr., Co.*, 505 US 214, 222 [1992]). Congressional concern was for small- and medium-sized businesses that might have to file a return in every state where they solicited a sales order. In the words of the House Report on the proposed bill:

“compliance with the diverse tax laws of every jurisdiction in which income is produced will require the maintenance of records for each jurisdiction and the retention of legal counsel and accountants who are familiar with the tax practice of each jurisdiction. This will mean increases in overhead charges, in some cases to an extent that will make it uneconomical for a small business to sell at all in areas where volume is small” (HR Rep 936, 86th Cong, 1st Sess; see *Matter of Gillette Co. v State Tax Commn.*, 56 AD2d 475, 481 [3d Dept 1977], *affd* 45 NY2d 846 [1978]).

Congressman William E. Miller (New York) explained:

“[T]his legislation is not broad in its effect. It is very narrow, indeed. It covers only the single and simple area where a corporation does nothing more within a State than solicit orders. . . . This is important to small business. Large corporations can afford the attorneys and the accountants necessary to keep books for the payment of some 34 different State taxes computed on 34 different State taxing provisions. But, small business engaged in interstate commerce who do nothing more, perhaps than solicit orders either by a salesman within a State or even just through the mail, have always thought that they would not be subject to multiple State taxation” (105 Cong Rec 17771 [1959]).

Both formula apportionment schemes and unitary reporting existed at the time the statute was enacted (see *e.g.* L 1944, ch

415), and nothing in the bill's history suggests that Congress intended to alter the use or applicability of these methods. In fact, the bill was originally intended as a temporary, or stopgap, measure until congressional committees were able to study the "entire problem of state taxation of interstate commerce" (*Heublein*, 409 US at 281; see 1959 US Code Cong & Admin News, at 2559). Congress, however, has declined to further address the question since the statute was enacted, notwithstanding the struggles the provision generated in California, as the following discussion reflects.

Disney's synergies date back to the earliest years of the company, in the 1920s. The company itself says that it continues to expand its market segments, comprised of "integrated, well-connected businesses that operate in concert to maximize exposure and growth worldwide." This is a far cry from the limited objective of Public Law 86-272. We cannot agree that the statute was intended to prevent inclusion of New York income generated by the unified activities of this corporate giant in the state's franchise tax apportionment scheme.

C. The California Experience

In reaching our conclusions, we have considered the helpful insights of the California tax courts, which, along with that state's Court of Appeal, have conducted the most thorough analysis of this issue (albeit in large part with relation to application of California's "throw back" rule,⁶ which we do not have in New York). Although ultimately deciding to prohibit inclusion of income such as Video's in the numerator of apportionment formulas with respect to combined groups, California did so as a matter of tax policy, finding no "legal flaws" in either formula.

In 1966, the California State Board of Equalization (SBE) adopted what is now referred to as the "*Joyce* rule." The activities of U.S. Shoe, a company that had acquired Joyce, Inc., were limited to visits by sales representatives who solicited but did

6. California Revenue & Taxation Code § 25122 provides:

"[f]or purposes of allocation and apportionment of income under this act, a taxpayer is taxable in another state if (a) in that state it is subject to a net income tax, a franchise tax measured by net income, a franchise tax for the privilege of doing business, or a corporate stock tax, or (b) that state has jurisdiction to subject the taxpayer to a net income tax regardless of whether, in fact, the state does or does not."

not accept orders from merchants (*Matter of Joyce, Inc.*, 1966 Cal Tax LEXIS 18, *2-3). The California Franchise Tax Board deemed that Joyce and Shoe were engaged in a unitary business and combined the two companies' income for apportionment purposes. The SBE held that pursuant to Public Law 86-272 "no state has the power to impose a tax on or measured by income derived within the state by any person if the only business activities within the state are the solicitation of orders for sales," thus "the net income of U.S. Shoe derived from sources within this state was not includible" in the formula (*id.* at *9, 10).

In 1988, the California SBE changed course. In *Matter of Finnigan Corp.* (1988 Cal Tax LEXIS 28), it adopted what is now referred to as the "*Finnigan* rule." California's "throw back" rule, modeled after a Uniform Division of Income for Tax Purposes Act (UDITPA) provision, required that sales not taxable in the state of the destination of the goods by operation of Public Law 86-272 be assigned back to California if the property was shipped from California. The California Franchise Tax Board would "throw back" these sales regardless of whether the company reported its income in the destination state as part of a unitary group of which other members were taxable. Finnigan maintained that for purposes of consistency, the word "taxpayer," used in the throw back provision, must mean all of the corporations in the unitary group.

The SBE agreed. It noted that "[t]o hold otherwise would result in an apportionment formula which produced a different tax effect where the unitary business was conducted by the divisions of a single corporation than where it was conducted by multiple corporations. No difference in principle is discernible in the two situations" (*id.* at *7). On petition for rehearing, the SBE overruled *Matter of Joyce*, declaring that "Joyce established an unsound rule of apportionment out of fear that the courts would give an expansive interpretation to Public Law No. 86-272 and thereby seriously restrict the application of unitary apportionment principles to multicorporate businesses" (1990 Cal Tax LEXIS 4, *5). This fear having been shown to be unfounded, the SBE considered the latitude granted to states' apportionment formulas in *Container Corp.* and recent scholarly criticism of *Joyce*. It concluded that:

"Joyce undeniably contravenes fundamental unitary theory in two important respects. First, by

forbidding the assignment of sales to the state of destination in situations where at least one member of the unitary group is taxable in that state, but the actual seller is not, the Joyce rule defeats the basic purpose of the sales factor, which is to reflect the markets for the unitary business's goods and services" (*id.* at *3).

In 1999, however, the California SBE again reversed course. In order to promote uniformity under UDITPA, it decided to apply the Joyce rule prospectively (*see Matter of Huffy Corp.*, 1999 Cal Tax Lexis 173). It based its decision on the application of the throw back rule, which resulted in two scenarios: "California-based sellers who sell into other states where they are immune from tax as individual corporations will not be subject to tax in any jurisdiction" and "[n]on-California based sellers who sell into California where they are immune but their sister entities are taxable will run the risk of . . . double taxation" (*Matter of Huffy Corp.*, 1999 Cal Tax LEXIS 173, *10). The SBE concluded "[w]hile there were theoretically good reasons for the . . . implementation of the . . . rule," in light of the scenarios above and "to promote uniformity of the UDITPA law" Joyce was the "better law" (*id.* at *11).

California courts have since defended the *Finnigan* rule from Public Law 86-272 attack, finding no violation as the apportionment did not amount to a tax (*see Deluxe Corp. v Franchise Tax Bd.*, No. 403-204 [Cal Ct App 2001] ["By applying principles of combined reporting and formula apportionment, California seeks only to determine the income attributable to California generated by members of (the) unitary group. . . . (B)y applying the *Finnigan* methodology, California does not seek to tax any individual member of (the) unitary group not otherwise subject to tax in the state"]). Thus, the courts analyzing pre-*Huffy* and post-*Huffy* tax assessments have determined that either method was legally acceptable (*see Citicorp N. Am., Inc. v Franchise Tax Bd.*, 83 Cal App 4th 1403, 1421, 100 Cal Rep 2d 509, 524 [2000] ["the SBE returned to the Joyce rule without finding legal flaws in the *Finnigan* rule"]⁷).

7. States, and courts, have split on which rule to follow, although the majority (and those states adopting UDITPA) follow Joyce (*see Emerson Elec. Co. v Wasson*, 287 SC 394, 339 SE2d 118 [1986] ["taxpayer" an independently

(n. cont'd)

That the *Joyce* rule is recommended by the Multistate Tax Commission⁸ in furtherance of consistency under UDITPA, while a valid consideration from a policy perspective, lacks relevance to the preemptive scope of Public Law 86-272. New York has not adopted the Model Act, and “the mere fact that other bodies and jurisdictions did not follow the *Finnigan* rule is not a valid basis for this court to disregard the considered decision of a constitutionally created quasi-judicial administrative agency” (*Citicorp*, 83 Cal App 4th at 1418, 100 Cal Rptr 2d at 522).

While choosing the “better” law is not a role we assume here, we note that compelling policies underlie the result we reach. Not to include in the apportionment formula the receipts of entities whose in-state income may well be, in some hard-to-determine part, the result of synergistic relationships with their sister companies would permit corporate groups to avoid taxes by moving income to such entities from other members of the group. While the rule may not benefit companies based in states with throw back rules that follow *Joyce*, the role of the Legislature is to weigh these considerations in selecting a formula. “In the absence of a central coordinating authority, absolute consistency . . . may just be too much to ask” (*Container Corp.*, 463 US at 192).

D. Constitutional Claims

[2] Finally, Disney’s constitutional claims are without merit. The “Constitution imposes no single formula on the States” but merely requires a “‘minimal connection’ or ‘nexus’ between the interstate activities and the taxing State, and ‘a rational relationship between the income attributed to the State and the intrastate values of the enterprise’ ” (see *id.* at 164, 165-166, quoting *Exxon Corp. v Department of Revenue of Wis.*, 447 US 207, 219-220 [1980]). A tax, further, will not survive Commerce Clause scrutiny if petitioner shows that it (1) applies to an activity lacking a substantial nexus to the taxing state; (2) is not fairly apportioned; (3) discrimi-

taxable entity pursuant to state’s throw back rule]; *Dover Corp. v Department of Revenue*, 271 Ill App 3d 700, 648 NE2d 1089 [1995] [same]; *Great N. Ne-koosa Corp. v State Tax Assessor*, 675 A2d 963 [Me 1996] [same]; but see *Airborne Nav.*, 1987 Ariz Tax LEXIS 34 [adopting rule of *Finnigan*]; see also Kan Rev Rul 12-91-1 [adopting rule of *Finnigan*]; Utah Admin Code rule 865-6F-24 [same]; Ind Dept of Rev Tax Policy Directive No. 6 [1992] [adopting *Finnigan* for permissive combinations]).

8. The Multistate Tax Commission only has the power to issue nonbinding regulations (see State Taxation, Appendices A and B).

nates against interstate commerce; or (4) is not fairly related to the services provided by the state (*Complete Auto Transit, Inc. v Brady*, 430 US 274, 279 [1977]). The tax imposed on the Disney group is not grossly disproportionate to its New York activities, and is both fairly apportioned and nondiscriminatory.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

SMITH, J. (concurring). I agree with the result reached by the majority, and with the reasoning in sections B, C and D of the majority opinion, which I think amply support the result. I cannot join the majority opinion in full, because section A of the majority's analysis seems to me both unnecessary to the decision and wrong.

Section A discusses whether New York is "imposing a tax" on Buena Vista Home Video (Video) by including Video's receipts in the numerator of the fraction used to determine the New York income of a consolidated group of companies. It is unnecessary to decide this question, because this case does not turn on whether New York is imposing a tax on Video. Video is a corporation that transacts business in New York, and it is not immune from New York State tax unless Public Law 86-272 (73 US Stat 555) immunizes it—which it does not. As the majority explains in section B of its analysis, the relevant "person" for purposes of a Public Law 86-272 analysis is not Video, but the consolidated group. Having decided that, we need decide nothing more.

I find section A not just superfluous, but also wrong, because including a company's receipts in the numerator of the apportionment fraction effectively imposes a tax on that company. Suppose Video *were* immune from New York tax—suppose, for example, that Video's activities lacked the constitutionally required "minimal connection" to New York (*see Moorman Mfg. Co. v Bair*, 437 US 267, 273 [1978]). Surely New York could not, in such a case, include Video's receipts in the numerator. To do so would be to increase the tax in proportion to those receipts—and thus in substance to tax the income associated with those receipts (*see Shell Oil Co. v Iowa Dept. of Revenue*, 488 US 19, 31 [1988] [sales held not taxed "because they are not included in the numerator of the sales ratio"]). The majority cites no authority suggesting otherwise.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur with Chief Judge KAYE; Judge SMITH concurs in result in a separate opinion.

Judgment affirmed, with costs.

[888 NE2d 1043, 859 NYS2d 101]

WORTH CONSTRUCTION CO., INC., Respondent, v ADMIRAL INSURANCE COMPANY, Defendant, and FARM FAMILY CASUALTY INSURANCE COMPANY, Appellant.

Argued March 11, 2008; decided May 1, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 22, 2007. The Appellate Division, with two Justices dissenting, modified, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Helen E. Freedman, J.), which had granted a motion by defendant Farm Family Casualty Insurance Company for renewal and, upon renewal, modified a prior order and judgment (one paper) of that Supreme Court granting plaintiff's motion for summary judgment to the extent of declaring that defendant Farm Family Casualty Insurance Company was obligated to defend and indemnify plaintiff in connection with an underlying personal injury action. The Appellate Division's modification consisted of denying plaintiff's motion for summary judgment in that regard, granting defendant Farm Family Casualty Insurance Company's motion for summary judgment and declaring that Farm Family Casualty Insurance Company was not obligated to defend, indemnify or reimburse plaintiff in the underlying personal injury action pursuant to the insurance policy issued to Pacific Steel, Inc. naming plaintiff as an additional insured. The modification consisted of declaring that Farm Family Casualty Insurance Company was obligated to defend, indemnify and reimburse plaintiff in the underlying personal injury action. The Appellate Division affirmed the order and judgment as modified.

Worth Constr. Co. Inc. v Admiral Ins. Co., 40 AD3d 423, reversed.

HEADNOTE

Insurance — Duty to Defend and Indemnify

Defendant insurer, which had issued a commercial general liability insurance policy as part of its insured's subcontract to construct a staircase, was not required to defend and indemnify plaintiff general contractor, who was named as an additional insured, in the underlying personal injury action commenced by an employee of another subcontractor who slipped on fireproofing that had been applied to the stairs by a third subcontractor. The additional insured endorsement stated that plaintiff was an additional insured "only

with respect to liability arising out of [the insured's] operations." The allegation in the underlying action that the stairway was negligently constructed was the only basis for asserting any significant connection between the insured's work and the accident. When plaintiff admitted in the underlying action that its third-party claims of negligence against the insured were without factual merit, it conceded that the staircase was merely the situs of the accident, and it could no longer be argued that there was any connection between the accident and the risk for which coverage was intended. Nor did the fact that the stairs constituted "materials, parts or equipment furnished in connection with [the insured's] work or operations" under the "Your work" provision of the policy entitle plaintiff to defense and indemnification, since plaintiff conceded that the stairs were not a proximate cause of the employee's injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 667, 692, 1396, 1399-1401.

COUCH ON INSURANCE (3d ed) §§ 129:2, 201:1.

NY JUR 2d, Insurance §§ 1533-1535, 1545, 1931-1935.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

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POINTS OF COUNSEL

Lubinsky & Kessler, New Hampton (*Leonard Kessler* of counsel), for appellant. Farm Family Casualty Insurance Company does not owe a duty to defend or indemnify Worth Construction Co., Inc. since the underlying accident did not arise out of work or operations of Farm Family's named insured, subcontractor Pacific Steel, Inc. (*American Bridge Co. v Acceptance Ins. Co.*, 40 AD3d 666; *Greater N.Y. Mut. Ins. Co. v Mutual Mar. Off.*, 3 AD3d 44; *AIU Ins. Co. v American Motorists Ins. Co.*, 292 AD2d 277; *Impulse Enters./F & V Mech. Plumbing & Heating v St. Paul Fire & Mar. Ins. Co.*, 282 AD2d 266; *BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708.)

Jones Hirsch Connors & Bull P.C., New York City (*Richard Imbrogno* of counsel), for respondent. I. Farm Family Casualty Insurance Company has the duty to defend and indemnify Worth Construction Co., Inc. with respect to the underlying

Murphy action. (*Impulse Enters./F & V Mech. Plumbing & Heating v St. Paul Fire & Mar. Ins. Co.*, 282 AD2d 266; *Lim v Atlas-Gem Erectors Co.*, 225 AD2d 304; *Moll v Wegmans Food Mkts.*, 300 AD2d 1041; *Aetna Cas. & Sur. Co. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 228 AD2d 385; *Liberty Mut. Ins. Co. v E.E. Cruz & Co., Inc.*, 475 F Supp 2d 400.) II. As a matter of stare decisis and freedom of contract, this Court should follow the well-settled interpretation of the additional insured provision at issue rather than effectively rewriting the parties' contract. (*Consolidated Edison Co. of N.Y. v Hartford Ins. Co.*, 203 AD2d 83; *Liberty Mut. Ins. Co. v E.E. Cruz & Co., Inc.*, 475 F Supp 2d 400; *Consolidated Edison Co. of N.Y. v United States Fid. & Guar. Co.*, 266 AD2d 9; *New York Univ. v Royal Ins. Co.*, 200 AD2d 527; *Tishman Constr. Corp. of N.Y. v CNA Ins. Co.*, 236 AD2d 211; *Structure Tone v Component Assembly Sys.*, 275 AD2d 603; *Turner Constr. Co. v Pace Plumbing Corp.*, 298 AD2d 146; *Morse Diesel Intl. v Olympic Plumbing & Heating Corp.*, 299 AD2d 276; *Chelsea Assoc., LLC v Laquila-Pinnacle*, 21 AD3d 739; *Longwood Cent. School Dist. v American Empls. Ins. Co.*, 35 AD3d 550.) III. The cases relied upon by Farm Family Casualty Insurance Company do not support reversal of the Appellate Division's order. (*AIU Ins. Co. v American Motorists Ins. Co.*, 8 AD3d 83; *Greater N.Y. Mut. Ins. Co. v Mutual Mar. Off.*, 3 AD3d 44; *American Bridge Co. v Acceptance Ins. Co.*, 40 AD3d 666.)

OPINION OF THE COURT

PIGOTT, J.

Clayton Park Development, LLC, owner of real property situated in White Plains, New York, retained plaintiff Worth Construction Co., Inc. as general contractor for the construction of an apartment complex. Worth subcontracted with Pacific Steel, Inc. for construction of a staircase and handrailings. As part of the subcontract, Pacific provided commercial general liability insurance through defendant Farm Family Casualty Insurance Company naming Worth and Clayton Park Development as additional insureds.

Pacific's work at the site involved the fabrication and installation of a staircase, which consisted of steel pan stairs and handrailings. Each individual stair was comprised of two "stringers" (or sides) welded to a steel pan. After Pacific installed the stairs, the project was turned over to Worth, who hired a concrete subcontractor to fill the pans. Once the concrete had been poured and walls were erected around the stairs, Pacific was to

return to the site to complete its portion of the project by affixing the handrailings to the walls.

In November 2001, after the stairs had been installed but before the walls had been raised, Michael Murphy, a journeyman ironworker employed by Fasciano Iron Works Inc., sustained injuries when he slipped on fireproofing that had been applied to the stairs by subcontractor Central Enterprises. Pacific played no role in either contracting for or applying the fireproofing, nor did it subcontract with Fasciano for the performance of any work at the site.

Murphy commenced a personal injury action against Clayton Park Development as owner of the premises and Worth as the general contractor. Because the complaint alleged that Murphy was injured on the staircase installed by Pacific, Worth forwarded a copy of the complaint to Farm Family demanding defense and indemnification under the terms of the policy. When Farm Family did not respond to Worth's demand, Worth commenced a third-party action against Pacific seeking contribution and indemnification.

Worth also commenced a declaratory judgment action against Farm Family, seeking defense and indemnification in the underlying action and reimbursement of attorneys' fees it had expended to date in defense of the action.

The additional insured endorsement states in pertinent part: "WHO IS AN INSURED (Section II) is amended to include as an insured the person or organization shown in the Schedule as an insured [Worth] *but only with respect to liability arising out of your [Pacific's] operations* or premises owned by or rented to you" (emphasis supplied). The policy also defines "Your work" as "(a) Work or operations performed by you or on your behalf; and (b) Materials, parts or equipment furnished in connection with such work or operations."

Both parties moved for summary judgment in the declaratory judgment action. Supreme Court initially declared that Farm Family was obligated to defend and indemnify Worth under the terms of the policy and ordered it to reimburse Worth for the attorneys' fees it incurred in defending the underlying action.

However, while the parties to the declaratory judgment action were awaiting the court's decision in that action, Pacific moved for summary judgment dismissing Worth's third-party complaint in the underlying action. In its response to that motion, Worth conceded that any negligence claim it asserted against Pacific in

the third-party action lacked factual merit and should be dismissed.

Once Supreme Court dismissed Worth's third-party action against Pacific, Farm Family moved to renew its motion in the declaratory judgment action, asserting that, by its admissions, Worth had conceded that Murphy's accident did not arise out of Pacific's work or operations. Supreme Court granted Farm Family's motion, modified its previous decision and held that Worth's concession that Pacific was not negligent established as a matter of law that Murphy's accident did not arise out of Pacific's operations and therefore Farm Family was not required to defend or indemnify Worth under the terms of the policy.

In a 3-2 decision, the Appellate Division modified the order of Supreme Court, holding that, based on the definition of "Your work" in the policy, it was immaterial, for purposes of deciding additional insured coverage, whether Pacific had completed the installation of the stairs, whether its installation was negligent or whether Pacific or a contractor in privity with it was Murphy's employer (40 AD3d 423, 425 [1st Dept 2007]). Rather, for coverage purposes, it was "sufficient that [Murphy's] injury was sustained on the stairs" (*id.*, citing *Impulse Enters./F & V Mech. Plumbing & Heating v St. Paul Fire & Mar. Ins. Co.*, 282 AD2d 266, 267 [1st Dept 2001]). We now reverse and reinstate the order of Supreme Court awarding Farm Family summary judgment.

An insurer's duty to defend "arises whenever the allegations within the four corners of the underlying complaint potentially give rise to a covered claim" (*Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169, 175 [1997]). This standard applies equally to additional insureds and named insureds (see *BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708, 715 [2007]).

Here, the additional insured endorsement states that Worth is an additional insured "only with respect to liability arising out of [Pacific's] operations." The phrase "arising out of" has been interpreted by this Court to "'mean originating from, incident to, or having connection with'" (*Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467, 472 [2005], quoting *Aetna Cas. & Sur. Co. v Liberty Mut. Ins. Co.*, 91 AD2d 317, 321 [4th Dept 1983]), and requires "only that there be some causal relationship between the injury and the risk for which coverage is provided" (*Maroney*, 5 NY3d at 472).

Worth contends that the simple fact that Murphy slipped on the staircase establishes as a matter of law that his accident arose out of Pacific's work because the staircase was part of the "materials" that Pacific was utilizing to fulfill its subcontract. Generally, the absence of negligence, by itself, is insufficient to establish that an accident did not "arise out of" an insured's operations (see *Aetna Cas. & Sur. Co. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 228 AD2d 385, 386 [1st Dept 1996]; *Lim v Atlas-Gem Erectors Co.*, 225 AD2d 304, 305 [1st Dept 1996]). The focus of a clause such as the additional insured clause here "is not on the precise cause of the accident but the general nature of the operation in the course of which the injury was sustained" (*Impulse Enters.*, 282 AD2d at 267).

Here, it is evident that the general nature of Pacific's operations involved the installation of a staircase and handrails. An entirely separate company was responsible for applying the fireproofing material. At the time of the accident, Pacific was not on the job site, having completed construction of the stairs, and was awaiting word from Worth before returning to affix the handrails. The allegation in the complaint that the stairway was negligently constructed was the only basis for asserting any significant connection between Pacific's work and the accident. Once Worth admitted that its claims of negligence against Pacific were without factual merit, it conceded that the staircase was merely the situs of the accident. Therefore, it could no longer be argued that there was any connection between Murphy's accident and the risk for which coverage was intended.

Nor does the fact that the stairs constituted "[m]aterials, parts or equipment furnished in connection with [Pacific's] work or operations" under the "Your work" provision, entitle Worth to defense and indemnification where, as here, Worth conceded that the stairs themselves were not a proximate cause of Murphy's injury.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the order and judgment of Supreme Court should be reinstated.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order, insofar as appealed from, reversed, etc.

[888 NE2d 1046, 859 NYS2d 104]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ISAIAS
UMALI, Appellant.

Argued March 19, 2008; decided May 6, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 1, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Umali, 37 AD3d 164, affirmed.

HEADNOTES

Crimes — Right to Counsel — Trial Court Order Banning Defendant from Discussing Testimony with Defense Counsel during Trial Recess

1. Defendant's right to counsel was not violated when the trial court prohibited his attorney from speaking to him about his testimony during a trial recess, as the prohibition lasted no more than three hours and, once it was lifted, defendant and his counsel had 2½ more days to confer before trial proceedings recommenced. Although the order itself, which was to remain in effect during the entire four-day trial recess, was improper, the trial court promptly rescinded it once defense counsel finally objected. The limited three-hour ban was insignificant based on the time remaining before continuation of the trial.

Crimes — Instructions — Justification Defense

2. In the prosecution of defendant for fatally stabbing a nightclub bouncer as the bouncer tried to remove defendant's friend from the club, the portion of the trial court's instruction on the subjective element of justification was erroneous, as the jury was told to consider whether the evidence proved beyond a reasonable doubt that defendant personally believed that the use of deadly force was necessary. It was, instead, the People's burden to prove that defendant did not believe deadly force was needed. The instructions as a whole, however, could not have misled the jury regarding the applicable burden of proof in light of the trial court's repeated references to the correct legal standard. Accordingly, a supplemental charge explicitly disavowing the court's single misstatement of law was not required.

Crimes — Witnesses — Prior Consistent Statement

3. In the prosecution of defendant for fatally stabbing a nightclub bouncer as the bouncer tried to remove defendant's friend from the club, any error the trial court may have made by not admitting as a prior consistent statement the friend's description to his former attorney about the degree of force used by the bouncer was harmless. Defendant raised a justification defense at trial,

claiming to have stabbed the bouncer in order to protect his friend from the use of deadly physical force. Defendant's friend, who was initially suspected of stabbing the bouncer, admitted that he did not disclose to the police the extent of the force used by the bouncer, but testified that he told his attorney about the severity of the choking while they were at the police station. Although defendant's friend had an incentive to minimize his own involvement in the homicide, he arguably did not have a motive to fabricate in defendant's favor when he spoke to his attorney, as defendant had not yet been implicated at that time. However, even if the friend's former attorney had been allowed to testify, there was no reasonable probability that the verdict would have been more favorable to defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 659, 662-666, 703, 705;
AM JUR 2d, Criminal Law § 1215; AM JUR 2d, Trial
§§ 248, 249, 1064.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:1749-
172:1751, 172:3433, 172:3736, 172:4438.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.8,
24.8, 27.6.
NY JUR 2d, Criminal Law §§ 773, 774, 2092, 2093, 2478,
3234.

ANNOTATION REFERENCE

Trial court's order that accused and his attorney not communicate during recess in trial as reversible error under Sixth Amendment guaranty of right to counsel. 95 ALR Fed 601.

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POINTS OF COUNSEL

Carter Ledyard & Milburn LLP, New York City (*Alan S. Lewis* and *Michael Shapiro* of counsel), for appellant. I. The court's charge on justification unconstitutionally shifted the burden of proof and otherwise confused the jury, thereby depriving Mr. Umali of a fair trial. (*Francis v Franklin*, 471 US 307; *People v Kelly*, 302 NY 512; *People v McManus*, 67 NY2d 541; *Sullivan v Louisiana*, 508 US 275; *Bloomer v United States*, 162 F3d 187; *United States v Birbal*, 62 F3d 456; *Cool v United States*, 409 US 100; *People v Young*, 65 NY2d 103; *People v Lourido*, 70 NY2d 428.) II. The trial court erred by precluding evidence of a prior consistent statement by a key defense witness. (*People v*

Seit, 86 NY2d 92; *People v McClean*, 69 NY2d 426; *People v McDaniel*, 81 NY2d 10; *People v Melendez*, 55 NY2d 445; *People v Baker*, 23 NY2d 307; *People v Whitley*, 14 AD3d 403; *People v Singer*, 300 NY 120; *United States v Grunewald*, 233 F2d 556; *Taylor v Illinois*, 484 US 400; *United States v Agurs*, 427 US 97.) III. The preclusion of expert testimony from an authority on traumatic stress violated Mr. Umali's constitutional right to present a defense. (*Taylor v Illinois*, 484 US 400; *United States v Nixon*, 418 US 683; *United States v Agurs*, 427 US 97; *Dougherty v Milliken*, 163 NY 527; *People v Carroll*, 95 NY2d 375; *People v Keindl*, 68 NY2d 410; *People v Taylor*, 75 NY2d 277; *People v Henson*, 33 NY2d 63; *People v Cronin*, 60 NY2d 430; *People v Madera*, 24 AD3d 278.) IV. The trial court's order that prohibited defense counsel from speaking to Mr. Umali for two days about his trial testimony violated his right to counsel under the New York and Federal Constitutions and requires a reversal of the conviction. (*People v Joseph*, 84 NY2d 995; *Powell v Alabama*, 287 US 45; *Gideon v Wainwright*, 372 US 335; *Argersinger v Hamlin*, 407 US 25; *Geders v United States*, 425 US 80; *Jones v Vacco*, 126 F3d 408; *Perry v Leeke*, 488 US 272; *United States v Triumph Capital Group, Inc.*, 487 F3d 124; *Morgan v Bennett*, 204 F3d 360; *United States v Padilla*, 203 F3d 156.) V. The court's preclusion of evidence that a key prosecution witness had confessed her biases against Mr. Umali and in favor of the prosecution violated Mr. Umali's constitutional right to confront an adverse witness. (*Delaware v Van Arsdall*, 475 US 673; *People v Chin*, 67 NY2d 22; *People v Green*, 156 AD2d 465, 75 NY2d 813; *People v Vigliotti*, 203 AD2d 898; *People v Hudy*, 73 NY2d 40; *United States v McCray*, 148 F Supp 2d 379; *Yager v Carey*, 910 F Supp 704, 159 F3d 638; *Justice v Hoke*, 90 F3d 43; *People v Corby*, 6 NY3d 231.) VI. The trial court's order requiring that the defense present the direct testimony of its witnesses seriatim, before any of them were cross-examined, deprived Mr. Umali of both due process and the effective assistance of counsel. (*Brooks v Tennessee*, 406 US 605; *Geders v United States*, 425 US 80; *Quercia v United States*, 289 US 466; *People v Napierala*, 90 AD2d 689; *Strickland v Washington*, 466 US 668; *Herring v New York*, 422 US 853; *Powell v Alabama*, 287 US 45; *People v Blowe*, 130 AD2d 668; *United States v Singh*, 811 F2d 758; *Harris v Barkley*, 202 F3d 169.)

Robert M. Morgenthau, District Attorney, New York City (*Susan Axelrod* and *Mark Dwyer* of counsel), for respondent.
I. The court's justification charge accurately explained the law to the jury. (*People v Fields*, 87 NY2d 821; *People v*

Coleman, 70 NY2d 817; *People v Drake*, 7 NY3d 28; *People v Russell*, 266 NY 147; *People v Adams*, 69 NY2d 805; *People v Wesley*, 76 NY2d 555; *Matter of Y.K.*, 87 NY2d 430; *People v McManus*, 67 NY2d 541; *Francis v Franklin*, 471 US 307; *People v Lourido*, 70 NY2d 428.) II. The court properly did not permit defendant to introduce an out-of-court statement made by one of his witnesses. (*People v Liner*, 9 NY3d 856; *People v Angelo*, 88 NY2d 217; *People v Pacer*, 6 NY3d 504; *People v Robinson*, 74 NY2d 773; *People v Melendez*, 55 NY2d 445; *People v McDaniel*, 81 NY2d 10; *People v McClean*, 69 NY2d 426; *People v Davis*, 44 NY2d 269; *People v Singer*, 300 NY 120; *People v Baker*, 23 NY2d 307.) III. The court properly precluded testimony that defendant suffered from post-traumatic stress disorder after the killing. (*People v Berk*, 88 NY2d 257; *People v Almonor*, 93 NY2d 571; *Holmes v South Carolina*, 547 US 319; *Washington v Schriver*, 255 F3d 45; *Justice v Hoke*, 90 F3d 43; *People v Rivers*, 281 AD2d 348; *People v Oakes*, 168 AD2d 893; *People v Yates*, 290 AD2d 888; *People v Brown*, 4 AD3d 886.) IV. Defendant's unpreserved claim that he is entitled to a reversal of his conviction because the court ordered him not to discuss his testimony with his lawyer is meritless, as the court rescinded that order two days before defendant resumed testifying. (*People v Blount*, 77 NY2d 888; *People v Narayan*, 54 NY2d 106; *People v Schiavi*, 64 NY2d 704; *People v Everson*, 100 NY2d 609; *People v Joseph*, 84 NY2d 995; *Geders v United States*, 425 US 80; *Perry v Leeke*, 488 US 272; *United States v Morrison*, 449 US 361; *United States v Triumph Capital Group, Inc.*, 487 F3d 124.) V. The court properly precluded the testimony of a defense investigator concerning the out-of-court statement that Esila Obiang made to him. (*People v Liner*, 9 NY3d 856; *People v Angelo*, 88 NY2d 217; *People v Pacer*, 6 NY3d 504; *People v Robinson*, 74 NY2d 773; *People v Corby*, 6 NY3d 231; *People v Aska*, 91 NY2d 979; *People v Blakeney*, 219 AD2d 10, 88 NY2d 1011.) VI. The court properly ordered defendant to have all of his witnesses testify on direct examination before the prosecutor cross-examined any of them. (*People v Angelo*, 88 NY2d 217; *People v Narayan*, 54 NY2d 106; *Taylor v Illinois*, 484 US 400; *Chambers v Mississippi*, 410 US 284; *Strickland v Washington*, 466 US 668; *People v Kelly*, 288 AD2d 695; *Geders v United States*, 425 US 80; *People v Olsen*, 34 NY2d 349; *People v Caban*, 5 NY3d 143; *People v Smith*, 79 NY2d 779.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issues in this case are whether defendant's right to counsel was violated when the trial court prohibited his attorney from speaking to him about his testimony during a trial recess and whether the court's instructions to the jury regarding defendant's justification defense improperly shifted the burden of proof to defendant. We conclude that there was no deprivation of the right to counsel because the ban on attorney-client communication was rescinded promptly after defendant's protest and the jury charge as a whole accurately stated that the People had to disprove the justification defense beyond a reasonable doubt.

I

Defendant Isaias Umali and his companions attended a party in April 2003 at a nightclub in lower Manhattan. A no-smoking law had recently been enacted and the nightclub's employees, including a bouncer named Dana Blake, spent the evening trying to enforce the new ban. Around 2:30 A.M., Blake observed defendant's friends, Jonathan and Alan Chan, with a group of people who were smoking. Blake approached the assembly and had an unfriendly conversation with Jonathan Chan that resulted in a scuffle.

Although witnesses to the altercation gave varying accounts of what transpired, most of them recounted that Blake grabbed Chan by the throat and pushed him toward an emergency exit. Chan was considerably smaller in stature and weight than Blake (who was six-feet, six-inches tall and weighed about 350 pounds) and was unable to escape Blake's grasp, despite the efforts of other patrons who attempted to free Chan. As Blake moved Chan toward the exit, defendant lunged at Blake and stabbed him in his groin with a six-inch long, serrated martial arts knife. Blake collapsed onto the floor, bleeding profusely. Defendant managed to escape the nightclub. When police officers arrived at the scene, a witness claimed that the Chans had stabbed Blake so they were arrested for assault. Blake was transported to a hospital and underwent surgery for a severed femoral artery, but he died later that day.

In the meantime, defendant sought help from his friends, the Atienza brothers. On his way to see them, defendant wrapped his knife in an article of clothing and threw it in a street drain. Upon his arrival, the Atienzas noticed large blood stains on

defendant's pants and suggested that he change his clothing. Defendant told them that the Chans had been in a fight with an African-American man and that he stabbed the man using a specialized maneuver he had learned in a martial arts class. One of the Atienzas remarked to defendant "[p]lease say that you used it in self-defense" and "that you did it for the right reason." Defendant responded that he did not act in self-defense and had no explanation for the stabbing.

The next morning, defendant's fiancée called him but defendant did not want to speak on the telephone about what had transpired at the nightclub. After his fiancée came to the Atienzas' apartment, defendant revealed that he had stabbed Blake using a special martial arts method. The Atienzas, another man and defendant's fiancée threw away defendant's bloody clothing, supplied him with new clothes and cleaned his telephone. While heading to defendant's house, his fiancée gave her knife to defendant so that he could show it to anyone who questioned him about the stabbing.¹

After defendant learned from news reports that Blake had died, he attempted to take his own life by slashing his throat and wrists, but he survived and was placed under psychiatric supervision. The Chans were released by the police approximately two days after the stabbing incident. Defendant was eventually indicted for two counts of murder in the second degree. At trial, he raised a justification defense, explaining that he stabbed Blake in order to protect Jonathan Chan from the use of deadly physical force.

In his own defense, defendant began testifying on a Wednesday, but his testimony was not complete by the end of that day. Because Thursday was a holiday and the court would not be available for trial proceedings on Friday, the trial court adjourned the case until the following Monday. In light of this four-day adjournment before defendant retook the stand, the court advised defense counsel that they could not discuss defendant's testimony with him during the recess but they could speak about other matters. Defense counsel did not voice an objection and agreed not to discuss issues related to defendant's testimony. But on Friday morning, defendant's counsel asked the court to reconsider its ruling, arguing that the ban on com-

1. Defendant's fiancée, the Atienza brothers and the other man subsequently entered into cooperation agreements with prosecutors that allowed them to withdraw their guilty pleas to hindering prosecution if they testified truthfully and, in return, they would receive reduced charges and sentences of probation.

munication was impermissible under *People v Blount* (77 NY2d 888 [1991], *cert denied* 502 US 815 [1991]). Later that morning, a court employee contacted defense counsel and stated that the order had been rescinded, which left approximately 2½ days for defendant to confer with his attorneys before resuming his testimony.

The trial continued the following week and the jury ultimately rejected defendant's justification defense, convicting him of manslaughter in the first degree as a lesser included offense of second-degree murder. The Appellate Division affirmed and a Judge of this Court granted leave.

II

Defendant claims that his right to counsel was violated when the court prohibited him from discussing his testimony with counsel during the four-day recess and that this error was not cured when the court lifted the ban. It is well settled that a court cannot prohibit defense counsel from speaking to a defendant about his trial testimony during a recess unless the break is one of very short duration (*see e.g. Geders v United States*, 425 US 80, 88-89 [1976]; *Perry v Leeke*, 488 US 272, 283-285 [1989]; *People v Joseph*, 84 NY2d 995, 997-998 [1994]; *People v Blount*, 77 NY2d at 888, *affg* 159 AD2d 579 [2d Dept 1990]). However, it is equally clear that if counsel "is present and available to register a protest" to a restriction on communication that would provide the court with an opportunity to rectify its error, the failure to object renders a claimed deprivation of the constitutional right to counsel unpreserved for appellate review (*People v Narayan*, 54 NY2d 106, 112 [1981]). In this case, defense counsel allowed the limitation on communication to remain in effect for about 1½ days before challenging the ban. Consequently, in evaluating defendant's right to counsel argument, we do not consider the length or effect of the prohibition that occurred prior to defense counsel's protest that Friday morning.²

Once defense counsel made a proper objection, it was evident that the previous order precluding certain attorney-client com-

2. Defendant contends that the failure to preserve his constitutional claim when the ban was imposed should be forgiven because the court told counsel not to argue legal issues once the court had issued its rulings. On this record, there is nothing to suggest that defense counsel could not have earlier challenged the order imposing the ban. To the extent defendant relies on a theory of judicial estoppel because the People did not raise preservation in the courts

(n. cont'd)

munications was improper because it was more than a “temporary and limited ban on discussions between defendant and [his] attorney during a brief recess” (*People v Joseph*, 84 NY2d at 997). Upon realizing that the order was improper, the trial court promptly rescinded it and verified that defense counsel were aware they could consult with defendant about his testimony. The time that elapsed between the objection and the withdrawal of the order was no more than three hours, and at the time the prohibition was lifted, there remained 2½ days for counsel to confer with defendant before trial proceedings would recommence. Furthermore, there was no indication that counsel believed additional consultation time was necessary.

[1] In our view, these circumstances are comparable to the situation in *United States v Triumph Capital Group, Inc.* (487 F3d 124 [2d Cir 2007]). The restriction on communication in that case lasted about three hours, the ban applied to discussions regarding the defendant’s testimony but he was free to speak with counsel about any other matter and the attorney was given further consultation time before the trial resumed (45 minutes compared to the 2½ days in this case). The United States Court of Appeals for the Second Circuit determined that the prohibition on communication did not require a new trial. We believe that the limited three-hour ban in this case, as in *Triumph Capital*, was insignificant based on the time remaining before continuation of the trial and, therefore, a reversal is not warranted in this case.³

III

Defendant also contends that the instructions provided to the jury on his justification defense were erroneous. He alleges that the trial court improperly shifted to the defense the People’s burden of proving beyond a reasonable doubt that defendant did not subjectively believe deadly force was necessary. The People concede that the trial court misspoke at one juncture in

below, we note that estoppel does not vest jurisdiction in this Court where it does not otherwise exist.

3. We caution (as did the Second Circuit) that our decision should not be construed as permitting prohibitions on attorney-client communications in all situations where additional time is afforded for attorney-client discussions before testimony resumes since it is possible in certain cases that “restrictions on when a defendant can talk with his attorney may substantially interfere with his right to effective assistance of counsel” (*United States v Triumph Capital Group, Inc.*, 487 F3d at 134 [emphasis omitted]). This is not such a case.

its charge, but assert that the charge as a whole adequately informed the jury that justification had to be disproved beyond a reasonable doubt by the People. Defendant, in contrast, maintains that the court's single misstatement requires a new trial because no supplemental instruction disavowed the incorrect charge.

As relevant to this appeal, justification is comprised of both subjective and objective elements. The subjective element is concerned with whether the defendant believed that the use of deadly force was necessary; while under the objective prong, the jury must consider whether a reasonable person in the defendant's circumstances would have believed that deadly force was required. When a defense of justification is raised, "the People must prove beyond a reasonable doubt that [the] defendant's conduct was not justified" (*People v Craig*, 78 NY2d 616, 619 n 1 [1991]). In other words, the People must demonstrate beyond a reasonable doubt that the defendant did not believe deadly force was necessary or that a reasonable person in the same situation would not have perceived that deadly force was necessary (see e.g. *People v Goetz*, 68 NY2d 96, 115 [1986]).

With these general principles in mind, the propriety of the instructions in this case can be considered. At the outset of the charge, the court told the jury:

"It is the prosecution's burden to prove each element of the crime charged beyond a reasonable doubt. The burden of proof *never* shifts to the defendant even though in this case he did testify. I repeat, even though he testified, he does not have to prove *anything* . . . The burden is *always* on the People to prove his guilt beyond a reasonable doubt" (emphasis added).

The court further mentioned that "the defendant has no burden of proof."

When the trial court segued from its instructions regarding the general principles of criminal law and the elements of the submitted offenses to the justification defense, it began by emphasizing that it was "the burden of the prosecution to convince you beyond a reasonable doubt [that] the defendant was not acting in self-defense." Shortly thereafter, the court reiterated that it was the People's burden "to disprove [the defense] beyond a reasonable doubt." After defining legal terminology and explaining the concept of initial aggression—

which included a statement that the People had “the burden to establish beyond a reasonable doubt that the defendant was the initial aggressor”—the court turned to the subjective and objective elements.⁴

The court next informed the jury that a variety of factors should be taken into account when evaluating the subjective element and asked the jurors to put themselves in defendant’s situation at the time of the altercation. The jury was told that defendant could be justified even if his subjective belief in the need to use deadly force was mistaken, so long as that belief was reasonable and honestly held. The court then made the following statement, which is at issue in this appeal:

“If the evidence convinces you beyond a reasonable doubt that deadly physical force was necessary to prevent the imminent use—that the defendant believed that deadly physical force was necessary to prevent the imminent use of deadly physical force you still must find the second test, which is the objective test, were defendant’s beliefs reasonable under an objective standard.”

The court proceeded to address the mechanics of the objective test, explaining that “[t]he burden is on the prosecution to prove to your satisfaction beyond a reasonable doubt that a reasonable person in that situation could not have believed that deadly physical force was necessary to defend Jonathan Chan.” The subjective and objective elements were then combined in the court’s instruction and the jury was advised that if

“the prosecution did prove that the defendant could not have reasonably believed that Dana Blake was using, or about to use deadly physical force against Jonathan Chan, and it was not necessary to use deadly physical force to defend Jonathan Chan, then he cannot avail himself of this defense of justification.”

Relatedly, the court instructed the jury to acquit defendant “if the People fail to prove that the defendant could not have had reasonably believed that deadly physical force was necessary.”

Our task in evaluating a challenge to jury instructions is not limited to the appropriateness of a single remark; instead, we

4. It is unnecessary for us to address the merits of defendant’s complaint about the initial aggressor charge because any error in that regard was harmless. In addition, defendant’s claim relating to the lack of a charge on non-deadly physical force is meritless.

review the context and content of the entire charge. A charge “ ‘may be sufficient, indeed substantially correct, even though it contains phrases which, isolated from their context, seem erroneous’ ” (*People v Drake*, 7 NY3d 28, 33 [2006], quoting *People v Ladd*, 89 NY2d 893, 895 [1996]). Thus, a reviewing court must “read the instruction as a whole to determine if it was likely to confuse the jury as to the proper burden of proof” (*People v Fields*, 87 NY2d 821, 823 [1995]) or if it is reasonable to conclude that “ ‘the jury, hearing the whole charge, would gather from its language the correct rules which should be applied in arriving at [a] decision’ ” (*People v Drake*, 7 NY3d at 34, quoting *People v Russell*, 266 NY 147, 153 [1934]).

[2] We agree with the Appellate Division that the portion of the trial court’s instruction on the subjective element of justification was erroneous because the jury was told to consider whether the evidence proved beyond a reasonable doubt that defendant personally believed that the use of deadly force was necessary when it was the People’s burden to prove that defendant did not believe deadly force was needed. Thus, the challenged remark should not have been included in the court’s instructions.

But considered as an isolated component of the charge as a whole, that single misstatement could not have led the jury to conclude that the justification defense was established only if defendant proved that he thought deadly force was necessary. Viewing the charge in its entirety, the jury was repeatedly reminded that the burden was on the prosecution to prove its case beyond a reasonable doubt, which included disproving the justification defense. From the beginning of the charge, the jury was informed that the People’s burden of proof “never” shifts and that the accused “does not have to prove anything.” In addition, the instructions on general principles of criminal culpability, the elements of the submitted offenses and the initial aggressor concept all included discussions of the People’s heavy burden of proving defendant’s guilt beyond a reasonable doubt.

The justification instruction itself included five specific references to the requirement that the People had to disprove justification beyond a reasonable doubt: two at the beginning of the justification charge; one in relation to the objective element; and two more at the end of the charge when the court combined the subjective and objective elements together with the People’s burden of proof. Moreover, although it is not determinative, the jury never expressed any confusion about the justification

charge or asked for supplemental instructions on the subject to guide its deliberations. In fact, when the jury did request additional assistance on the difference between the intent required for murder in the second degree and first-degree manslaughter, the court gave a supplemental charge and reiterated that “before a defendant, just to remind you, can be convicted of any crime, you realize that the People must disprove justification beyond a reasonable doubt.” This was the final instruction the jury heard before rendering its verdict. In light of these repeated references to the correct legal standard, we conclude that the instructions as a whole could not have misled the jury regarding the applicable burden of proof. Thus, a supplemental charge explicitly disavowing the court’s single misstatement of law was not required in this case, although it certainly would have been preferable had the court realized that it misspoke.

IV

Several other issues are raised by defendant, but it is necessary for us to address only one in detail. Testifying as a defense witness, Jonathan Chan told the jury that, when he was grabbed by Blake, he “couldn’t breathe” and “felt like [he] was going to die.” But under questioning by defense counsel, Chan admitted that when he was under arrest, he did not tell a detective about the extent of the force Blake used on him. Chan claimed at trial that he did not want to provide a motive to police so he downplayed his involvement in the homicide. On cross-examination, the prosecutor elicited an admission from Chan that he did not disclose to the detective the extent of the choke hold, that Blake had lifted him off the ground or that Chan was unable to breathe while he was in Blake’s grasp. During redirect, Chan stated that he told his lawyer about the severity of the choking while they were at the police station.

Following the conclusion of Chan’s testimony, the defense sought to call Chan’s station house attorney to testify about Chan’s comments to him regarding the degree of force used by Blake, which defense counsel argued was admissible as a prior consistent statement. The People objected on the basis that Chan had a motive to lie when he spoke to his lawyer and, therefore, the utterance did not qualify as a prior consistent statement. The trial court ruled that the attorney’s testimony was inadmissible because Chan had an incentive to fabricate at the time he spoke to his former attorney.

[3] Defendant’s constitutional challenge to the preclusion of this testimony was not raised in the trial court and it is

therefore unpreserved for our review. The issue of whether the trial court abused its discretion, however, is properly before this Court. Because Chan's trial testimony was attacked by the People as a recent fabrication, the prior statement would have been admissible if it was made before Chan had a motive to lie (see e.g. *People v Melendez*, 55 NY2d 445, 451 [1982]; *People v Baker*, 23 NY2d 307, 323 [1968]). Although Chan had obvious incentives to minimize his own and his brother's involvement in the homicide, he arguably did not have a motive to fabricate in defendant's favor because defendant had not yet been implicated when Chan spoke to his lawyer (see *People v McClean*, 69 NY2d 426, 428 [1987] [statement inadmissible if "the same motive to falsify which exists at the time of the testimony existed at the time the prior consistent statement was made"]; *People v Baker*, 23 NY2d at 323). Ultimately, we need not decide whether the preclusion of the attorney's testimony was improper because, even if it was, the error was harmless: Chan told the jury he thought Blake was going to kill him; witnesses corroborated the defense's view that Blake had Chan in a choke hold and that it appeared Chan could not breathe; the jury was aware that Chan informed his attorney about the force Blake used; and there was substantial evidence—including defendant's admission in the immediate aftermath of the incident that suggested he did not attack Blake to defend Chan—supporting the jury's conclusion that the stabbing of Blake was not justified. Thus, even if Chan's former attorney had been allowed to testify, there is no reasonable probability that the verdict would have been more favorable to defendant.

Defendant's remaining contentions are either unpreserved,⁵ meritless⁶ or harmless.⁷

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

5. Constitutional challenges to the alteration of the order of proof during the defense presentation are unpreserved.

6. Preclusion of a defense expert witness and a nonconstitutional challenge to the alteration of the order of the defense case are meritless.

7. The exclusion of bias evidence of a prosecution witness was harmless error.

[889 NE2d 983, 860 NYS2d 1]

P.A. BUILDING COMPANY, Respondent, v CITY OF NEW YORK, Appellant.

Argued March 13, 2008; decided May 1, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 25, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Faviola A. Soto, J.), entered after a nonjury trial, which had awarded plaintiff damages in the total amount of \$1,312,960.26. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered May 20, 2003 (305 AD2d 244). The Appellate Division had modified, on the law, and otherwise affirmed an order of the Supreme Court, New York County (Joan A. Madden, J.), entered December 21, 2001, as resettled by an order of that court (2002 NY Slip Op 30070[U]), entered May 15, 2002. The order entered December 21, 2001, as resettled, had denied plaintiff's motion for summary judgment, awarded defendant summary judgment dismissing plaintiff's complaint upon a search of the record, granted defendant's cross motion for summary judgment on its first counterclaim for rent overcharges to the extent of awarding damages for rent overcharges attributable to certain asbestos abatement expenditures, directed a trial to determine the balance of the asbestos abatement expenditure claim, and granted defendant summary judgment on its second counterclaim for real estate tax refunds. The modification consisted of reinstating plaintiff's complaint and denying defendant's cross motion for summary judgment on its first and second counterclaims.

P.A. Bldg. Co. v City of New York, 36 AD3d 539, modified.

HEADNOTES

Landlord and Tenant — Lease — Rent Escalation Clause — Asbestos Abatement Costs Not Operating Expenses

1. Asbestos abatement costs incurred by plaintiff landlord were not operating expenses under the terms of the parties' commercial leases and should not have been billed to defendant tenant as additional rent under the leases' escalation clauses. An expense generally qualified as an operating expense under the leases if it related to the operation, repair and maintenance of any part of the building and/or was a cost or charge generally recognized as constituting an operating expense of the building and the land on which it was situated at the time the leases were executed. Neither party contemplated

asbestos abatement when drafting or subscribing to the leases, and abatement costs were not included as operating expenses in the base years against which defendant's obligation for additional rent was measured. Even assuming that plaintiff undertook abatement to address an asbestos hazard on the premises, that was not a condition in need of repair in the normal sense of the word.

Appeal — Preservation of Issue for Review

2. In a breach of contract action brought by plaintiff landlord to recover rent escalation charges withheld by defendant tenant, defendant sufficiently preserved its challenge to Supreme Court's calculation of interest on plaintiff's award. Defense counsel, during closing arguments, explained defendant's position regarding the date that interest should begin to run and was not required to make a post-trial motion aimed at persuading the trial judge to change her mind in order to preserve defendant's challenge.

Interest — Computation — Award of Rent Escalation Charges — Date Interest Begins to Run

3. In a breach of contract action brought by plaintiff landlord to recover rent escalation charges withheld by defendant tenant for 1993 and 1994, Supreme Court erred by awarding plaintiff interest on its award from January 22, 1995, the date the charges were billed, as the interest on the award did not begin to run until January 13, 1997, the date that plaintiff finally submitted to the audit requested by defendant in order to verify the escalations. Defendant's obligation to pay the escalation charges for 1993 and 1994 as additional rent was "suspended" by the lower courts until such time as plaintiff cooperated with the requested audit. The date the audit commenced was "the earliest ascertainable date the cause of action existed" for purposes of computing interest on the award (CPLR 5001 [b]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Interest and Usury §§ 38, 39; AM JUR 2d, Landlord and Tenant § 557.

CARMODY-WAIT 2d, Judgments §§ 63:104, 63:109.

McKINNEY's, CPLR 5001 (b).

NY JUR 2d, Appellate Review §§ 600, 603, 635; NY JUR 2d, Interest and Usury §§ 15, 16; NY JUR 2d, Landlord and Tenant §§ 315, 328.

SIEGEL, NY PRAC § 411.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Asbestos; Landlord and Tenant; Prejudgment Interest.

FIND SIMILAR CASES ON WESTLAW®

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Query: asbestos /3 abatement & additional /2 rent

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City
(*Ronald E. Sternberg, Leonard Koerner and Mindy Koenig-*

Berman of counsel), for appellant. I. The Appellate Division, reversing the motion court, erred insofar as it concluded that the rent escalation clause in question, passing along increases in operating expenses, expressly shifted P.A. Building Company's responsibility for asbestos abatement to the City of New York. (*Chemical Bank v Stahl*, 272 AD2d 1; *Wolf v 2539 Realty Assoc.*, 161 AD2d 11; *Arnot Realty Corp. v New York Tel. Co.*, 245 AD2d 780; *Linden Blvd. v Elota Realty Co.*, 196 AD2d 808, 82 NY2d 658; *Marine Midland Bank v 140 Broadway Co.*, 236 AD2d 232.) II. The Appellate Division erred in concluding that the City of New York had "waived" its argument respecting the trial court's calculation of interest. The trial court utilized incorrect trigger dates for the accrual of interest on the amounts awarded. (*Salamone v Wincaf Props.*, 9 AD3d 127; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *City of New York v State of New York*, 40 NY2d 659; *Grace Indus., Inc. v New York City Dept. of Transp.*, 22 AD3d 262; *Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256; *10 Park Sq. Assoc. v Travelers [Travelers Ins. Cos.]*, 288 AD2d 828; *Halsey v Connor*, 287 AD2d 597.)

Victor & Bernstein, P.C., New York City (*Donald M. Bernstein* of counsel), for respondent. I. The intent of the operating expense escalation clause is to require the tenant to share in the landlord's costs. (*Chemical Bank v Stahl*, 272 AD2d 1; *Wolf v 2539 Realty Assoc.*, 161 AD2d 11; *Arnot Realty Corp. v New York Tel. Co.*, 245 AD2d 780; *Linden Blvd. v Elota Realty Co.*, 196 AD2d 808, 82 NY2d 658, 842; *Credit Exch. v 461 Eighth Ave. Assoc.*, 69 NY2d 994; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *City of Hope v Fisk Bldg. Assoc.*, 63 AD2d 946; *Beacon Term. Corp. v Chemprene, Inc.*, 75 AD2d 350; *CBS Inc. v P.A. Bldg. Co.*, 200 AD2d 527; *J. Henry Schroder Bank & Trust Co. v South Ferry Bldg. Co.*, 99 AD2d 736.) II. The operating expense escalation provision does not exclude maintenance and repair costs associated with asbestos removal. (*Chemical Bank v Stahl*, 272 AD2d 1; *Wolf v 2539 Realty Assoc.*, 161 AD2d 11; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *239 E. 79th Owners Corp. v Lamb 79 & 2 Corp.*, 30 AD3d 167; *Matter of Bombay Realty Corp. v Magna Carta*, 100 NY2d 124.) III. The trial court and Appellate Division correctly ruled that interest runs from the date of the invoices. (*John J. Kassner & Co. v City of New York*, 46 NY2d 544; *City of New York v State of New York*, 40 NY2d 659; *Citibank, N.A. v 666 Fifth Ave. Ltd. Partnership*, 2 AD3d 331; *CBS Inc. v P.A. Bldg. Co.*, 200 AD2d 527; *Grace Indus., Inc. v New York City Dept. of Transp.*, 22 AD3d 262, 6 NY3d 703.)

OPINION OF THE COURT

READ, J.

In this protracted landlord-tenant dispute, we are asked to decide whether asbestos abatement costs incurred by the landlord were operating expenses under the terms of the relevant commercial leases. We conclude that they were not. As a result, the landlord improperly billed these costs to the tenant as additional rent under the leases' escalation clauses. Further, we conclude that interest on the award of additional rent due the landlord from the tenant for 1993 and 1994 should run from January 13, 1997, when the audit resisted by the landlord was finally commenced.

I.

From mid-1973 through early 1998, P.A. Building Company (PA) owned a 16-story commercial office building located at 111 Eighth Avenue in Manhattan.¹ Built in 1932, this 2.3-million-square-foot building occupies an entire city block, bounded by 8th and 9th Avenues, and West 15th and West 16th Streets. Between August 17, 1978 and November 15, 1994, PA leased space in the building to the City of New York pursuant to long-term leases executed in 1978 and 1980, which were amended several times during their terms to add space (collectively, the leases).

As relevant to this appeal, the leases obligated the City to pay PA monthly base rent and, as additional rent, a pro rata share of any increase in the building's annual operating expenses "as audited by the Comptroller" over those incurred in a specified base year. The leases defined "operating expenses" to include costs charged to PA "for services, materials and supplies furnished in connection with the operation, repair and maintenance of . . . the Building." In 1985—seven years after the initial lease was drafted and signed—New York City enacted Local Law No. 76 "to safeguard the public health by requiring that renovation or demolition projects which disturb asbestos be conducted in accordance with procedures established pursuant to [its] provisions" (Local Law No. 76 [1985] of City of NY § 1).

In June 1992, the City issued a request for proposals (RFP) "for the review and audit of additional rent payments made by City agencies . . . to private landlords pursuant to leases containing operating cost escalation clauses." In December

1. PA was a partnership between Sylvan Lawrence Company, Inc., which managed 111 Eighth Avenue, and Sylvan Lawrence's cofounder and chairman.

1992, the successful bidder entered into a contract with the City to perform the services sought by the RFP. Consequently, on July 30, 1993, the City informed PA that it “intend[ed] to exercise its right to audit” PA’s statements of operating costs for the years 1978 to 1993 to “verif[y] [its] escalations.”

On August 6, 1993, PA notified the City that it would not cooperate with the audit on the grounds that “the City [could] not suddenly seek a retroactive audit” and that “no audit by anyone other than the Comptroller’s office is ever authorized.” As a result, the City informed PA on August 30, 1993 that it would “withhold payment of all operating expense . . . escalations until [PA’s] consent [was] obtained to perform an audit and such audit [was] completed,” but that “[a]t the conclusion of the audit, all valid charges [would] be paid.”

In March 1994, PA sued the City for breach of contract to recover escalation charges withheld by the City for 1993 and 1994, and to block the audit. The City answered and counterclaimed for a declaration that it was entitled to an order directing PA to submit to an audit and also asking for judgment in an amount to be proven at trial, representing the rent overcharges that the City expected the audit to reveal. PA moved and the City cross-moved for summary judgment.

In a decision and order filed March 2, 1995, Supreme Court denied PA’s motion and granted the City’s cross motion for summary judgment, and also granted the City’s counterclaim to the extent of declaring that the City was “entitled to audit [PA’s] books through its agent” and directing PA “to submit to such audit.” Supreme Court reasoned that “because the Lease clauses establishing the City’s right to audit the escalation charges and the obligation to pay them are mutually dependent covenants, [PA’s] failure to allow the audit suspended the City’s obligation to pay those charges”; and declared that “[a]s a matter of law, the City has not breached its contracts with [PA] by withholding payment of the escalation charges.”

PA appealed, and the Appellate Division affirmed, observing that PA’s “refusal to submit to an audit by [the City’s agent], which impaired the City’s ability to protest overcharges, *cancelled the City’s obligation to make additional payments* for rent escalations” (*P.A. Bldg. Co. v City of New York*, 217 AD2d 417, 417-418 [1st Dept 1995], *lv denied* 86 NY2d 708 [1995] [internal quotation marks omitted and emphasis added]). As a result, “the City did not breach its contract with [PA], and [PA] must submit to an audit by the City’s agent” (*id.* at 418).

PA continued to fight a rearguard action against the audit (see *P.A. Bldg. Co. v City of New York*, 236 AD2d 275 [1st Dept 1997] [detailing PA's further objections and the resulting legal skirmishes]). PA's resistance, however, had given way to compliance by January 13, 1997, when the auditor began to review PA's books and records. The City presented PA with a draft audit report in May 1997. The final audit report, dated September 12, 1997, concluded that PA had overcharged the City almost \$1.2 million in escalation charges for operating expenses (out of about \$2.5 million billed) for the years 1988 through 1994. The City had paid PA at least \$1.7 million in escalation charges over the same time period. Thus the City claimed about \$448,000 in overcharges (the difference between the \$1.7 million actually paid and the \$1.3 million found to be allowable after audit).

By letter dated September 5, 1997, PA billed the City retroactively for roughly \$330,000 in additional operating expenses for the years 1988 through 1993. These charges were based on revised accounting statements issued in August 1997, which reclassified certain capital expenditures as operating expenses.² After the City refused to pay this invoice, PA brought an action in January 1998 to recover escalation charges for the years 1988 to 1994 (i.e., both the escalation charges withheld by the City beginning in the summer of 1993, pending completion of its audit, and those billed retroactively by PA), while the City answered and counterclaimed for overcharges.³ PA moved for summary judgment, and the City cross-moved for summary judgment dismissing the complaint and granting its counterclaim.

With respect to the counterclaim, the City contended that PA had improperly billed as operating expenses more than 20 separate categories of charges, including expenditures for asbestos abatement undertaken by PA. According to the final audit report, the "total charges disputed relating to this asbestos abatement project" amounted to roughly \$4.6 million over the period from 1988 to 1994. Further, "[t]he majority of" the work was carried out

2. Under the leases' terms, capital expenditures are generally excluded from operating expenses. An exception is made, however, for "replacements of building equipment and property" in need of repair, where the costs to repair are "such as to warrant, in Landlord's good judgment," replacement instead.

3. PA's 1994 and 1998 actions were subsequently consolidated under the index number for the 1994 action.

“to remove insulation throughout the building which contained asbestos (ACM).⁴ The project essentially had three distinct parts, generally performed by different vendors. First, a consultant was retained to monitor the asbestos project. Second, a firm was hired to actually remove and cart away the ACM, and in some cases, a third company was engaged to re-insulate the piping throughout the building.”

As Sylvan Lawrence’s director of operations and construction subsequently testified at his deposition, the asbestos removed at 111 Eighth Avenue “was largely pipe covering,” and “[a]lmost the entire building had pipe covering in the systems that existed in the building.” Further, asbestos-containing pipe covering was taken out “as tenants would vacate the space or in other instances where it was necessary to remove the asbestos in mechanical areas that people inhabited.” When asked if there was ever “any conversation of encapsulating the pipe insulation” in lieu of removing it, he replied “No, I don’t think there was—no.”

In a decision and order filed December 21, 2001, Supreme Court denied PA’s motion for summary judgment, and awarded summary judgment to the City to the extent of dismissing the complaint in its entirety, principally based on what it believed to be the law of the case “holding that the City did *not* breach its contract with plaintiff, as [PA]’s refusal to submit to the audit ‘cancel[le]d the City’s obligation to make additional payments for “rent escalations” ’ ” in 1993 and 1994 (quoting *P.A. Bldg. Co.*, 217 AD2d at 417-418).

Supreme Court also granted partial summary judgment on the City’s counterclaim for escalation overcharges to the extent of holding that the inclusion of the costs of asbestos abatement in rent escalation was improper; and directed a trial on the merits of the remaining claimed overcharges. The court considered the record sufficient to support summary judgment on asbestos abatement because it was the only category of allegedly improperly billed operating expenses raising only a legal issue, and therefore not requiring factual determinations after trial. The court concluded that “as a matter of law . . . the cost

4. “Asbestos containing material” or “ACM” is defined as “asbestos or any material containing more than one percent asbestos by weight” (*see* Administrative Code of City of NY § 1403.2-9.12 [a] [4], as added by Local Law No. 76 § 7 [now § 24-146.1 (a) (4)]).

of asbestos abatement [was] not [an] item of repair or maintenance within the meaning of the operating expense escalation clause.”

Upon PA’s subsequent appeal, the Appellate Division reversed Supreme Court’s judgment on the law and vacated it, concluding first that “[t]he motion court erred in dismissing, in its entirety, [PA’s] claim for payment of rent escalations on the basis of the law of the case doctrine” (*PA. Bldg. Co. v City of New York*, 305 AD2d 244, 245 [1st Dept 2003]). As the Court explained,

“a party’s failure to perform its obligation[] under a dependent covenant [here, PA’s obligation under the leases to permit the audit] results in the suspension of the complying party’s obligation to perform under the agreement [here, the City’s obligation under the leases to make escalation payments] until such time as the defaulting party complies [here, by consenting to the audit]. The complying party’s obligation is not completely nullified, but only exculpated presently . . . until such time as the noncomplying party complies” (*id.* at 245-246 [internal quotation marks and citation omitted]).

The Appellate Division also decided that Supreme Court had improperly “exclud[ed] the cost of asbestos abatement from [plaintiff’s] baseline operating expenses for purposes of calculating the rent escalations” because the leases “never excluded asbestos abatement costs or repair costs deemed extraordinary and structural, even after the asbestos problem became apparent. In fact, the rent escalation clause is a covenant to partially shift responsibility for asbestos abatement from the landlord to the tenant” (*id.* at 246 [internal quotations marks omitted]).

At the conclusion of a nonjury trial in December 2004, Supreme Court awarded PA \$473,408.73 for additional rent due for the years 1993 and 1994, plus interest from January 22, 1995 (apparently, the date these charges were billed), and \$244,977.22 for rent due under PA’s retroactive billing for the years 1988-1993, with interest calculated from September 5, 1997 (the date these charges were invoiced). In so doing, Supreme Court adopted the figures and dates advocated by PA’s lawyer in his closing argument. On February 16, 2005, final judgment was entered for PA and against the City in the amount of \$1,312,960.26.

The City appealed, contending that PA had improperly included the cost of asbestos abatement in calculating rent escalations, and that Supreme Court had chosen the wrong trigger dates for calculating interest on the awards. In a decision and order dated January 25, 2007, the Appellate Division affirmed in a memorandum, which stated in its entirety that

“[t]he issue of whether, under the governing leases, costs of asbestos removal at the demised premises may be passed by plaintiff landlord to defendant tenant, has been determined by this Court on a prior appeal, and we see no reason to revisit the issue, much less revise our determination. Defendant’s remaining argument respecting the trial court’s calculation of interest was waived” (*PA. Bldg. Co. v City of New York*, 36 AD3d 539 [1st Dept 2007] [citation omitted]).

[1, 3] The City subsequently moved for permission to appeal to us. We granted the motion, and now modify to the extent of holding that PA’s asbestos abatement costs for 1988 through 1994 were not operating expenses within the meaning of the leases; and that interest on the award for \$473,408.73 (1993 and 1994 escalation charges) should run from January 13, 1997, the date when the City’s audit began.

II.

A landlord’s obligations regarding maintenance and repair are governed by the maintenance provisions of the relevant building code—in this case, the Administrative Code of the City of New York (*see Wolf v 2539 Realty Assoc.*, 161 AD2d 11, 14 [1st Dept 1990]), section 27-128 of which provides that a building owner “shall be responsible at all times for the safe maintenance of a building and its facilities.” As the Appellate Division recognized in *Wolf*, covenants to keep leased premises in good order and repair do “not entail the assumption of any responsibility for an inherent characteristic of a material employed in the original construction of the premises by the owner or his [or her] agents in compliance with then-existing laws and regulations” (161 AD2d at 16). Thus, when interpreting such repair clauses, the lower courts have held

“that absent a lease covenant to the contrary, responsibility for Local Law No. 76 compliance is not shifted from the landlord to the tenant. [Where]

the lease, even as supplemented, does not *expressly shift* this particular financial burden to the tenant, even in the context that the tenant's exit work might cause or exacerbate an asbestos condition, the burden as between the parties does not rest on the tenant" (*Chemical Bank v Stahl*, 272 AD2d 1, 16 [1st Dept 2000] [citations omitted and emphasis added]; *see also Marine Midland Bank v 140 Broadway Co.*, 236 AD2d 232, 233 [1st Dept 1997]; *Linden Blvd. v Elota Realty Co.*, 196 AD2d 808, 810 [2d Dept 1993]).

The rent escalation clauses in the 1978 and 1980 leases are specifically intended to shift *some* responsibility for the costs of the building's operation, repair and maintenance from PA to the City. Indeed, we have previously recognized the risk-shifting nature of escalation clauses (*see Credit Exch. v 461 Eighth Ave. Assoc.*, 69 NY2d 994, 997 [1987] [tax escalation clause]; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211, 218 [1978] [wage rate escalation clause]). Here, both leases contain respective (and substantively identical, except for dates and numerical figures) provisions titled "ESCALATION" (article 24). Paragraph (b) of article 24 states as follows:

"(b) Tenant shall pay to Landlord, as further additional rent, [3% in 1978 lease, 2.34% in 1980 lease] of any increase in the operating expenses of the building as audited by the Comptroller of which the demised premises are a part in excess of such operating expenses for the [1978 or 1979] calendar year (the 'Base Year'); and in the event of a decrease in the aforesaid operating costs below such operating costs incurred during the Base Year, the Tenant shall receive [3% in 1978 lease, 2.34% in 1980 lease] of such decrease as a credit in rent.

"Operating Expenses are defined as follows:

"A. Items included in Operating Expenses.

"(1) Labor Costs (as hereinafter defined) for the services of . . . employees *performing services required in connection with the operation, repair and maintenance of the Building*[, including]: . . .

"(vi) carpenters, engineers, firemen, mechanics, electricians, and plumbers *engaged in the operation,*

repair and maintenance of any part of the Building, the plazas and sidewalks around the Building, and the heating, air conditioning, ventilating, plumbing, electrical and elevator systems of the Building . . .

“[(2)-(10) Numerous types of costs associated with *normal operation, maintenance and repair of the Building*];

“(11) All other incurred costs and charges *generally recognized as constituting Operating Expenses of a building and the land on which it is situated*” (emphases added).

These contractual provisions control, and thus our task is to determine whether asbestos abatement is the kind of financial risk that the lease expressly shifted from PA to the City. In short, is asbestos abatement an “Operating Expense[]” within the meaning of article 24?

[1] As the above-quoted passages illustrate, an expense generally qualifies as an operating expense if it relates to the “operation, repair and maintenance of any part of the Building” and/or was a “cost [or] charge[] *generally recognized as constituting [an] Operating Expense[] of a building and the land on which it is situated*” (emphasis added) when these leases were executed in 1978 and 1980. Indeed, escalation costs are defined as the difference between operating expenses for the lease year under consideration and those incurred in a specified base year—calendar year 1978 for the 1978 lease, and calendar year 1979 for the 1980 lease. Importantly, neither party argues that PA or the City contemplated asbestos abatement in drafting or subscribing to these leases; there is no allegation that asbestos abatement costs were included as operating expenses in the base years against which the City’s obligation for additional rent was measured. This is not surprising since the impetus for asbestos abatement—Local Law No. 76—was not enacted until 1985, and, in any event, covers “renovation or demolition projects,” not “operation, repair and maintenance.” Even assuming that PA undertook abatement to address an asbestos hazard on the premises, this was “not a condition in need of ‘repair’ in the normal sense of the word, meaning ‘fix’ or ‘mend.’ Corrective measures [were] not necessitated by any damage or wear which impair[ed] the effectiveness of the material” (*Wolf*, 161 AD2d at 15 [citation omitted]). In sum, asbestos

abatement costs are not operating expenses within the meaning of article 24 of the leases.⁵

III.

In closing arguments after trial, the City's lawyer took the position that interest on any award in favor of PA and against the City should only run from 1997 at the earliest "given [PA's] failure to comply with [the City's] requests to audit back in '93," and the courts' decisions holding that because "the City wasn't in breach in failing to pay the bills, any of its obligations were suspended." PA's lawyer countered that "\$244,977.22, we are seeking interest on that from the date of the retroactive billing, which is September 5, '97 . . . \$473,408.73, we seek interest from January 22nd, 1995," without spelling out why he chose the latter date.⁶ Supreme Court, in an oral decision, said that "for the reasons stated by [PA's counsel] in his final argument, the court is going to award judgment in the full amount as quoted on the record." The amounts and dates advocated by PA's lawyer were later set out in the final judgment.

[2] Without explanation, the Appellate Division decided that the City had "waived" any argument "respecting the trial court's calculation of interest" (*P.A. Bldg. Co.*, 36 AD3d 539 [2007]). In light of the above-quoted statements made by the City's attorney in closing arguments, we disagree.⁷ The City was not required, as PA urges (and evidently likewise contended at the Appellate Division), to make a post-trial motion aimed at persuading the trial judge to change her mind in order to preserve its challenge to the interest rate calculations.

[3] The dispositive wrinkle in this case was accurately pointed out by the City's trial lawyer: the City's obligation to pay the

5. While the dissent argues that we "overlook[] the main point of escalation clauses" (dissenting op at 443), the parties to this suit did not agree to, and we are not asked to pass upon, "escalation clauses" in general. At issue here is the particular escalation clause agreed to by PA and the City, and this clause was clearly limited in scope: only "*normal* operation, maintenance and repair" costs and "costs and charges *generally recognized* as constituting Operating Expenses" (emphasis added) were subject to escalation.

6. In its brief to us, PA merely indicates that the \$473,408.73 was "billed on" January 22, 1995. There are no invoices in the record dated January 22, 1995.

7. In its appeal to this Court, the City seeks to tie the running of interest on the additional rent retroactively billed by PA in 1997 to the date in 1999 when the Comptroller filed an audit in response to PA's notice of claim and at the behest of the City's Department of Law. This argument was never made to the trial court, and thus is unpreserved for our review.

escalation charges for 1993 and 1994 as additional rent was “suspended” by the lower courts until such time as PA cooperated with the requested audit: the lower courts specifically held that, until PA submitted to the audit, the City was not obligated to make these payments and, in the meantime, did not breach the leases by withholding the additional rent.⁸ The parties agree that the audit commenced on January 13, 1997. Thus, January 13, 1997 is the date on which interest on the award for the 1993 and 1994 escalation charges begins to run. This comports with CPLR 5001 (b), which commands that “[i]nterest shall be computed from the earliest ascertainable date *the cause of action* existed” (emphasis added).

Accordingly, the Appellate Division’s order should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

SMITH, J. (dissenting in part). I agree that the Appellate Division erred in its ruling on interest, but I think it decided the operating expenses issue correctly.

The lease requires the tenant, New York City, to pay its share of increases in “Operating Expenses,” defined in several clauses to include expenses for “operation, repair and maintenance” of the building. (These clauses are quoted in the Appendix to this opinion.) There is no exclusion for expenses that are extraordinary in nature or amount, or that were not or could not have been contemplated at the time of the lease. Contrary to the impression given by the majority opinion, the words “operation, repair and maintenance” are not qualified by the adjective “normal,” except in one clause of minor significance (*see* Appendix subparagraph [4]). I believe “operation, repair and maintenance,” read in context, includes the asbestos abatement at issue here.

It is immaterial, as the majority seems to recognize, that asbestos abatement is ordinarily a landlord, not a tenant, expense (*Wolf v 2539 Realty Assoc.*, 161 AD2d 11 [1st Dept 1990]). The very purpose of escalation clauses is to shift some landlord expenses to tenants, so that increases in these expen-

8. We do not mean to imply either approval or disapproval of the lower courts’ “suspension” approach; we merely recognize it as law of the case. We further note that earlier in this long-running litigation, PA itself apparently relied on the lower courts’ “suspension” holding to obtain dismissal of the City’s statute of limitations defense.

ses do not consume the landlord's profit (*see Credit Exch. v 461 Eighth Ave. Assoc.*, 69 NY2d 994, 997 [1987]). It is also immaterial, I think, that there were no asbestos abatement expenses "in the base years against which the City's obligation for additional rent was measured" (majority op at 440). The question is whether the "operation, repair and maintenance" expenses of the building increased—not whether the increase resulted from the addition of a new category of expenses or the enlargement of an old one.

The main ground for the majority's decision seems to be its view that the landlord's exposure to asbestos abatement expense was unforeseen, and perhaps unforeseeable, at the time the lease was entered into (*see* majority op at 440-441). But the majority overlooks the main point of escalation clauses: they are *supposed* to protect against unforeseen developments that make running a building more expensive—including regulatory changes. If a regulatory change had required the landlord to install window guards, or to pay higher wages, the increased cost would not, under this lease provision, have been borne by the landlord alone—and a regulatory change requiring asbestos abatement is not meaningfully distinguishable.

The lease excludes from its escalation clause certain costs "properly classified as capital expenditures," but the City does not argue that this exclusion applies here. Nor does the City seriously argue—and the record does not show—that the asbestos abatement expenses had the purpose or effect of enhancing the building's value; it is essentially undisputed that the landlord had to spend this money in order to continue operating the building. The Appellate Division was right to hold that the City should pay its share.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and PIGOTT concur with Judge READ; Judge SMITH dissents in part in a separate opinion in which Judge JONES concurs.

Order modified, etc.

Appendix to Dissenting Opinion

"A. Items included in Operating Expenses.

"(1) Labor Costs (as hereinafter defined) for the services of the following classes of employees performing services required in connection with the operation, repair and maintenance of the Building: . . .

“(2) the cost of materials and supplies used in the operation, repair and maintenance of the Building;

“(3) the cost of replacements for tools and equipment used in the operation, repair and maintenance of the Building;

“(4) the amounts paid to managing agents of the Building employed by Landlord (which shall be competitive with management fees customarily paid to managing agents of first class Manhattan office buildings) or for professional fees (other than legal) normally incurred from year to year in connection with the normal operation, maintenance and repair of the Building[;]

“(5) amounts charged to Landlord by contractors for services, materials and supplies furnished in connection with the operation, repair and maintenance of any part of the Building, the plazas and sidewalks adjoining the Building, and the heating, air conditioning, ventilating, plumbing, electrical, elevator and other systems of the Building.”

[889 NE2d 453, 859 NYS2d 576]

In the Matter of STEEL LOS III/GOYA FOODS, INC., Respondent, v
BOARD OF ASSESSORS OF COUNTY OF NASSAU et al., Appel-
lants. BETHPAGE UNION FREE SCHOOL DISTRICT, Intervenor-
Respondent.

BETHPAGE UNION FREE SCHOOL DISTRICT et al., Respondents, v
NASSAU COUNTY et al., Appellants, and GOYA FOODS, INC.,
Respondent.

In the Matter of PALL CORP., Petitioner, v BOARD OF ASSESSORS
OF COUNTY OF NASSAU et al., Appellants. PORT WASHINGTON
UNION FREE SCHOOL DISTRICT, Intervenor-Respondent.

Argued March 11, 2008; decided April 24, 2008

SUMMARY

APPEAL, in the first above-entitled matter, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 5, 2006 in consolidated proceedings pursuant to Real Property Tax Law article 7 and a related action. The Appellate Division affirmed so much of an order and judgment (one paper) of the Supreme Court, Nassau County (Stephen A. Bucaria, J.; op 8 Misc 3d 1010[A], 2005 NY Slip Op 51015[U]), as had (1) granted the motion of Bethpage Union Free School District for leave to intervene in the proceeding; (2) modified a prior order and judgment (one paper) of that Supreme Court (Frank S. Rossetti, J.) by adding a provision thereto directing Nassau County to remit to Bethpage Union Free School District the full amount of the petitioner's 2004/2005 school payments-in-lieu-of-taxes (PILOT) levy without any reduction for credits issued to the petitioner by Nassau County; (3) adjudged that Nassau County's obligation under Nassau County Administrative Code § 6-26.0 (b) (3) (c) applied to refunds of school PILOT payments and that any such refunds, whether in the form of a credit or cash payment, were a county charge; (4) enjoined Nassau County from applying the credits issued to Goya to reduce the amount of the 2004/2005 school tax PILOT payments from Nassau County to the District; and (5) directed Nassau County to remit to the Bethpage Union Free School District the full amount of Goya's 2004/2005 school PILOT levy plus interest from the date due, without any reduction in that amount for the credit issued to Goya.

APPEAL, in the second above-entitled matter, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 19, 2007 in a proceeding pursuant to Real Property Tax Law article 7. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Nassau County (Edward G. McCabe, J.; op 2004 NY Slip Op 30230[U]), as had denied the motion by the intervenor to permanently enjoin Pall Corp., the Board of Assessors of the County of Nassau and the Board of Assessment Review of the County of Nassau from enforcing the terms of an order and judgment (one paper) of that Supreme Court, entered September 9, 2002 in the proceeding; (2) granted the motion to the extent of directing that the Board of Assessors of the County of Nassau and the Board of Assessment Review of the County of Nassau remit to the intervenor the sum of \$430,656.42, representing the amount of the credit provided to Pall Corp. against its payment of the second half of the 2002/2003 school tax levy, and the sum of \$249,479.98, representing the amount of the credit provided to Pall Corp. against its payment of the first half of the 2003/2004 school tax levy; and (3) otherwise denied the motion.

Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau, 35 AD3d 482, affirmed.

Matter of Pall Corp. v Board of Assessors of County of Nassau, 41 AD3d 722, affirmed.

HEADNOTE

Taxation — Payment in Lieu of Taxes — “No Charge-back” Provision — County’s Responsibility for Deficits Resulting from Over-assessments

Nassau County Administrative Code § 6-26.0 (b) (3) (c), the “no charge-back” provision which makes deficits “by reason of . . . reductions of assessments . . . a county charge,” applied to “payments-in-lieu-of-taxes” (PILOT payments) made by entities that leased property from the tax-exempt Nassau County Industrial Development Agency in consideration for financing assistance. The “no charge-back” provision applied, notwithstanding that PILOT payments are contractual and not taxes, per se. The language of section 6-26.0 (b) (3) (c) specifically provides that the “no charge-back” provision is triggered in the case of erroneous assessments. Since an “assessment” includes “the valuation of exempt real property” regardless of whether the “property is subject to taxation” (RPTL 102 [2]), the “no charge-back” provision is applicable where exempt properties are involved, as in the context of a PILOT agreement. Further, it was the intention of the “no charge-back” provision that local districts be held harmless from the County’s own assessment mistakes even if the monies at issue arose out of contract. The County is responsible for refunding any overpaid taxes, and it would be anomalous to

treat deficits resulting from erroneous or illegal assessment-based PILOT payments differently.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 636, 706, 708.

McKINNEY's, RPTL 102 (2).

NY JUR 2d, Taxation and Assessment §§ 227, 235, 247, 641.

NEW YORK REAL PROPERTY SERVICE §§ 61:1, 61:3.5.

ANNOTATION REFERENCE

See ALR Index under Counties; Taxes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: charge-back & payment /3 lieu & assessment

POINTS OF COUNSEL

*Lorna B. Goodman, County Attorney, Mineola (Dennis J. Saf-
fran of counsel), for appellants in the first above-entitled mat-
ter. The Nassau County tax refund guarantee is not applicable
to payments in lieu of taxes. (Matter of Legum v Goldin, 55
NY2d 104; Fleming v Giuliani, 3 NY3d 544; Matter of Pyramid
Co. of Watertown v Tibbets, 76 NY2d 148; Wein v Beame, 43
NY2d 326; Lancaster Towers Assoc. v Assessor of Town of Lan-
caster, 259 AD2d 1001; Matter of Cerro v Washington County
Bd. of Supervisors, 247 AD2d 726; Matter of Pall Corp. v Board
of Assessors of County of Nassau, 41 AD3d 722; United States v
City of Columbia, Mo., 914 F2d 151.)*

*Jaspan Schlesinger Hoffman LLP, Garden City (Stanley A.
Camhi of counsel), for Bethpage Union Free School District,
intervenor-respondent and Bethpage Union Free School District
and others, respondents in the first above-entitled matter. I.
Payments in lieu of taxes refunds due as the result of a Nassau
County assessment error are a Nassau County charge. (Matter
of EFCO Prods. v Cullen, 161 AD2d 44; Matter of Legum v Gol-
din, 55 NY2d 104; Fleming v Giuliani, 3 NY3d 544; Lancaster
Towers Assoc. v Assessor of Town of Lancaster, 259 AD2d 1001;
Matter of Pyramid Co. of Watertown v Tibbets, 76 NY2d 148;
Matter of Cerro v Washington County Bd. of Supervisors, 247
AD2d 726.) II. The Bethpage Union Free School District will
suffer severe hardship if it is responsible for paying for Nassau
County's errors.*

Forchelli, Curto, Schwartz, Mineo, Carlino & Cohn, LLP, Mineola (*John V. Terrana* of counsel), for Steel Los III/Goya Foods, Inc., respondent in the first above-entitled matter. I. The payments in lieu of taxes credits granted to Goya Foods, Inc. in the November 10, 2003 order, confirmed in the June 13, 2005 order, unanimously affirmed by the Appellate Division, Second Department and not appealed from by any of the parties hereto, are not subject to review. (*Kelsey v Western*, 2 NY 500; *Jefferson County Natl. Bank v Dewey*, 197 NY 14; *Matter of de la Concha v Fordham Univ.*, 28 AD3d 963; *Wilson v Mechanical OrguINETTE Co.*, 170 NY 542; *Burns v Burns*, 190 NY 211; *Gilmour v Colcord*, 183 NY 342; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282.) II. If this Court holds that the issue of whether the Bethpage Union Free School District (District) should be allowed to intervene and obtain a vacatur of the judgment granting Goya Foods, Inc. its payments in lieu of taxes (PILOT) credits is subject to review, the Court should find that the District cannot intervene and the order granting Goya its PILOT credits should not be vacated. (*Quality Aggregates v Century Concrete Corp.*, 213 AD2d 919; *St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.*, 224 AD2d 1008; *Vantage Petroleum v Board of Assessment Review of Town of Babylon*, 91 AD2d 1037, 61 NY2d 695.) III. If this Court holds that the payments in lieu of taxes (PILOT) credits are a county charge, it should hold that the Bethpage Union Free School District (District) motion was improperly granted because the November 10, 2003 order did not reduce the amount of the PILOT payment to the District. (*Matter of Pall Corp. v Board of Assessors of County of Nassau*, 19 AD3d 699, 41 AD3d 722.)

Lorna B. Goodman, County Attorney, Mineola (*Dennis J. Saf-
fran* of counsel), for appellants in the second above-entitled matter. The Nassau County tax refund guarantee is not applicable to payments in lieu of taxes. (*Matter of Legum v Goldin*, 55 NY2d 104; *Fleming v Giuliani*, 3 NY3d 544; *Matter of Pyramid Co. of Watertown v Tibbets*, 76 NY2d 148; *Wein v Beame*, 43 NY2d 326; *Lancaster Towers Assoc. v Assessor of Town of Lancaster*, 259 AD2d 1001; *Matter of Cerro v Washington County Bd. of Supervisors*, 247 AD2d 726; *United States v City of Columbia, Mo.*, 914 F2d 151.)

Lamb & Barnosky, LLP, Melville (*Robert H. Cohen* and *Lilia Factor* of counsel), for intervenor-respondent in the second above-entitled matter. I. For purposes of reduced assessments

and refunds awarded within RPTL article 7 tax certiorari proceedings, there is no meaningful difference between taxes and payments in lieu of taxes. (*Matter of Bowery Sav. Bank v Board of Assessors of County of Nassau*, 80 NY2d 961; *Matter of EFCO Prods. v Cullen*, 161 AD2d 44; *Matter of 1 Toms Point Lane Corp. v Board of Assessors*, 239 AD2d 503; *Matter of Newbany Corp. v Board of Assessors*, 153 AD2d 696; *Vantage Petroleum v Board of Assessment Review of Town of Babylon*, 91 AD2d 1037, 61 NY2d 695.) II. A contract between two parties cannot impose enforceable obligations on a third-party beneficiary. (*Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *Subaru Distribs. Corp. v Subaru of Am., Inc.*, 425 F3d 119; *Bartsch v Bartsch*, 54 AD2d 940; *Black Car & Livery Ins., Inc. v H&W Brokerage, Inc.*, 28 AD3d 595; *Delta Elec. v Ingram & Greene*, 123 AD2d 369; *Vantage Petroleum v Board of Assessment Review of Town of Babylon*, 91 AD2d 1037, 61 NY2d 695; *Matter of Newbany Corp. v Board of Assessors*, 153 AD2d 696; *Matter of Long Is. Light. Co. v Assessor of Town of Huntington*, 251 AD2d 331; *Plantech Hous. v Conlan*, 74 AD2d 920.) III. Nassau County's claims of imminent fiscal collapse if its appeal is not successful are unsupported by the record, inadmissible and legally irrelevant. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.) IV. Public policy considerations require applying the no-charge-back provision to payments in lieu of taxes.

OPINION OF THE COURT

JONES, J.

These virtually identical appeals present the issue whether Nassau County Administrative Code (NCAC) § 6-26.0 (b) (3) (c) applies to so-called “payments-in-lieu-of-taxes” (PILOT payments), thus making deficits incurred by affected taxing jurisdictions resulting from property overassessments “a county charge.” We hold that it does.

In the late 1990s, the Nassau County Industrial Development Agency (IDA)¹ acquired a 16-acre parcel of property from a fledgling company. With the aid of IDA-issued bonds and other incentives, Steel Los III/Goya Foods, Inc. (Goya) purchased the parcel. Simultaneously, Goya reconveyed the property to the IDA in exchange for a leasehold interest—on which it constructed a

1. Creatures of state law, IDAs are public benefit corporations with broad powers to issue attractive financing, including tax-exempt bonds, in order to promote local economic development (*see* General Municipal Law § 858 *et seq.*; *see also* L 1969, ch 1030).

food processing facility.² Because the IDA's ownership rendered the property tax-exempt under article 18-A of the General Municipal Law (*see* § 874 [1])—and in consideration for financing assistance—the IDA and Goya entered into a corollary PILOT payment agreement,³ the annual amount of which to be determined by the County's assessments of the property.⁴ Under the PILOT agreement, Goya had the express right to commence a tax certiorari proceeding to challenge the County's assessments pursuant to article 7 of the Real Property Tax Law. If successful (i.e., the assessments were reduced), the agreement provided that Goya would receive a refund in the form of a credit against future PILOT payments.

Beginning in 1999, Goya commenced several tax certiorari proceedings, later consolidated, challenging the County's assessments. Pursuant to a so-ordered judgment reflecting the parties' stipulated settlement, in 2003 Supreme Court directed the County to credit Goya approximately \$700,000 in PILOT overpayments between 1999 and 2002, to be applied to future PILOT payment cycles to "affected taxing jurisdictions."⁵ Of this amount, \$454,628.20 represented proportional overpayments to the Bethpage Union Free School District. Meanwhile, *after* presentation of—and vote upon—the School District's budget for the 2004/2005 school year, and with the expectation that it would receive Goya's full PILOT payment, the School District received notice that its share of Goya's PILOT payments (\$504,154.19) would be reduced by Goya's credit.

2. Goya received bonds in the principal amount of \$9.5 million "to finance a portion of the costs of the acquisition, construction and equipping" of the facility.

3. General Municipal Law § 854 (17) defines PILOT payments as "any payment made to an agency, or affected tax jurisdiction equal to the amount, or a portion of, real property taxes, or other taxes, which would have been levied by or on behalf of an affected tax jurisdiction if the project was not tax exempt by reason of agency involvement."

4. The PILOT agreement provided, among other things, that "[a]s long as the [IDA] shall have title to, or any interest in, the Facility, [Goya] agrees to make payments in lieu of all real estate taxes and assessments . . . that would be levied upon or with respect to the Facility if the Facility were owned by [Goya] and not by the [IDA]." (*See* General Municipal Law § 854 [17]; § 858 [15].)

5. General Municipal Law § 854 (16) defines "affected tax jurisdiction" as "any municipality or school district, in which a project is located, which will fail to receive real property tax payments, or other tax payments which would otherwise be due, except for the tax exempt status of an agency involved in a project."

The School District subsequently intervened in the tax certiorari proceeding and successfully obtained relief declaring that NCAC § 6-26.0 (b) (3) (c) applied to PILOT payments (i.e., that any refund to which Goya was entitled was solely “a county charge” that could not be used to offset PILOT payments due the School District). Supreme Court so modified and otherwise confirmed the prior judgment. The Appellate Division affirmed (*see Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau*, 35 AD3d 482 [2d Dept 2006]).

In 1993, the same IDA took title to property owned by nonparty Pall Corp. in exchange for a return leasehold interest and approximately \$90 million in financing assistance. As with Goya, the IDA’s ownership rendered the property tax-exempt. Accordingly, the parties entered into a virtually identical PILOT agreement. After commencing a series of tax certiorari proceedings spanning the 1990 through 2000 tax years, these parties similarly entered a stipulated settlement, reduced to judgment in 2002, entitling Pall Corp. to a credit of approximately \$680,136.40 in overassessed PILOT payments proportionate to the Port Washington Union Free School District. As in *Goya Foods*, the School District learned of the judgment entitling Pall Corp. to the credit months after it approved its budget for the 2002/2003 school year. Thus, the School District faced a deficit of \$430,656.42 in the 2002/2003 tax year, the balance to be credited in the next payment cycle.

After procedural history not relevant to this appeal, Supreme Court granted the School District’s motion to intervene, but denied that part of the motion seeking to permanently enjoin enforcement of the settlement, concluding that NCAC § 6-26.0 (b) (3) (c) did not apply to the subject PILOT payments. On appeal, the School District relied on *Goya Foods* (35 AD3d 482 [2006]), in light of which the County did not oppose the appeal. The Appellate Division reversed Supreme Court’s order, in relevant part, and granted the motion to enjoin enforcement of the tax certiorari order to the extent of directing the County to remit to the School District over \$680,000, representing the total credit granted Pall Corp. The court held that because the NCAC’s “no charge-back” provision “requires [the] County to absorb the cost of any tax refund or credit” awarded in a tax certiorari proceeding, the PILOT agreement “improperly burdened [the School District] with a shortfall in its school budget” (*Matter of Pall Corp. v Board of Assessors of County of Nassau*, 41 AD3d 722, 723, 724 [2d Dept 2007]). This Court granted leave to appeal and we now affirm in each case.

These appeals hinge on the application of NCAC § 6-26.0 (b) (3) (c), which makes deficits “by reason of . . . reductions of assessments . . . a county charge.” This unique “no charge-back” provision has relevance and application only in Nassau County (*see* L 1948, ch 851, § 2).

In both appeals the County argues that NCAC § 6-26.0 (b) (3) (c) does not apply to PILOT payments because such monies are contractual, “rather than tax payments” and, consequently, a law governing tax revenue should not apply. The school districts, on the other hand, contend that the PILOT payments under these unique circumstances are subject to the “no charge-back” provision requiring that the County absorb, rather than shift, “the financial burden of its assessment errors” to them. Although the County is technically correct that the payments are contractual and not taxes, *per se*, that is not a relevant distinction under the circumstances and we hold, as the school districts contend, that the purpose of the NCAC and the financial arrangement struck between the County and the companies involved—all unquestionably for the benefit of the school districts, among others—compels the conclusion that the deficits in these cases are “a county charge.”

The County’s contention that the NCAC’s “no charge-back” provision does not apply because it only concerns *taxes* is misplaced. Section 6-26.0 (b) (3) (c) specifically provides that if

“[i]n the case of a reassessment and relevy of an erroneous assessment, tax or assessment for benefit, the amount of tax or assessment for benefit finally due is less than the amount of tax or assessment for benefit as shown on the roll . . . before such tax or assessment for benefit was found to be erroneous, then . . . any deficiency existing, or hereafter arising from a decrease in an assessment or tax . . . or by reason of exemption or reductions of assessments shall be a county charge” (emphasis added).

Plainly, the “no charge-back” provision is triggered in the case of erroneous *assessments* (*id.*; *see also* NCAC § 6-17.2; RPTL 704 [1]). Indeed, the parties’ PILOT agreements recognize this. In each, Goya and Pall Corp. had the express right to commence a proceeding to challenge the County’s *assessments* on their properties. Independently, article 7 confers upon “aggrieved” persons standing “to review an *assessment* of real property” (RPTL 704 [1]; 700 [1] [emphasis added]). A person is “aggrieved” when an assessment has “a direct adverse affect on

the challenger's pecuniary interests" (*Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128, 132 [1989]; see also *Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726, 727 [3d Dept 1985]). Clearly, since an "assessment" includes "the valuation of exempt real property" regardless of whether the "property is subject to taxation" (RPTL 102 [2]), it is simply a misreading of NCAC § 6-26.0 (b) (3) (c) to argue that the full force of its "no charge-back" provision is inapplicable where exempt properties are involved, i.e., in this case, in the context of a PILOT agreement (see *Matter of EFCO Prods. v Cullen*, 161 AD2d 44, 46 [2d Dept 1990]). "[I]t is of no material consequence that aggrievement as the result of an assessed valuation originated in contract" (*Big "V" Supermarkets*, 114 AD2d at 728). PILOT payments, an obvious liability for Goya and Pall Corp., have an unquestionably direct adverse impact on their pecuniary interests (see *Waldbaum*, 74 NY2d at 132). While the issue of either Goya or Pall Corp.'s standing to commence article 7 review is not now, nor has it ever been, disputed, an article 7 review of "assessments" highlights both what is truly at play in the NCAC's "no charge-back" provision and its direct applicability here.

A deeper inquiry into the "no charge-back" provision amply supports this conclusion. The NCAC was amended in 1948 to align the consequences of assessment errors or illegality with a shift in the responsibility for rendering such assessments. Prior to 1938, town boards of assessors were responsible for preparing the assessment rolls for taxation purposes within their respective towns for all school, fire and other districts (see Assembly Mem in Support, Bill Jacket, L 1948, ch 851, at 7). Under this arrangement, each town or city was charged with deficits to any such districts resulting from illegal or erroneous assessments on the ground that such deficits "could be attributed to [their respective] assessors as shown in the certificates of error issued by them" (*id.* at 8). There was "no provision as to the manner in which the excesses or deficiencies . . . [were] handled. By custom, however, [they were] placed in [a so-called] 'towns and cities' account and placed to the credit or debit of the respective towns and districts" (NY Dept of Audit and Control Letter in Support, Bill Jacket, L 1948, ch 98, at 6 [amending L 1936, ch 879, § 607]).

By 1938, however, the offices of town and city assessors were abolished and their powers transferred to the County Board of

Assessors. The sensible view—“in the best interests of the County” and the affected taxing jurisdictions—that any surplus or deficiencies arising from county assessments shall be credited or charged to it accompanied this shift in responsibility (*see* Nassau County Attorney Letter in Support, *id.* at 9). Thus, local districts were to be held harmless from the County’s own assessment mistakes, and a concomitant amendment to section 6-17.3 of the NCAC eliminated the need for districts to be notified of proceedings challenging assessments—precisely because they would not be made to suffer the loss of their expectancy interests by surrendering tax revenue in the form of refunds to properties they had no role in assessing (*see* Assembly Mem in Support, Bill Jacket, L 1948, ch 851, at 9-10).

In these cases, the payments made by Goya Foods and Pall Corp. are admittedly contractual (i.e., “payments-in-lieu-of-taxes”). As the school districts highlight, however, the essence of the PILOT payment agreements, and the rights and obligations of the County, the PILOT payers and the school districts—express third-party beneficiaries under each agreement and, indeed, by statute (*see* General Municipal Law § 858 [15]; § 874 [3], [4] [a]; [5], [6]; *see also* *Matter of Hudson Falls Cent. School Dist. v Saratoga County Indus. Dev. Agency*, 217 AD2d 330, 332 [3d Dept 1995], *affd for reasons stated below* 88 NY2d 1026 [1996])—compels us to conclude that the County is responsible for its erroneous assessments, even if the monies it is responsible for arise out of contract. The key is in the assessment.

In the typical assessment tax revenue situation in Nassau County, the “no charge-back” provision would apply in cases of erroneous assessments, and the County would be responsible for refunding the private company any overpaid taxes. As already noted, despite having received a sum certain in proportional tax revenue, local districts would not be required to refund any such monies, either positively or through credit (*see* NCAC § 6-26.0 [b] [3] [c]).

Under this scheme it would be anomalous indeed to treat deficits resulting from erroneous or illegal assessment-based PILOT payments differently. The legislative histories of both the NCAC and article 18-A of the General Municipal Law compel this conclusion. To reiterate, section 6-26.0 (b) (3) (c) expressly made such errors in assessments a county charge when the role of assessing properties was transferred from the local cities and towns to an efficient, centralized county unit. In accordance with this arrangement, school districts were rendered unneces-

sary parties to assessment review proceedings (*see* NCAC § 6-17.3; *see also* Assembly Mem in Support, Bill Jacket, L 1948, ch 851, at 9-10; *Matter of Long Is. Light. Co. v Assessor of Town of Huntington*, 251 AD2d 331 [2d Dept 1998]).

Moreover, it is plain from a review of article 18-A that the Legislature was concerned about the potential detriment that IDA involvement would have whenever they enter the mix (*see* Senate Mem in Support, Bill Jacket, L 1993, ch 356, at 23 [“enacting a list of reforms designed to increase IDAs accountability to sponsoring municipalities and the public”]). Admittedly, article 18-A authorizes, but does not require, IDAs to enter into PILOT agreements. Ostensibly, however, “the essential (although not exclusive) purpose for [PILOT payments] is to reimburse affected taxing authorities for revenue lost by virtue of” IDA involvement (*Hudson Falls Cent. School Dist.*, 217 AD2d at 332; *see also* General Municipal Law § 854 [16]). The local politics of IDA involvement and affected tax jurisdictions may be such that PILOT payments are virtually guaranteed. In any event, when such agreements do exist they must state “the amount due annually to each affected tax jurisdiction” or a formula for its calculation (General Municipal Law § 858 [15]). Further,

“[u]nless otherwise agreed by the affected tax jurisdictions, any such [PILOT] agreement shall provide that payments in lieu of taxes shall be allocated among affected tax jurisdictions in proportion to the amount of real property tax and other taxes which would have been received by each affected tax jurisdiction had the project not been tax exempt due to the status of the agency involved in the project. A copy of any such agreement shall be delivered to each affected tax jurisdiction within [15] days of signing the agreement” (*id.*).⁶

More fundamentally, it is apparent from the scheme of article 18-A that the Legislature deemed it wise to involve local districts to some meaningful extent to ensure that the impact of project developments would be measured. Therefore, the IDA must give

6. *See also* General Municipal Law § 874 (5) (imposing upon “project occupant[s]” or IDAs financial penalties for late PILOT remittances to affected taxing jurisdictions); § 874 (6) (right to commence action against project occupant or “any person, firm, corporation, organization or agency which is obligated to make payments in lieu of taxes under an agreement and has failed to do so”).

each affected tax jurisdiction notice of any proposed project (*see* § 859-a [3]). Additionally, section 874 requires IDAs to establish uniform tax exemption policies “with input from affected tax jurisdictions,” and promulgate guidelines, “which shall be applicable to the provision of financial assistance” to the private entities (§ 874 [4] [a]). This input includes the

“types of projects for which exemptions can be claimed; procedures for [PILOT payments] . . . [;] the extent to which a project will create or retain permanent, private sector jobs; . . . whether affected tax jurisdictions shall be reimbursed by the project occupant if a project does not fulfill the purposes for which an exemption was provided; . . . the demonstrated public support for the proposed project; . . . the extent to which the proposed project will require the provision of additional services, including, but not limited to additional educational, transportation, police, emergency medical or fire services; and the extent to which the proposed project will provide additional sources of revenue for municipalities and school districts” (*id.*).

In short, we conclude that the NCAC’s “no charge-back” provision applies to the subject PILOT payments.

Accordingly, in each case the Appellate Division order should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

In each case: Order affirmed, with costs.

[889 NE2d 459, 859 NYS2d 582]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANIEL SPARBER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT THOMAS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN LINGLE, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MANUEL RODRIGUEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY WARE, Appellant.

Argued March 12, 2008; decided April 29, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 9, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Herbert I. Altman, J.), which had convicted defendant, upon his plea of guilty, of assault in the first degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 7, 2006. The Appellate Division modified, on the law, judgments of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon his pleas of guilty, of attempted aggravated assault on a police officer, criminal sexual act in the second degree, use of a child in a sexual performance and promoting an obscene sexual performance by a child. The modification consisted of vacating the \$50 sex offender registration fee and the \$1,000 supplemental sex offender victim fee. The Appellate Division affirmed the judgments as modified.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 14, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles J. Tejada, J.), which had convicted defendant,

upon a jury verdict, of arson in the second degree and reckless endangerment in the first degree.

APPEAL, in the fourth above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 26, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Harold B. Beeler, J.), which had convicted defendant, upon a jury verdict, of gang assault in the first degree.

APPEAL, in the fifth above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 23, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (James G. Starkey, J.), which had convicted defendant, upon a jury verdict, of attempted assault in the first degree, attempted robbery in the first degree and criminal possession of a weapon in the second degree.

People v Sparber, 34 AD3d 265, modified.

People v Thomas, 35 AD3d 192, modified.

People v Lingle, 34 AD3d 287, modified.

People v Rodriguez, 33 AD3d 543, modified.

People v Ware, 36 AD3d 838, modified.

HEADNOTES

Crimes — Sentence — Postrelease Supervision — Failure of Court to Pronounce Term of Postrelease Supervision — Remittal for Resentencing

1. Defendants, whether they pleaded guilty or were sentenced following jury trial, were not entitled to be relieved of their statutory obligation to serve a term of postrelease supervision (PRS) (*see* Penal Law § 70.00 [6]; § 70.45 [1]) even though the sentencing courts failed to pronounce defendants' PRS terms as required by CPL 380.20 and 380.40. A court clerk's notation of the PRS term on a worksheet or a commitment sheet did not satisfy the statutory mandate, and judicial endorsement of the clerk's actions, through any method other than pronouncement in the defendant's presence, could not cure the sentencing courts' PRS errors. Expungement of any PRS obligation from defendants' sentences, whether the PRS term was to be set at the court's discretion or was mandatory, was not warranted as it would require the sanctioning of a sentence not contemplated by statute. At the time of each defendant's sentencing, Supreme Court clearly intended to impose a sentence in compliance with the provisions of Penal Law § 70.00 (6) and § 70.45 (1)—one that consisted of a determinate sentence and a period of PRS. The failure to pronounce the required sentence amounted only to a procedural error, and remittal for resentencing was the appropriate remedy.

Crimes — Sentence — Postrelease Supervision — Failure of Court to Pronounce Term of Postrelease Supervision — Remedy of Expungement Not Warranted

2. Defendants' argument that expungement of any term of postrelease supervision (PRS) from their sentences was the only proper remedy for the sentencing courts' failure to pronounce defendants' PRS terms as required by CPL 380.20 and 380.40, because the People failed to seek proper resentencing within one year from the date of their convictions and did not properly preserve their objection to defendants' expungement remedy before the trial court (*see* CPL 440.40 [1]), was rejected. Defendants could move "[a]t any time" for resentencing (CPL 440.20 [1]); their failure to exercise that right did not entitle them to the remedy requested here. Further, a court's authority to correct its own errors at resentencing is not subject to the one-year time limit imposed on the People by CPL 440.40 (1).

Appeal — Court of Appeals — Failure of Sentencing Court to Pronounce Term of Postrelease Supervision — Remittal for Resentencing

3. Where defendants claimed that expungement of any term of postrelease supervision (PRS) from their sentences was the only proper remedy for the sentencing courts' failure to pronounce defendants' PRS terms as required by CPL 380.20 and 380.40, the Court of Appeals was not precluded by CPL 450.90 from remitting for resentencing following the appellate courts' affirmance of defendants' convictions and sentences. Defendants' contention that the People, having prevailed below, were not entitled to that affirmative relief from the Court of Appeals, was rejected. Rather than affirmative relief to the People, the Court of Appeals was merely giving a more limited form of relief to defendants than they sought.

Appeal — Court of Appeals — Failure of Sentencing Court to Pronounce Term of Postrelease Supervision — Remittal for Resentencing

4. Upon determining that defendants' sentencing proceedings were procedurally flawed due to the sentencing courts' failure to pronounce defendants' terms of postrelease supervision, the Court of Appeals was not barred by CPL 470.35 (1) from considering whether resentencing was the appropriate remedy. When considering an Appellate Division order that affirms Supreme Court's sentence, the Court of Appeals may determine "any question of law involving alleged error or defect in the criminal court proceedings resulting in the original . . . sentence . . . regardless of whether such question was raised, considered or determined upon the appeal to the intermediate appellate court" (CPL 470.35 [1]). Because the original sentences here clearly "result[ed]" from the flawed sentencing proceedings, modification and remittal for resentencing was warranted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 203, 786; AM JUR 2d, Criminal Law §§ 925, 926.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3893, 172:3942, 172:4089–172:4091, 172:4138, 172:4214, 172:4215, 172:4220, 172:4480, 172:4490, 172:4492.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.3, 26.8, 27.4, 27.5.

McKINNEY'S, CPL 380.20, 380.40, 440.20 (1); 440.40 (1); 450.90, 470.35 (1); Penal Law § 70.00 (6); § 70.45 (1).

NY JUR 2d, Criminal Law §§ 2586, 2605, 2625, 2628, 2706, 3082, 3083, 3086, 3088, 3101, 3176, 3182, 3286, 3290, 3294, 3295.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*David J. Klem* and *Robert S. Dean* of counsel), for appellant in the first above-entitled action. The court clerk unconstitutionally and unlawfully added a period of postrelease supervision when the court pronounced no such term in open court during the sentencing proceeding. (*Hill v United States ex rel. Wampler*, 298 US 460; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *People v Selikoff*, 35 NY2d 227; *People v Farrar*, 52 NY2d 302; *People v Felix*, 58 NY2d 156; *People v Fuller*, 57 NY2d 152; *Williams v New York*, 337 US 241; *People v Williams*, 87 NY2d 1014; *People v Craig*, 295 NY 116; *People v Parker*, 57 NY2d 136.)

Robert M. Morgenthau, District Attorney, New York City (*David M. Cohn* and *Mark Dwyer* of counsel), for respondent in the first above-entitled action. Defendant's mandatory term of post-release supervision is enforceable and was properly imposed. (*People v Catu*, 4 NY3d 242; *People v Hill*, 9 NY3d 189; *Earley v Murray*, 451 F3d 71; *Hill v United States ex rel. Wampler*, 298 US 460; *People v DeValle*, 94 NY2d 870; *People v Williams*, 87 NY2d 1014; *People v David*, 102 AD2d 551, 65 NY2d 809; *People v Thomas*, 75 NY2d 888; *People v Green*, 54 NY2d 878; *People v Rodriguez*, 261 AD2d 331.)

Center for Appellate Litigation, New York City (*Robert S. Dean* of counsel), for appellant in the second above-entitled action. I. The court clerk unconstitutionally and unlawfully added a period of postrelease supervision when the court pronounced no

such term in open court during the sentencing proceeding. (*Hill v United States ex rel. Wampler*, 298 US 460; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *People v Selikoff*, 35 NY2d 227; *People v Farrar*, 52 NY2d 302; *People v Felix*, 58 NY2d 156; *People v Fuller*, 57 NY2d 152; *Williams v New York*, 337 US 241; *People v Williams*, 87 NY2d 1014; *People v Craig*, 295 NY 116; *People v Parker*, 57 NY2d 136.) II. The clerk’s unlawful addition of post-release supervision, “being void and not merely irregular,” is a “nullity” and may be raised on appeal despite an appeal waiver, and is similarly preserved despite the lack of objection. (*Hill v United States ex rel. Wampler*, 298 US 460, 465 [1936]; *People v Samms*, 95 NY2d 52 [2000].) (*People v Lopez*, 6 NY3d 248; *People v Callahan*, 80 NY2d 273; *People v Seaberg*, 74 NY2d 1; *People v Fuller*, 57 NY2d 152; *People v Nieves*, 2 NY3d 310; *People v Letterlough*, 86 NY2d 259; *People v Louree*, 8 NY3d 541; *People v Laureano*, 87 NY2d 640; *People v Lopez*, 28 NY2d 148; *People v Dekle*, 56 NY2d 835.)

Robert M. Morgenthau, District Attorney, New York City (*Vincent Rivellese* and *Mark Dwyer* of counsel), for respondent in the second above-entitled action. Defendant expressly bargained for a sentence promise that included postrelease supervision, waived his right to appeal, and asked that the promise be kept, thus barring any challenge to the procedure by which he received the promised sentence. In any event, the court properly imposed the sentence. (*People v Seaberg*, 74 NY2d 1; *People v Prescott*, 66 NY2d 216, 475 US 1150; *People v Francabandera*, 33 NY2d 429; *People v Lopez*, 6 NY3d 248; *People v Callahan*, 80 NY2d 273; *People v Nieves*, 2 NY3d 310; *People v Rosen*, 96 NY2d 329, 534 US 899; *People v Samms*, 95 NY2d 52; *People v Proctor*, 79 NY2d 992; *People v Mower*, 97 NY2d 239.)

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant in the third above-entitled action. I. The court erred in refusing to charge third degree arson as a lesser included offense of second degree arson, where a reasonable view of the evidence supported that John Lingle did not know the church was occupied and could reasonably have believed it was unoccupied. (*People v Leon*, 7 NY3d 109; *People v Glover*, 57 NY2d 61; *Hopper v Evans*, 456 US 605; *People v Johnson*, 45 NY2d 546; *People v Scarborough*, 49 NY2d 364; *People v Henderson*, 41 NY2d 233; *People v Van Norstrand*, 85 NY2d 131; *People v Mussenden*, 308 NY 558; *People v Negrón*, 91 NY2d 788.) II. The court clerk unconstitutionally and unlawfully added a period of postrelease supervision when the

court pronounced no such term in open court during the sentencing proceeding. (*Hill v United States ex rel. Wampler*, 298 US 460; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *People v Selikoff*, 35 NY2d 227; *People v Farrar*, 52 NY2d 302; *People v Felix*, 58 NY2d 156; *People v Fuller*, 57 NY2d 152; *Williams v New York*, 337 US 241; *People v Williams*, 87 NY2d 1014; *People v Craig*, 295 NY 116; *People v Parker*, 57 NY2d 136.)

Robert M. Morgenthau, District Attorney, New York City (*Vincent Rivellese* and *Mark Dwyer* of counsel), for respondent in the third above-entitled action. I. The court properly imposed defendant's sentence. (*People v Catu*, 4 NY3d 242; *People v Hill*, 9 NY3d 189; *Earley v Murray*, 451 F3d 71; *Hill v United States ex rel. Wampler*, 298 US 460; *People v DeValle*, 94 NY2d 870; *People v Williams*, 87 NY2d 1014; *People v David*, 65 NY2d 809; *United States v Cofield*, 233 F3d 405, 532 US 952; *United States v Truscello*, 168 F3d 61, *cert denied sub nom. Crea v United States*, 528 US 933; *United States v Pagan*, 785 F2d 378, 479 US 1017.) II. Overwhelming evidence proved that defendant committed second degree arson by setting fire to a church and its rectory while priests slept inside. There was no reasonable view of the evidence that he committed third degree arson without concomitantly committing the greater crime. (*People v Kello*, 96 NY2d 740; *People v Angelo*, 88 NY2d 217; *People v Glover*, 57 NY2d 61; *People v Scarborough*, 49 NY2d 364; *People v Blim*, 63 NY2d 718; *People v Mauricio*, 215 AD2d 326; *People v Henderson*, 41 NY2d 233; *People v Mongen*, 157 AD2d 82; *People v Negron*, 91 NY2d 788; *People v Liner*, 262 AD2d 250.)

Center for Appellate Litigation, New York City (*Claudia S. Trupp* and *Robert S. Dean* of counsel), for appellant in the fourth above-entitled action. I. The trial court erred in refusing to submit the lesser included offense of third-degree assault to the jury where there was a reasonable view of the evidence that appellant intended to cause only physical injury, not serious physical injury. (*People v Glover*, 57 NY2d 61; *Hopper v Evans*, 456 US 605; *People v Johnson*, 45 NY2d 546; *People v Henderson*, 41 NY2d 233; *People v Van Norstrand*, 85 NY2d 131; *People v Rodriguez*, 33 AD3d 543; *People v Battle*, 22 NY2d 323; *People v Lindsey*, 12 NY2d 421; *People v Singleton*, 27 NY2d 496; *People v Moultrie*, 5 AD3d 241.) II. The court clerk unconstitutionally and unlawfully added a five-year period of postrelease supervision, the maximum permissible for a first offender, when the court pronounced no such term in open court during the sentencing proceeding. (*Hill v United States ex rel. Wampler*,

298 US 460; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *People v Selikoff*, 35 NY2d 227; *People v Farrar*, 52 NY2d 302; *People v Felix*, 58 NY2d 156; *People v Fuller*, 57 NY2d 152; *Williams v New York*, 337 US 241; *People v Williams*, 87 NY2d 1014; *People v Craig*, 295 NY 116; *People v Parker*, 57 NY2d 136.)

Robert M. Morgenthau, District Attorney, New York City (*Susan Axelrod* and *Mark Dwyer* of counsel), for respondent in the fourth above-entitled action. I. The trial court properly denied defendant's request that it charge assault in the third degree as a lesser included offense of gang assault. (*People v Glover*, 57 NY2d 61; *People v Van Norstrand*, 85 NY2d 131; *People v Scarborough*, 49 NY2d 364; *People v Blim*, 63 NY2d 718; *People v Monroe*, 212 AD2d 374; *Hopper v Evans*, 456 US 605; *People v Green*, 56 NY2d 427; *People v Crawford*, 231 AD2d 431.) II. The trial court properly imposed a five-year period of postrelease supervision on defendant as part of his sentence. Moreover, defendant is not entitled to have that portion of his sentence nullified. (*United States v Jacques*, 321 F3d 255; *People v Outley*, 80 NY2d 702; *People v Hansen*, 99 NY2d 339; *People v Kinchen*, 34 NY2d 13; *United States v Bigelow*, 462 F3d 378; *United States v Villano*, 816 F2d 1448; *United States v Pugliese*, 860 F2d 25; *United States v Pagan*, 785 F2d 378; *People v Catu*, 4 NY3d 242; *People v Fuller*, 57 NY2d 152.)

Appellate Advocates, New York City (*William G. Kastin* and *Lynn W.L. Fahey* of counsel), for appellant in the fifth above-entitled action. The court should reject the People's request to remand appellant's case for resentencing because (a) the People were not aggrieved by the Appellate Division's order and, therefore, they may not request affirmative relief from this Court; (b) the trial court lacks jurisdiction to increase appellant's sentence now, nearly four years after it was imposed; and (c) a resentencing would violate appellant's due process and double jeopardy rights. (*People v Bautista*, 7 NY3d 838; *People v Edwards*, 96 NY2d 445; *People v Bryce*, 92 NY2d 1024; *People v Zerillo*, 200 NY 443; *People v De Jesus*, 54 NY2d 447; *People v Fediuk*, 66 NY2d 881; *People v Conlon*, 46 NY2d 1059; *People v Bryant*, 44 NY2d 790; *People v Shukla*, 44 NY2d 756; *People v Jackson*, 80 NY2d 112.)

Charles J. Hynes, District Attorney, Brooklyn (*Leonard Joblove* of counsel), for respondent in the fifth above-entitled action. I. The People are not disputing defendant's contention that his sentence does not include postrelease supervision.

(*People v Louree*, 8 NY3d 541; *People v Catu*, 4 NY3d 242; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *People v Martinez*, 40 AD3d 1012; *People v Collier*, 9 NY3d 908; *People v Salaam*, 9 NY3d 911; *People v Van Deusen*, 7 NY3d 744; *People v Sparber*, 34 AD3d 265, 9 NY3d 882; *People ex rel. Joyner v New York State Div. of Parole*, 15 Misc 3d 1133[A], 2007 NY Slip Op 50961[U]; *People v Royster*, 40 AD3d 885.) II. The trial court has the authority to resentence defendant so that the court may specify explicitly a period of postrelease supervision. (*People v Richardson*, 100 NY2d 847; *People v DeValle*, 94 NY2d 870; *People v Wright*, 56 NY2d 613; *People v Catu*, 4 NY3d 242; *People v Hollis*, 309 AD2d 764; *People v Rodriguez*, 15 Misc 3d 1114[A], 2007 NY Slip Op 50640[U]; *Matter of Deal v Goord*, 8 AD3d 769; *People v Crump*, 302 AD2d 901; *People v Moss*, 234 AD2d 610; *People v Rivera*, 1 AD3d 385.)

Kaye Scholer LLP, New York City (*David Klingsberg* and *Max Schwartz* of counsel), and *Legal Aid Society, Criminal Practice Division* (*Steven Banks*, *Seymour James* and *Andrew Fine* of counsel), for Legal Aid Society, amicus curiae in the five above-entitled actions. I. A term of postrelease supervision is unconstitutional and void unless pronounced by the judge at a sentencing proceeding at which defendant and counsel are present. (*Earley v Murray*, 451 F3d 71; *Hill v United States ex rel. Wampler*, 298 US 460; *People v Catu*, 4 NY3d 242; *United States v Villano*, 816 F2d 1448; *United States v Schultz*, 855 F2d 1217; *Johnson v Mabry*, 602 F2d 167; *United States v Grene*, 455 F2d 376; *People v Felix*, 58 NY2d 156; *People v Fuller*, 57 NY2d 152; *People v Farrar*, 52 NY2d 302.) II. This Court should resolve any conflicts or ambiguities among the appellate departments, which have reached conflicting conclusions regarding the validity of postrelease supervision imposed other than by a judge at a sentencing proceeding. (*People v Duncan*, 42 AD3d 470; *Earley v Murray*, 451 F3d 71; *Matter of Garner v New York State Dept. of Correctional Servs.*, 39 AD3d 1019; *People v White*, 296 AD2d 867; *People v DePugh*, 16 AD3d 1083; *Matter of Deal v Goord*, 8 AD3d 769, 3 NY3d 737, 4 NY3d 795; *People v Figueroa*, 45 AD3d 297; *Hill v United States ex rel. Wampler*, 298 US 460; *People v Hill*, 39 AD3d 1; *Mempa v Rhay*, 389 US 128.)

OPINION OF THE COURT

CIPARICK, J.

In these five appeals, we are asked to consider whether defendants are entitled to be relieved of their statutory obliga-

tion to serve a term of postrelease supervision (PRS) because sentencing courts failed to pronounce their PRS terms in accordance with Criminal Procedure Law §§ 380.20 and 380.40. We conclude that the procedure through which PRS was imposed upon these defendants was flawed as it did not comply with the statutory mandate. To remedy this error, rather than striking PRS from the sentences as urged by defendants, these matters must be remitted to Supreme Court for resentencing and the proper judicial pronouncement of the relevant PRS terms.

I.

The present appeals are separated into two broad groups: (A) those where PRS sentences were imposed pursuant to plea bargains (defendants Sparber and Thomas) and (B) those where such sentences were imposed following jury trials (defendants Lingle, Rodriguez, and Ware). We begin with the plea cases.

A. The Plea Cases

(1) *People v Sparber*

On January 17, 2002, defendant Sparber pleaded guilty to first degree assault in exchange for a negotiated prison term of 15 years. That same day, Supreme Court also adjudicated him a second violent felony offender, based upon a 1995 conviction for weapons possession. On April 11, defendant appeared for sentencing. As a consequence of his plea and status as a second violent felon, Penal Law § 70.00 (6) and § 70.45 (1) and (2) required defendant to serve a mandatory five-year PRS term. But at sentencing, Supreme Court did not mention the PRS term and instead pronounced a sentence of “a determinate term of . . . 15 years.” The part clerk’s entries on a court worksheet, which the judge initialed, also failed to indicate any PRS sentence.¹ The clerk-prepared commitment sheet—which reflects a defendant’s commitment to the custody of the Department of Correctional Services (DOCS), the crime committed, Penal Law section violated and the sentence imposed—noted, however, in its “remarks” section, that defendant was required to serve a five-year PRS term.

1. Court worksheets provide a convenient way to record the progress of proceedings. They include lined spaces to record a defendant’s plea, counsel of record, sentence and notice of appellate rights, as well as other pertinent matters. But worksheets are not statutorily required. Nor are they uniform throughout the state. In addition, it is undisputed that defendants are ordinarily not present during the preparation of the worksheet. Such sheets do, however, constitute part of the court records that a defendant is entitled to receive prior to perfecting an appeal.

On appeal, defendant Sparber argued that the PRS term should be stricken from his sentence and deemed a nullity because “it was not part of the sentence that the court pronounced orally, in his presence in open court” (34 AD3d 265, 265 [1st Dept 2006]). Defendant’s arguments were predicated upon CPL 440.40 (1), which permits the People to move to correct an illegal sentence within one year of its imposition, and the United States Court of Appeals for the Second Circuit’s decision in *Earley v Murray* (451 F3d 71 [2d Cir 2006]), which held that DOCS’s administrative addition of a PRS term not pronounced by Supreme Court violated federal “due process guarantees” (*id.* at 76 n 1) and should therefore be excised from the petitioner’s sentence on a motion for a writ of habeas corpus.² Defendant acknowledged that, under our decisions in *People v Catu* (4 NY3d 242 [2005]) and its progeny, the failure to inform him of the PRS term would permit vacatur of his plea. But he expressly disavowed that remedy (*see* 34 AD3d at 265).³

The Appellate Division rejected defendant’s arguments and affirmed his conviction and sentence. It held that because the directive of Penal Law § 70.45 (1) is mandatory, the oral sentence, which was silent as to PRS, carried with it a five-year PRS term by operation of law. Relying on the United States Supreme Court’s decision in *Hill v United States ex rel. Wampler* (298 US 460 [1936]), the Appellate Division also concluded that defendant’s constitutional argument failed because the clerk’s entry of the PRS term on the commitment sheet satisfied any due process requirement that a sentence be “entered upon the records of the court” (34 AD3d at 266). In so holding, the court deemed the imposition of a mandatory PRS term a “ministerial function” (*id.*). A Judge of this Court granted leave to appeal and we now modify and remit to Supreme Court for a resentencing hearing at which the PRS term will be orally pronounced.

2. In reaching this conclusion, the Second Circuit noted expressly that its ruling was “not intended to preclude the state from moving in the New York courts to modify Earley’s sentence to include the mandatory PRS term” (*Earley*, 451 F3d at 77; *see also Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358, 363 n 4 [2008].)

3. This remedy, however, would not be available to defendant Thomas. As we subsequently discuss, defendant Thomas was advised, during his plea colloquy, that his conviction carried with it a mandatory PRS term. Thus, he was not entitled to vacatur under the *Catu* line of cases because his decision to plead guilty was made with full knowledge of the consequential PRS term (*see People v Hill*, 9 NY3d 189, 192 [2007]).

(2) *People v Thomas*

In defendant Thomas’s case, the sentencing court also failed to mention PRS when sentencing him as a second violent felon to an aggregate 15-year prison term for various felony counts related to his commission of attempted aggravated assault on a police officer and sex crimes involving a minor. As in *Sparber*, the commitment sheet noted a five-year PRS term. In addition, PRS was noted on the worksheet signed by the judge. Unlike Sparber, however, Thomas was aware that his conviction would carry a mandatory five-year PRS term. That is because Supreme Court informed him of that consequence during his plea allocation, stating that “the determinate sentence you have requires . . . post-release supervision for five years.” During this plea colloquy, defendant also waived his right to appeal his conviction. But that waiver expressly reserved his right to “challenge . . . the legality of the sentence promised by the judge.”

The Appellate Division affirmed the conviction and sentence (35 AD3d 192, 192-193 [1st Dept 2006]). With respect to defendant’s statutory and constitutional challenges to the imposition of PRS, the court rejected his arguments for the reasons stated in its earlier decision in *People v Sparber* (*id.* at 193, citing 34 AD3d 265 [1st Dept 2006]). A Judge of this Court granted leave to appeal and we now modify and remit to Supreme Court for appropriate resentencing.

B. The Jury Trial Cases

(1) *People v Lingle*

On April 21, 2004, a jury convicted defendant Lingle of second degree arson and first degree reckless endangerment. He was sentenced as a second felony offender to a 14-year determinate sentence on the arson count and a concurrent indeterminate sentence of 3½ to 7 years on the reckless endangerment count. In pronouncing these sentences, the court failed to mention a mandatory five-year PRS term. Instead, the PRS term was reflected in the court worksheet, which the judge signed. That term was also noted in the commitment sheet prepared by the court clerk and signed by the judge.

Defendant’s appellate arguments seeking the elimination of the PRS term from his sentence were rejected for the same reasons stated in *Sparber* and *Thomas*—PRS was included in the pronounced sentence by operation of law and the notation of the PRS term on the worksheet and commitment sheet

comported with *Hill*'s rule that "every portion of a sentence be 'entered upon the records of the court' " (see 34 AD3d 287, 289 [1st Dept 2006], quoting *Hill*, 298 US at 464, and citing *Earley*, 451 F3d at 75-76). A Judge of this Court granted leave to appeal and we now modify and remit to Supreme Court for appropriate resentencing.

(2) *People v Rodriguez*

Following trial, defendant Rodriguez was convicted of first degree gang assault. At his September 19, 2002 sentencing, Supreme Court imposed the maximum term of 25 years. Because defendant was a first-time violent felony offender, the court was also required to impose a PRS term that, in its discretion, could range from 2½ to 5 years (see Penal Law § 70.45 [2] [f]), but failed to do so. Rather, the only indication in the court's records as to PRS appeared in the worksheet, which the judge initialed, and on the commitment sheet, which the part clerk prepared. Both reflect the imposition of the maximum, five-year, PRS term.

Defendant's conviction and sentence were affirmed on appeal (33 AD3d 543, 543 [2006]). A Judge of this Court granted leave to appeal and we now modify and remit to Supreme Court for appropriate resentencing.

(3) *People v Ware*

Defendant Ware was convicted of first degree attempted robbery, first degree attempted assault and second degree criminal possession of a weapon. For those convictions, he was sentenced to a concurrent determinate term of 14 years' imprisonment on each count. Because defendant was a second violent felony offender, the PRS term was a mandatory five years. It was not mentioned at sentencing, but it appears on the commitment sheet and on a "file jacket," which is similar to a court worksheet. Both of these documents were signed by the court clerk and not otherwise endorsed by the sentencing judge.

The Appellate Division affirmed the conviction and sentence (36 AD3d 838, 838 [2d Dept 2007]). A Judge of this Court granted leave to appeal and we now modify and remit to Supreme Court for appropriate resentencing.

II.

In each of these cases, defendants committed a violent felony. The Legislature has mandated that a sentence imposed upon a violent felon (other than a persistent violent felon) "shall

include, as a part thereof, a period of post-release supervision” (see Penal Law § 70.00 [6]; § 70.45 [1]). The purpose is to ensure that such offenders are appropriately monitored upon their reintroduction into society (see Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 70.45, at 396 [2004 ed]). In keeping with this legislative purpose, we have repeatedly affirmed that a PRS term is a “direct consequence” of pleading guilty to a violent felony offense and that a trial court must therefore advise a defendant of that “mandatory” result during the plea colloquy (see *People v Catu*, 4 NY3d 242, 244 [2005]; *People v Van Deusen*, 7 NY3d 744, 746 [2006]; *People v Louree*, 8 NY3d 541, 545 [2007]; *People v Hill*, 9 NY3d 189, 191 [2007]). When a court fails to so advise a defendant, the proper remedy is vacatur of the plea (see e.g. *Catu*, 4 NY3d at 244), relief that, although available to one of these defendants—defendant Sparber—has been expressly disavowed by him.

[1] Defendants contend that the sentencing courts’ failure to orally pronounce their PRS terms at sentencing entitles them to expungement of any PRS obligation from their sentences. But as the People contend, that proposed remedy would require us to sanction a sentence not contemplated by the statute. Furthermore, the People argue that striking the PRS terms would leave defendants with a windfall that greatly exceeds any harm that they have purportedly suffered. We agree with the People. The sentencing courts did err here, but that error can be remedied through resentencing. Nothing more is required.

The combined command of Penal Law § 70.00 (6) and § 70.45 (1) is clear. Each of these defendants’ sentences must include some period of PRS. Sections 70.00 (6) and 70.45 (1) are, however, silent with respect to how that mandatory PRS term is to be imposed. But that procedure is equally clear. CPL 380.20 and 380.40 (1) collectively require that courts “must pronounce sentence in every case where a conviction is entered” and that—subject to limited exceptions not relevant here—“[t]he defendant must be personally present at the time sentence is pronounced.” These commands are unyielding (cf. *Matter of Hogan v Bohan*, 305 NY 110, 112 [1953] [“The plan is unmistakable; the court is afforded time to reach decision and pronounce judgment . . . But pronounce judgment, impose sentence, it must” (citations omitted)]). Importantly, no statutory exemptions exist for PRS sentences, which, of course, constitute an additional punishment component (see *Catu*, 4 NY3d at 245 [detailing restrictions accompanying PRS term]). Thus, the pro-

cedure by which these sentences were imposed was flawed because the PRS component was not “pronounced” as required by CPL 380.20 and 380.40.

The People argue that a part clerk’s preparation and execution of a commitment sheet, bearing a judge’s name, constitutes a proper sentencing pronouncement.⁴ Our precedents, however, have emphasized that sentencing is a uniquely judicial responsibility (*see People v Selikoff*, 35 NY2d 227, 240-241 [1974] [“(s)entence is primarily a judicial responsibility”]; *People v Fuller*, 57 NY2d 152, 158-159 [1982] [“the court . . . alone must impose the sentence”]; *People v Farrar*, 52 NY2d 302, 306 [1981] [“the sentencing function rests primarily with the Judge, whose ultimate obligation is to impose an appropriate sentence”]). This practice promotes transparency and provides the defendant with a prompt and definitive statement regarding the consequences of his or her guilty plea or conviction. As a result, it greatly facilitates a defendant’s knowledge of his or her obligation to society, a defendant’s decision as to whether to pursue an appeal and the public’s understanding of the sentencing process.

These concerns are particularly acute where, as in the case of defendant Rodriguez, the PRS term may vary and must be set at the court’s discretion (*see e.g.* Penal Law § 70.45 [2] [b]-[f]). And, even in cases with mandatory PRS terms, the defendant still has a statutory right to hear the court’s pronouncement as to what the entire sentence encompasses, directly from the court. CPL 380.20 and 380.40 reflect the view that sentencing is a critical stage of criminal proceedings (*see People v Harris*, 79 NY2d 909, 910 [1992]; *People v Stroman*, 36 NY2d 939, 940 [1975]) that is of “monumental significance because it determines the price society will exact for the particular transgressions involved” (*People v Perry*, 36 NY2d 114, 119 [1975]). Because that is so, a clerk’s notations on a worksheet or a commitment sheet, which are presumably recorded outside of the defendant’s presence, do not satisfy the statutory mandate (*see Matter of Hogan*, 305 NY at 112-113 [court lacked authority to defer sentencing in contravention of statutory sentencing scheme because “once the legislature has spoken, neither court nor judge may modify or change its pronouncement”]).

4. This is the position of the New York County District Attorney; it is not advanced by the Kings County District Attorney.

Moreover, judicial endorsement of the clerk's actions, through any method other than pronouncement in the defendant's presence, could not cure the sentencing courts' PRS errors. CPL 380.20 and 380.40 impose a distinct obligation upon "the court" (see *Fuller*, 57 NY2d at 157-158). That duty is nondelegable; it applies to sentences that are determinate and indeterminate, mandatory and discretionary.⁵ As it was not properly discharged here, we thus turn to consider the proper remedy.

III.

[1-3] It is indisputable that the relief that defendants request—expungement of their PRS terms—would permit them to serve a sentence not in compliance with the statute. But defendants say that this result is required because the People failed to seek proper resentencing within one year from the date of their convictions and did not properly preserve their objection to defendant's expungement remedy before the trial court (see CPL 440.40 [1]).⁶ Defendants are incorrect. The sole remedy for a procedural error such as this is to vacate the sentence and remit for a resentencing hearing so that the trial judge can make the required pronouncement (see *People v Sturgis*, 69 NY2d 816, 818 [1987] ["(A) sentence (that) violates the mandate of CPL 380.20 . . . must be vacated and the case remitted to the trial court for resentencing"]; see also *People v Stroman*, 36 NY2d 939, 940 [1975] [violation of CPL 380.40 requires reversal and remitter for resentencing]).⁷

5. Because defendants are entitled to relief under the CPL, we need not reach their constitutional claims, which rely primarily upon the Second Circuit's decision in *Earley* (see *People v Felix*, 58 NY2d 156, 161 [1983] ["It is hornbook law that a court will not pass upon a constitutional question if the case can be disposed of in any other way"]).

6. Defendants could, of course, move "[a]t any time" for resentencing (CPL 440.20 [1]). Their failure to exercise that right does not entitle them to the remedy requested here. Further, a court's authority to correct its own errors at resentencing is not subject to the one-year time limit imposed on the People by CPL 440.40 (1) (see *People v Wright*, 56 NY2d 613, 615 [1982] ["(I)t is clear that CPL 440.40 is intended only as a limitation on the People with reference to an 'invalid (sentence) as a matter of law' not imposed by mistake"]).

7. Defendants assert that CPL 450.90 precludes us from remitting for resentencing because the People, having prevailed below, are not entitled to that affirmative relief from this Court. Defendants are mistaken. Rather than affirmative relief to the People, this Court is merely giving a more limited form of relief to defendants than they seek.

[1, 4] In all five of these cases, there exists no procedural bar to allowing the sentencing court to correct its PRS error.⁸ It is obvious that at the time of each defendant's sentencing, Supreme Court intended to impose a sentence in compliance with the provisions of Penal Law § 70.00 (6) and § 70.45 (1)—one that consisted of a determinate sentence and a period of PRS. No record evidence rebuts that presumption. Thus, the failure to pronounce the required sentence amounts only to a procedural error, akin to a misstatement or clerical error, which the sentencing court could easily remedy (*see People v DeValle*, 94 NY2d 870, 871 [2000]; *People v Wright*, 56 NY2d 613, 614 [1982]; *People v Minaya*, 54 NY2d 360, 364-365 [1981]).

As to defendants Lingle and Rodriguez, we have considered their arguments regarding the alleged failure of Supreme Court

8. Defendants' assertion that CPL 470.35 (1) bars this Court from considering whether resentencing is the appropriate remedy here is incorrect. That provision states that, when considering an Appellate Division order that affirms Supreme Court's sentence, we may determine "any question of law involving alleged error or defect in the criminal court proceedings resulting in the original . . . sentence . . . regardless of whether such question was raised, considered or determined upon the appeal to the intermediate appellate court" (*see also People v Romero*, 91 NY2d 750, 754 [1998]). Here, we determine that the sentencing proceedings, lacking pronouncement of the PRS terms, were procedurally flawed because they did not comply with the CPL's sentencing scheme. The original sentences at issue here clearly "result[ed]" from those flawed proceedings. And we therefore modify and remit for resentencing (*see* at 464-465, *supra*). The CPL does not preclude this result (*see* CPL 470.40 [1] [on appeal from affirmed judgment, Court of Appeals may modify and direct corrective action that could have been imposed by Appellate Division had it "modified the criminal court . . . sentence . . . upon the same . . . grounds"]; CPL 470.20 [Appellate Division may modify judgment and "take or direct such corrective action as is necessary and appropriate both to rectify any injustice to the appellant resulting from the error or defect which is the subject of the . . . modification and to protect the rights of the respondent"]).

People v LaFontaine (92 NY2d 470 [1998]) is not to the contrary. In that case, the suppression court upheld a federal arrest warrant executed in New York while invalidating a concomitantly executed New Jersey warrant. CPL 470.35 (1) precluded us from reaching the People's arguments concerning the New Jersey warrant because the suppression court's decision as to that warrant had no effect on the proceedings below—it neither "led to suppression or to the ultimate judgment of conviction" (*see LaFontaine*, 92 NY2d at 474). We noted that that posture represented an "exceptional procedural twist . . . [that] block[ed] th[e] sensible management of th[e] case" (*id.* at 475). No such impediment is present here. The PRS procedural error is the only alleged harm in this case and it is one which this Court may remedy through remitter for resentencing (*see* CPL 470.40 [1]; 36A Carmody-Wait 2d § 172:4491 ["(T)he Court of Appeals can review those questions of law . . . involving *any error or defect* in the criminal court proceedings that resulted in the criminal court judgment" (emphasis added)]).

to charge the lesser included offenses of third degree arson and third degree assault, respectively, and we conclude that both are meritless.

IV.

Accordingly, in each case, the order of the Appellate Division should be modified by remitting to Supreme Court for a resentencing hearing that will include the proper pronouncement of the relevant PRS term and, as so modified, affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In *People v Sparber*, *People v Thomas*, *People v Lingle* and *People v Rodriguez*: Order modified by remitting to Supreme Court, New York County, for resentencing and, as so modified, affirmed.

In *People v Ware*: Order modified by remitting to Supreme Court, Kings County, for resentencing and, as so modified, affirmed.

[889 NE2d 475, 859 NYS2d 598]

In the Matter of IG SECOND GENERATION PARTNERS L.P. et al.,
Respondents, v NEW YORK STATE DIVISION OF HOUSING AND
COMMUNITY RENEWAL, OFFICE OF RENT ADMINISTRATION,
Appellant, and DRU ARSTARK, Intervenor-Appellant.

Argued March 19, 2008; decided May 6, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 30, 2006. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward H. Lehner, J.; op 7 Misc 3d 229), entered in a proceeding pursuant to CPLR article 78, which had granted the petition, annulled a determination of respondent forgiving rent arrears owed by the intervenor as a result of dismissal of her fair market rent appeal and remanded the matter to respondent for the purpose of determining the amount of arrears and setting a period for its repayment. The following question was certified by the Appellate Division: “Was the order of this Court, which affirmed the order of the Supreme Court, properly made?”

Matter of IG Second Generation Partners L.P. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin., 34 AD3d 379, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Fair Market Rent Appeal — Cancellation of Arrears Not Authorized

The Division of Housing and Community Renewal (DHCR) lacked authority to cancel rent arrears owed by a rent-stabilized tenant as a result of its resolution of an unusually protracted fair market rent appeal. No statute or regulation permits DHCR to forgive rent arrears owed by a tenant as a consequence of its determination in a fair market rent appeal (*see* Rent Stabilization Code [9 NYCRR] § 2521.1 [a] [1]; § 2522.3 [d]). DHCR’s equitable authority pursuant to Rent Stabilization Code (9 NYCRR) § 2522.7 was not implicated since, in dismissing the tenant’s appeal, the agency refused to adjust the legal regulated rent established in the lease, finding it to be a fair rent. Further, the record did not support DHCR’s finding of undue hardship to the tenant. The fact that the tenant owed substantial back rent as a result of a DHCR determination alone was insufficient to support a finding of undue hardship. Although DHCR’s inordinate delay in resolving the owner’s petition for review may have prejudiced the tenant because an amendment to Rent Stabilization Code (9 NYCRR) § 2522.3, which permitted the agency to utilize a broader comparability standard, benefitted the owner, neither a property owner nor a

tenant has a vested interest in beneficial regulations. Nor did the tenant present any evidence that the delay in resolution of the petition after the rent was initially adjusted downward was attributable to the owner or the result of DHCR's negligent or deliberate conduct.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 906, 909, 911, 913, 914.
9 NYCRR 2521.1 (a) (1); 2522.3, 2522.7.
NY JUR 2d, Landlord and Tenant §§ 426, 431, 432, 499–501.
NEW YORK REAL PROPERTY SERVICE §§ 74:65, 74:81, 74:161.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Gary R. Connor, General Counsel, New York State Division of Housing and Community Renewal, New York City (Sheldon Melnitsky and Mary Elizabeth Lacerenza of counsel), for appellant. I. The Division of Housing and Community Renewal properly considered the equities and undue hardship when it determined to apply the amendment to Rent Stabilization Code (9 NYCRR) § 2522.3 (e) prospectively only. (*Matter of Vendome v Lynch*, 294 AD2d 198; *Matter of Santo v New York State Div. of Hous. & Community Renewal*, 272 AD2d 334; *Matter of Chessin v New York City Conciliation & Appeals Bd.*, 100 AD2d 297; *Matter of Verbalis v New York State Div. of Hous. & Community Renewal*, 1 AD3d 101; *Matter of Waverly Assoc. v New York State Div. of Hous. & Community Renewal*, 12 AD3d 272; *Matter of Elm Realty v Office of Rent Control*, 63 AD2d 674, 54 NY2d 650; *Matter of Schutt v New York State Div. of Hous. & Community Renewal*, 278 AD2d 58; *I. L. F. Y. Co. v City Rent & Rehabilitation Admin.*, 11 NY2d 480; *People ex rel. Durham Realty Corp. v La Fetra*, 230 NY 429; *Matter of Freeport Randall Co. v Herman*, 56 NY2d 832.) II. If the Division of Housing and Community Renewal has the authority to apply Rent Stabilization Code (9 NYCRR) §§ 2522.7 and 2527.7 as it did, the record

before the agency sufficiently demonstrated the hardship and prejudice to the tenant and an investigation into the personal finances of the tenant was not required or warranted. (*Matter of St. Vincent's Hosp. & Med. Ctr. of N.Y. v New York State Div. of Hous. & Community Renewal*, 109 AD2d 711, 66 NY2d 959; *Mayer v City Rent Agency*, 46 NY2d 139; *Morales v Gross*, 230 AD2d 7; *Kline v E.I. DuPont de Nemours & Co., Inc.*, 15 F Supp 2d 299; *Matter of Woodcrest Mgt. v New York State Div. of Hous. & Community Renewal*, 305 AD2d 329; *Matter of Corning Glass Works v Ovsanik*, 84 NY2d 619; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Mid-State Mgt. Corp. v New York City Conciliation & Appeals Bd.*, 112 AD2d 72, 66 NY2d 1032.) III. The Division of Housing and Community Renewal's determination here is in accord with Rent Stabilization Code provisions enacted to protect tenants and the public interest. (*Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156.)

Shaw & Binder, New York City (Robert H. Gordon of counsel), for respondents, in opposition to appellant. I. The Appellate Division correctly applied the provisions of the Rent Stabilization Code. (*Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Gracecor Realty Co. v Hargrove*, 90 NY2d 350; *Matter of Mlodzeniec v Worthington Corp.*, 9 AD2d 21, 8 NY2d 918, 364 US 628; *Matter of Concord Vil. Owners v City of N.Y. Commn. on Human Rights*, 199 AD2d 388; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499.) II. The Appellate Division properly barred the Division of Housing and Community Renewal from waiving tenant's rent arrears. (*Matter of Verbalis v New York State Div. of Hous. & Community Renewal*, 1 AD3d 101; *Murray v Morrison*, 181 Misc 2d 209; *Matter of Muller v New York State Div. of Hous. & Community Renewal*, 263 AD2d 296, 95 NY2d 763; *Mohassel v Fenwick*, 5 NY3d 44; *Malta v Brown*, 12 Misc 3d 1164[A], 2006 NY Slip Op 51028[U]; *Matter of Parkchester Mgt. Corp. v New York City Conciliation & Appeals Bd.*, 81 AD2d 796; *Matter of Bradcord Assoc. v Conciliation & Appeals Bd. of City of N.Y.*, 52 AD2d 569; *Chassen v Chatsworth, LLC*, 303 AD2d 209; *Mayer v City Rent Agency*, 46 NY2d 139.) III. The record does not support the

finding of hardship. (*Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Matter of Gelston v New York State Div. of Hous. & Community Renewal*, 177 Misc 2d 431; *One Three Eight Seven Assoc. v Commissioner of Div. of Hous. & Community Renewal of Off. of Rent Admin.*, 269 AD2d 296; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Cabrini Realty v New York State Div. of Hous. & Community Renewal*, 6 AD3d 280; *Church v Callanan Indus.*, 99 NY2d 104; *Matter of Gustafson*, 74 NY2d 448; *Matter of Eastern Pork Prods. Co. v New York State Div. of Hous. & Community Renewal*, 187 AD2d 320.) IV. The Division of Housing and Community Renewal's attempt to consider equity is arbitrary and contrary to law. (*Matter of Baylies*, 155 Misc 431, 248 App Div 217; *National City Bank of N.Y. v Waggoner*, 243 App Div 305, 270 NY 592; *Sau Thi Ma v Xuan T. Lien*, 198 AD2d 186; *Empire Eng'g Corp. v Mack*, 217 NY 85.) V. The Division of Housing and Community Renewal's reliance on Rent Stabilization Law (Administrative Code of City of NY) § 26-501 is misplaced. (*Sullivan v Brevard Assoc.*, 66 NY2d 489; *Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *8200 Realty Corp. v Lindsay*, 27 NY2d 124; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *19th St. Assoc. v State of New York*, 79 NY2d 434; *Matter of Chessin v New York City Conciliation & Appeals Bd.*, 100 AD2d 297.) VI. *Matter of Gilman v New York State Div. of Hous. & Community Renewal* (99 NY2d 144 [2004]) is distinguishable. VII. The Division of Housing and Community Renewal's suggestion that the Rent Administrator's order was correct is improperly raised and is incorrect. (*Matter of Parcel 242 Realty v New York State Div. of Hous. & Community Renewal*, 215 AD2d 132.) VIII. The Division of Housing and Community Renewal's waiver of rent arrears after the owner duly charged a proper initial rent is contrary to the purpose of rent stabilization to preserve and maintain the housing stock. (*Bryant Ave. Tenants' Assn. v Koch*, 84 NY2d 960.)

Shaw & Binder, New York City (Robert H. Gordon of counsel), for respondents, in opposition to intervenor-appellant. I. Intervenor's brief does not state any ground to reverse the Appellate Division decision and order. II. Intervenor's brief raises issues which are unpreserved. (*McMillan v State of New York*, 72 NY2d 871; *Flagg v Nichols*, 307 NY 96; *Matter of Yonkers Gardens Co. v State of N.Y. Div. of Hous. & Community Renewal*, 51 NY2d 966; *Matter of Scherbyn v Wayne-Finger Lakes*

Bd. of Coop. Educ. Servs., 77 NY2d 753; *Matter of Eastern Pork Prods. Co. v New York State Div. of Hous. & Community Renewal*, 187 AD2d 320; *Robillard v Robbins*, 78 NY2d 1105.) III. Due process was satisfied when the Division of Housing and Community Renewal repeatedly gave intervenor notice and an opportunity to be heard. (*Matter of Harner v County of Tioga*, 5 NY3d 136; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Matter of Dunbar Partners v New York State Div. of Hous. & Community Renewal*, 289 AD2d 152; *Matter of 5421 Sylvan Ave. Assoc. Corp. v New York City Conciliation & Appeals Bd.*, 100 AD2d 812; *Matter of Howard-Carol Tenants' Assn. v New York City Conciliation & Appeals Bd.*, 48 NY2d 768; *Matter of Jemrock Realty Co. v New York State Div. of Hous. & Community Renewal*, 245 AD2d 92.) IV. Intervenor's claim of delay is without merit.

Robert A. Katz, New York City, for intervenor-appellant. I. The Division of Housing and Community Renewal properly considered the equities and undue hardship when it determined to apply the amendment to Rent Stabilization Code (9 NYCRR) § 2522.3 (e) prospectively only. (*Matter of Department of Bldgs. of City of N.Y. [Philco Realty Corp.]*, 14 NY2d 291; *Matter of Mahoney v New York State Div. of Hous. & Community Renewal*, 283 AD2d 329; *Matter of Woodcrest Mgt. v New York State Div. of Hous. & Community Renewal*, 305 AD2d 329; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144.) II. Due process of law is violated when a tenant suffers deprivation of opportunity to be effectively heard upon the issues of prejudice and hardship in terms of equitable application. Consideration of prejudice and hardship is a factual issue which should be determined before an administrative law judge. (*Matter of Cabrini Realty v New York State Div. of Hous. & Community Renewal*, 6 AD3d 280; *Armstrong v Manzo*, 380 US 545; *Mathews v Eldridge*, 424 US 319.) III. Tenant's conduct should not be admeasured by a businessman's standard in terms of duty to escrow. (*One Three Eight Seven Assoc. v Commissioner of Div. of Hous. & Community Renewal of Off. of Rent Admin.*, 269 AD2d 296.)

OPINION OF THE COURT

PIGOTT, J.

The issue on this appeal is whether the Division of Housing and Community Renewal (DHCR) has the authority to cancel rent arrears owed by a rent-stabilized tenant as a result of DH-

CR's resolution of an unusually protracted fair market rent appeal. Under the circumstances of this case, we hold that it does not.

In 1990, the tenant leased an apartment in a Manhattan building, owned by IG Second Generation Partners L.P. (the owner). She was the first rent-stabilized tenant after the preceding rent-controlled tenant vacated the apartment. The initial lease set the monthly rent at \$830, commencing May 1, 1990. The tenant then filed a fair market rent appeal with the agency, seeking an adjustment of the \$830 rent on the ground that it exceeded the apartment's fair market rent. Five years later, in 1995, the agency's Rent Administrator issued an order establishing the fair market rent for the subject apartment at \$556.82 per month, based upon its applicable rent guidelines.* The order directed the owner to adjust the tenant's monthly rent to that amount prospectively and to refund the overcharged rent, totaling \$12,877.37.

In response, the owner filed a petition for administrative review. That portion of the administrator's order directing a refund of overcharged rent was automatically stayed pending resolution of the petition (*see* Rent Stabilization Code [9 NYCRR] § 2529.12). The agency denied the owner's request for a stay of the remainder of the administrator's order, i.e., the prospective rent adjustment.

While the landlord's petition for review was pending, the owner notified the tenant that it would accept the rent set by the Rent Administrator's order without prejudice to collecting the full lease rent in the event that the order is overturned. The tenant also signed several renewal leases during the pendency of the review. All of the leases stated that the "collectible rent"—i.e., the lower rent set by the Rent Administrator—"may be modified pursuant to the DHCR's decision" on administrative review.

Another five years passed when, in January 2000, the agency partially granted the owner's petition and established the fair market rent at \$798.07 per month, not \$556.82 as determined by the Rent Administrator.

* In establishing the fair market rent, DHCR must consider the applicable rent guidelines and "the rents generally prevailing in the same area for" comparable properties (Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-513 [b] [1]; *see* Rent Stabilization Code [9 NYCRR] § 2522.3 [e]).

The tenant then brought a CPLR article 78 proceeding to annul the agency's January 2000 determination. In July 2000, Supreme Court granted the agency's request to remit the matter for further consideration. At issue on this appeal is DHCR's determination on remand.

Four years later, in 2004, DHCR, once again, partially granted the owner's petition and this time established the fair market rent at \$1,078.30 per month. In making this determination, the agency utilized a broader comparability standard enacted by a 2000 amendment to Rent Stabilization Code § 2522.3.

However, relying on several of its regulations, the agency determined that the tenant's payment of the rent set by the previous order of the Rent Administrator would "be deemed full payment of the legal rent" until the first payment due 60 days after the agency's new order. Only then would the owner be permitted to collect the initial lease rent plus applicable increases. The agency reasoned that, on the one hand, its amended regulations resulted in a more accurate assessment of the fair market rent; but on the other hand, "undue hardship" to the tenant would result if the agency allowed the owner to collect the \$830 rent retroactive to May 1, 1990 because the tenant would have to repay the substantial rent arrears that accumulated during the decade between the Rent Administrator's order and the agency's ultimate resolution of the petition for administrative review. As a result, DHCR effectively cancelled approximately \$19,000 of rent arrears owed by the tenant.

The owner then commenced this article 78 proceeding, challenging the agency's determination to the extent that it cancelled the tenant's rent arrears. The tenant intervened in the proceeding, arguing that the court should either sustain the determination or remand the matter to DHCR to allow her to submit evidence of hardship.

Supreme Court granted the owner's petition, holding that the agency's determination cancelling the rent arrears was arbitrary and capricious. The court remanded the matter to DHCR to calculate the exact amount owed and to establish a repayment schedule.

The Appellate Division, with one Justice dissenting, affirmed, concluding that, "[o]nce DHCR found that the lease rent did not exceed the fair market rent, it had no authority to waive rent arrears" (34 AD3d 379, 379 [2006]). That court granted DHCR and the tenant leave to appeal and certified the follow-

ing question: “Was the order of this Court, which affirmed the order of the Supreme Court, properly made?” We answer the certified question in the affirmative.

DHCR contends that it rationally exercised its equitable authority pursuant to Rent Stabilization Code (RSC) § 2522.7 in deciding to apply amended RSC § 2522.3 prospectively. DHCR also relies on RSC § 2527.7, which requires amended code provisions to apply to all proceedings pending before the agency “unless undue hardship or prejudice results therefrom.” DHCR argues that, even without consideration of the tenant’s personal financial circumstances, the record supports its finding of undue hardship based on the difference between the initial lease rent and the lower rent set by the Rent Administrator, the length of time between the administrator’s order and the agency’s resolution of the petition for administrative review, and the substantial rent arrears owed by the tenant. We disagree.

An agency’s interpretation of its own regulations “is entitled to deference if that interpretation is not irrational or unreasonable” (*Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545, 549 [1997]; see *Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008]). Put another way, the courts will not disturb an administrative agency’s determination unless it lacks any rational basis (see *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]).

Here, no statute or regulation permits the Division of Housing and Community Renewal to forgive rent arrears owed by a tenant as a consequence of its determination in a fair market rent appeal. The procedure is clear. Where a rental unit moves from rent control to rent stabilization, the owner establishes “the initial legal regulated rent” in the lease or rental agreement at any amount (RSC § 2521.1 [a] [1]). That rent is subject to the tenant’s right to seek a rent adjustment in a fair market rent appeal (see *id.*). In resolving such an appeal in the tenant’s favor, RSC § 2522.3 (d) (1) requires the agency to “direct the affected owner to make the refund of any excess rent to the tenant.” However, the agency, upon a finding that the initial lease rent does not exceed the fair market rent, lacks authority to modify the lease terms by forgiving rent arrears.

DHCR’s reliance on RSC § 2522.7 is misplaced. That provision states: “In issuing any order adjusting or establishing any legal regulated rent, . . . the DHCR shall take into consideration

all factors bearing upon the equities involved.” In dismissing the tenant’s appeal, the agency refused to adjust the legal regulated rent established in the lease, finding it to be a fair rent. Thus, DHCR’s equitable authority pursuant to RSC § 2522.7 was not implicated.

Nor does the record support DHCR’s finding of undue hardship to the tenant. The fact that a tenant owes substantial back rent as a result of a DHCR determination alone is insufficient to support a finding of undue hardship (*see generally One Three Eight Seven Assoc. v Commissioner of Div. of Hous. & Community Renewal of Off. of Rent Admin.*, 269 AD2d 296, 296 [1st Dept 2000]). A rent administrator’s order allowing a tenant to pay a lower rent is not a final determination, but an interim order subject to review by DHCR, which has the authority to issue a final determination (*see* RSC § 2529.8).

Here, the record contains no information with respect to the tenant’s personal financial circumstances to permit a finding that payment of the rent arrears would cause her undue hardship. Several renewal leases put the tenant on notice that the owner intended to collect the rent stated in the lease in the event that its petition for administrative review was successful. There is no evidence in the record that the tenant is unable to pay the rent arrears without hardship. The tenant’s claim that she never had a meaningful opportunity to submit evidence of personal hardship at the agency level is not supported by the record. DHCR’s 2002 notice on remand informed the tenant that the fair market rent would be established using amended RSC § 2522.3. Neither the tenant nor her cotenant alleged in response that payment of the rent arrears would cause undue hardship, even after the owner’s submission specifically raised the issue.

Although DHCR’s inordinate delay in resolving the owner’s petition for review may have prejudiced the tenant as the amendment to RSC § 2522.3 benefitted the owner, neither a property owner nor a tenant has a vested interest in beneficial regulations (*see I. L. F. Y. Co. v Temporary State Hous. Rent Commn.*, 10 NY2d 263, 270 [1961]; *see also Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325, 330 [1990]). Nor did the tenant present any evidence that the delay in resolution of the petition after the rent was adjusted downward in 1995 was attributable to the owner (*cf. Matter of Woodcrest Mgt. v New York State Div. of Hous. & Community Renewal*, 305 AD2d 329, 329-330 [1st Dept

2003]) or the result of DHCR's negligent or deliberate conduct (see *Matter of St. Vincent's Hosp. & Med. Ctr. of N.Y. v New York State Div. of Hous. & Community Renewal*, 109 AD2d 711, 712 [1st Dept 1985], *affd* 66 NY2d 959 [1985]).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

READ, J. (dissenting). The tenant in this case filed a fair market rent appeal (FMRA) in 1990; the Rent Administrator (RA) ruled generally in the tenant's favor in 1995, substantially reducing her monthly rent and ordering the landlord to refund excess rent paid since the lease's commencement date. The lease rent was lowered because the landlord was unable to establish that it was "comparable" to rents for similar apartments in the area, as measured by the criteria then in effect under the Rent Stabilization Code (RSC). Accordingly, the RA calculated the fair market rent in accordance with default guidelines.

The landlord filed a petition for administrative review (PAR), which stayed so much of the RA's order as directed the landlord to refund excess rent to the tenant. While the PAR was pending, statutory (in 1997) and regulatory (in 2000) changes took effect, broadening the range of comparability data that DHCR was permitted to consider in a FMRA. In disposing of the PAR in 2004, the Commissioner of DHCR applied these changes—which benefitted the landlord—but prospectively only. That is, the Commissioner dismissed the tenant's FMRA because, in light of the new test for figuring out comparability, the lease rent no longer exceeded the fair market rent; and deemed rent payments made as directed by the RA to be "full payment of the legal rent" until "the first rent payment date following 60 days after" the order's issuance. At that point the landlord was entitled to collect the lease rent as "updated by all subsequent lawful increases and adjustments."

DHCR portrays this decision as Solomonic, allowing the landlord to profit from advantageous statutory and regulatory changes occurring during the PAR's lengthy pendency (from 1995 to 2004) while safeguarding the tenant from the arrears that inevitably followed application of these changes. After all, if DHCR had resolved the PAR expeditiously (or at least before the statute was amended in 1997), the RA's determination in favor of the tenant would likely have been upheld, and the landlord would have collected less rent over the course of the tenancy. The question for us is whether sections 2522.7 and

2527.7 of the RSC (9 NYCRR), on which DHCR principally relies, vest the Commissioner with discretion to do what he did: to make the lease rent payable prospectively, not retroactively.

We have “repeatedly held that the interpretation given to a regulation by the agency which promulgated it and is responsible for its administration is entitled to deference if that interpretation is not irrational or unreasonable” (*Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545, 548-549 [1997]). This is so even if the agency’s interpretation “ ‘might not be the most natural reading of the regulation, or . . . the regulation could be interpreted in another way’ ” (*Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581, 595 [2005], quoting *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273, 280 [2003]).

Section 2522.7 provides that

“[i]n issuing any order adjusting or establishing any legal regulated rent, . . . DHCR shall take into consideration all factors bearing upon the equities involved, subject to the general limitation that such adjustment, establishment or determination can be put into effect with due regard for protecting tenants and the public interest against unreasonably high rent increases inconsistent with the purposes of the [Rent Stabilization Law], for preventing imposition upon the industry of any industry-wide schedule of rents or minimum rents, and for preserving the regulated rental housing stock” (emphasis added).

The majority takes the position that DHCR’s reliance on section 2522.7 is “misplaced” because, once having determined the lease rent to be fair, DHCR exhausted its equitable authority under this provision (majority op at 481-482). Thus, the majority reads section 2522.7 narrowly, as authorizing DHCR to “take into consideration all factors bearing upon the equities” only when figuring out the actual dollar amount for the legal regulated rent. DHCR, however, reads section 2522.7 more broadly, as allowing it to make payment of the legal regulated rent prospective only when justified by equitable circumstances. This is not, in my view, an irrational or unreasonable interpretation of what DHCR may do when “tak[ing] into consideration all factors bearing upon the equities” to “adjust[]” a legal regulated rent. Certainly, “nothing in the governing statutes and regulations . . . preclude[s] DHCR from applying the

increase prospectively” (*Matter of IG Second Generation Partners L.P. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 34 AD3d 379, 383 [1st Dept 2006, Mazzarelli, J., dissenting]).

Next, section 2527.7 specifies that

“[e]xcept as otherwise provided herein, *unless undue hardship or prejudice results therefrom*, this [Rent Stabilization] Code shall apply to any proceeding pending before the DHCR, which proceeding commenced on or after April 1, 1984, or where a provision of this Code is amended, or an applicable statute is enacted or amended during the pendency of a proceeding, the determination shall be made in accordance with the changed provision” (emphasis added).

The majority also reads this regulation narrowly, interpreting “undue hardship or prejudice” to refer solely to a tenant’s “personal financial circumstances” (majority op at 482). But DHCR takes these words to encompass additional sources of hardship and prejudice; for example, as in this case, the hardship and prejudice caused tenant by the inordinate length of time (nearly a decade) it took for DHCR to dispose of the PAR. Again, this is not the only interpretation the regulation might be given, but it is not an irrational or unreasonable one. Nothing in the Code identifies “personal financial circumstances” as the only permissible consideration for DHCR to weigh when assessing whether its application of a changed provision may cause “undue hardship or prejudice” to a tenant.

In sum, because DHCR reasonably and rationally interpreted and applied its regulations in this case, we should defer to its decision. Accordingly, I would answer the certified question in the negative.

Chief Judge KAYE and Judges GRAFFEO, SMITH and JONES concur with Judge PIGOTT; Judge READ dissents in a separate opinion in which Judge CIPARICK concurs.

Order affirmed, etc.

[890 NE2d 184, 860 NYS2d 422]

KEVIN PLUDEMAN et al., Respondents, v NORTHERN LEASING
SYSTEMS, INC., et al., Appellants.

Argued March 18, 2008; decided May 6, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 15, 2007. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Sherry Klein Heitler, J.; op 2005 NY Slip Op 30270[U]), to the extent that it had denied defendant's motion to dismiss a cause of action for fraud. The following question was certified by the Appellate Division: "Was the order of this Court, which[,] in part, modified the order of the Supreme Court, New York County, entered on or about April 7, 2005, properly made?"

Pludeman v Northern Leasing Sys., Inc., 40 AD3d 366, affirmed.

HEADNOTE

Pleading — Sufficiency of Pleading — Fraud — Individual Corporate Defendants

In an action brought by plaintiff small business owners against defendant corporation, a financier of small business equipment, and certain officers of the corporation, alleging that defendants fraudulently concealed material and onerous lease terms in the parties' equipment leases, plaintiffs sufficiently pleaded a cause of action for fraud against the individual defendants pursuant to CPLR 3016 (b). Although plaintiffs did not allege specific details of each individual defendant's conduct, the requirement under CPLR 3016 (b) that the complaint must sufficiently detail the allegedly fraudulent conduct should not be confused with unassailable proof of fraud. It may be met when the facts are sufficient to permit a reasonable inference of the alleged conduct. The fraud alleged here was not an isolated incident, but rather a nationwide scheme that took place over a number of years, the very nature of which gave rise to the reasonable inference that the corporate officers knew of and/or were involved in the fraud. Plaintiffs, unrelated to one another, all registered parallel complaints, and the language, structure and format of the deceptive lease form and the systematic failure by the salespeople to provide each lessee a copy of the lease at the time of its execution permitted an inference of fraud against the corporate officers in their individual capacity and not the sales agents.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit §§ 22, 23, 26, 107–109, 173,
174, 450, 452, 453, 463–470.

CARMODY-WAIT 2d, Complaints in Particular Actions
 §§ 29:256, 29:257, 29:259, 29:262–29:264.

McKINNEY's, CPLR 3016 (b).

NY JUR 2d, Fraud and Deceit §§ 14, 61, 166, 167, 198, 232–
 237.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit.

FIND SIMILAR CASES ON WESTLAW®

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 equipment

POINTS OF COUNSEL

Moses & Singer LLP, New York City (*Abraham Y. Skoff*, *Robert D. Lillienstein* and *Jayson D. Glassman* of counsel), and *Epstein Becker & Green, P.C.* (*Barry A. Cozier* of counsel), for appellants. Plaintiffs failed to allege sufficiently a cause of action for common-law fraud as against the individual defendants, and the Appellate Division ruling is in error. (*Polonetsky v Better Homes Depot*, 97 NY2d 46; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *Sirohi v Lee*, 222 AD2d 222; *Sforza v Health Ins. Plan of Greater N.Y.*, 210 AD2d 214; *Lanzi v Brooks*, 43 NY2d 778; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Commerce & Indus. Ins. Co. v Globe Off. Supply Co.*, 266 AD2d 165; *Kaufman v Cohen*, 307 AD2d 113; *Prudential-Bache Metal Co. v Binder*, 121 AD2d 923.)

Chittur & Associates, P.C., New York City (*Krishnan S. Chittur*, *H. Rajan Sharma* and *Andrey Strutinskiy* of counsel), for respondents. I. The nature and scope of the fraudulent scheme supports an inference of willful participation by individual defendants. (*Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Bernstein v Kelso & Co.*, 231 AD2d 314; *Kuo Feng Corp. v Ma*, 248 AD2d 168; *Houbigant, Inc. v Deloitte & Touche*, 303 AD2d 92.) II. The structure, format, and language of the form lease, apart from defendants' practices, sustain an inference of each individual defendant's knowledge/participation. (*Matter of Arthur Philip Export Corp. [Leathertone, Inc.]*, 275 App Div 102; *Chiacchia v National Westminster Bank*, 124 AD2d 626; *Specht v Netscape Communications Corp.*, 306 F3d 17; *Feldman v Allegheny Intl.*,

Inc., 850 F2d 1217; *First Natl. Bank in Alamosa v Ford Motor Credit Co.*, 748 F Supp 1464; *Broder v MBNA Corp.*, 281 AD2d 369; *Klar v H. & M. Parcel Room, Inc.*, 270 App Div 538, 296 NY 1044; *Dery v Blate*, 209 App Div 467, 239 NY 203; *Blossom v Dodd*, 43 NY 264; *Mazzocki v State Farm Fire & Cas. Corp.*, 1 AD3d 9.) III. Since no discovery has taken place, details of individual defendants' activities cannot be required at this stage. (*Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187; *Niagara Mohawk Power Corp. v Freed*, 265 AD2d 938; *Auguston v Spry*, 282 AD2d 489; *Big Apple Car v City of New York*, 204 AD2d 109; *Benedict v Seasille Equities Corp.*, 190 AD2d 649; *Astroworks, Inc. v Astroexhibit, Inc.*, 257 F Supp 2d 609; *EBC I, Inc. v Goldman Sachs & Co.*, 7 AD3d 418; *Oxford Health Plans [NY] v BetterCare Health Care Pain Mgt. & Rehab*, 305 AD2d 223; *Jerry v Borden Co.*, 45 AD2d 344; *Commerce & Indus. Ins. Co. v Globe Off. Supply Co.*, 266 AD2d 165.) IV. Defendants' other cases are readily distinguishable. (*Prudential-Bache Metal Co. v Binder*, 121 AD2d 923; *Commerce & Indus. Ins. Co. v Globe Off. Supply Co.*, 266 AD2d 165; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *Residential Bd. of Mgrs. of Zeckendorf Towers v Union Sq.-14th St. Assoc.*, 190 AD2d 636; *Handel v Bruder*, 209 AD2d 282; *Ramos v Ramirez*, 31 AD3d 294; *Kaufman v Cohen*, 307 AD2d 113; *Lanzi v Brooks*, 54 AD2d 1057; *Board of Mgrs. of 411 E. 53rd St. Condominium v Dylan Carpet*, 182 AD2d 551; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31.)

Mayer Brown LLP, New York City (*Philip Allen Lacovara*, *Lauren R. Goldman* and *Kwaku A. Akowuah* of counsel), and *National Chamber Litigation Center, Inc.*, Washington, D.C. (*Robin S. Conrad* of counsel), for Chamber of Commerce of the United States of America, amicus curiae. I. New York historically has adopted and affirmed foundational principles of limited liability for individuals associated with business organizations, including limitations on the liability of corporate supervisors. (*Fifth Ave. Bank v Colgate*, 120 NY 381; *People v Zinke*, 147 AD2d 106, 76 NY2d 8; *Wilson v Israel*, 227 NY 423; *Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472; *Capital Dimensions v Samuel Oberman Co.*, 104 AD2d 432; *People v Apple Health & Sports Clubs*, 80 NY2d 803; *Olszewski v Waters of Orchard Park*, 303 AD2d 995; *Meyer v Holley*, 537 US 280; *Browning-Ferris Indus., Inc. v Ter Maat*, 195 F3d 953; *Connell v Hayden*, 83 AD2d 30.) II. The inference adopted by the court below cannot be reconciled with the traditional presumption that a corporate officer is not personally liable for the actions of

other employees. (*Olszewski v Waters of Orchard Park*, 303 AD2d 995; *Prudential-Bache Metal Co. v Binder*, 121 AD2d 923; *Black v Chittenden*, 69 NY2d 665; *Ramos v Ramirez*, 31 AD3d 294; *Residential Bd. of Mgrs. of Zeckendorf Towers v Union Sq.-14th St. Assoc.*, 190 AD2d 636; *Greschler v Greschler*, 51 NY2d 368; *Connell v Hayden*, 83 AD2d 30.) III. The harmful effects of a more permissive pleading rule would be substantial. (*Sheridan Broadcasting Corp. v Small*, 19 AD3d 331; *Hevesi v Citigroup Inc.*, 366 F3d 70; *Waste Mgt. Holdings, Inc. v Mowbray*, 208 F3d 288; *In re Chevron U.S.A., Inc.*, 109 F3d 1016; *Matter of Rhone-Poulenc Rorer, Inc.*, 51 F3d 1293; *Worthy v New York City Hous. Auth.*, 21 AD3d 284; *Manhattan Real Estate Equities Group LLC v Pine Equity NY, Inc.*, 27 AD3d 323; *In re Burlington Coat Factory Sec. Litig.*, 114 F3d 1410.)

OPINION OF THE COURT

JONES, J.

The sole issue before us is whether plaintiffs sufficiently pleaded a cause of action for fraud against individually-named corporate defendants pursuant to CPLR 3016 (b). Under the circumstances presented, we hold that they have.

Plaintiffs are small business owners from various states, including Missouri, Texas, Washington and New York. Defendant Northern Leasing Systems, Inc. (NLS) and the individual defendants, its top management, are financiers of small business equipment.¹

Plaintiffs' amended complaint stated causes of action for, among other things, fraud. Specifically, plaintiffs alleged that they entered into lease agreements and personal guarantees (collectively, leases) for POS terminals that, through defendants' deceptive practices, hid material and onerous lease terms.

According to plaintiffs, defendants' sales representatives presented them with what appeared to be a one-page contract on a clipboard, thereby concealing three other pages below. This single page appeared to cover all of the material terms of a contract, including name, address, schedule of payments, bank and equipment authorizations, the lease term amount and a

1. NLS, a New York corporation in the business of micro-ticket leasing, finances credit card point-of-sale (POS) terminals and other business equipment. Specifically, NLS, as lessor, enters into finance lease agreements with small businesses (lessees) for certain equipment. Under the terms of these leases, NLS purchases the equipment from third-party vendors solely for the purpose of leasing it.

signature block for both parties. The first page, however, did not contain information plaintiffs later discovered in the other three pages. Among such concealed items was the requirement that the lessee insure the equipment against all risk of loss or damage and provide NLS with proof of insurance. In the absence of such proof, lessees were deemed to have purchased a loss and damage waiver (of their obligation to insure) for a fee that NLS could change from time to time. In addition, the undisclosed pages provided for automatic electronic deductions of potentially unlimited duration. The concealed pages also contained the following terms: a no cancellation clause, a no warranties clause, absolute liability for insurance obligations, a late charge clause, and provisions for attorneys' fees and New York as the chosen forum.

Further, although the paragraph authorizing automatic deductions found on the first page referenced paragraph 11, found on page three of the contract, it was in extremely small print. Plaintiffs acknowledge that the bottom of the first page of the contract read "Page 1 of 4." Nevertheless, plaintiffs' main contention is that the circumstances under which they were presented with the main first page, as described above, were allegedly fraudulent. First, plaintiffs alleged that the "Page 1 of 4" notation, allegedly in "microprint," was, under the circumstances, insufficient to apprise them of the lease's continuation.² Further, they alleged that they were rushed into signing the contract and were not given a complete, executed copy of the lease, much less affirmatively told, in context, that there was more to what they were signing. In order to obtain such a copy, plaintiffs had to use a 1-800 number to request one from NLS. Finally, plaintiffs alleged that they did not become aware of the hidden pages of the lease until they attempted to either cease the electronic deductions or terminate the lease altogether.

Pursuant to CPLR 3211, defendants moved to dismiss, among other things, plaintiffs' fraud claim as against the individual defendants. Supreme Court denied that branch of the motion, holding that the amended complaint sufficiently pleaded a cause of action for fraud against the individual defendants. On appeal, defendants argued that plaintiffs' allegations of fraud failed to satisfy the pleading requirements of CPLR 3016 (b) as to the individual defendants.

2. One plaintiff claims that the copy she signed did not contain this notation at all.

Rejecting defendants' contention, the Appellate Division modified, on the law, and otherwise affirmed, determining that plaintiffs' amended complaint satisfied CPLR 3016 (b). The court stated that "one can readily deduce, given the corporate positions and titles of the individual defendants, that these individuals actually operate the day-to-day business of [the] corporate defendant, and consequently were involved in or knew about the alleged fraudulent concealment of most of the lease" (*Pludeman v Northern Leasing Sys., Inc.*, 40 AD3d 366, 367 [1st Dept 2007]). The court concluded that, given the procedural posture and unique facts alleged, CPLR 3016 (b) should not be read to require plaintiffs to "state the details of the individual defendants' personal participation in, or actual knowledge of, the alleged concealment, as those facts are peculiarly within their knowledge" (*id.* at 368 [internal quotation marks and citation omitted]).

Two Justices dissented and voted to grant defendants' motion to dismiss the cause of action for fraud as against the individual defendants. The dissenters reasoned that "no allegations [of fraud] were directed at any of the individual defendants" (*id.* at 371). They posited that given the absence of an allegation that the individual corporate defendants knew about the alleged fraudulent practices of the company's sales representatives, defendants' motion to dismiss pursuant to CPLR 3016 (b) should have been granted. The Appellate Division granted defendants leave to appeal, and we now affirm.

As relevant, CPLR 3016 (b) provides that where a cause of action or defense is based upon fraud, "the circumstances constituting the wrong shall be stated in detail." In such an action, "corporate officers and directors may be held individually liable if they participated in or had knowledge of the fraud, even if they did not stand to gain personally" (*Polonetsky v Better Homes Depot*, 97 NY2d 46, 55 [2001]). The purpose of section 3016 (b)'s pleading requirement is to inform a defendant with respect to the incidents complained of. We have cautioned that section 3016 (b) should not be so strictly interpreted "as to prevent an otherwise valid cause of action in situations where it may be 'impossible to state in detail the circumstances constituting a fraud' " (*Lanzi v Brooks*, 43 NY2d 778, 780 [1977], quoting *Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187, 194 [1968]). Thus, where concrete facts "are peculiarly within the knowledge of the party" charged with the fraud (*Jered Contr. Corp.*, 22 NY2d at 194), it would work a potentially un-

necessary injustice to dismiss a case at an early stage where any pleading deficiency might be cured later in the proceedings (*see CPC Intl. v McKesson Corp.*, 70 NY2d 268, 285-286 [1987]; *Houbigant, Inc. v Deloitte & Touche*, 303 AD2d 92, 97-98 [1st Dept 2003]; *see also* Siegel, 2003 Supp Practice Commentary, McKinney's Cons Laws of NY, Book 7B, CPLR C3016:3, 2008 Pocket Part, at 17 ["Misrepresenters have not been known to keep elaborate diaries of their fraud for the use of the defrauded in court"]).

Critical to a fraud claim is that a complaint allege the basic facts to establish the elements of the cause of action. Although under section 3016 (b) the complaint must sufficiently detail the allegedly fraudulent conduct, that requirement should not be confused with unassailable proof of fraud. Necessarily, then, section 3016 (b) may be met when the facts are sufficient to permit a reasonable inference of the alleged conduct (*see Polonetsky*, 97 NY2d at 55 [alleged facts sufficient to permit a jury to "infer (defendant's) knowledge of or participation in the fraudulent scheme"]; *Jered*, 22 NY2d at 194; *Lanzi*, 43 NY2d at 780).³

In *Polonetsky*, for example, the complaint alleged that Better Homes marketed substandard properties to potential buyers at inflated prices under the guise of foreclosures offered below market value. The complaint alleged that repairs would be made for observable defects, along with other false assurances, and that potential buyers were discouraged from consulting their own attorneys, and instead steered to attorneys with ties to Better Homes. Finally, the complaint alleged that Better Homes' president "participate[d] in [Better Homes'] operations on a day-to-day basis and [was] actively involved in its marketing and sales activities" (*Polonetsky*, 97 NY2d at 55). Taking the allegations in the light most favorable to the complainant, we concluded that, under the circumstances, sufficient facts were

3. We undoubtedly agree with the dissent's observation that section 3016 (b) "must require more than the 'notice pleading' " applicable in other cases (dissenting op at 494). However, what is critical in this case for section 3016 (b) purposes is that the facts as alleged—circumstantial though they may be—are enough, we believe, to permit an inference that satisfies the purposes of the CPLR. The dissent would dismiss this case because the allegations of fraud were not directly lodged against certain individual defendants. We respectfully suggest, however, that the indirect circumstantial inference of a corporate individual's allegedly fraudulent conduct and the direct naming of such individual with regard to the same conduct alleged, under the circumstances, is a distinction without much of a difference.

alleged to permit a factfinder to infer that the individual defendant knew of or actually participated in Better Homes' alleged scheme to defraud its consumers (*id.*). Importantly, we noted that the inference was cognizable "given the degree of [the president's] personal activities [within the organization] and the nature and extent of the customers' dissatisfaction" (*id.*).

The facts of this case differ only in degree from *Polonetsky*. As alleged, the fraud in this case was not an isolated incident, but rather a nationwide scheme that took place over a number of years. The very nature of the scheme, as alleged, gives rise to the reasonable inference—rebuttable though it may later prove to be—that the officers, as individuals and in the key positions they held, knew of and/or were involved in the fraud (*see Houbigant, Inc. v Deloitte & Touche*, 303 AD2d 92, 97-98 [1st Dept 2003]). Although plaintiffs have not alleged specific details of each individual defendant's conduct, we have never required talismanic, unbending allegations. Simply put, sometimes such facts are unavailable prior to discovery. Lest we willfully ignore the obvious—or the strong suspicion of a fraud—we have always acknowledged that, in certain cases, less than plainly observable facts may be supplemented by the circumstances surrounding the alleged fraud (*see Jered*, 22 NY2d at 194; *Polonetsky*, 97 NY2d at 55; *see also Board of Mgrs. of 411 E. 53rd St. Condominium v Dylan Carpet*, 182 AD2d 551, 552 [1st Dept 1992]).

Here it is significant that plaintiffs, unrelated to one another, all registered parallel complaints. Moreover, it is the language, structure and format of the deceptive lease form and the systematic failure by the salespeople to provide each lessee a copy of the lease at the time of its execution that permits, at this early stage, an inference of fraud against the corporate officers in their individual capacity and not the sales agents.⁴ Taken in the light most favorable to the nonmoving party, and according that party the benefit of every possible favorable inference, we determine only whether the facts as alleged are cognizable within the claim asserted to section 3016 (b)'s satisfaction (*see Sokoloff v Harriman Estates Dev. Corp.*, 96 NY2d 409, 414 [2001]). We cannot say, as a matter of law, that a finder of fact could not reasonably infer the requisite knowledge or participa-

4. As noted, it is curious that each complainant was presented with the lease form in a similar manner. While defendants assert, and plaintiffs do not dispute, that the salespersons were not employees of NLS, the same fashion by which prospective lessees were presented with the lease adds credence to plaintiffs' allegations of fraud emanating from NLS's top management.

tion by the individual defendants (*see id.*; *see also Lanzi*, 43 NY2d at 780; *Jered*, 22 NY2d at 194; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31, 44 [1980]).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (dissenting). I think the Appellate Division erred, and the majority errs, in upholding the complaint as against the individual defendants.

I

CPLR 3016 (b) says: “Where a cause of action or defense is based upon misrepresentation, fraud, mistake, wilful default, breach of trust or undue influence, the circumstances constituting the wrong shall be stated in detail.” This rule has received surprisingly little attention from our Court. We have held that it does not require the impossible, recognizing that a plaintiff cannot be expected to plead details that are exclusively within the defendants’ knowledge (*Lanzi v Brooks*, 43 NY2d 778, 780 [1977]; *Jered Contr. Corp. v New York City Tr. Auth.*, 22 NY2d 187, 194 [1968]). We have said that the rule “requires only that the misconduct complained of be set forth in sufficient detail to clearly inform a defendant with respect to the incidents complained of” (*Lanzi*, 43 NY2d at 780); but obviously, rule 3016 (b) must require more than the “notice pleading” that is required in every case—otherwise there would be no reason for it to exist. We have recognized that the rule serves to prevent “proliferating litigation of baseless claims” (*Simcuski v Saeli*, 44 NY2d 442, 453 [1978]), and we have held that merely “conclusory allegations” are insufficient to comply with it (*Greschler v Greschler*, 51 NY2d 368, 375 [1980]).

The similar provision of rule 9 (b) of the Federal Rules of Civil Procedure (which now reads “In alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake”) has been much more extensively examined by the federal courts. While the federal decisions are not uniform, a long line of cases from the Court of Appeals for the Second Circuit recognizes that the rule serves not only to provide a defendant with fair notice, but also to guard against “improvident charges of wrongdoing” and “the institution of a strike suit” (*Harsco Corp. v Segui*, 91 F3d 337, 347 [2d Cir 1996], quoting *Acito v IMCERA Group, Inc.*, 47 F3d 47, 52 [2d Cir 1995]). The Second Circuit rule is that a fraud complaint

must set forth “particularized facts to support the inference that the defendants acted recklessly or with fraudulent intent” (*Eternity Global Master Fund Ltd. v Morgan Guar. Trust Co. of N.Y.*, 375 F3d 168, 187 [2d Cir 2004], quoting *Shields v Citytrust Bancorp, Inc.*, 25 F3d 1124, 1129 [2d Cir 1994]). These facts must be enough to support “a strong inference of fraud” (*Shields*, 25 F3d at 1128). This standard has been adopted by statute for federal securities fraud actions (15 USC § 78u-4 [b] [2] [“the complaint shall . . . state with particularity facts giving rise to a strong inference that the defendant acted with the required state of mind”]).

I believe the Second Circuit’s “strong inference” rule is well suited to the purpose of weeding out speculative or spurious claims of fraud, and consistent with our cases interpreting CPLR 3016 (b). I would thus adopt this test as a matter of New York law. But the test I propose does not differ greatly, if it differs at all, from the “reasonable inference” rule stated in the majority opinion (majority op at 492). My main quarrel is with the majority’s application of the test here.

II

The amended complaint alleges nothing more specific about the individual defendants than their corporate titles—and not all of these titles even suggest a connection with the sales and leasing functions of Northern Leasing Systems, Inc. (NLS), the corporate defendant. One individual defendant is alleged to be “Vice President and Chief Information Officer” of NLS; nothing more is said of his supposed connection to the alleged fraud. The majority relies not on allegations specific to the individual defendants, but on the description in the amended complaint (as supplemented by documentary evidence submitted on the motion to dismiss) of the alleged fraud by NLS. The majority finds this description sufficient to support a reasonable inference that the individual defendants participated in a fraud. I do not.

I accept the premise of plaintiffs, and the majority, that plaintiffs cannot be expected to allege in detail what each individual defendant did. Plaintiffs obviously do not know NLS’s internal workings. Where a corporation has been involved in a repeated and significant pattern of fraudulent conduct, it may often be reasonable to infer “knowledge of or participation in the fraudulent scheme” by senior officials of the corporation (*Polonetsky v Better Homes Depot*, 97 NY2d 46, 55 [2001]), but

the strength of the inference will vary with the facts of each case. In this case, I do not see allegations sufficient to support an inference of fraudulent activity by NLS so frequent and so significant that the individual defendants must have had knowledge of it.

Plaintiffs complain that they were defrauded into leasing credit card terminals and other business equipment. Specifically, they claim that they were tricked into signing what they thought was a one-page lease agreement; that the agreement turned out to be four pages; and that some of the terms on pages two through four were onerous. But the salespeople who presented the agreement to plaintiffs for signature were not NLS employees. NLS is not an equipment distributor. It is, in substance, a lender of money, though in form it is a lessor. It advances funds to distributors of equipment, takes title to the equipment and gets its money back, with a profit economically equivalent to interest, in the form of rental payments from merchants like plaintiffs, who are the distributor's customers and NLS's lessees. It is the distributor, through its sales representatives, who deals with plaintiffs and other customers and supplies the equipment to them. There is no allegation in this case that NLS (much less any of the individual defendants) had any communications at all with the sales representatives.

Since there is no basis for thinking that NLS supervised or instructed the salespeople, I do not see how it, or a fortiori its officers, can be blamed for any trickery in which the salespeople engaged. The only alleged act of NLS's officers or employees that had a connection with the alleged fraud is the creation of the four-page agreement itself, a document that was before the motion court. If this agreement were evidently designed to mislead the lessees—if it were a four-page agreement cleverly disguised as a one-page agreement—I might well vote to uphold the complaint, not just against NLS but against the officers also, for such a ruse could hardly be practiced without the officers' knowledge. But this agreement does not look to me like something that is designed to deceive.

NLS's form agreement* is a printed booklet. It would be hard to pick it up without realizing that it is a booklet, not a single page. The front page identifies NLS and the equipment sup-

* It seems that NLS changed its form from time to time, but no party argues that the changes should alter the result. Where there are variations, my description is of the agreement between NLS and plaintiff Chris Hanzsek.

plier, and contains blanks for filling in basic information about the lease—the identity of the lessee, the nature of the equipment, a payment schedule (monthly payments range from \$36 to \$100) and some other details. It contains two blanks for signatures of a lessee representative, one of them a clearly labeled personal guaranty. The inside pages contain 24 paragraphs of boilerplate terms. At the bottom of the first page, inches from the blanks for the lessee's and personal guarantor's signatures, appears in small but perfectly legible print: "Page 1 of 4"—an extraordinary thing for NLS to put on its lease, if it wanted to make the lessees think there were no more pages. Nor would NLS, if it wanted to conceal the full text of the lease, post prominently on its Web site a toll-free phone number from which a copy could be obtained.

It seems to me that plaintiffs', and the majority's, real objection to the inside pages of this lease is not that the pages were concealed, but that the terms they contain are unduly harsh. The insurance clause in plaintiff Hanzsek's lease, for example, provides that the lessee must either keep the equipment insured or pay an additional \$2.95 per month for a "Loss & Destruction waiver." This, and perhaps some other features of the lease, are arguably overreaching—and if they are unconscionable, they are unenforceable (*see Wilson Trading Corp. v David Ferguson, Ltd.*, 23 NY2d 398, 403-404 [1968]). But unconscionability is something different from fraud.

It is entirely possible that plaintiffs and other lessees did not understand, when they signed the lease, the implications of the insurance or many of the other boilerplate clauses. But this is a result not of fraud, but of a fact of life: Most people entering into relatively small transactions do not read the agreements they sign with any care, if they read them at all. Anyone who has ever rented a car knows that. I have little doubt that NLS could have printed in bright red capital letters, at the top of page one: "THIS IS A FOUR PAGE LEASE"—and still few if any lessees would have read or understood the insurance clause. The approach taken by plaintiffs, and accepted by the majority—translating what may be a good unconscionability claim into a fanciful claim that three pages of the lease were fraudulently concealed—virtually invites NLS, and future parties similarly situated, to immunize themselves from lawsuits with this sort of disclosure.

I would hold that plaintiffs have failed to state in detail facts constituting a fraud by the individual defendants, as CPLR

3016 (b) requires, and would dismiss the complaint as to those defendants.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and PIGOTT concur with Judge JONES; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order, insofar as appealed from, affirmed, etc.

[890 NE2d 214, 860 NYS2d 452]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v RUBEN
LUCIANO, Respondent.

Argued April 17, 2008; decided June 3, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 2, 2007. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Michael R. Sonberg, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree and assault in the second degree, and (2) remanded the matter for a new trial.

People v Luciano, 44 AD3d 123, affirmed.

HEADNOTES

Crimes — Jurors — Selection of Jury — Forfeiture of Peremptory Challenges as Remedy for *Batson* Violation

1. Trial judges have discretion to require litigants to forfeit peremptory challenges used in a discriminatory manner. Although CPL 270.25 (2) mandates that each party “must be allowed” the statutorily prescribed number of peremptory challenges, the statute must be read in the light that *Batson v Kentucky* (476 US 79 [1986]) and the constitutional limits have, since the statute’s inception, placed on peremptory challenges. The statutory language alone neither requires, nor bars, the forfeiture remedy. Vesting the trial court with discretion to utilize this remedy is consistent with the *Batson* inquiry, which vests the trial judge with broad discretion to determine the parties’ credibility. In fashioning the proper remedy, a trial judge may consider, among other factors, whether the challenged juror is available to be resealed, whether the litigant appears to be engaging in a pattern of discrimination, and the number of peremptory challenges that remain to be exercised.

Crimes — Jurors — Selection of Jury — Forfeiture of Peremptory Challenges as Remedy for *Batson* Violation — Failure of Trial Judge to Exercise Discretion Constitutes Reversible Error

2. Defendant, who was found by the trial judge to have forfeited two peremptory challenges used in a discriminatory manner, was entitled to a new trial, as the judge was under a misapprehension that the law required forfeiture, and failed to exercise the requisite discretion in determining whether forfeiture was necessary to remedy the *Batson* violation. Trial judges have discretion to require litigants to forfeit peremptory challenges used in a discriminatory manner. Here, the trial judge incorrectly stated, “The law is that if you exercise the strikes and you determine them to [have been made] on a [] discriminatory basis, you forfeit those rights,” and, as a result, defense counsel exhausted his peremptory challenges before the completion of jury selection.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 790; AM JUR 2d, Jury §§ 206, 207, 210, 213–215; AM JUR 2d, New Trial § 265.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:2907, 172:2910, 172:2914, 172:2916.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 22.3.
MCKINNEY'S, CPL 270.25 (2).
NY JUR 2d, Criminal Law §§ 2288, 2290, 2292, 2299.

ANNOTATION REFERENCE

See ALR Index under Jury and Jury Trial; New Trial; Peremptory Challenge.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: forfeit! /s peremptory /2 challenge & discriminat!

POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Jennifer Marinaccio, Joseph N. Ferdenzi and Stanley R. Kaplan of counsel), for appellant. The Appellate Division, First Department, erroneously determined that trial courts are prohibited, under all circumstances, from remedying Batson violations by refusing to restore peremptory challenges that have been used to unlawfully discriminate against potential jurors. (Batson v Kentucky, 476 US 79; People v Bolling, 79 NY2d 317; People v Kern, 75 NY2d 638; United States v Ramirez-Martinez, 273 F3d 903; United States v Lopez, 484 F3d 1186; People v Hameed, 88 NY2d 232; People v Chin, 3 AD3d 574, 2 NY3d 761; People v Johnson, 196 Misc 2d 417; People v Kin Kan, 78 NY2d 54; People v Perez, 37 AD3d 152.)

Center for Appellate Litigation, New York City (Peter Theis and Robert S. Dean of counsel), for respondent. The Appellate Division correctly determined that the trial court's remedy for defense counsel's Batson violation—reseating the two struck jurors and forfeiting the peremptory challenges that counsel had used to strike the jurors—was improper and contrary to the clear statutory directive of CPL 270.25. (Batson v Kentucky, 476 US 79; People v Payne, 88 NY2d 172; People v Taam, 260 AD2d 261; People v Frye, 191 AD2d 581; People v Chin, 3 AD3d 574; People v Perez, 37 AD3d 152; People v Hernandez, 75 NY2d 350;

People v Cronin, 60 NY2d 430; *People v Davis*, 44 NY2d 269; *People v Farrar*, 52 NY2d 302.)

OPINION OF THE COURT

Chief Judge KAYE.

When a litigant peremptorily challenges two potential jurors in a discriminatory manner, does a trial judge have discretion to remedy that constitutional violation by (in addition to seating the two individuals) requiring the litigant to forfeit those improperly exercised challenges? We conclude that trial judges do have that discretion, but that no such discretion was exercised here in ordering forfeiture, and we therefore affirm the Appellate Division order directing a new trial.

Background

On December 16, 2002, defendant Ruben Luciano allegedly confronted and shot Angel Rodriguez at Rodriguez's place of employment, injuring his hip. On January 3, 2003 a Bronx County grand jury charged him with attempted murder, assault and criminal possession of a weapon.

Jury selection commenced in March 2004 with an initial venire of 16 potential jurors. During voir dire, defense counsel asked two questions pertinent to this appeal. First, he asked whether a witness is more likely to tell the truth after taking an oath. Second, he asked whether the panelists had formed an opinion as to defendant's guilt before the presentation of evidence. After the court rejected the People's challenge for cause, defense counsel challenged every potential juror who answered "yes" to the oath question and "I don't know" to the guilt question. The Judge denied both applications.

The Judge then invited the People to exercise peremptory challenges. The People struck four panelists without objection, leaving five women and five men. Defense counsel exercised eight peremptory challenges, striking all five remaining women and three men. In response to defense counsel's strike of every woman, the People raised a *Batson* challenge and the trial court required counsel to proffer a gender-neutral reason for each of those challenges. The court accepted defense counsel's gender-neutral explanations for only three, concluding that as to two the explanations were pretextual and the strikes discriminatory.

The Judge seated the two women and prohibited defense counsel from reusing those peremptories. When defense counsel attempted to prove his good faith by offering to strike one of the

male panelists on the same ground, the Judge truncated his efforts and said, “You don’t get the benefit for exercising strikes [in] a discriminatory manner . . . That’s the law.” Defense counsel later renewed his objection, asking “Why is it that I am penalized those two strikes which I have not [been allowed to make?]” The Judge responded, “Because you misstated the law. The law is that if you exercise the strikes [on a discriminatory basis] you forfeit those rights.” Defense counsel exhausted his remaining peremptories just before a full panel of jurors was selected.

Defendant was convicted of criminal possession of a weapon in the second degree and assault in the second degree, and sentenced as a second felony offender to concurrent sentences of 15 years and 7 years, respectively. He appealed his conviction on several grounds, but the Appellate Division reached only one. Without passing on the merits of the *Batson* ruling, a unanimous First Department concluded that forfeiting two of defendant’s peremptory challenges violated the mandate of CPL 270.25 (2) that each party “must be allowed” the statutorily prescribed number of challenges. Because the practical effect of the trial judge’s ruling improperly denied defendant the requisite number of peremptory challenges, the court reversed his conviction and ordered a new trial. We now affirm, but on different grounds.

Analysis

From “earliest times the right of peremptory challenge was the privilege of the accused” (*People v McQuade*, 110 NY 284, 293 [1888]; see *People v Thompson*, 79 AD2d 87, 97 [2d Dept 1981]). Though not a trial tool of constitutional magnitude, peremptory challenges are a mainstay in a litigant’s strategic arsenal. Today this right is protected by the Criminal Procedure Law, which provides that each party “must be allowed” an equal number of peremptory challenges and that a court “must exclude” any juror challenged (CPL 270.25 [1], [2]).

Until 1986, litigants could challenge a potential juror for any or no reason at all. In that year, the United States Supreme Court held that a prosecutor’s exercise of peremptory challenges to excuse jurors solely on the basis of race violated the Equal Protection Clause of the United States Constitution (*Batson v Kentucky*, 476 US 79 [1986]). In the years since *Batson* this Court has adopted that rule under our own Constitution and extended it to discriminatory practices by defense counsel—in

effect, reverse *Batson* challenges—on the basis of race, gender or any other status that implicates equal protection concerns (see *People v Kern*, 75 NY2d 638 [1990]; *People v Allen*, 86 NY2d 101 [1995]).

It is, moreover, now well settled that a trial court must engage in a three-step process to determine whether a peremptory challenge has been exercised in a discriminatory manner. First, one party must allege a prima facie case of discrimination by opposing counsel. If sufficiently stated, the accused party must set forth a neutral reason for each challenged strike. Finally, the trial court must determine whether the proffered reasons are mere pretext masking a discriminatory intent (*Allen*, 86 NY2d at 104).

[1] The novel question we confront today is how to remedy an established incident of discrimination. More specifically, we must determine whether forfeiting peremptory challenges used in a discriminatory manner is a permissible remedy. On this issue of first impression—expressly reserved to the states by the Supreme Court*—we hold that it is.

We begin, as always, with the statute. Criminal Procedure Law § 270.25 (1) provides that a peremptory challenge is an “objection to a prospective juror for which no reason need be assigned.” The statute mandates that each party “must be allowed” the requisite number of peremptory challenges and that the court “must exclude” each juror so challenged. Defendant asserts, and the Appellate Division held, that this language prohibits the forfeiture remedy because the practical effect would be to deprive a litigant of the statutorily mandated number of peremptory challenges. We disagree.

CPL 270.25 predates *Batson* and codifies an outdated theory of peremptory challenges because it perceives no circumstance where their exercise must be explained—and that, most certainly, is no longer the law. To strictly construe the language

* As Justice Powell observed in his opinion for the Court in *Batson*, “In light of the variety of jury selection practices followed in our state and federal trial courts, we make no attempt to instruct these courts how best to implement our holding today. For the same reason, we express no view on whether it is more appropriate in a particular case, upon a finding of discrimination against black jurors, for the trial court to discharge the venire and select a new jury from a panel not previously associated with the case, or to disallow the discriminatory challenges and resume selection with the improperly challenged jurors reinstated on the venire” (*Batson*, 476 US at 99 n 24 [citation omitted]).

of the statute would by definition violate *Batson*. While it is true that a litigant need not ascribe a reason for most peremptory challenges, a race-neutral or gender-neutral reason must be proffered once a prima facie case of discrimination has been charged. What seems like a statutory mandate therefore must be read in the light *Batson* and the constitutional limits have, since the statute's inception, placed on peremptory challenges. The statutory language alone neither requires, nor bars, the forfeiture remedy.

Defendant adds that the forfeiture remedy is inconsistent with other cases from this Court strictly construing the number of peremptory challenges required by CPL 270.25, citing *People v McGee* (76 NY2d 764 [1990]). Not so. In *McGee*, the trial court erred in preemptively reducing the number of peremptory challenges based on the class of the crime submitted to the jury as opposed to the class of crime listed in the indictment (*id.* at 766). Here, forfeiture does not violate the plain language of the statute because each party began with the proper number of peremptory challenges and exercised the same number of peremptory challenges. The statute makes no promise of permitting litigants to re-use challenges improperly exercised in the first instance.

Having determined that forfeiture is neither required nor prohibited by the Criminal Procedure Law, we next consider whether it is a permissible remedy to be exercised in a trial judge's discretion. To do so requires a balancing of two competing interests—the tradition of exercising peremptory challenges without explanation, and a potential juror's right to be free of discrimination.

Peremptory challenges remain a useful trial tool for litigants, especially the accused. Indeed, in *People v McQuade* the Court referred to the right of peremptory challenge given to the accused person as “a substantial right” and enforced it by strictly construing the statutory language prescribing the order in which peremptory challenges should be exercised—first by the prosecution, then by the defendant—without exception (110 NY at 292-293; *see also People v Williams*, 26 NY2d 62 [1970]). Over time, however, this right also has been the subject of limitation and criticism (*Allen*, 86 NY2d at 109 n 2; *People v Bolling*, 79 NY2d 317, 326 [1992, Bellacosa, J., concurring]). *Batson* itself recognized a third party's interest in the jury selection process—that of the potential juror denied the opportunity to serve because of discrimination. It is this interest that tilts

the scales toward permitting the forfeiture remedy, in the discretion of the trial courts.

“[D]iscrimination in the selection of juries harms the excluded juror by denying this opportunity to participate in the administration of justice, and it harms society by impairing the integrity of the criminal trial process” (*Kern*, 75 NY2d at 652 [citations omitted]). Forfeiture furthers these interests by deterring discriminatory conduct. “The purpose of the *Batson* rule is to eliminate discrimination, not minimize it . . .” (*Bolling*, 79 NY2d at 321.) Precluding forfeiture as a remedy offers no deterrent effect. Rather, disallowing forfeiture may be seen as indifference to discriminatory challenges; if caught, the litigant would be in the same position as if there had been no *Batson* violation.

Vesting the trial court with discretion to utilize this remedy is consistent with the *Batson* inquiry, which vests the trial judge with broad discretion to determine the parties’ credibility. Once that discretion has been exercised, a trial judge’s determination is entitled to “great deference” (*People v Hernandez*, 75 NY2d 350, 356 [1990]).

In fact, in *People v Hameed*, this Court encouraged a trial judge’s exercise of discretion in the manner of conducting a postjudgment *Batson* remittal hearing and declined to impose specific procedural requirements, like cross-examination (88 NY2d 232 [1996]). As we observed, “the actual conduct of the inquiry has been placed within the sound discretion and molding of the trial courts, as long as the substantive principles are satisfied” such that proper measures “suitable to a particular case and circumstance[]” can be enforced (*id.* at 237, 239 [citations omitted]). Where the trial judge has discretion to make the substantive *Batson* determination, we see no reason to curtail the exercise of that discretion in fashioning the remedy. Forfeiture promotes the spirit of *Batson*, signaling to litigants—and to the jury—that discrimination will not be tolerated.

Courts from other jurisdictions—in addition to at least one trial court in this state (*see People v Johnson*, 196 Misc 2d 417 [Sup Ct, Kings County 2003])—have permitted the forfeiture remedy in certain circumstances. In a recent unpublished decision, the United States Court of Appeals for the Second Circuit affirmed a District Court judge’s decision to forfeit defense counsel’s improperly exercised peremptory challenges reasoning that the remedy “is entirely in keeping with both the goal of

Batson and its clear statement that trial courts retain broad discretion to fashion an appropriate remedy for a violation of its rule” (*United States v Aleman*, 246 Fed Appx 731, 735 [2d Cir 2007]). In Texas, the court permitted forfeiture, noting that the remedy imposes an appropriate consequence on the offending party (*Peetz v State*, 180 SW3d 755 [Tex Ct App 2005]).

In holding that forfeiture is a permissible remedy, we note that the free exercise of peremptory challenges is a venerable trial tool that should be denied only in rare circumstances. In fashioning the proper remedy, a trial judge may consider, among other factors, whether the challenged juror is available to be re-seated, whether the litigant appears to be engaging in a pattern of discrimination, and the number of peremptory challenges that remain to be exercised. While even a single instance of discriminatory conduct may warrant forfeiture, where the finding of discrimination is close, forfeiture may not be an appropriate remedy (see e.g. *United States v Ramirez-Martinez*, 273 F3d 903 [9th Cir 2001], *overruled on other grounds by United States v Lopez*, 484 F3d 1186 [9th Cir 2007]).

[2] Here, defendant is entitled to a new trial because the trial judge was under a misapprehension that the law required forfeiture and failed to exercise the requisite discretion. As the court stated, “The law is that if you exercise the strikes and you determine them to [have been made] on a[] discriminatory basis, you forfeit those rights.” As a result, defense counsel exhausted his peremptory challenges before the completion of jury selection. This is reversible error, entitling defendant to a new trial. In so holding, we reach no conclusion as to whether there was indeed a *Batson* violation or whether forfeiture would have been a proper remedy had discretion been exercised.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[890 NE2d 195, 860 NYS2d 433]

TAG 380, LLC, Respondent, v COMMET 380, INC., Appellant.
(And a Third-Party Action.)

Argued April 17, 2008; decided June 3, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 13, 2007. The Appellate Division modified, on the law, insofar as appealed from, a judgment, denominated order and judgment (one paper), of the Supreme Court, New York County (Marcy S. Friedman, J.; *see* 2005 NY Slip Op 30271[U]), which had (1) granted defendant summary judgment on its first counterclaim for a declaratory judgment and declared that plaintiff had a duty under the parties' lease to obtain insurance which did not exclude coverage for terrorism; (2) granted defendant summary judgment on its second counterclaim for breach of contract to the extent of awarding defendant attorneys' fees in connection with the main action and the cost of premiums paid by defendant to obtain terrorism insurance; (3) dismissed defendant's third, fourth, and fifth counterclaims for damages as duplicative; and (4) denied plaintiff's cross motion for summary judgment dismissing defendant's counterclaims. The modification consisted of declaring that plaintiff had no duty under the lease to maintain terrorism coverage on the leased premises, vacating the award of damages and attorneys' fees to defendant, and directing that judgment be entered in favor of plaintiff dismissing the counterclaims.

TAG 380, LLC v ComMet 380, Inc., 40 AD3d 1, modified.

HEADNOTES

Landlord and Tenant — Lease — Tenant Required to Procure Insurance without Terrorism Exclusion

1. Plaintiff tenant, required under the parties' lease to maintain insurance coverage against loss or damage by fire and other named perils included under the terms of the New York Standard Fire Insurance Policy and Extended Coverage Endorsement in effect in 1989 (*see* Insurance Law § 3404), breached the lease by obtaining insurance coverage that expressly excluded "terrorism." Plaintiff violated Insurance Law § 3404 by providing less coverage than the minimum level of coverage for fire insurance provided in the standard policy, as the policy it obtained disallowed coverage for fire damage to a building caused by terrorists. Plaintiff's policy also failed to meet plaintiff's coverage obligations under the lease, as it excluded from coverage all methods potentially used by terrorists, including the named perils in the lease.

Landlord and Tenant — Lease — Failure of Tenant to Procure Required Insurance Coverage — Damages

2. Defendant landlord was entitled to damages for the amount of money it paid in premiums for terrorism insurance coverage after plaintiff tenant breached the parties' lease by obtaining insurance coverage that expressly excluded "terrorism." A provision in the lease permitted defendant to make payments to remedy plaintiff's default at plaintiff's expense, immediately and without notice in the case of emergency. In the immediate period following September 11, 2001, terrorist acts against large Manhattan commercial buildings such as defendant's were perceived threats, and defendant acted reasonably in procuring coverage to protect its ownership interests. Although plaintiff eventually purchased the necessary terrorism insurance, it breached the lease by failing to timely notify defendant that it had done so, and defendant was entitled to be reimbursed for any reasonable damages it incurred as a result of plaintiff's breach.

Landlord and Tenant — Lease — Failure of Tenant to Procure Required Insurance Coverage — Attorneys' Fees

3. Defendant landlord, having prevailed on its counterclaims for breach of contract damages and a judgment declaring that plaintiff tenant was required to obtain insurance that did not exclude "terrorism," was entitled to attorneys' fees. The parties' lease specifically authorized an award for attorneys' fees incurred for "enforcing any right against Tenant, under or in connection with this Lease, or pursuant to law."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance § 492; AM JUR 2d, Landlord and Tenant §§ 374-377, 380, 382, 383.

COUCH ON INSURANCE (3d ed) § 132:59.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 3:14, 21:9.

McKINNEY's, Insurance Law § 3404.

NY JUR 2d, Insurance § 1495; NY JUR 2d, Landlord and Tenant §§ 103, 114, 117, 203.

NEW YORK REAL PROPERTY SERVICE §§ 72:132-72:134.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Fire Insurance and Insurance Companies; Insurance and Insurance Companies; Landlord and Tenant.

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POINTS OF COUNSEL

Seward & Kissel LLP, New York City (*Bruce G. Paulsen*, *Jeffrey M. Dine* and *Benay L. Josselson* of counsel), for appellant. I.

The Appellate Division's decision was legally erroneous. (*Lane v Security Mut. Ins. Co.*, 96 NY2d 1; *Catalanotto v Commercial Mut. Ins. Co.*, 256 AD2d 883; *Pan Am. World Airways, Inc. v Aetna Cas. & Sur. Co.*, 505 F2d 989; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Throgs Neck Bagels v GA Ins. Co. of N.Y.*, 241 AD2d 66.) II. The decision ignores and is against the public policy of the State of New York. III. ComMet 380, Inc. is entitled to damages. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *9 Bros. Bldg. Supply Corp. v Buonamicia*, 299 AD2d 529; *Mathis v Yondata Corp.*, 125 Misc 2d 383; *Avon Prods. v Solow*, 215 AD2d 247; *Kimmell v Schaefer*, 89 NY2d 257.)

Rosenberg & Estis, P.C., New York City (Warren A. Estis and Michael E. Feinstein of counsel), for respondent. I. The Appellate Division properly held that TAG 380, LLC was not required under the lease to procure insurance for losses caused by terrorism. (*Harrigan v Liberty Mut. Fire Ins. Co.*, 170 AD2d 930; *Throgs Neck Bagels v GA Ins. Co. of N.Y.*, 241 AD2d 66; *Catalanotto v Commercial Mut. Ins. Co.*, 256 AD2d 883; *Home Ins. Co. v American Ins. Co.*, 147 AD2d 353; *BFP 245 Park Co. LLC v GMAC Commercial Mtge. Corp.*, 6 Misc 3d 1003[A], 2004 NY Slip Op 51708[U], 12 AD3d 330; *Brandyce v United States Lloyds*, 207 App Div 665, 239 NY 573; *Geigy v PL Apt. Corp.*, 228 AD2d 644; *Chock 336 B'way Operating v Comanche Props.*, 163 AD2d 36; *Great N. Ins. Co. v Dayco Corp.*, 637 F Supp 765; *Lane v Security Mut. Ins. Co.*, 96 NY2d 1.) II. The Appellate Division correctly affirmed Supreme Court's dismissal of ComMet 380, Inc.'s counterclaims for negligent misrepresentation and breach of the implied covenant of good faith and fair dealing as "redundant." (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Auble v Doyle*, 38 AD3d 1264; *Jorbel v Kopko*, 31 AD3d 611; *Rocco v Town of Smithtown*, 229 AD2d 1034; *Paull v First UNUM Life Ins. Co.*, 295 AD2d 982; *MTI/Image Group v Fox Studios E.*, 262 AD2d 20; *Caruso v Allnet Communication Servs.*, 242 AD2d 484; *Canstar v Jones Constr. Co.*, 212 AD2d 452; *Murphy v American Home Prods. Corp.*, 58 NY2d 293.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine whether a long-term ground tenant breached its lease by obtaining insurance coverage expressly excluding "terrorism" where the lease required that the tenant maintain insurance coverage against

loss or damage by fire and other named perils included under the terms of the New York Standard Fire Insurance Policy and Extended Coverage Endorsement in effect in 1989. We conclude that the lease required tenant to procure insurance covering the named perils without excluding “terrorism” as an underlying cause of the named peril and that, by failing to do so, the tenant breached its lease.

I.

The dispute in this case arose in the aftermath of the September 11, 2001 terrorist attacks, just prior to the enactment of the Terrorism Risk Insurance Act of 2002 (15 USC § 6701 Note).¹ During this time, it became the practice of insurance companies that provided coverage for large commercial properties in New York City to raise their premiums for policies covering potential damage caused by terrorists, or to exclude from coverage altogether all damage from terrorist acts (*see* 1 Kalis, Reiter, Segerdahl, Policyholder’s Guide to the Law of Insurance Coverage § 13.07 [B] [15], at 13-62 [2008 Supp], and vol 2, § 28.01, at 28-3 [2005 Supp]).

Defendant, ComMet 380, Inc., a corporate real estate investment trust, is the fee owner of a commercial building at 380 Madison Avenue, in New York City. Plaintiff, TAG 380, LLC, a limited liability company managed by real estate developer Sheldon H. Solow, is the tenant of that property under a master ground lease. Both parties are successors to a 25-year lease, which became effective on January 27, 1989 and is scheduled to expire on January 26, 2014.

Section 6.01 (a) of the lease requires tenant to “keep and maintain” insurance for the value of the building “against loss or damage by fire and against loss or damage by other risks included under the standard Extended Coverage Endorsement as presently adopted for use with the New York Standard Fire Insurance Policy, in an amount not less than the then full insurable value of the Building” (*see* Insurance Law § 3404).² The Extended Coverage Endorsement in effect in 1989 obligates the

1. Under this Act, the federal government and the insurance industry share the risk of loss from damage to commercial property and casualty loss arising from acts of terrorism.

2. Insurance Law § 3404 (e) codified the New York Standard Fire Insurance Policy that insures against all “direct loss” caused by fire and lightning, and provides the “minimum level of coverage permissible” with respect to those perils (*see Lane v Security Mut. Ins. Co.*, 96 NY2d 1, 5 [2001]).

lessee to provide full insurance for certain other named perils, including windstorm, hail, smoke, riot, civil commotion, explosion and physical contact with the building by an aircraft or vehicle, and specifically excludes from coverage damage to the building caused by, among other things, various water disasters and hostile or warlike action by sovereign nations or their agents. Section 6.03 of the lease requires that lessee furnish the owner with proof in the form of a “certificate or a duplicate original of such policy” not less than 30 days prior to the expiration of its current insurance policy.

On June 30, 2002, TAG’s insurance policy—which provided for a blanket coverage against all losses without excluding terrorism—expired. A month earlier, ComMet had written to TAG, reminding it of the impending expiration date. Before the expiration date, TAG obtained a one-year, all-risk policy that covered all causes of damage, as before, but it specifically exempted from coverage all losses incurred as a result of terrorism. The policy further contained an exclusions section, entitled the “War Risk and Terrorist Exclusion,” which disclaimed any action caused even remotely “by terrorism.” Indeed, the new policy explicitly stated “TERRORISM IS EXCLUDED.”

On August 5, 2002, TAG advised ComMet that it had purchased terrorism insurance valued at \$100 million. ComMet asserted that this coverage amount was inadequate, claiming that the insurable value of the building was approximately \$400 million. The same day, ComMet sent a notice of default to TAG, asserting that it had not complied with the terms of the lease. That notice, pursuant to section 11.01 of the lease, initiated a 10-business-day cure period, in which TAG could avoid default by obtaining the required insurance coverage. During this period, TAG did not provide any proof of even the alleged \$100 million coverage as required by the terms of the lease.

At about the same time, unbeknownst to ComMet, Solow Management purchased an additional one-year, \$300 million terrorism insurance coverage for its properties, including coverage for 380 Madison Avenue. Thereafter, TAG has maintained an all-risk policy covering damage caused by terrorism. It was not until February 19, 2003, after the commencement of this action, however, that TAG provided ComMet with evidence of its \$100 million terrorist insurance coverage, and later, on May 23, 2003, when faced with a subpoena, TAG finally disclosed the other \$300 million terrorist insurance policy.

In the interim, in August 2002, TAG commenced this action by moving for a declaratory judgment and a *Yellowstone* injunction (see *First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d 630 [1968]). ComMet counterclaimed for breach of contract damages, a declaratory judgment and attorneys' fees.³ On October 28, 2002, Supreme Court granted the *Yellowstone* injunction, which prohibited ComMet from terminating TAG's lease pending the outcome of this action and tolled the cure period in the default notice. Thereafter, ComMet moved for summary judgment on its counterclaims. Supreme Court granted ComMet summary judgment, holding that TAG breached its lease agreement, declaring that TAG "ha[d] a duty under Section 6.01 of the Lease to obtain insurance . . . which does not exclude coverage for terrorism" (2005 NY Slip Op 30271[U], at *8) and awarding damages and attorneys' fees.

The Appellate Division modified Supreme Court's decision insofar as appealed from by declaring that TAG had no duty under the lease to maintain terrorism insurance, and reversed the awards of damages and attorneys' fees.⁴ We granted ComMet leave to appeal, and now modify the Appellate Division order by reinstating the judgment of Supreme Court.

II.

When interpreting an insurance clause, we have repeatedly stated that it is for the court to determine the parties' rights and obligations under an insurance policy based on the specific language of the policy (see *Newin Corp. v Hartford Acc. & Indem. Co.*, 62 NY2d 916, 919 [1984]; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169, 172 [1973]). Similarly, it is a basic contract principle that "when parties set down their agreement in a clear, complete document, their writing should . . . be

3. ComMet also counterclaimed for negligent misrepresentation and breach of the implied covenant of good faith and fair dealing. Such claims were rejected by both Supreme Court and the Appellate Division as duplicative of the breach of contract claim. We do not disturb that determination.

4. Although not a subject of this appeal, ComMet additionally sued third-party defendant GMAC Commercial Mortgage Corporation (GMAC), its mortgage lender, for a declaration that (i) it is not obligated to purchase any insurances with respect to the property under the loan agreement and therefore is not in default thereunder; or (ii) that the loan agreement does not require ComMet to purchase terrorism insurance. GMAC counterclaimed by seeking a declaration, among others, that ComMet is required by the loan agreement to maintain terrorism insurance for the building. Supreme Court held that GMAC is entitled to a declaration that ComMet is required by the loan agreement to provide insurance for terrorism.

enforced according to its terms” (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004], quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]; see also *Reiss v Financial Performance Corp.*, 97 NY2d 195, 198 [2001]). “We have also emphasized this rule’s special import ‘in the context of real property transactions, where commercial certainty is a paramount concern, and where . . . the instrument was negotiated between sophisticated, counseled business people negotiating at arm’s length’ ” (*Vermont Teddy Bear Co.*, 1 NY3d at 475, quoting *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543, 548 [1995]).

Commercial property insurance is generally offered in either an all-risk policy or a named-perils policy (see *Parks Real Estate Purch. Group v St. Paul Fire & Mar. Ins. Co.*, 472 F3d 33, 41 [2d Cir 2006]). “Named-perils” covers only specifically enumerated risks, whereas an “all-risk” agreement generally covers all risks of physical loss, except for those perils specifically excluded. Those losses caused by fraud or, in some cases, by a fortuitous and unforeseen event are likewise excluded (see 7 Couch on Insurance 3d § 101:7). TAG was required to obtain only a “named-perils” policy to provide coverage for fire and the specifically named perils in the Standard Fire Insurance Policy and Extended Coverage Endorsement. It is undisputed that the lease here is silent as to whether it includes or excludes acts of terrorism.⁵

Under section 6.01 (a) of the lease, TAG was required to maintain insurance for the building against fire and loss or damage by other risks under the Standard Fire Insurance Policy and Extended Coverage Endorsement, covering windstorm, hail, smoke, riot, civil commotion, explosion and physical contact with the building by an aircraft or vehicle, irrespective of whether the mechanism of loss was the result of a terrorist act. The Standard Fire Insurance Policy, as set forth in Insurance Law § 3404 (e), provides that the insuring party must protect against all direct loss by fire and lightning, and provides for other minimum requirements for standard fire insurance poli-

5. The lease excludes some warlike activities by foreign actors, but it does not specifically disclaim all hostile actions by ad hoc paramilitary groups, such as al Qaeda. Thus, there is no issue that it is specifically tailored to address “terrorism” (see *Pan Am. World Airways, Inc. v Aetna Cas. & Sur. Co.*, 505 F2d 989 [2d Cir 1974]; cf. *Younis Bros. & Co. v CIGNA Worldwide Ins. Co.*, 899 F Supp 1385 [ED Pa 1995], *affd* 91 F3d 13 [3d Cir 1996]; see also 10A Couch on Insurance 3d § 152:18 [“the standard war exclusion does not explicitly extend to acts of terrorism”]).

cies (see *Lane v Security Mut. Ins. Co.*, 96 NY2d 1 [2001]). Thus, fire insurance policies must contain “terms and provisions no less favorable to the insured than those contained in the standard fire policy” (Insurance Law § 3404 [f] [1] [A]). If a policy contains a less favorable term, it “is enforceable as if it conformed with the statutory standard” (*1303 Webster Ave. Realty Corp. v Great Am. Surplus Lines Ins. Co.*, 63 NY2d 227, 231 [1984]).

In June 2002, TAG obtained insurance specifically excluding any damages caused by terrorism. TAG’s insurance policy states “TERRORISM IS EXCLUDED,” and it defines a “Terrorist purpose” as: “the use or threatened use of any unlawful means, including the use of force or violence.” The exclusions clause additionally provides that TAG’s insurance does not cover any peril caused by terrorists: “whether such loss or damage is accidental or intentional, intended or unintended, direct or indirect, proximate or remote or in whole or in part caused by, contributed to or aggravated by any perils insured by the policy.”

ComMet contends that “terrorism” includes actions taken by individuals who may use any of the enumerated perils to cause damage to the building. TAG, on the other hand, contends that the insurance it procured provided coverage for any of the named perils and thus it met its obligations under the lease, even though its policy excluded “terrorism.” TAG is mistaken.

[1] TAG’s insurance violated Insurance Law § 3404. In *Lane v Security Mut. Ins. Co.* (96 NY2d 1 [2001]), we held that a fire insurance policy that excludes coverage for an intentional fire set by “an insured” violates Insurance Law § 3404. In that case, the plaintiff insured’s son, a stranger to the policy, damaged the insured premises by setting it on fire. We held that the insurer violated the Insurance Law by providing less coverage than the minimum level of coverage for fire insurance provided in the standard policy, because it disallowed coverage for a third party intentionally using fire to cause damage to the building. The same reasoning can be applied here too, where terrorists may cause fire damage to a building. We reject TAG’s contention that because terrorism is not specifically mentioned as a named peril, it is outside of the coverage.

TAG’s policy also failed to meet its coverage obligations under the lease. “Terrorism” is commonly defined as “[t]he use or threat of violence to intimidate or cause panic, [especially] as a

means of affecting political conduct” (see Black’s Law Dictionary 1512-1513 [8th ed 2004]). The term is not limited to a specific cause of harm (e.g. a fire, explosion, collision with an aircraft), but rather it can also describe individuals, with a common purpose, who may potentially utilize any of the lease’s named perils to cause damage to the building. Thus, by purchasing a policy that excludes from coverage all methods potentially used by terrorists, including the named perils in the lease, TAG breached its lease.⁶

[2] The remaining issues are (1) whether ComMet is entitled to damages for the amount of money it paid in insurance premiums for the purchase of the necessary coverage; and (2) whether it is entitled to attorneys’ fees. Section 12.01 of the lease permits ComMet to make payments to remedy TAG’s default at TAG’s expense, immediately and without notice in the case of emergency. In the immediate period following September 11, 2001, terrorist acts—against large Manhattan commercial buildings such as this one—were perceived threats. ComMet acted reasonably in procuring coverage to protect its ownership interests. The lease further required TAG to notify ComMet that it obtained adequate insurance 30 days prior to the lapse of its policy. It is undisputed that TAG eventually obtained insurance for \$400 million for various properties, including the property here, but never disclosed nor furnished a copy of the policy until May 2003, many months after its previous policy had expired. By purchasing terrorist insurance, but failing to disclose that information to ComMet, TAG breached sections 6.03 and 6.05 of the lease agreement. Thus, ComMet must be reimbursed for any reasonable damages it incurred as a result of TAG’s breach.

[3] As to whether ComMet is entitled to attorneys’ fees, generally, in a breach of contract case, a prevailing party may not collect attorneys’ fees from the nonprevailing party unless such award is authorized by agreement between the parties, statute or court rule (see *Hooper Assoc. v AGS Computers*, 74 NY2d

6. Although promulgated after TAG’s purchase of the offending policy, the Superintendent of Insurance’s pronouncement that terrorism exclusions are against the public policy of the State and barred under the Standard Fire Insurance Policy (see NY State Ins Dept Circular Letter No. 25, *RE: Applicability, Guidelines and Procedures for Compliance with the Provisions of the Terrorism Risk Insurance Act of 2002; Guidelines for the Use of Limitations for Acts of Terrorism in Commercial Property/Casualty Policies* [Dec. 23, 2002]) lends support to ComMet’s argument that allowing the decision below to stand is inconsistent with New York’s public policy.

487, 491 [1989]). Section 12.01 of the lease states: “bills for all costs, expenses and disbursements of every kind and nature whatsoever, including reasonable attorneys’ fees, involved in . . . enforcing any right against Tenant, under or in connection with this Lease, or pursuant to law . . . shall be due and payable . . .” Thus, Supreme Court’s award of attorneys’ fees was proper.

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the judgment of Supreme Court and, as so modified, affirmed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[890 NE2d 191, 860 NYS2d 429]

DZAFER VUCETOVIC et al., Appellants, v EPSOM DOWNS, INC., Respondent.

Argued April 17, 2008; decided June 3, 2008

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 6, 2007. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Judith J. Gische, J.; op 2006 NY Slip Op 30210[U]), which had granted defendant's motion for summary judgment and dismissed the complaint.

Vucetovic v Epsom Downs, Inc., 45 AD3d 28, affirmed.

HEADNOTE

Negligence — Violation of Statutory Duty — Liability of Property Owner for Failure to Maintain Sidewalk in Reasonably Safe Condition — Tree Well

Defendant was not liable for injuries sustained by plaintiff when he stepped into a tree well located in front of defendant's building and tripped on one of the cobblestones surrounding the dirt area containing a tree stump. A tree well is not part of the "sidewalk" for purposes of section 7-210 of the Administrative Code of the City of New York, which imposes tort liability on property owners who fail to maintain city-owned sidewalks in a reasonably safe condition. The previous statutory scheme contemplated the installation, maintenance, repair and clearing of sidewalks or sidewalk flags by property owners in New York City. Tree wells were not mentioned, nor are they mentioned in section 7-210. While section 7-210 employs the phrase "shall include, but not be limited to," this clause applies to the types of maintenance work to be performed, not the specific features of what constitutes a sidewalk.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Highways, Streets, and Bridges §§ 427, 477, 504; AM JUR 2d, Premises Liability § 613.
NY JUR 2d, Government Tort Liability § 249; NY JUR 2d, Highways, Streets, and Bridges §§ 381–386.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:111.
PROSSER AND KEETON, TORTS (5th ed) § 57.

ANNOTATION REFERENCE

See ALR Index under Sidewalks.

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POINTS OF COUNSEL

Roura & Melamed, New York City (*Alexander J. Wulwick* of counsel), for appellants. Under New York City Administrative Code § 7-210, a tree well is part of the sidewalk for purposes of requiring certain property owners to maintain abutting sidewalks in reasonably safe condition. (*Acosta v City of New York*, 24 AD3d 291; *LoCurto v City of New York*, 2 AD3d 277; *Castiglione v Village of Ellenville*, 291 AD2d 769, 98 NY2d 604; *Freimor v City of New York*, 44 AD3d 514; *Hall v City of Syracuse*, 275 AD2d 1022; *Zizzo v City of New York*, 176 AD2d 722; *Gallo v Town of Hempstead*, 124 AD2d 700; *Malone v Town of Southold*, 303 AD2d 651; *Jasinski v City of New York*, 290 AD2d 237; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151.)

Rebore Thorpe & Pisarello PC, Farmingdale (*Timothy J. Dunn, III*, of counsel), for respondent. Tree wells are not included in the definition of sidewalks under the New York City Administrative Code and courts cannot interpret that they are included where the code is in derogation of the common law. (*Berger v City of New York*, 260 App Div 402, 258 NY 723; *Acosta v City of New York*, 24 AD3d 291; *LoCurto v City of New York*, 2 AD3d 277.)

Michael A. Cardozo, Corporation Counsel, New York City (*Francis F. Caputo* and *Susan Paulson* of counsel), for City of New York, amicus curiae. A property owner's duty to maintain the sidewalk abutting the property in a reasonably safe condition requires maintenance of the tree well in the sidewalk. (*Devine v City of New York*, 300 AD2d 532; *Angulo v City of New York*, 5 AD3d 707; *Fuhrmann v City of Binghamton*, 31 AD3d 1036; *Loforese v Cadillac Fairview Shopping Ctrs., U.S.*, 235 AD2d 399; *Otero v City of New York*, 213 AD2d 339; *Jasinski v City of New York*, 290 AD2d 237; *Grgich v City of New York*, 2 AD3d 680; *Garcia v City of New York*, 173 AD2d 175.)

OPINION OF THE COURT

GRAFFEO, J.

In this personal injury action, we conclude that a tree well is

not part of the “sidewalk” for purposes of section 7-210 of the Administrative Code of the City of New York, which imposes tort liability on property owners who fail to maintain city-owned sidewalks in a reasonably safe condition. We therefore affirm the order of the Appellate Division dismissing the complaint.

At about 10:30 P.M. on a clear, dry evening on January 31, 2004, plaintiff Dzafer Vucetovic was walking down East 58th Street in Manhattan between Second and Third Avenues when he stepped into a tree well and tripped on one of the cobblestones surrounding the dirt area containing a tree stump. The tree well was located in front of a building owned by defendant Epsom Downs, Inc.,¹ but the tree well apparently was installed prior to Epsom’s acquisition of the building.² Approximately four months before the accident, the City of New York had cut down the tree.

Plaintiff and his wife, suing derivatively, brought this action for personal injuries against Epsom alleging that the property owner failed to maintain the sidewalk in a reasonably safe condition in violation of section 7-210 of the Administrative Code of the City of New York. Epsom moved for summary judgment dismissing the complaint, contending that section 7-210 did not apply because the tree well was not a part of the sidewalk as defined in the Administrative Code.

Supreme Court granted the motion and dismissed the complaint, agreeing with Epsom that section 7-210 was inapplicable. A divided Appellate Division affirmed and plaintiff now appeals as of right based on the two-Justice dissent.

Before addressing the language of section 7-210 itself, it is necessary to examine the background underlying its enactment. Prior to the adoption of section 7-210, property owners in New York City had a statutory duty both to “install, construct, repave, reconstruct and repair the sidewalk flags in front of or abutting such property” (Administrative Code of City of NY § 19-152 [a]) and to “remove the snow or ice, dirt, or other material from the sidewalk” (Administrative Code of City of NY § 16-123 [a]). Failure to comply with these directives resulted in fines or an obligation to reimburse the City for its expenses incurred in performing the necessary work, but not tort liability

1. The building is an apartment complex with a commercial establishment on the ground floor.

2. Epsom’s vice-president and the superintendent of the building each testified that they did not know who placed the cobblestones. The record is otherwise silent as to who constructed the tree well.

(see Administrative Code of City of NY § 19-152 [e]; § 16-123 [e], [h]).

Under this previous statutory scheme, the City, as the owner of the sidewalks, generally remained liable for injuries to pedestrians caused by defective sidewalk flags, subject to the requirements of the prior written notice law (see Administrative Code of City of NY § 7-201 [c] [2]; see also *Yarborough v City of New York*, 10 NY3d 726 [2008]). An abutting landowner could be held liable only if the owner affirmatively created the dangerous sidewalk condition, negligently made repairs or used the sidewalk in a special manner for its own benefit (see *Hausser v Giunta*, 88 NY2d 449, 453 [1996]).

In 2003, the New York City Council modified this regime by adopting section 7-210 of the Administrative Code, which reads as follows:

“a. It shall be the duty of the owner of real property abutting any sidewalk, including, but not limited to, the intersection quadrant for corner property, to maintain such sidewalk in a reasonably safe condition.

“b. Notwithstanding any other provision of law, the owner of real property abutting any sidewalk, including, but not limited to, the intersection quadrant for corner property, shall be liable for any injury to property or personal injury, including death, proximately caused by the failure of such owner to maintain such sidewalk in a reasonably safe condition. Failure to maintain such sidewalk in a reasonably safe condition shall include, but not be limited to, the negligent failure to install, construct, reconstruct, repave, repair or replace defective sidewalk flags and the negligent failure to remove snow, ice, dirt or other material from the sidewalk . . .

“c. Notwithstanding any other provision of law, the city shall not be liable for any injury to property or personal injury, including death, proximately caused by the failure to maintain sidewalks . . . in a reasonably safe condition.”³

3. The provision does not apply to “one-, two- or three-family residential real property that is (i) in whole or in part, owner occupied, and (ii) used

(n. cont'd)

The City Council enacted section 7-210 in an effort to transfer tort liability from the City to adjoining property owners as a cost-saving measure, reasoning that it was appropriate “to place liability with the party whose legal obligation it is to maintain and repair sidewalks that abut them—the property owners” (Rep of Comm on Transp, at 5, Local Law Bill Jacket, Local Law No. 49 [2003] of City of NY). Notably, the language of section 7-210 “mirrors the duties and obligations of property owners with regard to sidewalks set forth in Administrative Code sections 19-152 and 16-123” (*id.* at 4; *see also* Office of Mayor Mem in Support, Local Law Bill Jacket, Local Law No. 49 [2003] of City of NY).

Against this backdrop, plaintiff, joined by the City as *amicus curiae*, asserts that tree wells should be considered an integral part of the sidewalk for purposes of section 7-210 such that Epsom may be held liable for the failure to maintain the tree well in a safe condition. Although section 7-210 does not define the term “sidewalk,” plaintiff relies on section 19-101 (d) of the Administrative Code, which describes a sidewalk as “that portion of a street between the curb lines, or the lateral lines of a roadway, and the adjacent property lines, but not including the curb, intended for the use of pedestrians.” Plaintiff also submits that section 7-210 should be broadly construed because it requires that sidewalks be maintained in a “reasonably safe condition.”

Acknowledging that this case presents a close question, we are constrained to agree with the courts below that section 7-210 does not impose civil liability on property owners for injuries that occur in city-owned tree wells. In reaching this result, we are guided by the principle that “legislative enactments in derogation of common law, and especially those creating liability where none previously existed,” must be strictly construed (*Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200, 206 [2004] [internal quotation marks and citation omitted]; *see also* McKinney’s Cons Laws of NY, Book 1, Statutes § 301 [c]).

Here, sections 19-152 and 16-123, the provisions whose language section 7-210 tracks, contemplate the installation, maintenance, repair and clearing of sidewalks or sidewalk flags. Significantly, tree wells are not mentioned in sections 19-152,

exclusively for residential purposes” (Administrative Code of City of NY § 7-210 [b], [c]). This exception is not applicable here.

16-123 or 7-210.⁴ And while section 7-210 employs the phrase “shall include, but not be limited to,” this clause applies to the types of maintenance work to be performed, not the specific features of what constitutes a sidewalk. Given the statutory silence and the absence of any discussion of tree wells in the legislative history, it seems evident that the City Council did not consider the issue of tree well liability when it drafted section 7-210. If the City Council desired to shift liability for accidents involving tree wells exclusively to abutting landowners in derogation of the common law, it needed to use specific and clear language to accomplish this goal.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

4. We further note that the City’s Department of Parks and Recreation is vested with exclusive jurisdiction over the “planting, care and cultivation of all trees and other forms of vegetation in streets” (Administrative Code of City of NY § 18-104). Indeed, an individual or entity is guilty of a misdemeanor if convicted of cutting, removing or in any way destroying a tree or other form of vegetation without first obtaining the Department’s permission (see Administrative Code of City of NY § 18-129).

[890 NE2d 201, 860 NYS2d 439]

In the Matter of SANTOS SUAREZ, Appellant, v JOHN BYRNE, as
Acting Justice of the Supreme Court, Bronx County, et al.,
Respondents.

Argued April 17, 2008; decided June 3, 2008

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 31, 2007 in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to CPLR 5601 [b] [1]). The Appellate Division denied the application to prohibit the retrial of criminal charges against petitioner and dismissed the petition.

Matter of Suarez v Byrne, 40 AD3d 546, affirmed.

HEADNOTES

Crimes — Double Jeopardy — Reversal of Conviction for Depraved Indifference Murder No Bar to Retrial on Unresolved Intentional Manslaughter Charge

1. Constitutional double jeopardy principles did not bar reprosecution of petitioner for first-degree manslaughter—a count submitted to but not considered by the jury in his first trial—after his acquittal of intentional murder and reversal by the Court of Appeals of his conviction for depraved indifference murder on the ground of legal insufficiency. The circumstances herein were analogous to a mistrial, and a second trial was thus warranted on a charge that the first jury did not reach. Although the jury was charged with intentional manslaughter in the first trial, the jurors did not have a full opportunity to consider petitioner’s guilt or innocence of this crime because of the order in which they were instructed to decide the counts, and their conviction of petitioner of the more serious crime of depraved indifference murder. Retrial of petitioner for depraved indifference murder was precluded because dismissal of a count due to insufficient evidence is tantamount to an acquittal for purposes of double jeopardy, but retrial of petitioner for intentional manslaughter was not so precluded. Moreover, depraved indifference murder and intentional manslaughter are not inconsistent counts: a defendant can recklessly cause a grave risk of death while intentionally inflicting serious physical injury. Accordingly, the jury did not implicitly acquit petitioner of intentional manslaughter when it convicted him of depraved indifference murder.

Crimes — Murder — Lesser Included Offense — Conviction of Charges Requiring Different Mental States Not Precluded

2. *People v Robinson* (145 AD2d 184 [4th Dept 1989]), which reversed a defendant’s conviction for intentional manslaughter, submitted to the jury as a lesser included offense of intentional murder, because the judge failed to submit counts of intentional murder and depraved indifference murder to the jury in the alternative, and which was affirmed by the Court of Appeals “for the reasons stated in” the Appellate Division’s opinion (75 NY2d 879, 881

[1990]), should not be read to mean that a defendant cannot be convicted of charges requiring different mental states, even as to different results—that is, the infliction of serious physical injury in the case of first-degree manslaughter and death in the case of depraved indifference murder. Such a reading would be at odds with the later decision of the Court of Appeals in *People v Trappier* (87 NY2d 55 [1995]), in which it was held that a defendant could intend to cause serious physical injury to another person and at the same time recklessly create a grave risk that death will result from that conduct.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 298, 317, 318, 363; AM JUR 2d, Homicide §§ 48, 179, 181.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:2009, 172:2011, 172:2013, 172:2017.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 25.1, 25.2, 25.4.
NY JUR 2d, Criminal Law §§ 1771, 1796, 1807, 1816, 1819, 1820, 3853–3855.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Homicide; Lesser Included Offenses; Manslaughter.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Mark W. Zeno* and *Robert S. Dean* of counsel), for appellant. Because the jury acquitted appellant of intentional murder, and this Court found insufficient evidence of depraved-indifference reckless murder, further prosecution for first-degree manslaughter is barred by (a) the Double Jeopardy Clauses of the State and Federal Constitutions, (b) collateral estoppel; and (c) CPL 40.20. (*People v Atkinson*, 7 NY3d 765; *People v Jean-Baptiste*, 44 AD3d 792; *People v George*, 43 AD3d 560, 9 NY3d 961; *People v Casper*, 42 AD3d 887; *People v Dudley*, 31 AD3d 264; *People v Rodriguez*, 43 AD3d 1317; *People v Garrison*, 39 AD3d 1138; *People v Fleurant*, 37 AD3d 492; *People v Hawthorne*, 35 AD3d 499; *People v Rodriguez*, 34 AD3d 1181.)

Robert T. Johnson, District Attorney, Bronx (*Peter D. Coddington*

ton of counsel), for respondent. The Appellate Division correctly dismissed and denied the petition because it fails to state a claim cognizable under CPLR article 78. (*Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County*, 37 NY2d 560; *Benton v Maryland*, 395 US 784; *Matter of McGrath v Gold*, 36 NY2d 406; *People v Berkowitz*, 50 NY2d 333; *Burks v United States*, 437 US 1; *People v Biggs*, 1 NY3d 225; *Blockburger v United States*, 50 F2d 795, 284 US 299; *People v Mayo*, 48 NY2d 245; *People v Maye*, 173 AD2d 891, 79 NY2d 1041; *People v Suarez*, 6 NY3d 202.)

OPINION OF THE COURT

READ, J.

At issue in this appeal is whether Santos Suarez may be retried for first-degree manslaughter—a count submitted to but not considered by the jury in his first trial—after his acquittal of intentional murder and our reversal of his conviction for depraved indifference murder on the ground of legal insufficiency. For the reasons that follow, we conclude that Suarez may be reprosecuted for intentional manslaughter; therefore, we affirm.

I.

On February 22, 2000, Suarez stabbed Jovanna Gonzalez in the throat, chest, and abdomen. He fled without summoning help, and Gonzalez, his live-in girlfriend and the mother of his infant daughter, bled to death. For this killing, Suarez was arrested and charged in a four-count indictment with second-degree murder (both intentional and depraved indifference murder) (Penal Law § 125.25 [1], [2]); first-degree manslaughter (intentional manslaughter) (Penal Law § 125.20 [1]); and fourth-degree criminal possession of a weapon (possession of a dangerous knife with intent to use the same unlawfully against another) (Penal Law § 265.01 [2]).

At trial, Suarez raised justification and extreme emotional disturbance (EED) as defenses, and contested his intent to cause Gonzalez's death, testifying that the stabbing was an "accident" and not intentional. The trial judge submitted four crimes to the jury: intentional murder, first-degree manslaughter (intentional murder reduced by virtue of an EED), depraved indiffer-

ence murder, and first-degree manslaughter (intentional manslaughter).¹

After defining intent as a general matter and explaining justification, the trial judge read and explained the first count of the indictment, intentional murder in the second degree. He then turned to EED, telling the jurors that if they decided that Suarez intentionally murdered Gonzalez while under the influence of an EED (which the judge subsequently defined), they were required to “return a verdict of Manslaughter in the First Degree, instead of guilty of Murder in the Second Degree” (see Penal Law § 125.20 [2]). He “refer[red] to [this] crime as reduced manslaughter because we have another count of Manslaughter in the First Degree, that is, [that Suarez] with the intent to cause serious physical injury, caused the death of . . . Gonzalez” (see Penal Law § 125.20 [1]). He instructed the jurors that “[t]he affirmative defense of [EED] requires you first . . . to find the fact that the two elements of [second-degree intentional murder have] been proven. If you find [that] they have been proven, you consider this defense. If they’re not proven, mark this verdict sheet not guilty, don’t consider [EED].”

Next, the trial judge read and explained the second count of the indictment, depraved indifference murder. He then read and explained first-degree manslaughter, the crime that the indictment’s third count accused Suarez of committing. The judge summed up as follows:

“As I said, if you find [Suarez] not guilty of murder in the second degree, intentional murder[,], now consider the crime of murder in the second degree, depraved indifference murder.

“If you find all three elements [of depraved indifference murder] have been proven beyond a reasonable doubt[,], mark your verdict sheet guilty. *Stop and go no further.*

“On the other hand, [if] after considering that crime [of depraved indifference murder] you find the People have failed to prove one or more of those three elements beyond a reasonable doubt[,], mark

1. The remaining count in the indictment—fourth-degree criminal possession of a weapon, a class A misdemeanor—was dismissed at the prosecution’s request at the close of its case.

your verdict sheet not guilty [and] *then consider the crime of manslaughter in the first degree. That's the crime intended to cause serious physical injury that caused the death of the deceased*" (emphasis added).

During the first morning of deliberations, the jury sent the trial judge a note, asking him to explain both intentional homicide, "just a brief breakdown," and depraved indifference murder again. In response, he repeated the definitions of intentional murder and depraved indifference murder. Shortly after lunch, the jury sent him another note, which read "We have reached a verdict. We are having a problem with counts two [reduced manslaughter] and three [depraved indifference murder]. Do we need to pick one or the other or both?"²

After informing counsel that he would not "mention justification as a defense because [the jurors have] already gone beyond that stage," the trial judge read the jury's note aloud and reiterated his instructions, concluding as follows:

"So if you find him guilty of that [intentional murder], you have to consider the defense [EED] . . . You only consider depraved indifference murder if you find him not guilty of intentional murder. Then you have to mark that not guilty. You don't consider Man One [reduced manslaughter]. *You go right to depraved indifference murder. You mark him either guilty or not guilty. If you find him not guilty of that count [of depraved indifference murder,] you consider the last count Man One.* And you make the determination of whether those elements have been proven or not proven" (emphasis added).

In short, the judge submitted the intentional and depraved indifference murder counts to the jury in the alternative. He told the jurors *not* to consider intentional manslaughter (intent to cause serious physical injury) unless they first acquitted Suarez of depraved indifference murder.

2. The verdict sheet was divided into vertical columns. The column headings, reading from left to right, were "Count Number," "Crime," "Guilty," and "Not Guilty." The verdict sheet also displayed "Count Number[s]" and their corresponding "Crime[s]" from top to bottom as follows: "Count Number 1 Murder in the Second Degree (Intentional Homicide) *and* Count Number 2 Manslaughter in the First Degree (Extreme Emotional Disturbance) *or* Count Number 3 Murder in the Second Degree (Depraved Indifference Homicide) *or* Count Number 4 Manslaughter in the First Degree (Intent to Cause Serious Physical Injury)" (emphasis added).

After the jury announced its verdict acquitting defendant of intentional murder, the trial judge stated, “Now, they don’t consider manslaughter in the first degree. It says not guilty on the verdict sheet anyway.”³ Similarly, after the jury announced the guilty verdict for the depraved indifference murder count, the judge said, “*Don’t consider the fourth count [intentional manslaughter (intent to cause serious physical injury)] because I instructed the jury not to consider any—*” (emphasis added). At that point, the court clerk interrupted the judge, stating “Members of the jury, listen to your verdict as it stands recorded. You and everyone [*sic*] of you says you find Santos Suarez guilty of depraved indifference homicide, and so say you all.” A poll confirmed the verdict’s unanimity, and the judge dismissed the jurors. He subsequently sentenced Suarez to a term of 20 years to life in prison.

Suarez appealed his conviction to the Appellate Division. There he argued that his conviction of depraved indifference murder was legally insufficient because his conduct was, in fact, intentional, and therefore could not have been reckless. The Appellate Division affirmed Suarez’s conviction, giving as its reason that “[t]he jury could have reasonably concluded, particularly if it credited portions of [Suarez’s] testimony, that when [he] inflicted several knife wounds upon his girlfriend during a struggle, her death was not the result of any intentional conduct, but instead resulted from conduct satisfying the elements of depraved indifference murder” (*People v Suarez*, 13 AD3d 320, 320-321 [1st Dept 2004]).

A Judge of this Court subsequently granted Suarez leave to appeal. We reversed his conviction for depraved indifference

3. On the verdict sheet, the word “Yes” was crossed out and initialed in the space in the “Guilty” column for “Count 2 Manslaughter in the First Degree (Extreme Emotional Disturbance).” In addition, there was a check mark in the space in the “Not Guilty” column for this count, which is apparently what the trial judge was referring to when he commented “It says not guilty on the verdict sheet anyway.” The verdict sheet also showed a check mark in the space in the “Not Guilty” column across from “Count Number 4, Manslaughter in the First Degree (Intent to Cause Serious Physical Injury).” Suarez’s attorney examined the verdict sheet before the verdict was taken, and did not ask the judge to question the jury about either of these check marks. Although Suarez argues that the check mark on the verdict sheet amounts to an acquittal of intentional manslaughter, a verdict must be announced in open court (CPL 1.20 [12]). Marks on verdict sheets are not verdicts (see *Matter of Oliver v Justices of N.Y. Supreme Ct. of N.Y. County*, 36 NY2d 53, 57 [1974]; *People v Khalek*, 91 NY2d 838, 840 [1997]).

murder on the ground of legal insufficiency. In so doing, we observed that

“[Suarez’s] acts in stabbing his victim in the throat, chest and abdomen did not, as a matter of law, constitute depraved indifference murder. Whether he intended to kill her or merely to cause her serious injury—and either of these findings, supported by sufficient evidence, might have been properly made by the jury—[his] actions in no way reflected a depraved indifference to her fate” (*People v Suarez*, 6 NY3d 202, 216 [2005]).

Because the parties focused on the merits in their arguments before us and the Appellate Division “had no occasion to address the significant legal arguments bearing on the appropriate remedy,” we remitted for “full briefing and consideration and for [the Appellate Division] to exercise its corrective action powers under CPL 470.20” (*id.*).

On remittal, the Appellate Division recognized that the “question of remedy [was] a critical and potentially recurring issue, given the widespread use of the depraved indifference murder statute” before “a recent series of Court of Appeals decisions that seek to provide a clearer understanding of the criminal liability contemplated by the term ‘depraved indifference’ and thereby to foster appropriate use of criminal charges based upon this theory” (*People v Suarez*, 40 AD3d 143, 144 [1st Dept 2007] [citations omitted]). The court phrased the “primary” question on remittitur as

“whether, given [Suarez’s] acquittal of intentional murder and the Court of Appeals’ reversal of [his] conviction of depraved indifference murder, the Double Jeopardy Clauses of the Federal and State Constitutions, New York Criminal Procedure Law double jeopardy provisions and/or the doctrine of collateral estoppel bar [Suarez] from now being tried for intentional manslaughter in the first degree, a charge included in the indictment, and submitted to but not considered by the jury” (*id.* at 145-146).

With one Justice dissenting, the Appellate Division concluded that there was no constitutional, statutory or collateral estoppel bar to Suarez’s retrial for intentional manslaughter.

The court first remarked that the “tenor of the Court of Appeals’ decision in [*Suarez*] [was] that the trial court erroneously

submitted the depraved indifference murder count to the jury, since it was not supported by legally sufficient evidence” (*id.* at 146). This “trial error, in combination with New York’s ‘acquit first’ rule,” which mandates how “a jury must be charged to conduct its deliberations when lesser included offenses are submitted—i.e., the offenses must be considered in decreasing order of culpability, acquittal of all greater offenses before consideration of any lesser included offenses”—foreclosed the jury from reaching the charge of intentional manslaughter (*id.*). But for the trial judge’s error, the Appellate Division opined, “the jury would have been required to consider intentional manslaughter once it acquitted [Suarez] of intentional murder” (*id.* at 147). The court analogized what had happened to “a mistrial or partial verdict situation,” in which “a verdict on the charge was never reached” and therefore future prosecution of that charge was permissible (*id.* at 148).

Further, the Appellate Division concluded that our decision in *People v Biggs* (1 NY3d 225 [2003]) did not suggest otherwise. In that case,

“after dismissal and acquittal of the respective intentional and the depraved indifference murder counts, the trial ended with the jury unable to reach a verdict on the ‘lesser included’ second-degree manslaughter counts. There was no reversible trial error. Thus, the People were entitled to retry the defendant on those two counts pursuant to CPL 310.70 (2). However, in addition to those counts, the People sought, upon re-presentation to a grand jury, the new and more serious first-degree manslaughter counts. This violated several double jeopardy principles, since these counts could have been charged in the first indictment, but were neither charged nor submitted to the jury (*see* CPL 40.40 [2]),⁴ they exposed the defendant to greater jeopardy than what he faced at the conclusion of the first trial, and they constituted the same offense, for double jeopardy purposes, as the intentional murder counts of which he was acquitted in the first trial . . .

4. Criminal Procedure Law § 40.40 (2), New York’s compulsory joinder statute, limits a prosecutor’s authority to pursue charges that could have been joined in a prior indictment, but were neither indicted nor submitted as lesser included offenses.

“In the case at bar, the only similarity to *Biggs* is that there was also an acquittal of intentional murder counts charged in the alternative to depraved indifference murder counts. Here, [Suarez] was convicted of depraved indifference murder, trial error was found, the conviction overturned and the count dismissed, leaving unresolved the indicted manslaughter one count that, but for the trial error in submitting depraved indifference murder, would have been considered by the jury. Since, unlike in *Biggs*, the People only seek to prosecute this remaining unresolved count, as charged in the indictment, which they may do pursuant to CPL 40.30 (3), they are entitled to such relief. At this point, [Suarez] is subject to none of the perils present in *Biggs*” (*Suarez*, 40 AD3d at 149-150 [citations omitted]).

Additionally, the Appellate Division decided that collateral estoppel did not preclude Suarez’s reprosecution for a variety of reasons.

The dissenting Justice, by contrast, considered our decision in *Biggs* to present an insurmountable obstacle to Suarez’s retrial for intentional manslaughter. He also disputed the majority’s analogy to mistrials and partial verdicts.

Suarez appealed as of right, arguing that the Appellate Division had contravened our remittitur by “downgrad[ing]” the ground of reversal of his conviction from legal insufficiency to trial error. Concluding that “substantial grounds” did not exist to support Suarez’s position, we dismissed the appeal on our own motion (*see* Karger, Powers of the New York Court of Appeals § 5:30, at 193-194 [3d ed rev]).

With his retrial for first-degree manslaughter looming, Suarez commenced this CPLR article 78 proceeding in the Appellate Division. A different panel denied Suarez’s application and dismissed his petition without opinion, simply citing the prior panel’s decision (*see Matter of Suarez v Byrne*, 40 AD3d 546 [1st Dept 2007]). Suarez then appealed to us as of right on constitutional grounds pursuant to CPLR 5601 (b) (1).

II.

The Double Jeopardy Clauses of the State and Federal Constitutions safeguard a defendant from twice being prosecuted for the same offense (*see* NY Const, art I, § 6; US Const 5th Amend). “The underlying idea” is, in the familiar words of

Justice Black, “deeply ingrained in at least the Anglo-American system of jurisprudence”; namely,

“that the State with all its resources and power should not be allowed to make repeated attempts to convict an individual for an alleged offense, thereby subjecting him to embarrassment, expense and ordeal and compelling him to live in a continuing state of anxiety and insecurity, as well as enhancing the possibility that even though innocent he may be found guilty” (*Green v United States*, 355 US 184, 187-188 [1957]).

The prohibition against double jeopardy also recognizes an accused’s “valued right to have his trial completed by a particular tribunal” (*Wade v Hunter*, 336 US 684, 689 [1949]; *People v Ferguson*, 67 NY2d 383, 388 [1986]).

In keeping with these “underlying idea[s],” the United States Supreme Court has interpreted the Double Jeopardy Clause to bar the government from prosecuting a person for the same offense after an acquittal or a conviction; or from imposing multiple punishments for the same offense in successive proceedings (*North Carolina v Pearce*, 395 US 711, 717 [1969], *overruled in part on other grounds by Alabama v Smith*, 490 US 794 [1989]). An acquittal may be implicit (*In re Nielsen*, 131 US 176, 190 [1889] [“If a conviction might have been had, and was not, there was an implied acquittal”]; *Green*, 355 US at 190-191; *Price v Georgia*, 398 US 323, 328-329 [1970]). The implied acquittal bar to reprosecution presupposes that the first jury “was given a full opportunity to return a verdict” on the particular charge that the prosecutor seeks to advance in the second trial (*Green*, 355 US at 191; *see also Price*, 398 US at 329; *People v Jackson*, 20 NY2d 440, 452 [1967], *cert denied* 391 US 928 [1968]).

In order to determine whether two different statutory offenses are the same for purposes of constitutional double jeopardy, we apply the Supreme Court’s *Blockburger* or “same elements” test (*see Blockburger v United States*, 284 US 299 [1932]; *People v Wood*, 95 NY2d 509, 513 [2000]). Under *Blockburger*, two offenses are the same unless each requires proof of a fact the other does not.

A defendant who succeeds in having a conviction reversed on appeal may be retried for the same offense without contravening double jeopardy principles (*United States v Ball*, 163 US

662, 671-672 [1896]). The Supreme Court, however, has “[c]arv[ed] out a narrow exception to the general rule established in *Ball*,” holding that “ ‘the Double Jeopardy Clause precludes a second trial once the reviewing court has found the evidence legally insufficient’ ” (*Anderson v Mullin*, 327 F3d 1148, 1155 [10th Cir 2003], quoting *Burks v United States*, 437 US 1, 18 [1978]; see also *Biggs*, 1 NY3d at 229 [(D)ismissal of a count due to insufficient evidence is tantamount to an acquittal for purposes of double jeopardy and protects a defendant against additional prosecution *for such count*” (emphasis added)]; *People v Mayo*, 48 NY2d 245, 249 [1979] [(“T)he trial court’s decision to withdraw the first degree robbery count from the jury’s consideration on the ground of insufficient evidence was equivalent to an acquittal and therefore operated as a bar to any further prosecution of that charge”]). As the Supreme Court has explained,

“While different theories have been advanced to support the permissibility of retrial,¹⁵¹ of greater importance than the conceptual abstractions employed to explain the *Ball* principle are the implications of that principle for the sound administration of justice. Corresponding to the right of an accused to be given a fair trial is the societal interest in punishing one whose guilt is clear after he has obtained such a trial. It would be a high price indeed for society to pay were every accused granted immunity from punishment because of any defect sufficient to constitute reversible error in the proceedings leading to conviction. From the standpoint of a defendant, it is at least doubtful that appellate courts would be as zealous as they now are in protecting against the effects of improprieties at the trial or pretrial stage if they knew that reversal of a conviction would put the accused irrevocably beyond the reach of further prosecution. In reality,

5. Historically,

“[m]ost courts regarded the new trial [after reversal of a conviction] as a second jeopardy but justified this on the ground that the appellant had ‘waived’ his plea of former jeopardy by asking that the conviction be set aside. Other courts viewed the second trial as continuing the same jeopardy which had attached at the first trial by reasoning that jeopardy did not come to an end until the accused was acquitted or his conviction became final” (*Green*, 355 US at 189 [footnote omitted]).

therefore, the practice of retrial serves defendants' rights as well as society's interest" (*United States v Tateo*, 377 US 463, 466 [1964]).

Further, where there is a mistrial declared "following the jury's inability to reach a verdict, . . . under settled double jeopardy principles[] there could be no objection to the bringing of a second criminal proceeding" (*Mayo*, 48 NY2d at 249-250, citing *United States v Perez*, 9 Wheat [22 US] 579 [1824]; *United States v Scott*, 437 US 82, 92-94 [1978]; *Arizona v Washington*, 434 US 497 [1978]; *Matter of Nolan v Court of Gen. Sessions of County of N.Y.*, 11 NY2d 114, 119 [1962]; see also *Richardson v United States*, 468 US 317, 326 [1984] ["(J)eopardy does not terminate when the jury is discharged because it is unable to agree"]). Nor is there a double jeopardy bar to retrial when a mistrial is granted because of "manifest necessity" or with defendant's consent (*Perez*, 9 Wheat [22 US] at 580; *Matter of Davis v Brown*, 87 NY2d 626, 630 [1996]).

The Double Jeopardy Clauses in the State and Federal Constitutions are nearly identically worded, and we have never suggested that state constitutional double jeopardy protection differs from its federal counterpart. The Legislature, however, has enacted statutory double jeopardy provisions offering broader protection than the Federal Constitution requires (see CPL art 40; *People v Latham*, 83 NY2d 233, 237 [1994]).

Finally, counts of intentional and depraved indifference murder must be submitted to the jury in the alternative because they are inconsistent: a person cannot at the same time act intentionally and recklessly with respect to the same result—namely, death (*People v Gallagher*, 69 NY2d 525, 529 [1987]; CPL 300.30 [5]). In addition, under our mandatory "acquit-first" instruction, a jury must deliberate on charges in decreasing order of culpability, unanimously acquitting on the more serious crime before considering any lesser included offense (*People v Helliger*, 96 NY2d 462, 466 [2001]; *People v Boettcher*, 69 NY2d 174 [1987]; CPL 300.50 [4]). Where there are inconsistent counts, the jury must acquit of the greater counts before considering any lesser included count, and must cease deliberations upon finding the defendant guilty of one of the crimes submitted (*People v Johnson*, 87 NY2d 357, 360 [1996]). In endorsing the "acquit-first" approach, we sought to minimize compromise verdicts, and took into account the effect on double jeopardy (*Boettcher*, 69 NY2d at 182, citing *Green*, 355 US at 190-191).

Biggs and Blockburger

In light of the above-stated general principles of federal and New York law, Suarez insists that his case is “materially indistinguishable” from *Biggs*, where we concluded that constitutional double jeopardy prohibited the defendant’s prosecution for intentional manslaughter. The indictment in *Biggs* charged the defendant with two counts of first-degree murder and four counts of second-degree murder (two counts each of intentional and depraved indifference murder) in connection with the shooting deaths of two people. As we noted in our opinion, “[b]efore the case was submitted to the jury, the court repeatedly advised the parties that there was insufficient evidence of intentional murder” and that “the evidence was consistent with a depraved act” because the two people killed were not intended victims (*Biggs*, 1 NY3d at 227 [emphasis added]).

Consistent with his view of the evidence, the trial judge ultimately dismissed the intentional murder counts; and delivered a charge to the jury consisting of two counts of depraved indifference murder and, at defense counsel’s request, two counts of second-degree (reckless) manslaughter as a lesser included offense of depraved indifference murder. When the jury reached an impasse, the judge took a partial verdict: the jury acquitted Biggs of both counts of depraved indifference murder, but deadlocked on the two counts of second-degree manslaughter. The jury resumed deliberations but could not reach a unanimous verdict on the reckless manslaughter charges (splitting seven to five for acquittal), and so the judge declared a mistrial.

Biggs was subsequently arraigned on a new indictment charging him with both first-degree and second-degree manslaughter. The trial judge ruled that the new charges were not barred by double jeopardy because intentional manslaughter “was not in the original indictment and was never considered by the jury.” At his second trial, Biggs was convicted of both counts of first-degree manslaughter. He took an appeal.

The Appellate Division affirmed Biggs’s conviction, holding that because first-degree manslaughter “was neither contained in the original indictment nor considered as a lesser included offense,” Biggs was not “implicitly acquitted of that crime as a consequence of his first trial,” and therefore his prosecution for this crime “was not barred by the constitutional prohibition against double jeopardy” (*People v Biggs*, 298 AD2d 398, 399

[2d Dept 2002] [internal quotation marks and citation omitted]).

Biggs also argued that the second trial violated statutory double jeopardy, which generally prohibits successive prosecutions for “two offenses based upon the same act or criminal transaction” (CPL 40.20 [2]). The Appellate Division concluded that this “contention [was] unpreserved for appellate review, and . . . decline[d] to reach it in the exercise of . . . interest of justice jurisdiction” (298 AD2d at 399 [citation omitted]).

In his appeal to us, Biggs asserted that there was “no plausible reading of the record that would establish that the [trial judge] was distinguishing between an intent to kill and an intent to cause serious physical injury” when he expressed skepticism about the sufficiency of the evidence of intent. If that had been the case, Biggs continued,

“under CPL 300.30, [the court] was required to substitute manslaughter in the first degree, the ‘greatest lesser included offense which is supported by legally sufficient trial evidence,’ for the intentional murder counts at the first trial, something that was neither requested by the People nor done *sua sponte* by the court. Indeed, if the People had wanted to urge this distinction, the time to do so was at the first trial, when the court could have submitted first-degree manslaughter to the jury. *It cannot be the case that the prosecution is allowed, for strategic purposes, to decline to ask for an appropriate lesser-included offense and hope that the jury will convict of depraved indifference murder, and then seek a new indictment charging first-degree manslaughter*” (emphasis added).

We reversed. First, we concluded that the trial judge’s “withdrawal of the intentional murder counts from the jury’s consideration on the ground [of] insufficient evidence to support those charges” was an acquittal for purposes of constitutional double jeopardy analysis (*Biggs*, 1 NY3d at 227, 229). Next, we decided that under the *Blockburger* test, intentional murder in the second degree and first-degree manslaughter are the same offense. As a consequence, “since [Biggs] was acquitted of the intentional murder charges at his first trial, and manslaughter in the first degree is the same offense as murder in the second degree under *Blockburger*, the Double Jeopardy Clauses of both the Federal and State Constitutions precluded

[his] subsequent indictment and prosecution for first degree manslaughter” (*id.* at 231).

There is a critical difference between this case and *Biggs*, commanding a different outcome: here, the charge of intentional manslaughter was submitted to the jury in Suarez’s first trial,⁶ and the jury, having been given an “acquit-first” instruction and having convicted Suarez of the higher count of depraved indifference murder, never reached—i.e., did not have “a full opportunity to return a verdict” on (*Green*, 355 US at 191)—Suarez’s guilt or innocence of this crime (*see People v Charles*, 78 NY2d 1044, 1047 [1991] [where jury, as instructed, did not consider remaining counts after finding defendant guilty on first count, retrial on remaining counts not prohibited because jeopardy never terminated as to those counts]; *Jackson*, 20 NY2d at 452 [felony murder conviction at second trial proper because jury did not have “full opportunity” to consider felony murder at first trial]).

[1] As the Appellate Division pointed out, the circumstances in this case are analogous to a mistrial. And Suarez himself acknowledges that if, for example, the jury had acquitted him of depraved indifference murder and deadlocked on the intentional manslaughter count, he could be retried for the latter crime. There is no basis in case law or in logic for treating what happened here any differently. The major justification for permitting retrial after a jury deadlock (or appellate reversal of a conviction) is, as one commentator has put it, “the practical importance of preventing every trial defect from conferring immunity upon the accused” (Ponsoldt, *When Guilt Should be Irrelevant: Government Overreaching as a Bar to Reprosecution under the Double Jeopardy Clause after Oregon v. Kennedy*, 69 Cornell L Rev 76, 88, quoting Schulhofer, *Jeopardy and Mistrials*, 125 U Pa L Rev 449, 457, citing *Tateo*, 377 US at 466). If this societal interest is strong enough to outweigh the “embarrassment, expense and ordeal and . . . continuing state of anxiety and insecurity” (*Green*, 355 US at 187) endured by an accused subject to retrial after a deadlock—where the People are afforded a chance to convince a new jury to convict after having conspicuously failed to persuade the original jury to do so—it surely warrants a second trial on a charge that the first jury did

6. We agree with Suarez that, for purposes of constitutional double jeopardy analysis, it does not matter whether the count submitted to the jury was also in the indictment.

not reach and therefore had no opportunity whatsoever to resolve.

In short, there is no doubt that we were correct when we said in *Biggs* that second-degree intentional murder and first-degree manslaughter are the same offense when evaluated under the *Blockburger* test. But this is beside the point here. We are not faced with a situation where we must compare the elements of a statutory offense of which the defendant has been convicted or acquitted (as in *Biggs*) to see if they are the same as the elements of a different statutory offense that the prosecutor seeks to try against the defendant for the first time in a subsequent trial. This case unquestionably involves the *identical* offense in both trials—first-degree manslaughter; however, because the jury was charged with intentional manslaughter in the first trial and did not have a full opportunity to consider it, constitutional double jeopardy poses no impediment to Suarez’s retrial for this crime.

Burks and Trial Error

Suarez complains that the Appellate Division’s decision blurs the distinction between reversals for legal insufficiency and trial error, asking “[I]f Mr. Suarez can be retried because his legal-insufficiency dismissal was merely trial error, then why not Mr. Burks?” In *Burks*, the Supreme Court “clarif[ied] the distinction between the double jeopardy effects of appellate reversal for *insufficient evidence* and appellate reversal for *trial error*,” concluding that the Double Jeopardy Clause rules out a second trial for an offense for which the reviewing court has found insufficient evidence (*Anderson*, 327 F3d at 1155). As a result, the answer to Suarez’s question is that he is to be retried for intentional manslaughter, not depraved indifference murder, the only count we reversed for evidentiary insufficiency. By contrast, in *Burks* the prosecutor sought to try the defendant for violating a provision of the United States Code after his conviction for violating this very same provision had been reversed on the ground of legal insufficiency.

As we stated in *Biggs*, citing *Burks*, “dismissal of a count due to insufficient evidence is tantamount to an acquittal for purposes of double jeopardy and protects a defendant against additional prosecution *for such count*” (*Biggs*, 1 NY3d at 229 [emphasis added]; see also *Anderson*, 327 F3d at 1155 [noting that Supreme Court in *Greene v Massey* (437 US 19, 25 n 7 [1978]) “declined to reach the question of whether the *Burks*

exception barred a subsequent prosecution for a lesser included offense’)]. Upon Suarez’s appeal of his conviction, we concluded that there was insufficient evidence of depraved indifference murder as a matter of law; we also stated that there was, in fact, sufficient evidence to support an intent to kill (although the jury acquitted Suarez of intentional murder and he therefore may not be retried for this crime) or to cause serious physical injury (*Suarez*, 6 NY3d at 216). In sum, while *Burks* precludes Suarez’s retrial for depraved indifference murder, it does not stand in the way of his retrial for intentional manslaughter.

Implicit Acquittal

Alternatively, Suarez contends that “once the jury found [him] guilty of depraved indifference murder, it could not then find [him] guilty of intentional manslaughter, because they are inconsistent counts”; or, expressed another way “[f]inding [Suarez] guilty of depraved indifference murder, the jury necessarily acquitted him of intentional manslaughter.” Suarez relies on the Supreme Court’s decision in *Green*, and the decision in *People v Robinson* (145 AD2d 184 [4th Dept 1989], *affd* 75 NY2d 879 [1990]) to make this point.

In *Green*, the Supreme Court inferred that there was an acquittal on a greater offense after the jury returned a guilty verdict on a lesser charge and was silent as to its verdict on the greater offense. The Court considered the jury’s silence to be significant because it was possible that the jury had unanimously acquitted the defendant of that charge. Moreover, the Court was sensitive to the hardship that retrial on the higher degree of a crime would place on a defendant’s right to appeal: “Reduced to plain terms, the Government contends that in order to secure the reversal of an erroneous conviction of one offense, a defendant must surrender his valid defense of former jeopardy not only on that offense but also on a different offense for which he was not convicted and which was not involved in his appeal” (*Green*, 355 US at 193).

Retrial imposes no like hardship on Suarez, who was acquitted of one of the higher counts (intentional murder), and whose conviction for the other (depraved indifference murder) was reversed on appeal for legal insufficiency. Further, because of the trial judge’s instruction, there is no uncertainty, as was the case in *Green*, as to how the jury went about considering the four counts submitted. There is no basis for implying an acquittal from silence, because the instruction forced the jury to resolve

the counts in a particular order and to cease deliberations upon finding Suarez guilty. Finally, as we have previously noted, implied acquittal presupposes that the first jury “was given a full opportunity to return a verdict” on the charge at issue, and that did not happen here (*id.* at 191).

[2] In *Robinson*, the Appellate Division reversed a defendant’s conviction for intentional manslaughter, submitted to the jury as a lesser included offense of intentional murder, because the judge failed to submit counts of intentional murder and depraved indifference murder to the jury in the alternative as mandated by *Gallagher*. We affirmed “for the reasons stated in” the Appellate Division’s opinion (*Robinson*, 75 NY2d at 881), which includes dictum plausibly understood to mean that a defendant cannot be convicted of charges requiring different mental states, even as to different results—that is, the infliction of serious physical injury in the case of first-degree manslaughter⁷ and death in the case of depraved indifference murder (*see Sweet v Bennett*, 353 F3d 135, 143-148 [2d Cir 2003, Walker, J., concurring]). We do not endorse this reading of *Robinson*, which puts it at odds with our later decision in *People v Trappier* (87 NY2d 55 [1995]), although we tried to distinguish *Robinson* in *Trappier* (*see also People v Carter*, 7 NY3d 875, 876-877 [2006] [noting that trial counsel might have made an argument based on *Robinson*, “but in light of our later decision in (*Trappier*) that argument was not so compelling that a failure to make it amounted to ineffective assistance of counsel”]).

Trappier called upon us to consider whether a defendant could be convicted of attempted assault in the first degree and reckless endangerment in the first degree for shooting his victim. At the outset of our opinion, we defined the issue as follows: “Can a defendant intend to cause serious physical injury to another person and at the same time recklessly create a grave risk that death will result from that conduct? We conclude that the two mental states are not mutually exclusive when applied to different outcomes” (87 NY2d at 57). We decided that, because the result was different for each offense, the defendant could have different mental states as to these different results. Thus, the defendant could have recklessly caused a grave risk of death while intentionally inflicting serious physical injury (87 NY2d

7. The elements of first-degree manslaughter are (1) intent to cause serious physical injury to another person; and (2) causing the death of such person or a third person (Penal Law § 125.20 [1]).

at 58-59). Applying that rationale in this case, the first jury's conviction of Suarez for depraved indifference murder would not be inconsistent with a subsequent conviction for intentional manslaughter.

[1] In conclusion, constitutional double jeopardy principles do not bar Suarez's retrial for intentional manslaughter. Although the jury was charged with intentional manslaughter in the first trial, the jurors did not have a full opportunity to consider Suarez's guilt or innocence of this crime because of the order in which they were instructed to decide the counts, and their conviction of Suarez of the more serious crime of depraved indifference murder. Moreover, depraved indifference murder and intentional manslaughter are not inconsistent counts: a defendant can recklessly cause a grave risk of death while intentionally inflicting serious physical injury. Accordingly, the jury did not implicitly acquit Suarez of intentional manslaughter when it convicted him of depraved indifference murder. Suarez's remaining arguments, which relate to collateral estoppel and statutory double jeopardy, are without merit.

Accordingly, the judgment of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Judgment affirmed, without costs.

[890 NE2d 880, 860 NYS2d 765]

DAVID S. PULTZ et al., Appellants, v CATHERINE ECONOMAKIS et al., Respondents.

Argued April 17, 2008; decided June 3, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 15, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Faviola A. Soto, J.; op 2006 NY Slip Op 30040[U]), which, among other things, had denied defendants' motion for summary judgment and granted plaintiffs' cross motion for summary judgment to the extent of declaring that defendants violated the Rent Stabilization Law and the Rent Stabilization Code by unilaterally attempting to withdraw an entire building from the rental market without the approval of the Division of Housing and Community Renewal (DHCR) and for a permanent injunction restraining defendants from taking any action to cancel or terminate plaintiffs' leases unless and until DHCR approval was obtained; (2) granted defendants' motion for summary judgment; (3) vacated the injunctive relief; (4) denied plaintiffs' cross motion; and (5) declared that defendants' plan to recover the six remaining stabilized units for owner-occupancy purposes was governed by Rent Stabilization Code (9 NYCRR) § 2524.4 (a) (1), which does not require preapproval by DHCR.

Pultz v Economakis, 40 AD3d 24, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Recovery of Premises for Owner Occupancy

Defendants, the owners of a 15-unit apartment building that contained six rent-stabilized units, were not required to obtain authorization from the Division of Housing and Community Renewal (DHCR) before seeking to recover possession of the six rent-stabilized units on the ground of owner-occupancy pursuant to the Rent Stabilization Code. The plain language of the Rent Stabilization Law (*see* Administrative Code of City of NY § 26-511 [c] [9] [b]) and the Rent Stabilization Code (*see* 9 NYCRR 2524.4 [a] [1], [3]) permits an owner to refuse renewal leases to rent-stabilized tenants and to recover possession of "one or more" stabilized dwelling units for personal use and occupancy as a primary residence, or as the primary residence of a member of the owner's immediate family, without first obtaining DHCR approval. Rent Stabilization Code (9 NYCRR) § 2524.5 (a) (1), which mandates DHCR ap-

proval when there is an attempt to withdraw housing accommodations from the rental market and where the owner requires the units for business use, or because the cost of removing violations filed by government agencies is equal to or exceeds the value of the property, was inapplicable. Further, although the legislative intent underlying the Rent Stabilization Law and Code was to make more housing available, the Legislature also intended to allow owners to live in their own buildings if they chose to do so. The unambiguous language of 9 NYCRR 2524.4 (a) reconciles these conflicting policies.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 129, 916.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 30:65.
9 NYCRR 2524.4 (a); 2524.5 (a) (1).
NY JUR 2d, Landlord and Tenant §§ 458, 465, 466, 473.
NEW YORK REAL PROPERTY SERVICE § 74:212.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Collins Dobkin & Miller, LLP, New York City (*Stephen Dobkin, Seth A. Miller* and *W. Miller Hall* of counsel), for appellants. I. The owner use provisions of the Rent Stabilization Law and Rent Stabilization Code are not designed to permit the withdrawal of apartments from the stabilized rental market. (*Nestor v Britt*, 213 AD2d 255; *Raffo v McIntosh*, 3 Misc 3d 127[A], 2004 NY Slip Op 50323[U]; *Salazar v Li*, 4 Misc 3d 142[A], 2004 NY Slip Op 51058[U]; *Matter of Rosenbluth v Finkelstein*, 300 NY 402; *Matter of Volpicelli v Leventhal*, 48 AD2d 660; *State of New York v Patricia II.*, 6 NY3d 160; *Matter of Devlin v New York State Div. of Hous. & Community Renewal*, 309 AD2d 191; *Matter of Reichman v New York City Conciliation & Appeals Bd.*, 117 AD2d 517; *Beer v Walters*, 118 Misc 2d 630; *Matter of Chatlos v McGoldrick*, 302 NY 380.) II. Owner-occupied apartments are not exempted from rent stabilization. (*Thornton v Baron*, 5 NY3d 175; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal*, 87 NY2d 325; *Matter of Sal-*

vati v Eimicke, 72 NY2d 784; *Morales v County of Nassau*, 94 NY2d 218; *Matter of Legra v Division of Hous. & Community Renewal of State of N.Y.*, 194 AD2d 677; *Matter of 300 W. 49th St. Assoc. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 212 AD2d 250; *Matter of Devlin v New York State Div. of Hous. & Community Renewal*, 309 AD2d 191.) III. The elimination of rent-stabilized housing accommodations requires compliance with Rent Stabilization Code (9 NYCRR) § 2524.5 (a) (1) and the approval of the Division of Housing and Community Renewal. (*Matter of Bliss v Bliss*, 66 NY2d 382; *Golden v Koch*, 49 NY2d 690; *Matter of Robbins v Herman*, 11 NY2d 670; *Friedman v Ontario Holding Corp.*, 279 App Div 23, 304 NY 625; *Matter of Mahoney v Altman*, 63 Misc 2d 1062; *Sohn v Calderon*, 78 NY2d 755; *Capital Tel. Co. v Pattersonville Tel. Co.*, 56 NY2d 11; *Davis v Waterside Hous. Co.*, 274 AD2d 318; *Matter of Ziman v New York State Div. of Hous. & Community Renewal*, 153 AD2d 489, 76 NY2d 727.)

Rosenberg & Estis, P.C., New York City (Jeffrey Turkel of counsel), and *Rose & Rose* (Todd A. Rose of counsel) for respondents. I. This Court should declare that the owners are free to proceed in Civil Court under Rent Stabilization Law (Administrative Code of City of NY) § 26-511 (c) (9) (b) and Rent Stabilization Code (9 NYCRR) § 2524.4 (a) to attempt to recover the remaining stabilized units at issue for the owners' personal use. (*Nestor v Britt*, 213 AD2d 255; *Matter of Rosenbluth v Finkelstein*, 300 NY 402; *Chan v Adossa*, 195 Misc 2d 590; *Smilow v Ulrich*, 11 Misc 3d 179; *State of New York v Patricia II.*, 6 NY3d 160; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Matter of Polan v State of N.Y. Ins. Dept.*, 3 NY3d 54; *Matter of Garzilli v Mills*, 250 AD2d 131; *Matter of Schmidt v Roberts*, 74 NY2d 513.) II. Owner-occupied apartments are not rent stabilized and need not remain rent stabilized. III. The owners are not seeking to withdraw the subject units from the rental market or demolish the building, as the Division of Housing and Community Renewal has defined these terms. (*Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325; *Matter of Salvati v Eimicke*, 72 NY2d 784, 73 NY2d 995; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Raffellini v State Farm Mut.*

Auto. Ins. Co., 9 NY3d 196; *Malta v Brown*, 12 Misc 3d 1164[A], 2006 NY Slip Op 51028[U]; *Matter of Ziman v New York State Div. of Hous. & Community Renewal*, 153 AD2d 489, 76 NY2d 727.)

Legal Services for New York City, New York City (*Raun J. Rasmussen* and *David Robinson* of counsel), and *South Brooklyn Legal Services*, Brooklyn (*John C. Gray* and *Jennifer Levy* of counsel), for City-Wide Task Force on Housing Court and others, amici curiae. The Appellate Division's decision, which permits the owner's use exemption to be used as a means to deregulate an entire building without Division of Housing and Community Renewal approval, is inconsistent with the purpose of the Rent Stabilization Law and the intentions of the Legislature. (*Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *8200 Realty Corp. v Lindsay*, 27 NY2d 124; *Bedford v De Rosa*, 128 Misc 2d 181; *Wai Chan v Gao Xiao Ying*, 10 Misc 3d 1065[A], 2005 NY Slip Op 52166[U]; *Matter of 12th Co. v New York State Div. of Hous. & Community Renewal*, 303 AD2d 328.)

Borah Goldstein Altschuler Nahins & Goidel, P.C., New York City (*Jeffrey R. Metz* of counsel), for Community Housing Improvement Program, Inc. and another, amici curiae. The evidence does not lie: owner occupancy proceedings do not contribute to the wholesale loss of regulated housing stock. (*Blum v Graceton Estates*, 228 AD2d 274, 88 NY2d 815.)

Belkin Burden Wenig & Goldman, LLP, New York City (*Sherwin Belkin* and *Magda L. Cruz* of counsel), for Rent Stabilization Association of New York City, Inc., amicus curiae. I. Appellants seek to deprive owners of fundamental private property rights. (*Seawall Assoc. v City of New York*, 74 NY2d 92; *8200 Realty Corp. v Lindsay*, 27 NY2d 124; *Ullmann Realty Co. v Tamur*, 113 Misc 538; *520 E. 81st St. Assoc. v Lenox Hill Hosp.*, 157 AD2d 138, 77 NY2d 944; *Alden v Callahan*, 65 Misc 2d 183.) II. Appellants seek to disrupt the statutory and regulatory owner occupancy framework. (*Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Nestor v Britt*, 213 AD2d 255; *Matter of Rosenbluth v Finkelstein*, 300 NY 402; *Smilow v Ulrich*, 11 Misc 3d 179.)

OPINION OF THE COURT

JONES, J.

Defendants are a married couple who own a five-story, 15-unit apartment building in Manhattan. Six of these units are rent stabilized and each plaintiff is a tenant of a rent-stabilized apartment within the building.

In June and September 2004, defendants served two plaintiffs with notices of “non-renewal of lease,” stating their intention to recover possession of all of the remaining rent-stabilized apartments on the ground of owner-occupancy pursuant to Rent Stabilization Code (9 NYCRR) § 2524.2 (c) (3) and § 2524.4 (a). The notices included a statement by defendants that they “intend[], in good faith, to recover possession of all of the apartments located on the First, Second, Third, Fourth and Fifth Floors” of the subject building for the husband owner’s personal use as a primary residence. The notices also detailed defendants’ plan for converting the floors in question into their own single-family dwelling.

In October 2004, plaintiffs commenced the instant action, seeking: (1) a declaration that defendants’ plan violated the Rent Stabilization Law and Rent Stabilization Code; (2) an injunction tolling the notices and enjoining defendants from instituting any holdover proceedings in Civil Court based on the notices during the pendency of this action; and (3) attorneys’ fees based on defendants’ breach of the residential leases with two of the plaintiffs. Plaintiffs alleged that, consistent with the legislative intent to preserve rent-stabilized housing for persons and families that occupy such housing (*see* Rent Stabilization Law [Administrative Code of City of NY] § 26-501), “the [Rent Stabilization Law and Code] are designed to strictly limit those situations in which an owner is permitted to remove an entire building or all of its units from the stabilized housing stock.” Plaintiffs further alleged that “removal of an entire residential building” or all of its rent-stabilized units requires authorization from the New York State Division of Housing and Community Renewal (DHCR) “and compliance with the requirements for demolition or withdrawal from the housing market.”* In June 2005, Supreme Court granted plaintiffs’ motion for a preliminary

* Plaintiffs rely on 9 NYCRR 2524.5 (a) (1) (i), which permits an owner to commence an action or proceeding in a court of competent jurisdiction to recover possession of rent-stabilized apartments where

(n. cont’d)

injunction, barring defendants from taking any action to cancel or terminate plaintiffs' leases.

Subsequently, defendants, relying on 9 NYCRR 2524.4 (a), moved for summary judgment to dismiss the complaint, arguing that the plain language of the Rent Stabilization Law and Code unambiguously permits an owner to recover "one or more dwelling units" for personal use, without limitation or DHCR approval, as long as the owner demonstrates a good faith intention to use the units as his or her primary residence (9 NYCRR 2524.4 [a]). Plaintiffs cross-moved for summary judgment on their first two causes of action.

By order entered April 14, 2006, Supreme Court granted plaintiffs' cross motion solely to the extent of entering a judgment that defendants violated the Rent Stabilization Law and Code by failing to obtain DHCR approval before attempting to regain possession of the entire building. The court determined that because defendants sought to recover all of the building units, 9 NYCRR 2524.4 (a) was inapplicable, and that permitting defendants to recover all of the rent-stabilized apartments would conflict with the intent and purpose underlying the Rent Stabilization Code. The court also rejected defendants' arguments that plaintiffs' second and third causes of action should be dismissed.

The Appellate Division reversed, holding that defendants' plan to recover rent-stabilized apartment units was governed by 9 NYCRR 2524.4 (a) ("owner occupancy" provision), not 9 NYCRR 2524.5 (a) (1) ("market withdrawal" provision). We granted plaintiffs leave to appeal and now affirm.

"It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature. The starting point is always to look to the language itself and where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning" (*State of New York v Patricia II.*, 6 NY3d 160, 162 [2006] [internal quotation marks, brackets and citations omitted]; see also *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

"[t]he owner *has established to the satisfaction of the DHCR* after a hearing, that he or she seeks in good faith to withdraw any or all housing accommodations from both the housing and non-housing rental market without any intent to rent or sell all or any part of the land or structure and . . .

"that he or she requires all or part of the housing accommodations or the land for his or her own use in connection with a business which he or she owns and operates" (emphasis added).

Read together, the plain language of the Rent Stabilization Law (*see* Administrative Code of City of NY § 26-511 [c] [9] [b]) and the Rent Stabilization Code (*see* 9 NYCRR 2524.4 [a] [1], [3]) permits an owner to refuse renewal leases to rent-stabilized tenants and to recover possession of “*one or more*” stabilized dwelling units for his or her personal use and occupancy as his or her primary residence, or as the primary residence of a member of the owner’s immediate family, without first obtaining DHCR approval. If there is more than one owner, only one of the individual owners may recover the units for his or her personal use and occupancy.

Plaintiffs maintain that 9 NYCRR 2524.5 (a) (1) (i) and the legislative intent underlying the Rent Stabilization Law and Code mandate reversal of the Appellate Division order. These arguments are unavailing.

Section 2524.5 (a) (1), by its plain terms, is triggered only when there is an attempt to withdraw any or all housing accommodations from the rental market *and* where the owner requires the units for use in connection with a business he or she owns or operates, or because the cost of removing violations filed by government agencies is equal to or exceeds the value of the property. Where, as here, withdrawal from the rental market is not for one of the above-stated purposes, section 2524.5 (a) (1) does not apply.

Plaintiffs’ legislative intent argument presumes an ambiguity in the Rent Stabilization Code’s owner-occupancy provisions with respect to defendants’ actions. Of course the Legislature intended to make more rental housing available, but it also intended to allow owners to live in their own buildings if they choose to do so. The unambiguous language of 9 NYCRR 2524.4 (a) was chosen by the Legislature to reconcile these conflicting policies, and we give effect to the plain meaning of that language.

Based on the foregoing, the Appellate Division correctly granted summary judgment to, and vacated the permanent injunction against, defendants. In so ruling, we underscore that defendants may not recover the stabilized apartment units unless and until they establish in Civil Court (at holdover proceedings against plaintiffs) their good faith intention to recover possession of the subject apartments for the husband owner’s personal use as the primary residence.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ,
SMITH and PIGOTT concur.

Order affirmed, with costs.

[890 NE2d 884, 860 NYS2d 769]

DAVID CHARLES JONES, JR., Appellant, v JESSICA A. BILL et al.,
Respondents.

Argued April 23, 2008; decided June 5, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 28, 2006. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, Dutchess County (Thomas J. Dolan, J.), which had granted defendants' motion pursuant to CPLR 3211 (a) (7) to dismiss the amended complaint insofar as asserted against defendant DCFS Trust.

Jones v Bill, 34 AD3d 741, reversed.

HEADNOTE

Actions — Commencement — When Action Commenced for Purposes of Federal Graves Amendment

For purposes of the federal Graves Amendment (49 USC § 30106), which preempts the New York Vehicle and Traffic Law to the extent that the federal legislation prohibits imposition of vicarious liability on vehicle lessors for injuries resulting from the negligent use or operation of the leased vehicle, plaintiff's action seeking damages for injuries sustained in a two-car accident was "commenced" on the date of the initial filing of the summons and complaint against the driver of the second vehicle, and not on the date that the lessor of that vehicle was joined as a defendant. Plaintiff filed the initial summons and complaint against the driver as the "owner and operator" of the vehicle before the Graves Amendment was enacted. Upon subsequently learning that the driver had leased the vehicle, plaintiff joined the lessor as a defendant after the enactment date by filing an amended summons and complaint. The Graves Amendment applies "to any action commenced on or after the date of enactment of this section" (49 USC § 30106 [c]), and under New York law an action is "commenced" "by filing a summons and complaint or summons with notice" (CPLR 304 [a]). Under the federal statute's plain language, any action filed prior to its enactment date has been "commenced" and therefore removed from its preemptive reach, even if the lessor was named as a party after the enactment date.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 623, 716,
1017; AM JUR 2d, Process § 10.

CARMODY-WAIT 2d, Commencement of Actions; Summons
and Service of Process § 24:10.

McKINNEY's, CPLR 304 (a).
NY JUR 2d, Automobiles and Other Vehicles §§ 1059, 1063,
1074; NY JUR 2d, Process and Papers § 10.
SIEGEL, NY PRAC § 63.
49 USCA § 30106.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic;
Bailments; Vicarious Liability.

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POINTS OF COUNSEL

Rutberg & Associates, P.C., Poughkeepsie (Lawrence A. Breslow of counsel), for appellant. I. The Graves Amendment, applicable only to actions commenced on or after August 10, 2005, does not apply to an action commenced on August 8, 2005. (*Murdza v Zimmerman*, 99 NY2d 375; *Morris v Snappy Car Rental*, 84 NY2d 21; *Graham v Dunkley*, 13 Misc 3d 790; *Tooker v Lopez*, 24 NY2d 569; *King v Car Rentals, Inc.*, 29 AD3d 205; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Bright Homes v Wright*, 8 NY2d 157.) II. Joinder is not commencement of an action. (*Perez v Paramount Communications*, 92 NY2d 749; *Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Weekley v Guidant Corp.*, 392 F Supp 2d 1066; *Valladares v Valladares*, 55 NY2d 388; *Leuchner v Cavanaugh*, 42 AD3d 893; *Williams v White*, 40 AD3d 110; *Harris v Niagara Falls Bd. of Educ.*, 6 NY3d 155; *Matter of Albano v Kirby*, 36 NY2d 526; *Mark G. v Sabol*, 93 NY2d 710; *Dorfman v Leidner*, 76 NY2d 956.) III. The Graves Amendment should not be given greater retroactive application than Congress expressed. (*Landgraf v USI Film Products*, 511 US 244; *Matter of Smathers*, 309 NY 487; *Bright Homes v Wright*, 8 NY2d 157; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Dorfman v Leidner*, 76 NY2d 956; *Espy v Giorlando*, 56 NY2d 640; *Coffman v Coffman*, 60 AD2d 181; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *United States v Menasche*, 348 US 528.)

O'Connor, McGuinness, Conte, Doyle & Oleson, White Plains (*Montgomery L. Effinger* of counsel), for respondents. I. Dismissal was required by the clear wording and congressional

intent of the Graves Amendment (49 USC § 30106) since no attempt was made to bring an action against DCFS Trust before November 1, 2005, months after the effective date of the statute, August 10, 2005. (*Kuryla v Halabi*, 39 AD3d 485; *Williams v White*, 40 AD3d 110; *Leuchner v Cavanaugh*, 42 AD3d 893; *Bright Homes v Wright*, 8 NY2d 157; *Johnson v Agnant*, 480 F Supp 2d 1; *Sega v State of New York*, 60 NY2d 183; *Community for Creative Non-Violence v Reid*, 490 US 730; *Connecticut Nat. Bank v Germain*, 503 US 249; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653.) II. The Graves Amendment not only preempts Vehicle and Traffic Law § 388, it preempts all state laws that frustrate the purpose and intent of the statute to bar vicarious liability of vehicle leasing companies as of the effective date of August 10, 2005. (*Hines v Davidowitz*, 312 US 52; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *Oxygenated Fuels Assn., Inc. v Pataki*, 158 F Supp 2d 248; *Gibbons v Ogden*, 9 Wheat [22 US] 1; *New Hampshire Motor Transp. Assn. v Rowe*, 448 F3d 66; *Gade v National Solid Wastes Management Assn.*, 505 US 88; *Dupuis v Vanguard Car Rental USA, Inc.*, 510 F Supp 2d 980; *Johnson v Agnant*, 480 F Supp 2d 1; *Vanguard Car Rental USA, Inc. v Drouin*, 521 F Supp 2d 1343; *Balbuena v IDR Realty LLC*, 6 NY3d 338.) III. Dismissal of this action does not constitute greater retroactive application than Congress intended. (*Matter of OnBank & Trust Co.*, 90 NY2d 725; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Dorfman v Leidner*, 76 NY2d 956; *United States v Menasche*, 348 US 528.)

OPINION OF THE COURT

Chief Judge KAYE.

The question before us is whether, for the purposes of the federal Graves Amendment (49 USC § 30106), an action is “commenced” on the date of the initial filing of the summons and complaint, or on the date of joinder of the vehicle lessor. We conclude that the initial filing date is determinative.

On July 7, 2005, plaintiff Jones and defendant Bill were involved in a two-car accident injuring plaintiff. One month later, on August 8, 2005, plaintiff commenced an action against defendant Bill as “owner and operator” of the vehicle. On November 1, 2005, upon receiving Bill’s answer denying ownership of the vehicle and claiming to have leased it from DCFS Trust (DCFS), plaintiff joined DCFS as a defendant by filing an amended summons and complaint.

Between the filing of the summons and complaint and the receipt of Bill's answer, on August 10, 2005, Congress amended the Safe, Accountable, Flexible, Efficient Transportation Equity Act: A Legacy for Users to preempt the New York Vehicle and Traffic Law to the extent that the federal legislation prohibits imposition of vicarious liability on vehicle lessors for injuries resulting from the negligent use or operation of the leased vehicle (Graves Amendment). The Graves Amendment applies "to any action commenced on or after the date of enactment of this section" (49 USC § 30106 [c]). Defendants raised the Graves Amendment as an affirmative defense in their answer and then moved to dismiss the complaint against DCFS as barred by the federal statute. Plaintiff opposed, claiming to have commenced the action on August 8, 2005, with the filing of the initial summons and complaint, and in the alternative that the claim against DCFS related back to the original filing date (*see* CPLR 203 [c]).

Supreme Court granted DCFS's motion, dismissing the complaint against it:

"Since the filing of a summons and complaint or summons with notice is the manner an action is commenced under CPLR 304, it follows that the filing under CPLR Rule 305 (a) commences the action against a new party. Thus, the November 1, 2005 filing, well after the August 10, 2005 effective date of the federal statute[,], is untimely and the action against DCFS TRUST is barred by that statute."

Plaintiff sought reargument or leave to serve an amended complaint, which was denied. The Appellate Division affirmed, concluding that "the claim against the newly-added defendant, DCFS, was interposed on November 1, 2005, when the amended summons and amended complaint were filed (*see* CPLR 305; *Perez v Paramount Communications*, 92 NY2d 749 [1999]) and the claim in the amended complaint insofar as asserted against DCFS is, therefore, barred" (34 AD3d 741, 742 [2d Dept 2006]). We now reverse.

Analysis

This case presents a question of pure statutory interpretation, meriting *de novo* review (*see Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575, 580 [2002]).

The Graves Amendment provides that it "shall apply with respect to any action commenced on or after the date of enact-

ment of this section without regard to whether the harm that is the subject of the action, or the conduct that caused the harm, occurred before such date of enactment” (49 USC § 30106 [c]). Defendants urge that we read “commenced”—with regard to a party later joined—to refer to the date the claim is “interposed” against such party. Under New York law, however, an action is “commenced” “by filing a summons and complaint or summons with notice” (CPLR 304 [a]). As a general proposition, we need not look further than the unambiguous language of the statute to discern its meaning (*see Riley v County of Broome*, 95 NY2d 455, 463 [2000]), and in this particular case we find no reason to do so. Thus, under the statute’s plain language, any action filed prior to August 10, 2005 has been “commenced” and therefore removed from the federal statute’s preemptive reach. Here, plaintiff “commenced” his action as of August 8, 2005, when he filed his summons and complaint.

In the context of computation of the statute of limitations, a calculation not relevant here, New York law provides for interposition of a claim against a “defendant or a co-defendant united in interest” (CPLR 203 [c]).* CPLR 203 (c), however, differentiates between when a “claim . . . is interposed” and “when the action is commenced,” a distinction we find significant (*see Valladares v Valladares*, 55 NY2d 388, 392 [1982]; *Williams v White*, 40 AD3d 110, 112 [4th Dept 2007]). Section 203 (c), further, requires that an action be commenced before interposition may occur (“[i]n an action which is commenced by filing, a claim . . . is interposed . . . when the action is commenced”).

Related provisions of the CPLR additionally support this distinction. CPLR 305 (a) requires filing of a supplemental summons “[w]here . . . a new party is joined *in the action* and the joinder is not made upon the new party’s motion” (emphasis added), and CPLR 1003 provides that “[p]arties may be added at any stage *of the action* by leave of court or by stipulation of all parties who have appeared, or once without leave of court . . .” (emphasis added). These provisions clearly indicate that the “action” is already commenced for the purpose of joining the new party. In other words, joinder and interposition occur within the context of an existing action (*see Leuchner v Cavanaugh*, 42 AD3d 893, 894 [4th Dept 2007]).

* We need not determine whether substantive application of CPLR 203—which codifies New York’s “relation back” doctrine—is applicable outside the statute of limitations context.

The federal statute, moreover, fails to require the result pressed by defendants. Nothing in the language of the Graves Amendment suggests that it bars vicarious claims asserted in an amended pleading in an action commenced prior to its effective date. Congress’s understanding of “commencement” as it pertains to initiation of a federal claim is incontrovertible; New York’s commencement-by-filing system is modeled on its federal counterpart (see Fed Rules Civ Pro rule 3; *Perez v Paramount Communications*, 92 NY2d 749, 755 [1999]). Nor does the language of the Amendment require that the automobile lessor be named as a party prior to its effective date.

Although defendants urge us to glean congressional intent from the floor minutes surrounding the enactment of this contentious legislation (see 151 Cong Rec H1034-01), where the language of a statute is clear there is little room to “add to or take away from that meaning” (see *Tompkins v Hunter*, 149 NY 117, 123 [1896]). Moreover, if we were to find the word “commenced” somehow ambiguous, which we do not, the debates fail to shed any light whatsoever on Congress’s intent with regard to vehicle lessors later joined by amendment, and we have found no other legislative history relevant to this specific point.

The rule we enunciate today is “clear and easy-to-follow” (see *McAtee v Capital One, F.S.B.*, 479 F3d 1143, 1147 [9th Cir 2007]). It appropriately limits potential claims against vehicle lessors without unwarranted abridgment of actions already under way. Without clearer indication from Congress, we see no reason to infer greater retroactive application of a law that otherwise denies injured plaintiffs a viable cause of action (see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577 [1998]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the motion to dismiss plaintiff’s amended complaint against defendant DCFS Trust denied.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[890 NE2d 233, 860 NYS2d 471]

FAIR PRICE MEDICAL SUPPLY CORP., as Assignee of CESAR NIVELLO,
Respondent, v TRAVELERS INDEMNITY COMPANY, Appellant.

Argued April 30, 2008; decided June 5, 2008

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered June 11, 2007. The Appellate Division affirmed an order of the Appellate Term of the Supreme Court in the Second and Eleventh Judicial Districts (op 9 Misc 3d 76), which had (1) reversed an order of the Civil Court of the City of New York, Kings County (Alice Fisher Rubin, J.), insofar as appealed from, denying plaintiff's motion for summary judgment; (2) granted plaintiff's motion in the principal sum of \$1,628.98; and (3) remanded the matter to Civil Court for a calculation of statutory interest and an assessment of attorneys' fees. The following question was certified by the Appellate Division: "Was the opinion and order of this court dated June 12, 2007, properly made?"

Fair Price Med. Supply Corp. v Travelers Indem. Co., 42 AD3d 277, affirmed.

HEADNOTE

Insurance — No-Fault Automobile Insurance — First-Party Benefits — Fraud Defense

In an action to recover assigned first-party no-fault medical benefits for medical supplies allegedly supplied by plaintiff to its assignor, defendant insurer's failure to pay or deny the claims within the statutory 30-day period (*see* Insurance Law § 5106 [a]) precluded it from asserting as a defense that the assignor never received the supplies. An insurer that fails to deny a no-fault claim within the 30-day period is generally precluded from asserting a defense against payment of the claim, although there is a narrow exception for those situations where an insurance company raises a defense of lack of coverage. Here the fraud defense was more like a "normal" exception from coverage as opposed to a lack of coverage in the first instance, as there was an actual accident and actual injuries, and coverage legitimately came into existence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 379, 380, 523, 527.

COUCH ON INSURANCE (3d ed) §§ 171:57, 171:60, 195:66,
195:70.

McKINNEY's, Insurance Law § 5106.

NY JUR 2d, Insurance §§ 1787, 1800.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No-Fault Insurance.

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Query: no-fault /p fraud & supplies /s fail!

POINTS OF COUNSEL

Law Offices of Karen C. Dodson, New York City (*Carol R. Finocchio* of counsel), for appellant. I. The Appellate Division's order should be reversed. An insurer should be permitted to assert at any time the defense of fraud against a medical provider who bills for medical supplies and equipment that were never delivered. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185; *Allstate Ins. Co. v Valley Physical Medicine & Rehabilitation, P.C.*, 475 F Supp 2d 213; *M.G.M. Psychiatry Care P.C. v Utica Mut. Ins. Co.*, 12 Misc 3d 137[A], 2006 NY Slip Op 51286[U]; *Ocean Diagnostic Imaging P.C. v Travelers Prop. Cas. Corp.*, 8 Misc 3d 130[A], 2005 NY Slip Op 51047[U]; *Ocean Diagnostic Imaging P.C. v Utica Mut. Ins. Co.*, 8 Misc 3d 131[A], 2005 NY Slip Op 51080[U]; *Markevics v Liberty Mut. Ins. Co.*, 97 NY2d 646; *RDK Med. P.C. v General Assur. Co.*, 8 Misc 3d 1025[A], 2005 NY Slip Op 51281[U].) II. It is critical to the vitality and integrity of the no-fault system that fraudulent made-up claims be exempted from the 30-day preclusion rule. (*Matter of Medical Socy. of State of N.Y. v State of N.Y. Dept. of Health*, 83 NY2d 447; *Davis v Supreme Lodge, Knights of Honor*, 165 NY 159; *Matter of Stralem*, 303 AD2d 120; *Hospital for Joint Diseases v Hertz Corp.*, 22 AD3d 724; *Trans-Resources, Inc. v Nausch Hogan & Murray*, 298 AD2d 27; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Astoria Quality Drugs v United Pac. Ins. Co. of N.Y.*, 163 AD2d 82; *State Farm Mut. Auto. Ins. Co. v Mal-lela*, 4 NY3d 313; *Universal Acupuncture Pain Servs. v Lumbermens Mut. Cas. Co.*, 195 Misc 2d 352; *ABC Med. Mgt. v GEICO Gen. Ins. Co.*, 3 Misc 3d 181.) III. The insured's no-fault statement constituted admissible proof of fraud, which proof was sufficient to require a trial on that question. (*Matter of Stralem*,

303 AD2d 120; *Hospital for Joint Diseases v Hertz Corp.*, 22 AD3d 724; *Trans-Resources, Inc. v Nausch Hogan & Murray*, 298 AD2d 27; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96; *Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439; *Ferrante v American Lung Assn.*, 90 NY2d 623.)

Law Office of Alden Bannietts, Brooklyn (Jeff Henle of counsel), for respondent. I. Travelers Indemnity Company should be precluded from asserting its proffered defense. (*Tikhonova v Ford Motor Co.*, 10 AD3d 185; *Wood v Nationwide Mut. Ins. Co.*, 45 AD3d 1285; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Walton v Lumbermens Mut. Cas. Co.*, 88 NY2d 211; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312; *Zappone v Home Ins. Co.*, 55 NY2d 131.) II. Travelers Indemnity Company has failed to submit admissible evidence to support its proffered defense.

Short & Billy, P.C., New York City (*Skip Short* of counsel), for New York Central Mutual Fire Insurance Company and others, amici curiae. I. Construing Insurance Law § 5106 to require the payment of fraudulent claims not denied within 30 days would directly conflict with other statutes, especially for fraud that cannot with due diligence be discovered within 30 days. (*Montgomery v Daniels*, 38 NY2d 41; *Liberty Mut. Ins. Co. v United States*, 490 F Supp 328; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *Fafinski v Reliance Ins. Co.*, 65 NY2d 990; *Radzanower v Touche Ross & Co.*, 426 US 148; *Shugrue v Air Line Pilots Assn., Intl.*, 922 F2d 984, 502 US 808; *United States v Orena*, 811 F Supp 819; *Matter of Burger King v State Tax. Commn.*, 51 NY2d 614; *Matter of American Motors Sales Corp. v Brown*, 152 AD2d 343, 75 NY2d 709; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854.) II. Goods sold by laypeople are not covered in the no-fault statute. (*Pommells v Perez*, 4 NY3d 566; *Montgomery v Daniels*, 38 NY2d 41.) III. No-fault does not provide coverage unless health care expenses are incurred. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Rubin v Empire Mut. Ins. Co.*, 25 NY2d 426.) IV. An insurer should be able to raise fraud as a defense against the claim of a wrongdoer. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312; *Matter of Insurance Co. of*

Opinion by READ, J.

N. Am. v Kaplun, 274 AD2d 293; *Taradena v Nationwide Mut. Ins. Co.*, 239 AD2d 876; *Mooney v Nationwide Mut. Ins. Co.*, 172 AD2d 144; *Jonari Mgt. Corp. v St. Paul Fire & Mar. Ins. Co.*, 58 NY2d 408.) V. The rule of preclusion should not be expanded in no-fault claims. (*Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Matter of Liberty Mut. Ins. Co. [Hogan]*, 82 NY2d 57; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *Walton v Lumbersmens Mut. Cas. Co.*, 88 NY2d 211; *Goldberg v Corcoran*, 153 AD2d 113.) VI. The applicant has the burden of proof of medical necessity in a claim brought under Insurance Law article 51. (*Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313; *Mount Sinai Hosp. v Triboro Coach*, 263 AD2d 11; *Amaze Med. Supply v Eagle Ins. Co.*, 2 Misc 3d 128[A], 2003 NY Slip Op 51701[U]; *Mary Immaculate Hosp. v Allstate Ins. Co.*, 5 AD3d 742; *A.B. Med. Servs. PLLC v Lumbersmens Mut. Cas. Co.*, 4 Misc 3d 86; *Clemens v Apple*, 65 NY2d 746; *Oquendo v New York City Tr. Auth.*, 246 AD2d 635.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick, Cheryl F. Korman, Barry I. Levy, Stuart M. Bodoff and Max Gershenoff* of counsel), for New York Insurance Association, Inc., amicus curiae. As with other types of fraud, the defense of provider fraud is not precluded merely because an insurer does not uncover a scheme to fraudulently obtain no-fault benefits within 30 days after receipt of a fraudulent claim. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Valley Psychological v Liberty Mut. Ins. Co.*, 195 Misc 2d 540; *Pommells v Perez*, 4 NY3d 566; *State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of Eagle Ins. Co. v Gueye*, 26 AD3d 192; *Matter of Allstate Ins. Co. v Massre*, 14 AD3d 610.)

OPINION OF THE COURT

READ, J.

Cesar Niveló was injured on May 8, 2001 when the car that he was driving was rear-ended. On May 9, 2001, a chiropractor

prescribed certain durable medical equipment and orthotic appliances to alleviate his pain and speed his recovery; on June 18, 2001, a physiatrist prescribed additional orthopedic devices and portable physiotherapeutic equipment for Niveló. Plaintiff Fair Price Medical Supply Corporation claims to have furnished Niveló with all these items, which included a transcutaneous electrical nerve stimulator, an infrared heat lamp, a massager, a heating pad, a cervical pillow, and a lumbosacral support. On May 11, 2001 and June 22, 2001, Niveló executed “Assignment of Benefits” forms to transfer to Fair Price his right to recover the cost of these medical supplies. The forms enumerated the prescribed items under the heading “Equipment Delivered” and the subheading “I have received [the] following supplies.”

By claims dated September 18, 2001 and October 13, 2001, Fair Price asked for payment of Niveló’s no-fault benefits from defendant Travelers Indemnity Company, his no-fault insurance carrier. These two claims itemized the medical supplies allegedly received by Niveló in May and June 2001, and sought reimbursement in the total amount of \$1,638.98. By letter dated September 26, 2001, Travelers informed Fair Price that it was “unable to process” the claim for services rendered Niveló in May 2001 “[p]ending verification of the facts of the loss including statements from all parties involved” and “a letter of medical necessity for Supplies.” By the same form letter dated October 19, 2001, Travelers also requested a letter of medical necessity for the supplies claimed to have been furnished to Niveló in June 2001.

On November 6, 2001, Fair Price mailed Travelers the requested letters of medical necessity from the chiropractor and the physiatrist, as well as consultation reports from the physiatrist and the internist who referred Niveló to the physiatrist. Travelers did not pay the two claims, and did not deny them until August 15, 2003—nearly two years after they were first submitted.¹

Travelers’ denial was based upon item number 190 in a 10-page questionnaire entitled “No Fault Statement,” dated October 4, 2001, less than 30 days after Fair Price made the first claim, and nine days before it made the second one. Item

1. Travelers alleges that on November 2, 2001 it denied Fair Price’s claim dated September 18, 2001, which covered the medical supplies supposedly furnished to Niveló in May 2001. The only denial-of-claim form in the record, however, is dated August 15, 2003 and pertains to the medical supplies prescribed for and allegedly provided Niveló in both May and June 2001.

number 190 asked “What medical supplies did you receive?” In response, the word “none” was handwritten. The questionnaire purported to record information given by Niveló to Travelers’ investigator, and was signed by Niveló, a witness and a Spanish translator.

By summons and complaint dated August 26, 2003, Fair Price commenced this action in the Civil Court of the City of New York to recover the cost of the medical supplies it claimed to have provided Niveló in May and June 2001. In an answer dated October 14, 2003, Travelers pleaded, as one of its affirmative defenses, that Fair Price’s request for reimbursement was “properly denied by [Travelers] based upon a statement from Cesar Niveló that no supplies were ever furnished by [Fair Price] to Mr. Niveló.”

Fair Price subsequently moved and Travelers cross-moved for summary judgment. Travelers took the position that, at a minimum, the “No Fault Statement” created a triable issue of fact as to whether Niveló ever received the prescribed medical supplies. Travelers argued further that the defense of fraud was available even assuming its disclaimer was insufficient or untimely. In a decision and order dated March 3, 2004, Civil Court denied both motions on the ground that Travelers had raised a triable issue of fact, and that Travelers’ untimely denial of coverage did not preclude it from asserting fraud as a defense. Fair Price appealed.

The Appellate Term, with one Justice dissenting, reversed Civil Court’s order denying Fair Price summary judgment, granted the motion in the principal sum of \$1,628.98, and remanded the case for a calculation of statutory interest and attorneys’ fees pursuant to Insurance Law § 5106 (a) and its implementing regulations. The two-Justice majority opined that the “clear implication” of *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.* (90 NY2d 274 [1997]) was that “a defense based on a provider’s alleged fraudulent claim for no-fault benefits is precluded by an insurer’s failure effectively to invoke its remedies in the ‘contestable period,’ one of the ‘tradeoff[s] of the no-fault reform’ which the Legislature recognized as the cost of providing ‘prompt uncontested, first-party insurance benefits’ ” (*Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 9 Misc 3d 76, 78-79 [App Term, 2d & 11th Jud Dists 2005], quoting *Presbyterian*, 90 NY2d at 285 [alteration in Appellate Term opinion]). The dissenting Justice protested that this reading of *Presbyterian* “mandate[d] the payment of an intentional

false claim for treatment, services or medical equipment that was never provided, i.e., pure fraud (classic fraud)” (*Fair Price Med. Supply Corp.*, 9 Misc 3d at 81 [Golia, J., dissenting]). The Appellate Term subsequently granted Travelers permission to appeal to the Appellate Division.

The Appellate Division unanimously affirmed, noting that

“[i]n this case, unlike a staged-accident case, there was an actual automobile accident, which caused Niveló to sustain actual injuries, for which he was treated by actual health care providers, who issued actual prescriptions for medical supplies to treat his injuries. Niveló’s undisputedly real accident and resulting injuries triggered the coverage provided for in his insurance policy with the defendant” (*Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 42 AD3d 277, 284 [2d Dept 2007]).

“In sum,” the Appellate Division concluded, “while [Travelers] certainly was entitled to contest [Niveló’s] claim as fraudulent, it was required to do so within the rules of the no-fault system,” which impose tight deadlines (*id.* at 286). The Appellate Division thereafter granted Travelers leave to appeal, and asked us whether its opinion and order was properly made. We now affirm, and answer the certified question “Yes.”

Just recently, in *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.* (9 NY3d 312 [2007]), we discussed the legal framework governing this appeal. There, we noted that “New York’s no-fault automobile insurance system is designed ‘to ensure prompt compensation for losses incurred by accident victims without regard to fault or negligence, to reduce the burden on the courts and to provide substantial premium savings to New York motorists’” (*id.* at 317, quoting *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 860 [2003] [upholding regulations reducing time frames for claiming and proving entitlement to no-fault benefits]). “In furtherance of these goals, the Superintendent of Insurance has adopted regulations implementing the No-Fault Law (Insurance Law art 51), including circumscribed time frames for claim procedures” (*Hospital for Joint Diseases*, 9 NY3d at 317). We described the basic no-fault regime as follows:

“The[] regulations require an accident victim to submit a notice of claim to the insurer as soon as practicable and no later than 30 days after an ac-

cident (*see* 11 NYCRR 65-1.1, 65-2.4 [b]). Next, the injured party or the assignee . . . must submit proof of claim for medical treatment no later than 45 days after services are rendered (*see* 11 NYCRR 65-1.1, 65-2.4 [c]). Upon receipt of one or more of the prescribed verification forms used to establish proof of claim, . . . an insurer has 15 business days within which to request ‘any additional verification required by the insurer to establish proof of claim’ (11 NYCRR 65-3.5 [b]). An insurer may also request ‘the original assignment or authorization to pay benefits form to establish proof of claim’ within this time frame (11 NYCRR 65-3.11 [c]). Significantly, an insurance company must pay or deny the claim within 30 calendar days after receipt of the proof of claim (*see* Insurance Law § 5106 [a]; 11 NYCRR 65-3.8 [c]). If an insurer seeks additional verification, however, the 30-day window is tolled until it receives the relevant information requested (*see* 11 NYCRR 65-3.8 [a] [1])” (*Hospital for Joint Diseases*, 9 NY3d at 317 [footnotes omitted]).

Finally, we reviewed the “substantial consequences” of “[a]n insurer’s failure to pay or deny a claim within 30 days” (*id.*). First, “[b]y statute, overdue payments earn monthly interest at a rate of two percent and entitle a claimant to reasonable attorneys’ fees incurred in securing payment of a valid claim (*see* Insurance Law § 5106 [a])” (*Hospital for Joint Diseases*, 9 NY3d at 317-318). Citing *Presbyterian*, we emphasized that even “[m]ore importantly, a carrier that fails to deny a claim within the 30-day period is generally precluded from asserting a defense against payment of the claim” (*id.* at 318). Referring to *Central Gen. Hosp. v Chubb Group of Ins. Cos.* (90 NY2d 195 [1997]), we cautioned that the only exception to this preclusion remedy was a “narrow” one for those “situations where an insurance company raises a defense of lack of coverage” (*Hospital for Joint Diseases*, 9 NY3d at 318).

“In such cases, an insurer who fails to issue a timely disclaimer is not prohibited from later raising the defense because the insurance policy does not contemplate coverage in the first instance, and requiring payment of a claim upon failure to timely disclaim would create coverage where it never existed” (*id.* [citation and internal quotation marks omitted]; *see also Zappone v Home Ins. Co.*, 55 NY2d 131 [1982] [Insur-

ance Law § 167 (8) (superseded by Insurance Law § 3420 [d]) does not require notice of denial of coverage where policy insured neither person nor automobile involved in accident]). As we explained,

“[i]n *Chubb*, the insurer asserted as a defense that the claimant’s injuries arose out of a prior work-related accident rather than a car accident. Alternatively, the carrier refused payment on the ground that the patient’s treatment was excessive. We held that the insurer was not barred from arguing that the injuries were unrelated to the accident because, if true, the treatment would not have been covered by the automobile liability policy in the first instance. On the other hand, we indicated that an excessive treatment defense ordinarily does not implicate a coverage issue, in which situation the preclusion rule applies” (*Hospital for Joint Diseases*, 9 NY3d at 319, citing *Chubb*, 90 NY2d at 199).

Thus, the key issue here—as was also the case in *Hospital for Joint Diseases*—is whether the facts fit within the narrow no-coverage exception to the preclusion rule. Travelers argues that they do, and so it is “irrelevant” that Fair Price’s claims were pending for nearly two years before Travelers finally denied them. Specifically, Travelers argues

“where . . . the medical supplies and equipment for which the plaintiff provider is suing to recover payments were never provided to the insured-assignor, there is no coverage in the first instance, and a defense of fraud based upon the plaintiff provider’s failure to provide the supplies and equipment cannot be waived, even if its denial of claim was untimely.”

But there are important differences between this case and *Chubb*. As already noted, the majority in *Chubb* emphasized the “narrow[] . . . sweep” of the exception for “denial[s] of claims . . . premised on a lack of coverage” (90 NY2d at 199). Moreover, the relevant statutory language reveals “necess[ity]” and “incur[sion]” to be of a kind in Insurance Law § 5102 *et seq.* (see § 5102 [a] [1] [providing coverage for “(a)ll necessary expenses incurred for . . . services”]), which is important because we explicitly stated in *Chubb* that billing for unnecessary procedures—i.e., overbilling—was subject to preclusion, not the no-coverage exception (see *e.g.* *Chubb*, 90 NY2d at 199 [“We

would not, for example, extend this *exceptional* exemption to excuse Chubb's untimely defense in relation to treatment being deemed excessive by the insurer. That would not ordinarily implicate a coverage matter and, therefore, failure to comply with the Insurance Law time restriction might properly preclude the insurer from a belated rejection of the billing claim on that basis" (emphasis added)).

More fundamentally, determining whether a specific defense is precluded under *Presbyterian* or available under *Chubb* entails a judgment: Is the defense more like a "normal" exception from coverage (e.g., a policy exclusion), or a lack of coverage in the first instance (i.e., a defense "implicat[ing] a coverage matter")? In our view, a defense that the billed-for services were never rendered is more akin to the former. In this case, there was an actual accident and actual injuries. As the Appellate Division put it, "coverage legitimately came into existence" (42 AD3d at 285), thus removing this fact pattern from the realm of cases where preclusion would "create coverage where it never existed" (*Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185, 188 [2000]).

While preclusion requires Travelers to pay a no-fault claim it might not have been obligated to honor if timely disclaimed, the same can be said of *any* policy defense subject to preclusion. Moreover, although there may be some merit to Travelers' protest that a 30-day (plus potential tolling) window is generally too short a time frame in which to detect billing fraud, any change is up to the Legislature.² As we observed in *Presbyterian* and repeated in *Hospital for Joint Diseases*:

"No-fault reform was enacted to provide prompt uncontested, first-party insurance benefits. That is part of the price paid to eliminate common-law contested lawsuits. . . . The tradeoff of the no-fault reform still allows carriers to contest ill-founded, il-

2. For his part, the Superintendent appears to be well aware of the interplay of no-fault deadlines and fraud. A few years ago he reduced the regulatory time frames for automobile accident victims or their assignees to claim and prove entitlement to no-fault benefits—a measure applauded by insurers—in part because

"the most common example of . . . fraud . . . consisted of exploiting the time lag between the alleged loss and the deadline for submitting proof of the loss, coupled with the reality that insurers are given only 30 days to review and investigate claims before paying them without risk of penalties for denying or delaying a claim" (*Medical Socy.*, 100 NY2d at 861).

legitimate and fraudulent claims, but within a strict, short-leashed contestable period and process designed to avoid prejudice and red-tape dilatory practices” (*Presbyterian*, 90 NY2d at 285 [citation omitted]; see also *Hospital for Joint Diseases*, 9 NY3d at 320, quoting *Presbyterian*, 90 NY2d at 285).

Finally, Travelers and amici curiae argue that, unless we adopt the approach they advocate, insurers in the future will be forced to blanket insureds and their assignees with demands for additional verification in order to combat fraud. A flurry of verification requests, however, is unlikely to burden the no-fault system more than the uncertainty and delay apt to result from judicial expansion of the no-coverage exception. And in this case, of course, Travelers discovered potential billing fraud well within the 30-day time period. Rather than acting on Fair Price’s claims in a timely fashion, however, Travelers waited for almost two full years.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (dissenting). Travelers asserts, with support in the record, that it is being asked to pay for medical supplies that were never delivered to the patient it insured. I would hold that, if indeed the basis for Fair Price’s claims is nonexistent, those claims are outside the coverage of the policy, and Travelers’ defense is therefore not barred by its failure to meet the deadlines imposed by Department of Insurance regulations.

While the general rule is, as the majority says, that defenses not asserted under the time schedule in the regulations are barred (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274 [1997]), we made an exception in *Central Gen. Hosp. v Chubb Group of Ins. Cos.* (90 NY2d 195, 198 [1997]), decided the same day as *Presbyterian*, for defenses based on “a strict lack of coverage ground.” In distinguishing between “lack of coverage” and other defenses, we followed a precedent in the liability insurance area, *Zappone v Home Ins. Co.* (55 NY2d 131 [1982]).

The rule of *Central Gen. Hosp.* and *Zappone* is difficult to apply. Despite our use of the word “strict” in *Central Gen. Hosp.*, there is no theoretically perfect way to distinguish lack of coverage defenses from others. It can plausibly be said that any claim not payable under the terms of the policy is a claim the policy

does not cover (see *Zappone*, 55 NY2d at 140-143 [Gabrielli, J., dissenting]). In *Zappone*, we said that to preclude a defense based on lack of coverage “would be to impose liability upon the carrier for which no premium had ever been received” (55 NY2d at 135-136), but every loss for which a carrier did not agree in its policy to pay is one for which it never received a premium. Nevertheless, it is clear under *Presbyterian* that insurers must pay most such claims if they do not assert their defenses in a timely way.

The *Zappone*/*Central Gen. Hosp.* rule is best understood as requiring different treatment for defenses of such fundamental importance that, unlike most defenses, they should not be subject to waiver by insurance company inaction. These defenses are treated as “lack of coverage” defenses. The defense we upheld in *Zappone* was that the liability sued on was “incurred neither by the person insured nor in the vehicle insured” (*id.* at 135). The defense in *Central Gen. Hosp.* was that the injuries for which the insured was treated did not arise out of an automobile accident. That no medical supplies were provided to the insured is an equally fundamental objection to a claim, and should be treated as a defense based on lack of coverage. That is consistent with the plain meaning of the words “lack of coverage.” Neither the insurance policy at issue here nor any other covers wholly fabricated claims.

If indeed Travelers’ insured never received the supplies for which Travelers was billed, to uphold these claims would be to countenance a particularly gross form of fraud. I acknowledge that, under *Presbyterian*, some “illegitimate and fraudulent claims” must be paid if a defense to them is not asserted promptly (90 NY2d at 285); no doubt padded medical bills, overpriced merchandise and other relatively petty abuses will sometimes slip through. But I agree with Justice Golia, dissenting from the Appellate Term’s ruling in the present case, that the line should be drawn at what he called “pure fraud” or “classic fraud” (*Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 9 Misc 3d 76, 81 [App Term, 2d & 11th Jud Dists 2005, Golia, J., dissenting]). An attempt to distinguish this kind of fraud from the lesser kinds would not succeed perfectly, and would no doubt be the cause of some delay and administrative inconvenience, but I think it would be worth the cost.

The impact of fraud on this State’s no-fault system is notorious, as the Appellate Term majority and the Appellate Division acknowledged, even while rejecting Travelers’ defense. The Ap-

pellate Term referred to “the steep increase in fraudulent no-fault benefits claims arising . . . from provider claims where the services or supplies were . . . never rendered” (9 Misc 3d at 78); the Appellate Division said that “the fraud and abuse that plagues the no-fault insurance system is a serious problem with widespread consequences” (42 AD3d 277, 285-286 [2d Dept 2007]). Today’s decision, I believe, unjustifiably hinders insurers’ efforts to keep that problem within bounds.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and JONES concur with Judge READ; Judge SMITH dissents in a separate opinion in which Judge PIGOTT concurs.

Order affirmed, etc.

[890 NE2d 219, 860 NYS2d 457]

In the Matter of DONALD FEOLA, Respondent, v PATRICK J. CARROLL, as Police Commissioner of the City of New Rochelle, et al., Appellants.

Argued April 22, 2008; decided June 5, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Westchester County (Barbara G. Zambelli, J.), entered May 24, 2007. The Supreme Court awarded petitioner back pay and longevity pay, along with post-judgment interest at 9% per annum. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 24, 2006 in a proceeding pursuant to CPLR article 78. The Appellate Division had (1) reversed, on the law, an order of that Supreme Court (Orazio R. Bellantoni, J.), which denied the petition and dismissed the proceeding; (2) granted the petition; (3) annulled a determination of respondent Patrick J. Carroll, as Police Commissioner of the City of New Rochelle, which summarily terminated petitioner's employment as a police officer pursuant to Public Officers Law § 30 (1) (e) on the basis of his misdemeanor conviction of endangering the welfare of a child; (4) directed respondents to reinstate petitioner as a police officer and to afford him a due process hearing; and (5) remitted the matter to the Supreme Court for calculation of the back pay and interest owed to petitioner.

Matter of Feola v Carroll, 25 AD3d 697, reversed.

HEADNOTE

Public Officers — Vacancy in Office — Lack of Moral Integrity — Conviction of Endangering Welfare of Child

Upon petitioner police officer's conviction of endangering the welfare of a child in violation of Penal Law § 260.10 (1) for incidents that occurred outside the line of duty, his position automatically became vacant pursuant to Public Officers Law § 30 (1) (e), which provides that an office is deemed vacant upon an officer's conviction of a crime involving a violation of his oath of office. A misdemeanor conviction for conduct outside the line of duty will be considered a crime involving a violation of one's oath of office if the violation is apparent from the Penal Law's definition of the crime. The statute is applicable to misdemeanors, an element of which includes knowing or intentional conduct indicative of a lack of moral integrity. A conviction for endangering the welfare of a child under Penal Law § 260.10 (1) conclusively establishes a lack of moral integrity. A conviction requires that the defendant knowingly engage in

behavior likely to be injurious to a child victim's physical, mental or moral welfare. One who knowingly engages in conduct likely to be injurious to a child's welfare would be deemed wanting in moral integrity. Thus, any pretermination hearing into the facts underlying petitioner's conviction was unnecessary.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service § 68; AM JUR 2d, Sheriffs, Police, and Constables § 25.

McKINNEY's, Penal Law § 260.10 (1); Public Officers Law § 30 (1) (e).

NY JUR 2d, Civil Servants and Other Public Officers and Employees § 517; NY JUR 2d, Counties, Towns, and Municipal Corporations § 529; NY JUR 2d, Criminal Law § 3536.

ANNOTATION REFERENCE

What constitutes conviction within statutory or constitutional provision making conviction of crime ground of disqualification for, or vacancy in, public office. 10 ALR5th 139.

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POINTS OF COUNSEL

Law Office of Vincent Toomey, Lake Success (Vincent Toomey and Thomas J. Marcoline of counsel), for appellants. I. Police officers convicted of endangering the welfare of a child violate their oath of office and vacate their public office under section 30 (1) (e) of the Public Officers Law. (*Matter of Duffy v Ward*, 81 NY2d 127; *Matter of Toro v Malcolm*, 44 NY2d 146; *World Exch. Bank v Commercial Cas. Ins. Co.*, 255 NY 1; *Matter of Bowman v Kerik*, 271 AD2d 225; *Sroka v Municipal Civ. Serv. Commn. of City of Buffalo*, 57 AD2d 1064; *Matter of Segars v City of Buffalo*, 237 AD2d 910; *Matter of Pirozzi v Safir*, 270 AD2d 2, 95 NY2d 756; *People v Hitchcock*, 98 NY2d 586; *People v Johnson*, 95 NY2d 368; *People v Simmons*, 92 NY2d 829.) II. The Appellate Division erred by finding that a conviction of the crime of endangering the welfare of a child cannot be facially construed as a crime involving "willful deceit or a calculated disregard for honest dealings" or "an intentional dishonesty or corruption of

purpose,” and/or that Penal Law § 260.10 (1) encompasses conduct other than that involving a lack of moral integrity. (*Matter of Duffy v Ward*, 81 NY2d 127; *People v Doe*, 137 Misc 2d 582.) III. The Appellate Division’s decision directing appellants to afford Donald Feola a due process hearing to determine whether his underlying conviction constituted a violation of his oath of office demonstrates the Appellate Division’s gross misconstruction of Public Officers Law § 30 (1) (e). (*Matter of Duffy v Ward*, 81 NY2d 127; *Matter of Toro v Malcolm*, 44 NY2d 146; *Matter of Cherkis v Impellitteri*, 307 NY 132.)

Thomas J. Troetti, White Plains, for respondent. I. When the definitional standard articulated by this Court in *Matter of Duffy v Ward* (81 NY2d 127 [1993]) is applied to Penal Law § 260.10 (1), it is clear, as the Appellate Division correctly concluded, that the misdemeanor of endangering the welfare of a child does not define conduct which involves an intentional dishonesty or a corruption of purpose. (*Lemieux v City of Niagara Falls*, 138 AD2d 945, 72 NY2d 806; *Matter of Hodgson v McGuire*, 75 AD2d 763; *Sroka v Municipal Civ. Serv. Commn. of City of Buffalo*, 57 AD2d 1064; *Matter of Pesale v Beekman*, 81 AD2d 590, 54 NY2d 707; *Matter of Holt v Marinelli*, 45 AD3d 1317; *Matter of Bowman v Kerik*, 271 AD2d 225; *Matter of Foley v Bratton*, 92 NY2d 781; *People v Bergerson*, 17 NY2d 398; *People v Johnson*, 95 NY2d 368; *People v Simmons*, 92 NY2d 829.) II. Officer Feola agrees that the due process hearing afforded to him should be conducted pursuant to the provisions of Civil Service Law § 75. (*Matter of Duffy v Ward*, 81 NY2d 127.)

Michael A. Cardozo, Corporation Counsel, New York City (*Ronald E. Sternberg* and *Leonard Koerner* of counsel), for City of New York, amicus curiae. Contrary to the conclusion of the Appellate Division, petitioner’s conviction of the crime of endangering the welfare of a child (Penal Law § 260.10 [1]) constituted a violation of his oath of office, such that, upon his conviction, his office became vacant pursuant to Public Officers Law § 30 (1) (e). (*Matter of Duffy v Ward*, 81 NY2d 127; *Matter of Foley v Bratton*, 92 NY2d 781; *People v Johnson*, 95 NY2d 368; *Matter of Holt v Marinelli*, 45 AD3d 1317; *Matter of Segars v City of Buffalo*, 237 AD2d 910; *Matter of Pirozzi v Safir*, 270 AD2d 2, 95 NY2d 756; *Matter of Bowman v Kerik*, 271 AD2d 225; *Bolden v City of New York*, 256 F Supp 2d 193; *Matter of Sharkey v Police Dept. of Town of Southampton*, 179 AD2d 655; *People v Baker*, 24 AD3d 810.)

OPINION OF THE COURT

PIGOTT, J.

Petitioner Donald Feola, a police officer employed by respondent City of New Rochelle, was convicted following a jury trial of endangering the welfare of a child in violation of Penal Law § 260.10 (1) for incidents that occurred outside the line of duty. Respondent Patrick J. Carroll, Police Commissioner for the City, summarily terminated Feola upon his conviction citing Public Officers Law § 30 (1) (e).

Feola then commenced this CPLR article 78 proceeding against Carroll and the City seeking reinstatement and demanding a hearing pursuant to Civil Service Law § 75. In their answer, respondents contended that Feola's conviction involved conduct in violation of his oath of office and therefore his position as a police officer automatically became vacant upon his conviction on that charge. Supreme Court, relying on our decision in *Matter of Duffy v Ward* (81 NY2d 127 [1993]), dismissed the petition, holding that Feola's conviction for endangering the welfare of a child constituted an oath of office violation, rendering a pretermination hearing unnecessary.

The Appellate Division reversed, granted Feola's petition and remitted the matter to Supreme Court for a calculation of back pay and interest (25 AD3d 697, 697-698 [2006]). The court concluded that Feola was entitled to a due process hearing because Penal Law § 260.10 (1) could not be construed, on its face, as constituting "a crime involving 'willful deceit or a calculated disregard for honest dealings' or 'an intentional dishonesty or corruption of purpose' . . . as that crime is not limited to conduct likely to be injurious to the moral welfare of a child," noting that the statute also prohibits conduct injurious to a child's physical or mental welfare (*id.* at 699, quoting *Duffy*, 81 NY2d at 135). Following entry of judgment upon remittal, this Court granted leave and we now reverse.

Public Officers Law § 30 (1) (e) is a self-executing statute which provides that an office is deemed vacant upon an officer's "conviction of . . . a crime involving a violation of his oath of office." A misdemeanor conviction for conduct outside the line of duty will be considered a crime involving a violation of one's oath of office under Public Officers Law § 30 (1) (e) only if the violation is apparent from the Penal Law's definition of the crime (*see Duffy*, 81 NY2d at 134). In addition, that section is applicable to misdemeanors, an element of which includes

“knowing or intentional conduct indicative of a lack of moral integrity” (*id.* at 135). Summary dismissal is therefore justified in circumstances where the misdemeanor for which the officer is convicted “demonstrat[es] a lack of moral integrity,” namely, one that involves a “willful deceit or a calculated disregard for honest dealings” (*id.*).

Here, the jury found that petitioner “knowingly act[ed] in a manner likely to be injurious to the physical, mental or moral welfare of a child less than seventeen years old” (Penal Law § 260.10 [1]). One element of the crime of child endangerment is that defendant knew that his conduct could potentially harm a child (*see People v Johnson*, 95 NY2d 368, 372 [2000]).

The Appellate Division concluded that Feola was entitled to a hearing because it was unclear whether Feola’s conduct was potentially injurious to the child victim’s moral, as opposed to her physical or mental, welfare (25 AD3d at 699). The proper inquiry under *Duffy*, however, is whether petitioner was convicted of a misdemeanor which, on its face, demonstrates a lack of moral integrity, not whether the prohibited conduct may have had a particular effect, in this case, on a particular child victim. A facial review of the elements of the crime of endangering the welfare of a child under Penal Law § 260.10 (1) indicates clearly that it is a “crime involving a violation of [an officer’s] oath of office.”

Reviewing the elements of the offense without consideration of the underlying facts, a conviction for endangering the welfare of a child under Penal Law § 260.10 (1) conclusively establishes a lack of moral integrity. A conviction requires that the defendant knowingly engage in behavior likely to be injurious to a child victim’s physical, mental or moral welfare. Here, a jury found, beyond a reasonable doubt, that Feola knew that his conduct could potentially cause injury to a child and that, notwithstanding the likelihood of such injury, he opted to engage in the prohibited conduct. Because one who knowingly engages in conduct likely to be injurious to a child’s welfare would be deemed wanting in moral integrity, any pretermination hearing into the facts underlying Feola’s conviction would be unnecessary (*see Duffy*, 81 NY2d at 135). When a public officer’s interest in employment is weighed against the interest of this state’s citizens in having public officers possessed of moral integrity, “the balance must be struck in favor of the public[]” (*Matter of Toro v Malcolm*, 44 NY2d 146, 152 [1978], *rearg denied* 45 NY2d 776 [1978], *cert denied* 439 US 837 [1978]).

The Appellate Division misconstrued our holding in *Duffy* when it concluded that a due process hearing was necessary to establish whether Feola's conviction amounted to an oath of office violation. Under *Duffy*, there are two alternative findings that may be reached. If the officer is convicted of a misdemeanor the elements of which constitute willful deceit, calculated disregard for honest dealings, intentional dishonesty or corruption of purpose, then an oath of office violation has occurred and the position becomes vacant. If, on the other hand, the misdemeanor for which the officer has been convicted is not of such a nature, then the officer is entitled to a hearing on the issue of appropriate discipline, which may include termination. Here, Feola's conviction of endangering the welfare of a child constitutes the former, not the latter.

Accordingly, the judgment of Supreme Court and the order of the Appellate Division brought up for review should be reversed, with costs, and the petition dismissed.

GRAFFEO, J. (dissenting). Petitioner, Donald Feola, seeks to annul the determination of respondents, the City of New Rochelle and its Police Commissioner, that summarily terminated his employment as a police officer after he was convicted of endangering the welfare of a child (Penal Law § 260.10 [1]). I would affirm because I believe our precedent in *Matter of Duffy v Ward* (81 NY2d 127 [1993]) requires that a due process disciplinary hearing should have been conducted in this case.

In 2002, petitioner was indicted on several felony and misdemeanor counts in connection with his relationship with a 16-year-old girl. A jury eventually found petitioner not guilty of all counts, except for a misdemeanor charge alleging that petitioner "knowingly acted in a manner likely to be injurious to the physical, mental and moral welfare of a child less than seventeen years old" under Penal Law § 260.10 (1)—the "endangering the welfare of a child" statute.

The Police Commissioner subsequently notified petitioner that his employment was terminated automatically upon his conviction in accordance with Public Officers Law § 30 (1) (e). Petitioner requests review of his dismissal in this CPLR article 78 proceeding, claiming that he should have been afforded a disciplinary hearing under Civil Service Law § 75 since his conviction did not provide a basis for summary termination.

Public Officers Law § 30 (1) (e) provides that a public employee can be automatically terminated if the employee is

convicted of a felony or “a crime involving a violation of [the] oath of office.” The Legislature therefore imposed a significant limitation on a public employer’s authority to summarily dismiss a civil service employee who has been convicted of a misdemeanor for conduct that occurred outside the line of duty—the crime must relate to a violation of the oath of office.

In *Duffy*, we made clear that “a misdemeanor conviction for conduct outside the line of duty will be ‘a crime involving a violation of [the] oath of office’ under Public Officers Law § 30 (1) (e) only if the violation is apparent from the Penal Law’s definition of the crime” (81 NY2d at 134). Thus, we must look at the elements of the offense—not the facts of a particular case—to determine whether a misdemeanor conviction warrants summary dismissal. We further held that an oath of office violation attaches where the statutory elements of the misdemeanor demonstrate “knowing or intentional conduct indicative of a lack of moral integrity” (*id.* at 135). Hence, under the *Duffy* rule, more than a general criminal intent is necessary to constitute an “oath of office” crime. To fall within the ambit of Public Officers Law § 30 (1) (e), we emphasized that the crime must

“be one demonstrating a lack of moral integrity, it must be one involving willful deceit or a calculated disregard for honest dealings. More than intent or a criminal *mens rea* is needed for summary dismissal; there must be an intentional dishonesty or corruption of purpose inherent in the act prohibited by the Penal Law” (*id.*).

The majority asserts that “one who knowingly engages in conduct likely to be injurious to a child’s welfare would be deemed wanting in moral integrity” (majority op at 573) because “[o]ne element of the crime of child endangerment is that defendant knew that his conduct could potentially harm a child” (majority op at 573). But under *Duffy*, this intent alone is insufficient to categorize a misdemeanor as an “oath of office” crime supporting summary termination. Penal Law § 260.10 (1) “is broadly written and imposes a criminal sanction for the mere ‘likelihood’ of harm” to a child (*People v Johnson*, 95 NY2d 368, 372 [2000]). Further, the statute “does not require that the conduct be specifically directed at a child; rather, a defendant must simply be *aware* that the conduct may likely result in harm to a child, whether directed at the child or not” (*id.*; see *People v Simmons*, 92 NY2d 829, 830 [1998]). And critically,

case law demonstrates that a conviction under Penal Law § 260.10 (1) may arise in circumstances having nothing to do with intentional dishonesty or corruption of purpose (see e.g. *People v Simmons*, 92 NY2d at 830 [affirming conviction for endangering the welfare of a child where day care teacher repeated “mocking and vulgar remarks” to a child]; *People v Filangeri*, 13 Misc 3d 142[A], 2006 NY Slip Op 52278[U] [App Term, 2d Dept, 2d & 11th Jud Dists 2006] [affirming conviction for endangering the welfare of a child when defendant, whose one-year-old daughter was sitting in the back of his car, slammed on his brakes, causing a traffic enforcement officer with whom defendant had just had a verbal altercation to rear-end defendant’s car], *lv denied* 8 NY3d 880 [2007]; *People v Afia*, 17 Misc 3d 734 [Crim Ct, Kings County 2007] [school bus driver who left a sleeping child on the bus at the end of a morning trip convicted of attempted endangering the welfare of a child]).

Although a conviction under Penal Law § 260.10 (1) certainly calls into question the actor’s judgment, it does not always present an issue of “moral integrity” as that term was carefully defined in *Duffy*. I therefore disagree with the majority that, in all instances, a conviction under Penal Law § 260.10 (1) implicates a breach of public trust. The facts underlying a conviction for endangering the welfare of a child may ultimately warrant discipline, including termination of employment—as may be the case here—but under Civil Service Law § 75, hearings are necessary to determine the nature of the misconduct and the discipline that should be imposed.

Chief Judge KAYE and Judges CIPARICK, READ and SMITH concur with Judge PIGOTT; Judge GRAFFEO dissents and votes to affirm in a separate opinion in which Judge JONES concurs.

Judgment appealed from and order of the Appellate Division brought up for review reversed, etc.

[890 NE2d 224, 860 NYS2d 462]

In the Matter of ROBERT M. RESTAINO, a Judge of the Niagara Falls City Court, Niagara County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued April 22, 2008; decided June 5, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated November 13, 2007. The Commission determined that petitioner should be removed from the office of Judge of the Niagara Falls City Court, Niagara County.

HEADNOTE

Judges — Disciplinary Proceedings

A determination of the State Commission on Judicial Conduct that petitioner City Court Judge should be removed from office was accepted. While presiding over the City Court's Domestic Violence Part, petitioner committed 46 defendants in the courtroom into custody when a cell phone or other similar device rang in the back of the courtroom and court officers were unable to locate the device. Although bail-setting and recognizance release determinations are generally matters of discretion rather than law (CPL 510.30 [2]), it is inexcusable and does violence to the court's integrity and the inviolable public trust to abuse such tools of judicial administration as punitive instruments to deprive a person of his or her liberty. This was especially true here, where defendants were guilty of no wrongdoing. Petitioner deprived 46 individuals of their liberty without due process and exhibited insensitivity, indifference and a callousness so reproachable that his continued presence on the bench could not be tolerated.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Bail and Recognizance §§ 34, 35, 104; AM JUR 2d, Judges §§ 16, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:120, 3:123, 3:127, 3:131, 3:133, 3:138, 3:139, 3:145, 3:148; CARMODY-WAIT 2d, Criminal Procedure §§ 172:1339, 172:1350, 172:1369, 172:1373.

McKINNEY's, CPL 510.30 (2).

NY JUR 2d, Courts and Judges §§ 435, 440, 441, 443, 445; NY JUR 2d, Criminal Law §§ 1311, 1326, 1327.

ANNOTATION REFERENCE

Disciplinary action against judge on ground of abusive or

intemperate language or conduct toward attorneys, court personnel, or parties to or witnesses in actions, and the like. 89 ALR4th 278.

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POINTS OF COUNSEL

Connors & Vilardo, LLP, Buffalo (*Terrence M. Connors* and *Vincent E. Doyle III* of counsel), for petitioner. I. This Court should determine the appropriate sanction. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349; *Matter of Kelso*, 61 NY2d 82.) II. In determining the appropriate sanction, this Court should consider the evidence that the misconduct was the result of psychological stressors, which have been addressed by petitioner. III. Because petitioner is fit to serve as a judge, he should not be removed from office. (*Matter of Watson*, 100 NY2d 290; *Matter of Esworthy*, 77 NY2d 280; *Matter of Cunningham*, 57 NY2d 270; *Matter of Kiley*, 74 NY2d 364; *Matter of Duckman*, 92 NY2d 141; *Matter of Skinner*, 91 NY2d 142; *Matter of LaBelle*, 79 NY2d 350; *Matter of Edwards*, 67 NY2d 153; *Matter of Kelso*, 61 NY2d 82.)

Edward Lindner, New York City, *Robert H. Tembeckjian* and *John J. Postel* for respondent. I. Petitioner committed egregious misconduct when he capriciously committed 46 people to police custody, knowing he had no legal authority to do so. (*Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286; *Matter of Bauer*, 3 NY3d 158; *People v Byrne*, 77 NY2d 460; *Hessel v O'Hearn*, 977 F2d 299.) II. Petitioner's claim that he acted out of "displaced" marital frustration is insufficient mitigation, where his own wife was unaware of the problem and his own psychiatrist was unable to say why he acted as he did. (*Matter of Kelso*, 61 NY2d 82; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279.) III. The appropriate sanction is removal. (*Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286; *Matter of Bauer*, 3 NY3d 158; *Matter of Blackburne [State Commn. on Jud. Conduct]*, 7 NY3d 213; *Matter of LaBelle*, 79 NY2d 350.)

Anthony D. Parone, Niagara Falls, and *Morton H. Abramowitz*

for Niagara Falls Boys' and Girls' Club, Inc., and others, amici curiae. I. The conduct of Judge Restaino, a jurist with a previously unblemished record (and an unblemished record from March 11, 2005, when the incident complained of occurred until his recent removal), warrants censure but not removal. (*Matter of Gibbons*, 98 NY2d 448; *Matter of Lonschein*, 50 NY2d 569; *Matter of Cunningham*, 57 NY2d 270; *Matter of Esworthy*, 77 NY2d 280; *Matter of Cohen* [State Commn. on Jud. Conduct], 74 NY2d 272; *Matter of Kiley*, 74 NY2d 364.) II. The sanction of removal would deprive Niagara Falls City Court of a competent, respected and experienced judge.

John M. Aversa, Niagara Falls, for Bar Association of Niagara County and others, amici curiae. I. Niagara County would be deprived, by the sanction of removal, of a competent and experienced judge. II. As a jurist with a previously unblemished record, Judge Restaino's single error of judgment warrants censure but not removal from the bench. (*Matter of Lonschein*, 50 NY2d 569; *Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349; *Matter of Schilling*, 51 NY2d 397; *Matter of Watson*, 100 NY2d 290.) III. The decision of the State Commission on Judicial Conduct was unprecedented. (*Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213; *Matter of Cunningham*, 57 NY2d 270; *Matter of Esworthy*, 77 NY2d 280; *Matter of Lonschein*, 50 NY2d 569; *Matter of Cohen* [State Commn. on Jud. Conduct], 74 NY2d 272; *Matter of Bauer*, 3 NY3d 158.)

Walsh, Roberts & Grace, Buffalo (*Gerald Grace, Jr.*, and *Mark P. Della Posta* of counsel), for New York State Association of City Court Judges, amicus curiae. I. The sanction of removal is excessive, inappropriate and ignores a vital mitigating factor. II. The sanction of removal is excessive and extreme given the context of the misconduct. III. Cases involving singular events of poor judgment or misconduct do not normally warrant the extreme sanction of removal. (*Matter of Kiley*, 74 NY2d 364; *Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213; *Matter of Lonschein*, 50 NY2d 569; *Matter of Skinner*, 91 NY2d 142; *Matter of LaBelle*, 79 NY2d 350.)

Niagara County Legal Aid Society, Niagara Falls (*Mary Ann Oliver* of counsel), *Matthew T. Weber*, *W. Maxwell Coykendall* and *Emma Chapman*, for Mary Ann Oliver and others, amici curiae. Removal of Judge Restaino is an excessive punishment for actions that did not shake the community's confidence in

the fair and proper administration of justice. (*Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213; *Matter of Bauer*, 3 NY3d 158; *Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349; *Matter of Gibbons*, 98 NY2d 448.)

John J. Delmonte, Niagara Falls, for Daniel T. Lukasik, amicus curiae. I. The State Commission on Judicial Conduct disregarded the uncontradicted evidence of emotional stress as the basis for the misconduct committed on March 11, 2005. II. The State Commission on Judicial Conduct failed to fully assess the evidence presented of Judge Restaino's treatment of his adjustment disorder in recommending removal without regard for its unlikely recurrence. (*Matter of Watson*, 100 NY2d 290; *Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213; *Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349.)

Sugarman Law Firm, LLP, Buffalo (*Shannon M. Heneghan* of counsel), for City of Niagara Falls Police Department and others, amici curiae. I. Judge Restaino should not be removed from the bench. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349; *Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213; *Matter of Cunningham*, 57 NY2d 270; *Matter of Esworthy*, 77 NY2d 280.)

Robert Viola, Niagara Falls, for Phi Alpha Delta Law Fraternity, International, amicus curiae. I. Judge Restaino exemplifies the principles and ideals which all Phi Alpha Delta members swear to uphold, and to which all members of the bar should conform. Removal would deprive the legal profession of an experienced jurist whose record on the bench is unblemished. II. The duties and responsibilities of the position of district justice may have unwittingly added to the psychological stressors which resulted in the singular act of aberrant behavior by Judge Restaino.

Lipsitz Green Scime Cambria LLP, Buffalo (*Herbert L. Greenman* of counsel), for Family and Children's Service of Niagara, Inc., and others, amici curiae. I. Judge Restaino should not be removed from the bench. (*Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213.) II. Judge Restaino is an asset to the bench and an exemplary specialty court judge who is fit to serve and whose removal would hinder the administration of Niagara Falls City Court. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Bauer*, 3 NY3d 158; *Matter of Watson*, 100 NY2d 290.)

David J. Farrugia, Public Defender, Lockport, Robert M. Pusateri and David Gerald Jay, Buffalo, for Niagara County Public Defender's Office and another, amici curiae. In the context of Judge Robert M. Restaino's entire legal career, his single error of judgment does not warrant removal from the bench. (*Matter of Watson*, 100 NY2d 290; *Matter of Esworthy*, 77 NY2d 280.)

Thomas M. O'Donnell, Acting Corporation Counsel, Niagara Falls (Christopher M. Mazur of counsel), for City of Niagara Falls, New York, amicus curiae. I. As petitioner is fit to serve as a judge, he should not be removed from office. (*Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349.) II. Petitioner has unprecedented public support and an unblemished record of public service.

OPINION OF THE COURT

Per Curiam.

At petitioner's request, we review a determination of the State Commission on Judicial Conduct which, with one member dissenting as to sanction, sustained a charge of misconduct and recommended that petitioner be removed from office (*see* NY Const, art VI, § 22; Judiciary Law § 44). In seeking review, petitioner concedes the facts as alleged, and challenges only the Commission's recommendation.

Based on the evidence adduced at the three-day hearing before a designated Referee, the Commission found as follows. Petitioner has been a Niagara Falls City Court Judge since 1996 and, as relevant, presided weekly over the Domestic Violence Part from 1999 until March 11, 2005, the date of the conduct in question. The domestic violence court¹ handles cases of defendants who, after arraignment on domestic violence charges, are screened and determined eligible for a court-supervised, 26-week program of counseling and education. Defendants in the program are required to avoid substance use, undergo counseling and periodic testing, and to report weekly as a way of monitoring their progress. Absent a violation of an imposed condition² for which they face potential sanctions (including revocation of release and imposition of bail),

1. Domestic violence courts are dedicated to enhancing victim safety and holding offenders accountable, facilitating victim access to necessary services, and ensuring intensive judicial monitoring, among other things.

2. According to petitioner, the practice in his court was to sanction a defendant who violated such conditions as not appearing in court, testing positive for drugs or not attending designated counseling.

defendants are released each week on their own recognizance. Following their appearance and unless permitted to leave, the practice in petitioner's court was to require defendants to remain in the courtroom until the completion of all scheduled proceedings that day.

On the morning of March 11, 2005, petitioner began his day by presiding over the first set of about 70 cases scheduled for their weekly hearings. The record shows that the courtroom was full and that, in addition to defendants awaiting their individual appearances, others were present, including defense attorneys and prosecutors, court personnel and security officers, as well as representatives from counseling programs. Additionally, the courtroom was open for those entering and leaving, including members of the public, relatives and other interested persons.

During the first hour of scheduled appearances, petitioner handled the cases of over 30 defendants in routine fashion. Of these, petitioner released 11 on their own recognizance and directed that they remain in court until all proceedings were concluded. At approximately 10:00 A.M., a cell phone or other similar device rang in the back of the courtroom. Addressing all defendants present, petitioner stated: "Now, whoever owns the instrument that is ringing, bring it to me now or everybody could take a week in jail and please don't tell me I'm the only one that heard that." After a fruitless inquiry of two defendants about the device, petitioner issued a second warning: "Everyone is going to jail; every single person is going to jail in this courtroom unless I get that instrument now. If anybody believes I'm kidding, ask some of the folks that have been here for a while. You are all going." Following these warnings, petitioner recessed for five minutes, directed court officers to locate the ringing device and instructed them that no one was permitted to leave the courtroom. As petitioner testified, during his recess, he did not reconsider withdrawing his threats. Upon returning, petitioner learned from a court officer that the device had not been discovered.

When the device rang at the back of the courtroom, a defendant was standing before petitioner at a podium prepared to issue his status report. Petitioner queried whether defendant knew who owned the device, to which defendant responded, "No. I was up here." Without equivocation and consideration of

the proper legal bases for doing so (*see* CPL 510.30)³—and notwithstanding his knowledge that defendant, who was standing before him, did not own or otherwise possess the device—petitioner revoked defendant’s recognizance and set bail at \$1,500.

Petitioner proceeded to summon each subsequent defendant remaining on the calendar—34 in all—and questioned each about their knowledge and/or ownership of the device. Dissatisfied with their responses, petitioner revoked or denied recognizance release and set bail. For two previously on release, petitioner increased bail. After summarily disposing of the remaining calendared cases, petitioner recalled 11 defendants whom he had previously released before the device rang and, after similarly questioning them about the device, revoked their recognizance release and imposed bail. In total, petitioner committed 46 defendants into custody. Of these, five had their release revoked; for three, it was their first appearance; the remaining had appeared on prior occasions. Of those committed, only one had an attorney present.

Based on petitioner’s comments made while questioning certain defendants, it is clear that he was disturbed by the breach of courtroom decorum caused by the ringing device. The following are examples of petitioner’s unsettling comments:

“You know, for some of you folks, this hurts me more than any of you imagine because someone in this courtroom has no consideration for you, no consideration for me and just doesn’t care. . . .

“[W]hat I am really, really having a hard time with [is] that someone in this courtroom . . . is so self-absorbed, so concerned only for their own well-being, they kind of figure they’re going to be able to establish the bail and it won’t matter so screw all of the rest of you people. Some of you people may not be in the [same] economic situation [as] this selfish person is . . . [who] put[s] their interests [*sic*] above

3. Section 510.30 (2) (a) requires, in relevant part, that the following criteria be employed in determining an order of recognizance or bail: “the kind and degree of control or restriction that is necessary to secure [a defendant’s] court attendance when required,” as informed by defendant’s character and reputation, employment and financial resources, family ties and length of residence in the community, prior criminal record and attendance record in prior proceedings.

everybody else's. They don't [*sic*] care what happens to anybody. . . .

"I hope [each of you are] watching every one of these people walk up here and deal with the reassessment of bail simply because they don't want to deal with the obvious It's that [phones are] not permitted in the courtroom. . . . [I]f you don't want to give me the instrument, now you're compounding something that is so simple and because you don't have a backbone and you don't want to be responsible for it."

Several defendants, when questioned about the instrument, tried to appeal to petitioner's better reason and, in some cases, pleaded with him for mercy. One defendant, for example, exhorted petitioner to rethink his approach to an otherwise legitimate courtroom concern that could be handled differently, stating: "I think the more people you send to jail, [the] less likely [the] culprit is to come forward," to which petitioner responded: "he'll go right to jail with everybody else." In other instances, one defendant pleaded that he had a doctor's appointment he would miss if jailed; others pleaded that they would lose their new jobs, that they did not have the resources to post bail. Others pleaded for simple fairness, exclaiming that "this ain't right," to which petitioner acknowledged: "You're right, it ain't right. Ain't right at all." Another had a scheduled appointment for counseling pursuant to an imposed condition, while another had his mother "in surgery [that] morning." Finally, another pleaded that he had a biweekly scheduled visit with his "little girl" that he would miss if jailed. These pleas fell on deaf ears.

At one point, petitioner commented that defendants' collective conduct resembled "a mob movie," referring to their perceived unwillingness to come forward with the offending device, stating:

"I got to tell you something, you're all pretty good when you come up to this microphone, and if you saw somebody got [*sic*] shot or killed, you would say, 'I didn't see nothing [*sic*]. I heard shots.' And if a body dropped right in front of you, you would say . . . 'I didn't see a thing.'"

Upon commitment to the custody of the Niagara Falls Police Department, the 46 defendants were transported to the city jail, booked, searched and their property confiscated and placed into

overcrowded holding cells. Following several hours of detention, 32 defendants posted bail; the remaining 14 could not, however, and—shackled, with their wrists handcuffed to a lock box attached to a waist chain—they were subsequently transferred to the Niagara County Sheriff’s custody and transported by bus to the county jail 30 minutes away, arriving at approximately 3:15.

Following the proceedings, petitioner left the bench and attended a scheduled tour of an Erie County juvenile detention facility. During the tour, petitioner received a page from his clerk who informed him that the press had inquired about his actions that morning. In response, petitioner instructed his clerk to have all paperwork necessary for defendants’ release ready upon his return for him to execute release orders.⁴ Petitioner returned to the courthouse at around 3:00 P.M. Approximately one hour later, he ordered the 14 defendants released, but they were not provided with transportation back to Niagara Falls.

By formal written complaint in June 2006, the Commission served petitioner with one charge alleging that he violated several of the Rules Governing Judicial Conduct, specifically 22 NYCRR 100.1, 100.2 (A), and 100.3 (B) (1), (3) and (6),⁵ by arbitrarily revoking or denying the recognizance release status

4. In this regard, petitioner testified, contrary to the Commission’s finding, that he realized, and decided to correct, the error of his action prior to, and independent of, his clerk’s informing him of the press’ inquiry. Petitioner testified that as he was taking the tour, he began “thinking about what I’ve just been in, [and] I begin [*sic*] to believe that I’ve got to make a call to get to my clerk to correct what I did. I’ve got to undo this . . . at the end of the tour.” Ultimately, however, the precise motivation for petitioner’s corrective action is, in light of the gravity of his conduct, inconsequential.

5. Section 100.1 states:

“An independent and honorable judiciary is indispensable to justice in our society. A judge should participate in establishing, maintaining and enforcing high standards of conduct, and shall personally observe those standards so that the integrity and independence of the judiciary will be preserved. The provisions of this Part are to be construed and applied to further that objective.”

Section 100.2 (A) provides: “A judge shall respect and comply with the law and shall act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary.”

Section 100.3 (B) (1) provides: “A judge shall be faithful to the law and maintain professional competence in it. A judge shall not be swayed by partisan interests, public clamor or fear of criticism.”

Section 100.3 (B) (3) provides: “A judge shall be patient, dignified and courteous to litigants, jurors, witnesses, lawyers and others with whom the judge deals in an official capacity, and shall require similar conduct of lawyers,

(n. cont’d)

of the 46 individuals in violation of CPL 510.30 and, consequently, depriving them of their liberty.

Following a three-day hearing, the Honorable Edgar C. NeMoyer, as Referee, determined that the Commission established its factual allegations.⁶ In sum and substance, petitioner testified that he was experiencing deep-seated difficulties in his marriage, such as a lack of communication and intimacy. Petitioner explained that his way of dealing with them was to “bury” himself into his work and suppress the marital strains he was experiencing. With regard to ringing devices in the courtroom, petitioner testified that ordinarily court officers would go “about the business of locating it and either retrieving it or somehow addressing the issue right there” and he would continue with the court’s business. Petitioner explained his skewed response of March 11 thusly:

“I was attempting to locate the instrument and [was] frustrated by the fact that that wasn’t working and that I had indicated to all of the folks that were in the courtroom . . . , many of whom had been with me for some time and were aware of . . . the [parameters] of the program and I certainly know that when I said that, that’s what was going on in my mind. I read [the transcript of the incident] today and I know that . . . [I] certainly [did] not exercis[e] good judgment

“I can only say to you that . . . [my reaction was] a function of . . . letting my own difficulties . . . bleed into the courtroom.”

Petitioner added that he is cognizant of the gravity of his conduct, and that it would not recur: “I’ve learned that suppressing the kinds of things that occur in one’s life isn’t the healthiest way of addressing them.”

and of staff, court officials and others subject to the judge’s direction and control.”

Finally, section 100.3 (B) (6) provides:

“A judge shall accord to every person who has a legal interest in a proceeding, or that person’s lawyer, the right to be heard according to law. A judge shall not initiate, permit, or consider *ex parte* communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding.”

6. In his testimony, petitioner acknowledged that he perverted the bail system by using it as an instrument of punishment, rather than “for securing a defendant’s attendance at court.” As petitioner conceded, “I was thinking in terms of sanctions and not in terms of the CPL.”

Among others, two psychiatrists petitioner consulted after the incident also testified. Dr. Joseph opined that petitioner was experiencing “a somewhat anxious crisis state of mind” due to a strained marriage, as described by petitioner. Dr. Joseph explained the events of March 11, 2005 as petitioner becoming “very frustrated with his marital situation and for reasons which I don’t know, why on that particular day he erupted in an odd and peculiar manner,” he tried to displace his frustrations about his wife’s failure to communicate with him by having “people . . . listen to him” in the courtroom. Dr. Joseph characterized petitioner’s eruption as “the last straw” of a suppressed frustration, but opined that petitioner is unlikely to repeat his conduct of March 11. Dr. Cooley, a psychologist, agreed with Dr. Joseph’s conclusion, opining that the ringing cell phone was “the straw that broke the camel’s back,” that marital stressors “had been building up at home,” and that petitioner placed a “great deal of time into his work” and neglected to address, head on, the problems he was facing.

The Referee concluded that petitioner violated the Rules Governing Judicial Conduct as charged. He acknowledged petitioner’s “expressed remorse,” which “appeared to be sincere.” The Referee also considered the “persuasive testimony” of Drs. Cooley and Joseph, and concluded that petitioner “had been an efficient and competent judge outside of this incident and is well regarded in the community.”

Following oral argument, the Commission recommended, by a vote of nine to one, that petitioner be removed from the bench. The Commission concluded that petitioner’s actions “‘exceeded all measure of acceptable judicial conduct,’ bringing the judiciary into disrepute and irreparably damaging public confidence in his ability to serve as a judge” (quoting *Matter of Blackburne [State Commn. on Jud. Conduct]*, 7 NY3d 213, 221 [2006]). The Commission opined that, in depriving 46 individuals of “their liberty out of pique and frustration,” petitioner “abandoned his role as a reasonable, fair jurist.” The Commission further noted that in the face of numerous opportunities petitioner failed to reconsider the “enormity” of his actions and that, “[i]n summarily committing the defendants into custody, [he] acted without any semblance of a lawful basis, disregarding the statutory criteria for bail or contempt of court.” Finally, the Commission rejected petitioner’s proffered mitigating circumstance, among others, that his conduct was the product of psychological stressors, concluding that his explanation was inexcusable and insufficient under the circumstances.

Commissioner Felder dissented and voted to censure petitioner, concluding that, in light of petitioner's otherwise lengthy, distinguished career, his "two hours of inexplicable madness" should not result in removal. Commissioner Emery concurred with the majority and, in response to Commissioner Felder's dissent, opined that *Blackburne* (7 NY3d 213 [2006]) controlled.

Discussion

On review to this Court, petitioner limits his argument to the issue of sanction, arguing that removal is unwarranted in light of the proffered psychological evidence (which he claims the Commission ignored) and that his conduct was an aberration in an otherwise unblemished judicial career. He argues that, under the circumstances, such evidence, though not excusing his conduct, explains it and enables this Court to adequately determine his fitness to continue serving on the bench. Additionally, petitioner points to other mitigating factors, including remorse and contrition, an acknowledgment of the impropriety of his conduct and the assurance that it will not be repeated. In short, petitioner argues that in reviewing the Commission's recommendation, our goal is " 'to attempt to assess [his] fitness based on his prior record' " (quoting *Matter of Duckman*, 92 NY2d 141, 156 n 6 [1998]). Notwithstanding petitioner's sincerity, we agree with and accept the Commission's recommendation.

Petitioner cannot dispute that "[p]unishing people by setting exorbitant bail . . . demonstrates a callousness both to the law and to the rights of criminal defendants" (*Matter of Bauer*, 3 NY3d 158, 163 [2004]; see also *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286, 289 [1983]). Admittedly, bail-setting and recognizance release determinations are generally "matters of discretion rather than law" (CPL 510.30 [2]). But when such tools of judicial administration are abused as punitive instruments to deprive a person of his or her liberty—a right of the most fundamental order—such conduct is inexcusable and does violence to the court's integrity and the inviolable public trust (see *Matter of LaBelle*, 79 NY2d 350 [1992]). This is especially true where, as here, defendants were guilty of no wrongdoing. We have no reason to disbelieve petitioner's assertion that he was simply attempting to uphold the integrity of his court. His method, however—an overreaction to a "minuscule matter" (*Matter of Roberts*, 91 NY2d 93, 95 [1997])—was no less egregious, no less skewed, and no less

damaging to the institution, generally, and to defendants' right to due process of law, specifically (*see Sardino*, 58 NY2d at 291).

Petitioner insists that he remains fit to serve on the bench, pointing to his prior record of exemplary service,⁷ his remorse and contrition, and the evidence that his conduct was the product of psychological stressors.⁸ In this arena, however, weighty competing interests abound, and we must take care to carefully balance them (*see Matter of Hart [State Commn. on Jud. Conduct]*, 7 NY3d 1, 8-9 [2006]). Thus, we have long defined the purpose of a judicial disciplinary proceeding not in terms of punishment for its own sake, "but [for] the imposition of sanctions where necessary to safeguard the Bench from unfit incumbents" (*Duckman*, 92 NY2d at 152).

Indeed, the rules under which petitioner was charged reflect this concern (*see* 22 NYCRR 100.1 ["An independent and honorable judiciary is indispensable to justice"], 100.2 [A] [a judge must "respect and comply with the law and shall act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary"]; *see also* 22 NYCRR 100.3 [B] [1], [3], [6]; *Matter of Lonschein*, 50 NY2d 569, 572 [1980] [judges' actions "must be measured against exacting standards of scrutiny to the end that public perception of the integrity of the judiciary will be preserved"]). As petitioner correctly notes, we have repeatedly stated that the ultimate sanction should be reserved for "truly egregious circumstances" that extend beyond the limits of "even extremely poor judgment" (*Matter of Kiley*, 74 NY2d 364, 369, 370 [1989]; *see also Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349, 356 [1984]). It

7. Petitioner has, indeed, made notable contributions to the administration of justice and, as evidenced by the numerous amicus curiae submissions in support of his review, is well respected within the community.

8. Petitioner argues that by failing to recognize the proffered evidence of psychological stressors, and by holding judges to a higher standard than the general public, the Commission "perpetuates the negative stigma feared by any judge who should seek treatment for stress or other psychological problems." Having concluded that the Commission did not ignore petitioner's proffered explanation, we disagree with petitioner's hypothesis, which implies that holding judges to a higher standard of conduct is mutually exclusive with and contrary to an open system that encourages all members of the bench to seek counseling as needed. Indeed, the State has been proactive in ensuring that members of the bench and bar have access to critical services in strict confidence. The New York State Lawyer Assistance Trust works closely with local bar associations to ensure that members of the bench and bar have ready access to early intervention and assistance to ensure that they do not reach a critical stage in their personal dilemmas.

is also true, however, “that the ‘ “truly egregious” ’ standard is measured with due regard” to the higher standard of conduct to which judges are held (*Matter of Assini*, 94 NY2d 26, 31 [1999] [citation omitted]), and in our view, petitioner’s conduct qualifies as “truly egregious.”

While we duly note petitioner’s mitigating factors—particularly his service record—we have never defined fitness as resting solely on technical competence and have specifically rejected “any numerical yardstick for determining unfitness” (*Duckman*, 92 NY2d at 153-154). Of ultimate importance in that calculus must be the nature and gravity of the proven wrongdoing (see *Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279, 283 [1983]). Thus, we have previously stated that in rare cases “no amount of [mitigation] will override inexcusable conduct” (*Bauer*, 3 NY3d at 165) sufficient to restore the public’s trust in the judge’s ability to faithfully execute his or her duties (see *Blackburne*, 7 NY3d at 220, 221). “[A] cornerstone of our democracy” is the integrity of our judiciary (*Duckman*, 92 NY2d at 156), and judges must be mindful that their actions “reflect, whether designedly or not, upon the prestige of the judiciary” (*Lonschein*, 50 NY2d at 572).

Here, the public which petitioner serves has, we think, irretrievably lost “confidence in his ability to properly carry out his” constitutionally-mandated responsibilities in a fair and just manner (*Aldrich*, 58 NY2d at 283; see also *Matter of McGee v State Commn. on Jud. Conduct*, 59 NY2d 870, 871 [1983]; *Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465, 469 [1980]). By indiscriminately committing into custody 46 defendants, petitioner deprived them of their liberty without due process, exhibited insensitivity, indifference and a callousness so reproachable that his continued presence on the bench cannot be tolerated. We cannot overstate that the public must be able to “continue to rely upon the impartiality of those who have been chosen to pass judgment on legal matters involving their lives, liberty and property” (*Sardino*, 58 NY2d 286, 290-291 [1983]; see also *Matter of Backal*, 87 NY2d 1, 6 [1995]; *Matter of Esworthy*, 77 NY2d 280, 282 [1991] [duty to conduct oneself in manner that “inspire(s) public confidence in the integrity, fair-mindedness and impartiality of the judiciary”]). And here, we have serious doubts that this breach in trust is reparable given petitioner’s conduct (see 22 NYCRR 100.3 [B] [1], [3], [6]; see also *Sardino*, 58 NY2d at 291). As the Commission opined, it is ironic that petitioner displayed the very attri-

butes by which he accused and summarily punished each defendant. Significantly, petitioner had more than 46 chances to correct himself and failed to do so.

Accordingly, the determined sanction should be accepted, without costs, and Robert M. Restaino removed from office.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur in per curiam opinion; Judge PIGOTT taking no part.

Determined sanction accepted, without costs, and Robert M. Restaino removed from the office of Judge of the Niagara Falls City Court.

[891 NE2d 271, 861 NYS2d 238]

ANTHONY COX et al., on Behalf of Themselves and All Others Similarly Situated, Respondents, v NAP CONSTRUCTION COMPANY, INC., Appellant, and GREENWICH INSURANCE COMPANY, Respondent, et al., Defendants. (And Other Actions.)

TEOFILO ARAUJO et al., Appellants, v TIANO'S CONSTRUCTION CORP. et al., Respondents, et al., Defendants. (And a Third-Party Action.)

Argued April 22, 2008; decided June 5, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 24, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Herman Cahn, J.; op 9 Misc 3d 958), which, insofar as appealed from, had denied defendant NAP Construction Company, Inc.'s motion pursuant to CPLR 3211 (a) (7) to dismiss the sixth, seventh, eighth, tenth and eleventh causes of action of the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of Supreme Court, properly made?"

APPEAL, in the second above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 24, 2007. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Richard F. Braun, J.; op 2005 NY Slip Op 30272[U]), which had granted the motion for summary judgment by defendants Tiano's Construction Corp. and Lumbermens Mutual Casualty Company to the extent of awarding them summary judgment dismissing the first amended complaint as against them.

Cox v NAP Constr. Co., Inc., 40 AD3d 459, affirmed.

Araujo v Tiano's Constr. Corp., 40 AD3d 458, modified.

HEADNOTES

Labor — Prevailing Rate of Wages — Right to Bring Breach of Contract Claims under State Law

1. In actions involving contractors' agreements with the New York City Housing Authority (NYCHA) to do construction work on public housing projects funded by the federal government under the United States Housing Act (42 USC § 1437 *et seq.*), each of which provided that the contractors would pay

their workers the prevailing rate of wages as determined pursuant to the Davis-Bacon Act (40 USC § 3141 *et seq.* [DBA]), the workers claiming to have been paid substantially less than the prevailing rate were entitled to bring breach of contract claims under state law. The contractors' agreement to pay "wages prevailing in the locality" was put into the contracts by NYCHA in order to comply with a condition, imposed by the Housing Act referring to the DBA, on which NYCHA received funding from the federal government. As a matter of New York law, the fact that the contractual provisions at issue were inserted in order to comply with statutes did not alter plaintiffs' status as third-party beneficiaries of the construction contracts.

Labor — Prevailing Rate of Wages — No Federal Private Right of Action for Workers Paid Less than Prevailing Rate of Wages

2. No implied federal private right of action exists under either the Davis-Bacon Act (40 USC § 3141 *et seq.*) or the United States Housing Act (42 USC § 1437 *et seq.*) for workers who are paid less than the wages those statutes require. *Bodrick v Mayfair Constr. Corp.* (38 NY2d 926 [1976]), which holds otherwise, is no longer good law.

Labor — Prevailing Rate of Wages — Right to Bring Breach of Contract Claims under State Law Not Preempted by Federal Law

3. In actions involving contractors' agreements with the New York City Housing Authority to do construction work on public housing projects funded by the federal government under the United States Housing Act (42 USC § 1437 *et seq.*), each of which provided that the contractors would pay their workers the prevailing rate of wages as determined pursuant to the Davis-Bacon Act (40 USC § 3141 *et seq.*), the right of workers claiming to have been paid less than the prevailing rate to bring breach of contract claims under state law was not preempted by federal law. Where a federal statute does not expressly preempt state law, preemption will be found only where Congress has completely displaced state regulation in a specific area or where state law actually conflicts with federal law. Neither of those bases for preemption existed here. The Housing Act does not provide any remedy for when workers are underpaid, and there is no federal law with which state common-law remedies conflict. Moreover, it was unlikely that Congress intended the workers to have no remedy in any court, state or federal.

Labor — Prevailing Rate of Wages — Right to Bring Breach of Contract Claims under State Law — Exhaustion of Administrative Remedies Not Required

4. In actions involving contractors' agreements with the New York City Housing Authority to do construction work on public housing projects funded by the federal government under the United States Housing Act (42 USC § 1437 *et seq.*), each of which provided that the contractors would pay their workers the prevailing rate of wages as determined pursuant to the Davis-Bacon Act (40 USC § 3141 *et seq.*), the workers claiming to have been paid substantially less than the prevailing rate were not required to exhaust any administrative remedies before bringing breach of contract claims under state law, as there were no remedies for them to exhaust. Although federal regulations for agency enforcement of prevailing wage legislation did exist, the only way for the workers to have received the benefit of those regulations was to call violations of law to an agency's attention, which they did with very little success.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 477, 478; AM JUR 2d, Public Works and Contracts §§ 218–222, 228, 231.
NY JUR 2d, Article 78 and Related Proceedings § 26; NY JUR 2d, Employment Relations §§ 154–156, 396, 397; NY JUR 2d, Public Works and Contracts §§ 94, 103–106.
40 USCA § 3141 *et seq.*; 42 USCA § 1437 *et seq.*

ANNOTATION REFERENCE

Employee's private right of action to enforce state statute requiring payment of prevailing wages on public works projects. 10 ALR5th 360.

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POINTS OF COUNSEL

Biaggi & Biaggi, New York City (*Mario Biaggi, Jr.*, and *Richard Mario Biaggi* of counsel), for appellant in the first above-entitled action. I. Respondents' state law claims should be dismissed because the Davis-Bacon Act does not afford respondents a private right of action. (*Gonzalez v D&S Zaffuto Joint Venture*, 271 AD2d 356; *Grochowski v Phoenix Constr.*, 318 F3d 80; *Chan v City of New York*, 1 F3d 96; *Operating Engrs. Health & Welfare Trust Fund v JWJ Contr. Co.*, 135 F3d 671; *Weber v Heat Co.*, 728 F2d 599; *Majstrovic v Maric Piping*, 171 Misc 2d 429; *Broder v Cablevision*, 418 F3d 187.) II. Respondents' state law claims should be dismissed because the Davis-Bacon Act does not afford respondents an implied right of action. (*Chan v City of New York*, 1 F3d 96; *Thompson v Thompson*, 484 US 174; *Northwest Airlines, Inc. v Transport Workers*, 451 US 77; *Touche Ross & Co. v Redington*, 442 US 560; *Wilder v Virginia Hospital Assn.*, 496 US 498; *Cort v Ash*, 422 US 66; *Karahalios v Federal Employees*, 489 US 527; *Grochowski v Phoenix Constr.*, 318 F3d 80.) III. Respondents' claim should be dismissed because of the doctrine of preemption. (*Gibbons v Ogden*, 9 Wheat [22 US] 1; *International Paper Co. v Ouellette*, 479 US 481; *Michigan Cannery & Freezers Assn., Inc. v Agricultural Marketing & Bargaining Bd.*, 467 US 461; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *Hines v Davidowitz*, 312 US 52; *Hillsborough County v Automated Medi-*

cal Laboratories, Inc., 471 US 707; *Capital Cities Cable, Inc. v Crisp*, 467 US 691; *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *United States v Shimer*, 367 US 374; *Gawez v Inter-Connection Elec., Inc.*, 9 Misc 3d 1107.) IV. Respondents' failure to follow the enforcement mechanism prior to pursuing a state law claim does not afford respondents the protection that is contemplated under the Davis-Bacon Act and its regulations. (*United States ex rel. Windsor v DynCorp, Inc.*, 895 F Supp 844; *United States ex rel. Bradbury v TLT Constr. Corp.*, 138 F Supp 2d 237; *Universities Research Assn., Inc. v Coutu*, 450 US 754.) V. Respondents have failed to exhaust their administrative remedies and therefore respondents' claims should be dismissed. (*United States ex rel. Bradbury v TLT Constr. Corp.*, 138 F Supp 2d 237; *Veader v Bay State Dredging & Contr. Co.*, 79 F Supp 837; *Reiter v Cooper*, 507 US 258; *Communications Workers of Am. v American Tel. & Tel. Co.*, 40 F3d 426; *Howell v Immigration & Naturalization Serv.*, 72 F3d 288; *Hells Canyon Preservation Council v Richmond*, 841 F Supp 1039; *McCarthy v Madigan*, 503 US 140; *Andrade v Lauer*, 729 F2d 1475; *United States ex rel. Windsor v DynCorp, Inc.*, 895 F Supp 844.)

Barnes, Iaccarino, Virginia, Ambinder & Shepherd, PLLC, New York City (Dennis Cariello and Lloyd R. Ambinder of counsel), for Anthony Cox and others, respondents in the first above-entitled action. I. New York law permits a worker to maintain a state law claim for unpaid wages on a federally-financed construction project. (*Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926, 426 US 825; *Filardo v Foley Bros.*, 297 NY 217, 336 US 281; *Strong v American Fence Constr. Co.*, 245 NY 48; *United States ex rel. Johnson v Morley Constr. Co.*, 98 F2d 781, *cert denied sub nom. Maryland Cas. Co. v U. S. for use of Harrington*, 305 US 651; *United States v Binghamton Constr. Co.*, 347 US 171; *Wright v Wright Stucco*, 72 AD2d 959, 50 NY2d 837; *Lawrence v Fox*, 20 NY 268; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *Fata v S.A. Healy Co.*, 289 NY 401; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11.) II. The lack of an express or implied private right of action based on the Davis-Bacon Act has no bearing on respondents' state law claims. (*United States ex rel. Johnson v Morley Constr. Co.*, 98 F2d 781, *cert denied sub nom. Maryland Cas. Co. v U. S. for use of Harrington*, 305 US 651; *Filardo v Foley Bros.*, 297 NY 217; *Weber v Heat Control Co.*, 579 F Supp 346; *Wright v Wright Stucco*, 50 NY2d 837; *Fata v S.A. Healy Co.*, 289 NY 401; *Pesantez v*

Boyle Envtl. Servs., 251 AD2d 11; *Grochowski v Phoenix Constr.*, 318 F3d 80; *Chan v City of New York*, 1 F3d 96; *Broder v Cablevision*, 418 F3d 187; *Walsh v Schlecht*, 429 US 401.) III. Federal law does not preempt the instant action. (*Crosby v National Foreign Trade Council*, 530 US 363; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Medtronic, Inc. v Lohr*, 518 US 470; *California Div. of Labor Standards Enforcement v Dillingham Constr., N. A., Inc.*, 519 US 316; *Rush Prudential HMO, Inc. v Moran*, 536 US 355; *Hillsborough County v Automated Medical Laboratories, Inc.*, 471 US 707; *Louisiana Pub. Serv. Comm'n v FCC*, 476 US 355; *Morales v Trans World Airlines, Inc.*, 504 US 374; *McDaniel v University of Chicago*, 512 F2d 583; *Frank Bros., Inc. v Wisconsin Dept. of Transp.*, 409 F3d 880.) IV. Respondents do not enjoy, nor need they have exhausted, any administrative remedies. (*A.C. Legnetto Constr. v Hartford Fire Ins. Co.*, 92 NY2d 275; *McDaniel v University of Chicago*, 512 F2d 583; *Universities Research Assn., Inc. v Coutu*, 450 US 754; *United States ex rel. Johnson v Morley Constr. Co.*, 98 F2d 781, cert denied sub nom. *Maryland Cas. Co. v U. S. for use of Harrington*, 305 US 651; *Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926; *Filardo v Foley Bros.*, 297 NY 217; *Strong v American Fence Constr. Co.*, 245 NY 48; *Fata v S.A. Healy Co.*, 289 NY 401; *Chan v City of New York*, 1 F3d 96.) V. Respondents have an implied private right of action under the United States Housing Act for unpaid Davis-Bacon Act wages. (*Negrin v Norwest Mtge.*, 263 AD2d 39; *Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926, 429 US 825; *Filardo v Foley Bros.*, 297 NY 217; *Matter of Burke v Bowen*, 40 NY2d 264; *Biyal v City of New York*, 56 AD2d 770; *Area Masonry v Dormitory Auth. of State of N.Y.*, 64 AD2d 810; *Knecht, Inc. v United Pac. Ins. Co.*, 860 F2d 74; *Majstrovic v Maric Piping*, 171 Misc 2d 429.)

Wolff & Samson PC, New York City (Jonathan Bondy and Andrew S. Kent of counsel), for Greenwich Insurance Company, respondent in the first above-entitled action. I. Plaintiffs' prevailing wage claims are governed by the United States Housing Act, the Davis-Bacon Act, and by federal regulations for the uniform enforcement of those and related statutes, under which private rights of action may not be pursued prior to an administrative finding that such wages are due. (*Local 2677, Am. Fedn. of Govt. Empls. v Phillips*, 358 F Supp 60; *Universities Research Assn., Inc. v Coutu*, 450 US 754; *Herman B. Taylor Constr. Co. v Barram*, 203 F3d 808; *United States v Binghamton*

Constr. Co., 347 US 171; *Fry Bros. Corp. v Department of Hous. & Urban Dev.*, 614 F2d 732; *Framlau Corp. v Dembling*, 360 F Supp 806; *Abhe & Svoboda, Inc. v Chao*, 508 F3d 1052; *United States ex rel. Windsor v DynCorp, Inc.*, 895 F Supp 844; *United States ex rel. Bradbury v TLT Constr. Corp.*, 138 F Supp 2d 237; *Copeland v Veneman*, 350 F3d 1230.) II. Persons claiming as third-party beneficiaries of the Davis-Bacon Act (DBA)-related contract clauses may not pursue private rights of action except under the conditions set forth in the DBA. (*BAII Banking Corp. v UPG, Inc.*, 985 F2d 685.) III. Plaintiffs-respondents have not genuinely pursued administrative remedies. (*McCarthy v Madigan*, 503 US 140; *United States ex rel. Bradbury v TLT Constr. Corp.*, 138 F Supp 2d 237; *Beharry v Ashcroft*, 329 F3d 51; *Association of Flight Attendants-CWA v Chao*, 493 F3d 155.)

Barnes, Iaccarino, Virginia, Ambinder & Shepherd, PLLC, New York City (*Dennis Cariello* and *Lloyd R. Ambinder* of counsel), for appellants in the second above-entitled action. I. New York law permits a worker to maintain a common-law claim for unpaid wages on a federally-financed construction project. (*Gonzalez v D&S Zaffuto Joint Venture*, 271 AD2d 356; *Lawrence v Fox*, 20 NY 268; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *United States v Binghamton Constr. Co.*, 347 US 171; *Fata v S.A. Healy Co.*, 289 NY 401; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *Miree v DeKalb County*, 433 US 25; *Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926, 429 US 825; *Filardo v Foley Bros.*, 297 NY 217, 336 US 281; *Strong v American Fence Constr. Co.*, 245 NY 48.) II. The Davis-Bacon Act does not preempt the instant action. (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Medtronic, Inc. v Lohr*, 518 US 470; *California Div. of Labor Standards Enforcement v Dillingham Constr., N. A., Inc.*, 519 US 316; *Rush Prudential HMO, Inc. v Moran*, 536 US 355; *Hillsborough County v Automated Medical Laboratories, Inc.*, 471 US 707; *Boyle v United Technologies Corp.*, 487 US 500; *Cox v NAP Constr. Co., Inc.*, 9 Misc 3d 958; *Grochowski v Phoenix Constr.*, 318 F3d 80; *Crosby v National Foreign Trade Council*, 530 US 363; *Louisiana Pub. Serv. Comm'n v FCC*, 476 US 355.) III. The surety claims are proper. (*Matter of Camarda*, 103 Misc 2d 362; *Timberline Elec. Supply Corp. v Insurance Co. of N. Am.*, 72 AD2d 905, 52 NY2d 793; *United States v Seaboard Sur. Co.*, 817 F2d 956, 484 US 855; *United States v American States Ins. Co.*, 252 F3d 1268; *Knecht, Inc. v United Pac. Ins. Co.*, 860 F2d 74; *A.C. Legnetto Constr. v Hartford Fire Ins. Co.*, 92 NY2d 275; *United States to Use of Acme Furnace Fitting Co.*

v Fort George G. Meade Defense Hous. Corp. No. 1, 186 F Supp 639.) IV. Appellants have an implied private right of action under the United States Housing Act for unpaid Davis-Bacon Act wages. (*Cort v Ash*, 422 US 66; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Gerel Corp. v Prime Eastside Holdings, LLC*, 12 AD3d 86; *Gonzalez v St. Margaret's House Hous. Dev. Fund Corp.*, 620 F Supp 806; *United States v Binghamton Constr. Co.*, 347 US 171; *Fata v S.A. Healy Co.*, 289 NY 401; *Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926, 429 US 825; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *California Div. of Labor Standards Enforcement v Dillingham Constr., N. A., Inc.*, 519 US 316; *Strong v American Fence Constr. Co.*, 245 NY 48.) V. Appellant workers possess no administrative remedies. (*Chan v City of New York*, 1 F3d 96; *Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926; *Pesantez v Boyle Envtl. Servs.*, 251 AD2d 11; *McDaniel v University of Chicago*, 512 F2d 583, 423 US 810, 548 F2d 689, 434 US 1033; *Sullivan v International Fid. Ins. Co.*, 255 AD2d 128.)

Mayer, Ross & Hagan, P.C., Patchogue (Robert W. Mayer of counsel), for Tiano's Construction Corp., respondent in the second above-entitled action. I. The administrative remedies for alleged grievances with respect to contracts for federal construction projects are exclusive; no private remedy is available to appellants. (*Gonzalez v D&S Zaffuto Joint Venture*, 271 AD2d 356; *Transamerica Mortgage Advisors, Inc. v Lewis*, 444 US 11; *Touche Ross & Co. v Redington*, 442 US 560; *Cannon v University of Chicago*, 441 US 677; *Cort v Ash*, 422 US 66; *United States for Benefit & on Behalf of Glynn v Capeletti Bros., Inc.*, 621 F2d 1309; *Universities Research Assn., Inc. v Coutu*, 450 US 754; *Grochowski v Phoenix Constr.*, 318 F3d 80; *Karahalios v Federal Employees*, 489 US 527; *Transamerica Mortgage Advisors, Inc. v Lewis*, 444 US 11.) II. The Davis-Bacon Act and its requirements preempt state law with respect to federally funded projects and the construction contracts related thereto. (*Jones v Rath Packing Co.*, 430 US 519; *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *Hines v Davidowitz*, 312 US 52; *Savage v Jones*, 225 US 501.) III. Appellants failed to properly avail themselves of the administrative mechanisms provided; they did not exhaust administrative procedures. IV. Cases cited by appellants are not controlling. (*Wright v Wright Stucco*, 72 AD2d 959; *Bodrick v Mayfair Constr. Corp.*, 38 NY2d 926; *Filardo v Foley Bros.*, 297 NY 217; *Fata v S.A. Healy Co.*, 289

NY 401; *United States ex rel. Johnson v Morley Constr. Co.*, 98 F2d 781; *Strong v American Fence Constr. Co.*, 245 NY 48.)

Dreifuss Bonacci & Parker, LLP, Florham Park, New Jersey (Derek A. Popeil of counsel), for Lumbermens Mutual Casualty Company, respondent in the second above-entitled action. I. The appellate court correctly held that appellants' claims are preempted by federal law. (*Gonzalez v D&S Zaffuto Joint Venture*, 271 AD2d 356; *Grochowski v Phoenix Constr.*, 318 F3d 80; *Majstrovic v Maric Piping*, 171 Misc 2d 429; *United States for Benefit & on Behalf of Glynn v Capeletti Bros., Inc.*, 621 F2d 1309; *Gawez v Inter-Connection Elec., Inc.*, 9 Misc 3d 1107[A], 2005 NY Slip Op 51443[U], 44 AD3d 898; *Davis v United Air Lines, Inc.*, 575 F Supp 677, 662 F2d 120, 456 US 965; *Building & Constr. Trades Dept. AFL-CIO v United States Dept. of Labor Wage Appeals Bd.*, 932 F2d 985; *Universities Research Assn., Inc. v Coutu*, 450 US 754; *Rondout Elec., Inc. v NYS Dept. of Labor*, 335 F3d 162; *Chapman v Houston Welfare Rights Organization*, 441 US 600.) II. Appellants have no state law based rights of action against a contractor or its surety. (*Gonzalez v D&S Zaffuto Joint Venture*, 271 AD2d 356; *Grochowski v Phoenix Constr.*, 318 F3d 80; *Davis v United Air Lines, Inc.*, 662 F2d 120, 456 US 965; *Weber v Heat Control Co.*, 579 F Supp 346, 728 F2d 599; *United States v Seaboard Sur. Co.*, 817 F2d 956; *Venus Mech. v Insurance Co. of N. Am.*, 245 AD2d 559; *Dimacopoulos v Consort Dev. Corp.*, 158 AD2d 658; *American Bldg. Supply Corp. v Avalon Props., Inc.*, 8 AD3d 515; *Lori-Kay Golf v Lassner*, 61 NY2d 722; *Northwestern Natl. Ins. Co. of Milwaukee, Wis. v Alberts*, 822 F Supp 1079.)

OPINION OF THE COURT

SMITH, J.

We hold that, when a contractor has promised to pay its workers the prevailing wages required by the United States Housing Act, the workers may sue under state law to enforce the promise.

I

Both of these cases involve contractors' agreements with the New York City Housing Authority (NYCHA) to do construction work on public housing projects funded by the federal government under the Housing Act (42 USC § 1437 *et seq.*). In each case, the contract between NYCHA and the contractor provided:

“The Contractor shall pay to all laborers and mechanics employed in the Work not less than the wages prevailing in the locality of the Project, as predetermined by the Secretary of Labor of the United States pursuant to the Davis-Bacon Act.” (The Davis-Bacon Act [DBA] is now codified in 40 USC § 3141 *et seq.*) The payment of DBA wages is required by the Housing Act, which says that any contract between the federal government and a public housing agency for funding of a project shall “contain a provision that not less than the wages prevailing in the locality, as predetermined by the Secretary of Labor pursuant to [the DBA] shall be paid to all laborers and mechanics employed in the development of the project involved” (42 USC § 1437j [a]).

Plaintiffs are workers on the projects who claim that the contractors paid them substantially less than the “wages prevailing in the locality” as determined pursuant to the DBA. Having complained without success to NYCHA, the workers sued the contractors and their sureties in Supreme Court, alleging several violations of state law. Claims for breach of contract, quantum meruit and unjust enrichment, along with other claims we need not discuss, were asserted in both actions. The complaint in *Cox v NAP Constr. Co.* also included claims under various provisions of the New York Labor Law.

In *Cox*, Supreme Court dismissed plaintiffs’ breach of contract, quantum meruit and unjust enrichment claims on the authority of *Gonzalez v D&S Zaffuto Joint Venture* (271 AD2d 356 [1st Dept 2000]), which held, following *Grochowski v Ajet Constr. Corp.* (1999 WL 688450, *3-4, 1999 US Dist LEXIS 13473, *10-11 [SD NY 1999], *affd sub nom. Grochowski v Phoenix Constr.*, 318 F3d 80 [2d Cir 2003]), that “no private right of action exists to enforce contracts requiring payment of Federal Davis-Bacon Act . . . prevailing wages.” However, Supreme Court upheld the *Cox* plaintiffs’ Labor Law claims, finding *Gonzalez* inapplicable to them. Defendants appealed to the Appellate Division, but plaintiffs did not.

The Appellate Division affirmed in *Cox*, with one Justice dissenting. The majority did not follow Supreme Court’s course of distinguishing between common-law claims that were barred by *Gonzalez* and Labor Law claims that were not; rather, the Appellate Division panel in *Cox* overruled *Gonzalez* and rejected *Grochowski*, adopting instead the reasoning of the *Grochowski* dissent (318 F3d at 89-91). Thus, though the contract claim in *Cox* was not directly before it, the Appellate Division implicitly

held that that claim was legally sufficient and that Supreme Court had erred in dismissing it. The Appellate Division assumed without discussion that overruling *Gonzalez* required affirmation of Supreme Court's decision upholding plaintiffs' Labor Law claims—i.e., that if the contract claim was sufficient, the Labor Law claims were also. Thus *Cox* raises in an indirect way the issue of whether plaintiffs have a state law claim for breach of contract.

Araujo v Tiano's Constr. Corp. raises the same issue directly. In that case, Supreme Court granted summary judgment dismissing the claims for breach of contract, quantum meruit and unjust enrichment. Plaintiffs appealed to the Appellate Division. Their appeal was decided on the same day as that of the *Cox* defendants, but by a different panel that reached an opposite result. The *Araujo* panel, with two Justices dissenting, adhered to *Gonzalez* and *Grochowski* and affirmed Supreme Court's dismissal.

[1] We granted the motion of defendants in *Cox* for permission to appeal. Plaintiffs in *Araujo* appeal to us as of right, pursuant to CPLR 5601 (a). We affirm the Appellate Division's order in *Cox* and modify its order in *Araujo*, holding in both cases that plaintiffs may bring breach of contract claims under state law.

II

If the agreements between NYCHA and the contractors in these cases were ordinary private contracts, there could be no doubt about plaintiffs' right to sue on them. The contractors promised NYCHA that they would pay plaintiffs certain wages, and under long-settled rules plaintiffs would be third-party beneficiaries of those promises (Restatement [Second] of Contracts § 304; *Lawrence v Fox*, 20 NY 268 [1859]). It is the statutory background of the contracts that complicates the issue.

The contractors' agreement to pay "wages prevailing in the locality" was put into the contracts by NYCHA in order to comply with a condition on which NYCHA received funding from the federal government. The federal government was required to impose that condition on NYCHA by the language of the Housing Act quoted above (at 600), which refers to the DBA. The DBA requires construction and certain other contracts to which the federal government is a party to "contain a provision stating the minimum wages to be paid various classes of laborers and mechanics" (40 USC § 3142 [a]). Those

“minimum wages shall be based on the wages the Secretary of Labor determines to be prevailing” in the place where the work is to be performed (40 USC § 3142 [b]).

As a matter of New York law, the fact that the contractual provisions at issue were inserted in order to comply with statutes does not alter plaintiffs’ status as third-party beneficiaries (*Fata v S.A. Healy Co.*, 289 NY 401 [1943, Lehman, Ch. J.]; *Strong v American Fence Constr. Co.*, 245 NY 48 [1927, Cardozo, Ch. J.]). In *Strong*, a supplier of labor and materials on a construction project sued a subcontractor for breach of an undertaking to furnish a bond that was required by federal law. We upheld the plaintiff’s claim, explaining:

“A beneficiary of the promise, a laborer or material-man for whose protection it was given, has a right of action for the damages resulting from the breach (*Lawrence v. Fox*, 20 N. Y. 268; *Seaver v. Ransom*, 224 N. Y. 233). The promise was exacted by the promisee in fulfilment of a legal duty. *It was exacted for the very purpose of assuring to the plaintiff and to others similarly situated the benefit of the security established by the statute.* Within the narrowest interpretation of the rule in *Lawrence v. Fox*, a beneficiary thus related to the promise has a standing to enforce it (*Seaver v. Ransom*, *supra*, at pp. 237, 238).” (245 NY at 53 [emphasis added].)

In *Fata*, we upheld a third-party beneficiary claim in a case similar to this one, though the relevant statute in *Fata* was state, not federal. The plaintiff there sought enforcement of a contract by which his employer agreed to “comply with the Labor Law of the State of New York” and to pay “not less than the prevailing rate” of wages (289 NY at 405). We concluded that the plaintiff had a valid common-law contract claim, even though the Labor Law provision in issue had its own enforcement mechanism: “It cannot be doubted that provisions requiring the contractor to pay such wages are also inserted in the contract, whether voluntarily or under compulsion of the statute, for the benefit of the laborers” (*id.*). We held that “where a valid statute requires the insertion of provisions intended for the protection of laborers or other groups in contracts relating to matters which are subject to regulation by the State,” a “contractual obligation is created which may be enforced by action brought by one of the group for whose benefit the provisions have been inserted” (*id.* at 406; *see also United States ex*

rel. Johnson v Morley Constr. Co., 98 F2d 781, 788-789 [2d Cir 1938, L. Hand, J.] [laborers held to be “donee beneficiaries” of a contract that incorporated the provisions of a statute passed to protect them]).

In short, it is clear that New York law gives plaintiffs here a remedy, unless something in federal law prevents it from doing so.

III

Defendants argue—and *Grochowski* and *Gonzalez* hold—that federal law is indeed a barrier to plaintiffs’ assertion of state-law contract claims. Defendants begin by asserting that neither the DBA nor the Housing Act creates an implied federal right of action in favor of the workers those statutes benefit, an assertion consistent with the weight of federal authority.

In a number of cases, workers employed on federal projects have sued their employers under federal law for failure to pay the wages the DBA or a related statute required, and the workers have been largely unsuccessful. The first federal court of appeals to address the question held that an implied federal private right of action for workers did exist (*McDaniel v University of Chicago*, 548 F2d 689 [7th Cir 1977], *cert denied* 434 US 1033 [1978]; *see also Hartt v United Constr. Co., Inc.*, 655 F Supp 937, 939 n 2 [WD Mo 1987], *affd* 909 F2d 508 [8th Cir 1990]), but three other courts of appeals later disagreed (*Chan v City of New York*, 1 F3d 96 [2d Cir 1993]; *Weber v Heat Control Co.*, 728 F2d 599 [3d Cir 1984]; *United States for Benefit & on Behalf of Glynn v Capeletti Bros., Inc.*, 621 F2d 1309 [5th Cir 1980]). In addition, a comment by the court that decided *McDaniel* seems to cast doubt on whether that decision would still be followed (*Simpson v Reynolds Metals Co., Inc.*, 629 F2d 1226, 1240 n 27 [7th Cir 1980]). And in *Universities Research Assn., Inc. v Coutu* (450 US 754, 769 n 19 [1981]), the Supreme Court, while not directly addressing the issue, mentioned that its reasoning was “arguably” inconsistent with *McDaniel*.

[2, 3] We agree with the courts that have held that no implied *federal* private right of action exists, under either the DBA or the Housing Act, for workers who are paid less than the wages those statutes require (*see generally Cort v Ash*, 422 US 66 [1975]). Our decision in *Bodrick v Mayfair Constr. Corp.* (38 NY2d 926 [1976]), which holds otherwise, is no longer good law in light of the more recent federal decisions. But

that does not mean that plaintiffs' *state* claims are legally insufficient.

Defendants urge us to accept the view of the Second Circuit Court of Appeals in *Grochowski* that since there is no federal claim for workers under the DBA there can be no state claim, because a state claim would be "an impermissible 'end run' around the DBA" (318 F3d at 86). We agree with Judge Lynch, dissenting in *Grochowski*, that this reasoning is flawed. To say that Congress, in enacting the DBA, did not intend to create a federal right of action is not to say that Congress intended to prohibit, or preempt, state claims. Indeed, while it is clear that federal statutes will not ordinarily be read to create new federal rights absent an affirmative indication that that was Congress's intention (*see Cort*, 422 US at 77-84), it is equally clear that Congress will not ordinarily be found to have preempted state law where it has not done so expressly (*see Hillsborough County v Automated Medical Laboratories, Inc.*, 471 US 707, 713 [1985]; *Jones v Rath Packing Co.*, 430 US 519, 525 [1977], quoting *Rice v Santa Fe Elevator Corp.*, 331 US 218, 230 [1947] ["(T)he historic police powers of the States" are not superseded "unless that was the clear and manifest purpose of Congress"]; *Matter of Tap Elec. Contr. Serv. v Hartnett*, 76 NY2d 164, 169-170 [1990]). In other words, the default assumption, absent a showing to the contrary, is that Congress intended neither to create a new federal right of action nor to preempt existing state ones.

Where a federal statute does not expressly preempt state law, preemption will be found only where Congress has "completely displaced state regulation in a specific area" or where state law "actually conflicts with federal law" (*Hillsborough*, 471 US at 713). Neither of these bases for preemption exists here. While the Housing Act requires that workers on federally funded projects be paid the minimum wages determined pursuant to the DBA, the Housing Act is completely silent as to what remedy is available when the workers are underpaid. In this the Housing Act differs from the DBA itself, which provides that, where a contractor is employed by a federal agency, the agency may withhold from payments to the contractor enough money to make up a deficiency in payments to the workers (40 USC § 3142 [c] [3]), and that if the money so withheld is not enough to make the workers whole the workers shall have a "right to bring a civil action" to recover on the bond that federal law

requires federal contractors to provide (40 USC § 3144 [a] [2]; see *Universities Research Assn.*, 450 US at 773). There is no similar provision in the Housing Act.

In Housing Act cases, there is thus no basis for an argument that federal legislation on the subject of remedies for the failure to pay prevailing wages is so pervasive, or that the federal interest in that subject is so dominant, that state common-law remedies have been preempted (see *Hillsborough*, 471 US at 713). The Housing Act does not regulate the subject at all. Nor is there any federal law with which state common-law remedies conflict, either in the sense that it is impossible to comply with both state and federal law or in the sense that state law “stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress” (*id.*, quoting *Hines v Davidowitz*, 312 US 52, 67 [1941]).

The preemption issue might be closer if this were a case to which the DBA applied not through the Housing Act, but directly. In such a case—i.e., one in which the contractors had been hired to do work by a federal government agency, rather than by a local agency like NYCHA—the plaintiffs could invoke their statutory right to recover on the federally-required bond, and the defendants might argue that that was the plaintiffs’ exclusive remedy (see *Universities Research Assn.*, 450 US at 773 n 24 [“There is some evidence that Congress intended the suit on the contractor’s bond to be the sole method of enforcing the obligations imposed by the (DBA)”]; but see *id.* at 769 n 19 [quoting a remark of counsel in oral argument: “There may be a right of action in a state court, under a state common law theory of third-party beneficiary”]). That argument is not available to defendants here. In arguing preemption, defendants are arguing in effect that Congress intended the workers to have no remedy in any court, state or federal. We see nothing to support the unlikely supposition that Congress had any such intention.

An episode in the history of the DBA reinforces our conclusion that, where no federal remedy is provided, state remedies are not preempted. The enforcement provisions of the DBA were added to it by a 1935 amendment; an earlier attempt to add such provisions was vetoed by President Hoover in 1932, and the President supported his veto with the argument that existing state remedies were preferable to newly-created federal ones. A memorandum from the Secretary of Labor explaining the veto said: “The present law affords superior protection by

leaving the matter of breach of its stipulations to be treated like a breach of any other stipulation of the contract” (Mem of Secretary Doak, 75 Cong Rec 14589 [July 1, 1932]). Similarly, a breach of the contractual provisions at issue here, provisions adopted pursuant to a statute that (like the pre-1935 DBA) lacks an enforcement mechanism, may be the occasion for a breach of contract suit, “like a breach of any other stipulation of the contract.” (*Id.*)

Plaintiffs’ state law claims are not preempted by federal law.

IV

[4] Defendants argue that, even if plaintiffs have a state law cause of action, they may not assert it now because they have not exhausted their administrative remedies. The answer to this argument is simple: plaintiffs do not have any administrative remedies they can exhaust.

Defendants rely on regulations of the Department of Labor, promulgated to implement the DBA “and Related Acts” (29 CFR 5.1 *et seq.*). More specifically, they point to 29 CFR 5.5, 5.6 and 5.7, relating to contract provisions, enforcement of those provisions, and reports to the Secretary of Labor. It is not obvious from the face of these regulations how they apply, if at all, where, as here, the party employing a contractor is not a federal agency; but we need not puzzle over this problem, because in any event the regulations give no rights to workers to initiate or take part in any enforcement proceedings. The enforcement contemplated by 29 CFR 5.6 is enforcement by governmental agencies. The only way for workers to get the benefit of the regulations is to call violations of law to an agency’s attention and hope for the best—a course plaintiffs have already pursued, with very little success.

Since plaintiffs have no remedy under the federal regulations, defendants’ “exhaustion” argument boils down to a claim that they have no remedy at all—that they must wait, perhaps forever, for an agency to act. This is really a kind of preemption argument—a weaker one than the one we have already rejected. Defendants are claiming in substance that the Department of Labor’s regulations preempt plaintiffs’ state law claims, but courts are “even more reluctant to infer pre-emption from the comprehensiveness of regulations than from the comprehensiveness of statutes” (*Hillsborough*, 471 US at 717). And the regulations at issue here are not at all “comprehensive” in the relevant sense; they do not provide

any means, let alone an arguably exclusive means, by which workers who are paid less than the legally-required minimum may vindicate their rights.

Defendants rely on the mere existence of regulations for agency enforcement of prevailing wage legislation, arguing that lawsuits by private litigants may complicate, or overlap or interfere with, such enforcement. But this is no more true here than in any case where governmental and private remedies coexist. A similar argument might have been made in *Strong* and *Fata*. In those cases, a government agency might have sought to enforce the contractor's obligations to provide a bond, or to pay the statutorily-required minimum wage, and a private lawsuit might have made those tasks more complicated, but in both cases we upheld the existence of a common-law remedy. We uphold it again here.

V

What we have said leads us to conclude that plaintiffs in both these cases have valid breach of contract claims as third-party beneficiaries of the agreements between NYCHA and the contractors. As we have explained, that is not the issue directly before us in *Cox*: since plaintiffs did not appeal from Supreme Court's dismissal of their contract claim, only the Labor Law claims are technically in issue. But the Appellate Division assumed that the Labor Law claims were valid if the contract claim was, and no party before us has challenged that assumption. We therefore affirm the Appellate Division decision in *Cox*, which affirmed the denial of defendants' motion to dismiss the Labor Law claims. Our holding should not be interpreted as deciding whether the Labor Law sections on which plaintiffs rely apply to these facts.

In *Araujo*, Supreme Court dismissed the contract, quantum meruit, and unjust enrichment claims. It erred in dismissing the contract claims, but the other claims were correctly dismissed, because a party may not recover in quantum meruit or unjust enrichment where the parties have entered into a contract that governs the subject matter (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 388 [1987]).

Accordingly, the order of the Appellate Division in *Cox v NAP Constr. Co.* should be affirmed and the certified question answered in the affirmative, and the order of the Appellate Division in *Araujo v Tiano's Constr. Corp.* should be modified to reinstate the breach of contract cause of action

against Tiano's Construction Corp. and the suretyship cause of action against Lumbermens Mutual Casualty Company and otherwise affirmed, with costs to plaintiffs in both appeals.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

In *Cox v NAP Constr. Co., Inc.*: Order affirmed, etc.

In *Araujo v Tiano's Constr. Corp.*: Order modified, etc.

[891 NE2d 279, 861 NYS2d 246]

ELAINE PACHTER, Respondent, v BERNARD HODES GROUP, INC.,
Appellant.

Argued April 23, 2008; decided June 10, 2008

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Whether an ‘executive’ is considered an ‘employee’ for purposes of New York Labor Law Article 6, section 193, and thereby subject to the protections of that provision? (2) In the absence of a governing written agreement, when are commissions ‘earned’ and therefore considered ‘wages’ under sections 191 and 193, thereby rendering most subsequent deductions unlawful?”

HEADNOTES

Labor — Hours and Wages — Executives Entitled to Protections of Labor Law Article 6 Except Where Expressly Excluded

1. An “executive” is an “employee” within the meaning of Labor Law § 190 (2), and is thus entitled to the protections of article 6 of the Labor Law, which regulates the payment of wages by employers. Section 190 (2) defines an “employee” as “any person employed for hire by an employer in any employment”—a description that plainly embraces executives. Although executives are removed from the definitions of certain subcategories of employees in Labor Law § 190 (5), (6) and (7), the purpose of those provisions was to eliminate executives from particular requirements in article 6, not to limit the scope of who qualifies as an “employee” under subdivision (2). Further, several provisions in article 6 make specific reference to the exclusion of executives. There would be no need to eliminate executives from the enumerated subcategories of employees if they were not within the ambit of the general definition of “employee” in subdivision (2). Finally, if an executive were not an employee, Labor Law § 194 would not prohibit employers from paying similarly situated executives at different rates of compensation solely on account of their gender.

Statutes — Retroactive Application of Statute

2. The holding of the Court of Appeals that an “executive” is an “employee” within the meaning of Labor Law § 190 (2), and thus entitled to the protections of article 6 of the Labor Law, which regulates the payment of wages by employers, is not to be applied prospectively only. A judicial decision construing the words of a statute does not constitute the creation of a new legal principle.

Labor — Hours and Wages — Deductions from Wages — When Commission is Earned

3. Defendant, a company that specialized in providing certain services for other businesses, did not violate Labor Law § 193—which prevents employers from making certain deductions from an employee’s “wages”—when it subtracted business expenses from plaintiff executive’s percentage of client billings in arriving at her commission income. Evidence of the parties’ extensive course of dealings and the written monthly compensation statements issued by defendant and accepted by plaintiff provided ample support for the conclusion that there was an implied contract under which the final computation of the commissions earned by plaintiff depended on first making certain adjustments. Neither section 193 nor any other provision of article 6 of the Labor Law prevented the parties from structuring the compensation formula so that plaintiff’s commission would be deemed earned only after specific deductions were taken from her percentage of gross billings. In the absence of a governing written instrument, when a commission is “earned” and becomes a “wage” for purposes of Labor Law article 6 is regulated by the parties’ express or implied agreement; or, if no agreement exists, by the default common-law rule that ties the earning of a commission to the employee’s production of a ready, willing and able purchaser of the services.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Employment Relationship §§ 2, 51, 54, 57, 63.
McKINNEY’s, Labor Law § 190 (2), (5), (6), (7); §§ 193, 194.
NY JUR 2d, Employment Relations §§ 104, 118–120.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment.

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POINTS OF COUNSEL

Davis & Gilbert LLP, New York City (*Howard J. Rubin*, *Allie Lin* and *Laurie E. Morrison* of counsel), for appellant. I. An “executive” is not considered an “employee” for purposes of Labor Law, article 6, § 193. (*Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457; *Guiry v Goldman, Sachs & Co.*, 31 AD3d 70; *Davidson v Regan Fund Mgt. Ltd.*, 13 AD3d 117; *Cohen v ACM Med. Lab.*, 178 Misc 2d 130, 265 AD2d 839; *Sorrentino v Bohbot Entertainment & Media*, 265 AD2d 245; *Taylor v Blaylock & Partners*, 240 AD2d 289; *Cohen v Fox-Knapp, Inc.*, 226 AD2d 207; *Daley v Related Cos.*, 179 AD2d 55; *Conticommodity Servs. v Halmier*, 67 AD2d 480; *Kaplan v Aspen Knolls Corp.*, 290 F

Supp 2d 335.) II. The parties' agreement determines when commissions are "earned" and therefore considered "wages" under Labor Law §§ 191 and 193. (*Weiner & Co. v Teitelbaum*, 107 AD2d 583; *Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48; *Marcella v ARP Films, Inc.*, 778 F2d 112; *Dwyer v Burlington Broadcasters*, 295 AD2d 745; *Srour v Dwelling Quest Corp.*, 5 NY3d 874; *Jacobs v Macy's E.*, 262 AD2d 607; *Levy v Verizon Info. Servs., Inc.*, 498 F Supp 2d 586; *Matter of Dean Witter Reynolds v Ross*, 75 AD2d 373; *Reilly v Natwest Mkts. Group Inc.*, 181 F3d 253; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220.)

Gangemi Law Firm, P.C., New York City (Salvatore G. Gangemi of counsel), and *O'Hare Parnagian LLP* (Robert A. O'Hare Jr. of counsel), for respondent. I. The term "employee" includes all employees, including those who function in an executive capacity. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Morales v County of Nassau*, 94 NY2d 218; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Matter of Angello v Labor Ready, Inc.*, 7 NY3d 579; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Morales v County of Nassau*, 94 NY2d 218; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Tuttle v McQuesten Co.*, 227 AD2d 754.) II. Bernard Hodes Group, Inc. unlawfully deducted its costs of doing business and other charges from Elaine Pachter's earned commissions. (*Matter of Angello v Labor Ready, Inc.*, 7 NY3d 579; *Guepet v International TAO Sys.*, 110 Misc 2d 940; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *East Coast Indus. v Beconsall*, 60 Misc 2d 84; *Gennes v Yellow Book of N.Y.*, 3 Misc 3d 519, 23 AD3d 520; *Edlitz v Nipkow & Kobelt*, 264 AD2d 437; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Marsh v Prudential Sec.*, 1 NY3d 146; *Reilly v Natwest Mkts. Groups, Inc.*, 181 F3d 253, 528 US 1119; *Miles A. Kletter, D.M.D. & Andrew S. Levine, D.D.S., P.C. v Fleming*, 32 AD3d 566.)

Morgan, Lewis & Bockius LLP, New York City (Samuel S. Shaulson of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. Commissions vest and are considered earned wages according to the terms of the parties' agreement, regardless of whether the agreement is in writing. (*Levy v Verizon Info. Servs., Inc.*, 498 F Supp 2d 586; *Kephart v Data Sys. Intl., Inc.*, 243 F Supp 2d 1205; *Shannon v Keystone Info. Sys., Inc.*, 827 F Supp 341; *Matter of Palmer v Spaulding*,

299 NY 368; *Lane—Real Estate Dept. Store v Lawlet Corp.*, 28 NY2d 36; *Srouer v Dwelling Quest Corp.*, 5 NY3d 874.) II. In answering the certified questions posed, this Court should do so in a way that does not upset existing precedent on incentive compensation. (*Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Levy v Verizon Info. Servs., Inc.*, 498 F Supp 2d 586; *International Bus. Machs. Corp. v Martson*, 37 F Supp 2d 613; *Miller v Hekimian Labs., Inc.*, 257 F Supp 2d 506; *Marsh v Prudential Sec.*, 1 NY3d 146.)

Morgan, Brown & Joy, LLP, Boston, Massachusetts (*Diane Saunders* and *Laura M. Raisty* of counsel), and *McCarter & English, LLP*, New York City (*Richard P. O’Leary* of counsel), for National Retail Federation, amicus curiae. I. An “executive” is not considered an “employee” for purposes of Labor Law, article 6, § 193. (*Bhanti v Brookhaven Mem. Hosp. Med. Ctr.*, 260 AD2d 334; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457; *Schuit v Tree Line Mgt. Corp.*, 46 AD3d 405; *Gennes v Yellow Book of N.Y., Inc.*, 23 AD3d 520; *Tuttle v McQuesten Co.*, 227 AD2d 754; *Matter of Hudacs v Frito-Lay, Inc.*, 90 NY2d 342; *East Coast Indus. v Beconsall*, 60 Misc 2d 84; *People v Mitchell*, 80 NY2d 519; *People v Pepper*, 53 NY2d 213; *Collins v Youngblood*, 497 US 37.) II. An employer and commission salesperson can agree as to when and how commissions are earned, and therefore considered “wages” for purposes of Labor Law §§ 191 and 193. (*Dibble v Dimick*, 143 NY 549; *Jemzura v Jemzura*, 36 NY2d 496; *Sommer v Edward Ermold Co.*, 275 App Div 629; *Mott v Good Rds. Mach. Co. of N.Y., Inc.*, 277 App Div 677, 302 NY 918; *Jacobs v Macy’s E.*, 262 AD2d 607; *Bayer v Oxford Univ. Press, Inc.*, 270 App Div 586, 296 NY 780; *Maidment v Krause Milling Co.*, 225 App Div 492; *McCaskey v Cumberland Glass Mfg. Co.*, 193 App Div 856; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Matter of Dean Witter Reynolds v Ross*, 75 AD2d 373.)

OPINION OF THE COURT

GRAFFEO, J.

The United States Court of Appeals for the Second Circuit has certified two questions to this Court concerning the scope of protections afforded by article 6 of the Labor Law. We hold that an “executive” falls within the ambit of the protections afforded to “employees” under sections 190 and 193 of the Labor Law, and that the determination of when a commission is earned is governed by the parties’ express or implied agreement.

I

Plaintiff Elaine Pachter was employed as a vice-president for defendant Bernard Hodes Group, Inc. from April 1992 to December 2003. The company specialized in providing recruitment, marketing and staffing services for other businesses. Pachter's primary duties involved arranging for media advertisements for clients. Pachter had the option of receiving a fixed salary but instead chose to be compensated on a commission basis. By availing herself of this incentive arrangement, for many years she was able to earn between \$100,000 and \$200,000 annually, rather than the \$40,000 to \$75,000 paid to salaried employees who did similar work.

Pachter's commission earnings were calculated using a formula. When a client of Hodes agreed to a media buy, Hodes would advance payment to the media company and the client would subsequently reimburse Hodes and pay a fee for Pachter's services. When the client was billed, Pachter received a percentage of the amount billed minus particular charges that are central to the dispute in this case—client receipts were reduced by certain business costs, such as finance charges for late payments, losses attributable to errors in placing advertisements, uncollectible debts and Pachter's travel and entertainment expenses. In addition, she chose to work with an assistant, and half of the assistant's salary was deducted from Pachter's percentage of billings.¹ Each month, Pachter received a commission statement that listed her total billings and the percentage of those billings that represented her gross commission. The expenses attributed to her activities and any advances she had drawn from her commission account were then deducted to reach the net amount of income she had earned for that period. Pachter concedes that she was aware of the charges Hodes subtracted from her gross commissions and acquiesced in the compensation scheme for over a decade.

1. Six categories of charges factored into the final computation of Pachter's commission: (1) a 1% or 1.5% finance charge assessed when Pachter did not receive payment from a client within 60 or 90 days; (2) 50% of the costs of Pachter's assistant; (3) 50% to 100% of losses caused when her clients refused to pay for particular advertisements because of errors that occurred in placing or purchasing the ads; (4) 50% of losses attributable to a client's inability to pay its bill; (5) 50% of losses caused by a client's unwillingness to pay for part or all of its bill for reasons other than errors; and (6) Pachter's travel and entertainment expenses, marketing expenses and miscellaneous expenses related to her work, which the company advanced and Pachter was required to repay.

After Pachter left her employment with Hodes in December 2003, she sued the company in federal court, claiming that Labor Law § 193—which prevents employers from making certain deductions from an employee’s “wages”—prohibited Hodes from subtracting business expenses from her percentage of client billings in arriving at her commission income. Hodes countered that Pachter was an “executive” at the firm and, as such, she was not an “employee” for purposes of sections 190 and 193 of the Labor Law; and, in any event, the deductions were not taken from her commission but were used to calculate her earned commission. The United States District Court for the Southern District of New York granted summary judgment to Pachter, concluding that executives are covered by section 193 and that the adjustments made to Pachter’s gross commissions were illegal deductions from wages.²

The Second Circuit has certified two questions of law to us regarding the scope of Labor Law article 6 protections. Noting that courts have reached different conclusions as to whether “executives” are embraced by section 190 of the Labor Law, the Second Circuit has requested that we determine whether an executive is entitled to the protections extended to employees in article 6 of the Labor Law. Assuming that executives are employees for the purposes of that statute, we are asked to decide when, in the absence of a written agreement between employer and employee, a commission is “earned” and becomes a “wage” subject to the prohibition on deductions in Labor Law § 193.

II

[1] Article 6 of the Labor Law regulates the payment of wages by employers. Section 190 (2) defines an “employee” as “any person employed for hire by an employer in any employment”—a description that plainly embraces executives. Other subdivisions in section 190 address particular classes of employees and explicitly exempt executives. For example, subdivision (6) deals with a “commission salesman,” a term that “does not include an employee whose principal activity is of a supervisory, managerial, executive or administrative nature” (Labor Law § 190 [6]). Similarly, the statute defines the phrase “clerical or other worker” to exclude any person employed in an executive capacity who earns more than \$600 a week (Labor Law § 190

2. The court awarded Pachter over \$150,000, plus interest and attorney’s fees.

[7]; *see also* Labor Law § 190 [5] [excluding executives from the definition of “railroad worker”]).

Hodes argues that, despite the broad definition of “employee” in subdivision (2) of Labor Law § 190, the term is modified by the language in subdivisions (5), (6) and (7) that excludes individuals employed in executive capacities. We disagree. It is evident from the text and structure of article 6 of the Labor Law that executives are employees within the meaning of Labor Law § 190 (2). Although executives are removed from the definitions of certain subcategories of employees in Labor Law § 190 (5), (6) and (7), those provisions are not intended to limit the scope of who qualifies as an “employee” under subdivision (2). Rather, their purpose is to eliminate executives from particular requirements in article 6, such as the frequency of wage payments to manual workers, railroad workers, commission salespersons and clerical or other workers (*see* Labor Law § 191).

Aside from the structure of Labor Law § 190, Hodes’ argument is further undermined by the fact that several provisions in article 6 make specific reference to the exclusion of executives. For example, section 192 (2) removes executives who earn more than \$600 per week from the requirement that wages be paid in cash to “any employee” and section 198-c (3) contains a similar exclusion relating to benefits and wage supplements. If, as Hodes claims, executives are not employees in the first instance, these two unambiguous exclusions would be wholly superfluous; there would be no need to eliminate executives from the enumerated subcategories of employees if they were not within the ambit of the general definition of “employee” in subdivision (2) of section 190 (*see e.g. Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367, 373 [2007]). In addition, under the interpretation of “employee” proposed by Hodes, Labor Law § 194 would not prohibit employers from paying similarly situated executives at different rates of compensation solely on account of their gender—an absurd proposition that the Legislature surely did not intend.

The Second Circuit recognized that our decision in *Gottlieb v Kenneth D. Laub & Co.* (82 NY2d 457 [1993], *rearg denied* 83 NY2d 801 [1994]) has generated a split of authority in state and federal courts on the issue of whether executives are covered by article 6 of the Labor Law (*compare e.g. Kaplan v Aspen Knolls Corp.*, 290 F Supp 2d 335, 340 [ED NY 2003] [executives excluded] and *Davidson v Regan Fund Mgt. Ltd.*, 13 AD3d 117, 118 [1st Dept 2004] [same], *with Miteva v Third Point Mgt. Co.*,

L.L.C., 323 F Supp 2d 573, 578-579 [SD NY 2004] [executives included] and *Gennes v Yellow Book of N.Y., Inc.*, 23 AD3d 520, 521 [2d Dept 2005] [same]). We take this occasion to underscore that our decision in *Gottlieb* was limited to determining whether an employee who asserted a common-law contract cause of action, but did not allege a violation of any substantive provision of article 6, could collect attorney's fees under Labor Law § 198 (1-a). We held that the text, history and purpose of that statute indicated that attorney's fees are available only to plaintiffs who prove a violation of article 6 (*see* 82 NY2d at 464). We noted that

“[c]ertainly nothing in the language of [the statute as originally enacted] suggests that it was intended to provide any remedy whatsoever for the successful prosecution of a common-law civil action for contractually due remuneration on behalf of employees who in all other respects are excluded from wage enforcement protection under the recodified article 6 of the Labor Law” (*id.* at 462).

This observation was not intended to signal that executives are outside the reach of article 6. Rather, it merely pointed out that employees serving in an executive, managerial or administrative capacity do not fall under section 191 of the Labor Law and, as a result, those individuals are not entitled to statutory attorney's fees under section 198 (1-a) if they assert a successful common-law claim for unpaid wages. And because the plaintiff in *Gottlieb* had not alleged that he was protected by section 191, he was presumptively “excluded from wage enforcement protection” under article 6 (*id.*). *Gottlieb* thus poses no obstacle to plaintiff's claim in this case.

[1, 2] Consequently, we hold that executives are employees for purposes of Labor Law article 6, except where expressly excluded.³ The first certified question is therefore answered in the affirmative.

III

Here, plaintiff was paid on a commission basis and a “commission” is considered a “wage” under section 190 (1) of the

3. We reject Hodes' alternative argument that our conclusion should be applied prospectively only (*see Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184, 192 [1982] [“A judicial decision construing the words of a statute . . . does not constitute the creation of a new legal principle”], *rearg denied* 56 NY2d 567 [1982], *cert denied* 459 US 837 [1982]).

Labor Law. Section 193 prohibits an employer from making “any deduction from the wages of an employee” unless permitted by law or authorized by the employee for “insurance premiums, pension or health and welfare benefits, contributions to charitable organizations, payments for United States bonds, payments for dues or assessments to a labor organization, and similar payments for the benefit of the employee” (Labor Law § 193 [1] [a], [b]). It is undisputed that the charges Hodes made to determine Pachter’s final compensation are not within the categories of permissible deductions delineated in section 193. Their legality therefore depends on when Pachter’s commission was “earned” and became a “wage” that was subject to the restrictions of section 193. If the adjustments were made before the commissions were earned, section 193 did not prohibit them; but if the charges were subtracted after her commissions were earned, Hodes engaged in impermissible practices under the statute. Hence, the Second Circuit has asked us to determine when Pachter earned her commissions.

In that the applicable statute—article 6 of the Labor Law—does not provide an answer to this question, we must look to the common law.⁴ Under the common law, “ ‘a broker who produces a person ready and willing to enter into a contract upon his employer’s terms . . . has earned his commissions’ ” (*Srour v Dwelling Quest Corp.*, 5 NY3d 874, 875 [2005], quoting *Feinberg Bros. Agency v Berted Realty Co.*, 70 NY2d 828, 830 [1987]). This rule is usually addressed in the context of contracts for the sale of real estate and, assuming that it also applies to the sale of goods and services, it is well settled that parties to a transaction are free to depart from the common law by entering into a different arrangement (*see e.g. Srour v Dwelling Quest Corp.*, 5 NY3d at 875; *Lane—Real Estate Dept. Store v Lawlet Corp.*, 28 NY2d 36, 42 [1971]; *Wagner v Derecktor*, 306 NY 386, 390 [1954]). Since the parties “ ‘are free to add whatever conditions they may wish to their agreement’ ” (*Srour v Dwelling Quest Corp.*, 5 NY3d at 875, quoting *Feinberg Bros. Agency v Berted Realty Co.*, 70 NY2d at 830), they may provide that the computation of a commission will include certain downward adjustments from gross sales, billings or receivables. In that event, the com-

4. When a salesperson provides services to a client (as opposed to selling merchandise), section 191-a (b) of the Labor Law provides that the commission is “earned” when it is “due” but the statute does not otherwise explain how to determine when the commission is “due.”

mission will not be deemed “earned” or vested until computation of the agreed-upon formula.

The Second Circuit observed that, under the common-law rule, Pachter’s commission arguably could have been “earned” upon the occurrence of one of the following three events: (1) when Pachter’s efforts resulted in a client’s commitment to buy advertising; (2) when Hodes advanced payment for an advertising buy to a media company; or (3) when the client received an invoice from Hodes. We believe the first event is most consistent with the common-law “ready, willing and able buyer” rule since the commitment of a client signaled its willingness to do business with Hodes. As we have indicated, this does not foreclose the possibility that Pachter and Hodes agreed to a different arrangement.

[3] The lack of a specific written contract is not determinative because the record in this case—the evidence of the parties’ extensive course of dealings for more than 11 years and the written monthly compensation statements issued by Hodes and accepted by Pachter—provide ample support for the conclusion that there was an implied contract under which the final computation of the commissions earned by Pachter depended on first making adjustments for nonpayments by customers and the cost of Pachter’s assistant, as well as miscellaneous work-related expenses (*see* n 1 at 613). Notably, Pachter understood the adjustments and acquiesced in them—the District Court found that Pachter consented to the compensation plan and that Hodes complied with it in all respects, thereby establishing that the parties mutually agreed to depart from the common-law rule. This is not surprising: Pachter reaped substantial benefit from the formula, earning a higher annual income than employees on fixed salaries performing similar duties.

We therefore conclude that neither section 193 nor any other provision of article 6 of the Labor Law prevented the parties in this case from structuring the compensation formula so that Pachter’s commission would be deemed earned only after specific deductions were taken from her percentage of gross billings. Consequently, we answer the second certified question by stating that, in the absence of a governing written instrument, when a commission is “earned” and becomes a “wage” for purposes of Labor Law article 6 is regulated by the parties’ express or implied agreement; or, if no agreement exists, by the default common-law rule that ties the earning of a commission to the employee’s production of a ready, willing and able purchaser of the services.

Accordingly, the certified questions should be answered in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[891 NE2d 285, 861 NYS2d 252]

In the Matter of ROBERT MASTER, as Chair of the State Committee and State Executive Committee of the New York State Working Families Party, et al., Respondents, v CHARLES J. POHANKA III et al., Appellants, et al., Respondents.

Argued April 24, 2008; decided June 10, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 10, 2007. The Appellate Division affirmed an order of the Supreme Court, Suffolk County (Carol MacKenzie, J.), which had ordered that certain certificates of authorization accepted for filing by respondents Cathy L. Richter Geier and Anita S. Katz, Suffolk County Board of Election Commissioners, were null and void; that as long as the state party rule at issue remained in effect, any further offered certificates of authorization by respondents Charles J. Pohanka III, Donna Lent, Suffolk County Working Families County Committee or Suffolk County Working Families Executive Committee were void and should be rejected by respondents Suffolk County Board of Elections and its commissioners; and that as long as the state party rule at issue remained in effect, respondents Suffolk County Working Families Party Executive Committee and/or Suffolk County Working Families Party County Committee were enjoined from issuing any further such certificates of authorization. The appeal brings up for review a prior order of the Appellate Division, entered August 22, 2007 (43 AD3d 478). The Appellate Division had (1) reversed, on the law, an order of the Supreme Court, Suffolk County (Carol MacKenzie, J.), which granted respondents' motion to dismiss and dismissed the petition; (2) denied the motion; (3) reinstated the petition; and (4) remitted the matter to Supreme Court for further proceedings.

Matter of Master v Pohanka, 43 AD3d 835, affirmed.

HEADNOTE

Elections — Certificate of Authorization

Election Law § 6-120 (3) allows a political party's state committee to vest itself with the authority to issue certificates of authorization for county, city or local public offices. Although a person designated or nominated as a candidate for public office must be an enrolled member of the political party that so designates or nominates that candidate (*see* Election Law § 6-120 [1],

[2]), a political party can designate or nominate a person not enrolled as a party member pursuant to Election Law § 6-120 (3) (the Wilson-Pakula Law), which states that the designation or nomination of nonparty members must be authorized by “[t]he members of the party committee representing the political subdivision of the office for which a designation or nomination is to be made,” unless “the rules of the party” delegate the authority to issue the certificates to “another committee.” Here, because the rules of the Working Families Party expressly provided for another committee, i.e., the State Committee, to have the authority to issue so-called Wilson-Pakula certificates, there was no conflict with Election Law § 6-120 (3). The phrase “rules of the party” plainly refers to the rules of the state party committee (*see* Election Law § 1-104 [3]). Moreover, permitting a state party committee to issue certificates of authorization is fully consistent with the legislative intent of preventing the invasion or takeover of the party by outsiders.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Elections §§ 195, 200, 203, 205, 206, 217.
CARMODY-WAIT 2d, Proceedings Under Election Laws
§§ 137:47, 137:48.
MCKINNEY’s, Election Law § 1-104 (3); § 6-120.
NY JUR 2d, Elections §§ 9, 260-262.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

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POINTS OF COUNSEL

Vincent J. Messina, Jr., Central Islip, for appellants. I. The lower courts erred in determining that the provisions of Election Law § 6-120 permit the State Committee of the Working Families Party to deprive the County Committee of the Working Families Party of the ability to designate nonparty candidates, thereby rendering the provisions of Election Law §§ 2-100, 2-104 and 2-114 completely and utterly meaningless. (*Matter of Martin v Alvarez*, 21 AD3d 572.) II. The courts below erred when they failed to determine that the purported rules of the State Committee of the Working Families Party violate the one person, one vote principles of the United States Constitution. (*Montano v Lefkowitz*, 575 F2d 378; *Matter of Serrano v Cuttita*, 147 Misc 2d 1; *Mrazek v Suffolk County Bd. of Elections*, 630 F2d 890.) III. The Appellate Division erroneously reversed the determination of the Supreme Court which dismissed the proceeding due

to appellants' failure to name, serve and join necessary parties. (*Matter of Jenkins v Board of Elections of City of N.Y.*, 270 AD2d 436; *Matter of Quis v Putnam County Bd. of Elections*, 22 AD3d 585; *Matter of Rowles v Orsini*, 309 AD2d 1307; *Matter of Regan v New York State Bd. of Elections*, 207 AD2d 647; *Matter of Sahler v Callahan*, 92 AD2d 976; *Matter of Purcell v Canary*, 133 AD2d 200; *Matter of Castracan v Colavita*, 173 AD2d 924, 78 NY2d 1041; *Matter of Fatone v Board of Elections of County of Rensselaer*, 218 AD2d 913.) IV. The within proceeding is barred by the statute of limitations. (*Matter of Pecoraro v State Comm. of Independence Party of State of N.Y.*, 272 AD2d 849; *Matter of Valin v Adamczyk*, 286 AD2d 566.)

Levy Ratner, P.C., New York City (*Kevin Finnegan* of counsel), for respondents. I. The lower courts' determination that the County Committee of the Working Families Party's Wilson-Pakula authorizations are null and void is correct and consistent with other provisions of the Election Law. (*Matter of Bell v Kirwan*, 44 AD2d 906; *Matter of Conroy v State Comm. of Independence Party of N.Y.*, 43 AD3d 832; *Kermani v New York State Bd. of Elections*, 487 F Supp 2d 101; *Matter of Baran v Giambra*, 265 AD2d 796, 93 NY2d 1040; *Matter of Schiliro v Mazza*, 53 NY2d 735; *Matter of Independence Party State Comm. of State of N.Y. v Berman*, 28 AD3d 556; *Matter of Bachmann v DeFronzo*, 164 AD2d 926; *Matter of Kahler v McNab*, 48 NY2d 625; *Matter of Farley v Mahoney*, 130 Misc 2d 455; *Smith v Pigeon*, 174 Misc 2d 97.) II. The rules of the New York State Working Families Party are constitutionally valid and are protected by the First Amendment of the United States Constitution. (*Mrazek v Suffolk County Bd. of Elections*, 630 F2d 890; *Montano v Lefkowitz*, 575 F2d 378; *Matter of Serrano v Cuttita*, 147 Misc 2d 1, 159 AD2d 330, 75 NY2d 873; *Davis v Sullivan County Democratic Comm.*, 47 Misc 2d 60; *Munro v Socialist Workers Party*, 479 US 189; *Democratic Party of United States v Wisconsin ex rel. La Follette*, 450 US 107; *California Democratic Party v Jones*, 530 US 567; *Matter of Zuckman v Donahue*, 274 App Div 216, 298 NY 627; *Matter of Werbel v Gernstein*, 191 Misc 275; *Matter of Schiliro v Mazza*, 53 NY2d 735.) III. All necessary parties were joined. (*Matter of Castaways Motel v Schuyler*, 24 NY2d 120; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452; *Matter of Sahler v Callahan*, 92 AD2d 976; *Matter of Fatone v Board of Elections of County of Rensselaer*, 218 AD2d 913; *Matter of Smith v Kelly*, 265 AD2d 562; *Matter of Buchanan v Espada*, 88 NY2d 973; *Matter of Mandell v Board of Elections in City of N.Y.*, 88 NY2d

976; *Matter of Figari v New York Tel. Co.*, 32 AD2d 434; *Wisholek v Douglas*, 97 NY2d 740; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) IV. The action was commenced within the appropriate statute of limitations. (*Matter of Valin v Adamczyk*, 286 AD2d 566.)

OPINION OF THE COURT

PIGOTT, J.

This appeal calls upon us to determine whether Election Law § 6-120 (3) allows a political party’s state committee to vest itself with the authority to issue certificates of authorization for county, city or local public offices. We hold that it does.

In February 2006, the Working Families Party of New York State, at a meeting of its State Committee, adopted a party rule that vested the State Committee with the authority to issue certificates of authorization, so-called “Wilson-Pakula certificates,”¹ for county, city and local elections. Specifically, the party rule at issue (art VIII, § 1) provides in pertinent part:

“The authorization (as such authorization is permitted under Section 6-120 of the Election Law) of candidates for any county, city or local office, including offices of towns and villages but excluding city-wide offices of New York City, shall be made by the State Committee, or by the State Executive Committee when the State Committee is not convened.”²

Shortly thereafter, members of the Suffolk County Committee of the Working Families Party (the County Committee) unsuccessfully sought to prohibit enforcement of the rule (*see Matter of Pohanka v Working Families Party of N.Y. State*, 30 AD3d 625 [2d Dept 2006], *lv denied* 7 NY3d 706 [2006]).

Despite the existence of the rule vesting such authority with the State Committee, the County Committee issued Wilson-Pakula certificates authorizing certain nonparty members to appear on the ballot as candidates of the Working Families Party

1. A Wilson-Pakula certificate is required for the designation or nomination of a candidate who is not enrolled as a party member.

2. The state party rules (art XII) also state:
 “Except to the extent otherwise provided herein and by law with respect to certain offices to be filled by all the voters of the City of New York, the Working Families Party shall not authorize any County Committee to nominate, designate, or authorize any candidates for public office. That power is reserved for the State Committee and the State Executive Committee.”

in the September 2007 primary election and the November 2007 general election for various town and county offices within Suffolk County. The Suffolk County Board of Elections accepted the certificates for filing.

Relying on its party rule, the State Committee then commenced this proceeding pursuant to CPLR article 78 and Election Law § 16-102 to invalidate the certificates issued by the County Committee. For reasons not relevant here, Supreme Court granted the County Committee's motion to dismiss the petition, but the Appellate Division later reversed and reinstated the petition (*see* 43 AD3d 478 [2d Dept 2007]).

On remittal, Supreme Court determined that the Wilson-Pakula certificates issued by the County Committee were null and void and enjoined the County Committee from issuing any further certificates so long as the party rule at issue remained in effect. The Appellate Division affirmed (*see* 43 AD3d 835 [2d Dept 2007]). Relying on its prior decision in *Matter of Pohanka* (30 AD3d 625 [2006]), the court held that the State Committee was empowered to amend the party rules to vest itself with the authority to issue Wilson-Pakula certificates for county, city and local public offices. We granted the County Committee leave to appeal and now affirm.

The County Committee principally argues that the party rule vesting the sole authority to issue Wilson-Pakula certificates in the State Committee conflicts with Election Law § 6-120 (3). We disagree.

Generally, courts will not interfere with the internal affairs of a political party (*see Bloom v Notaro*, 67 NY2d 1048, 1049 [1986]). Indeed, the United States Supreme Court noted that a political party has "discretion in how to organize itself, conduct its affairs, and select its leaders" (*Eu v San Francisco County Democratic Central Comm.*, 489 US 214, 230 [1989]). Thus, "absent inconsistent statutory directives, the duly adopted rules of a political party should be given effect" (*Matter of Kahler v McNab*, 48 NY2d 625, 626 [1979]).

Article 6 of the Election Law governs the nomination and designation of candidates for election to public office or party position. Under the Election Law, a person designated or nominated as a candidate for public office must be an enrolled member of the political party that so designates or nominates that candidate (*see* Election Law § 6-120 [1], [2]). If, however, a political party wishes to designate or nominate a person not

enrolled as a party member, it must follow the provisions set forth in Election Law § 6-120 (3). That section, also known as the Wilson-Pakula Law, provides, in pertinent part:

“The members of the party committee representing the political subdivision of the office for which a designation or nomination is to be made, *unless the rules of the party provide for another committee*, in which case the members of such other committee, and except as hereinafter in this subdivision provided with respect to certain offices in the city of New York, may, by a majority vote of those present at such meeting provided a quorum is present, authorize the designation or nomination of a person as candidate for any office who is not enrolled as a member of such party as provided in this section. In the event that such designation or nomination is for an office to be filled by all the voters of the city of New York, such authorization must be by a majority vote of those present at a joint meeting of the executive committees of each of the county committees of the party within the city of New York, provided a quorum is present at such meeting” (emphasis added).

The first part of the cited subdivision outlines the default rule governing the issuance of Wilson-Pakula certificates, namely, that the designation or nomination of nonparty members must be authorized by “[t]he members of the party committee representing the political subdivision of the office for which a designation or nomination is to be made.” The subdivision further provides, however, that the “party” may delegate the authority to issue the certificates to “another committee.”

Here, the rules of the Working Families Party expressly “provide for another committee,” i.e., the State Committee, to have the authority to issue Wilson-Pakula certificates. Thus, the default rule that authorizations are to be given by “the party committee representing the political subdivision of the office for which a designation or nomination is to be made”—regardless of whether under these circumstances that committee is the County Committee—does not control because the “rules of the party” vest such designating/nominating authority in the State Committee. Accordingly, because the Working Families Party rules do not conflict with Election Law § 6-120 (3), they must be

respected by the courts and given effect (see *Matter of Schiliro v Mazza*, 53 NY2d 735, 736 [1981]).

We reject the County Committee's strained interpretation of the statute that the "rules of the party" refer to the rules of the appropriate "party committee" identified in the preceding clause. The County Committee argues that it is the party committee representing the political subdivision(s) at issue and thus its rules govern the authority to issue Wilson-Pakula certificates. Although, under the statutory scheme, the Legislature used the general phrase "rules of the party" and did not specifically identify which committee's rules—the state committee or the county committee—apply, we conclude that the phrase "rules of the party" plainly refers to the rules of the state party committee. This interpretation is further supported by Election Law § 1-104 (3), which defines "party" as "any political organization which at the last preceding election for governor polled at least fifty thousand votes for its candidate for governor." This definition of "party" focuses on votes cast for governor, a statewide office, thus indicating that a political party is a statewide organization, and not simply a county-based entity.

Finally, contrary to the County Committee's contention, our reading of Election Law § 6-120 (3) is not inconsistent with legislative intent. The purpose of the Wilson-Pakula Law was not to mandate local control of the designation/nomination process, as the County Committee asserts; rather, its purpose was to prevent the invasion or takeover of the party by outsiders. As one court recognized, the Wilson-Pakula Law was designed "to protect the integrity of political parties and to prevent the invasion into or the capture of control of political parties by persons not in sympathy with the principles of such political parties" (*Matter of Werbel v Gernstein*, 191 Misc 275, 277 [Sup Ct, Kings County 1948], *affd* 273 App Div 917 [2d Dept 1948]; see also *Matter of Ingersoll v Curran*, 188 Misc 1003, 1008 [Sup Ct, Albany County 1947], *affd* 297 NY 522 [1947]). As such, the law "sought to restrict . . . the manner in which one could or could not invade the political party of which one was not a member to obtain party or public office" (*Werbel*, 191 Misc at 277). Thus, our holding in this case is fully consistent with legislative intent.

The County Committee's constitutional challenge similarly lacks merit (see *Mrazek v Suffolk County Bd. of Elections*, 630 F2d 890 [2d Cir 1980]) as do its remaining contentions.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, without costs.

[891 NE2d 289, 861 NYS2d 256]

936 SECOND AVENUE L.P., Appellant, v SECOND CORPORATE DEVELOPMENT CO., INC., et al., Respondents.

Argued April 29, 2008; decided June 12, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 6, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Helen E. Freedman, J.), which had, on a motion by plaintiff for summary judgment awarding the relief requested in the first amended complaint and dismissing defendants' second counterclaim seeking fees and expenses and a cross motion by defendants for summary judgment on the first and second counterclaims, declared that under the terms of the parties' lease, the encumbrance of the lease did not have to be considered by the appraisers who were to determine the value of the demised premises, in connection with establishing the net rent for the first 10 years of the renewal term, and denied plaintiff's and defendants' application for fees and expenses.

936 Second Ave. L.P. v Second Corporate Dev. Co., Inc., 37 AD3d 190, reversed.

HEADNOTE**Landlord and Tenant — Lease — Consideration of Net Lease in Valuing Premises for Purposes of Establishing Net Rent for Renewal Term**

Absent an agreement to the contrary, the effect of a net lease must be considered in valuing property for the purpose of setting rent for a renewal lease term. Valuations of land must take into consideration all encumbrances thereon, including restrictions as to its use, unless there is a clear provision to the contrary. Additionally, unless the lease agreement provides otherwise, appraisers generally consider the highest and best use of the property in determining its value. In determining the highest and best use of a property, appraisers necessarily must examine any restrictions or limitations, including long-term leases, that may impact the highest and best use for which the property may be utilized.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 138–140, 550, 551.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT IN-

Opinion by GRAFFEO, J.

INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 11:44, 12:1, 12:3.

NY JUR 2d, Landlord and Tenant §§ 329, 784.

NEW YORK REAL PROPERTY SERVICE §§ 74:71, 74:72.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: net /2 lease /s renewal /5 rent

POINTS OF COUNSEL

Bryan Cave LLP, New York City (*Mark Jon Sugarman* and *David J. Bloomberg* of counsel), for appellant. I. The appellate court's order directly contradicts established law. (*New York Overnight Partners v Gordon*, 217 AD2d 20, 88 NY2d 716; *United Equities v Mardordic Realty Co.*, 8 AD2d 398, 7 NY2d 911; *Ruth v S.Z.B. Corp.*, 2 Misc 2d 631, 2 AD2d 970; 201-203 *Lexington Ave. Corp. v 205/215 Lexington Ltd. Partnership*, 224 AD2d 183; *Archdiocese of N.Y. v Amedeo Hotels Ltd. Partnership*, 295 AD2d 161; *Reiss v Financial Performance Corp.*, 97 NY2d 195.) II. The appellate court's order ignores the practical and economic realities of market value appraisals. III. The appellate court erroneously relied on *inclusio unius est exclusio alterius*. (*New York Overnight Partners v Gordon*, 217 AD2d 20, 88 NY2d 716; *United Equities v Mardordic Realty Co.*, 8 AD2d 398, 7 NY2d 911; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396.)

Rosenberg & Estis, P.C., New York City (*Deborah E. Riegel*, *Gary M. Rosenberg* and *Jason R. Davidson* of counsel), for respondents. The Appellate Division order should be affirmed. (*George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *Matter of Wallace v 600 Partners Co.*, 205 AD2d 202; *Matter of Cale Dev. Co. v Conciliation & Appeals Bd.*, 94 AD2d 229, 61 NY2d 976; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Chimart Assoc. v Paul*, 66 NY2d 570; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *HSBC Bank USA v National Equity Corp.*, 279 AD2d 251; *Bijan Designor For Men v Fireman's Fund Ins. Co.*, 264 AD2d 48; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Eden Music Corp. v Times Sq. Music Pubs. Co.*, 127 AD2d 161.)

OPINION OF THE COURT

GRAFFEO, J.

In this lease dispute, the issue is whether the net lease itself

must be considered by appraisers in valuing the demised premises for purposes of establishing the net rent for a renewal term of the lease. Because the net lease does not exclude its consideration, we conclude that it must be taken into account in valuing the property.

In 1966, defendant Second Corporate Development Co., Inc. (lessor), the owner of property located at East 50th Street and Second Avenue in Manhattan, entered into a 20-year net lease with the predecessor-in-interest to plaintiff 936 Second Avenue L.P. (lessee).¹ The property consists of three adjoining buildings that house 22 rent-regulated apartments and four retail stores. Lessee was afforded the option to renew its lease for two additional 20-year terms.

Under the terms of the lease, the annual rent for the first 15 years escalated from \$20,000 in 1966 to \$33,000 in 1981. In the event lessee exercised a renewal option, the parties agreed that the annual rent would be seven percent of the value of the demised premises as of the date of commencement of each successive 10-year period.² The lease defines the “value of the demised premises” to include the value of both the land and the buildings and improvements located on it. If the parties fail to agree upon the value of the premises for purposes of calculating the annual rent, the lessor and lessee are each to select an appraiser to value the property. If the parties continue to dispute valuation, the lease provides for the appointment of a third appraiser to settle the issue.

In March 2005, lessee renewed the lease for the second 20-year term, such term commencing on November 1, 2006. Unable to negotiate the rent for the first 10 years of that renewal term, lessor and lessee each retained an appraiser in accordance with the procedure outlined in the lease. Lessor’s appraiser valued the premises at \$7.1 million while lessee’s appraiser valued it at \$3.43 million.³ According to lessee’s appraiser, one of the principal reasons for the disparity between the two ap-

1. The property is currently owned by Second Corporate’s successors-in-interest: defendants The Horace Wilson Marital Trust, Julia B. Wilson, Trustee; The John A. Wilson Revocable Trust U/A Dated 3/1/00, John A. Wilson, Trustee; and Anne W. Evans. Defendants will be collectively referred to as “lessor.”

2. The parties also agreed that the annual rent for the relevant 10-year period could not be less than the rent in effect during the preceding period.

3. Lessor’s appraiser employed both the comparable sales and income capitalization approaches; lessee’s appraiser used only the income capitalization method.

praisals was the fact that he considered the effect of the net lease on the value of the premises while lessor's appraiser did not take the lease into consideration.

Lessee commenced this action seeking a declaratory judgment that the lease and its term and conditions must be taken into account in calculating the value of the premises for purposes of determining the annual rental rate for the first 10 years of the second renewal term. Lessor counterclaimed for a declaration that the lease should not be considered in appraising the property. Both parties moved for summary judgment.

Supreme Court granted lessor's motion and declared that the lease is not to be considered in calculating the value of the premises, and the Appellate Division affirmed. We granted lessee leave to appeal and now reverse.

Analysis

In *New York Overnight Partners v Gordon* (88 NY2d 716 [1996]), the owner of a parcel of land in New York City had a long-term lease with the owner of a hotel located on the property. The rent for the 15-year renewal term of the lease was to be calculated at 6½% of the "appraised value of the land" (*id.* at 718). The lease expressly excluded from the definition of "land" the "buildings and improvements thereon erected" (*id.* at 719 n 1). When the parties deadlocked on the meaning of the phrase "appraised value of the land," they sought judicial interpretation to settle the dispute. We affirmed the Appellate Division order directing the appraiser "to determine the value of the land as if vacant and unimproved, subject to current zoning restrictions and contractual limitations, and to consider the effect of the lease on the value of the land" (*id.* at 720). In reaching that conclusion, we observed that "[w]hen the language of the lease so dictates, appraisals must take into consideration all restrictions—including current zoning regulations—and encumbrances on the land, as well as the lease term" (*id.* at 721).

Here, article 33 (c) of the lease provides that the net rent for the first 10 years of the second renewal term "shall be at the rate per annum of a sum equal to seven percent (7%) of the value of the demised premises as of the date of commencement of such first ten years, to wit, November 1, 2006, such value to be determined as provided in Article 30." Article 30, in turn, defines the term "value of the demised premises" to mean

"the value of the demised premises together with

all buildings and improvements thereon including any and all additions and improvements erected by Tenant. In the determination of such 'value of the demised premises' as herein provided no effect shall be given to any damage, destruction or loss which Tenant is obligated to repair, replace or rebuild, and any existing or possible future damage, destruction or loss shall not be taken into account for the purposes of such determination."⁴

The lease is silent as to whether the lease itself should be taken into account in determining the value of the demised premises.

Lessor argues that *New York Overnight Partners*, which required consideration of the lease, is distinguishable because the property in that case was to be valued as if vacant while the valuation of the property here must include both the land and buildings. Further, while acknowledging that the lease may impact the value of the property, lessor nevertheless contends that the absence of language in the lease expressly requiring its consideration means that the appraisers were obligated to ignore it. Lessee counters that because the net lease affects the property value, it must be considered unless the lease specifically precludes the appraisers from factoring it into the valuation.

In general, "the market value of real property is the amount which one desiring but not compelled to purchase will pay under ordinary conditions to a seller who desires but is not compelled to sell" (*Plaza Hotel Assoc. v Wellington Assoc.*, 37 NY2d 273, 277 [1975], *rearg denied* 37 NY2d 924 [1975]; *see also Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon*, 88 NY2d 724, 729 [1996]). Case law has long recognized that "valuations of land must take into consideration all encumbrances thereon, including restrictions as to its use, unless there is a clear provision to the contrary" (*Plaza Hotel Assoc. v Wellington Assoc.*, 55 Misc 2d 483, 487 [Sup Ct, NY County 1967], *affd* 28 AD2d 1209 [1st Dept 1967], *affd on Sup Ct op* 22 NY2d 846 [1968], *rearg denied* 22 NY2d 972 [1968]; *see also United Equities v Mardordic Realty Co.*, 8 AD2d 398, 400 [1st Dept 1959], *affd without op* 7 NY2d 911 [1960] ["Unless there be express provision to the contrary, the provisions of the lease between the parties insofar as they affect the fair market

4. The lease separately describes the "demised premises" as "[a]ll those certain lots, pieces or parcels of land with the buildings and improvements thereon erected, situate, lying and being in the Borough of Manhattan" matching a specified metes-and-bounds description.

value of the land must be given effect’’]). In valuing real property “[s]pecial attention must be given to limitations on ownership rights, which include easements, encroachments, leases, and the disposition of air or subsurface rights” and an appraiser must “analyze all of the economic benefits or disadvantages created by the lease” (Appraisal Institute, *The Appraisal of Real Estate*, at 55, 82 [12th ed]).

Additionally, unless the lease agreement provides otherwise, appraisers generally consider the highest and best use of the property in determining its value (*see id.* at 305).⁵ This is true whether the property is valued as vacant or developed (*see id.* at 306).⁶ But in determining the highest and best use of a property, appraisers necessarily must examine any restrictions or limitations, including long-term leases, that may impact the highest and best use for which the property may be utilized (*see id.* at 311, 316).

We therefore conclude that, absent an agreement to the contrary, the effect of a net lease must be considered in valuing property for the purpose of setting rent for a renewal lease term. Such a rule comports with precedent, appraisal practices and common sense. If the parties to a lease desire to exclude that encumbrance in valuing the property, they need only include language to that effect in their agreement. Indeed, courts have routinely enforced such provisions (*see e.g. 201-203 Lexington Ave. Corp. v 205/215 Lexington Ltd. Partnership*, 224 AD2d 183 [1st Dept 1996], *lv denied* 88 NY2d 813 [1996]; *Ruth v S.Z.B. Corp.*, 2 Misc 2d 631 [Sup Ct, NY County 1956], *affd* 2 AD2d 970 [1st Dept 1956]).

Here, although the net lease expressly precludes the consideration of any damage or destruction that lessee is obligated to repair, it does not exclude existence of the lease itself in valuing the premises. Consequently, the appraisers must examine the effect of the lease’s term and conditions in determining the value of the property in connection with establishing the net rent.

5. The highest and best use of a parcel “provides the foundation for a thorough investigation of the competitive position of the property in the minds of market participants. Consequently, highest and best use can be described as the foundation on which market value rests” (Appraisal Institute, *The Appraisal of Real Estate*, at 305 [12th ed]).

6. Indeed, lessor’s and lessee’s appraisers each examined the highest and best use of the premises in their respective appraisal reports in this case.

Accordingly, the order of the Appellate Division should be reversed, with costs, and judgment granted declaring in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[893 NE2d 97, 862 NYS2d 820]

PRESERVER INSURANCE COMPANY, Appellant, v ARTHUR RYBA et al., Respondents.

Argued April 29, 2008; decided June 10, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 13, 2007. The Appellate Division (1) affirmed so much of an order of the Supreme Court, Rockland County (Mary H. Smith, J.), as had (a) denied plaintiff's motion for summary judgment declaring that it was not obligated to defend and indemnify defendant East Coast Stucco & Construction, Inc. in the underlying action, and (b) granted the cross motion of defendant Northern Assurance Company of America, sued herein as One Beacon Insurance Company, for summary judgment declaring that plaintiff was obligated to defend and indemnify East Coast Stucco & Construction, Inc. with respect to the contractual indemnification and breach of contract claims in the underlying action, and that plaintiff's policy provided coverage with no limit of liability, and (2) remitted the matter to Supreme Court, Rockland County, for the entry of an appropriate judgment.

Preserver Ins. Co. v Ryba, 37 AD3d 574, reversed.

HEADNOTES

Insurance — Disclaimer of Coverage — Policy Not “Issued for Delivery” in New York

1. In an action by plaintiff insurer, a New Jersey company, for a judgment declaring that it was not obligated to defend and indemnify its insured, also a New Jersey company, in the underlying personal injury action arising from a construction site accident in New York, plaintiff was not time-barred under Insurance Law § 3420 (d) from disclaiming coverage, as the insured's workers' compensation and employers' liability policy was not “delivered or issued for delivery” in New York. A policy is “issued for delivery” in New York if it covers both insureds and risks located in this state. Although the policy, which was underwritten and delivered in New Jersey, covered risks located in New York, the insured was not located in New York.

Insurance — Exclusions — Liability Assumed under Contract

2. Plaintiff insurer was not obligated to defend or indemnify its insured with respect to the contractual indemnification and breach of contract causes of action asserted against the insured in the underlying personal injury action arising from a construction site accident, as the policy explicitly excluded coverage for any liability assumed under a contract. Timely disclaimer of coverage on that ground by plaintiff was not required by Insurance Law

§ 3420 (d), as the policy was neither “delivered” nor “issued for delivery” in New York, and, even if it were “issued for delivery” in New York, Insurance Law § 3420 (d) requires timely disclaimer only for denials of coverage “for death or bodily injury.”

Insurance — Liability Insurance — Employers’ Liability Insurance — Limitation on Liability

3. In a declaratory judgment action to determine the obligation of plaintiff insurer, a New Jersey company, to defend and indemnify its insured, also a New Jersey company, in the underlying personal injury action arising from a construction site accident in New York, plaintiff’s liability for damages under the employers’ liability policy, which was underwritten and delivered in New Jersey, was limited by the terms of the policy to \$100,000. Although the New York Workers Compensation and Employers Liability Manual requires that insurance policies provide unlimited employers’ liability coverage, plaintiff’s policy was not underwritten in New York. The policy did cover accidents occurring in New York, but nothing in the contract language required unlimited coverage as if the policy were underwritten in New York. Nor was unlimited coverage required by any statutory provision or by the New York Manual.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 283, 671, 696–698, 1405, 1524.
COUCH ON INSURANCE (3d ed) §§ 129:31, 132:57, 198:43.
McKINNEY’s, Insurance Law § 3420 (d).
NY JUR 2d, Insurance §§ 1370, 1372, 1534, 1537, 1543,
1923, 1928.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

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POINTS OF COUNSEL

Law Office of Max W. Gershweir, New York City (Max W. Gershweir of counsel), for appellant. I. The Preserver Insurance Company policy’s \$100,000 coverage limit is enforceable here. (Commissioners of State Ins. Fund v Photocircuits Corp., 20 AD3d 173; Matter of Davis v Block & Smith, Inc., 297 NY 20; Murray Oil Prods. v Royal Exch. Assur. Co., 21 NY2d 440; Bazar v Great Am. Indem. Co., 306 NY 481; Nothhelfer v American Sur. Co. of N.Y., 302 NY 910; American Home Assur. Co. v Employers Mut. of Wausau, 77 AD2d 421, 54 NY2d 874; Matter

of *Allstate Ins. Co. v Lopez*, 266 AD2d 209; *Commercial Union Ins. Co. v Liberty Mut. Ins. Co.*, 36 AD3d 645; *Chase Manhattan Bank v Travelers Group*, 269 AD2d 107; *Matter of Rutledge v Kelly & Miller Bros. Circus*, 18 NY2d 464.) II. The exclusion applicable to the contractual indemnification claim is not precluded based on any delay in disclaiming because the policy was not “issued for delivery” in New York, as Insurance Law § 3420 (d) requires. (*Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Taggart v Security Ins. Co. of New Haven, Conn.*, 277 App Div 1051; *Celanese Coatings Co. v American Motorists Ins. Co.*, 297 F Supp 598; *Travelers Indem. Co. of Ill. v Royal Oak Enters., Inc.*, 359 F Supp 2d 1321; *First City Acceptance Corp. v Gulf Ins. Co.*, 245 AD2d 649; *Zurich Ins. Co. v Travelers Indem. Co.*, 184 AD2d 454, 81 NY2d 938; *American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau*, 265 AD2d 49; *Columbia Cas. Co. v National Emergency Servs.*, 282 AD2d 346; *Matter of OnBank & Trust Co.*, 90 NY2d 725.) III. The breach of contract claim is not covered because it fails to seek damages for bodily injury caused by an accident. (*Mid-Hudson Castle v P.J. Exteriors*, 292 AD2d 355; *Smith Pontiac-GMC Truck Ctr. v Hartford Acc. Indem. Co.*, 194 AD2d 906; *Aetna Cas. & Sur. Co. v Spancrete of Ill., Inc.*, 726 F Supp 204; *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185.)

Goldberg Segalla LLP, Buffalo (Richard J. Cohen of counsel), for respondents. I. Preserver Insurance Company’s policy must provide unlimited employer’s liability coverage to East Coast Stucco & Construction, Inc. for Arthur Ryba’s claims. (*Curiale v Ardra Ins. Co.*, 88 NY2d 268; *Segal Co. v Certain Underwriters at Lloyd’s, London*, 21 AD3d 138; *Steadfast Ins. Co. v Casden Props., Inc.*, 41 AD3d 120; *Connecticut Indem. Co. v Hines*, 40 AD3d 903; *Royal Indem. Co. v Providence Washington Ins. Co.*, 92 NY2d 653; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Seligman v Tucker*, 46 AD2d 402; *Bazar v Great Am. Indem. Co.*, 306 NY 481; *Nothhelfer v American Sur. Co. of N.Y.*, 302 NY 910; *American Home Assur. Co. v Employers Mut. of Wausau*, 77 AD2d 421, 54 NY2d 874.) II. Since Preserver Insurance Company’s policy specifically covers New York losses, and the underlying tort action is venued in New York, choice of law rules mandate that New York law governs. (*Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.]*, 81 NY2d 219; *Certain Underwriters at Lloyd’s, London v Foster Wheeler Corp.*, 36 AD3d 17, 9 NY3d 928; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Atlantic Gen. Contr., Inc. v United States Liab. Ins. Group*, 24 AD3d 480; *First City Acceptance Corp. v*

Gulf Ins. Co., 245 AD2d 649; *American Home Assur. Co. v Employers Mut. of Wausau*, 77 AD2d 421, 54 NY2d 874; *Matter of Eagle Ins. Co. v Singletary*, 279 AD2d 56; *Government Empls. Ins. Co. v Sheerin*, 65 AD2d 10; *Mindell v Travelers Indem. Co.*, 46 AD2d 263, 38 NY2d 815; *Employers' Liab. Assur. Corp. v Aresty*, 11 AD2d 331.) III. The Second Department's decision that Insurance Law § 3420 (d) applies to a policy that explicitly covers New York risks is correct. (*Columbia Cas. Co. v National Emergency Servs.*, 282 AD2d 346; *American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau*, 265 AD2d 49; *First City Acceptance Corp. v Gulf Ins. Co.*, 245 AD2d 649; *Taggart v Security Ins. Co. of New Haven, Conn.*, 277 App Div 1051; *Benatovich v Propis Agency*, 224 AD2d 998; *Maurice v Allstate Ins. Co.*, 173 AD2d 793; *Zurich Ins. Co. v Travelers Indem. Co.*, 184 AD2d 454, 81 NY2d 938.)

OPINION OF THE COURT

Chief Judge KAYE.

At the heart of this dispute between two insurers—in a case where a construction worker allegedly suffered a grave job site injury—is the question whether the employers' liability insurance coverage is limited to \$100,000, as specified in the policy, or unlimited. In this case we conclude that it is limited.

Factual Background

On May 17, 2003 Arthur Ryba, a New Jersey construction worker employed by subcontractor East Coast Stucco & Construction, Inc., allegedly fell from scaffolding while performing work on premises in Orangeburg, New York, owned by general contractor Joaquim Almeida. At the time of the incident, East Coast Stucco, a New Jersey company, maintained a workers' compensation and employers' liability policy issued by Preserver Insurance Company, also of New Jersey. This policy was both underwritten and delivered in New Jersey. Despite East Coast's alleged agreement to have Almeida listed in its policy as an additional insured, it failed to do so.

Claiming that Almeida's negligence resulted in his paraplegia, Ryba asserted various causes of action against Almeida including common-law negligence and violations of Labor Law §§ 200, 240 (1) and § 241 (6). Because Ryba claimed a grave injury, Almeida commenced a third-party action against Ryba's employer, East Coast Stucco, asserting causes of action for common-law indemnification/contribution, contractual indemni-

fication and breach of contract for failure to procure the promised liability insurance.

On April 23, 2004, Preserver commenced this declaratory judgment action and sought summary judgment on the complaint's three causes of action. First, Preserver sought a declaration that it has no duty to defend Almeida's cause of action for contractual indemnification or for breach of contract for failure to procure insurance for Almeida because its policy expressly excludes coverage for any liability assumed under a contract. Second, Preserver argued that it had no duty to defend or indemnify East Coast Stucco against Almeida's cause of action for common-law indemnification because Ryba's accident in Orangeburg, New York, was not necessary or incidental to East Coast Stucco's work in New Jersey. Third, Preserver argued that if it must provide employers' liability insurance, coverage is limited to \$100,000 as provided by the policy.

In response, Northern Assurance Company of America (Almeida's homeowners' insurer, incorrectly sued as "One Beacon Insurance Company") cross-moved for summary judgment on all three causes of action, contending that Preserver was time-barred under Insurance Law § 3420 (d) from disclaiming coverage, and that the Preserver policy is limitless as to the amount of coverage.

Supreme Court agreed with Northern, holding that Insurance Law § 3420 (d) applied because Preserver's policy was "issued for delivery" in New York and that Preserver was therefore time-barred from disclaiming coverage. The court then concluded that the policy itself required Preserver to provide unlimited employers' liability coverage.¹ The Appellate Division affirmed on both grounds. We now reverse.

Analysis

The policy at issue is a standard form workers' compensation and employers' liability contract, mirroring the format and language of model policies that appear in both the New York

1. Supreme Court also awarded summary judgment to defendant relating to Preserver's duty to defend and indemnify on the underlying cause of action regarding common-law indemnification and contribution. Plaintiff did not appeal that part of Supreme Court's order to the Appellate Division. Thus, that cause of action was not before the Appellate Division and is not before us.

and New Jersey Workers Compensation and Employers Liability Manuals (the Manuals).²

The Information Page. At the front of the policy is an “Information Page,” which discloses the policy period (“ITEM 2”), coverage (“ITEM 3”) and premium (“ITEM 4”). For ease of reference, a copy of the page is annexed to this writing.

Most notable is “ITEM 3. COVERAGE,” which is divided into four subsections (A)-(D), the first three corresponding to various “Parts”—One through Three—found in the body of the policy. In turn, Part One within the policy refers to “Workers Compensation Insurance,” Part Two to “Employers Liability Insurance” and Part Three to “Other States Insurance.” While the issue here centers on the coverage afforded by Part Two, all three parts provide useful information.

Item 3.A. in the Information Page reads “Workers Compensation Insurance: Part One of the policy applies to the Workers Compensation Law of the states listed here: NEW JERSEY.” Item 3.B. states “Employers Liability Insurance: Part Two of the Policy applies to work in each state listed in item 3.A. The limits of our Liability under Part Two are: Bodily Injury by Accident \$100,000. each accident.”³ Item 3.C. reads: “Other States Insurance: Part Three of the policy applies to the states, if any, listed here: ALL STATES EXCEPT ND, OH, WA, WV, WY AND STATES DESIGNATED IN ITEM 3.A OF THE INFORMATION PAGE.”

Part One. Within the body of the policy, “Part One-Workers Compensation Insurance” provides both defense and payment

2. The New York Manual is issued by the New York Compensation Insurance Rating Board (NYCIRB), a private, nonprofit association of licensed insurance companies that provide workers’ compensation insurance in New York. The Manual itself declares that it “contains rules and procedures, classifications and rates . . . to govern the underwriting of Workers Compensation and Employers Liability Insurance . . . in the State of New York” (New York Workers Compensation and Employers Liability Manual, Administrative Rules and Procedures [A], at P-1 [eff Dec. 1, 2001] [available at <http://www.nycirb.org/2007/manuals/pdf/4comp.pdf>]). While NYCIRB has statutory authority under Insurance Law § 2305 to set insurance rates—subject to approval by the Superintendent of Insurance—the source and scope of its broader lawmaking authority is less clear. For purposes of this case, we accept the concession of both parties that the Manual governs insurance policies underwritten in this state.

3. The insured could, of course, have opted for greater amounts of coverage at a higher premium (New Jersey Workers Compensation and Employers Liability Insurance Manual, part 2, § 2, ¶ 1 [eff Jan. 1, 1999] [available at <http://www.njcrib.com/manual/Part2.pdf>]).

for costs resulting from bodily injuries caused by conditions of the insured's employment. Notably, Part One states: "Terms of this [workers compensation] insurance that conflict with the workers compensation law are changed by this statement to conform to that law."

Part Two, "Part Two-Employers Liability Insurance" contains no similar clause. Indeed, in a subsection titled "Exclusions" the policy makes clear that the employers' liability policy does not cover "any obligation imposed by a workers compensation, occupational disease, unemployment compensation or disability benefits law, or any similar law." Also of note in the "Exclusions" is that the employers' liability policy does not cover "liability assumed under a contract." In a subsection entitled "Limits of Liability," Part Two underscores that

"[o]ur liability to pay for damages is limited. Our limits of liability are shown in Item 3.B. of the Information Page. They apply as explained below.

"1. Bodily Injury by Accident. The limit shown for 'bodily injury by accident-each accident' is the most we will pay for all damages covered by this insurance because of bodily injury to one or more employees in any one accident."

Part Three. Finally, "Part Three-Other States Insurance" states that

"[i]f you begin work in any one of those states [shown in Item 3.C. of the Information Page] after the effective date of this policy and are not insured or are not self-insured for such work, all provisions of the policy will apply as though that state were listed in Item 3.A. of the Information Page."

Part Three also requires that East Coast "[t]ell us at once if you begin work in any state listed in Item 3.C. of the Information Page" (presumably allowing for increased premiums for increased risk). There is no evidence that East Coast Stucco informed Preserver that it commenced operations on Almeida's New York property.

The policy concludes with several New Jersey endorsements and schedules mirroring stock forms found in the New Jersey Workers Compensation and Employers Liability Insurance Manual. There are no endorsements for New York or any of the other states included in Item 3.C. of the Information Page. Finally, despite East Coast's alleged agreement to have Almeida listed in its policy as an additional insured, he is not.

“Issued for Delivery”: The Disclaimer Issue

[1] New York Insurance Law § 3420 (d) provides that when a liability policy is “delivered or issued for delivery in this state, [if] an insurer shall disclaim liability or deny coverage for death or bodily injury . . . it shall give written notice as soon as is reasonably possible.” It is undisputed that the policy was actually delivered in New Jersey by a New Jersey insurer to a New Jersey insured. Was the policy nonetheless “issued for delivery” in New York? We answer in the negative.

A policy is “issued for delivery” in New York if it covers both insureds and risks located in this state (*see Columbia Cas. Co. v National Emergency Servs.*, 282 AD2d 346, 347 [1st Dept 2001]; *see also American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau*, 265 AD2d 49, 53 [2d Dept 2000]). By including New York as an “Item 3.C.” state, the policy covers risks located in New York. East Coast Stucco is, however, a New Jersey company, with its only offices located in that state, so it cannot be said that the insured is located in New York. Because the policy was neither actually “delivered” nor “issued for delivery” in New York, Preserver is not required by Insurance Law § 3420 (d) to make timely disclaimer of coverage.

[2] Further, since the policy explicitly excludes coverage for any liability assumed under a contract, Preserver must neither defend nor indemnify East Coast Stucco for the contractual indemnification or breach of contract causes of action. And even if the policy were “issued for delivery” in New York, Preserver still would not be barred from denying coverage for Almeida’s breach of contract claim since Insurance Law § 3420 (d) requires timely disclaimer only for denials of coverage “for death or bodily injury.”

Limitation of Liability: The Contract Issue

By the terms of the policy, under the section entitled “Limits of Liability” in “Part Two-Employers Liability Insurance,” Preserver states that its liability for damages is limited as shown in Item 3.B. of the Information Page and that this limit is the most it will pay for bodily injuries to an employee in any one accident. Item 3.B., in turn, states that the “limits of our Liability under Part Two are: Bodily Injury by Accident \$100,000. each accident.”

[3] Despite this clear limitation on coverage, Northern asks us to construe this contract to require Preserver to provide

unlimited employers' liability coverage as if the policy were underwritten in New York, where the New York Manual requires that insurance policies provide unlimited employers' liability coverage. Northern's argument rests first on the fact that New York is included as an Item 3.C. state, and second on the provision of "Part Three—Other States Insurance" that if work begins in a 3.C. state "all provisions of the policy will apply as though that state were listed in Item 3.A. of the Information Page." In short, according to Northern, being listed as a 3.C. state is the same as being listed as a 3.A. state, and East Coast is entitled to coverage as if the policy were underwritten in New York. This argument misapprehends the plain language of the policy as well as the Manual.

Including New York as "a 3.C. state" means what the policy says it means: that if an accident occurs in such a state, all provisions of the policy will apply. This includes the stated limitation of coverage for employers' liability insurance to \$100,000 per accident.

Nothing in the policy suggests that this cap evaporates when an accident occurs in a 3.C. state. Nor, significantly, does Part Two provide—as Part One does—that employers' liability insurance will conform to the workers' compensation laws of the state where the injury occurs. This conclusion is fortified by Part Two's "Exclusions," stating that this portion of the policy does not cover "any obligation imposed by a workers compensation . . . or any similar law." Plainly, nothing in the insurance contract supports Northern's argument for unlimited liability.

Limitation of Liability: The Law Issue

Both insurers agree that no statutory provision mandates unlimited employers' liability coverage. Northern, however, asks us to defer to the New York Manual, arguing that it requires insurance policies to provide unlimited employers' liability coverage, a requirement made applicable in this case because the risk took place in New York.

Northern is wrong. Preserver's "Information Page" mirrors sample information pages found in both the New York and New Jersey Manuals. Moreover, both states' manuals contain "Information Page Notes," which explain the terms and requirements of the information page. In both manuals, these Notes state that

"[i]f the [insurance] company learns that the

insured is conducting operations in a 3.C. state, and if the company agrees to continue coverage, the company should add that state to Item 3.A. and remove it from Item 3.C. Normal company procedures apply when the state is added to Item 3.A.”

Obviously the significance of requiring the insurer to remove a state from 3.C. and add it to 3.A. is that there is a difference between the two categories—they are not automatically coextensive. Moreover, the insurer is required to move a state from 3.C. to 3.A. only if the insured provides notice that it has begun work in a 3.C. state. That did not happen here. In that event, the policy requires the insurer to move the state from 3.C. to 3.A. if it wishes to continue coverage and assume additional risk, presumably including a larger premium.

This last point is confirmed by another portion of the New York Manual, entitled “Rule VIII—Limits of Liability. Item 3.B. of the Information Page.” The Manual states that for policies such as Preserver’s—which provide both workers’ compensation and employers’ liability coverage—under Part Two-Employers Liability “[t]here is no limit of liability for employees subject to the New York Workers’ Compensation Law. The New York Limit of Liability Endorsement (WC 31 03 08), which must be attached to every policy affording New York coverage, provides for unlimited liability for employees subject to the New York Law.” This refers us to the endorsement titled “WC 31 03 08” which, in turn, requires an insurer to state that “We may not limit our liability to pay damages for [employers’ liability insurance].” However, this form also explains that “This endorsement applies only . . . because New York is shown in Item 3.A.” and a note at the bottom of the document states that this “endorsement must be attached to every policy showing New York in Item 3.A. of the Information Page.”

Plainly, when a state is listed under Item 3.A., the insurer is required to provide a number of additional endorsements that are not required when the state is merely listed in Item 3.C. In East Coast Stucco’s policy, which was underwritten in New Jersey, and which lists only New Jersey under Item 3.A., there are several New Jersey endorsements attached to the policy. None, however, provide unlimited employers’ liability insurance. Whether New Jersey is listed as a 3.A. or 3.C. state, nothing in the New Jersey Manual requires that an insurer provide unlimited coverage.

The Preserver policy lacks any New York endorsements, precisely because New York is an Item 3.C. state. Here, even if

Preserver is bound by the New York Manual, its employers' liability insurance for Ryba's injury should be capped at \$100,000 because Preserver was not informed that East Coast was operating in New York. That being so, Preserver was not required to move New York from a 3.C. state to a 3.A. state, and not required to add an endorsement providing unlimited employers' liability insurance for injuries in New York.

Finally, we note that an amendment, effective September 9, 2007, to Workers' Compensation Law § 50 (2), now requires out-of-state employers with operations and/or employees in New York State to maintain workers' compensation insurance "through a policy issued under the law of this state." The New York Workers' Compensation Board has advised that this requirement can only be fulfilled when New York is listed in Item 3.A. of the policy's Information Page (*see* New York State Insurance Fund, *Important Notice to Workers Compensation Insurance Policyholders Who Contract With Out-of-State Subcontractors*, available at http://ww3.nysif.com/nysifmedia/pdf/phs/special_notice_to_contractors.pdf [accessed May 9, 2008], cached at http://www.nycourts.gov/reporter/webdocs/special_notice_to_contractors.pdf; *see also* Workers' Compensation Board, *Out-of-State Companies Working in New York State*, available at <http://www.wcb.state.ny.us/content/main/Carriers/outOfStateReq.jsp> [accessed May 9, 2008], cached at http://www.nycourts.gov/reporter/webdocs/out_of_state_companies_working_nys.htm).

Accordingly, the order of the Appellate Division should be reversed, with costs, and judgment granted declaring that plaintiff has no duty to indemnify defendant East Coast Stucco & Construction, Inc. with respect to Almeida's contractual indemnification and breach of contract claims in the underlying action, and that plaintiff's duty to indemnify defendant East Coast Stucco & Construction, Inc. with respect to the remaining claims against it is limited to \$100,000.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

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**EXHIBIT M TO SARNACKI AFFIRMATION -
WORKER'S COMPENSATION POLICY, ISSUED TO EAST COAST STUCCO &
CONSTRUCTION [180-207]**



PRESERVER INSURANCE CO. ANY
95 ROUTE 17 SOUTH PARSONS, NJ 07653-0931
WORKER'S COMPENSATION POLICY
INFORMATION PAGE WC000001

POLICY NO. W29-3138394-02/000
Renewal of EANC201100

ACCOUNT NUMBER: 29313839402
NAMED INSURED AND MAILING ADDRESS

AGENCY AND MAILING ADDRESS 2961380

EAST COAST STUCCO & CONSTRUCTION
INC.
311 WASHINGTON STREET 24 Headwater Pl
CARLSTADT NJ 07072 Wayne NJ

CROFT WYNFIELD ASSOCS INC.
855 VALLEY ROAD
CLIFTON NJ 07013

07-470

OTHER WORKPLACES NOT SHOWN ABOVE: See Schedule Attached

INTERSTATE ID :
INSURED IS : CORPORATION
BUREAU/RISK ID:

INTRASTATE ID: 223758762
FED EMP ID: 223758762
COMPANY #: NCCI #:

ITEM 2. POLICY PERIOD is from 05/23/2002 to 05/23/2003 12:01 AM Standard Time at the Insured's mailing address.
ITEM 3. COVERAGE

A. Workers Compensation Insurance: Part One of the policy applies to the Workers
Compensation Law of the states listed here: NEW JERSEY

B. Employers Liability Insurance: Part Two of the Policy applies to work in each state listed in item 3.A.
The limits of our Liability under Part Two are: Bodily Injury by Accident \$ 100,000. each accident
Bodily Injury by Disease \$ 100,000. each employee
Bodily Injury by Disease \$ 500,000. policy limit

C. Other States Insurance: Part Three of the policy applies to the states, if any, listed here:
ALL STATES EXCEPT ND, OH, VA, WV, VT AND STATES DESIGNATED IN ITEM 5.A OF THE INFORMATION PAGE

D. This policy includes these endorsements and schedules:
WC00000004 4-92 WC290306A 1-01 WC290603 01-98 WC290610 01-96 WC290609A 0196 WC2906060 1-02
WC000403 04-84

ITEM 4. PREMIUM

The premium for this policy will be determined by our manual of Rules, Classifications, Rates and Rating
Plans. All information below is subject to verification and change by audit.

C L A S S I F I C A T I O N S

SEE SCHEDULE OF CLASSIFICATIONS ON FOLLOWING PAGE(S)

MINIMUM PREMIUM	DEPOSIT PREMIUM	TOTAL ESTIMATED PREMIUM	PREMIUM ADJUSTMENT PERIOD
\$ 850 Collected in NJ	\$10,638	\$10,638	ANNUAL

DIRECT BILL - NINE PAYMENTS

WC 5000 0600 06-30-02 30 PEREN BRANCH FILE COPY
Page 1 of 3

[891 NE2d 1165, 862 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT
FINLEY, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KYLE
SALTERS, Appellant.

Argued April 23, 2008; decided June 10, 2008

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 6, 2007. The Appellate Division affirmed a judgment of the Orleans County Court (James P. Punch, J.), which had convicted defendant, upon a jury verdict, of promoting prison contraband in the first degree and unlawful possession of marihuana.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 29, 2006. The Appellate Division affirmed (1) a judgment of the Supreme Court, Franklin County (Robert G. Main, Jr., J.), which had convicted defendant, upon a jury verdict, of attempted promoting prison contraband in the first degree and conspiracy in the fifth degree, and (2) a subsequent judgment of that court which had resentenced defendant.

People v Finley, 42 AD3d 917, modified.

People v Salters, 30 AD3d 903, modified.

HEADNOTE

Crimes — Promoting Prison Contraband — Marihuana as Dangerous Contraband

In the prosecutions of two inmates for promoting and attempted promoting prison contraband in the first degree, the small amounts of marihuana involved, amounts substantially less than 25 grams, did not constitute “dangerous contraband” under Penal Law § 205.00 (4) and § 205.25 (2). The Penal Law distinguishes between “contraband,” possession of which by an inmate is a misdemeanor, and “dangerous contraband,” possession of which is a felony with the possibility of substantially longer prison terms. The imposition of felony consequences for possession of 25 grams or less of marihuana, which would constitute a noncriminal violation outside of prison, does not comport with the Legislature’s intent as codified in Penal Law § 205.00 (4) and § 205.25 (2). The test for determining whether an item is dangerous

contraband is whether its particular characteristics are such that there is a substantial probability that the item will be used in a manner that is likely to cause death or other serious injury, to facilitate an escape, or to bring about other major threats to a detention facility's institutional safety or security. There was no evidence that such drastic results were likely to occur with the small amounts of marihuana at issue here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Penal and Correctional Institutions § 16.
McKINNEY's, Penal Law § 205.00 (4); § 205.25 (2).
NY JUR 2d, Criminal Law §§ 4639, 4641, 4643, 4648.

ANNOTATION REFERENCE

Validity, construction, and application of state statute criminalizing possession of contraband by individual in penal or correctional institution. 45 ALR5th 767.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: promoting /2 prison /2 contraband & dangerous /s
mari*uana

POINTS OF COUNSEL

Timothy Patrick Murphy, Williamsville, for appellant in the first above-entitled action I. Appellant's conviction for first-degree promoting prison contraband was not supported by legally sufficient evidence. (*People v Anderson*, 299 AD2d 578; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Malizia*, 62 NY2d 755; *People v Bleakley*, 69 NY2d 490; *People v Misevis*, 76 NY2d 777; *People v Cabey*, 85 NY2d 417; *People v Taylor*, 94 NY2d 910; *People v Hines*, 97 NY2d 56; *People v Mendoza*, 244 AD2d 815.) II. Appellant was deprived of his state and federal constitutional rights to a fair trial and due process by County Court's improper denial of a challenge for cause during jury selection. (*People v Branch*, 46 NY2d 645; *People v Arnold*, 96 NY2d 358; *People v Johnson*, 94 NY2d 600; *People v Nicholas*, 98 NY2d 749.)

Joseph V. Cardone, District Attorney, Albion, for respondent in the first above-entitled action. I. There was legally sufficient evidence to sustain defendant's conviction for promoting prison contraband in the first degree pursuant to Penal Law § 205.25 (2). (*People v Stanley*, 19 AD3d 1152; *People v Brown*, 2 AD3d 1216, 3 NY3d 637; *People v Anderson*, 299 AD2d 578; *People v*

Mendoza, 244 AD2d 815; *People v Hammond*, 132 AD2d 849; *People v Martinez*, 34 AD3d 859; *People v Hernandez*, 42 AD3d 657; *People v Salters*, 30 AD3d 903; *People v McCrae*, 297 AD2d 878; *People v Watson*, 162 AD2d 1015, 77 NY2d 857.) II. The trial court properly denied a challenge for cause made to a prospective juror who demonstrated no actual bias. (*People v Branch*, 46 NY2d 645; *People v Provenzano*, 50 NY2d 420; *People v Colon*, 71 NY2d 410; *People v Blyden*, 55 NY2d 73; *People v Biondo*, 41 NY2d 483; *People v McQuade*, 110 NY 284; *People v Culhane*, 33 NY2d 90; *People v Williams*, 63 NY2d 882; *People v Johnson*, 94 NY2d 600; *People v Martell*, 138 NY 595.)

New York State Defenders Association, Albany (Alfred O'Connor of counsel), for appellant in the second above-entitled action. I. Appellant was wrongly charged and convicted of attempted promoting prison contraband in the first degree because marihuana is not "dangerous contraband" within the meaning of Penal Law § 205.00 (4). (*People v Nappo*, 94 NY2d 564; *People v Smith*, 4 NY3d 806; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v McCrae*, 297 AD2d 878; *People v Carter*, 53 NY2d 113; *People v Torres*, 14 AD3d 801; *People v Lee*, 272 AD2d 785; *People v De Polanco*, 267 AD2d 777; *People v Archbold*, 257 AD2d 676.) II. The trial court should have granted defense counsel's request for a jury instruction on the lesser-included offense of attempted promoting prison contraband in the second degree and conspiracy in the sixth degree. (*People v Scarborough*, 49 NY2d 364; *People v Drake*, 7 NY3d 28; *People v Hernandez*, 42 AD3d 657; *People v Hoag*, 51 NY2d 632.)

Glenn MacNeill, Assistant District Attorney, Malone, for respondent in the second above-entitled action. I. The issue was not preserved for appeal. (*People v Gomez*, 67 NY2d 843; *People v Dekle*, 56 NY2d 835.) II. Defendant was correctly convicted of attempted promoting prison contraband in the first degree and conspiracy in the fifth degree. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *People v McCrae*, 297 AD2d 878; *People v Watson*, 162 AD2d 1015, 77 NY2d 857; *People v Rivera*, 221 AD2d 380; *People v Vasquez*, 89 NY2d 521.) III. The trial court was correct in declining to charge attempted promoting prison contraband in the second degree and conspiracy in the sixth degree as lesser included offenses. (*People v McCrae*, 297 AD2d 878; *People v Scarborough*, 49 NY2d 364; *People v Glover*, 57 NY2d 61; *People v Discala*, 45 NY2d 38.)

OPINION OF THE COURT

CIPARICK, J.

The issue in each of these appeals by defendants, inmates in New York State detention facilities, is whether small amounts of marihuana were “dangerous contraband” under Penal Law § 205.00 (4) and § 205.25 (2). We conclude that they were not.

I.

People v Salters

On March 31, 2004, the grand jury of Franklin County issued a two-count indictment charging defendant Salters with attempted promoting prison contraband in the first degree, a class E felony, and fifth-degree conspiracy, a class A misdemeanor (see Penal Law §§ 110.00, 205.25 [2]; § 105.05 [1]). These charges arose out of an investigation conducted by Investigator Dennis Klose of the Department of Correctional Services (DOCS) Inspector General’s Narcotics Unit. While monitoring a phone call between defendant and his girlfriend, Klose heard what he believed was a plan to smuggle narcotics into Bare Hill Correctional Facility, where defendant was incarcerated. On November 16, 2003, prison officials stopped defendant’s girlfriend, after she passed through security, and she admitted to concealing marihuana. She was then driven to a nearby State Police barracks, where she surrendered 9.3 grams of marihuana—less than one third of an ounce.

Prior to trial, defendant moved to dismiss the indictment or, alternatively, to reduce the charges to attempted promoting prison contraband in the second degree and sixth-degree conspiracy, both misdemeanors. Relying upon the Appellate Division’s decision in *People v McCrae* (297 AD2d 878 [3d Dept 2002]), which reasoned that marihuana was dangerous contraband because “the use of illegal drugs by inmates . . . can result in disruptive and dangerous behavior among the inmate population” (*id.* at 878), Supreme Court declined to dismiss the indictment.

At trial, Senior Investigator James Bezio, who had extensive experience with drug investigations during his 16 years with the Narcotics Unit, testified that 9.3 grams of marihuana is an amount large enough to be distributed to other inmates, which created two possible problems. First, because ingestion of marijuana would alter inmates’ mental states, those who took the drug could potentially become involved in altercations or refuse to obey correction officers’ orders. Second, if an inmate

obtained marihuana from a prison dealer and then refused, or was unable, to pay for it, an inmate-on-inmate assault might occur, possibly resulting in injury to correction officers. Bezio acknowledged on cross-examination that, within the illicit prison barter system, an altercation between inmates could even occur over certain banned perishables, leading guards to become involved and possibly hurt. Indeed, he speculated that “anything that’s smuggled into the barter system could be considered dangerous,” if the definition of “dangerous” were coextensive with a potential for producing altercations among inmates and prison staff.

At the close of evidence, defendant sought to have the lesser-included misdemeanor—attempted promoting prison contraband in the second degree—submitted to the jury (*see* Penal Law §§ 110.00, 205.20 [2]). Supreme Court denied that request, relying on *McCrae*. Thereafter, the jury convicted defendant of both charged crimes, and Supreme Court sentenced him to an indeterminate term of 2 to 4 years on the felony attempted promoting prison contraband count and a concurrent one-year determinate sentence on the conspiracy count, to run consecutively to the term defendant was then serving.

The Appellate Division affirmed, concluding that Bezio’s testimony was legally sufficient to support the felony contraband conviction because it provided “facility-specific proof” that 9.3 grams of marihuana is an amount that could be sold or distributed, thereby potentially precipitating altercations and disobedience that could “endanger[] the security and safety of staff and inmates” (30 AD3d 903, 905 [2006]). We now modify and remit to Supreme Court for resentencing.

II.

People v Finley

On June 24, 2004, defendant and four other inmates were standing near the “A-Block” of Orleans Correctional Facility. That area of the prison was off-limits to defendant and one of his companions, an inmate known as “Midget.” Observing defendant and Midget, Correction Officer Baptiste, a 19-year veteran with 17 years’ experience in the Orleans facility, determined that the two were “smuggling stuff or trying to pass something.” In response, the officer directed the 60 inmates that he was charged with supervising to the inside portion of A-Block. Those inmates remained there unsupervised during the course of Officer Baptiste’s encounter with defendant.

At Baptiste's request, defendant produced his prison identification card from one of his pockets. A "wad of toilet paper" also emerged from the pocket and defendant threw it to the ground. Baptiste then ordered defendant to put his hands against the wall in preparation for a "pat-frisk." During the frisk, defendant took his hands off the wall and pointed toward the discarded wad. In response to defendant's pointing, Midget nodded his head as if to indicate "yes." Observing this apparent communication, Officer Baptiste questioned defendant about the wad. When defendant claimed to lack knowledge of it, Baptiste turned his back to defendant and retrieved the wad from the ground. The wad contained "[t]hree joints," one of which subsequently tested positive for marihuana. Other officers then handcuffed defendant and removed him from A-Block.

On January 24, 2005, the grand jury of Orleans County handed down an indictment charging defendant with, as relevant here, one count of promoting prison contraband in the first degree, a class D felony. To establish the dangerous nature of marihuana at defendant's trial, the People called an expert witness, Vernon N. Fonda, a Deputy Inspector General in DOCS's Narcotics Unit.

Inspector Fonda, who has served in various investigative capacities with the Narcotics Unit since 1993, opined that marihuana's status as an illegal and highly-prized prison commodity caused negative effects on prison safety and security.

He testified that defendant's possession of marihuana created a dangerous situation because it required Baptiste to leave the inmates in his care unsupervised and exposed him to a possible assault by defendant.¹ This potential danger was only heightened because defendant might have been acting "under the influence" of marihuana. Further, by throwing the wad containing the three joints to the ground, defendant created a possible danger that another inmate might grab it and flee, forcing Baptiste to leave A-Block unattended. Discarding the marihuana also exposed Baptiste to a potential attack from the rear during the time he was busy retrieving it.

On cross-examination, Fonda acknowledged that the presence of contraband food could also create a "dangerous situation"

1. Defendant, whose release from prison was imminent, complied with all of Baptiste's requests and engaged in no violence. Instead, he attempted to dissuade Baptiste from reporting the June 24th incident by stating: "Give me a break, I'm leaving in a couple of days."

inside a prison, “if [inmates have] gotten into arguments over food” that “escalate[d] into . . . a fight or some type of altercation.” In addition, Fonda agreed that a correction officer’s supervision of 60 inmates “[a]bsolutely” has a certain degree of inherent danger. And he indicated that “in [a] broad pen[o]logical sense” the presence of marihuana in a prison is “always dangerous.”

Defendant moved to dismiss the People’s case on the ground of insufficient evidence, arguing that the prosecution failed to prove that the particular amount of marihuana at issue posed a danger to the Orleans facility. County Court denied the motion, reasoning that the term “dangerous,” as used in Penal Law § 205.00 (4) and § 205.25 (2), “means the potential for violence and problems.” County Court did hold, however, that defendant was entitled to a jury charge on the lesser-included misdemeanor of promoting prison contraband in the second degree. The jury convicted defendant of the felony promotion of contraband offense. He was sentenced as a second felony offender to an indeterminate prison term of 3 to 6 years to run consecutive to his previously imposed sentence.

The Appellate Division affirmed. Citing *Salters*, the court held that Fonda’s testimony regarding the potential risks created when defendant threw the concealed marihuana to the ground was legally sufficient to support the felony promotion of contraband conviction because the testimony provided “specific evidence” that “the particular marihuana that was possessed by . . . defendant endangered the safety of the facility” (*see* 42 AD3d 917, 919 [2007] [internal quotation marks and brackets omitted]). We now modify and remit to County Court for resentencing.

III.

Significantly, the Penal Law distinguishes between “contraband” and “dangerous contraband.” “Contraband” is broadly defined as “any article or thing which a person confined in a detention facility is prohibited from obtaining or possessing by statute, rule, regulation or order” (Penal Law § 205.00 [3]). Within this wide-ranging category of prohibited items, the Legislature has set apart for special reprobation “dangerous contraband,” or “contraband which is capable of such use as may endanger the safety or security of a detention facility or any person therein” (*see* Penal Law § 205.00 [4]; § 205.25 [2]). Whereas possession of ordinary contraband is a misdemeanor,

an inmate who possesses dangerous contraband is guilty of a felony, with the possibility of substantially longer prison terms, especially, as here, for second or persistent felony offenders.²

Our task, therefore, is to determine whether the imposition of felony consequences, based upon possession of small amounts of marihuana, which would constitute a violation outside of prison (*see* Penal Law §§ 221.05, 221.10 [2] [absent aggravating circumstances, not present here, possession of 25 grams or less of marihuana is a noncriminal violation]), comports with the Legislature's intent as codified in Penal Law § 205.00 (4) and § 205.25 (2). Based on the statutory text and legislative history, we conclude that it does not.

We begin, as we must, with the plain meaning of the statute, presuming that lawmakers "have used words as they are commonly or ordinarily employed, unless there is something in the context or purpose of the act which shows a contrary intention" (McKinney's Cons Laws of NY, Book 1, Statutes § 232, Comment; *see also* Penal Law § 5.00 [Penal Law provisions "must be construed according to the fair import of their terms to promote justice and effect the objects of the law"]).

Here, the operative statutory language is: "capable of such use as may endanger the safety or security of a detention facility or any person therein" (*see* Penal Law § 205.00 [4]). The word "use" refers to the "application or employment" of a particular item of contraband (*see* Black's Law Dictionary 1577 [8th ed 2004]). Small amounts of marihuana—such as those at issue here—may be used in many ways. These amounts can be, for example, burned, smoked or otherwise ingested. Or, as Bezio and Fonda testified, they can be used as a means of barter and extortion.

Under the People's view, the Legislature intended a definition of dangerous contraband so broad that it would capture any item that, when present in a detention facility, could lead to altercations and inmate disobedience. But the fatal flaw in the People's argument is that their proposed construction would effectively nullify the misdemeanor crime of promoting prison

2. Penal Law § 205.20 (2) provides: "A person is guilty of promoting prison contraband in the second degree when . . . [b]eing a person confined in a detention facility, he knowingly and unlawfully makes, obtains or possesses any contraband. Promoting prison contraband in the second degree is a class A misdemeanor." The proscription contained in Penal Law § 205.25 (2) is similar except that it applies to "dangerous contraband" and deems "[p]romoting prison contraband in the first degree . . . a class D felony."

contraband in the second degree. As the People's own experts conceded, when any contraband—be it certain perishables or marihuana—is introduced into the prison barter system, it brings with it the potential for disruption that could endanger safety and order. If, as the Appellate Divisions here held, testimony as to these possibly pernicious secondary effects were sufficient to establish the felony promoting contraband offense then every item of contraband could be classified as dangerous.³

We will not presume that the Legislature intended such a result when it expressly mandated harsher consequences for the possession of dangerous contraband (see *People v Giordano*, 87 NY2d 441, 448 [1995], quoting *Sanders v Winship*, 57 NY2d 391, 396 [1982] [“Under well-established principles of interpretation, effect and meaning should be given to the entire statute and every part and word thereof” (internal quotation marks omitted)]; accord *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105, 115 [2007]). And, based on the prison contraband provisions' legislative history, we need not do so here (see *People v Santi*, 3 NY3d 234, 243 [2004] [“Legislative intent drives judicial interpretations in matters of statutory construction”]).

The prison contraband provisions, Penal Law §§ 205.00, 205.20 and 205.25, were codified in 1965 as part of a major revision to the Penal Law and became effective in 1967. Although the Staff Notes indicate that the definitions of contraband and dangerous contraband codified in Penal Law § 205.00 were new, they also indicate that the felony/misdemeanor distinction set forth in Penal Law §§ 205.25 and 205.20 “substantially restates” that same distinction as established in former Penal Law § 1691 (3) and (2) (see Staff Notes of Temp St Commn on Rev of Penal Law and Crim Code, 1964 Proposed NY Penal Law [Study Bill, 1964 Senate Intro 3918, Assembly Intro 5376], at 373 [describing Penal Law §§ 210.00 (definitions of “contraband” and “dangerous contraband”), 210.30 (misdemeanor offense) and 210.35 (felony offense), later renumbered as sections 205.00, 205.20 and 205.25, respectively], reprinted in NY CLS, Book 23B, Penal Law art 205, at 495-496; see also Denzer and

3. There is a potential risk of flight and officer injury whenever an officer is forced to examine any sort of discarded contraband. Similarly, the potential connection between altercations, inmate disobedience and possible illicit sales does not provide a meaningful distinction between marihuana and other, non-dangerous, contraband. This is because inmates may sell and fight over debts related to any sort of contraband. And the temporary distraction of a guard whether to inspect for marihuana or any other contraband always presents inmates with a potential ability to engage in disruptive behavior.

McQuillan, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 205.20, at 674 [1967 ed] [current sections 205.20 and 205.25 "continue" the "(g)rating of . . . offenses" found in former section 1691]). Subdivision (2) made it a misdemeanor for persons not confined in a prison to convey "any drug, liquor or any article prohibited by law [or prison rules]" into a prison (*see* former Penal Law § 1691 [2]). In contrast, under subdivision (3), it was a felony for non-inmates to convey into a prison: "any article or thing . . . which . . . may be used in such manner as to endanger the safety or security of the institution, or as to endanger the life or limb of any prisoner, guard, attendant, inmate, patient or other [prison] employee" (former Penal Law § 1691 [3]).

The felony offense set forth in former Penal Law § 1691 (3) was established as part of a dual amendment to the Penal Law.⁴ The other amendment, to former section 1828-a (2), pertained only to correction employees and instituted a felony/misdemeanor distinction similar to that present in former section 1691 (3) and (2) (*compare* former Penal Law § 1828-a [1] [misdemeanor for correction employees to deliver or attempt to deliver "any article or thing which (a) prisoner . . . is prohibited . . . from receiving or possessing"], *with* former Penal Law § 1828-a (2) [felony punishment appropriate if contraband that correction employee delivered or attempted to deliver "may be used in such a manner as to endanger the safety or security of the institution, or to endanger the life or limb of any inmate, patient or (prison) employee"]).

In keeping with the statutory distinction between felony and misdemeanor promotion of prison contraband, the Practice Commentaries to the Penal Law's current prison contraband provisions have repeatedly stated that "[a]n alcoholic beverage is an example of contraband" and "[w]eapons, tools, explosives and similar articles likely to facilitate escape or cause disorder, damage or physical injury are examples of dangerous contraband" (*see* Denzer and McQuillan, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 205.00, at

4. These two amendments—to former sections 1691 (3) and 1828-a (2)—were motivated by a 1953 incident in which a prison pharmacist gave an inmate at Dannemora State Hospital for the criminally insane a loaded revolver (*see* Letter from Assemblyman James A. FitzPatrick to George M. Shapiro, Counsel to the Governor, Mar. 30, 1954, Bill Jacket, L 1954, chs 731, 732, at 7). At the time it occurred, such conduct was punishable only as a misdemeanor (*see id.*).

668 [1967 ed]; Hechtman, Practice Commentaries, McKinney's Cons Laws of NY, Book 39, Penal Law § 205.00, at 435 [1975 ed] [same]; Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 205.20, at 500 [1988 ed] [noting that "(a)n example of contraband is whiskey" and providing explanation of dangerous contraband similar to 1967 Practice Commentary]; Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 205.20 [1999 ed] [noting also that "(h)eroin has . . . been found to be dangerous contraband"]⁵.

We therefore conclude that the test for determining whether an item is *dangerous* contraband is whether its particular characteristics are such that there is a substantial probability that the item will be used in a manner that is likely to cause death or other serious injury, to facilitate an escape, or to bring about other major threats to a detention facility's institutional safety or security (see *People v Soto*, 77 Misc 2d 427, 429 [NY City Crim Ct 1974]; 6 NY Prac, Criminal Law § 23:7 and n 7 [2007 ed] ["Generally, 'dangerous contraband' refers to weapons . . . Items that facilitate escape are also dangerous contraband"]; cf. *People v Torres*, 14 AD3d 801, 803 [3d Dept 2005] ["piece of plastic mirror (that) . . . had the appearance of a knife" is dangerous contraband]; *People v Anderson*, 299 AD2d 578, 579 [3d Dept 2002] ["razor blade-type weapon"]; *People v Jones*, 134 AD2d 701, 702 [3d Dept 1987] ["screwdrivers . . . cutting pliers . . . 30 feet of wire, knotted at regular intervals, and a hand-drawn map depicting the roads outside the prison"]).

There is no evidence that such drastic results are likely to occur with the small amounts of marihuana at issue here.⁶ It simply requires "too many inferences," which lack support on

5. Coupled with the fact that under former section 1691 (2) the conveyance of "any drug [or] liquor" into a prison constituted a misdemeanor and the Practice Commentaries' repeated statement that alcoholic beverages are "contraband," the People's reliance upon the mind-altering effects of small amounts of marihuana to establish dangerousness is misplaced.

6. The dissent argues that Senior Investigator Bezio "present[ed] specific, competent proof" that the 9.3 grams of marihuana in *Salters* "was capable of being sold or bartered and that such use could potentially lead to violent altercations, endangering the safety of inmates and correction officers" (dissenting op at 660, 661). But Bezio never stated that he had ever witnessed a serious violent altercation over such a small amount of marihuana. Rather, he testified regarding altercations that arose over debts accrued for certain unidentified "drugs." He further stated that some unspecified quantity of

(n. cont'd)

this record, to conclude that the present small amounts of marihuana are dangerous contraband under Penal Law § 205.25 (*see Soto*, 77 Misc 2d at 430). If these inferences are to be drawn, it is the province of the Legislature to do so.⁷

Further, the conclusion that these small amounts of marihuana—both substantially less than 25 grams—are not dangerous contraband is informed by the Legislature’s more lenient treatment of marihuana offenses, as opposed to those involving other drugs. In passing the Marihuana Reform Act of 1977, the Legislature chose to decriminalize the possession of 25 grams or less of marihuana (*see* Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law art 221, at 173 [“Offenses Involving Marihuana”]). By way of comparison, the classification for possession of greater amounts of marihuana can range from a class B misdemeanor to a class C felony, depending upon weight (*see* Penal Law §§ 221.10-221.30). We do not pass on whether such greater amounts could be deemed “dangerous contraband.”⁸

marihuana was involved in “[q]uite a few” incidents in which individuals were “hurt or killed.”

In any event, as we explain above, the text and legislative history of the prison contraband provisions and the Legislature’s passage of the Marihuana Reform Act of 1977 persuade us that even if Bezio’s testimony had been more precise, it would have still been insufficient.

7. We note that the Kentucky Legislature has specifically defined “any quantity of marijuana” as “dangerous contraband” and made possession thereof a felony (*see* Ky Rev Stat Ann § 520.010 [3]; § 520.050 [1] [b]; [2]). And federal law expressly defines “marijuana” as prison contraband, punishing its possession in federal prison by a fine or up to five years’ additional imprisonment to run consecutive to the sentence then being served, or both (*see* 18 USC § 1791 [b] [3]; [c], [d] [1] [B]).

8. We reject the People’s argument that the distinction between contraband and dangerous contraband turns on whether an item is legal or illegal outside of prison. The People cite to no authority supporting this contention. It is obvious that an item, such as a razor, may be perfectly legal outside prison and yet constitute dangerous contraband when introduced into that unpredictable environment (*cf. People v Johnson*, 24 AD3d 803, 803-804 [3d Dept 2005] [“razor blade” constitutes dangerous contraband]).

Likewise, the People’s reliance on the Standards of Inmate Behavior fails. Those standards do provide that “inmate[s] shall not make, possess, sell or exchange any narcotic, narcotic paraphernalia, controlled substance, or marijuana [and] . . . shall not conspire with any person to introduce such items into [detention] facilit[ies]” (State of New York Department of Correctional Services, Standards of Inmate Behavior: All Institutions § 113.25 [rev ed Feb. 2006]). But the Standards make no effort to classify dangerous contraband. Instead, they simply list marihuana along with many other seemingly innocuous items, including “stamps in excess of \$20 in value,” “more

(n. cont’d)

Although prison officials surely may promulgate disciplinary rules regarding marihuana possession to ensure “the safe, orderly and effective functioning” of correctional institutions (see *People v Vasquez*, 89 NY2d 521, 532 [1997]), here we consider statutory text and legislative intent, not policy alternatives, as would be appropriate for the Legislature’s consideration. Based on that analysis, we conclude that the small amounts of marihuana at issue in both cases are not “dangerous contraband” as that term is defined in Penal Law § 205.00 (4). We have considered the People’s preservation argument in *Salters* and defendant Finley’s constitutional argument regarding Supreme Court’s denial of a challenge for cause during jury selection and find both meritless.

Accordingly, in *Salters*, the order of the Appellate Division should be modified by reducing the conviction of attempted promoting prison contraband in the first degree to attempted promoting prison contraband in the second degree and the conviction of conspiracy in the fifth degree to conspiracy in the sixth degree and remitting to Supreme Court, for resentencing and, as so modified, affirmed. And in *Finley*, the order of the Appellate Division should be modified by reducing the conviction of promoting prison contraband in the first degree to promoting prison contraband in the second degree and remitting to County Court, for resentencing and, as so modified, affirmed.

PIGOTT, J. (concurring in *Finley* and dissenting in *Salters*). In each appeal, the jury found that the amount of marihuana at issue was dangerous contraband within the meaning of Penal Law § 205.00 (4). In *Finley*, I concur with the majority’s conclusion that the jury’s finding was not supported by legally sufficient evidence. In *Salters*, however, I conclude that the evidence at trial was sufficient to establish that the quantity of marihuana that defendant Salters attempted to possess was dangerous contraband. I would nonetheless reverse his conviction and order a new trial because the trial court erred in refusing to charge the jury that it may consider the lesser included offense of attempted promoting prison contraband in the second degree.

An inmate in a detention facility who “knowingly and unlaw-

than two packages of cigarettes” and “any . . . material which has been disapproved by the Media Review Committee,” under the expansive category of “Contraband” (see *id.* §§ 113.16, 113.19, 113.21, 113).

fully . . . possesses any dangerous contraband” is guilty of promoting prison contraband in the first degree, a felony (Penal Law § 205.25 [2]). Contraband is dangerous if it “is capable of such use as may endanger the safety or security of a detention facility or any person therein” (Penal Law § 205.00 [4]). The language of the statute is broad and encompasses any item of contraband that could be used in a manner that may pose a danger to the safety of other inmates or staff, or the security of the facility. The statute emphasizes the potential for danger arising from a particular use of the contraband.¹ Some items of contraband, such as weapons, by their very nature, pose an obvious and immediate danger to the safety and security of a facility and thus clearly fall with the definition of dangerous contraband (see *People v Stanley*, 19 AD3d 1152, 1153 [4th Dept 2005], *lv denied* 5 NY3d 856 [2005]; *People v Brown*, 2 AD3d 1216, 1217-1218 [3d Dept 2003], *lv denied* 3 NY3d 637 [2004]). If the contraband at issue is not inherently dangerous, however, the People must present specific, competent proof from which the trier of fact may infer that use of the contraband could potentially create a dangerous situation inside the facility (see *Stanley*, 19 AD3d at 1153; *Brown*, 2 AD3d at 1218).

Applying this standard in *Salters*, I conclude that, viewed in the light most favorable to the People, the proof presented by the People was sufficient to support the jury’s finding that the marihuana at issue was dangerous contraband. Specifically, Senior Investigator Bezio testified that the amount of marihuana that defendant Salters attempted to possess—i.e., 9.3 grams—was “a large amount” which “would be distributed . . . or sold to other inmates.” He explained that drug transactions create a dangerous situation in prison because inmates often obtain drugs when they are unable to pay for them, leading to violent altercations between inmates. Bezio also noted that correction officers may be injured while attempting to quell the fighting. Bezio testified that, during his 16 years of experience as a narcotics investigator, he has found that many physical altercations between inmates result from disputes over drug debt. Indeed, according to his testimony, Bezio personally investigated “[q]uite a few” cases where an inmate was assaulted or killed over marihuana. Based on this testimony, the

1. If the Legislature intended to require a higher level of certainty that danger would result from use of the contraband, it could have so provided (see e.g. Penal Law § 10.00 [13] [defining “(d)angerous instrument” as “any instrument . . . which, under the circumstances in which it is used, . . . is readily capable of causing death or other serious physical injury”]).

jury could have rationally found that the amount of marihuana possessed by Salters was capable of being sold or bartered and that such use could potentially lead to violent altercations, endangering the safety of inmates and correction officers.

In holding to the contrary, the majority takes issue with permitting testimony that goes to the “pernicious secondary effects” of inmate drug commerce to establish that an item of contraband is dangerous (majority op at 655). The majority reasons that allowing such evidence to suffice would permit any contraband to be considered dangerous. I agree with the majority that proof of the potential secondary effects of an inmate’s use of contraband based on mere speculation is insufficient to establish the dangerousness of contraband. A rule allowing such evidence would render meaningless the distinction between contraband and dangerous contraband (*see Stanley*, 19 AD3d at 1153). In this case, however, the People presented specific, uncontroverted testimony that the inmate marihuana trade has, in the past, led to violent altercations among inmates. The jury was entitled to conclude from this testimony that inmates have assigned a greater value to marihuana than other items of contraband, resulting in a greater risk of violence arising from the marihuana trade.²

Nevertheless, because Supreme Court erred in refusing to charge the lesser included offense of attempted promoting prison contraband in the second degree, I agree with the majority that reversal is warranted here. A defendant is entitled to a lesser included offense charge where (1) “it is impossible to commit the greater crime without concomitantly committing the lesser offense by the same conduct” and (2) “a reasonable view of the evidence . . . support[s] a finding that the defendant committed the lesser offense but not the greater” (*People v Van Norstrand*, 85 NY2d 131, 135 [1995]). The relevant inquiry is “whether, under any reasonable view of the evidence, it is possible for the trier of facts to acquit [the] defendant on the higher count and still find him [or her] guilty of the lesser one” (*id.* at 136).

2. As the majority explains, the predecessor statute to the second degree promoting prison contraband offense expressly included drugs in the former misdemeanor offense. In my view, the Legislature’s election not to do so in enacting the new misdemeanor offense—Penal Law §§ 205.20 and 205.00 (3)—demonstrates, if anything, an intent to permit the trier of fact to classify drugs as either contraband or dangerous contraband depending on the circumstances.

Here, there is no dispute that attempted promoting prison contraband in the second degree is a lesser included offense of the first degree offense. Moreover, the jury could have accepted Investigator Klose's factual testimony establishing the lesser offense—i.e., Salters attempted to possess marihuana, an item prohibited by statute and prison regulations. At the same time, the jury could have reasonably rejected Bezio's opinion testimony as to the dangerousness of the marihuana and concluded that the marihuana was not dangerous under the facts of this case. Thus, a reasonable view of the evidence supports a finding that Salters committed the lesser offense and not the greater (*see People v Hernandez*, 42 AD3d 657, 661-662 [3d Dept 2007]). Accordingly, in *Salters*, I would reverse the conviction and remand the matter for a new trial.

In *Finley*, I concur with the majority's conclusion that the evidence was legally insufficient to support the felony offense. Unlike in *Salters*, the People's proof never established that the amount of marihuana possessed by defendant Finley was an amount that is typically sold or distributed by inmates.

Chief Judge KAYE and Judges READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT concurs in result in a separate opinion in which Judge GRAFFEO concurs.

In *People v Finley*: Order modified, etc.

Chief Judge KAYE and Judges READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to reverse and order a new trial in a separate opinion in which Judge GRAFFEO concurs.

In *People v Salters*: Order modified, etc.

[891 NE2d 1175, 862 NYS2d 11]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRANK-
LYN MONTILLA, Appellant.

Argued May 29, 2008; decided June 25, 2008

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 15, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Jeffrey M. Atlas, J.), which had convicted defendant, after a nonjury trial, of criminal possession of a weapon in the third degree and menacing in the second degree.

People v Montilla, 37 AD3d 281, affirmed.

HEADNOTE

Crimes — Possession of Weapon — Prior Conviction of Crime

Defendant, who had pleaded guilty to a crime before committing the instant offense but had not yet been sentenced for that crime, was properly convicted of criminal possession of a weapon in the third degree, an essential element of which is a prior conviction of any crime (Penal Law § 265.02 [1]). CPL 1.20 (13) defines the term “conviction” as the entry of a plea of guilty or a verdict of guilty and embodies the Legislature’s decision to give the term a definitive meaning so as to avoid any confusion as to its meaning. The phrase “previously convicted” in Penal Law § 265.02 (1) does not encompass both an adjudication of guilty by plea or verdict *and* imposition of sentence. Section 265.02 (1) is not a recidivist sentencing statute, nor is it functionally equivalent to recidivist sentencing statutes. Section 265.02 (1) seems to embody the Legislature’s judgment that an illegal weapon is more dangerous in the hands of a convicted criminal than in the possession of a novice to the criminal justice system, and this added danger exists regardless of whether sentence has yet been imposed for the prior crime.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Habitual Criminals and Subsequent Offenders
§§ 19, 20, 22; AM JUR 2d, Weapons and Firearms §§ 9, 25.
MCKINNEY’S, CPL 1.20 (13); Penal Law § 265.02 (1).
NY JUR 2d, Criminal Law §§ 3046, 5008, 5012.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders; Weapons and Firearms.

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convicted & plea /3 guilty

POINTS OF COUNSEL

Kaye Scholer LLP, New York City (*Daniel R. Alonso*, *Craig M. Cepler* and *Peter B. Silverman* of counsel), and *Criminal Appeals Bureau*, *Legal Aid Society* (*Steven Banks* and *John Schoefel* of counsel), for appellant. The term “previously convicted” in Penal Law § 265.02 (1), which elevates a charge of criminal possession of a weapon in the fourth degree to criminal possession of a weapon in the third degree, requires that there be both an adjudication of guilt and an imposition of sentence on the predicate offense prior to commission of the charged offense. (*Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Benesowitz v Metropolitan Life Ins. Co.*, 8 NY3d 661; *People v Duggins*, 3 NY3d 522; *People ex rel. Marcley v Lawes*, 254 NY 249; *Witte v United States*, 515 US 389; *People v Cintron*, 163 Misc 2d 881; *Blaufus v People*, 69 NY 107; *People v Weinberger*, 21 AD2d 353, 15 NY2d 735; *People v Schaller*, 224 App Div 3; *People ex rel. Brooks v Warden of Women’s Prison*, 175 Misc 663.)

Robert M. Morgenthau, *District Attorney*, New York City (*Martin J. Foncello* and *Alan Gadlin* of counsel), for respondent. The entry of a plea of guilty is a “conviction” within the Criminal Procedure Law’s precise definition of that term; accordingly, defendant’s guilty plea to the 2002 assault was sufficient to satisfy the prior conviction element of Penal Law § 265.02 (1). (*Matter of Plato’s Cave Corp. v State Liq. Auth.*, 68 NY2d 791; *Matter of Grand Jury Subpoena Duces Tecum [Museum of Modern Art]*, 253 AD2d 211, 93 NY2d 729; *Matter of Richetti v New York State Bd. of Parole*, 300 NY 357; *Schiffer v Pruden*, 64 NY 47; *People v Fabian*, 192 NY 443; *Matter of Weinrib v Beier*, 294 NY 628; *Matter of Gunning v Codd*, 49 NY2d 495; *People v Duggins*, 3 NY3d 522; *People v Edwards*, 121 AD2d 254; *People v Woodford*, 85 Misc 2d 213.)

OPINION OF THE COURT

READ, J.

On March 12, 2004, defendant Franklyn Montilla pleaded guilty to the crime of assault in the third degree (Penal Law

§ 120.00). A month later, on April 13, 2004—before sentencing had been imposed for the assault—defendant was arrested for swinging a machete in the presence of police officers. As a result of this incident, he was subsequently indicted for one count of third-degree criminal possession of a weapon (Penal Law § 265.02 [1]) and one count of second-degree menacing (Penal Law § 120.14 [1]).

A person is guilty of criminal possession of a weapon in the third degree when “[he] commits the crime of criminal possession of a weapon in the fourth degree as defined in” certain subdivisions of section 265.01 of the Penal Law, and “*has been previously convicted of any crime*” (Penal Law § 265.02 [1] [emphasis added]). Defendant contended that there was insufficient evidence to support the count of third-degree criminal possession of a weapon because a “conviction” for purposes of Penal Law § 265.02 (1) requires the imposition of sentence prior to commission of this offense.

At defendant’s bench trial on August 10, 2004, Supreme Court rejected the claim of legal insufficiency and rendered a guilty verdict. Stating that “the issue . . . is whether the defendant’s plea of guilty constituted a conviction for the purpose of elevating . . . what would have been a misdemeanor[] possession of a weapon to a felony,” the trial judge concluded that it was. For support, he looked to our decision in *People v Carter* (63 NY2d 530, 538 [1984] [under the Criminal Procedure Law, a “‘conviction’ occurs upon the entry of a verdict of guilty, though sentence and judgment be later imposed and entered”]). On August 24, 2004, Supreme Court sentenced defendant to concurrent terms of 1 to 3 years on the weapon count and one year for menacing.

Upon defendant’s appeal, the Appellate Division unanimously affirmed his conviction, citing our decisions in both *Carter* and *Matter of Gunning v Codd* (49 NY2d 495 [1980] [Criminal Procedure Law supplies definition of word “conviction” for Public Officers Law § 30 (1) (e)]). A judge of this Court subsequently granted defendant leave to appeal, and we now affirm.

The Penal Law does not define the term “convicted,” but Criminal Procedure Law § 1.20 (13) does: “‘Conviction’ means the entry of a plea of guilty to, or a verdict of guilty upon, an accusatory instrument other than a felony complaint, or to one or more counts of such instrument.” Section 1.20 also separately defines the terms “sentence” and “judgment”:

“14. ‘Sentence’ means the imposition and entry of sentence upon a conviction.

“15. ‘Judgment.’ A judgment is comprised of a conviction and the sentence imposed thereon and is completed by imposition and entry of the sentence.”

The purpose of formulating these three separate definitions was to clear up the meaning of the term “conviction,” which, under prior law, “[f]or some purposes . . . meant the plea or verdict, but for many others . . . meant the judgment, as evidenced by the imposition of sentence” (see Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 1.20, at 28).

Defendant asserts, however, that notwithstanding these definitions in the Criminal Procedure Law, the phrase “previously convicted” in Penal Law § 265.02 (1) must encompass both an adjudication of guilt by plea (as in his case) or verdict *and* imposition of sentence. He offers two related reasons to support his position: first, that Penal Law § 265.02 (1) is, or at least is the functional equivalent of, a recidivist sentencing statute, and these statutes historically have required sentencing before a criminal adjudication was deemed a prior conviction; second, in light of this history, the courts should not borrow from the Criminal Procedure Law and thereby apply a procedural definition to a matter of substantive criminal law.

But section 265.02 (1) is not, as defendant suggests, a recidivist sentencing statute. He cites nothing in the statute’s legislative history to show that it is, and the structure of the Penal Law cuts against his argument. That is, section 265.02 (1) is found within part three of the Penal Law, which lists all the “Specific Offenses.” The sentencing scheme is contained within part two, where Penal Law §§ 70.04, 70.06, 70.08 and 70.10 dictate the sentences authorized for repeat offenders.

Nor is there any reason to consider section 265.02 (1) to be functionally equivalent to the recidivist sentencing statutes. These laws reflect the notion “that enhanced punishment not be imposed unless the chastening effect of sentence on the prior conviction [precedes] commission of the latest crime” (*People v Morse*, 62 NY2d 205, 219 [1984]). Section 265.02 (1), however, seems to embody the Legislature’s judgment that an illegal weapon is more dangerous in the hands of a convicted criminal than in the possession of a novice to the criminal justice system. This added danger exists regardless of whether sentence has yet been imposed for the prior crime. As the People point out, the

legislative history of section 265.02 (1), although not particularly illuminating, pegs this measure as part of a program intended to discourage the criminal possession and use of handguns, particularly the cheaply made “Saturday Night Specials” (see Governor’s Mem approving L 1974, chs 1041, 1042, 1974 NY Legis Ann, at 424). In short, when the Legislature enacted section 265.02 (1) it was addressing deterrence and safety, not seeking to enhance the punishment of individuals who failed to rehabilitate despite the chastening effect of a previously imposed sentence.

In addition, regardless of any historical understanding of the word “conviction” in recidivist statutes, the Legislature has not defined this term in the current recidivist sentencing scheme as anything other than what it means under the Criminal Procedure Law: a plea or verdict. For example, Penal Law § 70.06 provides that a “prior conviction” can serve as a “predicate felony conviction” where, among other things, “[s]entence upon such prior conviction [had] been imposed before commission of the present felony” (§ 70.06 [1] [b] [ii]). By contrast, Penal Law § 265.02 (1) requires that a defendant must have been “previously convicted of any crime” without similarly specifying that sentencing upon the prior conviction must have been imposed before commission of the present crime.

Finally, in *Gunning* we made clear that the Criminal Procedure Law’s definition of “conviction” was properly imported into other statutes. There, a police officer who was found guilty by a jury of official misconduct and second-degree bribe receiving attempted to obtain pension benefits by retiring prior to the entry of judgment on the verdict. The officer conceded that under Public Officers Law § 30, the Police Commissioner had the authority to dismiss “a member of the Police Department convicted of a crime by a court of competent jurisdiction” (49 NY2d at 498), but argued that a “conviction” under section 30 required the entry of a judgment of conviction upon sentencing before a public office was vacated.

We disagreed. We observed that “[t]he former Code of Criminal Procedure contained no definition of ‘conviction’ ” and “[a]ccordingly, courts gave the term a chameleon-like quality, designed to meet what were perceived to be the equities of diverse cases before them” (*id.*). We went on to state that “[h]owever amorphous the term ‘conviction’ may have been under prior law, any confusion was laid to rest with the enactment of the CPL in 1971” (*id.* at 499)—that “[w]hatever may

have been the rule previously, the CPL . . . provide[d] that a conviction occurs upon a verdict of guilty . . . and no sound reason exists to differentiate between a conviction for purposes of criminal law and the Public Officers Law” (*id.* at 498 [citation omitted]).

Criminal Procedure Law § 1.20 (13) thus embodies the Legislature’s decision to give the term “conviction” a definitive meaning so that the confusion reigning under prior law might be “laid to rest.” “[W]hen a statute [here, the Penal Law] does not define a particular term, it is presumed that the term should be given its precise and well settled legal meaning in the jurisprudence of the state” (*People v Duggins*, 3 NY3d 522, 528 [2004] [internal quotation marks and citations omitted] [construing phrase “criminal transaction” in Penal Law § 125.27 (1) (a) (viii) by adopting definition of “criminal transaction” in Criminal Procedure Law § 40.10 (2)]). Hence, borrowing the Criminal Procedure Law’s definition of “conviction” to give meaning to the word “convicted” in Penal Law § 265.02 (1) is fully justified.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges GRAFFEO, SMITH, PIGOTT and JONES concur; Judge CIPARICK taking no part.

Order affirmed.

[892 NE2d 369, 862 NYS2d 305]

In the Matter of RICHARD A. ZALK (Admitted as RICHARD ALAN ZALK), an Attorney, Appellant. DEPARTMENTAL DISCIPLINARY COMMITTEE FOR THE FIRST JUDICIAL DEPARTMENT, Respondent.

Argued April 30, 2008; decided June 12, 2008

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 23, 2007. The Appellate Division, in disciplinary proceedings instituted by the Departmental Disciplinary Committee for the First Judicial Department, found that respondent had engaged in professional misconduct in violation of DR 1-102 (a) (4) (conversion), DR 9-102 (a) (misappropriation) and DR 1-102 (a) (7) (conduct adversely reflecting on his fitness as a lawyer), and suspended respondent from the practice of law for two years.

Matter of Zalk, 45 AD3d 42, reversed.

HEADNOTE

Evidence — Dead Man’s Statute — Application in Attorney Disciplinary Proceeding

In an attorney disciplinary proceeding involving respondent’s handling of a down payment in a real estate transaction at which he represented the subsequently deceased seller, the Dead Man’s Statute (CPLR 4519) did not preclude respondent from relying on his conversations with the seller to describe their putative fee arrangement allowing him to keep the balance of the down payment as compensation for past legal work. The Dead Man’s Statute only applies to testimony by “a witness in his own behalf or interest . . . against the executor, administrator or survivor” of the deceased (CPLR 4519). Here respondent testified against the Disciplinary Committee, and not “against the executor, administrator or survivor” of his deceased client. Although the co-administrators of the estate, for the purposes of seeking reimbursement from the Lawyers’ Fund for Client Protection and applying the doctrine of collateral estoppel in a civil suit, may have had an interest in a finding that respondent converted estate monies, the statute did not foreclose testimony that potentially cut against their interests in contingent future proceedings. Accordingly, respondent’s two-year suspension from the practice of law was reversed and the matter remitted for further proceedings.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Attorneys at Law § 110; AM JUR 2d, Evidence § 828; AM JUR 2d, Witnesses §§ 539, 541, 544, 548, 578–580.

CARMODY-WAIT 2d, Officers of Court § 3:317; CARMODY-WAIT 2d, Presentation of the Case §§ 56:161, 56:164.

McKINNEY's, CPLR 4519.

NY JUR 2d, Attorneys at Law § 398; NY JUR 2d, Evidence and Witnesses §§ 906–909.

ANNOTATION REFERENCE

See ALR Index under Dead Man's Statute; Discipline and Disciplinary Actions.

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POINTS OF COUNSEL

Hinshaw & Culbertson, LLP, New York City (*Richard Supple* and *Hal Lieberman* of counsel), for appellant. I. Richard Zalk's oral fee agreement was permissible under New York law. (*Matter of Cooperman*, 83 NY2d 465.) II. The Dead Man's Statute should not have been applied in Richard Zalk's disciplinary proceeding. (*Matter of Wood*, 52 NY2d 139; *Rosenfeld v Basquiat*, 78 F3d 84; *Ward v Kovacs*, 55 AD2d 391; *Matter of Attorney*, 83 NY 164; *Matter of Mathot*, 222 NY 8; *Matter of Town of Johnstown v City of Gloversville*, 36 AD2d 143; *O'Shea v O'Shea*, 93 NY2d 187; *Matter of Dot E.W.*, 172 Misc 2d 684; *In re Ruffalo*, 390 US 544; *Gursky & Ederer, LLP v GMT Corp.*, 5 Misc 3d 1022[A], 2004 NY Slip Op 51508[U].) III. Richard Zalk's constitutional right to procedural due process was violated when the Appellate Division applied the Dead Man's Statute to preclude his defense. (*Zauderer v Office of Disciplinary Counsel of Supreme Court of Ohio*, 471 US 626; *Little v Streater*, 452 US 1; *Mathews v Eldridge*, 424 US 319; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Matter of Hamburg*, 151 Misc 2d 1034; *Matter of Wood*, 52 NY2d 139.) IV. The Appellate Division abused its discretion by crediting but failing to apply the significant independent evidence that corroborated Richard Zalk's fee agreement. (*Matter of Clay*, 282 NY 140; *Federal Land Bank of Springfield v Tobias*, 283 App Div 1134; *Poslock v Teachers' Retirement Bd. of Teachers' Retirement Sys.*, 88 NY2d 146; *Zemel v Horowitz*, 11 Misc 3d 1058[A], 2006 NY Slip Op 50276[U].)

Alan W. Friedberg, Chief Counsel, Departmental Disciplinary Committee, Supreme Court, Appellate Division, First Judicial Department, New York City (*Naomi F. Goldstein* of counsel), for

respondent. I. The Dead Man's Statute, like other common-law rules of evidence, applies to disciplinary proceedings. (*Matter of Kaufmann*, 245 NY 423; *Matter of Shufer*, 12 AD2d 208; *Matter of Lynch*, 227 App Div 477; *Matter of Wood*, 52 NY2d 139.) II. Disciplinary proceedings fall within the purview of the Dead Man's Statute. (*Matter of Zuckerman*, 20 NY2d 430; *Matter of Phillies*, 17 AD2d 93, 12 NY2d 645; *Matter of Capoccia*, 59 NY2d 549; *Matter of Feola*, 37 AD2d 789; *Matter of Mogel*, 18 AD2d 203; *Matter of Anonymous Attorneys*, 41 NY2d 506; *Matter of Hoeniger*, 36 AD3d 268; *Matter of Muraskin*, 286 AD2d 186; *Matter of Comas*, 40 AD3d 168; *Matter of Martocci*, 38 AD2d 667.) III. Under the Dead Man's Statute, Richard Zalk is an interested person, and he testified against an interest which the administrators have in the estate. (*Matter of Ross*, 6 Misc 3d 1040[A], 2005 NY Slip Op 50369[U]; *Matter of Lalor*, 28 AD2d 66; *A to Z Assoc. v Cooper*, 161 Misc 2d 283; *Matter of Greenbaum*, 212 AD2d 143; *Home Ins. Co. v Aurigemma*, 45 Misc 2d 875.) IV. The Departmental Disciplinary Committee did not waive the protection of the Dead Man's Statute. (*Corning v Walker*, 100 NY 547; *Sepulveda v Aviles*, 308 AD2d 1; *Matter of Sklaire v Eldridge*, 12 AD2d 386; *Rosenfeld v Basquiat*, 78 F3d 84; *Phillips v Kantor & Co.*, 31 NY2d 307; *Matter of Lalor*, 28 AD2d 66; *Matter of Van Volkenburgh*, 254 NY 139; *Matter of Sheehan*, 51 AD2d 645; *Matter of Wood*, 52 NY2d 139; *Sepulveda v Aviles*, 308 AD2d 1.) V. The instant matter is not the first or only time the Dead Man's Statute has been applied in disciplinary proceedings. (*Matter of Prounis*, 230 AD2d 55; *Matter of Puleo*, 46 AD3d 19.) VI. Application of the Dead Man's Statute did not deprive Richard Zalk of procedural due process afforded attorneys facing charges of professional misconduct. (*Matter of Hamburg*, 151 Misc 2d 1034; *Gerzof v Gulotta*, 87 Misc 2d 768; *In re Ruffalo*, 390 US 544; *Matter of Kelly*, 23 NY2d 368; *Little v Streater*, 452 US 1; *Matter of Anonymous Attorneys*, 41 NY2d 506; *Mathews v Eldridge*, 424 US 319; *Morrissey v Brewer*, 408 US 471; *Matter of Dondi*, 63 NY2d 331; *Matter of Capoccia*, 59 NY2d 549.) VII. Application of the Dead Man's Statute promotes the purposes of attorney discipline. (*Mathews v Eldridge*, 424 US 319; *Matter of Wood*, 52 NY2d 139; *Matter of Levy*, 37 NY2d 279; *Matter of Wong*, 275 AD2d 1; *Matter of Cowan*, 110 AD2d 53; *Matter of Nearing*, 16 AD2d 516.) VIII. Richard Zalk's request that this Court review the findings of fact by the Appellate Division is inappropriate. (*Matter of Anonymous*, 79 NY2d 782; *Estate of Canale v Binghamton Amusement Co.*, 37 NY2d 875; *Matter of Robinson*, 209 NY 354; *Matter of Hawes*, 217 NY

602; *Marlio v McLaughlin*, 288 AD2d 97; *Matter of Pascal*, 37 Misc 2d 578; *Matter of Mulderig*, 196 Misc 527; *Federal Land Bank of Springfield v Tobias*, 283 App Div 1134; *Matter of Barshay*, 262 App Div 84.)

OPINION OF THE COURT

Per Curiam.

This appeal calls upon us to decide whether the Dead Man's Statute (CPLR 4519) applies in an attorney disciplinary proceeding involving how Richard A. Zalk handled a \$200,000 down payment in a real estate transaction where he represented the seller, Ruth Gellman, subsequently deceased. For the reasons that follow, we conclude that the Dead Man's Statute does not apply.

I.

Zalk, a sole practitioner specializing in matrimonial, trust and estates, and real estate law, was admitted to the practice of law in New York by the First Department in 1969, and at all relevant times has practiced law within that Department. At the time of the complained-of conduct, he was 62 years old and had an unblemished disciplinary history.

In 1970, Zalk met Ruth Gellman when he represented her father's estate. From that point on, it is undisputed that he performed at least occasional legal work for Ruth Gellman and her husband Arthur. Zalk claims that his professional relationship with the Gellmans blossomed into a close friendship, and that he never sent them regular accounts or billing statements tallying the hours spent or detailing a billing rate. Rather, he asserts, he and the Gellmans would agree upon an appropriate fee at the conclusion of each matter.

Arthur Gellman died in 1990. Zalk represented the estate, for which he charged \$5,000. In the fall of 1992, Ruth Gellman suffered a massive heart attack that left her hospitalized for nearly three months and severely compromised her health. By the latter part of the 1990s, she was housebound, mostly confined to bed, and tethered to an oxygen machine.

In the years following Arthur Gellman's death, Zalk performed legal work for Ruth Gellman related to Hamilton Gardens, a 22-unit garden apartment complex that she had inherited from her father. Apparently because he was aware of his client's limited cash resources (Ruth Gellman's yearly gross income from all sources was between \$20,000 and \$50,000 after her husband's

death), Zalk neither billed nor received payment for any of his legal services. Zalk claims that he and Ruth Gellman orally agreed that, in lieu of itemized billings, he would be paid for his legal work for the years from 1990 to 2000 upon the sale of Hamilton Gardens.

The Departmental Disciplinary Committee asserts that this legal work for which Zalk did not bill was minor or insignificant, as Ruth Gellman was involved in no litigation and few, if any, transactions between her husband's death and the sale of Hamilton Gardens, and Zalk was not Gellman's tax attorney. Zalk acknowledges that he has no detailed records of legal work performed for Ruth Gellman during the 1990-2000 time period.

In 1998, Ruth Gellman decided to sell Hamilton Gardens. Zalk represented her for the entire transaction. He arranged the sale for \$2 million, of which \$1.4 million was paid by a 15-year purchase-money mortgage with \$11,258 in monthly payments. According to Zalk, he persuaded the broker to accept a commission of \$80,000—far below the standard \$120,000—and he also convinced the purchasers to pay it. Zalk placed the \$200,000 down payment in his attorney escrow account.

Immediately after the April 5, 2000 closing, Zalk and Michelle Gellman (one of Ruth Gellman's two daughters) went to Ruth Gellman's house to report the sale's completion and to celebrate with champagne. Zalk claims that he explained the details of the closing to Ruth Gellman and began to calculate the balance, after expenses, of the escrow account in order to write her a check. At this point, according to Zalk, Ruth Gellman told him that

“we both know that I owe you that and a hell of a lot more for everything you've done for me, not just in connection with the sale of Hamilton Gardens but for everything you've done for me since Arthur's death for which you've never billed me . . . [W]hat you are going to do is you're going to pay off whatever has to be paid off . . . and whatever remains of the downpayment [*sic*] is going to be your fee for everything you have done for me over the past ten years.”

Michelle Gellman testified that she was standing in the hallway outside the door of her mother's room at the time, but “wasn't paying attention,” and did not overhear what her mother and Zalk “were talking about, what the details of the conversation were.”

Zalk professes that he “was initially reluctant to accept” this offer, and that although he urged Ruth Gellman to retain some of the escrow money to pay capital gains taxes, she insisted the funds were his. In April of 2000 he sent her a letter, a copy of which appears in the record, which states as follows: “While I am enormously touched by your extremely generous offer, I cannot accept it. Also, please keep in mind that you will have to pay a chunk in capital gains taxes by next April.” Zalk testified that Ruth Gellman responded to this letter by telephone, telling him “Richard, I don’t want to discuss this. This is my decision.”

Soon after the putative oral fee agreement, Ruth Gellman was hospitalized. Zalk visited her in the hospital on July 16, 2000, and he says she reaffirmed that he was to keep the balance of the Hamilton Gardens down payment, and joked with him about how he should spend the money. Once again, Michelle Gellman was concededly present. She neither corroborated nor denied Zalk’s version of events. A few weeks later, Ruth Gellman’s condition took a turn for the worse, and she died on September 4, 2000.

Zalk thereafter represented Ruth Gellman’s estate in the sale of the family home. During the course of this work, he corresponded with the Gellman daughters, who had been appointed co-administrators of their late mother’s estate when her will could not be located. The family home was ultimately sold in August 2001, with the closing occurring on September 17, 2001.

Eleven days after Ruth Gellman’s death, Zalk issued a check made payable to himself in the amount of \$20,000 from the money in the Hamilton Gardens escrow account. In January 2001, he withdrew \$27,500 more. In April 2001, he withdrew an additional \$12,500; in June 2001, another \$20,000; and in September 2001, a final \$20,000. In 13 months, Zalk therefore appropriated \$100,000 from the Hamilton Gardens escrow account for his own use. Of the remaining funds, \$10,079 were expended on final open items from the Hamilton Gardens closing and other expenses; at the time of Zalk’s hearing, \$62,000 remained in the escrow account.

There is disagreement as to when the Gellman daughters first became aware of Zalk’s use of the escrow funds, or his claim to the balance from the down payment. But on October 14, 2001—which was just over a year after their mother’s death and a month after the closing on the family home—the Gellman daughters sent Zalk a letter demanding an accounting for the

Hamilton Gardens sale and a check for the balance of monies remaining. The Gellman daughters, as administrators of Ruth Gellman's estate, ultimately filed a complaint with the Committee on February 21, 2003, asking for a determination as to whether Zalk's retention of \$162,000 from their mother's estate was appropriate. According to the daughters' letter, Zalk was variously claiming the money as a gift or as legal fees.

II.

On September 27, 2004, after a full investigation, the Committee served Zalk with formal charges. The Committee originally charged Zalk with three charges of misconduct: (charge one) by misappropriating monies in the escrow account, he engaged in conduct involving dishonesty, fraud, deceit, or misrepresentation, in violation of Code of Professional Responsibility DR 1-102 (a) (4) (22 NYCRR 1200.3 [a] [4]); (charge two) by withdrawing from his escrow account, without authorization, \$100,000 of the money remaining from the sale of Hamilton Gardens, which money belonged to Ruth Gellman, he misappropriated the funds, in violation of DR 9-102 (a) (22 NYCRR 1200.46 [a]); and (charge three) by withdrawing \$20,000 on June 4, 2001, and \$20,000 on September 24, 2001, after he was on notice that his right to the money was disputed, he violated DR 9-102 (b) (4) (22 NYCRR 1200.46 [b] [4]). The original charges were supplemented, by stipulation, to include (charge four) engaging in a conflict of interest by representing Ruth Gellman's estate once his claim to the escrow account was disputed, in violation of DR 5-101 (a) (22 NYCRR 1200.20 [a]); and (charge five) conduct adversely reflecting on his fitness as a lawyer, in violation of DR 1-102 (a) (7) (22 NYCRR 1200.3 [a] [7]).

At a disciplinary hearing before a referee, the Committee argued that the Dead Man's Statute (CPLR 4519) precluded Zalk from relying on his conversations with Ruth Gellman to describe their putative fee arrangement. The Dead Man's Statute (CPLR 4519) reads as follows:

“Upon the trial of an action or the hearing upon the merits of a special proceeding, a party or a person interested in the event . . . shall not be examined as a witness in his own behalf or interest . . . against the executor, administrator or survivor of a deceased person . . . concerning a personal transac-

tion or communication between the witness and the deceased person . . . except where the executor, administrator, survivor . . . or person so deriving title or interest is examined in his own behalf . . . concerning the same transaction or communication.”

Looking at the “plain language of the statute,” the referee reasoned that an attorney disciplinary proceeding was not “against the executor, administrator or survivor of a deceased person.” He added that while Zalk “might be barred from testifying in an action brought by the sisters to recover the escrow fund[s],” he “c[ould] not see how, in a disciplinary proceeding, he c[ould] be barred from offering his defense.”

As to charges one and two, the referee found Zalk to be “a wholly credible witness” and that “no reason” existed in the record “to doubt that [Zalk] had an oral agreement with [Ruth] Gellman, or at the very least he believes he did”; to “suggest[] that [Zalk] had any wrongful intent”; or to conclude that he “engaged in any dishonesty, fraud, deceit or misrepresentation.” Accordingly, the referee recommended that charges one and two be dismissed.

The referee found charge three to be “a closer question,” but he ultimately concluded that Zalk “received no clear notice until he received the sisters’ letter of October 14, 2001 . . . and after that notice he made no further withdrawals.” He similarly recommended that charge four would “fall[]” because “there was no apparent ‘conflict’ before the sisters’ letter of October 14, 2001 . . . and [Zalk] performed no services after that date.”

The referee, however, recommended that charge five be sustained, noting that Zalk’s “handling of the \$200,000 ‘adversely reflected on his fitness as a lawyer’ ” because of his “basic mistake . . . [of] not obtain[ing] a writing from Mrs. Gellman or other proof confirming their agreement.” Additionally, he observed that the “fact remains that it looks awful when a lawyer makes an oral agreement with a sick, elderly woman in which she gives him a significant portion of her assets.”

In recommending a sanction, the referee noted that “[t]o call [the Committee’s] recommendation [of disbarment] draconian is to understate greatly.” In light of Zalk’s record of 36 years of practice without any disciplinary problems, his cooperation with the investigation, acknowledged error in not recording the agreement, and positive references (including a Justice of

Supreme Court before whom Zalk had appeared some 20 times), the referee recommended a public censure.

The hearing panel of the Appellate Division disagreed with the referee as to the applicability of the Dead Man's Statute, and remanded the matter to him for further proceedings. Specifically, the panel thought the referee "erred" when he ruled that the disciplinary proceeding against Zalk was not "'against the executor, administrator or survivor' of Mrs. Gellman." In this regard, the panel opined that the referee should have

"take[n] into account that pursuant to Judiciary Law § 90 (6-a) (a), the court may require [Zalk] to make monetary restitution to the Gellman daughters. If [Zalk's] testimony concerning the fee conversation were admissible and found to be persuasive, the outcome [in the disciplinary proceeding] would disserve the interest and adversely affect the rights of the daughters in that [Zalk] would not be ordered to return to Ruth Gellman's estate the money he claims as his own" (citations omitted).

As a result, the panel found that Zalk's testimony was "'against' the Gellman daughters within the meaning of" the Dead Man's Statute.

Zalk moved to confirm the findings of fact and conclusions of law in the referee's report, accept the recommended sanction of public censure, and disaffirm the hearing panel's report and recommendation. The Committee cross-moved to dismiss Zalk's motion; affirm the hearing panel's conclusion of law and disaffirm its remand to the referee; have the court review the record de novo; and upon review, disbar Zalk or, in the alternative, sanction him as it deemed appropriate.

In a per curiam opinion, the Appellate Division, with one Justice dissenting, granted the motion and cross motion to the extent of disaffirming the referee's and the hearing panel's conclusions of law with respect to CPLR 4519, and disaffirming their recommendations; and, upon review of the record de novo, found that Zalk had engaged in professional misconduct in violation of DR 1-102 (a) (4) (conversion), DR 9-102 (a) (misappropriation) and DR 1-102 (a) (7) (conduct adversely reflecting on his fitness as a lawyer). The Court suspended Zalk from the practice of law for two years.

The Appellate Division concluded that the Dead Man's Statute "precluded [Zalk] from using his testimony to disprove the

charges,” noting that “the outcome of the proceeding could certainly affect [the Gellman daughters’] rights, since pursuant to Judiciary Law § 90 (6-a) (a), the Court has the authority to require [Zalk] to make monetary restitution to [them]” (*Matter of Zalk*, 45 AD3d 42, 48 [1st Dept 2007]). The Appellate Division also decided, however, that Zalk’s testimony about his fee arrangement with Ruth Gellman was admissible as to sanction because “the Gellman daughters and the estate have no interest in the determination of which measure of discipline is imposed on [Zalk]” (*id.* at 49). Further, “[Zalk]’s testimony, accepted in mitigation of his misconduct, demonstrates the nonvenality of his taking possession of the funds, with the belief—honest, although mistaken—that he was entitled to them” (*id.*). By contrast, the dissenting Justice, who thought the Dead Man’s Statute applicable to all phases of the disciplinary proceeding, would have imposed a more severe sanction.

A Judge of this Court granted Zalk’s request for an interim stay of the suspension order pending his motions for leave to appeal and for a stay pending disposition of that appeal. We subsequently granted Zalk leave to appeal and a stay, and now reverse.

III.

“The rule of evidence popularly referred to as the Dead Man’s Statute” was enacted by the New York Legislature in 1851, and is

“widely considered to be the last vestige of the common-law rule which made all interested persons and parties incompetent to testify. After the general rule barring testimony from interested persons was abolished, a new rule was adopted to prevent the living from testifying to certain ‘personal transactions’ with the dead. One of the main purposes of the rule was to protect the estate of the deceased from claims of the living who, through their own perjury, could make factual assertions which the decedent could not refute in court” (*Matter of Wood*, 52 NY2d 139, 143-144 [1981] [citations omitted]).

As we pointed out in *Wood*, “[w]hile the utility and wisdom of the rule have been often questioned throughout its history and the Legislature has often forcefully been urged to change or to modify the statute, it, nonetheless, has been consistently reen-

acted by the Legislature and remains a part of the law of this State” (*id.* at 144 [citations omitted]).

We therefore look to the language of section 4519, and reach the same conclusion as did the referee: although Zalk “testified ‘as a witness in his own behalf or interest,’ . . . he did not testify ‘against the executor, administrator or survivor’ of Mrs. Gellman. Rather, he testified against the Disciplinary Committee, which is none of these latter.”

The Committee counters that a decision in the disciplinary proceeding recognizing Zalk’s entitlement to the disputed funds would compromise the administrators’ chances of reimbursement from the Lawyers’ Fund for Client Protection (*see* 22 NYCRR 7200.10 [d] [in determining eligibility of a claim against the Fund, “(a) certified copy of an order disciplining an attorney for the same act of conduct alleged in a claim, or a final judgment imposing civil or criminal liability therefor, shall . . . be evidence that the attorney committed such act”]). Such a decision would also cut off the opportunity for the administrators to invoke the doctrine of collateral estoppel in a civil suit against Zalk.*

In essence, the Committee takes the position that, although the Gellman daughters are not parties to the disciplinary proceeding, the rules of the Fund and the doctrine of collateral estoppel endow them with a vital interest in a finding that Zalk converted estate monies. But the Dead Man’s Statute only applies to testimony “against the executor, administrator or survivor” of the deceased. It does not foreclose testimony that potentially cuts against these parties’ interests in a contingent future proceeding.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to that court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order reversed, etc.

[Next page is 701.]

* On this appeal, the Committee does not discuss Judiciary Law § 90 (6-a) (a), which figured in the decisions of both the panel and the Appellate Division. This is apparently because restitution was not sought in this case (*see* 22 NYCRR 605.12 [b] [2] [if Committee intends to “seek restitution or reimbursement pursuant to section 90 (6-a) (a) of the Judiciary Law,” this is to be “set forth” in notice of charges]).

